Lecture 1

INTRODUCTION

CONCEPT OF BUSINESS

Literally, the word "business" means the state of being busy. Generally, the term business includes all human activities concerned with earning money. In other words, business is an activity in which various persons regularly produce or exchange goods and services for mutual gain or profit. The goods and services produced or purchased for personal use are not included in "business".

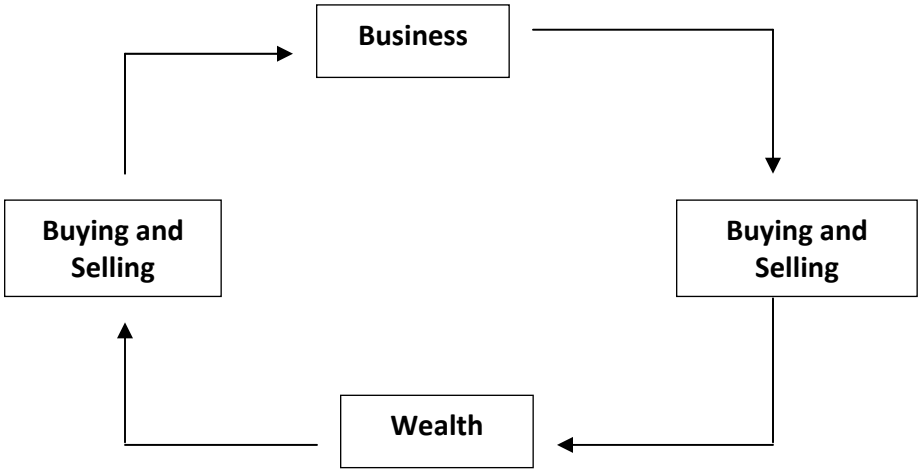
DEFINITION

1. **According to L. H. Haney**
   "Business may be defined as human activities directed toward providing or acquiring wealth through buying and selling of goods."

2. **James Stephenson** says that:
   "Every human activity which is engaged in for the sake of earning profit may be called business."

3. **In the words of B. W. Wheeler**
   "An institution organized and operated to provide goods and services to the society, under the incentive of private gain" is business.

Structural Diagram



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CHARACTERISTICS

Following are the essential characteristics of a good business:

1. Capital

Capital is the lifeblood of every business. It is the most essential and important element of business. In case of deficiency, loans can be taken from various financial institutions.

2. Creation of Utility

Utility is an economic term referring to that characteristic of a certain commodity, which can satisfy any human need. Business creates utility, which gives benefit to the entire society as well as the businessmen.

3. Dealing in Goods and Services

Every business deals with sale, purchase, production and exchange of goods and services for some consideration.

4. Employment

Business is a good source of employment for its owners as well as for other people, for example, employees, agents, transporters etc.

5. Islamic Process

Business is an Islamic way of earning living. Income from business is known as profit, which is Rizq-e-Halal. The Holy Prophet Muhammad (SAWW) himself did prosperous business.

6. Motive

The motive of business is to earn profit. Otherwise it will not be termed as business.

7. Organization

Every business needs an organization for its successful working. A proper organization is helpful in the smooth running of business and achieving the objectives.

8. Productions or Purchase of Goods

A businessman deals in production or purchase of goods. These goods are supplied to the people. So, it is necessary that more goods should be produced so that demand of people may be fulfilled.

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9. Regular Transaction

Business has a nature of regular dealings and series of transactions. So, in business, only those transactions included which have regularity and continuity.

10. Risks and Uncertainty

Business involves a large volume of risk and uncertainty. The risk element in business keeps a person vigilant and he tries to ward off his risk by executing his policies properly.

11. Sale or Transfer for value

Another characteristic of business is the sale or transfer of goods for value.

12. Social Welfare

Business does not only satisfy the producer, but also the consumer when products are offered for sale at low prices in markets.

NATURE OF BUSINESS

The following points state the nature of business in brief:

1. Economic Activity

Business is an economic activity as it is concerned with creation of wealth through the satisfaction of human wants.

2. Human Activity

Business is an economic activity and every economic activity is done by human beings. Thus, business is one of the most important human activities.

3. Social Process

Business is run by owners and employees with the help of professionals and customers. Thus, business is a social process.

4. System

Business is a systematic arrangement of various elements, which leads to the attainment of particular objective, according to a well-established plan.

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COMPONENTS AND SCOPE OF BUSINESS

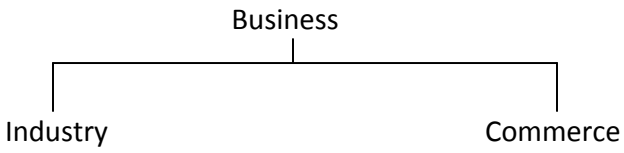
BUSINESS

The word "Business" includes all human activities concerned with earning money. In other words, business is an activity in which various persons regularly produce or exchange goods and services for mutual gain or profit.

COMPONENTS OF BUSINESS

Business bears the following components:

- Industry
- Commerce



INDUSTRY

Industry is connected with the production and preparation of goods and services. It is a place where raw material is converted into finished or semi-finished goods, which have the ability to satisfy human needs or can be used in another industry as a base material. In other words, industry means that part of business activity, which is concerned with the extraction, production and fabrication of products.

KINDS OF INDSTRY

1. Primary Industry
2. Secondary Industry

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1. PRIMARY INDUSTRY

Primary industry is engaged in the production or extraction of raw materials, which are used in the secondary industry. Primary industry can be divided into two parts:

(a) Extractive Industry
(b) Genetic Industry

(a) Extractive Industry

Extractive industries are those industries, which extract, raise or produce raw material from below or above or above the surface of the earth. For example, fishery, extraction of oil, gas and coal etc.

(b) Genetic Industry

Genetic industries are those, which are engaged in reproducing and multiplying certain species of animals and plants. For example, poultry farm, fishing farm, diary farm, plant nurseries etc.

2. SECONDARY INDUSTRY

These industries use raw materials and make useful goods. Raw material of these industries is obtained from primary industry. Secondary industry can be divided into three parts:

(a) Constructive Industry
(b) Manufacturing Industry
(c) Services Industry

a) Constructive Industry

All kinds of constructions are included in this industry. For example, buildings, canals, roads, bridges etc.

b) Manufacturing Industry

In this industry, material is converted into some finished goods or semi-finished goods. For example, textile mills, sugar mills etc.

c) Services Industry

These industries include those industries, which are engaged in providing services of professionals such as lawyers, doctors, teacher etc.

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COMMERCE

Commerce is the second component of business. The term "commerce" includes all activities, functions and institutions, which are involved in transferring goods, produced in various industries, from their place of production to ultimate consumers.

In the words of Evelyn Thomas:

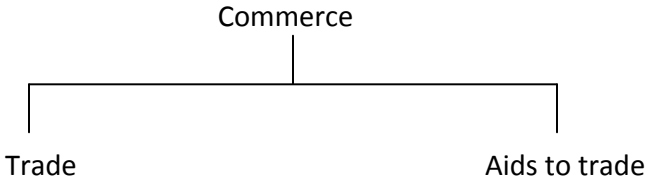
"Commercial occupations deal with the buying and selling of goods, the exchange of commodities and distribution of the finished goods."

In simple words, "trade and aids to trade" is called commerce.

SCOPE OF COMMERCE

The scope of commerce can be explained as:

1. Trade
2. Aids to Trade



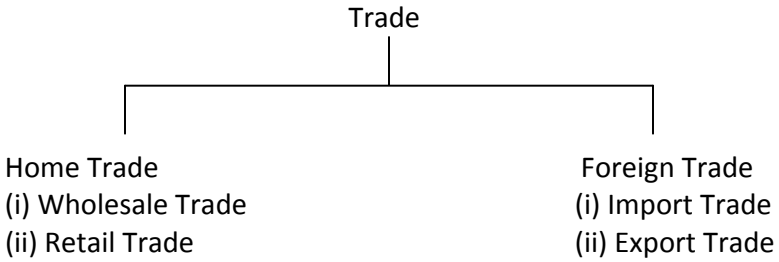
1. TRADE

Trade is the whole procedure of transferring or distributing the goods produced by different persons or industries to their ultimate consumers. In other words, the system or channel, which helps the exchange of goods, is called trade.

TYPES OF TRADE

There are two types of trade:

(a) Home trade
(b) Foreign Trade



(a) Home Trade

The purchase and sale of goods inside the country is called home trade. It is also known as 'domestic', 'local' or 'internal trade'. Home trade has two types:

(i) Wholesale Trade
(ii) Retail Trade

(i) Wholesale Trade

It involves selling of goods in large quantities to shopkeepers, in order to resale them to the consumers. A wholesaler is like a bridge between the producers and retailers.

(ii) Retail Trade

Retailing means selling the goods in small quantities to the ultimate consumers. Retailer is a middleman, who purchase goods from manufacturers or wholesalers and provide these goods to the consumers near their houses.

(b) Foreign Trade

Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called foreign trade. It is also called international trade. Foreign trade has two types:

(i) Import Trade
(ii) Export Trade

(i) Import Trade

When goods or services are purchased from other country it is called import trade.

(ii) Export Trade

When goods or services are sold to any other country it is called export trade.

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2. AIDS TO TRADE

Trade mans biting and selling of goods, whereas, aids to trade mean all those things which are helpful in trade.

a) Banking
b) Transportation
c) Insurance
d) Warehousing
e) Agents
f) Finance
g) Advertising
h) Communication

(a) Banking

In daily business routine, commercial banks and other financial institutions help the seller and the buyer in receiving and the buyer in receiving and making payments.

(b) Transportation

The goods which are manufactured in mills and factories, reach the consumers by different means of transportation like air, roads, rails, seas etc.

(c) Insurance

The transfer of goods from one place to another is not free from risk of loss. There is a risk of loss due to accident, fire, theft etc. The insurance companies help out the traders with this problem through insurance policy.

(d) Warehousing

The manufacturers today, produce goods in large quantity. Therefore, a need for warehouses arises in order to store the manufactured goods.

(e) Agents

They are the persons who act as the agents of either buyer or seller. They perform these activities for commission.

(f) Finance

A large amount is needed to set up an industry. Financial institutions provide long-term finance to the producers. The producers alone are unable to manufacture goods without financial help.

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(g) Advertising

The consumer may sometimes, not know about the availability of goods in the market. The producer must sell his goods in order to remain in business. Advertisement is an easy way to inform the large number of customers about the goods. This can be done through TV, newspapers, radio etc.

(h) Communication

The producers, wholesalers, retailers, transporters, banks, warehouse-keepers, advertisers and consumers live at different place. This post office, telephone and other similar media is very useful for promotion of trade and industry.

FACTORS OF PRODUCTION:

Factors of production are the resources or inputs that are required for the production of goods or services. The components of factors of production are:

i. Labor
ii. Capital
iii. Entrepreneurship
iv. Physical resources

i. Labor

Labor is the most important factor of production. Labor are the people who work in an organization and provide physical and mental efforts in production process.

ii. Capital

Capital is the amount or property which is invested by investor(s) in the business to produce goods and services.

iii. Entrepreneurship

Entrepreneurship is the management ability of the people to run the business.
It involves:-
(a) Identification of opportunity
(b) Allocation of resources
(c) Creation of wealth by assuming the necessary risk

iv. Physical resources

Physical resources include land, natural resources, building, vehicles and machinery that are used in the production process.

ECONOMIC SYSTEM

Economic system is defined a system for allocation of resources. Commonly, it has following two types as below:

a) Planned economy
b) Free market economy

a) Planned economy

In planned economy the government decides that how many resources are to be generated and how these resources will be allocated. In this system government determines the key economic functions. How the factor of production will be utilized and how much will be the economy's output is decided by the government.

b) Free market economy

In free market economy demand and supply in the market determines the allocation for resources with little or no government intervention. In this economy market mechanism decides the key economic functions (what, for whom and how to produce). Free market economy increases the efficiency and productivity, firms and organizations with better quality products and low costs (produced efficiently) will survive in the market.

ENVIRONMENTAL FORCES

Forces that influence the performance of organizations can be divided into two categories as under:

1) External Factors (External Environment)
2) Internal Factors (Internal Environment)

External Factors:

External factors are the factors which are found outside the organization. These factors are not controllable by the organization. External factors bring the opportunity or threat for the organization. External factors include technological factors, economy of the country, political and legal factors, socio-cultural factors and demographic factors.

Internal Factors:

Internal factors are the factors within the organization that affect the performance of business. Strengths or weaknesses of the organization are the internal factors. Strengths may include experienced and trained workers, strong financial resources, strong brand name, good reputation and organizational culture and weaknesses of an organization may

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include lack of sufficient capital, weak brand name, poor reputation, inexperienced and untrained workers.

SWOT Analysis:

SWOT analysis is an analysis of an organization's strengths, weaknesses, opportunities, and threats. Strengths and weaknesses are the part of internal environment and opportunities and threats are the part of external environment. SWOT analysis helps an organization to focus on strengths, to reduce weaknesses, to exploit the opportunities and to neutralize threats.

Strengths:

Strengths are the capabilities of an organization that enable it to perform efficiently. Strengths may include skilled manpower, strong financial resources, strong brand name, good reputation and organizational culture, well established distribution network etc.

Weaknesses:

Weaknesses are the internal characteristics of an organization that prohibit it to perform well. Organization's weakness may include lack of sufficient capital, weak brand name, poor reputation, unskilled manpower, inefficient management, poor distribution channels etc.

Opportunities:

Opportunities are the external environmental factors that may bring the prospects for growth and higher performance. For example: technological advancement, market developments, changes in lifestyle, changes in government regulation related to your business.

Threats:

Threats are the external environmental factors that may undermine the organization's performance. For example, new regulation that may affect the business, changes in consumer tastes, if an organization does not adopt new developed and modern technology it will be become a threat for the organization.

QUALITIES OF A GOOD BUSINESSMAN

The modern business is very complex. Due to scientific and technological development, changes are taking place very fast in every business field. Following are the basic personal skills or qualities which a good businessman must possess:

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1. Ability to Plan

A businessman, if he wants to shine in business, must have the ability to plan and organize it.

2. Activator

He had to activate his workers. If he activates his workers then this is good for business.

3. Bold or Courage

Courage is a great asset of a businessman. A good businessman should be a courageous and bold person. May be his some angry decisions gave him loss in future, so he has to be courageous and be bold.

4. Cooperation

A good businessman should have to cooperate with his workers. With the help of cooperation with his workers he can run his business well.

5. Courtesy

Courtesy is to business what oil is to machinery. It costs nothing but wins a reputation. So businessman has to win the heart of everyone with his polite manners.

6. Decision Making

A good businessman should be a good and quick decision maker. Quick decision of a businessman is an important asset of businessman. And businessman has to know that his quick decision will give him benefit or not.

7. Discipline

A good businessman should have to care about the discipline of the business. If he doesn't care about the discipline then nobody (who concern to his business) obeys the discipline and business can't go well.

8. Evaluator

A businessman has to check himself that how he is working. This thing can make the business good in progress.

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9. Foresight

A good businessman must have the quality of foresight. He must keep in touch with the business world. He should move about and see what is going on for he has to estimate new wants and new inventions for creating fresh demands.

10. Honesty

A businessman should be honest in dealing with others. Honesty of a businessman helps him in his business.

11. Hardworking

A businessman must be hard working. Without have working no business can be successful. If the owner is not hard working then other workers of the business can't be hardworking.

12. Initiation

The business world is moving at a very fast speed. A businessman should have the ability to take initiative by producing new things and new methods of marketing the products and services.

13. Knowledge

A good businessman should have knowledge of his business. It should be supplemented by the knowledge of trade, finance, marketing, income tax, etc.

14. Leadership

Leaders are not made, they are born; but the businessman has to get some qualities of a leader. With the help of leadership a businessman can control his business and workers.

15. Negotiator

If a businessman is a good negotiator, then he can run his business well, because without good communication he can't impress his consumer.

16. Personality

A businessman should have a graceful personality because it can impress his customers. If his personality is not good or not graceful then his business can't go well.

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17. Quick Decisions

A businessman has decision-making power. He decides on all matters in the best interest of the business. A businessman must have technical knowledge, judgment power and intelligence to take sound and quick decisions.

18. Responsibility

A successful businessman should have to realize his responsibilities. If he doesn't do his duty then his business can't go well.

19. Reviewer

A good businessman has to review his mistakes, which he committed in the past, and try his best never to do it again in his life.

20. Sound Financial Management

Sound financial management is an important factor for successful business. Without it no business can go well. So a business must possess good financial position.

21. Self-Confidence

A good businessman should have self-confidence. Without self-confidence he can't make quick decisions and business suffers a lot.

22. Tact

A good businessman should be a tactful person. He has to handle persons or his customers very tactfully. It helps to earn profit in future.

23. Technical Skills

A good businessman must have the knowledge about technical skills. He should have complete command of specialized knowledge in his field, which he has to perform.

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Lecture 2

ORGANIZATIONAL BOUNDARIES AND ENVIRONMENTS

All businesses, regardless of their size, location, or mission, operate within a larger external environment.

External environment:

Everything outside an organization's boundaries that might affect it.

a. **Organizational Boundaries**: that which separates the organization from its environment. Today boundaries are becoming increasingly complicated and hard to pin down.

b. **Multiple Environments**: include economic conditions, technology, political-legal considerations, social issues, the global environment, issues of ethical and social responsibility, the business environment itself, and numerous other emerging challenges and opportunities.

THE ECONOMIC ENVIRONMENT

Economic environment—Conditions of the economic system in which an organization operates.

c. Economic Growth

i. Aggregate Output and Standard of Living

1. **Business cycle**—Pattern of short-term ups and downs (expansions and contractions) in an economy

2. **Aggregate output**—Total quantity of goods and services produced by an economic system during a given period

3. **Standard of living**—Total quantity and quality of goods and services that a country's citizens can purchase with the currency used in their economic system

ii. **Gross Domestic Product**—Total value of all goods and services produced within a given period by a national economy through domestic factors of production

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Gross national product (GNP)—Total value of all goods and services produced by a national economy within a given period regardless of where the factors of production are located

1. **Real Growth Rate**—the growth rate of GDP adjusted for inflation and changes in the value of the country's currency.

2. **GDP per Capita**—GDP per person and reflects the standard of living.

3. **Real GDP**—GDP calculated to account for changes in currency values and price changes **versus Nominal GDP**, GDP measured in current dollars or with all components valued at current prices.

4. **Purchasing Power Parity**—Principle that exchange rates are set so that the prices of similar products in different countries are about the same.

iii. **Productivity**—Measure of economic growth that compares how much a system produces with the resources needed to produce it.

There are a number of factors which can inhibit the growth of an economic system including:

1. **Balance of Trade**—the economic value of all the products that a country exports minus the economic value of imported products.

   a. **Trade Surplus** —A positive balance of trade results when a country exports (sells to other countries) more than it imports (buys from other countries).

   b. **Trade Deficit**—A negative balance of trade results when a country imports more than it exports.

   c. **National Debt**—Amount of money that a government owes its creditors.

d. **Economic Stability**

Condition in an economic system in which the amount of money available and the quantity of goods and services produced are growing at about the same rate.

Factors which threaten stability include:

i. **Inflation**—Occurrence of widespread price increases throughout an economic system

Measuring Inflation: **The CPI**—Measure of the prices of typical products purchased by consumers living in urban areas

ii. **Unemployment**—Level of joblessness among people actively seeking work in an economic system. Unemployment may be a symptom of economic downturns.

1. Recessions and Depressions
   Recession—Period during which aggregate output, as measured by real GDP, declines

2. **Depression**—Particularly severe and long-lasting recession

e. Managing the Economy

i. **Fiscal policies**—Government economic policies that determine how the government collects and spends its revenues

ii. **Monetary policies**—Government economic policies that determine the size of a nation's monetary supply

iii. **Stabilization policy**—Government policy, embracing both fiscal and monetary policies, whose goal is to smooth out fluctuations in output and unemployment and to stabilize prices

iv. Three Major Forces

1. The information revolution will continue to enhance productivity across all sectors of the economy, most notably in such information-dependent industries as finance, media, and wholesale and retail trade.

2. New technological breakthroughs in areas such as biotechnology will create entirely new industries.

3. Increasing globalization will create much larger markets while also fostering tougher competition among global businesses; as a result, companies will need to focus even more on innovation and cost cutting.

v. **Projected Trends and Patterns**—there are a number of projections for the near future. Sudden changes in environmental factors, such as war, can alter these projections.

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DEMOGRAPHIC ENVIRONMENT

Demographic environment is the study of characteristics of population such as size of population, population growth rate and population distribution on the basis of gender, age, income level, level of education, geographic location, family structure, etc. these factors influence the size of demand, buying pattern, liking and attitude of customers. Demographic factors are important to managers as the changes in these demographic factors affect the businessmen' planning.

Total population determines the size of market, huge population size and growth rate brings a large number of customers, more consumption and more opportunities for business, cheap and abundant labor supply will also be available. It affects the business positively. Another demographic factor that affects the business is education level. If education level of public is high then the supply of skilled labor will increase and supply of unskilled labor will decrease. In case of low education level supply of skilled labor will decrease. Education level also affects the buying pattern of customers; if they are highly educated then the business enterprise must be careful about the quality of its products and services. In the same way, gender and age composition, income level, geographical location etc are also important demographic factors.

POLITICAL AND LEGAL ENVIRONMENT

Legal and political factors include legal and governmental system organizations operate.
Political and legal environment strongly affect the business decisions. Aspects which are considered in political and legal environment are the preferences and priorities of the government, political stability in the country, laws/rules and regulations, taxation policy and attitude of the government towards business.
Government decides that what sort of economic activities the country should have, in which areas the private sector should be encouraged, also defines the areas where foreign companies may enter. Laws and regulations influence the decision making and limit the businesses for the country's wellbeing.

THE TECHNOLOGICAL ENVIRONMENT

Technology has a variety of meanings, but as applied to the environment of business, it generally includes all the ways by which firms create value for their constituents.

f. **Product and Service Technologies**—the technologies employed for creating products (both physical goods and services) for customers. Although many people associate technology with manufacturing, it is also a significant force in the service sector.

g. **Business Process Technologies**—are used not so much to create products as to improve a firm's performance of internal operations (such as accounting, managing information flows, creating activity reports, and so forth). They

also help create better relationships with external constituents, such as suppliers and customers.

i. **Enterprise Resource Planning**—Large-scale information system for organizing and managing a firm's processes across product lines, departments, and geographic locations

SOCIO-CULTURAL ENVIRONMENT

Social and cultural factors affect the working of business enterprises significantly. Socio-cultural factors include the societal values, attitude, customs, religion; beliefs, habits and preferences etc. socio-cultural trends have considerable effect on the demand for products e.g., dominant religion of any society has influence over the buying behavior of that society.

NATURAL ENVIRONMENT

Geographical and ecological factors such as changes in weather and climate, earthquake, floods, storms and natural resources are considered in natural environment. Natural factors are not in control of any business unit however while considering natural factors managers will develop their product, production planning, marketing planning etc. For example, weather conditions influence the buying pattern, demand for heaters; sweater and woolen cloths will be more in winter while in summer there will be more demand for air conditioners, fans and cold drinks etc.

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Lecture 3

BUSINESS ORGANIZATION & SOLE PROPRIETORSHIP

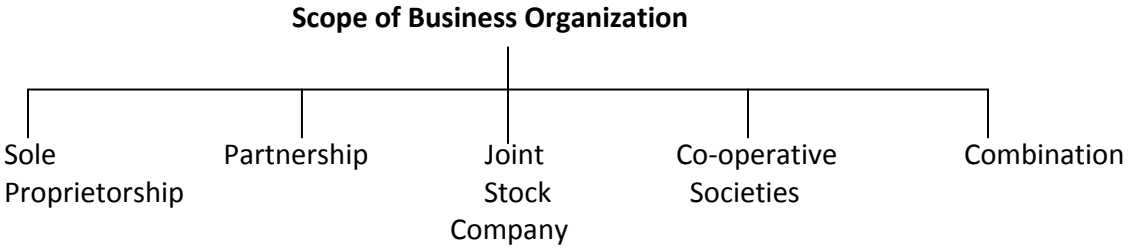
Business organization is an act of grouping activities into effective cooperation to obtain the objective of the business.

In the words of L. H. Haney

> *"It is more or less independent complex of land, labour and capital, organized and directed for productive purposes but entrepreneurial ability."*

SCOPE OF BUSINESS ORGANIZATION

The scope of business organization can be defined as under:



1. SOLE PROPRIETORSHIP

According to D.W.T. Stafford

> *"It is the simplest form of business organization, which is owned and controlled by one man"*

Sole proprietorship is the oldest form of business organization which is owned and controlled by one person. In this business, one man invests his capital himself. He is all in all in doing his business. He enjoys the whole of the profit. The features of sole proprietorship are:

- Easy Formation
- Unlimited Liability
- Ownership
- Profit
- Management
- Easy Dissolution

2. PARTNERSHIP

According to Partnership Act, 1932

> *"Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."*

Partnership means a lawful business owned by two or more persons. The profit of the business shared by the partners in agreed ratio. The liability of each partner is unlimited. Small and medium size business activities are performed under this organization. It has the following features:

- Legal Entity
- Profit and Loss Distribution
- Unlimited Liability
- Transfer of Rights
- Management
- Number of Partners

3. JOINT STOCK COMPANY

According to S. E. Thomas

> *"A company is an incorporated association of persons formed usually for the pursuit of some commercial purposes"*

A joint stock company is a voluntary association of persons created by law. It has a separate legal entity apart from its members. It can sue and be sued in its name. In the joint stock company, the work of organization begins before its incorporation by promoters and it continues after incorporation. The joint stock company has the following feature:

- Creation of Law
- Separate Legal Entity
- Limited Liability
- Transferability of shares
- Number of Members
- Common Seal

4. COOPERATIVE SOCIETIES

According to Herrik

> *"Cooperation is an action of persons voluntarily united for utilizing reciprocally their own forces, resources or both under mutual management for their common profit or loss."*

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Cooperative Societies are formed for the help of poor people. It is formed by economically weak persons of the society. In this form of organization, all members enjoy equal rights of ownership. The features of cooperative society are as under:-

- Easy Formation
- Protection of Mutual Interest
- Limited Liability
- Equal Distribution of Wealth
- Equal Rights

5. COMBINATION

According to J. L. Hanson

"Combination is the association, temporary or permanent, of two or more firms."

Business combinations are formed when several business concern undertaking units are combined to carry on business together for achieving the economic benefits. The combination among the firms may be temporary or permanent. The salient features of business combination are:

- Economy in Production
- Effective Management
- Division of Labour
- Destructive Competition

IMPORTANCE OF BUSINESS ORGANIZATION

The following points elaborate the role of business organizations:

1. Distribution

Another benefit of business organization is that it solves the problems of marketing and distribution like buying, selling, transporting, storage and grading, etc.

2. Feedback

An organization makes possible to take decisions about production after getting the feedback from markets.

3. Finance Management

It also guides the businessman that how he should meet his financial needs which is very beneficial for making progress in business.

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4. Fixing of Responsibilities

It also fixes the responsibilities of each individual. It introduces the scheme of internal check. In this way chances of errors and frauds are reduced.

5. Minimum Cost

It helps in attaining the goals and objectives of minimum cost in the business.

6. Minimum Wastage

It reduces the wastage of raw material and other expenditures. In this way the rate of profit is increased.

7. Product Growth

Business organization is very useful for the product growth. It increases the efficiency of labor.

8. Quick Decision

Business organization makes it easy to take quick decisions.

9. Recognition Problems

Business organization makes it easy to recognize the problems in business and their solutions.

10. Reduces the Cost

Business organization is useful in reducing the cost of production as it helps in the efficient use of factors of production.

11. Secretariat Functions

It also guides the businessman about the best way of performing the secretarial functions.

12. Skilled Salesmen

It is also a benefit of the business organization that it provides the skilled salesmen for satisfying various needs of the customers.

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13. Transportation

It is another benefit is that it guides the businessman that what type of transport he should utilize to increase the sales volume of the product.

PRE-REQUISITES OF BUSINESS

Following are the main pre-requisites of a successful business:

1. Selection

The first and most important decision before starting a new business is its selection. If once a business is established, it becomes difficult to change it. One should make a detailed investigation in the selection of business.

2. Feasibility Report

A person should prepare the feasibility report about the business to be started. This report will provide the facts and figures whether business is profitable or not.

3. Nature of Business

There are various types of business like manufacturing, trading and services. The businessman should decide that what type of business he would like to start.

4. Demand of Product

The businessman also keeps in view the demand of the product which he wants to sell. If the demand is inelastic, the chances of success are bright. If the demand of a product is irregular, seasonal and uncertain, such business should not be started.

5. Size of Business

The Size of business means the scale of business. The size of business depends upon the demand of commodity in the market and organizational ability of entrepreneur. The determination of size of business is an important decision of a person.

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6. Availability of Capital

Availability of capital is an important factor in the business. Capital is required for the purchase of land, machines, wages and raw materials. A businessman must decide that how much capital he can arrange.

7. Business Location

A businessman has to select the place where he wants to start his business. He should select that place where raw material, cheap labour and transportation facilities are available. He should also check the location of business competitors.

8. Government Policy

The businessman should also carefully consider the policies of government before starting a new business. Some areas are declared as 'tax free zones' and for some particular businesses the loan is provided without any interest.

9. Availability of Raw Material

Availability of Raw material is essential to produce the goods at low cost. Sometimes the raw material is to be imported which may create problem for him. So a businessman must keep this factor in mind.

10. Availability of Machines

Availability of new machines is also an important factor for a business. A businessman must see whether these machines are easily available inside the country or not. If these are to be imported then it may create the problems for him.

11. Availability of Labor

Skilled and efficient labor is essential to run the business in profit. But if efficient and skilled labor is not available where business is going to be started then it will not be profitable.

12. Means of Transportation

Quick and cheap means of transportation are essential for low cost of production and high profit rate. A businessman must keep in view this factor.

13. Power Resources

There must be availability of power resources like water, oil, coal and electricity. So businessman must keep in view this factor.

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14. Hiring Employees

A businessman must hire the efficient and competent employees in the business. The proper training must be given to employees.

15. Product Pricing

A businessman must decide the price of his product. In the beginning the price must be low. He must keep in view that whether he will cover cost of his product and other expenses with such price.

FUNCTIONS OF BUSINESS

Following are the main functions of a business:

1. Production

Production of goods and services is the first main function of the business. The production must be regular. The goods and services must be produced in such a way which can satisfy human needs.

2. Sales

The sale is another important function of the business. Sales are of two types:

- Cash sales
- Credit sales

The sale must be regular and at reasonable price. It is very difficult job because there is hard

competition in each market.

3. Finance

It is also an important function of the business to secure finance. Finance is required for establishment and expansion of business. There are two sources of raising funds:

(a) Owner's Capital
(b) Borrowed Funds

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4. Management Function

"To do things efficiently and effectively" is known as management. The functions of management are:

- Planning
- Organizing
- Leading
- Controlling
- Staffing

The management also provides direction for all subordinates.

5. Innovation

In this era of competition, for the survival of business, innovation is essential. The businessman must try to find new techniques of production because the business may not sell present output in future.

6. Accounting

Another function of the business is to maintain its records properly. To record the business activities is called accounting. With proper accounts, the owner can know the actual performance of business and chances of fraud are reduced.

7. Marketing

According to Harry Henser

> *"Marketing involves the design of the products acceptable by the consumers and the conduct of those activities which facilitate the transfer of ownership between seller and buyer."*

Through marketing, goods are moved from producers to consumers. It is an important function of the business. This function includes buying, selling, transportation, product designing and storage, etc. The concept of marketing mix is very important in marketing. It includes four Ps:

- Product
- Price
- Place
- Promotion

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8. Quality Improvement

Quality of product must be improved to increase the sale. If quality of product is poor then business may suffer a loss.

9. Motivation

Motivation is very essential for increasing the efficiency of employees. Motivation encourages the employees to give their best performance.

10. Research

Research is also an important function of any business. Research is a search for new knowledge. By research, business becomes able to produce improved and new goods. The research is of two types:

- Basic Research
- Applied Research

11. Public Relation

It is very important function to make friendly relations with public, in this way sales volume is increased.

SOLE PROPRIETORSHIP

Sole Proprietorship and its Characteristics

Sole proprietorship is a simple and oldest form of business organization. Its formation does not require any complicated legal provision like registration etc. It is a small-scale work, as it is owned and controlled by one person, and operated for his profit. It is also known as "sole ownership", "individual partnership" and "single proprietorship".

DEFINITION

Following are some important definition of sole proprietorship:

1. According to D.W.T. Staffod

"It is the simplest form of business organization, which is owned and controlled by one man."

2. According to G. Baker

"Sole proprietorship is a business operated by one person to earn profit."

CHARACTERISTICS

Following are the main characteristics of sole proprietorship:

1. Capital

In sole proprietorship, the capital is normally provided by the owner himself. However, if additional capital is required, such capital can be increased by borrowing.

2. Easy Dissolution

The sole proprietorship can be easily dissolved, as there are no legal formalities involved in it.

3. Easily Transferable

Such type of business can easily be transferred to another person without any restriction.

4. Freedom of Action

In sole proprietorship, single owner is the sole master of the business; therefore, he has full freedom to take action or decision.

5. Formation

Formation of sole proprietorship business is easy as compared to other business, because it dos not require any kind of legal formality like registration etc.

6. Legal Entity

In sole proprietorship, the business has no separate legal entity apart from the sole traders.

7. Legal Restriction

There are no legal restrictions for sole traders to set up the business. But there may be legal restrictions for setting up a particular type of business.

8. Limited Life

The continuity of sole proprietorship is based on good health, or life or death of the sole owner.

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9. Management

In sole proprietorship, the control of management of the business lies with the sole owner.

10. Ownership

The ownership of business in sole proprietorship is owned by one person.

11. Profit

The single owner bears full risk of business, therefore, he gets total benefit of the business as well as total loss.

12. Size

The size of business is usually small. The limited ability and capital do not allow the expansion of business.

13. Success of Business

The success and goodwill of the sole proprietorship is totally dependent upon the ability of the sole owner.

14. Secrecy

A sole proprietorship can easily maintain the secrecy of his business.

15. Unlimited Liability

A sole proprietor has unlimited liability. In case of insolvency of business, even the personal assets are used by the owner to pay off the debts and other liabilities.

ADVANTAGES OF SOLE PROPRIETORSHIP

Following are the advantages of sole proprietorship:

1. Contacted with the Customers

In sole proprietorship a businessman has direct contact with the customer and keeps in mind the like and dislikes of the public while producing his products.

2. Direct Relationship with Workers

In sole proprietorship a businessman has direct relationship with workers. He can better understand their problems and then tries to solve them.

3. Easy Formation

Its formation is very easy because there are not legal restrictions required like registration etc.

4. Easy Dissolution

Its dissolution is very simple because there are no legal restrictions required for its dissolution and it can be dissolved at any time.

5. Easy Transfer of Ownership

A sole proprietorship can easily be transferred to other persons because of no legal restriction involved.

6. Entire Profit

Sole proprietorship is the only form of business organization where the owner enjoys 100% profit.

7. Entire Control

In sole proprietorship the entire control of the business is in the hands of one person. He can do whatever he likes.

8. Flexibility

There is great flexibility in sole proprietorship. Business policies can easily be changed according to the market conditions and demand of people.

9. Honesty

The sole master of the business performs his functions honesty and effitively to make the business successful.

10. Independence

It is an independent form of business organization and there is no interference of any other person.

11. Personal Satisfaction

As all the Business activities are accomplished under the supervision of sole owner, so he feels personal satisfaction that the business is running smoothly.

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12. Prime Credit Standing

A sole proprietor can borrow money more easily because of unlimited liability.

13. Quick Decisions

Sole proprietor can make quick decisions for the development and welfare of his business and in this way can save his time.

14. Personal Interest

A sole proprietor takes keen intere4st in the affairs of business because he alone is responsible for profit and loss.

15. Saving in Interest on Borrowed Capital

Sometimes, a sole proprietor borrows money to increase his capital, from his relatives, without interest.

16. Saving in Legal Expenses

As there are no legal restrictions for the formation of sole proprietorship so it helps in increasing savings as legal expenses are reduced.

17. Saving in Management Expenses

The owner of the business himself performs most of the functions so it r educes the management expenses.

18. Saving in Taxes

The tax rates are very low on sole proprietorship because it is imposed on the income of single person.

19. Secrecy

It is an important factor for the development of business. A sole trader can easily maintain the secrecy about the techniques of production and profit.

20. Social Benefits

It is helpful in solving many social problems like unemployment etc.

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DISADVANTAGES OF SOLE PROPRIETORSHIP

The disadvantages of sole proprietorship can be narrated as under:

1. Continuity

The continuity of sole proprietorship depends upon the health and life of the owner. In case of death of the owner the business no longer continues.

2. Chances of Fraud

In sole proprietorship, proper records are not maintained. This increases the chances of errors and frauds for dishonest workers.

3. Expansion Difficulty

In sole proprietorship, it is very difficult to expand the business because of the limited life of proprietor and limited capital.

4. Lack of Advertisement

As the sources of single person are limited so he cannot bear the expense of advertisement, which is also a major disadvantage.

5. Lack of Capital

Generally, one-man resources are limited, so due to financial problems he cannot expand his business.

6. Lack of Inspection and Audit

In sole proprietorship there is lack of inspection and audit, which increases the chances of fraud and illegal operations.

7. Lack of Innovation

Due to fear of suffering from loss, a sole proprietor does not use new methods of production. So, there is no invention or innovation.

8. Lack of Public Confidence

The public shows less confidence in this type of business organization because there is no legal registration to control and wind up the business.

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9. Lack of Skilled Persons

One person cannot hire the services of qualified and skilled persons because he has limited resources. It is also a great disadvantage.

10. Management Difficulty

One person cannot perform all types of duties effectively. If he is a good accountant, he may not be a good administrator. Due to this, business suffers a loss.

11. Much Strain on Health

In this type of business organization there is much strain on the health of the businessman because he alone handles all sorts of activities.

12. Not Durable

This type of business organization is not durable because its existence depends upon the life of sole proprietor.

13. Permanent Existence

In this type of business there is a need of permanent existence of a businessman. In case of absence from business for few days may become the cause of loss.

14. Risk of Careless Drawings

In sole proprietorship, owner himself is a boss. There is no question to his decisions or actions. So, there is a risk of careless drawings by him.

15. Risk of Loss

In case of sole proprietorship a single person bears all the losses, whereas in the case of partnership or Joint Stock Company all the partners or members bear the loss.

16. Unlimited Liability

In sole proprietorship there is unlimited liability. It means, in case of loss personal property of the owner can be sold to satisfy the claimants. It is a great disadvantage.

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CONCLUSION

From the above-mentioned detail, we come to the point that despite the above disadvantages, sole proprietorship is an important form of business organization. This is due to the fact that its formation is very easy and due to unlimited liability the owner takes great care and interest in the business, because in case of loss, he is personally responsible. As he enjoys entire profit, this factor also encourages him to work with great efficiency which promotes his business.

PARTNERSHIP

Partnership and its Characteristics

Partnership is the second stage in the evolution of forms of business organization. It means the association of two or more persons to carry on as co-owners, i.e. a business for profit. The persons who constitute this organization are individually termed as partners and collectively known as firm; and the name under which their business is conducted is called "The Firm Name".

In ordinary business the number of partners should not exceed 20, but in case of banking business it must nor exceed 10. This type of business organization is very popular in Pakistan.

DEFINITION

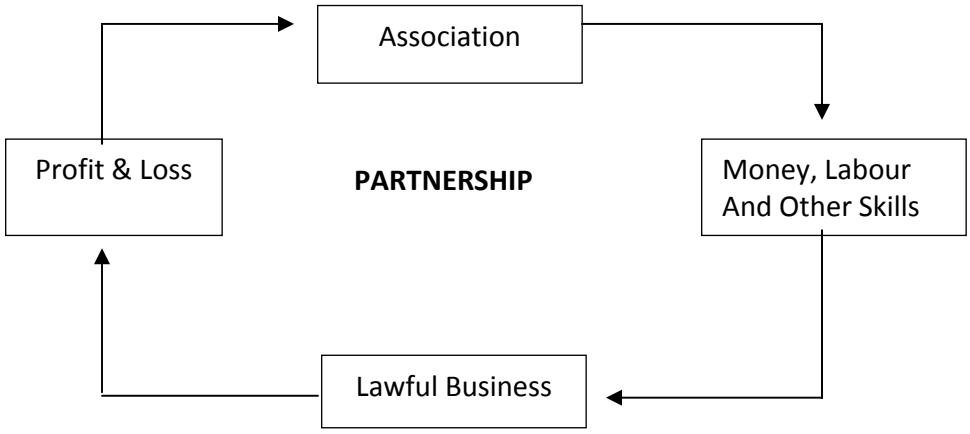
1. According to Section 4 of Partnership Act, 1932

"Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all."

2. According to Mr. Kent

"A contract of two or more competent persons to place their money, efforts, labour and skills, some or all of them, in a lawful commerce or business and to divide the profits and bear the losses in certain proportion."

Structural Diagram:



CHARACTERISTICS

The main characteristics of partnership may be narrated as under:

1. Agreement

Agreement is necessary for partnership. Partnership agreement may be written or oral. It is better that the agreement is in written form to settle the disputes.

2. Audit

If partnership is not registered, it has no legal entity. So there is no restriction for the audit of accounts.

3. Agent

In partnership every partner acts as an agent of another partner.

4. Business

Partnership is a business unit and a business is always for profit. It must not include club or charitable trusts, set up for welfare.

5. Cooperation

In partnership mutual cooperation and mutual confidence is an important factor. Partnership cannot take place with cooperation.

6. Dissolution

Partnership is a temporary form of business. It is dissolved if a partner leaves, dies or declared bankrupt.

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7. Legal Entity

If partnership is not registered, it has no legal entity. Moreover, partnership has no separate legal entity from its members and vice versa.

8. Management

In partnership all the partners can take part or participate in the activities of business management. Sometimes, only a few persons are allowed to manage the business affairs.

9. Number of Partners

In partnership there should be at least two partners. But in ordinary business the partners must not exceed 20 and in case of banking business it should not exceed 10.

10. Object

Only that business is considered as partnership, which is established to earn profit.

11. Partnership Act

In Pakistan, all partnership businesses are running under Partnership Act, 1932.

12. Payment of Tax

In partnership, every partner pays the tax on his share of profit, personally or individually.

13. Profit and Loss Distribution

The distribution of profit and loss among the partners is done according to their agreement.

14. Registration

Many problems are created in case of unregistered firm. So, to avoid these problems partnership firm must be registered.

15. Relationship

Partnership business can be carried on by all partners or any of them can do the business for all.

16. Share in Capital

According to the agreement, every partner contributes his share of capital. Some partners provide only skills and ability to become a partner of business and earn profit.

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17. Transfer of Rights

In partnership no partner can transfer his shares or rights to another person, without the consent of all partners.

18. Unlimited Liability

In partnership the liability of each partner is unlimited. In case of loss, the private property of the partners is also used up to pay the business debts.

ADVANTAGES OF PARTNERSHIP

Following are the advantages of partnership:

1. Simplicity in Formation

This type of business of organization can be formed easily without any complex legal formalities. Two or more persons can start the business at any time. Its registration is also very easy.

2. Simplicity in Dissolution

Partnership Business can be dissolved at any time because of no legal restrictions. Its dissolution is easy as compared to Joint Stock Company.

3. Sufficient Capital

Partnership can collect more capital in the business by the joint efforts of the partners as compared to sole proprietorship.

4. Skilled Workers

As there is sufficient capital so a firm is in a better position to hire the services of qualified and skilled workers.

5. Sense of Responsibility

As there is unlimited liability in case of partnership, so every partner performs his duty honestly.

6. Satisfaction of Partners

In this type of business organization each partner is satisfied with the business because he can take part in the management of the business.

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7. Secrecy

In partnership it is not compulsory to publish the accounts. So, the business secrecy remains within partners. This factor is very helpful for successful operation of the business.

8. Social Benefit

Two or more partners with their resources can build a strong business. This factor is very helpful in solving social problems like unemployment.

9. Expansion of Business

In this type of business organization, it is very easy to expand business volume by admitting new partners and can borrow money easily.

10. Flexibility

It is flexible business and partners can change their business policies with the mutual consultation at any time.

11. Tax Facility

Every partner pays tax individually. So, a firm is in a better position as compared to Joint Stock Company.

12. Public Factor

Public shows more confidence in partnership as compared to sole proprietorship. If a firm is registered, people feel no risk in creating relations with such business.

13. Prime Credit Standing

The liabilities of partners are unlimited, so the banks and other financial institutions provide them credit easily.

14. Minority Protection

In partnership all policy matters are decided with consent of each partner. This gives protection to minority partners.

15. Moral Promotion

Partnership is the best business for small investors. It promotes moral courage of partners.

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16. Distribution of Work

There is distribution of work among the partners according to their ability and experience. This increases the efficiency of a firm.

17. Combined Abilities

Every partner possesses different ability, which helps in running the business effectively, when combined together.

18. Absence of Fraud

In partnership each partner can look after the business activities. He can check the accounts. So, there is no risk of fraud.

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Lecture 4

PARTNERSHIP

DISADVANTAGES OF PARTNERSHIP

The disadvantages of partnership are enumerated one by one as under:

1. Unlimited Liability

It is the main disadvantage of partnership. It means in case of loss, personal property of the partners can be sold to pay off the firm's debts.

2. Limited Life of Firm

The life of this type of business organization is very limited. It may come to an end if any partner dies or new partner enters into business.

3. Limited Capital

No doubt, in partnership, capital, is greater as compared to sole proprietorship, but it is small as compared to Joint Stock Company. So, a business cannot be expanded on a large scale.

4. Limited Abilities

As financial resources of partnership are limited as compared to Joint Stock Company, so it is not possible to engage the services of higher technical and qualified persons. This causes the failure of business, sooner or later.

5. Limited number of Partners

In partnership, the number of partners is limited, so the resources are also limited. That's why business can not expand on large scale.

6. Legal Defects

There are no effective rules and regulations to control the partnership activities. So, it cannot handle large-scale production.

7. Lack of Interest

Partners do not take interest in the business activities due to limited share in profit and limited chances of growth of business.

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8. Lack of Public Confidence

As there is no need by law to publish accounts in partnership, so people lose confidence and avoid dealing and entering into contract with such firm.

9. Lack of Prompt Decision

In partnership all decisions are made by mutual consultation. Sometimes, delay in decisions becomes the cause of loss.

10. Lack of Secrecy

In case of misunderstandings and disputes among the partners, business secrets can be revealed.

11. Chances of Dispute among Partners

In partnership there are much chances of dispute among the partners because all the partners are not of equal mind.

12. Expansion Problem

Partnership business may not be expanded due to limited number of partners, limited capital and unlimited liability.

13. Frozen Investment

It is easy to invest money in partnership but very difficult to withdraw it.

14. Risk of Loss

There is a risk of loss due to less qualified and less experienced people.

15. Transfer of Rights

In partnership no partner can transfer his share without the consent of all other partners.

CONCLUSION

From the above-mentioned findings, we come to this point that despite the above disadvantages, partnership is an important from of business organization. This is because its formation is very easy and due to unlimited liabilities, partners take great interest in business, because in case of loss they are personally responsible.

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PARTNERS

"The individuals who comprise a partnership are known as partners."

KINDS OF PARTNERS

Partners can be classified into different kinds, depending upon their extent of liability, participation in management, share of profits and other facts.

1. Active Partner

A partner who takes active part in the affairs of business and its management is called active partner. He contributes his share in the capital and is liable to pay the obligations of the firm.

2. Secret Partner

A partner who takes active part in the affairs of the business but is unknown to the public as a partner is called secret partner. He is liable to the creditors of the firm.

3. Sleeping Partner

A partner who only contributes is the capital but does not take part in the management of the business is known as sleeping partner. He is liable to pay the obligations of the firm.

4. Silent Partner

A partner who does not take part in the management of business but is known to the public as partner is called silent partner. He is liable to the creditors of the firm.

5. Senior Partner

A partner who invests a large portion of capital in the business is called senior partner. He has a prominent position in the firm due to his experience, skill, energy, age and other facts.

6. Sub-Partner

A partner in a firm can make an agreement with a stranger to share the profits earned by him from the partnership business. A sub-partner is not liable for any debt and can not interfere in the business matters.

7. Junior Partner

A person who has a small investment in the firm and has a limited experience of business is called junior partner.

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8. Major Partner

A major partner is a person who is over 18 years of age. A person is allowed to make contract when he has attained the age of majority.

9. Minor Partner

A person who is minor cannot enter into a valid contract. However, he can become a partner with the consent of all other partners. A minor can share profits of a business but not the losses.

10. Nominal Partner

A partner who neither contributes in capital nor does he take part in the management of the business but allows his name to be used in the business is known as nominal partner. He is individually and jointly liable for the debts of the firm along with other partners.

11. Deceased Partner

A partner whose life has expired is known as deceased partner. The share of capital and profit of such partner is paid to his legal heirs in lump sum or in installment.

12. Limited Partner

A partner whose liabilities are limited to his share in business is called limited partner. He cannot take active part in the management of the firm.

13. Unlimited Partner

A partner whose liabilities are unlimited is known as unlimited partner. He and his personal property both are liable to clear the debts of the firm.

14. Incoming Partner

A person who is newly admitted in the firm with the consent of all the partners is called incoming partner. He is not liable for any act of the firm performed before he became the partner unless he agrees.

15. Retired Partner

A partner who leaves the firm due to certain reasons is known as retired partner or outgoing partner. He is liable to pay all the obligations and debts of the firm incurred before his retirement.

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16. Partner in Profits only

If a partner is entitled to receive certain share of profits and is not held liable for losses is known as partner in profits only. He is not allowed to take part in the management of the business.

17. Quasi Partner

A person, who was the partner of a firm but has now retired from active participation in business and has left his capital in the business as a loan, receiving interest on it, is known as quasi partner.

18. Partner by Estoppel

A person who holds himself out as a partner of a firm, before a third party or allows other to do so, though he is not a partner of that firm, is called partner by estoppel or holding out partner. He is not entitled to any right like other partners of the firm. He is not entitled to any right like other partners of the firm. He is personally liable to the third party for the credit given to the firm, on the faith of his representation.

KINDS OF PARTNERSHIP

There are three kinds of partnership which are described as under:

1. Partnership at will
2. Particular partnership
3. Limited partnership

PARTNERSHIP AT WILL

If the partnership is formed for an undefined time, it is called partnership at will. Any partner can dissolve it at any time by giving the notice.

According to Partnership Act, 1932:

"If no provision is made in the agreement regarding the partnership, it is called partnership at will."

Partnership at will may be created under the following circumstances:

1. Indefinite Period

If partnership has been formed for an indefinite period, it is called partnership at will.

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2. Existence after Completion of Venture

If partnership has been formed for a particular venture and after completion such venture it remains continue, it becomes a partnership at will.

3. Existence after Expiry of Period

If partnership has been formed for a definite time period, so after the expiry of this period, it becomes partnership at will.

PARTICULAR PARTNERSHIP

If the partnership is formed for a particular object of temporary nature, it is called particular partnership. On completion of a particular venture, it comes to an end. Under this no regular business is done. For example: Partnership for the construction of a building and partnership for producing a film.

LIMITED PARTNERSHIP

Limited partnership is that in which liabilities of some partners are limited up to the amount of their capitals. In this partnership, there is at least one partner who has unlimited liability.

In Pakistan, this type of partnership is not formed. There is a separate partnership act for it.

MAIN FEATUTRES

Main features of partnership are:

1. Limited Partner

There is at least one partner who has limited liability.

2. Unlimited Partner

There is at least one partner who has unlimited liability.

3. Number of Partners

There are at least two partners or maximum 20 in an ordinary business and not more than 10 in banking business.

4. Admission of New Partner

New partners may be admitted in this partnership without the consent of limited partners but with the consent of unlimited partners.

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5. Registration

The registration of this partnership is compulsory by law.

6. Transferability of Shares

Limited partner can transfer his shares to any other person with the consent of all other partners.

7. Inspection of Books

Limited partner has a right to inspect the books of accounts.

8. Rights of Suggestions

Limited partner has a right to give suggestions to others who manage the business.

9. Participation in Management

A limited partner cannot take part in the management of the business.

10. Withdrawal of Capital

A limited partner cannot withdraw his capital until he remains in partnership business.

11. Separate Legislation

It is enrolled under the Limited Partnership Act, 1907, instead of Partnership Act, 1932.

TERMINATION OF PARTNERSHIP

All forms of partnership under Islamic law may be terminated as:

1. Notice

In all the above forms of partnership each partner has a right to terminate the partnership by giving notice to other partners.

2. Death

Partnership is also terminated on the death of a partner.

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PARTNERSHIP DEED

Partnership deed is a document that contains the terms and conditions of the business.

CONTENTS OF PARTNERSHIP DEED

- Date on which the agreement was made.
- Name of the business
- Nature of the business
    - This clause will cover the scope of the business.
- Names, addresses, telephone Numbers and emails of the partners.
- Capital of the business
- If duration is attached with any business that should clearly be mentioned in the partnership deed.
- Duties of the partners
- Whether any partner is entitled to salary. If yes, how much amount should be given to him as salary
- Profit distribution ratio
- Whether partners are entitled to withdraw money from the business. If yes, procedure of withdrawals should also be written in the partnership deed.
- Arbitration
    - In case of a conflict, how that conflict would be resolved before going to the court.

The partner should read the partnership deed carefully, add as much clauses as possible and never take anything for granted.

RIGHTS OF THE PARTNERS

- Every partner has the right to:

    - Participate in all the affairs of the business.
    - Get his/her share of profit from the business.
    - Leave the partnership according to the terms and conditions of the partnership deed.
    - Claim the salary against his/her services.
    - Participate in the management of the business.

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Lecture 5

JOINT STOCK COMPANY

DUTIES OF THE PARTNERS

- Partners have to maintain accounts which describe the true picture of the business.
- Partners should use their powers within limits specified in the partnership deed.
- Partners are responsible to provide accurate information to Government bodies.
- Partners are responsible to pay their share in case of loss to the business.
- It is duty of every partner to obey the decision that has been made in the partnership.
- Partners should not disclose any secret information about the business to any other person.
- It is a moral obligation and legal responsibility of the partners not to use firm's forum to take any advantage without intimating to other partners.

JOINT STOCK COMPANY

Joint Stock Company is the third major form of business organization. It has entirely different organizational structure from sole proprietorship and partnership. There are two advantages of Joint Stock Company. First of all, it enjoys the advantage of increased capital. Secondly, the company offers the protection of limited liability to the investors.
The law relating to Joint Stock Company has been laid in Companies Ordinance, 1984, which came into force on January 1, 1985 in Pakistan.

DEFINITIONS

Following are some important definition of Joint Stock Company:
1. Simple Definition
"A company may be defined as an association of persons for the purpose of making profit."
2. According to Kimball,
"A corporation by nature is an artificial person, created or authorized by a legal statue for some specific purpose."
3. According o S.E. Thomas,
"A company is an incorporated association of persons formed usually for the pursuit of some commercial purpose."

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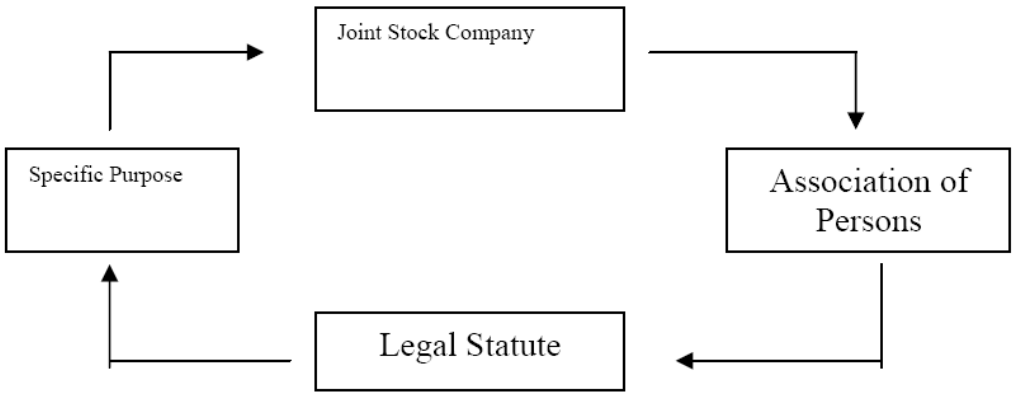
Structural Diagram



FEATURES OF JOINT STOCK COMPANY

Following are the main features of a Joint Stock Company.

1. Creation of Law

A joint stock company is the creation of law or special 'Act' of the state. It is formed and governed by the Companies Ordinance or by a special Act of the legislature. Pakistani companies are incorporated under the Companies Ordinance, 1984.

2. Capital Borrowing

The company can borrow capital in its own name to expand the business.

3. Separate Legal Entity

A Joint Stock Company has separate legal entity, apart from its members. It can sue in a court of law in its own name.

4. Legal Person

A Joint Stock Company, as a legal person, has the usual rights of any person to carry on the business in its own name, to own property, to borrow or lend money and to enter into contract.

5. Long Life

A joint stock company has long life as compared to other forms of business organizations.

6. Limited Liability

The liability of the shareholder is limited to the extent of the face value of the shares they hold.

7. Large Scale Business

Because of more members, a company has larger capital as compared to sole trade ship and partnership, which helps in doing business on large scale.

8. Management of Company
The shareholders elect the Board of Directors in the Annual General Meeting and all the management is selected by the Board of Directors.

9. Number of members
In case of private limited company, minimum number of shareholders is '2' and maximum is '50'; but in case of public limited company, minimum number is '7' and there is no limit for maximum number.

10. Transferability of Shares
A shareholder of a company can easily transfer his shares to other persons. There is no restriction on the purchase and sale of shares.

11. Trade Agreement
A joint stock company enjoys separate existence, so it can join the trade agreements with other firms in its own name.

12. Purchases and Sale of Property
A joint stock company can purchase and sale the property in its own name.

13. Payment of Taxes
A joint stock company pays double taxes to the government.

14. Object
The basic object of a joint stock company is to earn profit. Whole profit is not distributed among the shareholders. Some portion is transferred to General Reserve for emergencies.

15. Government Control
A joint stock company has to comply with the rules of the government. It has to audit its accounts.

16. Easy Mode of Investment
The capital of a joint stock company is divided into the shares of small value. So, every person can purchase these shares according to his income and saving.

17. Common Seal
Since a company is an artificial person created by law, therefore, it cannot sign documents for itself. The common seal, with the name of the company is used as a substitute for its signature.

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ADVANTAGES AND DISADVANTAGES OF JOINT STOCK COMPANY

ADVATNAGES OF JOINT STOCK COMPANY

Following are the advantages of Joint Stock Company:

1. Expansion of Business

A joint stock company sells the shares, debentures and bonds on large scale. So, a joint stock company can collect a large amount of capital and can expand its business.

2. Easy Access to Credit

A joint stock company can get a huge amount of capital from banks and other institutions.

3. Easy to Exit

It is easy to separate oneself from a joint stock company by selling his shares.

4. Experts' Services

Because a joint stock company has a strong financial position, so it may hire the service of qualified and technical experts.

5. Employment

Joint stock companies are also playing very important role to provide employment to unemployed persons of the country.

6. Flexibility

There is flexibility in such business organizations.

7. Limited Liability

The liability of the owner is limited. In case of loss, the shareholders are not required to pay anything more than the face value of the shares.

8. Large Scale Production

Availability of huge amounts of capital makes possible for a joint stock company to produce goods on very large scale, at a lower cost.

9. Larger Capital

There is no problem of capital in a joint stock company because there is not limit for maximum number of members. So, a joint stock company collects capital from many people.

10. Long Life

A joint stock company has a permanent life. If one or more than one shareholder die, or sell their shares, it makes no difference to the company. New shareholders take their place.

11. Long-term Projects

A joint stock company has a permanent and long life and huge capital. Such organizations can undertake the projects, which may give profit after many years.

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12. Spread of Risk
In joint stock company, the risk of business is spread over a large number of people. Such organizations can undertake risky projects, which other types or organization do not take.

13. Transfer of Shares
In joint stock company, the shares of public limited company can be easily transferred or disposed off. There is no restriction on the transfer of shares in a joint stock company.

14. Increase in Saving and Investment
The shares are in large number but their value is small. The shares of a company may have a value of Rs. 10, Rs. 100 etc. So, rich as well as poor can purchase the shares of a company. This leads to increase in savings and investment.

15. Better Management
Such organization is administered by the elected directors. These directors are generally experienced and qualified in business field. This increases the efficiency of the company.

16. Beneficial Advices
A joint stock company can take beneficial advices from the government at the time of need which reduces the chances of its failure.

17. Public Confidence
A joint stock company is created by law and is supervised by legal authority. So, a joint stock company can easily win the public confidence.

18. Higher Profits
With the help of larger capital and technical skill, the cost of production is reduced, which increases the rate of profit.

DISADVANTAGES OF JOINT STOCK COMPANY
Some of the disadvantages of the joint stock company are given below:

1. Initial Difficulties
It is more difficult to establish a joint stock company as compared to other business organizations.

2. Lack of Interest
Most shareholders become relaxed and leave all the functions to be carried out by the directors. This usually encourages the directors to promote their own interest at the cost of the company.

3. Labor Disputes
In such organization there is no close contact of the workers with the owners or the shareholders. This leads to formation of labor unions to fight against the company's management.

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4. Lack of Responsibility
There is lack of personal interest and responsibility in the business of a joint stock company. If any mistake occurs, everybody tries to shift or transfer his responsibilities to other persons and he remains safe.

5. Lack of Secrecy
A joint stock company cannot maintain its secrecy due to the reason that a company has to submit various reports to the registrar.

6. Lack of Freedom
A joint stock company cannot perform its functions freely because it has to submit various reports to the registrar form time to time.

7. Monopoly
Due to larger size and resources, a joint stock company is in a position to create monopoly. Sometimes a few customers make agreement and exploit the consumers.

8. Speculation
Due to free transfer of shares and limited liability, speculation in the stock market takes place, which may affect the economy of the country.

9. Corruption
The directors of the company do not show the picture of the company to the public and encourage corruption by changing the policies for their personal interest.

10. Complicated Process
The formation of a joint stock company is a complicated process due to many legal formalities.

11. Centralization of Power
In joint stock Company, all the powers have in a few hands and due to this; an ordinary shareholder cannot participate in the affairs of a company.

12. Double Taxes
A joint stock company has to pay double taxes to the government. Firstly, company pays tax on the whole profit of the company. Secondly, every shareholder pays tax on his individual income.

13. Exploitation
Ordinary shareholders do not have full information about the affairs of their company. So, they are exploited.

14. Problem of Large-Scale Production
Since joint stock company produces on large-scale, so many problems arise in the economy.

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15. Nepotism
In a joint stock company, the directors of company employ their inefficient and incapable relatives and friends and give key jobs to them. As a result, the company suffers a loss.

16. Late Decision
In joint stock company, the decision making process in time consuming because a meeting is necessary to solve the business problems and matters.

DIFFERENCE BETWEEN PUBLIC LIMITED COMPANY AND PRIVATE LIMITED COMPANY

1. Number of members
   - For a public limited company, minimum number of members is seven
   - For a private limited company, minimum number of members is two
2. Issue of shares
   - Public limited company is bound to promote issue of shares to general public through media.
   - There is no such provision for private limited company.
3. Name of the company
   - Public limited companies add the word “Ltd.” with their name.
   - Private limited companies add the word “(Pvt) Ltd.” with their name.
4. Annual report
   - Public limited companies have to present their data to general public.
   - There is no such provision for private limited company.
5. Transfer of shares
   - It is easy to transfer shares in public limited companies.
   - In private limited company, shareholder cannot transfer the shares without the consent of other members.
6. Statutory meeting
   - It is obligatory for the public limited company to hold statutory meeting.
   - There is no such obligation for private limited company
7. Submission of annual report
   - It is obligatory for the public limited companies to submit their annual report to registrar Corporate Law Authority.
   - It is not necessary for private limited company.
8. Taxation
   - Public limited company pays double taxation at different income tax rates.
   - Private limited company pays tax only once at different income tax rates.

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LESSON 6

JOINT STOCK COMPANY

JOINT STOCK COMPANY

Joint Stock Company is the third major form of business organization. It has entirely different organizational structure from sole proprietorship and partnership. There are two advantages of Joint Stock Company. First of all, it enjoys the advantage of increased capital. Secondly, the company offers the protection of limited liability to the investors.
The law relating to Joint Stock Company has been laid in Companies Ordinance, 1984, which came into force on January 1, 1985 in Pakistan.

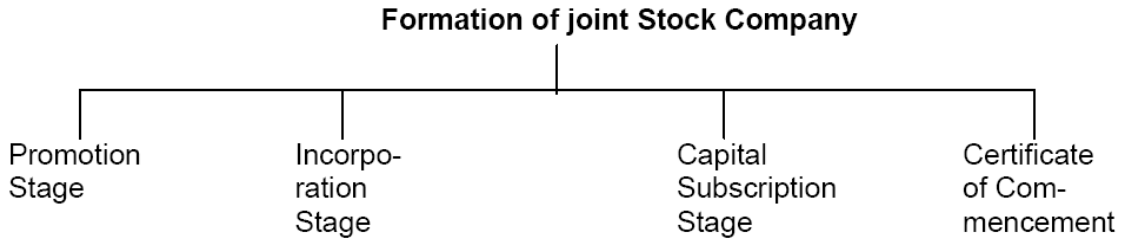
DEFINITIONS

Following are some important definition of Joint Stock Company:
1. Simple Definition
"A company may be defined as an association of persons for the purpose of making profit."
2. According to Kimball,
"A corporation by nature is an artificial person, created or authorized by a legal statue for some specific purpose."
3. According o S.E. Thomas,
"A company is an incorporated association of persons formed usually for the pursuit of some commercial purpose."

PROCEDURE OF FORMATION OF A JOINT STOCK COMPANY IN PAKISTAN

Joint Stock Company is the third major form of business organization. It has entirely different organizational structure from sole proprietorship and partnership. There are two advantages of Joint Stock Company. First of all, it enjoys the advantage of increased capital. Secondary, the company offers the protection of limited liability to the investors.
The law relating to Joint Stock Company has been laid in Companies Ordinance, 1984, which came into force on January 1, 1985 in Pakistan.
Following are the important stages or steps for the formation of a joint stock company:

Formation of joint Stock Company



PROMOTION STAGE

The promoters do the basic work for the start of a commercial or an industrial business on corporate basis. Promotion is the discovery of ideas and organization of funds, property and skill, to run the business for the purpose of earning income. Following steps are involved in the stage of promotion.

1. Idea about Business
Before starting the business, promoters have to think about the nature and production of company's business.

2. Investigation
After deciding the nature of business, promoters go in preliminary investigation and make out plans as regard to the availability of capital, means of transportation, labour, electricity, gas, water etc.

3. Assembling various Factors
After making initial investigation, the promoter starts accumulating various factors in order to assemble them. They arrange license, copyrights, employment of necessary employees etc.

4. Financial Sources
The promoters also decide the capital sources of the company and they work out the ways through which capital can be generated.

5. Preparation of Essential Documents
In addition to above discussed matters, the promoters also prepare following essential documents for the formation of company:

- Memorandum of company
- Articles of company
- Prospectus of company

The promoters carrying out these various activities give the company its physical form in the shape of:

- Giving a name to the company
- Sanctioning of Capital Issue

INCORPORATION STAGE
The second stage for establishment of a company is to get it incorporated.

1. Filling of Document
Following documents are to be submitted by the promoters in the Registrar's office.

(a) Memorandum of Association
A document indicating name, address, objects, authorized capital etc. of a company.

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(b) Articles of Association

A document containing laws and rules for internal control and management of a company

(c) List of Directors

A list of the names, occupations, addresses, along with the declaration of directors.

(d) Written Consent of Directors

A written consent showing their willingness to act at directors, to be sent to the Registrar

(e) Declaration of Qualifying Shares

A declaration certificate showing that the directors have taken up qualifying shares and have paid up the money or pay it in near future to the registrar.

(f) Prospectus

Promoters have to file a prospectus with the registrar.

(g) Statutory Declaration

A statutory declaration is to be sent to the Registrar that all legal formalities have been completed.

2. Payment of Registration Fee

For the registration of company, the registration fee is also paid to the Registrar. For example

- Application and documents filing fee
- Registration fee
- Stamp fee on Memorandum and Articles

3. Certificate of Incorporation

If the registrar finds all the documents right and thinks that all formalities have been fulfilled then he issues the certificate of incorporation to promoters.

CAPITAL SUBSCRIPTION STAGE

After getting certificate of incorporation, the next stage is to make arrangement for raising capital. For any kind of business, the company raises its capital through following sources:

- By Issuing Shares
- By Issuing Debentures
- By Savings

CERTIFICATE OF COMMENCEMENT

For the commencement of business, every public company has to obtain the certificate of commencement, which requires the fulfillment of following conditions:

1. Issue of Prospectus

A company has to issue prospectus for selling shares and debentures to public.

2. Allotment of Shares

The shares and debentures are allotted according to the pro visions of memorandum, when applications are received from the public.

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3. Minimum Subscription

It is also certified that the shares have been allotted up to an amount, not less than the minimum subscription. After verifying the foregoing documents, the registrar issues a certificate of commencement of business to public company.

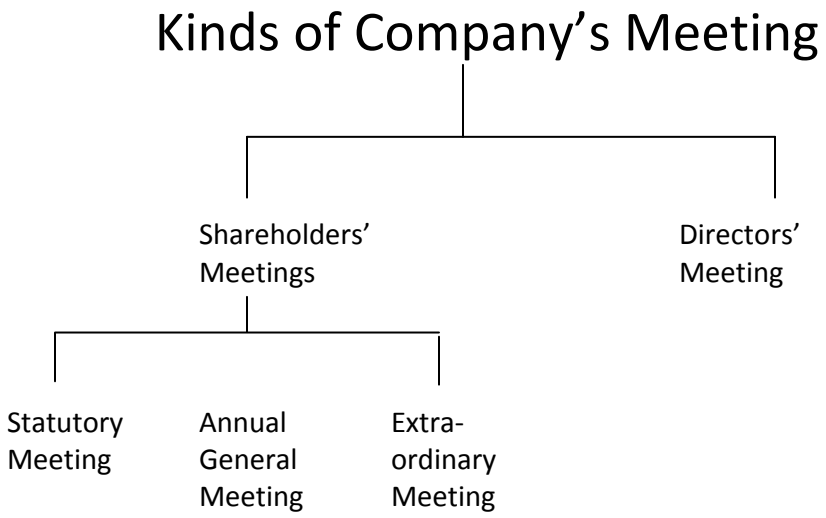
Lecture 7

WHAT IS A "MEETING"

"A gathering of two or more persons by previous notice or by mutual arrangement for the discussion and transaction of some business is called meeting."

SHAREHOLDERS' MEETINGS AND COMPANY'S MEETING

"When the members of a company gather at a certain time and place to discuss the business and managing affairs it is called meeting of the company."



SHAREHOLDERS' MEETINGS

The meetings, which are called to discus the affairs of the company with shareholders, are called shareholders' meetings. These meetings have following three kinds:

STATUTORY MEETING

According to section 157, this meeting is held only once in the life of a public company. It is the first meeting of the members of a public limited company. Its main objective is to provide the shareholders with first hand information about the exact position of company's affairs.

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1. By whom and when held

Section 77 of the Companies Ordinance, 1984, makes it compulsory for:

- every public company limited by shares,
- every public company limited by guarantee, and
- every private company converted into public company

that statutory meeting must be held within a period of not less than 3 months and not more than 6 months from the date at which the company is entitled to commence business.

2. Objects

Its main object is:

- To provide exact and latest information about the affairs of the company,
- To win the confidence of shareholders of the company, and
- To discuss the statutory report.

3. Notice

At least 21 days before the meeting, a notice must be sent to each shareholder along with the statutory report, by the secretary.

4. How the meeting is called

Under section 157(2) of Companies Ordinance, the directors should send a notice of statutory meeting, to all the shareholders, at least 21 days before the meeting. Directors also send statutory report, duly certified by at least 3 directors – one of them should be the chief executive of the company.

5. Privileges to the members

The members of the company in meeting have the liberty to discuss any matter relating to company's affairs.

STATUTORY REPORT

The report prepared by the secretary, certified by at least 3 directors – one of them being the chief executive of the company is called statutory report. The statutory report contains the following information:

1. Share Allotment

Total number of shares allotted and their consideration for allotment

2. Summary of Cash received

Summary of cash received in respect of shares allotted.

3. Expenses

List of basic expenses of the company

4. Commission

Detail of commission for the sale of shares, if any.

5. Particulars of Contract

The particulars of contract and their modifications, if any,

6. Particulars of Directors

The names, addresses and occupations of the directors and other officers of the company

7. Underwriting Contract

The particulars of underwriting contract, if any.

8. List of Arrears

The arrears, if any, due on calls from director or managing agents

ANNUAL GENERAL MEETING

According to section 158 of Companies Ordinance, every company must hold an annual general meeting of its shareholders, once in a year. The meeting provides an opportunity to evaluate and measure the efficiency of the directors and other officers in carrying out the company's affairs.

1. Notice

A notice of annual general meeting should be sent to the shareholders, at least 21 days before the date of the meeting.

2. Place of Meeting

In case of listed company, annual general meeting should be held in town where the registered office of the company is situated.

3. Role of shareholders

The shareholders can criticize the policies of the directors and other officers and can offer suggestions for their improvement.

4. Occasion

The first meting of this nature must be held within 18 months from the date of incorporation. The gap between two annual general meetings must not be more than 15 months.

5. Objects

The main objective of this meeting is to check that ordinary business is being done according to the rules laid down in articles of association of the company. The directors submit their report about the affairs of the company during the proceeding year. This report is known as director's report. Other objectives are:

- Election of Directors
- Appointment of auditors
- Declaration of dividend
- Fixation of director's, auditor's and managing agent's remuneration
- Auditor's report and balance sheet are presented in the meeting

6. Winding up

According to section 305(b), a company may be wound up by the court if it does not hold the two consecutive annual general meetings.

EXTRAORDINARY GENERAL MEETING

All the general meetings other than annual general meeting and statutory meeting shall be called extraordinary general meetings. There is no time limit for it. It may be held from time to time

1. Right to Call Meeting

(a) The directors of the company may call extraordinary general meeting for doing some urgent business.

(b) This meeting can also be called by the directors, on the request of shareholders, having not less than one tenth of the voting power.

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(c) In case the directors fail to call the extraordinary general meeting within 21 days, the shareholders themselves may call the meeting. In such, case, meeting must be held within 3 months.

2. Notice

To call the extraordinary meeting, 21 days notice is served.

3. Procedure

The shareholders have to submit their demand to the secretary of the company. With the consultation of directors, he will arrange to call the meeting. The company bares the expenses of the meeting.

4. Objects

- To issue the debentures
- To alter the memorandum and articles
- To alter the share capital of the company

DIRECTOR'S MEETINGS

The members of the company elect their representatives to run the business and management of the company. These representatives are called the directors of the company and they are different in numbers in different companies. All the business affairs are settled with mutual consultation of all directors. So, the meeting called for directors to discuss the policies or to take the decisions is called directors' meeting.

1. When is it held?

This meeting must be held at least once in three months and at least four times in a year.

2. Notice

Notice of every meeting must be sent to each director, otherwise the proceedings of the meeting may be declared void.

3. Objects

- To allot shares
- To invest company's fund
- To recommend dividend
- To keep reserve out of profit
- To make loans
- To appoint officers or committee
- To discuss the contracts of the company
- To determine the date of next meeting

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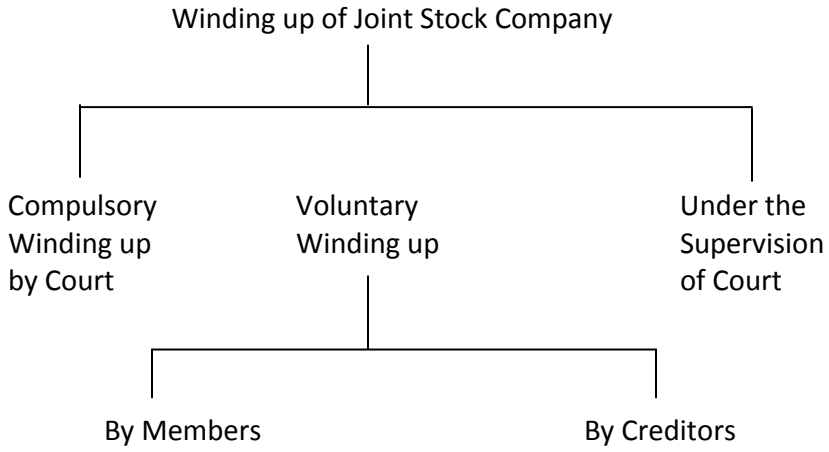
WINDING UP OF COMPANY

A company is created by law and when the legal existence of company abolishes or comes to an end it is called winding up of a company or liquidation of company.

MODES OF WINDING UP

A company can be wound up in the following three ways:



COMPULSORY WINDING UP BY COURT

According to Section 305 of Companies Ordinance, a company may be wound up by court under the following circumstances:

1. Special Resolution

If a special resolution has been passed by the company for winding up

2. Statutory Meeting

If the company fails to submit statutory report to the Registrar for failure to hold statutory meeting within specified time

3. Commencement of Business

If a company fails to start its business within one year from the date of incorporation or postpones its business for one year

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4. Reduction in Members

If the number of members fall below seven in case of public company and below two in case of private company.

5. Satisfaction of Court

If the court is not satisfied with the working, management and business affairs of the company

6. Payment of Loans

If a company is unable to pay its debts

7. Unlisted

If a company declares itself unlisted due to any reason

VOLUNTARY WIDNIGN UP

A joint stock company may be wound up voluntarily in following two ways:

1. By Members

According to section 362 of Companies Ordinance, 1984, the members can wind up a company voluntarily under following circumstances:

(i) Expiry of Period

A company may be wound up voluntarily by the members, after the expiry of period, by passing resolution in the general meeting.

(ii) Statutory Declaration

If majority of directors makes a statutory declaration to registrar that the company will be able to pay its debts in full within one year.

(iii) Special or Ordinary Resolution

After submitting the statutory declaration to the registrar, the company, in general meeting passes an ordinary or special resolution to wind up the company.

(iv) Appointment of Liquidators

In general meeting, the company appoints liquidators to wind up the company's affairs. Within ten days after the appointment must be sent to registrar.

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(v) Final Meeting

After winding up the affairs of company, the liquidators call the general meeting of the shareholders. In this meeting, the liquidators must submit the final accounts of company's affairs to the members.

(vi) Dissolution

Within one week of general meeting, liquidators must file a copy of full accounts to the registrar. At the end of 3 months from the date of registration of return, the company shall be dissolved and its name will be struck off by the Registrar of Joint Stock company.

2. By Creditors

The Members can wind up a company voluntarily under following circumstances:

(i) Statutory Declaration

In case of creditors voluntary winding up, it is not necessary for the company to make a statutory declaration regarding its solvency.

(ii) Special Resolution

A general meeting of the company's shareholders is called to pass an extra ordinary resolution for the dissolution of the company because it cannot continue its business due to heavy liabilities.

(iii) Creditors' Meeting

On the same or next day, a meeting of creditors must be called by the company. A notice of meeting must be sent to each creditor.

(iv) Statement of Affairs

In the creditors' meeting, the directors must submit a statement of affairs of the company, together with a list of creditors of the company and estimated amount of their claims.

(v) Intimation to Registrar

The information regarding the notice of passed resolution must be sent to the registrar within ten days after the date of creditors' meeting.

(vi) Appointment of Liquidator

The creditors and shareholders nominate the persons to act as liquidators in their respective meetings and the opinion of the creditors is preferred.

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(vii) Inspection Committee

The creditors and shareholders, in their respective meetings can appoint the inspection committee consisting of five persons in each case.

(viii) Liquidators' Remuneration, Rights and Duties

The inspection committee fixes the remuneration, rights and duties of the liquidators.

(ix) Final Meeting

In the final meeting, the liquidators place before them the full accounts of the company's affairs and a copy of these accounts is also sent to registrar within 7 days.

(x) Dissolution

The registrar registers the documents, sent by the company, after 3 months from the date of registration, the company will be dissolved.

VOLUNTARY WINDING UP UNDER THE SUPERVISION OF COURT

According to section 396 of Companies Ordinance, a voluntary winding up of a company can also be carried under the strict registration of the court.

1. Resolution

At first, company has to pass special resolution for the voluntary winding up of the company.

2. Supervision Order

Following are the common grounds on which the court issues the supervision order:

1. The liquidator performs his duty in partial manner.
2. The winding up resolution is obtained by fraud.
3. The liquidator does not strictly observe the rules of winding up the company

3. Power of the Court

The court has the power to appoint an additional liquidator, or to remove any liquidator.

4. Dissolution

After the supervision order is made, the liquidator may exercise his powers in winding up of a company. On completion of winding up, the court will make an order that the company is dissolved.

SHARE CAPITAL

In simple words, the term "capital" means the particular amount of money with which a business is started.

In company, share capital means the amount contributed by the shareholders.

DEFINITION

1. **According to Alan Issacs**

"Share capital is that part of the capital of a company that arises from the issue of shares"

2. **L. B. Curzon says**

"Share capital is the total amount which a company's shareholders have contributed or are liable to contribute as payment for their shares."

KINDS OF SHARE CAPITAL

According to Companies Ordinance, 1984, the following are the kinds of share capital:

1. Authorized Capital

This is maximum amount of capital with which a company is registered or authorized to issue. It is divided into shares of small value.

For example, the authorized capital of the company Rs. 10, 00,000 divided into 1, 00,000 shares of Rs. 10 each

2. Issued Capital

It is a part of authorized capital which is offered to the general public for sale.

For example, a company has an authorized capital of Rs. 10, 00,000 dividend into 1, 00,000 shares of Rs. 10 each. It offers 20,000 shares of Rs. 10 each to general public. So it means issued capital is Rs. 2, 00,000.

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3. Un-Issued Capital

It is a part of authorized capital which is not offered to the general public for sale.

For example, a company has an authorized capital of Rs. 10, 00,000 divided into 1, 00,000 shares of Rs. 10 each. It offers 20,000 shares of Rs. 10 each to general public. So it means un-issued capital is Rs. 8, 00,000 consisting of 80,000 shares of Rs. 10 each.

4. Subscribed Capital

That part of issued capital for which applications are sent by the public and which are accepted is called subscribed capital.

For example, out of 20,000 shares offered by the company, the general public takes up only 10,000 shares. So subscribed capital, is Rs. 1, 00,000.

5. Called up Capital

A company may require payment of the par value either in installments or in lump sum. So amount of shares demanded by company is known as "called up capital".

For example, out of 10,000 shares taken by public, company requires a payment of 6 per share. So "called up" capital of the company is Rs. 60,000 (10,000 share @ Rs. 6).

6. Un-Called up Capital

A company may require payment of the par value either in installments or in lump sum. So amount of shares not demanded by company is known as "un-called up capital".

For example, out of 10,000 shares taken by public, the company requires a payment of 6 per share. So "un-called up" capital of the company is Rs. 40,000 (10,000 shares @ Rs. 4).

7. Paid up Capital

It is that part of called up capital which is actually received by the company. If some shareholders could not pay all the money of called up capital, such money is called as "calls in arrears" or "calls unpaid".

8. Reserve Capital

The capital which is reserved for unexpected events or for future needs is called reserve capital. Company decides not to call up some part of uncalled up capital until winding up. It is normally kept for the payment of debts at the time of winding up.

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9. Redeemable Capital

A company can obtain redeemable capital by issue of:

(a) Participation Term Certificates
(b) Musharika Certificate
(c) Term Finance Certificate

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Lecture 8

COOPERATIVE SOCIETY

Cooperative Society its advantages and disadvantages

COOPERATIVE SOCIETY

A cooperative society is formed by the people of limited means for self help through mutual help. It is set up to protect economically the poor sections of the society. It is set up for cooperation, not for competition. The motto of a society is self help, without dependence on other business units.

DEFINITION

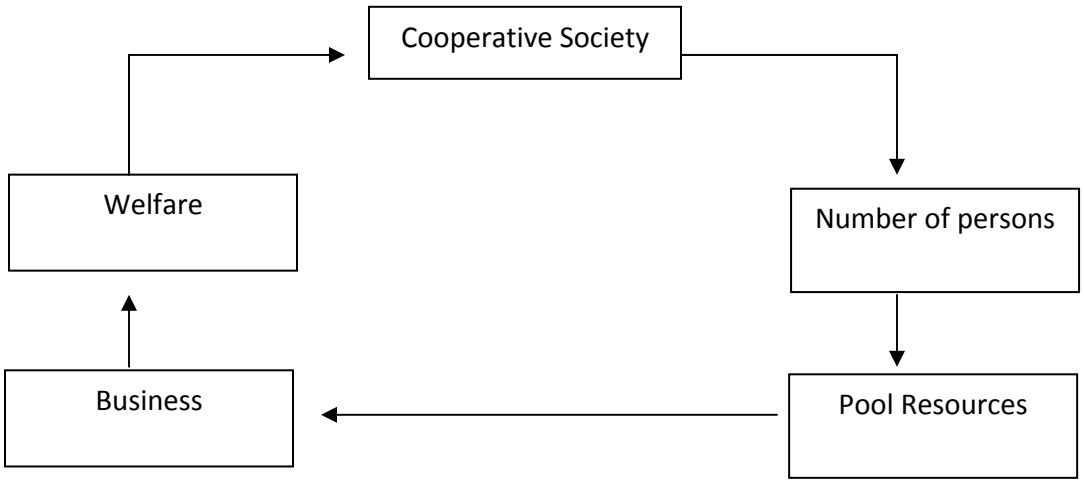
1. **According to Herrik**

"Cooperation is an action of persons voluntarily united for utilizing reciprocally their own forces, resources or both under mutual management for their common profit or loss."

2. **According to Mr. Plunket**

"The cooperation is self help made effective by organization."

Diagram



ADVANTAGES OF COOPERATIVE SOCIETY

Following are the important advantages or merits of cooperative society:

1. Advantage for Farmers

Farmers can get fertilizers and seeds at low prices from such cooperative societies. Farmers can also self their production at high rate or prices through cooperative societies.

2. Easy Formation

The formation of cooperative society is very easy. the formalities for registration are simple and formation expenses are also normal. The registration of a society is not compulsory but it is desirable to have its registration.

3. Equal Rights

All members of cooperative society enjoy equal right of vote and ownership. Each shareholder has only one vote in the management of cooperative societies.

4. Equal Distribution of Wealth

The profit of middlemen is also distributed among the workers. These societies remove the unequal distribution of wealth.

5. Economic Democracy

Cooperative society is a domestic form of organization. Every member is allowed to participate in the management of the business. Each member has the right to cast vote. The decision of majority is honored.

6. Elimination of Middlemen

Cooperative society eliminates the profit of middlemen. These societies purchases goods directly from the producers for members and provide them on wholesale rate to society members.

7. Financial Assistance

These societies also provide financial assistance to its members. In case of house building cooperatives housing society provides loan for the purchase of inputs.

8. Friendly Relations

A cooperative society is a mean of developing friendly relations among the members. A society provides a platform for the introduction of members with each other.

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9. Improve the Standard of Living

Such societies provide the goods and services to the members of the society at low prices. Due to this, the purchasing power of the people increases and their standard of living improves.

10. Increase in Employment

The cooperative societies also increase the employment opportunities for people. Thousands of people are engaged in different types of cooperative societies.

11. Limited Liability

The liability of each member in cooperative society is limited to the share capital, which he invested. His remain safe.

12. Mutual Cooperation

It is worthwhile to mention here that cooperative society is very useful for creating the spirit of friendship and brotherhood among the members. Cooperative society is the basic need of human being in modern era.

13. No Monopoly

A start of the society is the end of monopoly. The monopoly eliminates the competition and controls the market and prices. The society tries to restore competition and to eliminate control over market and prices.

14. Open Membership

the membership of a cooperative society is open for all people living in the same area. It is a voluntary association of persons of any caste, color and creed.

15. Protection of Mutual Interest

In cooperative societies its members take an advantage of mutual interest and cooperate with each other achieve the common interest.

16. Responsibility

A society is a training centre for the members to feel their responsibility. A cooperative society is an ideal place for building up the moral character and development of personal qualities of the members.

17. Supply according to Demand

Such societies purchase the goods according to the demand of members. The question of surplus does not arise.

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18. Stable Life

The cooperative societies, as compared to other business organization like sole-proprietorship or partnership, exists for a longer period. It has a fairly stable life.

19. Saving in Expenditure

In cooperative societies, most of offices bearers work voluntarily. So, there are no heavy expenditures on management. It also reduces the cost of production.

20. Tax Concession

Government provides certain concessions to cooperative societies, i.e. exemption from stamp duty, super tax, income tax and registration fee etc.

DISADVANTAGES OF COOPERATIVE SOCIETY

Following are the disadvantages of cooperative societies:

1. Lack of Capital

Generally the members of cooperative societies are related to poor group and they cannot provide the capital on large scale. External financial resources are also limited. So, cooperative society faces the shortage of capital, which is a handicap to their development.

2. Untrained Supervision

The government has sufficient control over the movement of these societies. These societies cannot prosper because the staff appointed for supervision is mostly untrained.

3. Defective Organization

The organizations of cooperative societies are defective and these cannot operate efficiently to fulfill their objectives.

4. Illiterate and Ignorant

In our country, the villagers are generally illiterate and ignorant. So, they are not familiar with the basic concept of the cooperative societies.

5. Lack of Experience

The members of societies have less experience of business. Due to lack of capital, they cannot hire the services of experts.

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6. Lack of Discipline

Every member of the cooperative society considers himself as the owner of the business. Due to lack of discipline, business suffers a loss.

7. Lack of Sincere Management

It is our common observation that the management of society remains in the hands of selfish and dishonest persons or members who obtain undue advantage form their powers. So, business suffers a loss.

8. Lack of Profit Incentive

It is not a profit earning institution. Due to absence of profit incentive, the progress of cooperative society is very poor.

9. Lack of Secrecy

There is no secrecy in the business of cooperative societies.

10. Lack of Knowledge

The members of cooperative society do not know the principles and rules of society. So, they create great problem for society.

11. Lack of Unity

In the absence of proper education and training, it is useless to think about unity. The lack of unity leads towards the destruction of the business.

12. No use of New Technology

The cooperative societies cannot use the latest technology in production. As a result of this, demand and profit remains low.

13. No Public Confidence

A cooperative society is not bound to publish annual financial statements for the information of general public. Due to this public shows less confidence in them.

14. Delay in Decision

The main cause of failure of cooperative societies is delayed in decisions.

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15. Government Control

The cooperative department of the provincial government supervises the work of all cooperative societies. The business of a society is not free like other forms of business, so it cannot earn maximum profit.

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Lecture 9

CONCEPT OF ENTREPRENEURSHIP

Entrepreneurship is that ability in which an individual tries to find the opportunity, take risk and avail these opportunities.

Who are Entrepreneurs?

People have more entrepreneurial abilities who:

- Have aspiration
- Have more practical strategies to be implement
- Have the vision
- Understanding the environment
- Being visionary and flexible
- Creating management options
- Encourage teamwork while employing a multi-disciplined approach
- Encouraging open discussion
- Building a coalition of supporters.

Characteristics of Entrepreneurs

- **Personal Interest**

This personal interest can be of two common types:

- Interest for their own personality development
- Interest of their financial growth at market place

- **Customer Relationship building**

There can be two types of customer relation ship building as under:

- **Transactional Marketing**
  This type of marketing is based on only one transaction, just to get the financials & provide products in return to customers. (Its some how a traditional approach of customer relationship management)

- **Relationship Marketing**
  This type of marketing based on long term service provision for the customer, to get order once from your customer, fulfill that order in best possible manners, provide after sales services in order to retain that

customer for longer period of time (it is based on modern customer relationship management techniques)

Entrepreneurs strongly follow the second type of relationship building with this customer to get long run benefit in order to enhance their business. For example, doctors in a specific community, Mechanics, Hair dresser etc.

- **Desire to establish own business**

Some persons have strong & dominant personality traits & they want to establish their own business instead of working under supervision of any one else so this leads them towards entrepreneurship establishment. They have strong decision making power & risk taking ability which helps them a lot to be an entrepreneur.

- **Need of control**

Some people want them to be involved in every decision making of their business prospects so this aspect leads them be an entrepreneur.

- **Ability to deal with uncertainties**

Some persons are daring enough in their professional attitude; they feel they can easily deal with uncertainties while designing best strategies for crunch situations so they move for entrepreneurship.

BUSINESS PLAN FOR ENTREPRENEURS

Business plan is a written document which contains the objectives of the business and the ways to achieve these objectives.

A good business plan must be developed in order to exploit the opportunity defined. A good business plan is important in developing the opportunity and in determining the resources required, obtaining those resources and successfully managing the venture.

The term business plan is made of two words **"business"** and **"plan".** By understanding each we will try to arrive at some usable definition of business plan

- Business: "Any economic activity undertaken on regular basis to earn profit by combining resources and delivering value to society/market in response of whose unmet need it is started and run".
- Plan: "Simply it is the product or result of planning or it can be defined as it is a document or piece of thought which answers the basic questions of planning".
- If plan is so then what is planning?

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Situations for Entrepreneurial business

- There are two situations:
    - Buying a business
    - Starting from the scratch

Most of the entrepreneurs always like to start their business right from scratch & develop their own strategies to run the business so our discussion will move around those entrepreneurs who start their businesses from scratch.

COMPONENTS OF BUSINESS PLAN

Since every business organization either small medium or large always have business plan so same is true for entrepreneurial business as well. Basic theme of *business plans is always **"ways to go & how to go"***. All areas of SWOT analysis are also covered in the business plan.

- **Objectives of the business**

The basic purpose of any business plan is to answer following questions:

- Name of the business
- Name should indicate the type of business
- Name should be simple
- Uniqueness of name
- Location of the business
- Legal considerations

Avoid the names not encouraged by the law. e.g. National Heroes, religious personalities etc.

Marketing Component of the business

This part of business plan covers following aspects:

- Who will be the target customers for those products
- Where are they located?
- What would customers like to pay for the product or service?
- What are the benefits, the customers are expecting from the product or service?
- What type of products & services we are going to offer
- What will be the basis for targeting the customers (age, gender, educational status, social classes & behavioral aspects)

Analysis of competitors:

One important consideration here is competitors' analysis, while clarifying following in the business plan.

- What is the nature of competition in the market?
- Who are the competitors of the business?
- How product of the business is different from product of the competitors?

Analysis of Promotional Activities

- How will the message of the business be promoted in the general public?
- How will the business be launched?

Financial Analysis

- What will be the investment of the business and how much should be borrowed?
- What are going to be expected revenues in a given period of time?
- What would be the expected expenses of the business in a given period of time?
- What would be net income or net profit in a given period of time?
- Is the business feasible or not?

Administrative Rights & provisions

- What would be the structure to handle the business?

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Lecture 10

FRANCHISING

It is defined as:

"An agreement between two parties in which one party passes on the rights to the other party"

Or

"A contractual license granted by one person (the franchisor) to another (the franchisee)."

Rights of franchisee includes

3. Right to use the trade mark.
4. Right to use the name.
5. Right to use systems, methods and researches.
6. Right to use packing material.

Parties to Franchise agreement

There are two parties involved in a franchise agreement

d) Franchiser

Party or person, who grants the right to sell/offer its products & services under its own trade name,

e) Franchisee

Franchisee is being granted from franchiser to provide representational rights to sell or manufacture goods or to provide service or to undertake any process identified with franchiser against an agreed fee or consideration including royalty, whether or not a trade mark, service mark, trade name or logo or any such symbol , as the case may be is involved.

Advantages of Franchising

- Franchiser gets a large amount of money from franchisee as fee while using its name.
- Franchisee gets access to big business.
- Failure rate of franchise business is lower than any other business.
- Franchisee uses world wide tested brand and tested procedures that is why failure rate is lower in this type of business.
- Franchiser provides guidance to franchisee in all affairs of the business.

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- Choice of location
- Franchiser is always there to support the franchisee in all kinds of matters.

Disadvantages of Franchising

- High cost.
- Proportionate profit is given to franchiser by franchisee every year.
- There are too many restrictions from franchiser on the franchisee.

NEW TRENDS IN THE BUSINESS

- E-Commerce or E-Business

E-commerce, (electronic commerce), is online commerce verses real-world commerce. E-commerce includes retail shopping, banking, stocks and bonds trading, auctions, real estate transactions, airline booking, movie rentals, nearly anything you can imagine in the real world. Even personal services such as hair and nail salons can benefit from e-commerce by providing a website for the sale of related health and beauty products, normally available to local customers exclusively.

- Women in business

So many women have come in so many areas of business.

Business will be better displayed, well mannered staff, more knowledge of the needs of customers and more market oriented.

GLOBAL OPPORTUNITIES

People have the awareness of global market. Internet has played major role in accessing global markets.

In Pakistan, people got huge success globally but could not make a brand name in global market.

Factors for lower failure rate

- Government's preferences and priorities.
- Government is convinced to support corporate sector.
- Businesses are now being set up on more professional grounds.
- Support from financial institutions.
- General economy of the country.
- People are acquiring professional knowledge about business.
- Government has developed many training centre to train people related to business.
- Skills development.
- Institutions to develop man power.

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Lecture 11

SUCCESS AND FAILURE OF BUSINESS

Causes of Failure in Business

Normally, following are the common causes of failure of any business:

- Lack of market knowledge
- Start of any business without having proper experience in the field
- Lack of control over procedures
- Lack of understanding customer's demand
- Poorly designed Production Processes
- Cost
- Wastage
- Complaint handling
- Quality
- Insufficient capital
- Bad Luck
- Natural Disaster

Reasons for Success in Business (controllable factors)

- Response of Market
- Competence – The ability to work
- Knowledge of Market
- Knowledge of Product
- Knowledge of Systems

Reasons for Success in Business (uncontrollable factors)

- Luck and Act of God
- Law of Government
- State Laws

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- Climate change
- Using disaster (if any) as an opportunity)

Joint Venture

Two or more people or organizations join hands and decide to do a combine business. In a joint venture, there is equal sharing or capital resources by each firm. Instead of expanding the business at broader level or to start a new business with very high cost, joint venture shares the financial burden in order to gain new opportunities at diversified level.

Advantages of Joint Venture

- Provide opportunities to acquire new expertise
- Allow to enter in new geographic markets
- Gain new technological knowledge
- Sharing of specialized staff and technology
- Sharing of risks

Strategic Alliance

In strategies alliances, two or more than two organizations collaborate for mutual profits.
In strategic alliances, Pool of resources occurs such as products of both firms, distribution channels used by every firm, manufacturing capabilities of firms, future projects funding, capital equipment sharing, knowledge, expertise and intellectual property sharing among both firm are the basic out comes of strategic alliances.

One good e.g. of strategic alliances is commonly seen in Air Lines industry around the world

Merger and Acquisition

Merger is a new trend in market in which two or more organizations combine together and form a new organization.

Acquisition

Slightly differ from Merger; here one business acquires the other business instead of combining. Ownership moves more towards the acquiring partner.

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Common Advantages of Merger & Acquisition

- Expansion of size
- Minimize the operational cost
- To reduce competition

ACTIVITY

After studying the all the concepts mentioned above, you as a student of Introduction to business studies is required to acquire knowledge about practical organizations who are performing their activities under any business form mentioned above and if they are successful, what are the core strengths of their success & if they are failure, (at any part) where were the weaknesses?

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Lecture 12

FOREIGN TRADE & FOREIGN BUSINESS

Imports

International trade is exchange of capital, goods, and services across international borders or territories. In most countries, it represents a significant share of gross domestic product (GDP).

It is also defined as:

Goods produced somewhere else and sold domestically. Such as Chemicals Technology (Machinery, Software & Hardware, Expertise)

Import - commodities (goods or services) bought from a foreign country

Factors to be considered while importing

- Identification of products to be imported
- Procedures
- Methodologies
- Technical processes
- Documents for imports

Exports

In economics, an export is any good or commodity, transported from one country to another country in a legitimate fashion, typically for use in trade. Export goods or services are provided to foreign consumers by domestic producers.

It is also defined as:

Goods produced domestically and sold in some other country.

Export - sell or transfer abroad; "In Pakistan we export less than we import and have a negative trade balance"

Advantages of Exports

- Support of Government.
- High Profits.
- Pride for the country.
- Utilization of production capacity.

GATT (General Agreement on Tariff & Trade)

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A multilateral treaty intended to help reduce trade barriers between signatory countries and to promote trade through tariff concessions.

WTO – World Trade Organization and its scope

The WTO is an international organization and a forum of multilateral negotiations of its Members on global trade liberalization rules, their administration and application. Mainly, the WTO system is understood as the set of external trade rules or "traffic rules" in external trade, which all Members must follow. The WTO was established in 1995, as the result of the Uruguay round negotiations. With the establishment of the organization, a set of WTO agreements was also concluded – with regard to goods, services, intellectual property, dispute settlement, multilateral agreements. Until the establishment of the WTO multilateral trade relations were governed by General Agreement on Tariffs and Trade (GATT), concluded on 1947 and which opened the trade liberalization and reduction of tariff barriers. The main goal of the WTO is a free and facilitated trade, governed by equal rules, while similarly taking into account also the potential of developing countries. In the WTO are represented almost all countries of the world – currently the WTO has 147 Members

Per Capita Income

Per capita income means how much each individual receives, in monetary terms. It is the measure of the amount of money that each person earns in the country, of the yearly income generated in the country.

$$\text{Per Capita} = \frac{\text{Total income of the country}}{\text{Total population}}$$

Tools for measuring economies of the world

World can be divided in to three major categories on the basis of per capita income.

- High income countries

  Those countries where people are earning US $9000 or more

- Middle income countries

  Those countries where people are earning between US $765 and $9000

- Lower income countries

  Those countries where people are earning below US $765

Pakistan lies in middle income countries because per capita income during the fiscal year 2012-13 has risen to $1365. Pakistan is exporting Sports items Agricultural products (rice), Textile products (Bed Sheets, T-Shirts, Towels etc.)

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Import and Export Balance

Gap between imports and exports is called surplus and deficit and it varies from country to country.

Balance of Payment

Balance of payment = Total receipts - Total payments

If receipts are greater, balance of payment is favorable.

If payments are greater, balance of payment is unfavorable.

Level of involvement in international business

Imports or Exports

We can be importer and exporter.

We try to see opportunity in international market to consume surplus products.

This is called exports.

International Firms

International firms have operations world wide. These firms are also called multinationals. Multinationals design products separately for each country

Global Organizations

Those organizations which consider the whole country as single market are called global organizations.

These organizations have standardized products all over the world.

International Organizational Structure

- Independent Agent

  A person or an organization that works for an exporter or importer
- Appointment of representative abroad
- Licensing agreement
- Independent Branch Office
- Strategic Alliance
- Direct Foreign Investment

Study Links:

- *www.offshoredealers.com*
- www.mfa.gov.lv/en/policy/economic/WTO/WhatIsWTO

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Lecture 13

BARRIERS TO INTERNATIONAL TRADE

Trade barriers are a general term that describes any government policy or regulation that restricts international trade. The barriers can take many forms, including the following terms that include many restrictions in international trade within multiple countries that import and export any items of trade

- Social and Cultural Changes

Different countries have different life styles.

- Religion

Every religion has its own set of rules for its followers. Religion asks for spending on certain things and stops from spending on certain things.

- Climate
- Laws

  There are different laws in different parts of the world.

  These include laws related to:

  - Health
  - Safety
  - Customer Relationship
  - Pricing
  - Packing
  - Environment
- Economic Differences
  - Per Capita Income is different in different countries.
  - Different people have different economic systems.
  - People preference for a particular product
- Political System
- Tariff
  - Tax levied on goods entering into a country.
  - It is also used as a measure to reduce imports in a country.

- Quota

  Limit imposed by one country on importing commodities from another country.

- Subsidies

  Concessions provided by a country to its producers in order to protect economy.

Business Ethics

Ethics are basic beliefs, a company decides to pursue and implement during a course of action.

Ethical Behavior

- A system that confirms the beliefs of the society
- Business is being run within that system.
- Corporate Citizenship is a practice of the company confirmed by the society.

Ethical Behavior in Managerial Practices includes:

- Responsibility towards employees.
- Relationship with other organizations.
- Interaction with Government.
- Plans to initiate ethical behavior towards people.
- To initiate ethical programs.

Corporate Social Responsibilities

To think about benefiting the society and avoid harmful activities for the society is called Corporate Social Responsibilities.

These include:

- Ethical attitude towards customers.
- Dealing with employees.
- Ethical communication with Government and local bodies.
- Ethical behavior towards stake holders.

Study Link:

www.absoluteastronomy.com/topics/Free_trade

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Lecture 14

STAKE HOLDERS

Definition

People who are interested in the affairs of the business in one way or the other are called stakeholders.

Stake holders include:

- Customers
- Employees
- Suppliers
- Bankers
- Government
- Society at large

RIGHTS OF CUSTOMERS

Consumerism

- Protecting the rights of customers
- To get a product that is up to the expectations of the customers
- Customer Safety

Right to get information about:

- Product
- Supplier
- System
- Procedures
- Standards
- Ingredients of the product
- Origin of the company
- Method of manufacturing
- Quality standards

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- Right to be heard
- Right to choose
- Quality Service

Responsibilities of the Organization towards Environment

- Reprocessing of waste water.
- Recycling of waste material.
- Processing of smoke.
- Reprocessing of heat.

Ethics for Advertising

- Truthful or Truth less Communication
- Objectionable Products
- Objectionable Appeals
- Fear Factor
- Sexual Connotations
- Objectionable Timings
- Smoking
- Selling product to underage customers
- Legal Commitments
- Discriminations
- Health and Safety of Employees

Whistle Blowers

Whistle Blowers are the people who see irregularities and bring them in the knowledge of the management. Although these people bring in to account positive actions required to be taken in to account by the management but even then most of the times, organizations never liked these persons.

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Management

Getting things done through others. OR

We define management as the process of coordinating and integrating work activities so that they are completed efficiently and effectively with and through other people.

Manager

A person who practices the functions to achieve management's objectives

Functions of Managers

- Planning

  Thinking for the future

- Organizing

  Decision about activities performed by the workers

  1.Grouping the activities

  2.Delegation of authorities

- Staffing

  Filling out the vacant positions

- Coordination
- Communication
- Receiving information from various sources
- Processing of information
- Dissemination of information
- Distribution of information
- Conflict handling
- Negotiation
- Resource Allocation
- Controlling
- To make sure that organization is moving towards the right direction.

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Lecture 15

SETTING GOALS AND FORMULATING STRATEGY

Setting goals is the starting point of effective management. Every business needs goals, and the program for guiding decisions to achieve those goals is called a strategy. **Goals** are objectives that a business hopes and plans to achieve.

TYPES OF STRATEGY

I. **Corporate strategy**—Strategy for determining the firm's overall attitude toward growth and the way it will manage its businesses or product lines.

II. **Business (or competitive) strategy**—Strategy, at the business-unit or product-line level, focusing on a firm's competitive position.

III. **Functional strategy**—Strategy by which managers in specific areas decide how best to achieve corporate goals through productivity

SETTING BUSINESS GOALS

Goals are performance targets–the means by which organizations and their managers measure success or failure at every level.

Purposes of Goal Setting

1. To provide direction and guidance for managers at all levels
2. To help firms allocate resources
3. To help define corporate culture
4. To help managers assess performance

Kinds of Goals

Goals differ from company to company depending on the firm's purpose and mission. A firm's basic mission is usually easy to identify. Businesses often have to rethink their missions as the competitive environment changes.

Three kinds of goals for every firm are:

I. **Long-term goals**—goals set for an extended time, typically 5 years or more into the future

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II. **Intermediate goals**—goals set for a period of 1 to 5 years into the future
III. **Short-term goals**—goals set for the very near future, typically less than 1 year

Mission Statement

Organization's statement of how it will achieve its purpose in the environment in which it conducts its business.

THE MANAGEMENT PROCESSES

The management process is the process of planning, organizing, directing, and controlling an organization's resources to achieve its goals. The four functions of management are not discrete. They overlap and influence one another. To transform a vision into a successful business, managers must perform the functions of planning, organizing, leading, and controlling.

a. **Planning**—management process of determining what an organization needs to do and how best to get it done. Yahoo's creation of partnership agreements with firms like Reuters, Standard & Poor's, and the Associated Press for the new coverage it provides it users represent a form of operational planning.
b. **Organizing**—management process of determining how best to arrange an organization's resources and activities into a coherent structure. Hewlett-Packard's recent realignment into an integrated, centralized firm, rather than a corporate confederation of individual businesses, has served its comeback strategy well.
c. **Directing**—management process of guiding and motivating employees to meet an organization's objectives. Gordon Bethune, CEO of Continental Airlines, has turned around morale and performance through his leadership skill, listening to and rewarding employees to guide the company back on track.
d. **Controlling**—management process of monitoring an organization's performance to ensure that it is meeting its goals. Bethune of Continental instituted a variety of performance indicators including on-time arrivals, baggage-handling errors, number of empty seats per plane, and surveys of customer and employee satisfaction.

TYPES OF MANAGERS

Not all managers have the same degree of responsibility for planning, organizing, directing, and controlling.

Levels of Management

i. **Top Managers**—managers responsible to the board of directors and stockholders for a firm's overall performance and effectiveness.

They set strategic goals, make long-range plans, establish major policies, and represent the company to the outside world.

ii. **Middle Managers**—managers responsible for implementing the strategies, policies, and decisions made by top managers. In more innovative management structures, they may function as team leaders, acting as consultants who must understand every department's function and are granted more decision-making authority, previously reserved for high-ranking executives.

iii. **First-line Managers**—managers responsible for supervising the work of employees

Areas of Management

iv. **Human Resources Managers**—managers responsible for hiring and training employees, evaluating performance, and determining compensation.

v. **Operations Managers**—managers responsible for the production system, inventory and inventory control, and quality control.

vi. **Marketing Managers**—managers responsible for the development, pricing, promotion, and distribution of goods and services.

vii. **Information Managers**—managers responsible for designing and implementing systems to gather, organize, and distribute information.

viii. **Financial Managers**—managers responsible for the firm's accounting functions and financial resources.

ix. **Other Managers**—some firms also employ other specialized managers, such as public relations managers, research & development managers, etc.

BASIC MANAGEMENT SKILLS

Whatever the type or size of the organization, managers employ basic kinds of skills. As they rise through the hierarchy, they may need to strengthen one or more of these skills.

- **Technical Skills**—skills needed to perform specialized tasks such as writing computer code, drawing animated characters, or auditing a company's records.
- **Human Relations Skills**—skills in understanding and getting along with people, such as communicating and motivating.
- **Conceptual Skills**—abilities to think in the abstract, diagnose and analyze different situations, and see beyond the present situation to recognize future market opportunities and threats.

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THE FOUNDATIONS OF HUMAN RESOURCE MANAGEMENT

The ability to attract and retain talented and motivated employees often marks the difference between success and failure in today's competitive business environment.

Human Resource Management—set of organizational activities directed at attracting, developing, and maintaining an effective workforce.

The Strategic Importance of HRM

i. Human resources are critical for effective organizational functioning.
ii. The effectiveness of the HR function has a substantial impact on a firm's bottom-line performance.
iii. The chief human resource executive of most large businesses is a vice president directly accountable to the CEO, and many firms develop strategic HR plans that are integrated with other strategic planning activities.

Scope of HRM

I. To locate, type of people required
II. When required
III. How many required
IV. Job Analysis
V. Selection
VI. Training
VII. Appraisal
VIII. Compensation
IX. Health & Safety
X. Labor Union Area

Job Analysis

Job analysis is the process to collect all information related with one specific job.
It has two further portions:

a. **Job Description-**covers job title, job location, job duties, working environment & Supervision

b. **Job Specification-** Covers areas like, human skills required to perform a specific job, Qualification, Gender, Age, Experience, Special Skills & attitude.

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Lecture 16

HUMAN RESOURCE PLANNING

JOB ANALYSIS

Systematic analysis of jobs in an organization:

a. **Job Description—**systematic evaluation of the duties, working conditions, tools, materials, and equipment related to the performance of a job.

b. **Job Specification—**description of the skills, abilities, and other credentials required by a job.

Forecasting HR Demand and Supply

Forecasting the supply of labor is two tasks:

c. **Forecasting internal supply**—the number and type of employees who will be in the firm at some future date.

d. **Forecasting external supply**—the number and type of people who will be available for hiring from the labor market at large. Large organizations use extremely sophisticated models to forecast staffing levels.

Replacement Chart

Listing of each managerial position, who occupies it, how long that person will likely stay in the job, and who is qualified as a replacement. Replacement charts are used at higher levels of the organization to plan developmental experiences for people identified as potential successors to critical managerial jobs.

Skills Inventories (or Employee Information System)

Computerized system containing information on each employee's education, skills, work experiences, and career aspirations

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Matching HR Supply and Demand

After comparing future demand and internal supply, managers can make plans to manage predicted shortfalls or overstaffing. If the organization needs to hire, the external labor-supply forecast helps managers plan how to recruit.

Recruiting Human Resources

Process of attracting qualified persons to apply for open jobs.

Internal Recruiting

Practice of considering present employees as candidates for job openings.

External Recruiting

Practice of attracting people outside an organization to apply for jobs. By early 1998, unemployment had dropped to a 23-year low of 4.6 percent, making recruiting a more difficult task.

Advantages of external Recruiting

- Variety of Talent
- Variety of Abilities
- Variety of Qualifications

Equal Employment Opportunity

The basic goal of all equal employment opportunity regulation is to protect people from unfair or inappropriate discrimination in the workplace. Legally mandated nondiscrimination in employment on the basis of race, creed, sex, or national origin

SOURCES TO FIND PEOPLE

Organizations used various sources in order to find suitable people for their organization following sources are mostly used in this regard

Informal search

On the basis of references organizations finds peoples suitable for the post or for the nature of the work.

Job posting

By putting notices for job on various places in the organization such as Cafeteria, Fair

Price shop, Sports field, Reception desk, Notice Board, Union office etc

Educational institutions

To consult with educational institutions for suitable candidates for the job is also helpful for the organization to find suitable persons. Usually organizations consult with educational institutions when fresh graduates are required.

Professional Associations

This source is used when an organization wants to appoint people on senior posts.

Recruitment Agencies

Recruitment agencies have expertise in selecting people.
These agencies are used when

- Time span for selection is short.
- Jobs are highly technical in nature.
- Employer and employee are at a distant place.

Advertisement

Sources are find by giving advertisement in media, this sources is used when large number of jobs are available. Most common media is the print media worldwide.

SELECTING HUMAN RESOURCES

Application Blank

Application form provided by the organization for fill in as per requirement order of the firm. It's a form of CV but prepared as per organizational point of view.

Tests

Organizations conduct various tests to judge the overall capabilities of the professionals including:

a. Achievement tests
b. skill Tests
c. knowledge tests

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Interviews

Interviews are sometimes a poor predictor of job success although they remain a popular means of screening candidates. Validity can be improved by training employees to be aware of potential biases created in the interview situation and by using structured interviews, in which questions are written in advance and all interviews follow the same list of questions for each candidate.

Other Techniques

Polygraph tests are declining in popularity, although some organizations require physical exams. More organizations are using drug tests, particularly in which drug-related performance problems could create serious safety hazards for customers or employees.

Validation

Validation is the process of checking appropriateness of any method or tool up to what extent it can satisfy the actual requirement or it fits in practical realities other than statements.
There are three forms or validity in general:

a. Content Validity
b. Context Validity
c. Face Validity

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Lecture 17

INFRASTRUCTURE FOR TEST

INFRASTRUCTURE FOR TEST

Space: The place where the test in to be conducted should have enough space with a proper sitting arrangement.

Proper Temperature: Proper adjustment of temperature is required along with proper light so that candidate may be able to draw a clear picture of their mind to answer the interviewer's questions.

Enough quantity of stationary: Stationary includes papers, pencils, calculators, graphs, diagrams and answer sheets, the stationary should be in enough quantity for the ease of the candidates.

Evaluation of Test: At the end candidate's answers are compared with the benchmark answers in order to evaluate the test.

After evaluating the tests, interviews are conducted of those candidates who have qualified the test.

Interview: Any verbal interaction is called interview.

JOB INTERVIEW

A method of selection in which we interact with the candidate verbally

Types of Job Interview

1. Telephonic Interviews
2. Preliminary Interviews
3. Selection Interviews

Telephonic interview

Telephonic interview means to make a call to the candidate on the telephone to know the answers of the candidates; normally telephonic interview is not conducted for final selection. It helps to know about candidate's preliminary information like qualification, communication skill or competency, and a little exposure of the candidate before calling him for a face-to-face interview.

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Preliminary Interview

Organizations which don't conduct telephonic interview adopt the method of preliminary interview. For preliminary interview organizations call the candidate for a short and basic interview for a little judgment about the appearance, manners and personality of the candidate.

Selection Interview

These are the final interviews and longer in duration to know about the candidate in detail. There may be one or two more interviews before these final interviews. Final interview are conducted in the most professional manner so that there may not be any wrong selection.

TECHNIQUES FOR FINAL INTERVIEWS

1. **Pattern Interview**

In pattern interview pre-decided questions are asked in a pre-defined sequence.

2. **Non Pattern Interview**

In non-pattern interview questions are asked according to the situation.

3. **Shortcoming of Pattern Interview**

Interviewer can not ask any question other than pre-defined questions.

4. **Shortcoming of Non Pattern Interview**

In non pattern interview there is more possibility of non-professional and irrelevant questions.

5. **Mix Interview:**

It is an interview in which some questions are pre-defined and some are situational.

WAYS TO CONDUCT INTERVIEW

1. **One person interview**

- **Panel Interview:** Panel interview consists on a group of people related to the job conduct interview. In panel interview specialists from different fields are called who have some relevancy to the job in order to judge the competency of the candidate's competency.

Arrangements for conducting Interview

Proper place: The place where the interview is to be conducted should be peaceful and quiet so that interviewer and interviewee may listen each other easily.

Preparation for questions: To ask the required or relevant questions from the candidate, the questions should be properly planned and prepared.

Read out the resumes of candidates. It is necessary to read the resumes of the candidates before conducting the interview in order to know the education and experience of the candidates.

At the end the whole and required information about the candidate is noted down on the paper in order to recall the memory while taking the final decision about the selection.

HUMAN RESOURCE DEVELOPMENT

After the selection the next step is to develop the employees. Human Resource Development is done through training.
Before the employees start the work they are provided training to learn and know the nature of the work. Training may be of six months or of a year

METHODS FOR TRAINING

On job Training: It refers to learn while working in the organization.

Off job Training: A commonly used way in off the job training is lecture method

1. **Lecture method**: It is a method in which one person speaks and others listen this is also called class room training .It is an efficient way to train the people. It is a cheaper method of training and for some jobs it is an appropriate method of training.

2. **Vestibule Training**: In this method artificial situation is created for training people.

3. **Role Playing**: In this method people play and act on different roles, by this way people make a fake bank or any department and performing different roles people may learn a lot.

4. **Business Games**: Some computerized games also help people to learn.

5. **Case Studies**: In this hypothetical situation is created and put the specific person in that situation the person learns to take decisions while keeping him in that particular scenario.

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Performance Appraisal: Performance appraisal is the evaluation of the performance that people are working according to the expectations or not.

Reasons for performance appraisals:

- Validation of Human Resource Program
- Pay for performance

Compensation

Compensation can be:

1. Monetary reward
2. Non Monetary reward

Incentives include the plans for encouragement of employees in the organization.

Types of Incentives

1. **Organizational Level Incentives**: Organizational Level Incentives includes paid to everyone in the organization.

2. **Individual Incentives:** Individual Incentives includes paid to individual employees who have done good job.

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Lecture 18

COMPENSATION AND BENEFITS

Set of rewards that organizations provide to individuals in return for their willingness to perform various jobs and tasks within the organization. Compensation includes base salary, incentives, bonuses, benefits, and other rewards.

Wages and Salaries

Wages—compensation in the form of money paid for time worked.

Salary—compensation in the form of money paid for discharging the responsibilities of a job.

Incentive Programs

Special compensation program designed to motivate high performance.

1. **Individual Incentives**—incentive-based pay plan that rewards individual performance.

2. **Bonus**—Individual performance incentive in the form of a special payment made over and above the employee's salary

Merit Salary Systems—Individual incentive linking compensation to performance in non-sales jobs

Pay-for-performance (or variable pay)—Individual incentive that rewards a manager for especially productive output

Company-wide Incentives

Profit-sharing plan—Incentive plan for distributing bonuses to employees when company profits rise above a certain level

Gain-sharing plan—Incentive plan that rewards groups for productivity improvements

Pay-for-knowledge plan—Incentive plan to encourage employees to learn new skills or become proficient at different jobs

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Benefit Programs—compensation other than wages and salaries. Some may be required by law, such as, **workers' compensation insurance** (insurance for compensating workers injured on the job)

Retirement Plans—prearranged company pensions provided to retired employees.

Containing the Costs of Benefits

Cafeteria Benefit Plan—benefit plan that sets limits on benefits per employee, each of whom may choose from a variety of alternative benefits. It allows employees to choose those benefits they really want.

Equal Employment Opportunity

The basic goal of all equal employment opportunity regulation is to protect people from unfair or inappropriate discrimination in the workplace. Legally mandated nondiscrimination in employment on the basis of race, creed, sex, or national origin

iv. Protected Classes in the Workplace

1. **Protected Class**—set of individuals who by nature of one or more common characteristics are protected by law from discrimination on the basis of any of those characteristics.

v. Enforcing Equal Employment Opportunity

1. **Equal Employment Opportunity Commission (EEOC)**—Dept. of Justice agency created by Title VII to enforce discrimination-related laws.

2. **Affirmative Action Plan**–practice of recruiting qualified employees belonging to racial, gender, or ethnic groups who are underrepresented in an organization.

COLLECTIVE AFFAIRS OF EMPLOYEES

Labor Union—Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions

Labor Relations—Process of dealing with employees who are represented by a union

Collective Bargaining—Process by which labor and management negotiate conditions of employment for union-represented workers.

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Collective Bargaining agent (CBA) is a person who has been elected by all the workers in the organization through legal procedures.

Collective bargaining is an ongoing process involving both the drafting and the administering of the terms of the labor contract. It begins as soon as the union is recognized as the exclusive negotiator for its members.

Reaching Agreement on Contract Terms—Law requires that union leaders and management representatives must sit down at the bargaining table and negotiate in good faith. Sessions focus on identifying the bargaining zone.

CONTRACT ISSUES

- **Compensation**—Unions generally want their members to earn higher wages; compensation is the most common contract issue.

  1: Cost-of-living adjustment (COLA)–labor contract clause tying future raises to changes in consumer purchasing power.

  2: Wage reopener clause–clause allowing wage rates to be renegotiated during the life of the labor contract.

- **Benefits** (e.g., health insurance, retirement benefits, paid holidays, working conditions)—Unions typically want employers to pay all or most of the costs of benefits.

- **Job Security**—In some cases, demands for job security entail the company's promise not to move to another location, or a stipulation that if workforce reductions must occur, seniority will be used to determine which employees lose their jobs.

- **Other Union Issues** (e.g., working hours, overtime policies, rest period arrangements, differential pay plans for shift employees, the use of temporary workers, grievance procedures, and allowable union activities)

- **Management Rights**—Management wants as much control as possible over hiring policies and work assignments. Unions try to limit management rights by specifying hiring, assignment, and other policies.

MOTIVATION IN THE WORKPLACE

Motivation is a force that forces people towards a task. Employee motivation is even more critical to a firm's success than job satisfaction and morale.

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Classical Theory

Theory holding that workers are motivated solely by money.

1. **Scientific Management**–an approach to employee motivation incorporating the classical theory of motivation.

2. **Frederick Taylor (Principles of Scientific Management, 1911)** reasoned that if workers were motivated by money, paying the more should prompt them to produce more. At the same time, firms that analyzed jobs and found better ways to perform them would be able to produce goods more cheaply, make more profits, and be able to pay and motivate workers better than its competitors.

3. **Time-and-motion studies**–industrial-engineering techniques applied to each facet of a job in order to determine how to perform it most efficiently

Objections on Fredrick Taylor's Theory of Scientific Management

- This theory considers human beings as machines.

Behavior Theory

The Hawthorne Studies—a set of experiments aimed at examining the relationship between changes in the physical environment and worker output.

1. In 1925 Harvard researchers studied Hawthorne Works of Western Electric, outside Chicago. Their experiment with increasing lighting levels to examine the relationship between changes in the physical environment and worker output showed the surprising result that both higher and lower levels increased productivity, while increased pay failed to do so.

2. The answer proved to be that workers were reacting to the attention they were receiving, leading to the conclusion that productivity rose in response to almost any management action that workers interpreted as special attention.

3. **Hawthorne Effect**—tendency for productivity to increase when workers believe they are receiving special attention from management.

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Lecture 19

CONTEMPORARY MOTIVATIONAL THEORIES

Following the Hawthorne studies, managers and researchers focused more attention on the importance of good human relations in motivating employee performance. Most motivation theorists are concerned with the ways in which management thinks about and treats employees.

Human Resources Model: Theories X and Y—Douglas McGregor's theory of motivation suggesting that managers have radically different beliefs about how best to use the human resources employed by a firm.

Theory X—theory of motivation holding that people are naturally irresponsible and uncooperative.

Theory Y—theory of motivation holding that people are naturally responsible, growth oriented, self-motivated, and interested in being productive.

McGregor Theory- X & Y

X-Type managers might:

Use punishment and threat to make people work. And will control activities of the work very closely.

Y-Type managers will identify the barriers which are causing problems for workers and try to eliminate those barriers.

In some situations, managers have to adopt X-type behavior and in some situations, they have to adopt Y-type behavior. Culturally, in societies, managers are moving towards Y-type behavior from X-type behavior.

Maslow's Hierarchy of Needs Model—Psychologist Abraham Maslow's theory of motivation proposing that people have several different needs that they attempt to satisfy in their work.

These needs are hierarchical in importance; lower-level needs must be met before a person will try to satisfy higher-level needs. Once a set of needs has been satisfied, it ceases to motivate behavior.

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Maslow's Hierarchy of Needs

Biological Needs

Biological needs are related to human body's survival. e.g. food, drink, air, sleep etc.

Safety Needs

Safety from: Cold, Heat, Sand, Storm, Earthquake, Animals, Enemies

Use of Hierarchy in Motivation

Biological needs can be fulfilled by:

- Giving salaries.
- Providing free or cheaper food to employees.
- Providing routine items at concessional prices.

Safety Needs

Organization can provide safety devices to employees. For instance:

- Helmet
- Glasses
- Gloves
- Special purpose shoes
- Medical Facilities
- Houses
- House rent
- Pick & drop service
- Insurance
- Pension plans
- Preventing people from accidents

Social Needs

Organizations encourage informal organizational activities.

These include:

- Combined lunch or dinner
- Sports
- Fun fair
- Musical Programs

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Self Esteem

It means worth of human beings.

These include:

- Designation of Individuals
- Status in the organization
- Recognition of employees in the organization

Self esteem has direct relationship with productivity. Various techniques can be used to make self esteem of employees high.

These can be:

- Finding titles for employees
- Recognition
- Awards
- Cash rewards
- Increment in the salary
- Promotion
- Raising status of employees

Self Actualization

Self actualization is the fullest utilization of one's potential.

These include:

- High Challenges
- High position in the organization

Criticism on Maslow's hierarchy theory

- It is possible that human needs may deviate from the order given by Maslow.
- There is a question mark whether needs finish after self actualization or not.

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Lecture 20

TWO-FACTOR THEORY OR HYGIENE THEORY

Frederick Herzberg's theory of motivation holding that job satisfaction depends on two types of factors, hygiene and motivation.

- Factors required to keep employees in the organization are called hygiene factors.
- Factors used to get high productivity from workers are called motivators.

Hygiene factors fall with the biological needs, safety needs and partially with social needs of Maslow's hierarchy theory. Motivators are almost similar to social needs, self-esteem needs and self-actualization needs of Maslow's hierarchy theory. Both factors should be present in the organization at the same time to get productivity from workers.

This theory suggests that managers should follow a two-step approach to enhancing motivation—first, ensure that hygiene factors (working conditions, policies) are acceptable, and then offer motivation factors such as recognition and added responsibility. Biological needs are related to human body's survival. E.g. food, drink, air, sleeps etc.

Expectancy Theory—theory of motivation holding that people are motivated to work toward rewards that they want and that they believe they have a reasonable chance of obtaining.
In this theory, a reward that is out of reach is likely to be undesirable even if it is intrinsically positive.

People in the organization are motivated with:

- Expectations about reward.
- Assurance of getting reward by doing a particular task.

Equity Theory—theory of motivation holding that people evaluate their treatment by employers relative to the treatment of others.
People derive a ratio of contribution to return from analyzing what they contribute to their jobs (inputs) and what they receive in return (outputs); they then compare their own ratios with those of other employees. The ratios do not have to be the same, only fair.

Equivalence in inputs and outcomes

Inputs of employees in an organization are:

- Level of education
- Skills
- Experience

- Reputation
- Hard work
- Connections

Outcomes of employees in an organization are:

- Salaries
- Designations
- Promotions
- Benefits
- Social Status
- Respect in the organization
- Opportunities

Individual will also compare his input/outcome with other individual's input/outcome.

How can Equity Theory be implemented?

Managers have to explain reasons for the difference of outcomes of employees in order to keep them motivated. People compare their rewards with the market as well.

Lecture 21

STRATEGIES FOR ENHANCING JOB SATISFACTION AND MORALE

These strategies are ways to apply manager's knowledge of what provides job satisfaction and motivates workers.

Reinforcement/Behavior Modification Theory—theory that behavior can be encouraged or discouraged by means of rewards or punishments.
Most managers prefer giving rewards and placing positive value on performance to doling out punishment.

- To strengthen desired behavior at work place.
- To force the workers to adopt that behavior.
- There are two ways for reinforcement:
    - Positive reinforcement- means to encourage a particular behavior.
    - Negative reinforcement- means to discourage a particular behavior.

Human Relations—Interactions between employers and employees and their attitudes toward one another

Human Relations can be:

- Employee to employee
- Employee to employer

Purpose of human relations is to give a feeling of a family.

Management by Objectives—set of procedures involving both managers and subordinates in setting goals and evaluating progress.
Experts agree that motivation is the biggest advantage of MBO if it is used properly.

Participative Management and Empowerment—method of increasing job satisfaction by giving employees a voice in the management of their jobs and the company.
As an example, workers who no longer report product defects to supervisor but have the freedom to correct problems themselves, or even return defective products to the workers who are responsible for them, have been empowered to take greater responsibility for their own performance.

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Teamwork is not for every situation. Levi Strauss dismantled production teams in which faster workers became resentful of slower workers who reduced the group's total output, when teach member's pay was determined by the team's level of productivity.

Team Management—employees are given decision-making responsibility for certain narrow or broad activities.

JOB ENRICHMENT AND JOB REDESIGN

Job Enrichment Programs—method of increasing job satisfaction by adding one or more motivating factors to job activities.

Job rotation plans, for example, expand growth opportunities and the chance to learn new skills.

Job Redesign Programs—method of increasing job satisfaction by designing a more satisfactory fit between workers and their jobs.

Job redesign is usually implemented in one of three ways: through combining task, forming natural work groups, or establishing client relationships.

PSYCHOLOGICAL CONTRACTS IN ORGANIZATIONS

Set of expectations held by an employee concerning what he or she will contribute to an organization (referred to as contributions) and what the organization will in return provide the employee (referred to as inducements).
All organizations face the basic challenge of managing psychological contracts. The massive wave of downsizing and cutbacks that swept the U.S. economy in the 1980s and early 1990s has complicated that challenge. Because job permanence is less likely now, alternative inducements such as lavish benefits packages may be needed instead.

Managerial Styles and Leadership:

There are many valid styles of leadership. Most managers do not conform to anyone style, but under different circumstances, any given style or combination of styles may prove appropriate.

Leadership: A process of motivating others to work to meet specific objectives.

a. Managerial Styles: Pattern of behavior that a manager exhibits in dealing with subordinates.

i. **Autocratic Style:** Managerial style in which managers generally issue orders and expect them to be obeyed without question.

ii. **Democratic Style:** Managerial style in which managers generally ask for input from subordinates but retain final decision-making power.

iii. **Free-Rein Style**: Managerial style in which managers typically serve as advisers to subordinates who are allowed to make decisions.

iv. **The Contingency Approach to Leadership**: The contingency approach acknowledges that people in different cultures behave different and expect different things from their managers. Managers will be more effective when they adapt their styles to the contingencies of the situations they face.

v. **Contingency Approach**: Approach to managerial style holding that the appropriate behavior in any situation is dependent (contingent) on the unique elements of that situation.

MOTIVATION AND LEADERSHIP IN THE TWENTY-FIRST CENTURY

Changing Patterns of Motivation:

Today's employees want rewards that are often quite different from those valued by earlier generations.

- Money is no longer the prime motivator for most people, and because businesses cannot offer the same degree of job security that many workers want, motivation requires skillful attention from managers.

- One recent survey found that workers wanted flexible working hours (67 percent), casual dress (56 percent), unlimited Internet access (51 percent), opportunities to telecommute (43 percent), nap time (28 percent), massages and other perks. In another study of fathers, many men said they wanted more flexible working hours in order to spend more time with their families. Today's workers have a complex set of needs and their motivations are increasingly complex.

- The diversity inherent in today's workforce makes motivating behavior more complex.

Changing Patterns of Leadership:

1. Today's leaders are finding it necessary to change their own behavior as organizations become flatter and workers more empowered.
   The autocratic style is less acceptable and many managers are functions more as coaches than bosses.

2. Diversity is affecting leadership processes.
   Women, African Americans, and Hispanics are entering the managerial ranks in

increasing numbers, and they are more and more likely to be younger than some of the people they are leading.

3. Leaders must adopt more of a "network" mentality rather than a "hierarchical" one.

   New forms of organizational design may call for one person to be the leader on one project and a team member on another.

Modified Work Schedules

Work-Share Programs—method of increasing job satisfaction by allowing two or more people to share a single full-time job

Job sharing usually benefits both employees and employers, although job-sharing employees generally receive fewer benefits than full-time counterparts.

Flextime Programs and Alternative Workplace Strategies—method of increasing job satisfaction by allowing workers to adjust work schedules on a daily or weekly basis.
Flextime can include starting later and leaving later in the day, starting and leaving earlier, or choosing which 4, 5, or 6 days to work during the week while still completing 40 hours.

Telecommuting and Virtual Offices
Telecommuting—form of flextime that allows people to perform some or all of a job away from standard office settings.

Among salaried employees, the telecommuter workforce grew by 21/5 percent in 1994, to 7.6 million; the number of telecommuters now exceeds 25 million employees.
The key to telecommuting is technology—networked computers, fax machines, cellular phones, and overnight delivery services make it possible to work from home or while traveling.

Virtual office—redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus.
Informal work carrels or nooks and open areas can be made available to every employee.

Advantages and Disadvantages of Modified Schedules and Alternative Workplaces

1. Employees benefit from more freedom in their professional and personal lives.

2. Employers benefit from higher levels of commitment and job satisfaction.

3. Flextime sometimes complicates coordination because people who need to work together are working different schedules.

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4. Telecommuting and virtual offices may not be for everyone. Those who can work best in these new environments tend to be disciplined self-starters who require little direct supervision during the day and are not uncomfortable working away from their managers and colleagues.

One other disadvantage is that it can be difficult for telecommuters to convince management that if they are not being supervised, they are still working, a perception based on the often erroneous assumption that "if you can see them, they are working."

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Lecture 22

WHAT IS MARKETING?

Although you may be just beginning your classroom study of marketing, organizations like Microsoft and Coca-Cola have been trying to sell you things for many years. You have probably become accustomed to many marketing techniques—contests, advertisements, fascinating displays placed in strategic locations, price markdowns and giveaways. What you are about to learn is that marketing requires a lot of planning and implementation to develop a new product, set its price, get it to consumers, and convince them to buy it.

Marketing

As defined by the American Marketing Association:

"It is planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives."

However, in laymen's terms:

"Marketing is quite simply finding a need and filling it."

a. **Marketing: Providing Value and Satisfaction:**
Marketing plays an important role in society by helping people satisfy their needs and wants and by helping organizations decide what to produce.
   i. **Value** compares a product's **benefits** with its costs.
   ii. **Utility** is the value to the customer that is added by the marketer. In other words, utility is the ability of a product to satisfy a human want or need. There are four types of utility:

      1) **Time utility** is making the product available when the customer wants it.
      2) **Place utility** is making the product available where consumers want it.
      3) **Ownership utility** is the customer value created when someone takes ownership of a product. Marketers create possession utility by facilitating the transaction.
      4) **Form utility** refers to the characteristics of the product such as its shape, size, color, function, and style.

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b. **Marketing of Goods, Services, and Ideas:**
The influence of marketing permeates everyday life, applying to **goods**, **services**, and **ideas**. Marketing applies to tangible and intangible goods and include:

1) **Consumer Goods**—products purchased by consumers for personal use.
2) **Industrial Goods**—products purchased by companies to produce other products.
3) **Services**—intangible products, such as time, expertise, or an activity, that can be purchased.
4) **Ideas**—intangibles such as, MADD, Mothers against Drunk Driving.

c. **Relationship Marketing** emphasizes lasting relationships with customers and suppliers. Purchase incentives and customer loyalty programs are just some of the ways in which firms try to promote these relationships.

Lecture 23

Difference between Marketing and Selling

Marketing	Selling
Marketing starts before decision about production	Selling starts after decision about production
Marketing is a total system and selling is one of its parts	Selling is the transfer of ownership
Marketing is a long term process	Selling is a short term process

CLASSIFICATION OF PRODUCTS

There are two types of products

1: Consumer products

2: Industrial products

- Consumer products are consumed after certain uses. E.g. Tea, soap, toothpaste, shaving cream, cooking oil etc.
- Industrial products are used in industry. E.g. Raw material, machinery, chemicals, computer hardware and software.

Relationship Marketing

Developing a long term relationship with the customers, by making phone calls to the customers, sending gifts to customers etc.

Transactional Marketing

Transaction with the customer, it is a business strategy that focuses on single, "point of sale" transactions. The emphasis is on maximizing the efficiency and volume of individual sales rather than developing a relationship with the buyer.

FACTORS INFLUENCING THE MARKETING SYSTEM

- External Marketing Environmental Factors
- Internal Marketing Environmental Factors

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THE MARKETING ENVIRONMENT

The powerful forces of the external marketing environment heavily influence

Marketing programs by posing opportunities and threats

a. **Political and legal environment**: From taxes to regulations to laws, the political and legal environment has a profound impact on marketing. This is especially true for certain industries, such as telecommunications, automobiles, and tobacco.
b. **Social and cultural environment**: Trends in this arena, present enormous opportunities for companies those are both farsighted and flexible. Issues and changes include increasing diversity in the U.S., more single-parent families, a rapidly growing senior population, etc.
c. **Technological environment**: New technologies create new goods and services, but also make some existing products obsolete (witness the growing dominance of DVDs at Blockbuster). In recent years, the emergence of the Internet has had the greatest impact on marketing.
d. **Economic environment**: Inflation, interest rates, recession, and recovery-both in the U.S. and (to an increasing extent) abroad-have a dramatic influence on every element of the marketing mix.
e. **Competitive environment**: Creating a competitive advantage is a fundamental goal of marketing that can only be accomplished by carefully and continually monitoring every element of the competitive environment.
   The competitive environment drives many marketing decisions. By studying the competition, marketers determine how best to position their own products. Knowing the alternatives available to your customers, who your competitors are and what they offer is as vital to success as watching for the next big food or fashion craze or technological innovation. There are three specific types of competition:
   1. **Substitute product competition**: Products that are dissimilar from those of competitors, but can fulfill the same need (e.g. Television and computer games are very different from one another, but both fulfill the need for entertainment).
   2. **Brand competition**: Occurs between similar products (e.g. Zest bar soap and Irish Spring bar soap).
   3. **International competition**: matches the products of domestic marketers against those of foreign competitors (e.g. Neutrogena skin care products vs. L'Oreal skin care products, or Heineken vs. Budweiser).

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MARKETING MANAGER

A person who plans, executes and responsible for all marketing activities.

Role of Marketing Manager

- To identify the unsatisfied needs of the customers.
- To design the product.
- Product Development.
- Pricing Decisions.
- Product Distribution.
- Communication with the customers.
- Marketing Research.
- Appointment of staff in marketing department.

MARKETING PLAN

A written document which describes the overall marketing activities for a particular time period.

Components of marketing plan are:

- Executive Summary.
- Current market situation.
- Opportunity Analysis.
- Marketing objectives.
- Marketing Strategies.
- Projected income statement.
- Control.

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Lecture 24

THE MARKETING MIX

A firm's **marketing mix** (often called the four Ps) consists of **product**, **place** (or distribution), **price**, and **promotion**.

a. Product: The good, service, or idea that is marketed to fill consumer wants and needs. Improving existing products and developing new products are among the marketer's most important tasks.

i. **Product differentiation**: Creation of a product or product image that differs enough from existing products to attract consumers. Differentiation is a source of competitive advantage. Combinations of physical goods and services can also be sources of differentiation.

b. Pricing: Selecting the most appropriate price at which to sell a product. Lower prices generally lead to higher sales volume, while higher prices generally lead to higher profits per unit. Prices must support a variety of costs, such as the organization's operating, administrative, and research costs, and marketing cost like advertising and sales salaries

c. Place (distribution): Determining the most effective and efficient way to get products from producers to consumers. The distribution also involves choosing which channels of distribution are most appropriate.

d. Promotion: All of the activities a firm undertakes to communicate and promote its products to the target market. This is clearly the most visible element of the marketing mix.

TARGET MARKETING AND MARKET SEGMENTATION

A market contains all the customers or businesses that might be interested in a product and can pay for it.

Identifying Market Segments: Companies subdivide the market into **market segments**, homogeneous groups of customers within a market that are significantly different from one another. The goal of the **market segmentation** process is to group customers with similar characteristics, behavior and needs. These **target markets** can then be offered products that are priced, distributed, and promoted differently. Four factors marketers frequently use to identify market segments are:

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I. **Geographic** segmentation divides markets in certain areas such as regions, cities, counties, or neighborhoods to customize and sell products that meet the needs of specific markets**.**
II. **Demographics** use statistical analysis to subdivide the population according to characteristics such as age, gender, income, race, occupation, and ethnic group.
III. **Psychographics** is the analysis of people by psychological makeup, including activities, interests, opinions, and lifestyles (e.g. Fashion-conscious, thrill-seeking).
IV. **Behavioral** segmentation divides markets according to customers' knowledge of, attitude toward, use of, or response to products or their characteristics.

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Lecture 25

MARKETING RESEARCH

Market research is the process of systematic gathering, recording and analyzing of data about customers, competitors and the market. Market research can help create a business plan, launch a new product or service, fine tune existing products and services, expand into new markets etc. It can be used to determine which portion of the population will purchase the product/service, based on variables like age, gender, location and income level. It can be found out what market characteristics your target market has.

The purpose of market research is to help companies make better business decisions about the development and marketing of new products. Market research represents the voice of the consumers in the company

A list of questions that can be answered through market research:

- What is happening in the market? What are the trends? Who are the competitors?
- How do consumers talk about the products in the market?
- Which needs are important? Are the needs being met by current products?

A simple example of what market research can do for a business is the following.
At the Company Chevrolet they brought several disciplines together in a cross-functional team to develop a concept for a completely new Chevrolet. This team enabled the marketers to come up with an alternative concept, one that balanced 4 attributes: comfort and convenience, quality, styling, and performance. This was considered radical because comfort and convenience were not traditional Chevrolet values. However, market research demonstrated that consumers supported the alternative concept. As a result the new Chevrolet was a huge success in the market. [Burns 2001]

With market research you can get some kind of confirmation that there is a market for your idea, and that a successful launch and growth are possible.

Market research for business planning

Market research is discovering what people want, need, or believe. It can also involve discovering how they act. Once that research is complete it can be used to determine how to market your specific product. Whenever possible, try to reduce risks at the earliest possible stage. For example you could carry out market research early on and not wait until you are almost ready to enter the market. If early market research reveals that your business idea has real potential, you can use this information in planning the buildup of your business. [Ilar 1998]

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For starting up a business there are a few things should be found out through market research in order to know if your business is feasible. These are things like:

Market information

Market information is making known the prices of the different commodities in the market, the supply and the demand. Information about the markets can be obtained in several different varieties and formats. The most basic form of market information is the best quotation and last sale data, including the number of shares, with respect to a particular security at a given time. [Market research 2006]

Examples of market information questions are:

_ Who are the customers?
_ Where are they located and how can they be contacted?
_ What quantity and quality do they want?
_ What is the best time to sell?
_ What is the long-term or historical price data over a number of years?
_ What is the expected production in the country?
_ Is there more demand for one product or another? Etc.

Market Segmentation

Market segmentation is the division of the market or population into subgroups with similar motivations. Widely used bases for segmenting include geographic differences, personality differences, demographic differences, use of product differences, and psychographic differences.

Market Trends

The upward or downward movements of a market, during a period of time, the market size is more difficult to estimate if you are starting with something completely new. In this case, you will have to derive the figures from the number of potential customers or customer segments. [Ilar 1998]

But besides information about the target market you also need information about your competitor, your customers, products etc. A few techniques are:

Customer Analysis

_ Competitor analysis
_ Risk analysis
_ Product research

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MARKET RESEARCH PROCESS

This chapter introduces the steps involved in the market research process. It also provides you with a brief preview of each of the steps necessary to conduct a market research effort. As you can see in figure 1, the market research process has 4 basic steps. These steps include:

- Defining the research problem
- Establishing the research design
- Collecting and analyzing data
- Formulate findings

Meta-process model for Market research

Before these four steps are discussed it is important to make a few comments about these steps. First, although the list does strongly imply an orderly step-by-step process, it is rare that a research project follows these steps in the exact order that they are presented in the figure.

Market research is more of an interactive process whereby a researcher, by discovering something in a given step, may move backward in the process and begin again at another step [Market research 2006] Finding some new information while collecting data, may cause the researcher to establish different research objectives

In the following the different market research steps are described.

Defining the research problem

The step defining the research problem exists of 2 main steps: (1) formulating the problem and
(2) Establishing research objectives.

Defining the problem is the single most important step in the market research process. A clear statement of the problem is a key to a good research. A firm may spend hundreds or thousands of dollars doing market research, but if it has not correctly identified the problem, those dollars are wasted. In our case it is obvious that the problem here is setting up a business. But even if this is clear, you still need to know what exactly you need to know to make the new business a success and what specifically related to the product is difficult to find out. Problems that may be encountered are: it is unknown what potential markets there are, what customer groups are interested in your products, who the competitors are? After formulating your problem, you need to formulate your research questions. What questions need to be answered and which possible sub-questions do you have.

With the problem or opportunity defined, the next step is to set objectives for your market research operations. Research objectives, related to and determined by the problem

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formulation, are set so that when achieved they provide the necessary information to solve the problem. A good way of setting research objectives is to ask,

“What information is needed in order to solve the problem?" Your objective might be to explore the nature of a problem so you may further define it, or perhaps it is to determine how many people will buy your product packaged in a certain way and offered at a certain price. Your objective might even be to test possible cause and effect relationships. For example, if you lower your price, how much will it increase your sales volume? And what impact will it have on your profit?

Clear objectives can lead to clear results. An example of this is a situation at Camaro/Firebird. Auto manufacturers are sometimes criticized for creating expensive vehicles with unwanted features and technologies that do not meet the needs of the target market. To avoid this trap engineering team of this company turned to market research to evaluate how changes in performance and fuel economy would affect sales volume and customer satisfaction. It turned out that customers were willing to pay more for greater performance if the car also offered simultaneous increases in fuel economy. [Burns 2001]

The problem description, the research question, sub questions and the research objectives are part of an overall document problem description.

After describing and formulating the problem and the objectives, the next step is to prepare a detailed and realistic time frame to complete all steps of the market research process. If your business operates in cycles, establish target dates that will allow the best accessibility to your market. For example, a holiday greeting card business may want to conduct research before or around the holiday season buying period, when their customers are most likely to be thinking about their purchases. [Market research 2006]

Selecting and establishing research design

The step selecting and establishing research design consists of 3 main steps:
(1) Select the research design, (2) identify information types and sources and (3) determine and design research instrument.

.

Collecting and analyzing data

Data collection is usually done by trained interviewers who are employed by field data collection companies to collect primary data. A choice has to be made between collecting the data yourself or hiring an external office who are specialized in interviews. Data analysis is needed to give the raw data any meaning. The first step in analyzing the data is cleaning the data. This is the process of checking the raw data to verify that the data has been correctly entered into the files from the data collection form. After that the data have to be coded. This is the process of assigning all response categories a numerical value.

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For example males = 1, females = 2. After that the data can be tabulated, which refers to the actual counting of the number of observations that fall into each possible response category.

Formulate findings

After analyzing the data you can make your findings based on this data. Once the findings about the target market, competition and the environment are finished, present it in an organized manner to the decision makers of the business. In this case report the findings in the market analysis section of your business plan. In summary, the resulting data were created to help guide your business decisions, so it needs to be readily accessible to the decision makers.

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Lecture 26

CONSUMER BEHAVIOR & MARKETING RESEARCH

Marketing Research is the process of gathering data about marketing issues and transforming that raw data into meaningful information that can improve decisions and reduce risks. Market research can help with nearly every phase of marketing from setting goals for market share of developing new products for monitoring the program's effectiveness. It is also important to monitor the competition, track industry trends, and measure customer satisfaction. Marketing

Research can occur at any point in the product's existence.

The Research Process

- Study the current situation
- Select a research method
- Collect data
- Secondary data are already available from previous research.
- Primary data is newly performed research.
- Analyze the data
- Prepare a report

Research Methods

Observation: Market Research technique that involves simply watching and recording consumer behavior. Probably the oldest form of market research, it has been brought up to date with such tools as electronic supermarket scanners that allow managers to see what is selling without having to check shelves or inventory.

Survey-Market Research: technique using a questionnaire that is either mailed to individuals or used as the basis of interviews. Surveys can be expensive and may vary widely in accuracy; it is also difficult to find representative groups of respondents.

Focus Group-Market Research: technique in which a small group of people is gathered, presented with an issue, and asked to discuss it in depth. At its best, it allows exploration of complex issues and can produce creative solutions. Its small size (6 to 15 people is best) means it may not represent the larger market well. Focus groups are often used as a first step, leading to some other form of research.

Experimentation: market research technique that attempts to compare the responses of the same or similar people under different circumstances. This method is very expensive but

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can supply answers to questions that surveys cannot address, by allowing customers to sample new products, for instance.

UNDERSTANDING CONSUMER BEHAVIOR

Marketers study consumer buying behavior to learn what makes individuals buy one product instead of another. Consumer markets consist of individuals or households that purchase goods and services for personal use. Issues to be considered are the differences between organizational and consumer markets, the buyer's decision process, and the factors that affect that decision process.

Influences on Consumer Behavior

Consumer behavior is essentially the study of why consumers purchase and consume products. Four key factors influence consumer behavior:

I. **Psychological**: Motivations, perceptions, ability to learn, attitudes
II. **Personal**: Lifestyle, personality, economic status
III. **Social**: Family, opinion leaders, reference groups (e.g. Friends, associates)
IV. **Cultural**: Culture, subculture, social class

The Consumer Buying Process

One way to look at the psychology of buying is to understand the decision-making process people go through when making a purchase. Deciding what to buy is a problem-solving process. Sometimes consumers become

I. **Problem/Need recognition**: The consumer buying process begins with recognizing a problem or need. Needs often arise when our personal circumstances change, creating windows of opportunity for marketers (e.g. Getting married, entering the workforce, etc.).

II. **Information seeking**: Sources of information can range from personal sources, to market sources, to public sources, to experience. Depending on the product, information seeking ranges from superficial (e.g. "Where is the soft drink machine?") to extensive (e.g. Library research).

III. **Evaluation of alternatives**: This step is essentially a matching process: How do the attributes of the products you are considering match with your needs and wants? Here, too, the evaluation process can range from brief to protract.

IV. **Purchase decision**: Purchase decisions are typically based on a combination of rational and emotional motives. **Rational motives** are based on logical evaluation of product attributes (e.g. Cost, quality, usefulness). **Emotional motives** are based on non-objective factors (e.g. "All my friends have 4-inch high heel shoes!").

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V. **Post-purchase evaluation**: This includes everything that happens after the sale. Satisfied customers are likely to repurchase products they have used and enjoyed, while unhappy customers are not only unlikely to repurchase, but also are prone to broadcast their negative experience to other potential consumers.

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Lecture 27

PRODUCT, TYPES OF PRODUCTS & STEPS FOR PRODUCT DEVELOPMENT

Product

A product is anything that can be offered for sale by an organization and in return it can earn profits for the firm. Every product has some associated benefits based on the features of that specified product. Every product has a set of identified features.

Forms of Products

General forms of products can be:

- **Tangible**

All the products that can touch physically or smelled or felt with fingertips are called tangible ones.

- **Intangible**

All the products that cannot be touched physically are called intangible ones.

E.g., if you observe a bill board of any juice product, product presented in the bill board is untouchable as you can't feel is with your finger or smell it but original product will be tangible as you can taste it, feel it or smell it.

CLASSIFICATION OF PRODUCTS

Products are classified as under:

Consumer Products

Products that are used by consumers as are available in finished & consumable forms.

Industrial Products

Products that are used to prepare other products are called as industrial products.

CATEGORIES OF CONSUMER GOODS

Consumer goods can be further divided as under:

- **Convenience goods**
    - Goods which are convenient to buy for the customer.
    - Customer has complete awareness of the product.
    - Customer buys these products frequently.
    - Goods available at near places from the customers
- **Shopping Goods**
    - Customers move farther to acquire these goods
    - Customers do have search for getting these goods
    - Usually quality is not standardized for these goods
    - Prices are also not standardized for these goods
- **Specialty goods**
    - For these products, customers have strong brand loyalty.
    - Customers are very quality, status & standard conscious for these products.

CATEGORIES OF INDUSTRIAL GOODS

Industrial goods have following categories

- **Capital Items**
    - These are capital goods.
    - These are long lived and expensive goods.
    - Sometimes copyrights are purchased.
- **Expense Items**
    - These can be:
        - Raw Material
        - Some utility items
            - Oil
            - Grease
        - Some tools used in operations

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PRODUCT MIX

The sum of all products offered by a company for sale.

- Its **width wise** expansion of the products of any companies.
- Production of cars, trucks motorcycle etc. & other vehicles produced by the same company is the examples of product mix.

PRODUCT LINE

A set of related products manufactured by a single organization is called product line.

- Depth wise expansion of any company is called product line
- Products which are similar to each other .e.g. if a company is producing TV sets, like black & white, medium sized, large size & small size TV, then it will be called as product lines of the company.

STEPS FOR PRODUCT DEVELOPMENT

Following are the important steps any product development process:

- Recognition of unsatisfied needs.
- Idea Generation.
- Idea Screening.
- Prototype
  - Physical shape of the product.
- Product Testing
  - Tests are of two types:
    - Laboratory Test.
    - Market Test or Test Marketing.
      - Product is sold on trial basis.
- Commercialization
  - Product is sold on commercial basis. This concept is also called **Mass marketing.**

Lecture 28

PRODUCT LIFE CYCLE, BRANDING, PACKAGING & LABELING

The product is the core concern of any firm. All the efforts from raw material to finished form are related to the product. Business firm spends their every resource to develop, present & maintain product throughout their business operation. Normally products have following four stages:

Introduction stage

A stage when a new product is introduced in the market after continuous R & D, & all developmental processes. At this stage, there are only one or few manufacturers in the market. Since less producers are there, so almost no competitions. Since sales are less so profits are also less.

At this stage product appears as "Question Mark" which shows product may be successful in the market & may not be.

Growth Stage

At this stage, customers' awareness develops & people start knowing more & more about new product in the market so sale of the product will increase due to:

- Repeated orders of the old customers.
- New customers will also enter the market.

At this stage, product is called as "Star" as it generates good profits for the firm

Maturity Stage

Since at this stage, people become more and more aware with the new product in the market so here comes the time when not only product become stable but people also start recognizing company with the reference of that particular product. Here product gets "share of Mind" among the targeted markets. At this stage product have:

- Highest level of sales in the market because of awareness about the product.
- More sellers will also enter in the market.
- Completion become very high

At this stage, product called as "Cash Cow" as now profit margins may be less than growth stage but product gain relatively more market share

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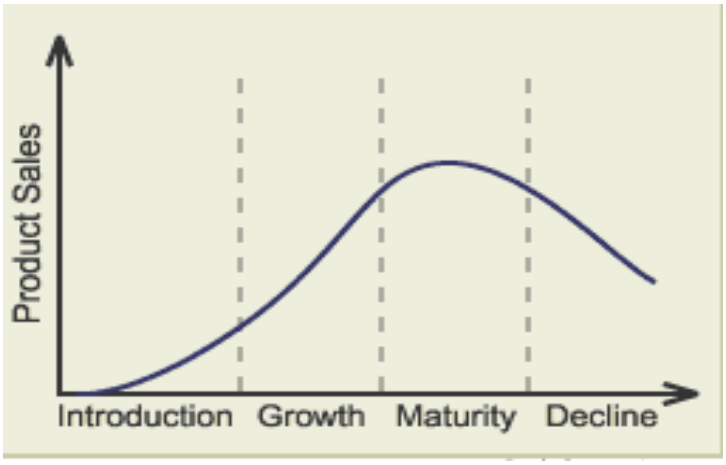
Decline Stage

This the last stage of any product. Product loss market share as well as profits for the firm. At this stage, product will disappear from the market.

Following important steps become very necessary for the firm to be taken in order to bring product back in market:

- More & more D & R & innovation in order to add more feature in the product
- Searching of new target markets for the product
- Evolution of new co-product

At this stage product called as "Dog" as production & development costs are more & more but no profits at all.



USE OF PRODUCT LIFE CYCLE IN DECISION MAKING PROCESS

Introduction Stage

- Marketers can dictate more of their policies.
- At this stage, customers of the product are venturesome (Who like to try new ideas).
- Marketers can keep the prices high because, Customer can afford to spend more money on a new product.
- There will not be much profit at this stage.

- **Growth Stage**
  - Marketers will earn more profit due to:
    - Small number of manufacturers
    - Less Competition
    - High Sales

- **Maturity stage**
  - Marketers will:
    - Reduce the price due to more competition.
    - Spend money on research and development.
    - Spend money to promote the brand name of the product.
  - Marketers will also revise their marketing strategies. i.e. They will find new segments of the market for their product.
  - Per unit profit might reduce at this stage.

- **Decline Stage**
  - Marketers should sell the products to selective customers.
  - At this stage, marketers will introduce innovations in the product to keep their sales high.

BRANDS

Brand is a symbol, a sign, a type of writing, a color, a design or a combination of all these things to identify goods or services of one seller or group of sellers to differentiate them from those of competitors.

BRANDING PROCESS

Branding is a process in which any identification is suggested for the product.

BRAND EQUITY

Brand Equity is the loyalty of the customers attached to the product.

BRAND AWARENESS

Brand awareness is the extent to which a customer knows or recalls the brand of the product.

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TYPES OF BRAND NAMES

National Brands

If a same brand is sold throughout the country then its called as National Brand.

License Brands

Seller buys the right to sell that brand in the market.

Private Brands

Manufacturers use the brand of some retailer while manufacturing the product.

PACKAGING AND LABELING

- **Packaging**
  - Dress of the product.
  - Designing and making of the wrapper of the product.
- **Labeling**

Part of package containing name, contents and name of manufacturer of the product is called a label.

Lecture 29

PRICING & DISTRIBUTION MIX

Pricing

Price is the value which a seller receives in exchange of a good or a service.

It is a process of determining what a company will receive in exchange for its products.

Objectives of Pricing

- Maximization of profit.
- Increasing market share.
- Psychological advantage.
- Get rid of stock.

Cost Based Pricing

In cost based pricing cost of product is considered and amount of profit is added to it.

Breakeven Analysis

Breakeven analysis tells us that at what point the organization will be at no profit no loss point.

In order to calculate breakeven point, we need to consider:

- Fixed cost
- Variable cost

Fixed cost will remain fixed regardless of number of units produced.

Variable cost varies with the number of units produced.

Total Cost = Fixed cost + Variable cost

Concept of breakeven analysis is used in cost based pricing.

Pricing of a new Product

There are various forms of pricing to determine the price of the product

- Price Skimming
- Penetrating Pricing
- Fixed Price
- Dynamic Price

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Price Skimming

It is a strategy through which a product is introduced in the market with higher price than the market expectations.

Advantages of price skimming

- If there is any mistake in calculation of cost, price skimming strategy will absorb that mistake due to initial higher price.
- Sometimes, customers value the quality of the product with its price.

Penetrating Pricing

Penetrating price is the initial lower price than the market expectations.

Advantages of Penetrating Pricing

- A larger market share can be captured through this pricing strategy.
- Pricing depends upon the objectives of the organization.

Fixed Price Vs. Dynamic Price

Fixed price held constant for a specified period of time.

In the fixed pricing method, we do not consider:

- Type of customer
- Type of community
- Location of the sale point

In dynamic pricing, price will vary from:

- Customer to customer
- Market to market

Factors to be considered while setting International Pricing

- Currency
- Exchange rate
- Taxes by the Government
- Tariff
- Freight
- Insurance

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THE DISTRIBUTION MIX

Getting products from producer to consumer is the next element of the marketing mix, known as **distribution**, or **place**. An organized network of firms used to move goods and services from producers to customers is called a **distribution channel**, or marketing channel. A company's decisions about which channels should be used, the **distribution mix**, plays a major role in the firm's success.

▪ Intermediaries and Distribution Channels

For most of your purchases, you rely on **market intermediaries,** also known as middlemen, who channel goods and services from producer to end-users.

- **Wholesaler-intermediary** those who sells products to other businesses for resale to final consumers.
- **Retailer-intermediary those** who sells products directly to consumers.

A firm's choice between using an independent intermediary and employing its own distribution network and sales force depends on three factors:

1) The company's target markets
2) The nature of its products
3) The costs of maintaining distribution and sales networks

The number and type of market intermediaries involved in the channel of distribution depend on the kind of product and the marketing practices of a particular industry. There are important differences among the channels of distribution for **consumer products** and **business products**.

Distribution of Consumer Products

Channels for **consumer goods** are usually the most complex, although they can be categorized. Typical channels include:

1. **Channel 1: Direct Distribution of Consumer Products**, ex. Avon, Fuller Brush, Tupperware
2. **Channel 2: Retail Distribution of Consumer Products**, ex. Levi's, Goodyear, PeaPod.com
3. **Channel 3: Wholesale Distribution of Consumer Products**, ex. combination convenience store/gas station
4. **Channel 4: Distribution through Sales Agents or Brokers**, ex. food brokers, travel agents, realtors

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ii. **The Pros and Cons of Non-direct Distribution**
Non-direct distribution becomes higher priced for end users because each distribution link charges a markup or commission.
    1. Intermediaries can save consumers both time and money by providing added value.

iii. **Channel 5: Distribution by Agents to Consumers and Businesses**, ex. some travel agencies. Channel 5 differs from the other channels in two ways: (1) it includes an agent as the sole intermediary (2) it distributes to both consumers and business customers

Distribution of Business Products

Industrial Distribution-network of channel members involved in the flow of manufactured goods to industrial customers.

i. **Channel 6: Direct Distribution of Business Products**, ex. Dell Computers
ii. **Channel 7: Wholesale Distribution of Industrial Products**, ex. distribution of office equipment and accessories
iii. **Channel 8: Wholesale Distribution to Business Retailers**, ex. Staples, Office Depot, Office Max

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Lecture 30

WHOLESALING, RETAILING & PHYSICAL DISTRIBUTION

Agents and Broker

Independent intermediary who usually represents many manufacturers and sells to wholesalers or retailers. Provides a wide range of services including shelf and display merchandising and advertising layout. Agents and brokers never actually own the merchandise they sell.

WHOLESALING

Wholesalers sell primarily to retailers, other wholesalers, and industrial or institutional users. Wholesalers provide a variety of services to customers who are buying products for resale or business use. The types of wholesale intermediaries are:

- **Merchant wholesalers**

—independent wholesaler who takes legal possession of goods produced by a variety of manufacturers and then resells them to other businesses. Merchant wholesalers also provide storage and deliver; the merchant wholesaling industry employs 6 million people in the United States.

i. **Full-Service Merchant Wholesaler**--merchant wholesaler who provides credit, marketing, and merchandising services in addition to traditional buying and selling services. Approximately 80 percent of all merchant wholesalers are full-service merchant wholesalers.
ii. **Limited-Service Merchant Wholesaler**—merchant wholesaler who provides a limited range of services, sometimes only storage.
iii. **Drop Shipper**—limited-function merchant wholesaler who receives customer orders, negotiates with producers, takes title to goods, and arranges for shipment to customers.
iv. **Rack jobbers**—limited-function merchant wholesaler who sets up displays in retail outlets, stock inventory, and mark prices on merchandise displayed in a certain area of a store.

DISTRIBUTION STRATEGIES

A distribution strategy is a company's overall plan for moving products to buyers and it plays a major role in the company's success. One part of that strategy, choosing the appropriate market coverage, depends primarily on the type of product, as convenience goods require different strategies from organizational supplies.

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i. **Intensive distribution**, where the market is saturated with a product, almost certainly needs a long distribution chain. Normally used for low-cost consumer goods with widespread appeal such as candy and magazines.
ii. **Exclusive distribution** severely limits the number of outlets for the item in a particular geographic area and is most often used for expensive specialty or technical products, such as Jaguar automobiles and Rolex watches.
iii. **Selective distribution** uses a limited number of outlets and might work better for shipping goods that a buyer is likely to want to compare for features and prices. Examples are fashions and appliances.

DISTRIBUTION CONFLICTS

- **Channel conflict** can occur when one channel member places its own success above the success of the entire channel, or when the members of a distribution channel disagree over the roles they should play or the rewards they should receive.
- **Channel Leadership** can occur when a channel member who is most powerful in determining the roles and rewards of other members. That member is called the Channel Captain. Power may come from the desirability of a producer's product, or from the large sales volume generated by a wholesaler or retailer.

RETAILING

Retailers sell to individuals who buy products for ultimate consumption and are a visible element in the distribution chain. Retailers represent the end of the distribution channel, making the sale of goods or services to final consumers. Today's retail stores include department stores, discount stores, warehouse clubs, hypermarkets, factory outlets, category killers, supermarkets, convenience stores, and catalog stores. Retailers save consumers time and money.

Types of Retailer Outlets

i. **Product Line Retailer**-retailer featuring broad product lines.
    1. **Department Store**—large product line retailer characterized by organization into specialized departments.
    2. **Supermarket**—large product line retailer offering a variety of food and food-related items in specialized departments. Ex., Safeway, Kroger, etc.
    3. **Hypermarket**—very large product line retailer carrying a wide variety of unrelated products.
    4. **Specialty Stores**—carry only a particular type of good, but an extensive selection of brands, styles, sizes, models, and

prices within each line stocked such as children's clothing, books, or sporting goods.

5. **Category killers** are superstores such as Toys R Us or Office Depot that dominate a market by stocking every conceivable variety of a particular line of merchandise.
6. **Scrambled merchandising**—retail practice of carrying any product that is expected to sell well regardless of a store's original product offering

ii. **Bargain Retailer**—retailer carrying a wide range of products at bargain prices.

1. **Discount House**—bargain retailer that generates large sales volume by offering goods at substantial price reductions. K-Mart, Wal-mart
2. **Off-Price Store**—bargain retailer that buys excess inventories from high-quality manufacturers and sells them at discounted prices. Marshall's is one of the most successful.
3. **Catalog Showroom**—bargain retailer in which customers place orders for catalog items to be picked up at on-premises warehouses.
4. **Factory Outlet**—bargain retailer owned by the manufacturer whose products it sells.
5. **Warehouse Club** (or Wholesale Club) —bargain retailer offering large discounts on brand-name merchandise to customers who have paid annual membership fees. Ex., Price Club, which merged with rival Costco.
6. **Convenience Store**—retail store offering easy accessibility, extended hours, and fast service. Ex. 7-Eleven and Circle K.

PHYSICAL DISTRIBUTION

Physical distribution encompasses all activities required to move finished products from a producer to the consumer. It is a complex strategic activity with many trade-offs that affect the organization and profits.

Technology used in physical distribution systems today includes satellite navigation and communication, robots, machine vision; voice input computers, on-board computer logbooks, and planning software that uses artificial intelligence.

The overriding objective of all physical distribution systems should be to achieve a competitive level of customer service standards at the lowest total cost. Producers must be able to analyze whether it is worth it to deliver a product in three days instead of five, if doing so reduces the cost of an item. The goal is to optimize the total cost of achieving the

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desired level of service by analyzing each step in the process and its relation to the other steps.

Transportation Operations

i. Major transportation modes are:

1. **Trucks** are most frequently used and offer door-to-door delivery and use of public highways, but are unable to carry all types of cargo.
2. **Railroads** are able to carry heavier and more diversified cargo, but are unable to deliver directly to the customer.
3. **Water carriers**—Boats are the cheapest form of transport, especially for bulk items, but service is slow and infrequent, and delivery is restricted.
4. **Air transport** is the fastest means of moving goods, but it doesn't go everywhere, it can carry only certain types of cargo, and is unreliable and expensive.
5. **Pipelines**, although expensive to build, are extremely economical to operate and maintain.

ii. Changes in Transportation Operations

1. **Inter-modal Transportation**: combined use of several different modes of transportation.
2. **Containerization**: uses of standardized heavy-duty containers in which many items are sealed at points of shipment and opened only at final destination.
3. **Physical Distribution and E-Customer Satisfaction**: New e-commerce companies need to focus not only on sales but also on after-sale distribution in order to avoid customer dissatisfaction that discourages repeat sales. **Order Fulfillment and E-Customer Satisfaction**: Order fulfillment begins when the sale is made: It ends with getting the product, in good condition and on time, to the customer for each sales transaction.

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Lecture 31

PROMOTION & ADVERTISEMENT

PROMOTION

The ultimate goal of a promotion is to increase sales. Other goals include communicating information, positioning a product, adding value, and controlling sales volume. In deciding on the appropriate promotional mix, marketers must consider the good or service being offered, characteristics of the target audience and the buyer's decision process, and the promotional mix budget.

Promotional Objectives

Promotion experts recognize that not all objectives are sales objectives. Some communications objectives use an indirect approach to make an audience aware of a new product or change a company's negative image. In addition to increasing sales, promotion can have four other objectives.

Communicating Information
Information can advise customers about a product's existence or about its features.

Creating Awareness
Through providing information, customers become aware with the product available in the market.

Comparison
After awareness, customers, make comparisons among the available products in the market.

Buying decision
Last step is the buying decision after which customers finally acquire the products while paying due costs.

- **Promotional Strategies**

i. **A push strategy** is a promotional approach designed to motivate wholesalers and retailers to push a producer's products to end users.
ii. **A pull strategy** is a promotional approach that stimulates consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
iii. Many firms use combinations of these two very different strategies.

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- **Promotional Mix**

Marketers use four types of promotional tools: advertising, personal selling, sales promotions, and publicity and public relations. Market-related factors influence the promotion mix.

The best combination of promotional tools will depend on many factors, such as:

i. The nature of the product
ii. The Target Audience
iii. Promotion and the Buyer Decision Process. This is the five-step process outlined in Chapter 10. Marketers match promotion efforts with different stages of the buying decision process.
iv. The Promotional Mix Budget. The combined costs of personal selling, advertising, sales promotion, and public relations must fall within the budgeted amount and be balanced to have the desired effects on attitudes and purchasing decisions.

ADVERTISING PROMOTION

Promotional tool consisting of paid, non-personal communication used by an identified sponsor to inform an audience about a product. The average U.S. resident is exposed to roughly 250 ads every day through a variety of media—including floor ads. All forms of advertising have three objectives: to create product awareness, to create and maintain the image of a product, and to stimulate consumer demand. It not only determines what we buy, but it shapes our view of the world.

Advertising

1) The best form of promotion for reaching mass audiences quickly at a low per-person cost.
2) Gives the organization the greatest control over the message.
3) Promotes goods, services, or ideas, using a full range of creative approaches and media to convey your message.
4) Must conform to the law, as well as the ethical and moral standards of the medium and trade associations.

ADVERTISING STRATEGIES

The advertising strategies used for a product most often depend on which stage of the product life cycle the product is in. During a product's growth and maturity stages, marketers may choose one of three common approaches:

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i. **Persuasive Advertising**—advertising strategy that tries to influence consumers to buy one company's products instead of those of its rivals.
ii. **Comparative Advertising**—advertising strategy that directly compares two or more products.
iii. **Reminder Advertising**—advertising strategy that tries to keep a product's name in the consumer's mind.

ADVERTISING MEDIA

Variety of communication devices for carrying a seller's message to potential customers:

i. **Television** sometimes leads viewers to confuse commercials because of their brevity and their great number.
ii. **Newspapers**—the most widely used medium, accounting for about 20 percent of all advertising expenditures.
iii. **Direct Mail**—about 18 percent of all ad spending. Direct mail has the largest advance costs of any technique but the highest cost-effectiveness.
iv. **Radio**-8 percent of all advertising outlays. Radio ads are quite inexpensive but easy for consumers to ignore.
v. **Magazines**—roughly 5 percent of all advertising. Huge variety of magazines makes for a high level of ready market segmentation.
vi. **Outdoor Advertising**—about 1 percent of all advertising. Billboards, signs, ads on buses, taxis, stadiums, etc. are inexpensive and have high repeat exposure. It's growing faster than newspapers, magazines, and television and offers animation and changing images.
vii. **The Internet**—Still in its infancy but offers high potential, particularly for targeted advertising.

The Media Mix

A combination of advertising media chosen to advertise a company's products, Determinants of the Media Mix include:

- The characteristics of the target audience and the types of media that will reach it are determined.
- The choice of media is also determined by what it is expected to do.

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ADVERTISING AGENCY

An independent company that provides some or all of a client firm's advertising needs.

Preparing the Campaign with an Advertising Agency

Advertising Campaign — arrangement of ads in selected media to reach targeted audiences. It:

i. Identify the target audience
ii. Establish the advertising budget
iii. Define the objectives of the advertising messages
iv. Create the advertising messages
v. Select the appropriate media
vi. Evaluate advertising effectiveness

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Lecture 32

PERSONAL SELLING

PERSONAL SELLING

"A promotional tool in which a salesperson communicates one-on-one with potential customers"

- It is the most expensive form of promotion per contact. Most companies spend twice as much on personal selling as on all other marketing activities combined. Expenses include sales people's compensation and overhead, usually travel, food, lodging. The cost of a single sales call has been estimated at about $300.

- Sales force automation and new technologies are relieving salespeople of nonproductive tasks, making the time they spend with customers more efficient and profitable.

Personal Selling Situations:

i. **Retail Selling**: Personal selling situation in which products are sold for buyers' personal or household use.

ii. **Industrial Selling**: Personal selling situation in which products are sold to businesses, either for manufacturing other products or for resale.

iii. **Pharmaceutical products:** Sales persons communicate with doctors & products are presented to the doctors & in return doctors recommend these products to the patients as most of the specialized medicines are not allowed to be advertised directly.

Preparing the Campaign with an Advertising Agency

It includes:

i**. Identify the target audience**

a. Education Class
b. Income Class
c. Area (Rural or urban)
d. Age
e. Social Class

ii. **Establish the advertising budget**

a. Percentage of expected sales
b. Considering our marketing objectives
c. Considering the competitors

iii. **Define the objectives of the advertising messages**

a. Are we going to introduce new product
b. Are we going to advertise price change impact?
c. Are we going to launch new campaigns in response to our competitor's campaigns?

iv. Create the advertising messages

a. Include all color selections, images, Cartons & illustrations
b. Selection of language
c. Selection of appropriate words

v. Select the appropriate media

Media selection is very important for every advertising message. E.g.

a. Radio for agricultural products
b. TV for consumer products
c. If company's introduction & contents required then can be print media as good selection

vi. Evaluate advertising effectiveness

a. Our message has changed customer's buying decision or not?
b. We have found desired image or not?
c. Our meaning well communicated or not?

Advertising Researchers

It is always done in response to all advertising campaigns in order to know the overall impact of the advising activities. Advertising researches bring answer for all the above mentioned aspects & through these companies can know where the change is required either in your message, your budget, your media selection or etc.

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Lecture 33

PERSONAL SELLING

PERSONAL SELLING TASKS

a. Booking of orders

Consulting the customers & get their orders booked for specified time period.

b. Processing of orders

Personal selling task in which salespeople receive orders and see to their handling and delivery

c. Creative Selling

Personal selling task, in which salespeople try to persuade buyers to buyers to purchase products by providing information about their benefits, salesperson delivers creative messages, adopts creative ways of pursuing the customers and invents creative ideas by his experience of going to the market.

d. Missionary Selling

To sell products by helping the buyer. Salesman provides voluntary service to the buyer and tries to put the order.

Tasks of Sales Manager

He has to define the sales objectives to

- To increase the sales
- To control the sales

- **Organization of team**

- The team performs the tasks of implementing all the decisions relevant to sales. Sales manager chooses the persons for this team. He conducts the tests or interview of the people and selects the right persons for the team.

- **Implementation of those plans**

- In this stage sales team implements all the plans made by the sales manager, defines quotas and regions of the sales persons individually.

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- **Territory Management**

Sales Manger defines the route plan of sales persons in this stage

PERSONAL SELLING PROCESS

Prospecting and Qualifying

Prospecting is the process of identifying potential customers; qualifying identifies those who have the authority to buy and the ability to pay.
It includes

a. Location of the industry
b. To know about the decision maker of the organization
c. Size of the order
d. Mode of Payment
e. Past practices of the organization
f. Current Problems

Techniques for prospecting

a. **Snowball Technique**
   To ask a satisfied customer, about more customers to sell the product

b. **Cold Conversing Technique**
   Knocking every body's door

Features of the prospective buyer

a. Age of the person
b. Interest of the buyer
c. Preferences of the buyer

APPROACHING THE CUSTOMERS

Getting appointment from the customer

Advantages of the appointment

- Proper hearing
- Customer will get the feeling that his time is being respected

Disadvantages of the appointment

- Customer might say no
- Salesperson might not be able to reach in time

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Without getting appointment from the customer

Advantages of not getting the appointment

- Time is in control of salesperson
- Salesperson does not have fear of getting no
-

Disadvantages of not getting the appointment

- Customer might feel that person is not an organized person

Barriers

Sales person might face some barriers in approaching the customer

These barriers can be:

- Security guard
- Receptionist
- Junior Officer

Techniques to handle barrier

- The salesperson can handle the barriers by:
- Requesting to the security guard or receptionist
- Using the name of the organization
- Giving small gifts from the company in order to go in
.

Presenting and Demonstrating

A full explanation of the product, its features, and its uses, linking its benefits to the prospect's needs. Salesperson might have all the necessary things before starting the presentation like brochures, calculators, pen and charts etc.

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Lecture 34

SALES PROMOTION

SALES PROMOTION

Short-term promotional activity designed to stimulate consumer buying or cooperation from distributors and sales agents.

How to start Sales Presentation

Presentation Stage

After approaching the buyer sales person reviews the situation.
It includes:

- Type of Furniture
- Wall hanging
- Type of curtains
- Personal Taste

All these things help the sales person to start and process the conversation and he can develop the image of the taste and likings of the buyer by the environment and surroundings.

How to start the conversation

- Ask a question n order to seek the undivided attention of the buyer.
- In case of appointment direct conversation may be started.
- Avoid unpleasant event to start the discussion.

a. Interest Stage:
Sales person will try to create interest of the customer in the product.
Interest of the customer can be:

- Price
- After Sales Services
- Guarantee and Warrantee

b. Objection Stage:
In this stage sales person will try to create desire in the customer to buy the product. Customer will start raising the objections or the questions. If the buyer starts to take the interest in asking the questions about the product, it means salesperson has convinced him in buying. Sales person will handle the questions raised by the buyer.

c. Closing stage:
In this stage the order is booked and agreement is signed by the seller and buyer.

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d. Follow up stage:

In this stage the order is fulfilled and goods are being distributed according to the agreement.

All the stages of Attention, Interest, Desire and Act (AIDA) have been covered in this way.

Skeptic Customers

It refers to the doubtful behavior of the customer because of deception from any seller in the past. The salesperson should try to understand the problems of the customers sympathetically.

Innovations in Sales

Tele Marketing-Tele Marketing helps to receive quicker response and avoid long distances. Extensively used method all over the world now, including Pakistan as well.

Techniques for Sales promotion

- **Arrangement for a contest**

  Customers, distributors, and sales reps may all be persuaded to increase sales by means of contests.
- **Tradeshows**

  Trade show exhibits to distributing free samples and publishing promotional booklets.
- **Point-of-purchase also called Point-of-Sales**

  Point of purchase (POP) or Point of sales (POS) displays is devices used to show a product in a way that stimulates immediate sales. It may be an end-of-aisle display in a supermarket or the computerized kitchen design systems for cabinets in building-supply stores.

PUBLICITY

It is an unpaid form of promotion through mass media like TV and newspaper. Publicity is free but you have little or no control of the content and delivery. Be aware, there may be both good and bad publicity.

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PUBLIC RELATIONS

Company-influenced publicity directed at building goodwill between an organization and potential customers. Smart companies know they need to maintain positive relations with their communities, investors, industry analysts, government agencies, and the news media.

Companies seek favorable publicity to create interest in their products. Companies with a good public image are more attractive to investors. Press relations refer to the process of communicating with reporters and editors from newspapers, magazines, and radio and television networks and stations.

News releases are brief statements or video programs released to the press announcing new products, management changes, sales performance, and other potential news items; also called a press release. News conferences are gatherings of media representatives at which companies announce new information; also called a press briefing.

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Lecture 35

THE PRODUCTIVITY

Productivity

Productivity is the measure of the effective use of the organization's resources" is known as "Productivity".

PRODUCTION

Conversion of raw material into finished goods. Adding value to raw material, processing it and making it a new useful product. It includes input, processes and output.

UTILITY

Ability of a product to satisfy a need

Forms of Utility

a. **Time Utility:** Getting a product when required.

b. **Place Utility:** Product is manufactured at one place and is sold at another place. Utility of the product is increases due to its mobility. For example if a product is made in one city and it is transported to other city for sale and then use, then it is said that its utility has been increased.

c. **Form Utility**: Changing the form of the product and then converting it into some useful product.

Operation planning

Operations Managers decide about the production capacity of the organization. And appropriate location for the organization.

Capacity Planning

Optimum level of production needed by the organization

FACTORS FOR LOCATION OF INDUSTRY

i. Availability of skilled workers
ii. Availability of infrastructure
    a. Includes electricity, gas, water and telephone.
    b. Access to road transport and railway

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iii. Availability of raw material
iv. Climatic Condition

FACILITIES TO BE ORGANIZED FOR PRODUCTION PROCESS

i. Productive facilities

It includes units and plants which contain assembly lines and machines in order to convert the raw material into finished products.

ii. Nonproductive facilities

A process that is not directly involved in the production process but are related to the production, for example storing the raw material

iii. Support facilities

It includes departments like management, purchasing, finance, human resource and others which support to run the factory.

LAYOUT PLAN

Internal arrangement in the organization

i. Placement of machinery
ii. Movement of people
iii. Water storage
iv. Entry and exit point

Layout Designing Options

i. Considering the product
ii. Processes involved in the production
iii. Cellular Layout
iv. Product layout
v. Placement Layout
vi. Flexible Layout
vii. Other Layouts (U-shaped layout)
viii. Straight line layout

Reasons for designing a layout

i. To increase efficiency
ii. To reduce cost
iii. To avoid accidents
iv. Avoid delays

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Lecture 36

TOOLS FOR PRODUCTION PLANNING

GANTT CHART

Gantt charts are visual aids that are useful in loading and scheduling. The name is derived from Henry Gantt, who developed them in the late 1800s. The chart shows the use of resources, such as work centers and labor.

When used in loading, Gantt charts show the loading and idle times of several departments, machines or facilities. They display the relative workloads in the system so that the manager knows what adjustments are appropriate. For example when one work center becomes overloaded employees from a low-load center can be transferred temporarily to increase the workforce.

In short this chart is for following purposes

This chart is for scheduling purposes.
Bar charts are drawn in this schedule. Each bar describes an activity.
This chart will help to know, which activity should start at what time.
Comparison of planning with actual output.

PERT NETWORK

PERT stands for Program Evaluation Review Technique, this was a methodology that was developed by U.S. Navy in 1950 to manage the Polaris submarine missile program.
It is commonly used in construction. Pert network is a flow chart which shows the sequence of activities that are required to complete a project along with time or cost associated with each.

Major difference in Gantt Chart & Pert is, in Gantt chart we have bars, here we don't have bars here we have diagrams.

Components of PERT Chart

Pert chart provide the details of

Events
Show end points where we have to reach

Activities
Include all the resources used to complete any project

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Slack time
Represent the delay in each activity

Critical path
Pert chart is used to determine critical path of each activity & to determine maximum time consumed for each project.

CHALLENGES FOR MATERIAL MANAGEMENT

i. **Flow of material**

Flow of material is an important factor for success and competitiveness. It involves production planning, purchasing, Just-In-Time and inventory management.

ii. **Standardization**

A standard is a document that establishes uniform engineering or technical specifications, criteria, methods, processes, or practices. Thus Standardization is the process of developing and agreeing upon technical standards.

Areas for Material Management

i. **Transportation**
How & through which medium materials will be received in the form

ii. **Storage**
In which manners & sequence materials will be stored

iii. **Record Keeping**
How the record will be maintained for all the materials available in the stored form.

iv. **Inventory control**
It further covers two parts
1. Quantity Control
2. Cost Control
3. In hand stock details

Costing of Material

i. **LIFO – Last in First out**
In this method the most recently purchased units are sold first and that the older units remain in inventory.

ii. **FIFO – First in First out**
In this method the oldest purchase costs are transferred to the cost of goods sold, while the most recent costs remain in inventory.

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iii. Average cost
Average cost is equal to total cost divided by the number of goods produced

PURCHASING PROCESS

Purchasing is the process through which materials are selected from the market and bring in the firm to perform all production operations.

Steps in purchasing process

i. Select the right suppliers
ii. Evaluate the suppliers
iii. Evaluate the capacity of each supplier
iv. Short list the appropriate supplier
v. Negotiation of the prices
vi. Start the supply transactions
vii. Maintain the long term relationship

JUST-IN-TIME (JIT)

It means to get the materials exactly at the time of demand. This mechanism can be well maintained only when our supplier has our full inventory details.

JIT concepts always work on the view; we much have reliable suppliers in sufficient No. in order to serve us timely & in best manners. When we have minimum No. of orders in our hand, required materials should be provided us immediately.

This process can work very well, when deep confidence is there between production unit & suppliers. As a result, production unit can provide the access to suppliers to view the inventory of their raw materials & supplier can supply the required materials when inventory is just at minimum level.

Benefits of JIT

i. It avoids production delays
ii. Mange cash flows in best manners
iii. It avoids uncertainties

Application of JIT

- **In production**-it manages continuous supply of raw material which bring continuity in operations
- **In Marketing-**if this system is well managed, sales persons are able to finalize sales deals with minimum lead times which can serve as competitive edge.

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JUST-IN-CASE

It is conventional concept works in contrasts to JIT. While working through this concept, firms may not get good suppliers as & when required, may not get quality raw materials as & when required, so firms keep stocks of their raw materials which have a big disadvantage as huge finances of the firm can be blocked in the form of stocks as well as handling of stocks may be another issue.

So in today's organizations, JIT concept is developing day by day & almost every firm is trying to get some good suppliers in order to work on JIT concept.

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Lecture 37

TOTAL QUALITY MANAGEMENT

The advice of U.S. business consultant W. Edwards Deming on quality was heeded more widely in Japan than at home until recently. Now U.S. companies are increasingly customer driven, quality initiatives exist at all levels of the corporation, and more measurements are used to document progress objective and identify areas for improvement. Rather than occasional, quality efforts are now continuous.

MANAGING QUALITY

Total Quality Management (TQM) (or Quality Assurance)

The sum of all activities involved in getting high-quality products into the marketplace. Customer focus is the starting point and includes methods of determining what customers want, then causing all the company's activities and people to be directed toward fulfilling those needs and creating customer satisfaction.

Productivity

Productivity is the measure of the effective use of the organization's resources.

PLANNING FOR QUALITY

To achieve high quality, managers must plan for production processes (including equipment, methods, worker skills, and materials).

1) **Performance Quality:** the performance features offered by a product.

2) **Quality Reliability**: consistency of a product's quality from unit to unit.

Organizing for Quality

Although everyone in a company contributes to product quality, responsibility for specific aspects of total quality management is often assigned to specific departments and jobs.

Quality

Directing for quality means that managers must motivate employees throughout the company to achieve quality goals.

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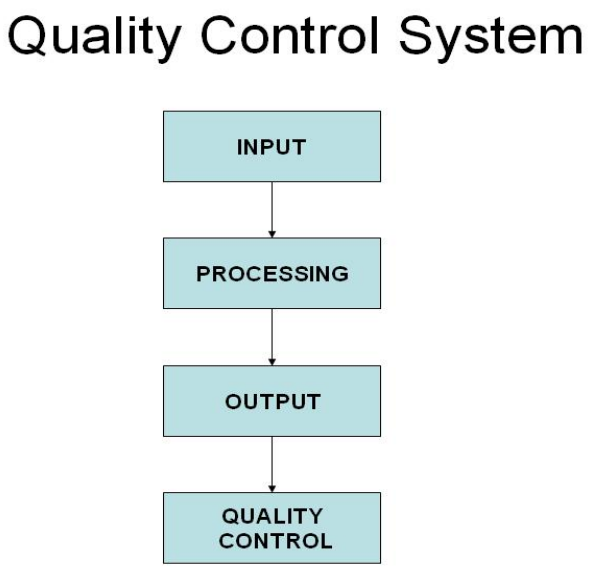

Inspection

Inspection is an important strategy, in its simplest form, is any method or device or tactics used to minimize defects in products or services being offered to the customers.

QUALITY CONTROL VS QUALITY ASSURANCE

Quality Control

Quality control is concerned with quality of conformance of a process. The prime purpose of quality control is to assure that processes are performing in an acceptable manner.

Quality Assurance

All actions taken to ensure that standards and procedures are adhered to and that delivered products or services meet performance requirements.

Quality assurance defines the standards to be followed in order to meet the customer requirements whereas quality control ensures that these defined standards are followed at every step.

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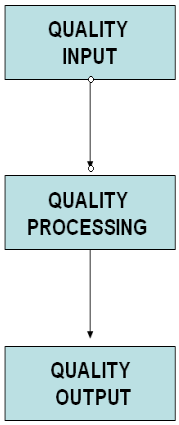
Quality Assurance System



PROMINENT FEATURES OF DR. DEMMING'S 14 POINTS

Globally organizations are adopting the concept of quality assurance and avoid the process of inspection and quality control, in this way organization focus on quality input, quality process and quality output. The best companies emphasize designing quality into the process, thereby greatly reducing the need for inspection or control efforts. As you might expect, different business organizations are in different stages of this evolutionary process. The least progressive rely heavily on inspection. Many occupy middle ground that involves some inspection and a large deal of process control. The most progressive have achieved an inherent level of quality that is sufficiently high that they avoid wholesale inspection activities and process control activities.

Prior to the increased level of Japanese competition in the U.S. marketplace in 1970s and 1980s customers often got less than they paid for with U.S-made products; quality was not uppermost in the minds of U.S. business organizations. Perhaps Japanese captured a significant share of the U.S. market.

Deming was the senior guru. A statistics professor at New York University in the 1940s, he went to Japan after World War II to assist the Japanese in improving quality and productivity. Deming compiled a famous list of 14 points he believed were the prescription needed to achieve quality in an organization.
Some of them are discussed here:

- Organizations should adopt the philosophy of quality rather than quantity
- Training of the employees should be a continuous system
- Training is the key to achieve Total Quality Management
- Modern techniques should be used to train the staff in the organization
- Workers should bring creative ideas to improve quality of the product
- It is very important to assure the workers that new ideas will be encouraged
- Statistical methods should be used to measure the quality
- Barriers between different departments should be removed

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HUMAN RESOURCE MANAGEMENT FOR TOTAL QUALITY MANAGEMENT

i. Selection stage: Organization manager must make sure that quality people are selected in the organization. Quality people are those who focus on quality rather than quantity

ii. HR managers should see whether that particular person has attitude required in the organization or not. Attitudes include:

iii. Being flexible
- Being acceptable
- Quality Conscious
- A person who can work with the team

iv. Training Stage: HR manager should train the people in the field of:
- Quality Awareness
- Quality Achievement
- Statistical Techniques

v. Personality Development
- Team leading
- Mind adjustment
- Changing paradigm
- Avoiding box thinking
- Developing creative ideas

vi. Compensation: HR manager should develop special systems for compensation. These include:
- Compensation would be given to the whole group

vii. Performance Appraisal:
- Collective performance appraisal

viii. Statistical Process Control:

Using statistical techniques in:
- Planning
- Execution
- Problem analysis
- Control

Lecture 38

TOTAL QUALITY MANAGEMENT

Cost of quality: Cost paid in the market for not having quality products.

Types of cost

External Failure Costs: Cost incurred for managing the problems faced in selling the products in the market.

External failure costs include

- Cost incurred on sales return
- Repair cost of faulty goods
- Customer service cost
- Repair cist of returned goods
- Investigation of defects
- Product recalls
- Product liability suits

Internal Failure Costs: Internal failure costs are paid within the organization.

Internal failure costs include

- Cost of scrap
- Cost of re-work on product
- Cost of inspection of re-work
- Cost for downgrading

  Product is graded below standard due to some fault

Appraisal costs

Appraisal costs include costs of:

- Inspection
- Laboratory Testing
- Laboratory Equipment maintenance Cost
- Calibration of Testing Equipment

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Prevention Cost

- Cost for making a preventive network.
- Managerial Work for quality

  It includes:

  a. Quality Planning
  b. Training-it's an expensive area & requires continuous spending on it.
- Cost for quality improvement Process
- Costs for using statistical Methods
- Cost for maintenance of machinery and equipment etc
- Cost for hiring experts

ISO 2000: 9000 Certification programs

It is a standardized system which provides a set of systems to the organization**.** ISO is a certification which shows that organization is following some system and that system might lead to some quality product.

ISO 14000

It is a system that certifies the organization for protecting the environment is called ISO 14000

- A system for environment.
- Organizations are responsible for environment

Value Chain Management

All activities performed are working in a chain to produce a valued product.

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Lecture 39

BENCHMARKING

Process by which a company implements the best practices from its own past performance and those of other companies to improve its own products

Internal benchmarking: Uses the firm's own performance to evaluate progress and set goals;

External benchmarking: begins with a critical review of competitors or even companies in other businesses to determine which have "best practices."

We will compare the best practices of other organizations with our organization.

Compare the products, processes, instruments and culture of one organization to other one.

Zero Defect Level: A stage where there is no defect in the product, process and organization.

CONSIDERATIONS IN BENCHMARKING

1. Identification of processes to be benchmarked

- **Sales forecasting:** We can benchmark the order booking process, e.g. what is the order taking to order delivery time of organization. We should minimize this time for more sale to customer.
- **Pricing:** Which pricing system is used by other organizations? What should be the pricing mechanism?
- **Distributions:** Organization should match the distribution channel with other organization. How can organization reduce the delivery time of products?
- **To maintain financial record.** Record should be properly maintained in soft data as well as hard copy. There should be back up of that data at various places.
- **Technology:** what technology is most efficient and result oriented? Is it local or imported technology?

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2. KEY VARIABLES IN A PROCESS

Product:

- What should be the shape of product?
- Color of product
- Size of product
- Weight of product

Selling and Marketing:

- **Cost:** Promotion cost with competitors, How to save the cost?
- **Identification of unsatisfied need** of customers
- **Productivity:** How an organization can increase its productivity.
- **Mixture of ingredients:** What ingredients should be so that customer can satisfy?
- **Timeliness:** Reduce the time For example In a fast food restaurant, what is the duration of the order taking to order delivery time and benchmark those restaurants whose delivery time is less than others.
- **Differentiation of products:** There should be uniqueness in product.
- **Performance of product:** Performance of product should be according to customer's satisfaction. It should be good word of mouth for your product.

3. IDENTIFICATION OF THE BEST PLAN

For benchmarking organization should identify the best plan or practices from different organizations. For example In mobile phones, one companies phone have better battery timing, Second has good design, third one has good display screen, fourth one has light weighted and good result of camera.

Another example of food restaurant, which one is best restaurant in following things;

- Services
- Parking
- Variety of dishes
- Interior
- Cutlery

Organizations should choose the best one from any one and implement for your organization.

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4. MEASUREMENT OF OWN PERFORMANCE

Organization should measure the own performance and keep in mind one important thing that not find the only one organization for benchmarking. Choose the different variables from different organizations.

For example Airline company should measure:-

- Handling of luggage
- Comfort wise with other air lines
- Safety record
- Time lines: less time from one place to another.

5. ACTION TO BRIDGE THE GAP

Identify the gap where we are lacking, where our performance is low and how we can improve our performance.

Organization should go for benchmarking when there is more competition in the market.

Benchmarking can be done for two entirely different products or organizations. For example Bicycle manufacturing organization compares with paper manufacturing company. What is the method of complaint handling and how one organization best satisfies his/her customers. What is the payment method?

Organization should benchmark its processes or products with the best organization in that class. Never benchmarking to those organizations that are not good in any process

Benchmarking can be used for personality development. For example who is the best in attitude? Who is the best in study? Who is the most obedient with elders? We can make key variables and make the list and identify the lacking in our personality.

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Lecture 40

COMMUNICATION

Transmission of information from one place, person or organization to another place, person or organization

"Communication is the blood of the organization".

Communication is a process whereby information is enclosed in a package and is channeled and imparted by a sender to a receiver via some medium. The receiver then decodes the message and gives the sender a feedback.

Flow of Communication within the organization

- **Upward Communication:** Flow of communication from bottom to top. For example when labor or supervisors communicate with his/ her manager or top level management in any organization.
- **Downward Communication:** Flow of communication from top to bottom. When CEO or top level management communicate with their employees.

Hierarchy of Management

- **Top Management**
  - Chief Executive, Managing Director, Board of Directors.
- **Middle Management**
  - Directors and Senior Managers.
- **Lower Management**
  - Officers and Executives.

External vs. Internal Communication

- **Internal Communication: -** Communication within the organization.
- **External Communication: -** Communication with the outside bodies.

Process of Communication

Two parties for communication are:

- Sender
- Receiver

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- Sender is a person or organization that communicates.
- Receiver is a person or organization who receives the message.

Encoding Vs. Decoding

- **Encoding**
  - Conversion of message into understandable form.
  - Sender is called encoder.
- **Decoding**
  - Giving meanings to the message.
  - Receiver is called decoder.
- Effective communication will take place when climate of encoder and decoder is similar.
- Jargons are the words of a particular profession.

VERBAL VS NON VERBAL COMMUNICATION

Verbal Communication:

Written or oral communication, the basis of communication is the interaction between people. Verbal communication is one way for people to communicate face-to-face. Some of the key components of verbal communication are sound, words and language.

Non verbal Communication

Sources for non verbal communication can be:

Appearance: Appearance of people and surroundings. E.g. if we receive any letter, appearance of the letter can show from where it come. For example if the letter comes from any organization, we will judge from its letterhead. We can judge many things from appearance of individuals as well including age, profession, education, nationality, face of the individual, mood of the individual etc.

Colors: Colors also indicate the nonverbal communication. For example red light at signal means to stop the vehicles. Colors of the dresses also indicate many things about.

Sounds: Sound is also non verbal communication. For example voice of machine in organization show that machine is running and work is in progress. Drop of key ring from our pocket create voice and intimate us that keys have been fallen from our pocket.

Smell: Smell is also a source of non verbal communication. In industry if there is fire anywhere than we can judge by smell that something is burning and can take the appropriate action. We can also judge the acids and chemicals by smelling.

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Touch: - Touch is also source of non verbal communication. We can judge different object by touching them. Blind people judge different things by touching.

Silence: - Silence is also a source of nonverbal communication. For example Organization hires the employee and gives specific dates for joining but the employee does not join till given date. This silence creates two meanings in the mind of that organization that either he/she is not interested in this job or not received our letter.

Body language: - Body language is also non verbal communication. For example gesture, posture etc. Biting the nail, sitting at the edge of chair shows discomfort

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Lecture 41

NON-VERBAL COMMUNICATION

"Nonverbal communication involves those non-verbal stimuli in any communication that are generated by both the source [speaker] and his or her environment and that have potential message value for the source or receiver [listener]"

Basically sending and receiving messages occurs in a variety of ways without the use of verbal codes (words). It is both intentional and unintentional. Most speakers / listeners are not conscious of this.

Sources of Non-verbal communication can be

Body Language: Body language is used during face to face communication. Simple body language conveys sometimes very deep messages, common examples of body language is seen by players. They show almost every sort of gesture just through their body language.

COMMUNICATION CHANNELS

Channel is a **Carrier** which carries the message from sender to receiver. Selection of channel always depends upon the situation, what channel will be appropriate for what situation is always decided by sender or discretion of both sender & receiver.

Channel can be:

- Letter
- Telephone
- Fax
- A person who carries the message to another person.

Flow of Communication

The sender sends the message through a channel and the receiver receives this message. There is communication between two parties.

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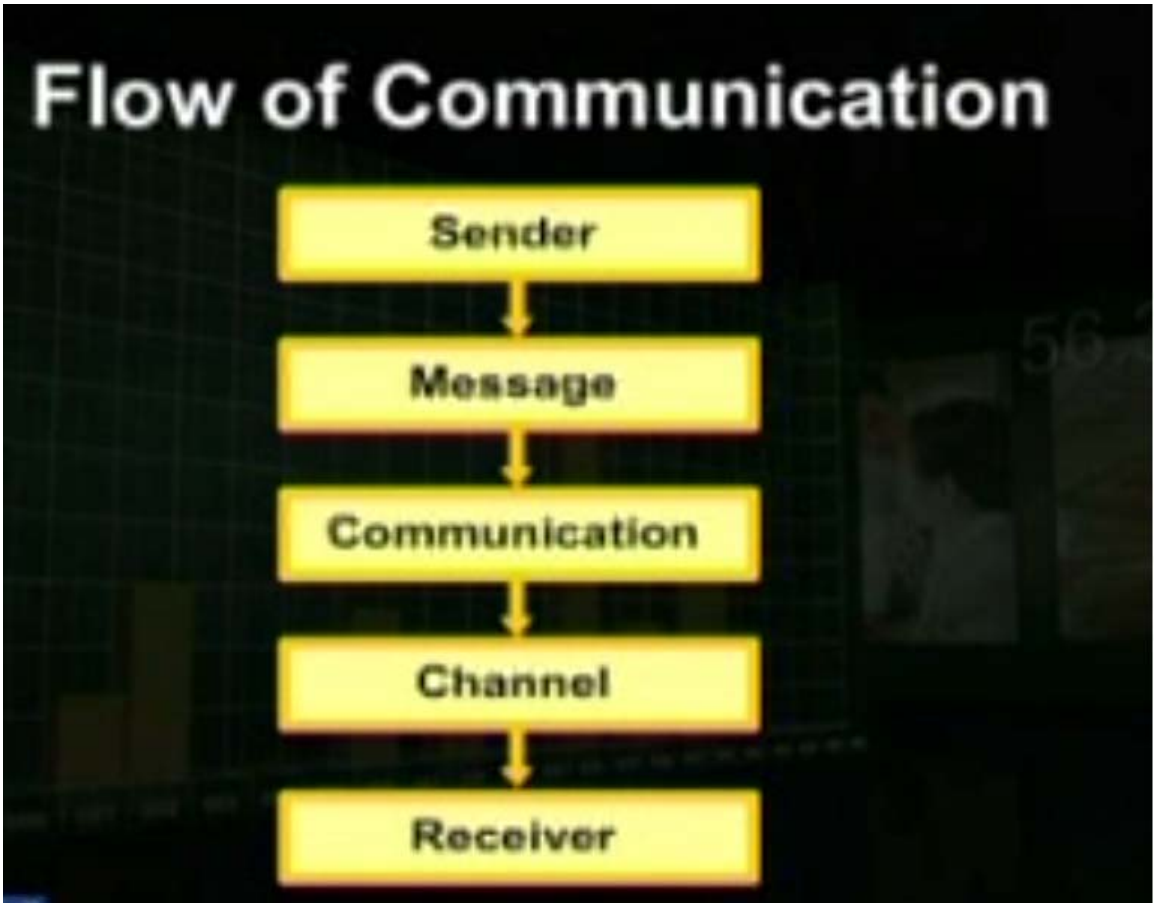

Noise also occurs during communication. All those factors which affect the communication process are called noise. Noise can be at any stage & can affect the whole communication process.

LETTER VS MEMORANDUM

- Letter is written for communication outside the organization
- Memorandum is written for communication inside the organization. Informal language is used in memorandum.

Types of Letters

Inquiry letter: In this type, organization collects the information. For example, purchasing of furniture, about raw material, transportation cost from goods transporter.

Reply to the inquiry letter: In this type, organization gives the information. For example, give the information to customer about product cost, Method of delivery etc.

Order letter: In this type, organization places the order for purchasing something.

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Complaint latter: In this type, organization complaint about the already purchased products or acquired services. For example quality problem of product etc

Adjustment letter: In this type, organization sends the letter for adjustment of accounts. For example organization has purchased the furniture from ABC Company and payment has done. But quality of some furniture is not good than organization sends the letter to ABC Company for adjustment of dues/payment.

INFORMATION SYSTEM (IS)

Gather the information & arrangement of information into a form that can be used for decision making purposes

Information Management

Arrangement of information into a form which is useful for management

Duties of Information Manager

- Information gathering
- Information organizing
- Information distribution

Users of Information: There are following users of information in an organization.

1. Head of manufacturing department
2. Marketing people
3. Planning people

Data vs. Information

- Data is raw figures and facts.
- Meaningful shape of data is called information

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Why Information System is important in the Organization?

a. Frequent use of information.
b. New technology.
c. New innovations, processes and methods.
d. New communication devices:

    - Telephone
    - Intercom
    - Video conferencing

e. Digital business system
f. Data communication network:

    - Global network for receiving and sending the information globally, quickly and economically**.**

Lecture 42

APPLICATION OF INFORMATION SYSTEM IN THE ORGANIZATION

New Options for Organizational Design: The Networked Enterprise

i. **Leaner Organizations**—Networked firms can accomplish more work with fewer resources.
ii. **More Flexible Operations**—Electronic networks allow businesses to offer customers greater variety and faster delivery cycles.
    1. **Mass-customization**—Flexible production process that generates customized products in high volumes at low cost
iii. **Increased Collaboration**: Networked systems make it cheaper and easier to work together.
    1. **Networking and the Virtual Company**: Networked systems can also improve collaboration between organizations through the so-called virtual company
iv. **Greater Independence of Company and Workplace**: Employees no longer need to work only at the office or the factory, nor are all the company's operations performed at one location. Geographically separate processes can be tightly coordinated via networking.
v. **Improved Management Processes**: Because instantaneous information is accessible in a convenient usable format, more upper managers use it routinely for planning, leading, directing, and controlling operations.

Enterprise Resource Planning (ERP)

A system that helps the organization in planning its resources using computerized systems.

Resources can be:

- Financial resources
- Administrative resources

Types of Information Systems

Organizations depend on quality information to make good decisions and help them accomplish their goals. To design and develop good information systems, companies hire a top-level manager known as a CIO. A Chief Information Officer (CIO) is a strategic-level manager who oversees the company's information systems.

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Types & levels of Information Systems in any organization can be:

- Information system for top management.
- Information system for middle management.
- Information system for lower management.

Information system for Departments

A separate information system is designed for every department while keeping in view demands & requirements of each department.

Knowledge Workers

An increasingly important group of employees who use information and knowledge as the raw materials of their work, and who rely on technology to design new products or business systems (e.g. Engineers, scientists, computer programmers, etc.).

Considerations of Users for Information System

Managers at Different Levels: First-line managers need information on the day-to-day details of their departments or projects. Middle managers need summaries and analyses for setting intermediate and long-range goals for their departments or projects. And top managers need information on a broader economic and business trends, and overall company performance.

Functional Areas and Business Processes: Each business area (e.g. marketing, finance) has its own information requirements, and each business process (e.g. strategic planning, product development) also has specific information needs.

Management Information System (MIS)

A system which helps management in decision making

MIS provides information regarding the decision making by management.

Decision Support System (DSS)

A system which supports the decision of the management is called Decision support system. The pool of information is gathered after various internal & external researchers and this system provides a proper form to make this information functional for decision making.

Executive Support System (ESS) OR Executive Decision System (EDS)

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A system which provides information to executives for decision making is called Executive Support System. Since executives have to take a decision at broader levels so this special system is designed for them to provide very valid, accurate & timely information for top level decisions.

Computer Network

Computers linked together for the purpose of information sharing are called computer network.

COMPONENTS OF INFORMATION SYSTEM

a. Hardware
b. Software
c. Controls
d. Database
e. People
f. Telecommunications

a. Hardware:

Physical components of a computer system

i. **Inputting**
   1. **Input Device**: Part of the computer system that enters data into it.
   2. **Central Processing Unit** (CPU): Part of the computer system where data processing takes place.

ii. **Main Memory**: Part of the computer CPU housing memory of programs it needs to operate.

iii. **Programs**
   1. **Program**: Set of instructions used by a computer to perform specified activities.
   2. **Output Device**: Part of the computer system that presents results, either visually or in printed form.

b. Software:

Programs that instruct a computer on what to do

i. **System program**: Software that tells the computer what resources to use and how to use them.

ii. **Application program**: Software (such as Word for Windows) that processes data according to a user's special needs

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iii. **Graphical User Interface**: Software that provides a visual display to help users select applications.

c. Control:

Ensures that the system is operating according to specific procedures and within specific guidelines

i. Problems of Privacy and Security

1. **Privacy** invasion occurs when intruders (hackers) gain unauthorized access, either to steal information, money, or property or to tamper with data.
2. **Security** measures for protection against intrusion are a constant challenge.

ACCOUNTING

- A system of recording, classifying, analyzing, summarizing and reporting the economic information in terms of money.
- Economic Information: Every information is an economic information where monetary exchange takes place.

General Journal

A book in which all economic information of a general nature is recorded.

Ledger

It is a book in which all economic information is recorded category wise or heading wise.

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Lecture 43

ACCOUNTING

Accounting Period: Time span in which accounts are terminated.

Summarizing: Summary of all revenues and expenses

Income Statement: A statement which shows the position of revenues and expenses or profit and loss

Profit: Excess of revenues over expenditures.

Loss: Excess of expenditures over revenues.

Bookkeeping: Recording of accounting transactions. It is just one phase of accounting.

Accounting Vs Book Keeping

- Recording the information in the books is called book keeping.
- To draw a picture from the information is called accounting.

ACCOUNTING INFORMATION SYSTEM (AIS)

Organized means by which financial information is identified, measured, recorded, and retained for use in accounting statements and management reports

Types of Accounting

- **Financial Accounting:** Financial accounting is used by external users.

- **Managerial Accounting:** Managerial accounting is used by internal users.

AUDITING

Auditing is an examination of the records and reports of an enterprise by accounting specialists other than those responsible for their preparation. Public auditing by independent accountants is common in large firms. The auditor performs tests to determine whether the firm's statements were prepared in accordance with acceptable accounting principles and that they fairly present its financial position and operating results.

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Accounting versus Auditing

- Accounting is concerned with recording of accounting information.
- Auditing is concerned with examination of accounting information.

TYPES OF AUDITORS

There are two types of auditors:

a. Internal Auditors

Internal auditors are employees of a company hired to assess and evaluate its system of internal control. To maintain independence, they present their reports directly to the Board of Directors or to Top Management. They provide functional operation to the concern. Internal Auditors are employees of the company so that they can easily find out the frauds and any mis-happening.

b. External Auditors

External auditors are independent staff assigned by an auditing firm to assess and evaluate financial statements of their clients or to perform other agreed upon evaluations. Most external auditors are employed by accounting firms for annual engagements. They are called upon from the outside of the company.

USERS OF ACCOUNTING INFORMATION

- **Business Managers & Management**
  Set goals, develop plans, set budgets, and evaluate future prospects
- **Employees and Unions**
  Get paid, plan for and receive benefits
- **Investors and Creditors (Owners)**
  Estimate returns to stockholders, determine a company's growth prospects, and determine creditworthiness before investing or lending
- **Banks**
  They would be interested in company's financial conditions as they would like to know when their loans will be paid
- **Tax Authorities (Banks)**
  Plan for tax inflows, determine tax liabilities, and ensure proper payment
- **Government Regulatory Agencies**
  Fulfill their duties to the citizens

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Generally Accepted Accounting Principles (GAAP)

These are accepted rules and procedures governing the content and form of financial reports around the world. Need for these systems were raised when shuffling of financial staff was happening in the teams & new people were joining the existing teams so it was becoming difficult to make new people aware with every aspect of previous working so these systems were evolved.

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Lecture 44

TOOLS OF THE ACCOUNTING TRADE

For thousands of years, businesses and governments have kept records of their transactions. Accountants are guided by three fundamental principles: the accounting equation, double-entry accounting, and the matching principle.

The Accounting Equation

Accountants use the following equation to balance the data in journals and ledgers:

Assets = Liabilities + Owners' Equity

ASSETS AND LIABILITIES

Asset—any economic resource expected to benefit a firm or an individual who owns it.

a. **Tangible Assist:** It includes Cash, Building, Automobiles, Machinery & raw Materials.
b. **Intangible Assist:** It includes copyrights & good will etc.

Assists are always equal to liabilities of the firm.

Liability—debt owned by a firm to an outside organization or individual. These are all payables, claims or obligation of the firm. These can be payable to a bank, to suppliers or to other institutions.

Liabilities are of two types:

- Liability towards owner
- Liability towards other parties

Owners' Equity—amount of money that owners would receive if they sold all of a firm's assets and paid all of its liabilities. It consists of two sources of capital: the amount the owners originally invested, and profits earned by and reinvested in the company.

Double-Entry Accounting

To keep the accounting equation in balance, companies use a system developed by Fra Luca Pacioli, an Italian monk, in 1494. Double-entry accounting is a way of recording financial transactions that requires two entries for every transaction, so that the accounting equation is always kept in balance.

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a. Every transaction has two effects:

    1. Debit
    2. Credit

b. For every debit, there is always a credit.
c. For every credit, there is always a debit.
d. Debit and credit are always equal.

FINANCIAL STATEMENTS

Any of several types of reports summarizing a company's financial status to aid in managerial decision making

1) Balance Sheet

Also known as a statement of financial position is a kind of "snapshot "of where a company is, financially speaking, at one moment in time.

The balance sheet includes all the elements in the accounting equation, showing the balance between assets on one side and liabilities and owners' equity on the other. Every company prepares a balance sheet at least once a year, most often at the end of the calendar year, January 1 to December 31. The fiscal year, any 12 consecutive months, is used by many business and government bodies.

a. A sheet which shows the balances of assets and liabilities.

b. Balance sheet includes:

a. Title
    i. Name of company
    ii. Name of statement
    iii. Period
b. Asset side
c. Liabilities and owner's equity

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Perfect Posters, INC.
555 RIVERVIEW, CHICAGO, IL 60606

Perfect Posters, Inc.
Balance Sheet
As of December 31, 2004

Assets

Current Assets:		
Cash		$7,050
Marketable securities		2,300
Accounts receivable	$26,210	
Less: Allowance for doubtful accounts	(650)	25,560
Merchandise inventory		21,250
Prepaid expenses		1,050
Total current assets		**$ 57,210**
Fixed assets:		
Land		18,000
Building	65,000	
Less: Accumulated depreciation	(22,500)	42,500
Equipment	72,195	
Less: Accumulated depreciation	(24,815)	47,380
Total fixed assets		**$ 107,880**
Intangible assets:		
Patents	7,100	
Trademarks	900	
Total intangible assets		**8,000**
Total assets		**$173,090**

Liabilities and Owners' Equity

Current liabilities:		
Accounts payable	$16,315	
Wages payable	3,700	
Taxes payable	1,920	
Total current liabilities		**$ 21,935**
Long-term liabilities:		
Notes payable, 8% due 2006	10,000	
Bonds payable, 9% due 2008	30,000	
Total long-term liabilities		**40,000**
Total liabilities		**$ 61,935**
Owners' Equity:		
Common stock, $5 par	40,000	
Additional paid-in capital	15,000	
Retained earnings	56,155	
Total owners' equity		**$ 111,155**
Total liabilities and owners' equity		**$173,090**

2) Trial Balance

A trial balance is a list and total of all the debit and credit accounts for an entity for a given period – usually a month. The format of the trial balance is a two-column schedule with all the debit balances listed in one column and all the credit balances listed in the other. The trial balance is prepared after all the transactions for the period have been journalized and posted to the General Ledger.

The key to preparing a trial balance is making sure that all the account balances are listed under the correct column. The appropriate columns are as follows:
Assets = Debit balance
Liabilities = Credit balance
Expenses = Debit Balance
Equity = Credit balance
Revenue = Credit balance

Trial Balance Errors

- Those errors which will affect debit and credit side.
- If both sides of trial balance are equal, it does not mean that the books of accounts are error free.

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Lecture 45

FINANCIAL MANAGEMENT

Financial Management

The efficient and effective management of monetary resources of an organization in such a manner, as to accomplish the objectives of the organization.

3) INCOME STATEMENT

It is a financial statement listing a firm's annual revenues and expenses so that a bottom line shows annual profit or loss. If the balance sheet is a "snapshot," the income statement is a movie."

a) **Revenues**: Funds that flow into a business from the sale of goods or services.
b) **Cost of Goods Sold**: Total cost of obtaining materials for making the products sold by a firm during the year.
c) **Gross Profit (or Gross Margin)**: Revenues obtained from goods sold minus cost of goods sold.
d) **Operating Expenses**: Costs, other than the cost of goods sold, incurred in producing a good or service.
e) **Operating Income**: Gross profit minus operating expenses.
f) **Net income (or net profit or net earnings)**—gross profit minus operating expenses and income taxes.

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Perfect Posters, INC.
555 RIVERVIEW, CHICAGO, IL 60606

Perfect Posters, Inc.
Income Statement
Year Ended December 31, 2004

Revenues (gross sales)			**$256,425**
Cost of goods sold:			
Merchandise inventory, January 1, 2004.	$22,380		
Merchandise purchases during year	103,635		
Goods available for sale		$126,015	
Less: Merchandise inventory December 31, 2004	21, 250		
Cost of goods sold			**104,765**
Gross profit			**151,660**
Operating expenses:			
Selling and repackaging expenses:			
Salaries and wages	49,750		
Advertising	6,380		
Depreciation—warehouse and repackaging equipment	3,350		
Total selling and repackaging expenses		59,480	
Administrative expenses:			
Salaries and wages	55,100		
Supplies	4,150		
Utilities	3,800		
Depreciation—office equipment	3,420		
Interest expense	2,900		
Miscellaneous expenses	1,835		
Total administrative expenses		71,205	
Total operating expenses			**130,685**
Operating income (income before taxes)			20,975
Income taxes			8,390
Net income			**$12,585**

Revenue Vs Profit

- Revenue is income.
- Profit is obtained after deducting expenses from revenue.

Trading Concern

An organization which buys goods for reselling is called trading concern. The difference between buying price & selling price is called revenue.

FINANCE IN AN ORGANIZATION

Thinking and considering for long term investments of the firm, Generating revenues to pay back these investments and to perform day to day activities of an organization is called finance.

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The Role of the financial people in organization management

Corporate finance typically entails four responsibilities: determining a firm's long-term investments, obtaining funds to pay for those investments, conducting the firm's everyday financial activities, and helping to manage the risks the firm takes.

Responsibilities of the **Financial Manager** include planning and controlling the acquisition and dispersal of a firm's financial resources.

i. **Cash-Flow Management**: Management of cash inflows and outflows to ensure adequate funds for purchases and the productive use of excess funds.

ii. **Financial Control**: Process of checking actual performance against plans to ensure that desired financial results occur.

iii. **Financial Planning**: A **financial plan** shows the funds a firm will need for a period of time, as well as the sources and uses of those funds. A strategy for reaching some future financial position.

iv. **Dealing with Banks**: Deal with almost every bank for debiting & crediting the funds, Manage foreign trade & short term loans.

Ratio Analysis

a. Ratios tell us relationship among financial figures.
b. These can be: Relationship between current assets and current liabilities.

THE BUDGET: AN INTERNAL FINANCIAL STATEMENT

Budget is a detailed statement of estimated receipts and expenditures for a period of time in the future. The budget is probably the most crucial internal financial report. Most companies use their budgets for internal planning, controlling, and decision-making. Although the accounting staff coordinates the budget process, many different employees contribute to creating and updating the budget.

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MGT211- INTRODUCTION TO BUSINESS

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MIDTERM EXAMINATION
Spring 2010
MGT211- Introduction To Business (Session - 1)

1. Which of the following must hold a statutory meeting?
   - Statutory companies
   - Private limited companies
   - Public limited companies
   - Chartered companies
2. Which of the following is NOT included in aids to trade?
   - Insurance
   - Warehousing
   - Transportation
   - Foreign trade

3. The portion of capital kept at the winding up of a company for the payment of debts is known as:
   - Reserve capital
   - Issued capital
   - Subscribed capital

Authorized capital

4. Which of the following business type can avail some concessions from the government?

Sole proprietorship
Partnership
Joint Stock company
Cooperative society

5. While making financial projections in a business plan, which of these would NOT form part of the plan?

Source of loan
Audit
Net income or profit
Expected revenues

6. Which of the following are included in a business plan?

Financial information, production plans, personal policies.
Goals of the business and how they will be achieved.
Market analysis
All of the given options.

7. Which of the following is not a reason for a business failure?

Managerial experience or inexperience
Effective control systems
Insufficient control system
None of the given options

8. In which of the following two or more organizations collaborate on a project for mutual gain?

Limited partnership

Public corporation
Strategic alliance
None of the given options

9. The difference between a country's merchandise exports and its merchandise imports is the:

Current account
Capital account
Balance of trade
Balance of payments

10. One of the best solutions to get rid of non-biodegradable wastes is:
Dumping
Recycling

11. The MBTI is a personality test that has been used to select candidates who will more likely
engage in organizational citizenship behaviors at work. However, critics of this test suggest that the
results can change over time as a person's personality develops. Therefore the MBTI personality
test may be:

Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

12._____ is a written statement which contains the duties and responsibilities of a job.

Job analysis
Job specification
Job description
Job inventory chart

13. According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm
for her house is motivated to do so in an attempt to fulfill the following need:

Esteem
Security

Social
Self-actualization

14. Douglas McGregor is associated with which of the following?

Scientific management
Motivational factors
Theory X and theory Y
The Hawthorne studies

15. Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

Safety
Self actualization
Physiological
Social

16. The term "Job Rotation":

Is another term for employee empowerment?
Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Means that staff is moved periodically from task to task in order to increase variety and
interest.

17. Which of the following statements is NOT true about services?

They are experienced, used or consumed
They are often sold first, and then consumed
They are perishable

They are tangible

18. Which of the following generic terms is not a management function?

Leading
Systemizing
Planning
Organizing

19. Increases in the degree of responsibility a worker has over his or her job is referred to as job:

Empowerment
Enlargement
Enrichment
Entitlement

20. ABC Company is currently hiring employees from different countries. ABC Company is said to be implementing _____ strategy.

Decentralization
Downsizing
Workforce diversity
Retrenchment

21. What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability
Single tax filing

Difficult ownership resale
Raising capital

22. Which of the following is the oldest form of business organization?

Sole proprietorship
Partnership
Company
Cooperative society

23. Which of the following is an advantage of a corporation that is *not* an advantage as a limited partner in a partnership?

Limited liability
Easy transfer of ownership position
Double taxation
All of the given options are advantages that the corporation has over limited partner

24. Examples of constructive industries include:

Canals
Fishery
Sugar mills
Plant nurseries

25. Which of the following statement shows the Trade Deficit process?

A process in which country imports are higher than the exports
A process in which country exports are equal to the exports
A process in which country imports are less than the country exports
All of the given options

26. Mr. Saleem has invested 20,000 Rs in a business but did not take part in the management of the

business. In which category of partner he falls?

Secret partner
Silent partner
Sleeping partner
All of the given options

27. Name of the business should:

Be simple
Indicates the type of business
Be familiar
All of the given options

28. Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?

Licensing
Joint venturing
Contracting
Franchising

29. What are some of the non financial ways of compensation for employees? (3 marks)

30. How does the term Merger differs from the term Acquisition. (3 marks)

31. What do you mean by recruitment? What are the different ways of recruitment? (5 marks)

32. Describe Expectancy theory. (5 marks)

MIDTERM EXAMINATION
Spring 2009
MGT211- Introduction To Business (Session - 2)

Question No: 1 (Marks: 1) - Please choose one
Which of the following is excluded from factors that can affect the business?
Demographic Factors
Economic and social factors
Natural factors
None of the above

Question No: 2 (Marks: 1) - Please choose one
The formation of _____does not require any legal formality like registration.
Company
Cooperative society
Partnership
Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one
Which of the following is a disadvantage of partnership?
Distribution of work
Sufficient capital
Prime credit standing
Profit sharing

Question No: 4 (Marks: 1) - Please choose one
In partnership deed, profit and loss is distributed among the partners:
In equal percentage
As per percentage of capital invested
As per agreed ratio in partnership deed
None of the given options

Question No: 5 (Marks: 1) - Please choose one
The powers of the Board of Directors to borrow from the bank are mentioned in:
Article of Association
Memorandum of Association
Special Resolution
None of the given options

Question No: 6 (Marks: 1) - Please choose one
Which of the following should be considered when designing a business plan?
Objectives of the business
Marketing components of the business

Financial components of the business
All of the given options

Question No: 7 (Marks: 1) - Please choose one
A firm that acquires another firm as part of its overall business strategy is engaging in _____.
A strategic acquisition
A financial acquisition
A two-tier tender offer
A shark repellent

Question No: 8 (Marks: 1) - Please choose one
The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Balance of payments
Balance of payments on current account.
Balance of trade.

Question No: 9 (Marks: 1) - Please choose one
which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT
EU
WTO
NAFTA

Question No: 10 (Marks: 1) - Please choose one
Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Government payments to domestic producers to reduce the price on exported goods.

Question No: 11 (Marks: 1) - Please choose one
If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ethics
Profitability.
Productivity.
Game plan

Question No: 12 (Marks: 1) - Please choose one
_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment
Corporate philanthropy
Corporate policy
Corporate governance
Corporate responsibility

Question No: 13 (Marks: 1) - Please choose one
Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:
What business the organization should be in
The right quantity and quality of employees needed when and where
What physical resources the organization needs
Who the organization's main competitors are

Question No: 14 (Marks: 1) - Please choose one
The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:
Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

Question No: 15 (Marks: 1) - Please choose one
Selection devices that are based upon physical condition of the candidates are known as:
Medical tests
Background investigations.
Aptitude tests
Application forms.

Question No: 16 (Marks: 1) - Please choose one
Which of the following chart shows turnover in an organization?
GANNT chart
Replacement chart
PERT chart
Bar chart

Question No: 17 (Marks: 1) - Please choose one
The Hawthorne Studies found:
That social and psychological factors could significantly affect productivity
That economic factors affect productivity

Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

Question No: 18 (Marks: 1) - Please choose one
According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:
Esteem.
Security
Social
Self-actualization.

Question No: 19 (Marks: 1) - Please choose one
Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:
Growth factors
Hygiene factors
Esteem factors
Motivating factors

Question No: 20 (Marks: 1) - Please choose one
Which of the following step is important to improve expectancy?
Deliver rewards as promised.
Observe and recognize performance.
Create the belief that effort is related to performance
Make the rewards meaningful.

Question No: 21 (Marks: 1) - Please choose one
The term "Job Rotation":
Is another term for employee empowerment
Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 22 (Marks: 1) - Please choose one
Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Total company effort
Profit
Productivity
Customer satisfaction

Question No: 23 (Marks: 1) - Please choose one
In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage

Product oriented stage
Marketing oriented stage
None of the given options

Question No: 24 (Marks: 1) - Please choose one
Which of the following statements is NOT true about services?
They are experienced, used or consumed.
They are often sold first, then consumed.
They are perishable.
They are tangible.

Question No: 25 (Marks: 1) - Please choose one
The degree to which a tool or test measures what it is supposed to measure is known as:
Validity
Reliability
Dependability
Goodness of fit.

Question No: 26 (Marks: 1) - Please choose one
Which of the following would generally have
unlimited
liability?
A limited partner in a partnership
A shareholder in a corporation
The owner of a sole proprietorship
A member in a limited liability company (LLC)

Question No: 27 (Marks: 1) - Please choose one
What is potentially the biggest advantage of a small partnership over a sole proprietorship?
Unlimited liability
Single tax filing
Difficult ownership resale
Raising capital

Question No: 28 (Marks: 1) - Please choose one
Which of the following enjoys limited liability?
A general partnership
A corporation
A sole proprietorship
None of the given options

Question No: 29 (Marks: 1) - Please choose one
In which type of business entity the entire ownership interest is transferable most freely ?
General partnership
Limited partnership
Corporation
Limited liability company

Question No: 30 (Marks: 1) - Please choose one
Which of the following is false?
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems

Question No: 31 (Marks: 5)
What is a business plan? Discuss the purpose and significance of a business plan.

Question No: 32 (Marks: 10)
What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

INTRODUCTION TO BUSINESS
MGT 211
Fall semester 2007
Mid term paper

Please highlight the correct option from the given choices.

1) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?
a) 10%
b) 15%
c) 40%
d) 80%

2) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution
b) **In annual general meeting**
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus
d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?
a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 11:
Which one of the following statements about marketing is inaccurate?
a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.

b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 12:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) **Customer relationship management**

Q# 13:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) **The product life cycle**
c) Marketing research
d) A customer-oriented approach

Q# 14:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) **Marketing research provides an inexpensive method for tracking consumer behavior**

Q#15:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) **Market segment**
d) Marketing plan

Q#16:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 17:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 18:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries
b) Direct distribution
c) Distribution mix
d) Distribution channel

Q#1 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 20:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 21:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) **Loyalty**
d) Ownership

Q# 22:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) **Marketing**
d) Relationship

Q# 23:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) **Long-run success page**.
c) Largest market share.
d) Highest paid staff.

Q# 24:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) **Relationship Marketing**
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 25:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) **Sales process**
b) Exchange process
c) Relationship process
d) Production process

Solved MCQs mgt211

Question # 1
Which of the following focuses on job content, environment, and conditions of employment?
Select correct option:

a. Job description

b. Human resource inventory report

c. Job analysis

d. None of the given options

Question # 2
All of the following except _____ are considered to be correct statements about marketing research.
Select correct option:

a. It is a systematic search for information about customers' needs and how those needs differ.

b. Marketing research is geared to uncover unmet consumer needs

c. With market research, the chance product development will be able to create a product consumers want to buy increases

d. Marketing research provides an inexpensive method for tracking consumer behavior

Question # 3
In the marketing research process the 1st step is to define the problem followed by:
Select correct option:

a. Collection of data

b. Develop recommendation

c. Develop the research design

d. Implement plan

Qu**estion # 4**

Which of the following is the least likely decision to be made by Operations Managers?
Select correct option:

a. Deciding which market areas to manufacture products for

b. Designing and improving the jobs of the workforce

c. Selecting the location and layout of a facility

d. How to use quality techniques to reduce waste

Question # 5

What kind of sales person are you most likely to find working in the pharmaceutical industry?
Select correct option:

a. Order taker

b. Order getter

c. Sales engineer

d. Missionary salesperson

Question # 6

_____ includes all of the activities involved in the sale of products to final customers.
Select correct option:

a. Wholesaling

b. Retailing

c. Marketing

d. Distributing

Question # 7

Which of the following are the functions of management?

a. Select correct option:
b. Planning

c. Organizing
d. Coordinating

e. All of the given options

Question # 8

A major advantage of the corporate form of organization is:

Select correct option:

a. Reduction of double taxation.

b. Limited owner liability.

c. Legal restrictions.

d. Ease of organization

Question # 9

It is difficult to transfer the rights of ownership in:

Select correct option:

a. Sole proprietorship

b. Partnership

c. All the given options

d. None of the given options

Question # 10

Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business

Select correct option:

a. 3 months

b. 6 months

c. 1 year

d. One month

Question # 11

Which of the following is the most important determinant of a firm's value?

Select correct option: **a. Earnings**

b. Debt

c. Liabilities

d. Liquidity

Question # 12

The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:

Select correct option:

a. Market penetrating

b. Target Marketing

c. Relationship marketing

d. Market segmentation

Question # 13
_____ refers to the standards of moral behavior.
Select correct option:

a. Legality

b. Loyalty

c. Integrity

d. Ethics

Question # 14
The difference between a country's merchandise exports and its merchandise imports is the:
Select correct option:

a. Current account.

b. Capital account

c. Balance of trade

d. Balance of payments

Question # 15
The World Trade Organization (WTO):
Select correct option:

a. Sets tariffs to balance international trade among nations.

b. Is the successor to NAFTA.

c. Rules on trade disputes between nations.

d. Sets exchange rates to balance international trade among nations.

Question # 16
Which of the following is NOT a core function of management?
Select correct option:

a. Planning

b. Organizing

c. Motivating

d. Leading

Question # 17
In democratic style of leadership there is:
Select correct option:

a. Upward communication

b. Upward and downward communication

c. Occasional communication

d. Downward communication

Question # 18
The following are included in a business plan:
Select correct option:

a. Financial information, production plans, personnel policies

b. Goals of the business and how they will be achieved.
c. Market analysis

d. All of the above.

Question # 19
There are really only two ways to collect primary data for a marketing study:
Select correct option:

a. Observation and asking questions

b. Passive and remote observations

c. Through laboratory settings and onsite groups

d. With careful, selected shopper and specialized syndicated services

Question # 20
The major disadvantage of advertising on television is:
Select correct option:

a. Local market focus

b. Long life span

c. Cost.

d. Its inability to target specific audiences.

Question # 21

_____ may be used to analyze how well a company is managing its assets.

Select correct option:

a. Profitability Ratio

b. Debt Ratio

c. Activity Ratio

d. Liquidity Ratio

Question # 22

For the individual employee, MBO provides:

Select correct option:

a. A way to keep the company accountable

b. Specific personal performance objectives

c. Increased monetary compensation

d. Communication between co-workers.

Question # 23

Examples of genetic industries include:

Select correct option:

a. Poultry

b. Sugar mill

c. Plant nurseries

d. Canals

Question # 24

Which of the following enjoys limited liability?

Select correct option:

a. A general partnership.

b. A corporation.

c. A sole proprietorship.

d. None of the above

Question # 25
JIT aims at:-
Select correct option:

a. Avoid delays

b. Favorable cash flow of the organization

c. Reduction in non-value added activities

d. All of the given options

Question # 26
Consumer goods are purchased by:
Select correct option: a. Business users.

b. Ultimate consumers.

c. Governments.

d. Families.

Question # 27
The last step involved in designing an advertising campaign is _____.
Select correct option:

a. Allocation of Budget

b. Advertising Objectives

c. Advertising Evaluation

d. Message Creation

Question # 28
In which of the following do two or more organizations collaborate on a project for mutual gain?
Select correct option:

a. Limited partnership

b. Joint venture

c. Public corporation

d. Strategic alliance

Question # 29
Air crafts are used for transportation of products when speed is
Select correct option:

More important
Less important

Question # 30
An item consumed in one or a few uses is called a:
Select correct option:

a. Consumer good
b. Commodity
c. Durable good
d. Nondurable good

Question # 31
Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Select correct option:

a. Sales promotion
b. Public relations
c. Personal selling
d. Advertising

Question # 32
A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:
Select correct option:

a. Job description.
b. Human resource inventory report.
c. Job analysis.
d. Job specification.

Question # 33
Aggregating prospective buyers into groups is called:
Select correct option:

a. Market categorization
b. Market segmentation
c. BCG matrix analysis
d. Grouping

a. Sets exchange rates to balance international trade among nations.

Question #34
Franchisors like franchising because:
Select correct option:

a. They get a huge amount of money from franchisee without doing much

b. Failure rate of franchise business is lower than other businesses.

c. Franchisees invest their own money and take responsibility for the management of the businesses they own.

d. All of the given

Question # 35
Auditors are generally appointed and their remuneration, fixed at the _____
Select correct option:
Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting
Question #36
Which of the following is included in economic factors?
Select correct option:
Religion
Value system
Norms
Exchange rate
Question # 37
Management, marketing and finance are key parts of a/ an:
Select correct option:
Accounting plan Production strategy
Business plan
Information systems
Question # 38
_____ refers to the standards of moral behavior.
Select correct option:
Legality
Loyalty
Integrity
Ethics
Question # 39
Skyscrapers, pop-ups, and banners are all types of _____ advertising.
Select correct option:
Television
Radio

Outdoor
Internet
Question # 40
Selection devices that are based upon physical condition of the candidates are known as:
Select correct option:

a. Medical tests

b. Background investigations.

c. Aptitude tests

d. Application forms.

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days
   3. 07 days
   4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. **Fails to submit statutory report**
   3. Expiry of Period
   4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. **Participation Term Certificates**
   4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
   1. **Reserve capital**
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. **Petition by debtor**
   2. Petition by creditor
   3. Petition by contributory
   4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. Complicated coordination
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

   a. Autocratic styles
   b. Democratic styles
   c. Free rein style
   d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

   a. Leadership
   b. Motivation
   c. Free rein style
   d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

   a. Participative Management and Empowerment
   b. Management by Objectives (MBO)
   c. Reinforcement/Behavior Modification Theory
   d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

   a. Organization Policies
   b. Product Policies
   c. Management Structure
   d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. Substitute product competition
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.
    a. **Finished goods**
    b. Work in process
    c. Raw material
    d. All of the given option
12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
    a. Persuasive advertising
    b. Comparative advertising
    c. **Informative advertising**
    d. Reminder advertising
    e. None of the given options
13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
    a. **Pull strategy**
    b. Push strategy
    c. Persuasive advertising
    d. Sales Promotion
14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
    a. **Warehousing cost**
    b. Transportation cost
    c. Distribution cost
    d. Manufacturing cost
15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
    a. Order Processing
    b. **Creative Selling**
    c. Missionary Selling
    d. None of the given option
16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
    a. **Final consumer**
    b. Retailer
    c. Wholesalers
    d. All of the given options
17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

a. **Trade Shows**
b. Contests
c. Cross-promotion
d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.
a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
a. Public relation
b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.
a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

Q 1.

1. A major disadvantage of corporate organization is
- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is
- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for
- Long term
- **Short term**
- All of given options
- None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have _____ type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is _____
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
   - Canal
   - Sugar mill
   - **Poultry**
   - Agriculture

10. The first stage Evolution business is?
    - **Industry revolution**
    - Globalization
    - Entrepreneurship
    - Marketing era

MGT211-Quizz-

Question # 1 of 15

In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:

Demographics
Psychographics
Personal profile
Personality

Question # 2 of 15
The method of interview where questions can be changed or adapted to meet the respondent's intelligence and understanding is called

Unstructured interview
Structured interview
All of the given options
None of the given options

Question # 3 of 15
Examples of generic industries include

Poultry
Sugar mill
Plant nurseries
Canals

Question # 4 of 15
---------- refers to standard of moral behavior

Loyalty
Integrity
Ethics

Question # 5 of 15
The buying and selling of goods by way of electronic media, such as telephone is called

Digital age
E commerce
Enterprise resource planning
None of the above

Question # 6 of 15
Which one of the following is NOT a benefit of partnership?

Distribution of work
Unlimited liability
Tax facility
Minority protection

Question # 7 of 15
The World Trade Organization (WTO):

Sets tariffs to balance international trade among nations
Is the successor to NAFTA?
Rules on trade disputes between nations.
Sets exchange rates to balance international trade among nations

---

Question # 8 of 15
The liability of a sole trader is
Limited only to his investment in the business
Limited to the total resources of the business
Unlimited
Not defined

Question # 9 of 15
Which of the following statements about Franchising is true?
Franchising is a type of corporate system
Franchising is used to achieve coordination at successive stages of production
Franchising is a type of administered vertical marketing system
Franchising is the most visible variation of contractual systems

---

Question # 10 of 15
Which one of the following business type can avail some concessions from Government?
Sole proprietorship
Partnership
JS Company
Cooperative society

Question # 11 of 15
Wages are paid for
Short term periods
Long term periods
All of the given options
None of the given options

Question # 12 of 15
A good, service, or idea consisting of a bundle of Tangible and intangible attributes that can satisfy consumer is called a:
Durable good
Product
Commodity

Question # 13 of 15
A _____ is an assessment of the kinds of skills, knowledge and abilities needed to successfully perform each job in an organization

Job description
Human resource inventory report
Job specification
Job analysis

Question # 14 of 15
The interviewer asks the respondents same questions using a predetermined series of questions interview questions in:

Structured interview
Unstructured interview
Telephonic interview
None of the given options

Question # 15 of 15
Which one of the following business has shortest life spam?

Sole proprietorship
Partnership
JS Company
Co-operative society

Semester Spring 2008
Quiz 1 solution
MGT211 (Introduction to Business)

Questions
Correct answer

1) Which of the following is excluded from factors that can affect the business?
a)
Demographic Factors
b)
Economic factors
c)
Act of God
d)
None of the above

Correct answer **D**

2)The function of business in which business man tries to find new techniques of production is

a)
Accounting
b)
Management Function
c)
Innovation
d)
Quality improvement

Correct answer C

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

a)
Favorable
b)
Unfavorable
c)
Deficit
d)None of the above

Correct answerA

4) Which of the following is excluded from the advantages of Sole Proprietorship?

a)
Direct relationship with customers
b)
Unlimited Liability
c)
Easy transfer of Ownership
d)
Entire Profit

Correct answerB

5) Which of the following is an advantage of sole proprietorship?

a)
Longest life
b)
Availability of sufficient Capital
c)

Direct contact with customer and workers
d)
Separate Legal Entity

Correct answer **C**

6) Which of the following is not among the benefits of Partnership Firm?
a)
Satisfaction of Partners
b)
Lack of Secrecy
c)
Moral Promotion
d)
Minority Protection

Correct answer **B**

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.
a)
50:50
b)
As per percentage of Capital invested
c)
As per agreed ratio in Partnership deed
d)
25:75

Correct answer **C**

8) The company may raise its capital through which of the following sources:
a)
By Issuing Shares
b)
By Issuing Debentures
c)
By Savings
d)
All of the given options

Correct answer **D**

9)Advantages of cooperative societies does not include

a)
Equal distribution of wealth
b)
Interference of Government
c)
No Monopoly
Open Membership

Correct answer **B**

10) WTO was organized on _____
a)
July 15, 1998
b)
January 01, 1990
c)
August 25, 1995
d)
January 01, 1995

Correct answer **D**

INTRODUCTION TO BUSINESS (MGT 211)

(QUIZ)

Please highlight the correct option from given choices.

1. An enterprise that provides products or services that customers desire is a /an:
   a. institution
   b. market
   c. agency
   d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

6. An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

7. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating
   b. risk
   c. value
   d. return on investment

8. _____ conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

9. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

10. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

11) All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.
   a) Land
   b) Capital
   c) Labor
   d) Financial Counselors

12) Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

   a) Charter Laws
   b) Unlimited Liability
   c) Terms of his property insurance
   d) Limited Liability

13) ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

   a) Limited partnerships
   b) Limited Liability Companies
   c) Sole Corporations
   d) General Partnership

14) ---------- is considered a primary advantage to forming a business partnership.

a) Shared Profit
b) Increase Specialization
c) Shared Control
d) Unlimited Liability

15) Disadvantages associated with being an entrepreneur include all of the following except ----------.

a) Ensuring the business functions properly
b) Possibly incurring large losses
c) Possibly losing source of income
d) Having an increased amount of control

16) All of the following except ---------- are considered to be barriers to free trade

a) Tariffs
b) Quotas
c) Subsidies
d) Taxes

17) A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

a) Totalitarian government
b) Representative democracy
c) Mixed Economy
d) Free Market Economy

18) ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

a) Promoters
b) Brokers
c) Underwriters
d) Directors

19) The function of business responsible for the efficient use of employees and other resources (such as machinery) is:

a) Finance
b) Marketing
c) Production
d) Management

20) The different types of stakeholders involved in a business include all of the following except:

a) Owners
b) Creditors
c) Couriers
d) Employees

Introduction to business_MGT211_MCQs

Question No: 1 Which of the following business type has longest life time?
Sole proprietorship Partnership
Joint stock company All of the given options

Question No: 2 Election of the Board of Directors is done by Shareholders.
Through special resolution **In annual general meeting**
In Special meeting In statuary meeting

Question No: 3 Which of the following business type, has to pay double taxes to the government?
Sole proprietorship Partnership
Joint stock company Cooperative Societies

Question No: 4 _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association **Article of Association**
Prospectus All of the given option

Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company Article of Association
Prospectus None of the given option

Question No: 6 To call the extraordinary meeting, how many days' notice is required?
21 days 15 days 07 days 30 days

Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
Statutory Declaration **Fails to submit statutory report**
Expiry of Period Appointment of Liquidators

Question No: 8 Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate Debentures
Participation Term Certificates All of the given option

Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital Un-Issued Capital
Un-Called up Capital All of the given option

Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor Petition by creditor
Petition by contributory All of the above

Question No: 11 Which of the following is the disadvantage of modified schedules and alternative workplace?
Freedom in professional and personal life More Job satisfaction
Complicated coordination
Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles Democratic styles

Free rein style None of the given option

Question No: 13 _____ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

Participative Management and Empowerment

Management by Objectives (MBO)

Reinforcement/Behavior Modification Theory None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

Organization Policies Product Policies

Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

Marketing Mix **Advertising objective**

Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

Market segmentation Marketing Mix

Marketing Penetration Marketing control

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

Marketing Environment Market segmentation

Marketing Mix Marketing Penetration

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

Market segmentation **Marketing Mix**

Marketing Penetration Marketing Environment

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

Substitute product competition Brand competition

International competition: Market competition

Question No: 21 Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods Work in process

Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising Comparative advertising

Informative advertising Reminder advertising

None of the given options

Question No: 23 _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising Sales Promotion

Question No: 24 _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost Transportation cost

Distribution cost Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing **Creative Selling**

Missionary Selling None of the given option

Question No: 26 Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion Special-event sponsorship

Question No: 28 _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM) Promotion strategy

Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion **Publicity** Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising Comparative advertising

Informative advertising **Reminder advertising**

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:
Marketing Component Administrative Component
External Component Financial Component
Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:
Partnership Strategic Alliance Joint venture Franchising
Question No: 34 The shareholders elect the Board of Directors in the
Through special resolution In annual general meeting
In Special meeting In statuary meeting
Question No: 35 Portion of the undistributed profit transferred to which of the following?
General Reserve Retained Earning
Appropriation account All of the given options
Question No: 36 Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?
Charter of Company Article of Association
Prospectus None of the given option
Question No: 37 A joint stock company may be wound up voluntarily in which of the following way:
Expiry of Period Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following
Question No: 38 Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
Debt Equity None of the above All of the given option
Question No: 39 Cooperative Societies are not formed for:
The serving of the orphans and widows The help of poor people
For the earning of profit Social welfare
Question No: 40 Which one of the following statements about marketing is inaccurate?
(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)
(Marketing has to do with persuading customers a product meets their needs.)
(The mass market has fragmented into many different groups of customers.)
(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)
Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.
Marketing Business vision Product development
Customer relationship management
Question No: 42 _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement The product life cycle
Marketing research A customer-oriented approach

Question No: 43 All of the following except _____ are considered to be correct statements about marketing research.

(It is a systematic search for information about customers' needs and how those needs differ)
(Marketing research is geared to uncover unmet consumer needs)
(With market research, the chance product development will be able to create a product consumers want to buy increases)
(Marketing research provides an inexpensive method for tracking consumer behavior)

Question No:44 When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

Market differentiation Market mission
Market segment Marketing plan

Question No: 45 _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

Marketing mix Product mix
Product differentiation Product positioning

Question No: 46 Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

Sales promotion Public relations
Personal selling Advertising

Question No: 47 The specific method a company uses to sell and deliver its products to customers is known as its _____.

Retail intermediaries Direct distribution
Distribution mix Distribution channel

Question No: 48 Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

Independent wholesalers Direct distribution
Company-owned distributors Retail distributors

Question No: 49 The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

Missionary selling Licensed distribution
Distribution mix Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except:

Time Form Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page. Largest market share. Highest paid staff.

Question No: 53 _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing Marketing Era Marketing

Consumer Marketing Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process

Relationship process Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an:

Institution market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except:

Proprietorship partnership bureaucracy corporation

Question No: 59 Partners have unlimited liability in a:

general partnership corporation limited partnership cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating risk value return on investment

Question No: 62 _____ conditions reflect the overall performance of the nation's economy.

Microeconomic multieconomic

macroeconomic all of the given options

Question No: 63 The primary purpose of an industry business environmental assessment is to determine the:
economic growth degree of competition
inflation rate population growth
Question No: 64 The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
Finance marketing production management
Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
Overtime training affirmative action orientation program
Question No: 66 Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
Labor Union Informal organization Team Trade union
Question No: 67 Since they are closer to the production process, first line managers use their _____ skills more frequently.
Conceptual interpersonal managerial technical
Question No: 68 Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
equity theory management by objectives theory X theory Y
Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:
social values anthropology geography demographics
Question No: 70 Cameras, clothes, and household items are examples of products that exist in:
industrial markets business markets
consumer markets government markets
Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:
research and development production facilities
distribution facilities inventory control
Question No: 72 Products that are not branded by the producer or retailer are called:
national brands store brands obsolete brands generic brands
Question No: 73 Managers typically attempt to set a price that will maximize a firm's:
Value production advertising promotion
Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:
advertising strategies product decisions
pricing strategies distribution decisions
Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:
single-service marketers agents stockers mediators
Question No: 76 All of the following are methods of promotion except:

target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising the push strategy
reminder advertising public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79___ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers Knowledge workers
Diverse workforce None of the given options

Question No: 80_____ represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

Gate-keeping Broadband Inter-organizational Internal information

Question No: 83 Through _____, firms achieve a lower average cost by producing large volume.

Inventory management Economies of scale
De-integration Effective marketing

Question No: 84_____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality assurance
Continuous improvement process Total quality management

Question No: 86 The heart of a computer is its:

Power unit Central processing unit
Random access memory Hard drive

Question No: 87 In typical network architecture, workstations are connected to a ___, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

Core components Externalities Peripherals Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function Innovation Quality improvement

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Easy transfer of Ownership Entire Profit

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Equal distribution of wealth Interference of Government
No Monopoly Open Membership
Question No: 99 WTO was organized on _____
July 15, 1998 January 01, 1990 August 25, 1995 January 01, 1995
Question No: 100 A major disadvantage of corporate organization is
Double Taxation of dividend **Inability of the firm to large sum of additional capital**
Limited liability of share holders Limited life of Cooperate firm
Question No: 101 It is difficult to transfer to right of ownership is
Sole proprietor ship **Partner ship** All of given options None of given options
Question No: 102 Wages are paid for
Long term **Short term** All of given options None of given options
Question No: 103 Pakistan is exporting
Sports Item Agriculture Product Textile Product **All of given options**
Question No: 104 Managers have _____ type of skills
2 **3** 4 5
Question No: 105 The process of attracting the people for job
Recruitment pecial skills Supervision Job Specification
Question No: 106 What is the method of on job training?
Lectures Vestibule Videos **None of given options**
Question No: 107 The liability of a sole trader is _____
limited Only to his investment in the business
Limited to the total resources of the business **Unlimited** Not defined
Question No: 108 Genetic industry means
Canal Sugar mill **Poultry** Agriculture
Question No: 109 The first stage Evolution business is?
Industry revolution Globalization Entrepreneurship Marketing era
Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:
Partnership Ownership Expansion Organization
Question No: 111 Generally, in a limited partnership:
All partners have limited liability. The partners exist for a limited time period.
The limited partners do not participate in management of the company.
Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with
firm's:
Competition Strategic plan Industry demand Labor union
Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are:
Interpersonal skills Technical skills Decision making skills Conceptual skills
Question No: 114 The four functions of management:
Must be enacted in the proper sequence Must be integrated
Are stand alone, independent functions Can not be performed by one individual
Question No: 115 Social interaction and acceptance by others are examples of:
Physiological needs Safety needs Affiliation needs Esteem needs
Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:
Empowerment Merit system Hygiene theory Equity system
Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
Job analysis Job screening Job evaluation Human resource planning
Question No: 118 A _____ is an assignment to a higher level job with more responsibility and greater pay.
Transfer Lateral assignment Appraisal Promotion
Question No: 119 Products purchased by companies to produce other products are:
Consumer Goods Industrial Goods Services Inventory
Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:
Cartel arrangements Kickback agreements
Production manuals Responsibility and ethics
Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:
Production Competition Advertising Industry demand
Question No: 122 A distribution channel represents the path of a product from a producer to:
Retailer Wholesaler Consumer Manufacturer
Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:
Competitive product analysis Value-Added Analysis
Statistical Process Control Quality/Cost Studies
Question No: 124 Spreadsheets, database and word processing software are all types of:
Operating systems Utility programs Application software Firmware
Question No: 125 Which of the following is the most important determinant of a firm's value?
Earnings Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:
Finance function Marketing function
Organizing function Accounting function
Question No: 127_____ is used to cover long-term expenses such as assets.
Line of Credit Debt Financing Preferred Stock Financial Management
Question No: 128_____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.
Knowledge Worker Labor Markets Contingent Worker Workforce Diversity
Question No: 129 An increase in the general level of prices of products over a specified period of time is called:
Inflation Gross domestic product
Disinflation Equilibrium
Question No: 130 The formation of _____does not require any legal formality like registration.
Company Cooperative society Partnership **Ans Sole proprietorship**
Question No: 131 Which of the following is a disadvantage of partnership?
Distribution of work Sufficient capital
Prime credit standing **Ans Profit sharing**
Question No: 132 In partnership deed, profit and loss is distributed among the partners:
In equal percentage As per percentage of capital invested
Ans As per agreed ratio in partnership deed None of the given options
Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:
Ans Article of Association Memorandum of Association
Special Resolution None of the given options
Question No: 134 Which of the following should be considered when designing a business plan?
Objectives of the business Marketing components of the business
Financial components of the business **Ans All of the given options**
Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in _____.
Ans A strategic acquisition A financial acquisition
A two-tier tender offer A shark repellent
Question No: 136 The record of a country's imports and exports of goods and services is called its:
Visible trade balance. **Ans Balance of payments**
Balance of payments on current account. Balance of trade.
Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT EU **Ans WTO** NAFTA
Question No: 138 Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity. Game plan

Question No: 140 _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization?

GANNT chart **Ans Replacement chart** PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors** Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Ans Means that staff is moved periodically from task to task in order to increase variety and interest
Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Ans Total company effort Profit Productivity Customer satisfaction
Question No: 151 In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage Product oriented stage
Ans Marketing oriented stage None of the given options
Question No: 152 Which of the following statements is NOT true about services?
They are experienced, used or consumed. They are often sold first, then consumed.
They are perishable. **Ans They are tangible.**
Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:
Ans Validity Reliability Dependability Goodness of fit.
Question No: 154 Which of the following would generally have *unlimited* liability?
A limited partner in a partnership A shareholder in a corporation
Ans The owner of a sole proprietorship
A member in a limited liability company (LLC)
Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?
Unlimited liability Single tax filing
Difficult ownership resale **Ans Raising capital**
Question No: 156 Which of the following enjoys limited liability?
A general partnership **Ans A Corporation**
A sole proprietorship None of the given options
Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?
General partnership Limited partnership
Corporation **Ans Limited liability company**
Question No: 158 Which of the following is false? I don't know the answer
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems
Question No: 159 What is a business plan? Discuss the purpose and significance of a business plan.
Question No: 160 What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

QuestionNo:161 People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

QuestionNo:162 Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

QuestionNo:163 _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

QuestionNo:164 Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

QuestionNo:165 Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

QuestionNo:166 Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

QuestionNo:167 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:168 Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

QuestionNo:169 The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

QuestionNo:170 Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

QuestionNo:171 First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

QuestionNo:172 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:173 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:174 Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

QuestionNo:175 Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

QuestionNo:176

A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

QuestionNo:177 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:178 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:179 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:180 Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

QuestionNo:181 In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

QuestionNo:182 A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

QuestionNo:183 The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

QuestionNo:184 Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

QuestionNo:185 population size is included in

Economic factors

Demographic factors

Legal factors

Technological

QuestionNo:186 Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

QuestionNo:187 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

QuestionNo:188 the return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 the total market value of all final goods and services produced in a country is known as_____.

QuestionNo:189 _____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

QuestionNo:190 if a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

QuestionNo:191 Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

QuestionNo:192 Discuss some of the concerns an entrepreneur may have when starting a new business.

QuestionNo:193 Discuss and give examples of what you believe is the most common form of business ownership in your hometown.

QuestionNo:194 Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

QuestionNo:195 Describe the tasks involved in developing a human resource plan.

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QuestionNo:196 All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.

Land Capital Labor FinancialCounselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

Charter Laws Unlimited Liability

erms of his property insurance Limited Liability

QuestionNo:198 ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

Limited partnerships Limited Liability Companies

Sole Corporations General Partnership

QuestionNo:199------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the following except ----------.

Ensuring the business functions properly Possibly incurring large losses

Possibly losing source of income Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade

Tariffs Quotas Subsidies Taxes

QuestionNo:202 A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

Totalitarian government Representative democracy
Mixed Economy Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

Promoters Brokers Underwriters Directors

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Question No: 1 Which of the following business type has longest life time?
Sole proprietorship Partnership
Joint stock company All of the given options

Question No: 2 Election of the Board of Directors is done by Shareholders.
Through special resolution **In annual general meeting**
In Special meeting In statuary meeting

Question No: 3 Which of the following business type, has to pay double taxes to the government?
Sole proprietorship Partnership
Joint stock company Cooperative Societies

Question No: 4 _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association **Article of Association**
Prospectus All of the given option

Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company Article of Association
Prospectus None of the given option

Question No: 6 To call the extraordinary meeting, how many days' notice is required?
21 days 15 days 07 days 30 days

Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
Statutory Declaration **Fails to submit statutory report**
Expiry of Period Appointment of Liquidators

Question No: 8 Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate Debentures
Participation Term Certificates All of the given option

Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital Un-Issued Capital
Un-Called up Capital All of the given option

Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor Petition by creditor
Petition by contributory All of the above

Question No: 11 Which of the following is the disadvantage of modified schedules and alternative workplace?
Freedom in professional and personal life More Job satisfaction
Complicated coordination
Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles Democratic styles

Free rein style None of the given option

Question No: 13 _____ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

Participative Management and Empowerment

Management by Objectives (MBO)

Reinforcement/Behavior Modification Theory None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

Organization Policies Product Policies

Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

Marketing Mix **Advertising objective**

Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

Market segmentation Marketing Mix

Marketing Penetration Marketing control

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

Marketing Environment Market segmentation

Marketing Mix Marketing Penetration

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

Market segmentation **Marketing Mix**

Marketing Penetration Marketing Environment

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

Substitute product competition Brand competition

International competition: Market competition

Question No: 21 Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods Work in process

Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising Comparative advertising

Informative advertising Reminder advertising

None of the given options

Question No: 23 _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising Sales Promotion

Question No: 24 _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost Transportation cost

Distribution cost Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing **Creative Selling**

Missionary Selling None of the given option

Question No: 26 Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion Special-event sponsorship

Question No: 28 _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM) Promotion strategy

Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion **Publicity** Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising Comparative advertising

Informative advertising **Reminder advertising**

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:
Marketing Component Administrative Component
External Component Financial Component
Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:
Partnership Strategic Alliance Joint venture Franchising
Question No: 34 The shareholders elect the Board of Directors in the
Through special resolution In annual general meeting
In Special meeting In statuary meeting
Question No: 35 Portion of the undistributed profit transferred to which of the following?
General Reserve Retained Earning
Appropriation account All of the given options
Question No: 36 Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?
Charter of Company Article of Association
Prospectus None of the given option
Question No: 37 A joint stock company may be wound up voluntarily in which of the following way:
Expiry of Period Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following
Question No: 38 Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
Debt Equity None of the above All of the given option
Question No: 39 Cooperative Societies are not formed for:
The serving of the orphans and widows The help of poor people
For the earning of profit Social welfare
Question No: 40 Which one of the following statements about marketing is inaccurate?
(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)
(Marketing has to do with persuading customers a product meets their needs.)
(The mass market has fragmented into many different groups of customers.)
(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)
Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.
Marketing Business vision Product development
Customer relationship management
Question No: 42 _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement The product life cycle
Marketing research A customer-oriented approach

Question No: 43 All of the following except _____ are considered to be correct statements about marketing research.

(It is a systematic search for information about customers' needs and how those needs differ)
(Marketing research is geared to uncover unmet consumer needs)
(With market research, the chance product development will be able to create a product consumers want to buy increases)
(Marketing research provides an inexpensive method for tracking consumer behavior)

Question No:44 When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

Market differentiation Market mission
Market segment Marketing plan

Question No: 45 _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

Marketing mix Product mix
Product differentiation Product positioning

Question No: 46 Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

Sales promotion Public relations
Personal selling Advertising

Question No: 47 The specific method a company uses to sell and deliver its products to customers is known as its _____.

Retail intermediaries Direct distribution
Distribution mix Distribution channel

Question No: 48 Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

Independent wholesalers Direct distribution
Company-owned distributors Retail distributors

Question No: 49 The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

Missionary selling Licensed distribution
Distribution mix Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except:

Time Form Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page. Largest market share. Highest paid staff.

Question No: 53 _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing Marketing Era Marketing

Consumer Marketing Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process

Relationship process Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an:

Institution market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except:

Proprietorship partnership bureaucracy corporation

Question No: 59 Partners have unlimited liability in a:

general partnership corporation limited partnership cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating risk value return on investment

Question No: 62 _____ conditions reflect the overall performance of the nation's economy.

Microeconomic multieconomic

macroeconomic all of the given options

Question No: 63 The primary purpose of an industry business environmental assessment is to determine the:
economic growth degree of competition
inflation rate population growth
Question No: 64 The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
Finance marketing production management
Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
Overtime training affirmative action orientation program
Question No: 66 Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
Labor Union Informal organization Team Trade union
Question No: 67 Since they are closer to the production process, first line managers use their _____ skills more frequently.
Conceptual interpersonal managerial technical
Question No: 68 Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
equity theory management by objectives theory X theory Y
Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:
social values anthropology geography demographics
Question No: 70 Cameras, clothes, and household items are examples of products that exist in:
industrial markets business markets
consumer markets government markets
Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:
research and development production facilities
distribution facilities inventory control
Question No: 72 Products that are not branded by the producer or retailer are called:
national brands store brands obsolete brands generic brands
Question No: 73 Managers typically attempt to set a price that will maximize a firm's:
Value production advertising promotion
Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:
advertising strategies product decisions
pricing strategies distribution decisions
Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:
single-service marketers agents stockers mediators
Question No: 76 All of the following are methods of promotion except:

target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising the push strategy
reminder advertising public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79___ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers Knowledge workers
Diverse workforce None of the given options

Question No: 80_____ represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

Gate-keeping Broadband Inter-organizational Internal information

Question No: 83 Through _____, firms achieve a lower average cost by producing large volume.

Inventory management Economies of scale
De-integration Effective marketing

Question No: 84_____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality assurance
Continuous improvement process Total quality management

Question No: 86 The heart of a computer is its:

Power unit Central processing unit
Random access memory Hard drive

Question No: 87 In typical network architecture, workstations are connected to a ___, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

Core components Externalities Peripherals Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function Innovation Quality improvement

Question No: 92 If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable Unfavorable Deficit None of the above

Question No: 93 Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers Unlimited Liability

Easy transfer of Ownership Entire Profit

Question No: 94 Which of the following is an advantage of sole proprietorship?

Longest life Availability of sufficient Capital

Direct contact with customer and workers Separate Legal Entity

Question No: 95 Which of the following is not among the benefits of Partnership Firm?
Satisfaction of Partners Lack of Secrecy
Moral Promotion Minority Protection
Question No: 96 In partnership deed the profit & loss is distributed among the partners by the following ratio.
50:50 As per percentage of Capital invested
As per agreed ratio in Partnership deed 25:75
Question No: 97 The company may raise its capital through which of the following sources:
By Issuing Shares By Issuing Debentures
By Savings All of the given options
Question No: 98 Advantages of cooperative societies does not include
Equal distribution of wealth Interference of Government
No Monopoly Open Membership
Question No: 99 WTO was organized on _____
July 15, 1998 January 01, 1990 August 25, 1995 January 01, 1995
Question No: 100 A major disadvantage of corporate organization is
Double Taxation of dividend **Inability of the firm to large sum of additional capital**
Limited liability of share holders Limited life of Cooperate firm
Question No: 101 It is difficult to transfer to right of ownership is
Sole proprietor ship **Partner ship** All of given options None of given options
Question No: 102 Wages are paid for
Long term **Short term** All of given options None of given options
Question No: 103 Pakistan is exporting
Sports Item Agriculture Product Textile Product **All of given options**
Question No: 104 Managers have _____ type of skills
2 **3** 4 5
Question No: 105 The process of attracting the people for job
Recruitment pecial skills Supervision Job Specification
Question No: 106 What is the method of on job training?
Lectures Vestibule Videos **None of given options**
Question No: 107 The liability of a sole trader is _____
limited Only to his investment in the business
Limited to the total resources of the business **Unlimited** Not defined
Question No: 108 Genetic industry means
Canal Sugar mill **Poultry** Agriculture
Question No: 109 The first stage Evolution business is?
Industry revolution Globalization Entrepreneurship Marketing era
Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:
Partnership Ownership Expansion Organization
Question No: 111 Generally, in a limited partnership:
All partners have limited liability. The partners exist for a limited time period.
The limited partners do not participate in management of the company.
Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with
firm's:
Competition Strategic plan Industry demand Labor union
Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are:
Interpersonal skills Technical skills Decision making skills Conceptual skills
Question No: 114 The four functions of management:
Must be enacted in the proper sequence Must be integrated
Are stand alone, independent functions Can not be performed by one individual
Question No: 115 Social interaction and acceptance by others are examples of:
Physiological needs Safety needs Affiliation needs Esteem needs
Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:
Empowerment Merit system Hygiene theory Equity system
Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
Job analysis Job screening Job evaluation Human resource planning
Question No: 118 A _____ is an assignment to a higher level job with more responsibility and greater pay.
Transfer Lateral assignment Appraisal Promotion
Question No: 119 Products purchased by companies to produce other products are:
Consumer Goods Industrial Goods Services Inventory
Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:
Cartel arrangements Kickback agreements
Production manuals Responsibility and ethics
Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:
Production Competition Advertising Industry demand
Question No: 122 A distribution channel represents the path of a product from a producer to:
Retailer Wholesaler Consumer Manufacturer
Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:
Competitive product analysis Value-Added Analysis
Statistical Process Control Quality/Cost Studies
Question No: 124 Spreadsheets, database and word processing software are all types of:
Operating systems Utility programs Application software Firmware
Question No: 125 Which of the following is the most important determinant of a firm's value?
Earnings Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:
Finance function Marketing function
Organizing function Accounting function
Question No: 127_____ is used to cover long-term expenses such as assets.
Line of Credit Debt Financing Preferred Stock Financial Management
Question No: 128_____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.
Knowledge Worker Labor Markets Contingent Worker Workforce Diversity
Question No: 129 An increase in the general level of prices of products over a specified period of time is called:
Inflation Gross domestic product
Disinflation Equilibrium
Question No: 130 The formation of _____does not require any legal formality like registration.
Company Cooperative society Partnership **Ans Sole proprietorship**
Question No: 131 Which of the following is a disadvantage of partnership?
Distribution of work Sufficient capital
Prime credit standing **Ans Profit sharing**
Question No: 132 In partnership deed, profit and loss is distributed among the partners:
In equal percentage As per percentage of capital invested
Ans As per agreed ratio in partnership deed None of the given options
Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:
Ans Article of Association Memorandum of Association
Special Resolution None of the given options
Question No: 134 Which of the following should be considered when designing a business plan?
Objectives of the business Marketing components of the business
Financial components of the business **Ans All of the given options**
Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in _____.
Ans A strategic acquisition A financial acquisition
A two-tier tender offer A shark repellent
Question No: 136 The record of a country's imports and exports of goods and services is called its:
Visible trade balance. **Ans Balance of payments**
Balance of payments on current account. Balance of trade.
Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT EU **Ans WTO** NAFTA
Question No: 138 Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity. Game plan

Question No: 140 _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization?

GANNT chart **Ans Replacement chart** PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors** Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Ans Means that staff is moved periodically from task to task in order to increase variety and interest
Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Ans Total company effort Profit Productivity Customer satisfaction
Question No: 151 In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage Product oriented stage
Ans Marketing oriented stage None of the given options
Question No: 152 Which of the following statements is NOT true about services?
They are experienced, used or consumed. They are often sold first, then consumed.
They are perishable. **Ans They are tangible.**
Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:
Ans Validity Reliability Dependability Goodness of fit.
Question No: 154 Which of the following would generally have *unlimited* liability?
A limited partner in a partnership A shareholder in a corporation
Ans The owner of a sole proprietorship
A member in a limited liability company (LLC)
Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?
Unlimited liability Single tax filing
Difficult ownership resale **Ans Raising capital**
Question No: 156 Which of the following enjoys limited liability?
A general partnership **Ans A Corporation**
A sole proprietorship None of the given options
Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?
General partnership Limited partnership
Corporation **Ans Limited liability company**
Question No: 158 Which of the following is false? I don't know the answer
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems
Question No: 159 What is a business plan? Discuss the purpose and significance of a business plan.
Question No: 160 What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

QuestionNo:161 People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

QuestionNo:162 Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

QuestionNo:163 _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

QuestionNo:164 Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

QuestionNo:165 Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

QuestionNo:166 Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

QuestionNo:167 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:168 Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

QuestionNo:169 The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

QuestionNo:170 Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

QuestionNo:171 First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

QuestionNo:172 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:173 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:174 Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

QuestionNo:175 Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

QuestionNo:176

A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

QuestionNo:177 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:178 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:179 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:180 Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

QuestionNo:181 In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

QuestionNo:182 A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

QuestionNo:183 The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

QuestionNo:184 Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

QuestionNo:185 population size is included in

Economic factors

Demographic factors

Legal factors

Technological

QuestionNo:186 Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

QuestionNo:187 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

QuestionNo:188 the return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 the total market value of all final goods and services produced in a country is known as_____.

QuestionNo:189 _____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

QuestionNo:190 if a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

QuestionNo:191 Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

QuestionNo:192 Discuss some of the concerns an entrepreneur may have when starting a new business.

QuestionNo:193 Discuss and give examples of what you believe is the most common form of business ownership in your hometown.

QuestionNo:194 Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

QuestionNo:195 Describe the tasks involved in developing a human resource plan.

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QuestionNo:196 All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.

Land Capital Labor FinancialCounselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

Charter Laws Unlimited Liability

erms of his property insurance Limited Liability

QuestionNo:198 ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

Limited partnerships Limited Liability Companies

Sole Corporations General Partnership

QuestionNo:199------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the following except ----------.

Ensuring the business functions properly Possibly incurring large losses

Possibly losing source of income Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade

Tariffs Quotas Subsidies Taxes

QuestionNo:202 A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

Totalitarian government Representative democracy
Mixed Economy Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

Promoters Brokers Underwriters Directors

MGT211 - Introduction To Business Faqs By www.virtualians.pk

Question: Define Globalization.

Answer: Globalization is development of extensive worldwide patterns of economic relationships between nations.

Question: What do you mean by Business & Marketing? What is the relation between business and marketing?

Answer: Business is defined as every human activity which is engaged in for the sake of earning profits. Marketing includes all those activities involved in the flow of goods and services from the point of production to the point of consumption. The success of every business depends upon the efficiency with which its goods are marketed. If the business unit may not be in a position to sells its products, then all the efforts made for production may not bear fruits. In view of this business units give much importance to marketing.

Question: what is meant by the producers, wholesalers, retailers, transporters, banks, warehouse-keepers, advertisers and consumers?

Answer: Producers are the persons who produce/ manufacture the products for use by the consumers. Wholesalers are the persons who purchase goods in large quantities from producers and sell them to retailers in small quantities. Retailers are the persons who purchase goods in small quantities from wholesalers and sell them to ultimate consumers. Transporter is a business or person involved in the transport of goods or services Bank is a commercial or state institution that provides financial services, including issuing money in various forms, receiving deposits of money, lending money and processing transactions and the creating of credit. Warehouse keepers are the persons who are performing warehousing duties by providing safety of the goods stored. Advertiser is a person who performs the function of advertising. Advertising attracts consumers and gives information about products and services. Consumers refers to individuals that purchase and use goods and services offered by a business.

Question: Define shareholders.

Answer: A shareholder is an individual or company (including a corporation) that legally owns one or more shares of stock in a joint stock company. A company's shareholders collectively own that company. The shareholders elect the directors by using the right of vote. Similarly the appointment,

removal of directors, auditors and secretary are also made by the shareholders on the basis of voting. They receive dividend on shares. They have a right to share in assets of the company on its liquidation.

MGT211 - Introduction to Business Glossary By www.virtualians.pk

Accountant : a qualified person who is skilled at managing and analysing business financial records.

Account payee only : words often written on crossed cheques, which direct the bank to pay the cheque only to the bank account of the payee.

Accounts payable : is money you owe to suppliers and other business creditors as a result of purchases of stock and other expenses such as overheads and taxes.

Accounts receivable : a record of what is owed to you. All of the credit "accounts" - the record of what each customer owes you - taken together are your "accounts receivable".

Acquisitions : in relation to the GST, acquisitions include the things you buy (goods, services and anything else) for your business. They also include many other transactions, such as obtaining advice or information, taking out a lease of business premises or hiring business equipment.

Actuary : a mathematician whose work is mainly concerned with insurance and finance.

Ad valorem : according to value. Applied to customs duty, it means a percentage charge on the value, rather than the weight or quantity of goods.

Affidavit : a declaration in writing on oath, made before a person legally qualified for the purpose.

Amortise : the gradual process of writing off the cost of an asset, or paying off a liability by means of a sinking fund, over a period of time.

Articles of association : the basic document of a registered company defining its internal organisation. It is one of two fundamental documents on which the registration of a company is based. See memorandum of association.

Asset : anything of worth that is owned. The assets of a business are money in the bank, accounts receivable, securities held in the name of the business, property or buildings,

equipment, fixtures, merchandise for sale or being made, supplies and all things of value that the business owns.

Audit : detailed checking of the financial records of a business by an independent qualified person (auditor) in order to verify their correctness or to detect errors or fraud.

Authorised capital : the total amount of capital which a company, by its memorandum of association, is authorised to offer for subscription. See also, paid up capital.

Award : an agreement having the force of law, which sets out working conditions and wages for certain types of employment.

Bad debts : money owed to you that you can't collect

Balance : the amount of money remaining in an account. The total of your money in the bank after accounting for all transactions (deposits and withdrawals) is called a "balance".

Balance sheet : an important business document that shows what a business owns and owes as of the date shown. Essentially a "balance sheet" is a list of business assets and their cost on one side and a list of liabilities and owners' equity (investment in the business) on the other side with the amount for each. The liabilities include all that the business owes.

Bank draft : a written instruction to a bank's agent to pay a sum of money to the person specified on the draft. A safe and convenient way of remitting money overseas.

Bank reconciliation : a comparison between the bank's record of transactions and the record of the firm's cash book. After taking into account such items as unpresented cheques and bank charges etc., the two records should show an identical balance.

Bankrupt : a debtor, who has volunteered or been forced to appear before a Bankruptcy Court and has been judged insolvent, because s/he has insufficient assets to meet the demands of all creditors.

Bill of sale : a document under seal, which formally transfers ownership of property specified in the document from the borrower to the lender, until such time as the debt has been paid in full.

Bona fide : in good faith, honestly, without fraud, collusion or participation in wrong doing.

Bond : payment by a tenant to a landlord before the tenant takes over the premises and from which the landlord may be able to deduct arrears of rent or the cost of rectifying damage.

Bookkeeping : the process of recording business transactions in the accounting records

Break-even point : the point at which volume of sales is enough to cover all costs.

Bridging loan : a loan to provide short-term finance, usually to buy property or land, where the loan is to be cleared by longer-term borrowing, or the sale of assets.

Budget : an estimate of expenses and revenue required.

Business Activity Statement : a single form used to report business tax entitlements and obligations, including the amount of GST payable and your input tax credits.

Business name : the name of a business officially listed in the state or territory Register of Business Names.

Capital : the total owned and borrowed funds in a business.

Capital gain : a financial gain made from selling fixed assets such as land, buildings, or a business at a price above the original purchase price.

Capital requirement : a list of expenses that must be met to establish a business. Even before a business is started, the owner should start keeping records.

Cash : includes all money in the bank, in the cash drawer and in petty cash. Banknotes, coins, bills and negotiable securities (like cheques) is cash. But so is the money you can draw on demand - your bank accounts or savings accounts also represent "cash".

Cash book : a record of cash payments and receipts, showing these under various categories.

Cash discount : a deduction that is given for prompt payment of a bill.

Cash flow : the flow of internal funds generated within the business as a result of receipts from debtors, payments to creditors, drawings and cash sales.

Contingent liability : a liability which will only arise upon the happening of a certain event, for example, the guarantor of a loan being asked to honour the guarantee if the borrower defaults.

Contract : a legally binding agreement between two or more parties.

Cash receipts : the money received by a business from customers

Caveat emptor : let the buyer beware. The condition of sale is that the purchase is at the buyer's risk.

Collateral : security provided by a borrower to cover the possibility that the loan will not be repaid.

Company : a business owned by a group of people called shareholders, which has its own legal identity separate from its owners.

Consumer price index (CPI) : a measure of the aggregate rise or fall in prices of commonly used goods and services, published by the Commonwealth Government as a basis, among other things, for deciding what overall increases should be made to wages and salaries.

Co-signers : people whom together share responsibility on behalf of a business by jointly signing documents or cheques.

Cover note : a temporary certificate of insurance issued by an insurance company to give immediate insurance cover until a formal document is prepared and issued.

Crossed cheque : a cheque across which two parallel lines have been drawn. The effect of crossing a cheque is to direct your bank to pay the cheque only through another bank account.

Debit : To debit is to place an entry on the left-hand side of an account. A debit in a liability account makes it smaller. A debit in an asset account makes it larger.

Debt : that which is owed. If you borrow money, buy something on credit or receive more money on an account than is owed, you have a "debt.

Debtor : a person or business who owes money

Default : to fail to meet an obligation when due, such as paying a debt.

Demand : an order to comply with an obligation. In business, paying on "demand" means that the obligation must be satisfied immediately when requested.

Depreciation expense : gradual reduction of the value of a fixed asset and gradual application of this cost to the expenses of a business over the useful life of the asset.

Disbursements : funds paid out of a business in settlement of obligations.

Dishonoured : the word used to describe a cheque, which the bank will not pay, because the customer's account lacks sufficient funds.

Drawer : the person who writes a cheque in payment for goods or services.

Entity : an individual (sole trader), partnership, a body corporate, a corporation, an incorporated association or body of persons, a trust or superannuation fund.

Entrepreneur : a person who organises and manages a business, but usually only applied to people who have shown exceptional ability and imagination in launching and succeeding with new business ventures.

Equities : stocks and shares invested in a business and not bearing fixed interest.

Equity capital : money provided by the business owner/s to finance the business.

Excess : in an insurance policy, excess clauses specify that the policyholder will be responsible for a portion of claims under certain conditions.

Expenses : costs incurred by a business in earning income, for example, rent, advertising, wages etc.

Fidelity guarantee insurance : insurance against losses resulting from the dishonesty of employee/s.

Finance : money resources

Financing : obtaining money resources. Businesses usually have to obtain finance at some time, either to go into business or expand operations.

Financial statements : formal reports prepared from accounting records describing the financial position and performance of the business.

Fixed costs : costs, which are incurred by a business whether it is operating to generate income or not and which do not necessarily increase or decrease as a total volume of

production, increases or decreases. Rent, for example, must be paid whether or not any business is accomplished.

Fixed assets : the land, buildings, vehicles, materials and equipment owned by a business, which are used to earn revenue rather than being for sale.

Direct costs : the costs incurred, in addition to fixed costs, as a result of manufacturing a product or providing a service. Direct costs are made up of direct material, direct labour and direct manufacturing or servicing costs.

Limited partnership : a legal partnership where some owners are allowed to assume responsibility only up to the amount invested.

Liquidate : to settle a debt or to convert to cash. This literally means to do away with.

Liquidator : a qualified person appointed by a court to close down a business that is a proprietary company and realise and distribute its assets in payment of its liabilities.

Liquidity ratio : a comparison of two accounts in a Balance Sheet, current assets divided by current liabilities.

Loan : money lent at interest. A lender makes a "loan" with the idea that it will be paid back as agreed and that interest will be paid for the use of the money.

Loss of profits insurance : insurance to cover loss of profits incurred by the policyholder in the event of some calamity overtaking the policyholder's business, so that trading has to cease.

Management : the role of conducting and supervising a business.

Margin : the difference between the selling price and the purchase price of an item usually expressed as a percentage of the selling price. Compare mark-up.

Marketing : finding out what customers want, then setting out to meet their needs, provided it can be done at a profit. Marketing includes market research, deciding on products and prices, advertising promoting distributing and selling.

Marketing plan : details of specific tasks worked out by and for a business concerning how market research, product choice and pricing, advertising, promotion and distribution will be done.

Marketing strategy : a business' approach to marketing its products/ services expresses in broad terms, which forms the basis for developing a marketing plan.

Market segmentation : the division of a market into segments. Each segment consists of a group of consumers with similar requirements, which can be distinguished from the requirements of other consumers in the market. There will be distinct differences between the goods and services needed to meet the requirements of each segment.

Mark-up : the price increase between buying at wholesale and selling at retail often expressed as a percentage of the wholesale or cost price. Compare margin.

Debt capital : money from external sources used to finance a business. See also equity capital.

Gross profit : the excess of net sales over cost of goods sold usually expressed as a percentage.

Hire purchase : system for financing the purchase of plant and equipment, where the ownership is vested with the lender until the final payment is made. The borrower is required to place a deposit and make periodic (usually monthly) repayments at a flat rate of interest.

Income : money that is being earned by the business.

Income statement : a financial document that shows how much money (sales) came in and how much money (costs) was paid out. Subtracting the costs from the sales gives you your profit and all three are shown on the income statement.

Indemnity insurance : risk protection for actions for which a business is liable. Insurance that a business carries to cover the possibility of loss from lawsuits in the event the business or its agents were found at fault when an action occurred.

Induction training : training for new employees regarding conditions of service, physical layout of the workplace, safety rules, local conventions and customs and supervisory procedures.

Input taxed : some supplies are input taxed, which means you do not charge GST for them but neither are you entitled to input tax credits for anything acquired or imported to make the supply.

Input tax credits : you are entitled to an input tax credit for the GST included in the price you pay for an acquisition or the GST paid for an importation if it is for use in your enterprise.

Intangible assets : those assets of a business, which cannot be assigned a firm, fixed value, such as leases, franchises, goodwill and patent rights.

Interest : the cost of borrowing money.

Inter-firm comparison : a comparison between the financial and productive performance of a business with the industry averages.

Inventory : the value of all the stock of physical items that a business uses in its production process or has for sale in the ordinary course of doing business.

Investment : money used to purchase any capital items for the business and expected to yield an income.

Invoice : document which shows the customer charges for goods delivered or work done.

Invoice financing : see factoring

Lessor : an owner who allows his/her land, buildings, plant or equipment to be used under a lease contract.

Memorandum of association : a legal document that lays down the objects of a registered company and details of the regulation of the company's business dealings. It is one of the two fundamental documents upon which registration of any company is based. See articles of association.

Merchandise : goods that may be sold or traded.

Merchandising : trading in a range of goods. Promoting the whole range of goods that are sold in a business.

Mortgage : the transfer of right of ownership of a property from a debtor to a creditor as security for a debt, with the proviso that once the debt is paid ownership is transferred back.

Mortgagee : the organisation or person to whom the property is mortgaged. In the case of a bank loan, the organisation is usually the bank.

Mortgagor : a person who mortgages a property.

Negative gearing : is when an investment is purchased with the assistance of borrowed funds and where the income from that investment (after the deduction of expenses) is less than the interest commitment in the course of a year

Net : what is left after deducting all charges (see gross).

Net profit : the remainder after all expenses of an accounting period are deducted from all revenue of the same period.

Net worth : the owner/s' interest in a business, calculated by subtracting all liabilities from the assets of the business.

Niche : a small specialised segment of a total market.

Payable : ready to be paid.

Pay As You Go (PAYG) instalments : are the amounts you pay directly to the Commissioner of Taxation to meet your income tax and other liabilities and are usually paid each quarter.

Payee : person to whom money is paid

Personal assets : the money you have in the bank, whatever is owed to you, any securities (shares) that you own, the property you own, whatever part of your home that you own, your furniture and appliances and all the miscellaneous things that you personally own.

Personnel : persons collectively in the employ of a business.

Petty cash : a small amount of money kept for minor purchases for the business, which do not warrant writing a cheque.

Power of attorney : power to act on behalf of another person for specified purposes.

Premium : consideration paid for an insurance policy.

Principal : in the case of a loan, refers to the actual amount borrowed and on which interest is paid.

Profit : total revenue less total expenses for a period of time calculated in accordance with generally accepted accounting principles.

Profit and loss statement : statement of revenue and expenses showing the profit or loss for a certain period of time.

Profit margin : the amount that the price of a product or service is raised above its cost in order to provide a gross profit.

Pro-forma invoice : a document giving all the details of a proposed transaction, but not committing either the sender or recipient until the recipient pays the sender the amount shown. Commonly used by wholesalers for the first transaction with new customers.

Projection : a forecast of future trends in the operation of a business.

Promotion : a means of increasing the public's or industry's awareness of a business and its services or goods.

Proprietorship : the value of the proprietor's assets in a business less any external liabilities.

Proprietary company : a business which is owned by not less than two persons and not more than 50 persons and which restricts the right of the shareholders to transfer shares. Such a business is a separate legal entity and must use the words Proprietary Limited (Pty Ltd) after it name.

Pro rata : in proportion.

Rate of stock turnover (stock turn) : the ratio of cost of goods sold over average stock (at cost). This indicates how many times, on average, the entire inventory (stock) was sold and replaced during the year.

Ratio : the proportional relationship of one thing to another

Receipt : a written acknowledgement of having received money or goods specified

Receivership : the legal condition a company is placed in when an official receiver is appointed to investigate and manage its affairs.

Residual : the pre-agreed estimated value at the end of a leasing period of an item subject to a leasing agreement.

Retail : to sell directly to the consumer, usually in small quantities in comparison with the total level of sales.

Return on investment (ROI) : the ratio of net profit after income tax, over owner's equity. Usually expressed as a percentage.

Right of assignment : in relation to business premises, a right given in the lease agreement for a tenant to assign the lease to another tenant when the business is sold.

Sales : the total value of goods sold or revenue from services rendered.

Service business : a business that deals in service activities such as a retailer, tourism business, banking, education provider, etc

Supply : for GST purposes, supply is defined as - a supply is any form of supply and includes: supply of goods and services; provision of advice or information; a grant, assignment or surrender of real property; a creation, grant transfer, assignment or surrender of any right; a financial supply; and entry into or release from an obligation to do anything, to refrain from an act or to tolerate an act or situation.

Tangible asset : something substantial or real that is capable of being given an actual or approximate value.

Tax invoice : a document generally issued by the supplier. It shows the price of a supply, indicating whether it includes GST, and may show the amount of GST. It must show other information, including the ABN of the supplier. You must have a tax invoice before you can claim an input tax credit on your activity statement (except for purchases of $50 or less).

Tender : an offer in writing to carry out work, which has been specified by another person. The offer quotes a fixed price, which will be charged for doing the work.

Term loan : a loan for a fixed period of more than one year and repayable by regular instalments.

Trade credit : an arrangement to buy goods or services on account, that is, without making immediate cash payment.

Trade discount : an allowance made by a seller to a buyer at the time of purchase, for the deduction of a percentage of the price, provided the payment is made within agreed terms.

Trade mark : can be a letter, number, word, phrase, sound, smell, shape, logo, picture, aspect of packaging or any combination of these, which is used to distinguish goods and / or services of one trader from those of another

Trial balance : a list of all balances in the ledger at a given time.

Undercapitalisation : insufficient investment of funds in a business.

Unsecured loan : a loan that is not backed up by any collateral, such as a home or an automobile offered as security.

Valuation : the process of appraising the worth of property according to some recognised criteria.

Variable costs : the costs additional to fixed costs of running a business, that can vary depending on the level of demand and activity.

Vendor : a seller of goods or of a business.

Venture capital : capital invested in a business where the chances of success are uncertain.

Volume : an amount or quantity of business activity.

Walk in, walk out (WIWO) : an expression normally used in its abbreviated form, regarding a business for sale. It indicates that the business is for sale as a going concern and may be purchased without interruption to trading.

Controllable expenses : those expenses that can be controlled or restrained by the businessperson.

Copyright : a type of property right which protects the expression of ideas such as literary or dramatic works, television productions, drawings etc., from being used for commercial gain without permission of the copyright owner. Registration is not a prerequisite for protection.

Cost of goods sold : the total cost to the business of the goods sold during an accounting period. In its simplest form this is the sum of the opening stock plus all purchases less the closing stock.

Credit : an entry made on the right hand side of an account and indicating a gain to a liability, owner's equity or revenue account.

Credit application : a form to be completed by an applicant for a credit account, giving sufficient details to allow the seller to establish the applicant's creditworthiness.

Credit control : any policy designed to increase or decrease credit.

Credit limit : the upper limit of credit that a business will allow a customer to have.

Creditor : a person or business to whom money is owed.

Current assets : includes cash, short-term deposits, customers' accounts, stock (includes work in progress, raw materials and finished goods), that will be converted into cash during the normal course of business, within a year.

Current liabilities : short-term debts such as bank overdraft, creditors and provisions set aside to pay taxation and other commitments (for example, holiday or long service leave) and expected to come due within one year of the Balance Sheet.

Debenture : a fixed interest investment in a company, which has priority for interest payments, generally redeemable after the lapse of a specified time

Depreciation schedule : a table showing depreciable assets, the year each was purchased, its cost, the percentage by which it is depreciated each year and written down current value.

Director's guarantee : a personal guarantee given by a director of a company that s/he will be personally responsible for a debt or other liability of the company. Usually requested in credit applications, leases, loans and hire purchase agreements.

Discount : a deduction made from the normal cost or purchase price.

Dividend : a distribution of the profits of a company among its members or shareholders.

Drawings : withdrawals of assets (usually cash) from a business by a sole proprietor or a partner.

Factoring : involves the cash purchase of a business' sales invoices at a discount, after which, the factoring company collects the invoiced amounts from the business' customers. Factoring is used where the business needs immediate cash.

Feasibility study : an examination of a particular project or business to assess its chances of operating successfully, before committing large amounts of money to it.

Financial year : an accounting period of 12 months, often coincident, for convenience, with the fiscal year (1 July to 30 June).

Franchisor : the owner of a franchise system

Fusion insurance : covers loss caused by damage to an electric motor by an electric current, and is particularly important for refrigerated stocks.

Gearing : the ratio between the business's debt and equity finance.

Goodwill : the excess price asked for the sale of a business over the value of its physical assets; an intangible asset, the price of which represents a payment for the existing client base and future profits.

GST-free : some supplies are GST-free, which means you do not charge GST for them but you are entitled to claim input tax credits for anything acquired or imported to use in your business.

Gross : the total overall amount. For example, gross profit is the trading profit of a business without any deductions for business expenses.

Lay-by : an arrangement where the customer in a retail store makes a deposit on an article and pays the amount owing in instalments, while the retailer stores the article until the last payment has been made.

Lease : a legal contract covering the possession and use of property, plant or equipment between the owner (lessor) and another person (lessee) at a given rent, for a stated length of time.

Leasing finance : a method of acquiring business equipment without capital outlay. The bank or finance company buys the equipment and leases it to the customer, in return for regular rental payments for the duration of the lease period.

Lessee : a person who enters into a lease contract as the user of the land, buildings, plant or equipment.

Wholesale : selling in large quantities to businesses which will then resell to consumers in smaller quantities.

Workers' compensation : money paid to an employee to compensate for injuries received in connection with their work. All employers must insure against claims for this kind of compensation.

Working capital : the excess of current assets over current liabilities of any business at any time.

Franchise : a business arrangement in which knowledge, expertise and often a trade mark or trade name are licensed to an operator, generally for an initial fee and a yearly payment.

Franchisee : the purchaser of a franchise licence who operates one or more outlets of the franchise business.

Posting : making entries in an account system or book from original documents such as invoices and receipts.

Secured : protected or guaranteed as in the case of a loan where the lender holds the title of some asset until the borrower has repaid the loan in full.

Sole trader : a person who trades by himself/herself without the use of a company structure or partners and bears alone full responsibility for the actions of the business.

Solvent : the condition of a business when all debts can be paid as they come due.

Stock : physical items (inventory) that a business uses in its production process or has for sale in the ordinary course of doing business.

Stock control : the method of determining how much stock should be held and how much needs to be reordered and when, with the aim of controlling stock holding costs while maintaining efficient operation of the business.

Stock turnover : the ratio of cost of goods sold over average stock (at cost). This indicates how many times, on average, the entire inventory (stock) was sold and replaced during the year.

Stock at valuation (SAV) : stock valued at wholesale or cost price.

Supplies : in relation to the GST, supplies include the goods and services you sell through your enterprise and many other transactions such as providing advice or information, leasing out commercial premises or providing hire equipment.

Not negotiable : words often written on crossed cheques, which do not prevent the cheque from being transferred. See account payee only.

Official receiver : a person appointed to investigate and manage the affairs of a company in receivership

Operating expense : all the expenses normally incurred in running a business, during an accounting period, excluding the cost of goods sold.

Option : an agreement, often for a consideration, which permits the purchase or sale of something within a stipulated time, in accordance with the terms of the agreement. For example, a right by a tenant to take up a further lease of premises, usually under conditions outlined in the original lease.

Overdraft : a form of loan by which a person with a trading bank current account is given permission to continue making drawings on the account up to an agreed limit, after the balance has been reduced to nil.

Overhead : expenses which are incurred in producing a commodity or rendering a service, but which cannot conveniently be attributed to individual units of production or service. Examples are heating, lighting etc.

Paid-up-capital : the total capital of a company. It comprises both shares issued for cash or for acquisition of assets and bonus shares.

Partnership : a legal business relationship of two or more people who share responsibilities, resources, profits, and liabilities.

Patent : the granting by a government of monopoly rights to the owner of an invention to manufacture and sell it for a certain number of years, conditional on the owner being willing to immediately reveal the ideas incorporated in the invention, so that they can be published for the advancement of knowledge of the general public.

Fall 2011 MGT211 Quiz1
Solved by Admin Rajpoot
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Question # 1 of 10 (Start time: 01:46:29 PM) Total Marks: 1
Following are the advantages of cooperative society except:
Select correct option:

Increase in employment
Lack of profit incentive
Friendly relation
All of the above

Question # 2 of 10 (Start time: 01:47:34 PM) Total Marks: 1
In Franchising, who sells the rights to other party
Select correct option:

Franchisee
Franchiser
Manager
All of the above

Question # 3 of 10 (Start time: 01:47:58 PM) Total Marks: 1
Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called
Select correct option:

Wholesale Trade
Retail Trade
Foreign Trade
None of the Above

Question # 4 of 10 (Start time: 01:48:32 PM) Total Marks: 1
In ---------- a central body will allocated the resources and then decide how these resources will be distributed.
Select correct option:

Free Economy
Mixed Economy
Planned Economy
None of the above

Question # 5 of 10 (Start time: 01:49:51 PM) Total Marks: 1
First directors are usually named in the _____
Select correct option:

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Memorandum of Association
Articles of Association
Prospectus
None of the above

Question # 6 of 10 (Start time: 01:51:10 PM) Total Marks: 1
Goods produced domestically and sold in some other country.
Select correct option:

Import
Export
Tariff
Quota

Question # 7 of 10 (Start time: 01:51:33 PM) Total Marks: 1
For a public limited company, minimum number of members are --------.
Select correct option:

2
5
7
10

Question # 8 of 10 (Start time: 01:52:03 PM) Total Marks: 1
People in business and government face important ethical issues and decisions.
Select correct option:

Only in the United States
Primarily in capitalist countries
Primarily in communist countries
In many different countries around the world

Question # 9 of 10 (Start time: 01:53:20 PM) Total Marks: 1
Annual General Meeting is the meeting of the company that held
Select correct option:

Each quarter
after 6 months
once in a year
None of the above

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Question # 10 of 10 (Start time: 01:53:54 PM) Total Marks: 1
Partners will have to pay all the debts of the business even from their personal property.
Select correct option:

Limited Liability
Unlimited Liability
Both
None of the above

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Which of the following is/are the component/s of business?

- Industry
- Commerce
- Both industry and commerce
- Trade and aids to trade

The notice calling the annual general meeting must be given to all its members at least _____ days before the date of the meeting.

- 21 days
- 30 days
- 45 days
- 51 days

Communicating information between sellers and potential buyers or others in the channel to influence attitudes and behavior is called _____.

- Advertising
- Promotion
- Publicity
- Marketing

A product can be:

- Tangible
- Intangible
- Something that is offered for sale
- All of the given options

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The portion of capital kept at the winding up of a company for the payment of debts is known as:

- Reserve capital
- Issued capital
- Subscribed capital
- Authorized capital

Which of the following statements is false?

- Franchising is very common.
- A franchise enables one to use a larger company's trade name.
- A franchisee never has to pay the franchiser a percentage of sales revenues.
- A franchise may constrain the franchisee's independence.

Business success can be attributed to:

- Luck.
- Hard work, drive and dedication.
- A high demand for the good or service produced.
- All of the given options

A concept that implies that the firm should consider issues such as protecting the consumer, paying fair wages, maintaining fair hiring practices, supporting education, and considering environmental issues is:

- Financial management
- Profit maximization

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► Social responsibility

► Agency theory

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

► Legal but not valid

► Valid but not reliable

► Reliable but not valid

► Reliable but not legal

_____ is the process used by organizations to attract a qualified pool of job applicants.

► Socialization

► Human resource planning

► Recruitment

► Affirmation action

Profit sharing, gain sharing and pay-for-knowledge plans are examples of:

► Individual incentives

► Company-wide incentives

► Cafeteria benefit plans

► Merit salary systems

Which of the following statements is NOT true about services?

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- They are experienced, used or consumed.
- They are often sold first, then consumed.
- They are perishable.
- They are tangible.

Possession utility is provided when:

- A good or service is obtained and there is a right to use or consume it.
- A product is available where someone wants it.
- Someone performs a task for someone else
- Someone produces something tangible

_____ includes all of the activities managers engage in to forecast their current and future human resource needs.

- Recruitment and selection
- job analysis and job design
- Selection and job design
- Human resource planning

Specifications of a product relate to the:

- Physical characteristics and level of quality
- Types of service that are provided along with the product
- Financing available with the product
- Types of competitors offering a similar product

Consumer goods are classified as convenience, shopping, and:

- Durable.

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► Nondurable.

► Consumer.

► Specialty.

The stage of the Product life cycle where competitors appear is:

► Introduction

► Decline

► Maturity

► rowth

The financial statement which shows cash activity (receipts and disbursements) during the accounting period is called a(n):

► Bank statement.

► Income statement.

► Statement of cash flows.

► Bank reconciliation.

Which of the following regarding AAP is true?

► AAP is the body of accounting knowledge followed by all countries in the world.

► AAP is the abbreviation for generally accepted auditing procedures.

► Changes to AAP must be approved by the Senate Finance Commission.

► All of the given options.

The inventory cost flow assumption where the oldest cost of inventory items is likely to remain on the balance sheet is_____

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► All of the given options.

► FIFO

► LIFO

► Average

Which of the following would generally have unlimited liability?

► A limited partner in a partnership

► A shareholder in a corporation

► The owner of a sole proprietorship

► A member in a limited liability company (LLC)

Expectations that specify the role of price in a firm's marketing and strategic plans are:

► Pricing considerations

► Pricing guidelines

► pricing objectives

► Pricing policies

Setting the highest initial price is called price:

► Penetration

► ouging

► Parity

► Skimming

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Which type of sales promotion is used when a manufacturer places one small bottle of shampoo in a clear bag and hangs it from the door of each house in a neighborhood?

► A sample

► A deal

► A premium

► An introductory offer

The activities and processes used in making both tangible and intangible products is known as _____.

► Operations.

► None of the given options

► Making

► Production.

Under which cost flow assumption is the ending inventory composed of the earliest purchased merchandise?

► FIFO

► LIFO

► Average cost

► Specific identification

The preferred method for achieving total quality in process output is to:

► Rely on a team of highly trained and dedicated inspectors.

► Rely on operator self-inspection and self-correction.

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► Build and install an error-proof process and maintain it.

► Perform inspection at the next process.

What is data?

► All of the facts that are collected, stored, and processed by an information system.

► All of the debit and credit information about each transaction.

► The same thing as information.

► All of the given options.

Which of the following is defined as large scale information system used for organizing and managing a firm's processes across product lines, departments and geographic locations?

► Expert System

► Decision Support System

► Enterprise Resource Planning

► Electronic Data Interchange

The situation when a country imports more than its exports is:

► A trade surplus.

► A recession.

► A trade deficit.

► An expansion.

The marketing environment is BEST described as being Composed of controllable

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► variables.

► Composed of variables independent of one another.

► An indirect influence on marketing activity.

► Dynamic and changing.

Which one of the following statements by a company chairman best reflects the marketing concept?

► We believe that the marketing department must organise to sell what we produce.

► We try to produce only high quality, technically efficient products.

► We try to encourage company growth.

► We have organised our business to make certain that we satisfy customer needs.

Which of the following statements is most suitable for Quality assurance?

► It refers to the prevention of product defects

► It is an auditing function that provides feedback to the project team and client about the quality of output being produced

► It is the technical process that includes the construction of control charts

► None of the given options

Which of the following is considered as the pillar of quality?

► Quality is free

► Doing it right the first time

► Process improvement

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► None of the given options

A person needs to buy a medicine in midnight and gets it from a pharmacy, the availability of medicine in the midnight represents following

► Time utility

► Form utility

► Place utility

► None of the given options

When Nayer Carpets develops new carpets that are highly stain resistant and durable, it must educate consumers about the product's benefits. This calls for activity in which of the following marketing mix variables?

► Price

► Promotion

► Product

► Packaging

The three major categories of influences that are believed to influence the consumer buying decision process are personal, psychological, and:

► Person-specific

► Social

► Demographic

► Situational

Nestle yoghurt represents which type of product for most consumers?

► Convenience

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► Shopping

► Speciality

► Unsought

a metal cutting machine. What you have purchased can best be classified as a processed

► component.

► a component part.

► raw material.

► an industrial product.

Physical distribution functions influence

► primarily pricing and product decisions.

► primarily promotion and pricing decisions.

► all elements of the marketing mix.

► primarily pricing decisions.

All elements of the marketing mix are influenced by physical distribution functions. For this reason, it is important for marketers to remember that

► physical distribution decisions must be made prior to any other marketing strategy consideration.

► physical distribution costs often rise as customer service requirements decrease.

► over 75 percent of all marketing costs are associated with physical distribution expenditures.

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► no single distribution system is ideal for all situations and target markets.

A fruit and vegetable wholesaler buys a loaded truck of strawberries from a local farmer and then divides them into 10 kg baskets to sell to grocery stores. This sorting function is called:

► Allocation.

► assorting.

► accumulation.

► sorting out.

A product's ability that it cannot be used for various purposes in different capacities and under different conditions is termed as_____

► Flexibility of a product

► Inflexibility of a product

► Availability of a product

► All of the given options

Flow of communication from top to bottom is known as_____

► Downward communication

► Upward communication

► Combination of Downward and upward communication

► None of the given options

Auditors who are working within the organization are known as_____

► Internal auditors

► External auditors

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► Both internal auditors and external auditors

► None of the given options

Assets which can not be physically touched are termed as_____

► Intangible assets

► Tangible assets

► ood will

► None of the given options

Profit and loss account is also termed as _____

► Income statement

► Balance sheet

► Trial Balance

► None of the given options

Which of the following are included in a business plan? Financial information, production plans,

➢ personal policies.

➢ Goals of the business and how they will be achieved.

➢ Market analysis

➢ All of the given options.

Which of the following is not a reason for a business failure?

➢ Managerial experience or inexperience

➢ Effective control systems

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- Insufficient control system
- None of the given options

In which of the following two or more organizations collaborate on a project for mutual gain?

- Limited partnership
- Public corporation
- Strategic alliance
- None of the given options

The difference between a country's merchandise exports and its merchandise imports is the:

- Current account
- Capital account
- Balance of trade
- Balance of payments

One of the best solutions to get rid of non-biodegradable wastes is:

- Dumping
- Recycling

A plan or an estimate for future expenses and revenues is termed as_____

- Budgeting
- Balance sheet
- Income statement
- None of the given options

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Which of the following must hold a statutory meeting?

- Statutory companies
- Private limited companies
- Public limited companies

Chartered companies

Which of the following is NOT included in aids to trade?

- Insurance
- Warehousing
- Transportation
- Foreign trade

The portion of capital kept at the winding up of acompany for the payment of debts is known as:

- Reserve capital
- Issued capital
- Subscribed capital
- Authorized capital

Which of the following business type can avail some concessions from the government?

- Sole proprietorship
- Partnership
- Joint Stock company
- Cooperative society

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While making financial projections in a business plan, which of these would NOT form part of the plan?

- Source of loan
- Audit
- Net income or profit
- Expected revenues

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops.

Therefore the MBTI personality test may be:

- Legal but not valid
- Valid but not reliable
- Reliable but not valid
- Reliable but not legal

According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

- Esteem
- Security
- Social
- Self-actualization

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What is potentially the biggest advantage of a small partnership over a sole proprietorship?

- Unlimited liability
- Single tax filing
- Difficult ownership resale
- Raising capital

Which of the following is the oldest form of business organization?

- Sole proprietorship
- Partnership
- Company
- Cooperative society

Which of the following is an advantage of a corporation that is not an advantage as a limited partner in a partnership?

- Limited liability
- Easy transfer of ownership position
- Double taxation
- All of the given options are advantages that the corporation has over limited partner

Examples of constructive industries include:

- Canals
- Fishery
- Sugar mills

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- Plant nurseries

Douglas McGregor is associated with which of the following?

- Scientific management
- Motivational factors
- Theory X and theory Y
- The Hawthorne studies

Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

- Safety
- Self actualization
- Physiological
- Social

The term "Job Rotation": Is another term for employee empowerment?

- Involves allocating a wider range of similar tasks to individuals
- Involves giving employees work with a greater degree of responsibility and autonomy
- Means that staff is moved periodically from task to task in order to increase variety and interest.

Which of the following generic terms is not a management function?

- Leading
- Systemizing
- Planning

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- Organizing

Increases in the degree of responsibility a worker has over his or her job is referred to as job:

- Empowerment
- Enlargement
- Enrichment
- Entitlement

ABC Company is currently hiring employees from different countries. ABC Company is said to be implementing _____ strategy.

- Decentralization
- Downsizing
- Workforce diversity
- Retrenchment

Which of the following statement shows the Trade Deficit process?

- **A process in which country imports are higher than the exports**
- A process in which country exports are equal to the exports
- A process in which country imports are less than the country exports
- All of the given options

Name of the business should:

- Be simple
- Indicates the type of business
- Be familiar

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- All of the given options

Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?

- Licensing
- Joint venturing
- Contracting
- Franchising

Person needs to buy a medicine in midnight and gets it from a pharmacy, the availability of medicine in the midnight represents following

- Time utility
- Form utility
- Place utility
- None of the given options

Flow of communication from top to bottom is known as_____

- Downward communication
- Upward communication
- Combination of Downward and upward communication
- None of the given options

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Questions:

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- **Explain the nature and general purpose of financial statements.**
- **What do you mean by the term "utility"? What are the different forms of utility?**
- **Describe the steps involved in designing an advertising campaign.**
- **Quality costs are the costs associated with preventing, finding and correcting defective work. Describe the various types of quality costs in detail.**
- **Explain how companies find and develop new-product ideas**
- **Write a detailed note on the following:**
    1) Balance sheet
    2) Income statement
- **What is meant by the term 'Just-in-Time' Inventory system?**
- **Explain product life cycle in detail.**
- **Explain the terms "Brand Equity" and "Brand Awareness".**
- **Define the term "Enterprise Resource Planning".**
- **What is meant by the term 'Just-in-Time' Inventory system?**
- **Define liabilities and distinguish between current and long-term liabilities.**
- **What steps are involved in buying decision process?**
- **Define channel of communication, discuss different types of channels of business communication.**
- **What is meant by "Physical Distribution"? What are the different transportation modes used for physical distribution of products?**

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- **Define sales promotion and describe its methods.**
- **Define information system and discuss the types of information systems used in the organizations**
- **Consumer products can be categorized on the basis of shopping habits. Explain this classification with examples.**
- **Differentiate between push and pull strategies for promotion.**
- **Define the term "Material Management". What are the problems faced by materials managers in today's world?**
- **In order to offer more satisfactory services, many companies have discovered criteria that customers use to judge service quality. What is this criterion in perspective to company?**
- **Marketers operate in an increasingly connected world and environment continues to change at a rapid pace. Identify the major trends in the firm's natural and technological environments.**

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Question No: 1 Which of the following business type has longest life time?
Sole proprietorship Partnership
Joint stock company All of the given options
Question No: 2 Election of the Board of Directors is done by Shareholders.
Through special resolution **In annual general meeting**
In Special meeting In statuary meeting
Question No: 3 Which of the following business type, has to pay double taxes to the government?
Sole proprietorship Partnership
Joint stock company Cooperative Societies
Question No: 4 _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association **Article of Association**
Prospectus All of the given option
Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company Article of Association
Prospectus None of the given option
Question No: 6 To call the extraordinary meeting, how many days' notice is required?
21 days 15 days 07 days 30 days
Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
Statutory Declaration **Fails to submit statutory report**
Expiry of Period Appointment of Liquidators
Question No: 8 Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate Debentures
Participation Term Certificates All of the given option
Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital Un-Issued Capital
Un-Called up Capital All of the given option
Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor Petition by creditor
Petition by contributory All of the above
Question No: 11 Which of the following is the disadvantage of modified schedules and alternative workplace?
Freedom in professional and personal life More Job satisfaction

Complicated coordination
Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles Democratic styles
Free rein style None of the given option

Question No: 13 _____ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?
Participative Management and Empowerment
Management by Objectives (MBO)
Reinforcement/Behavior Modification Theory None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:
Organization Policies Product Policies
Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:
Marketing Mix **Advertising objective**
Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.
Market segmentation Marketing Mix
Marketing Penetration Marketing control

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:
Marketing Environment Market segmentation
Marketing Mix Marketing Penetration

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.
Market segmentation **Marketing Mix**
Marketing Penetration Marketing Environment

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:
Substitute product competition Brand competition
International competition: Market competition

Question No: 21 Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods Work in process
Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising Comparative advertising
Informative advertising Reminder advertising
None of the given options

Question No: 23 _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising Sales Promotion

Question No: 24 _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost Transportation cost
Distribution cost Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing **Creative Selling**
Missionary Selling None of the given option

Question No: 26 Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion Special-event sponsorship

Question No: 28 _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM) Promotion strategy
Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion **Publicity** Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising Comparative advertising
Informative advertising **Reminder advertising**

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:

Marketing Component Administrative Component
External Component Financial Component

Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:

Partnership Strategic Alliance Joint venture Franchising

Question No: 34 The shareholders elect the Board of Directors in the

Through special resolution In annual general meeting
In Special meeting In statuary meeting

Question No: 35 Portion of the undistributed profit transferred to which of the following?

General Reserve Retained Earning
Appropriation account All of the given options

Question No: 36 Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company Article of Association
Prospectus None of the given option

Question No: 37 A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following

Question No: 38 Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt Equity None of the above All of the given option

Question No: 39 Cooperative Societies are not formed for:

The serving of the orphans and widows The help of poor people
For the earning of profit Social welfare

Question No: 40 Which one of the following statements about marketing is inaccurate?

(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)

(Marketing has to do with persuading customers a product meets their needs.)

(The mass market has fragmented into many different groups of customers.)

(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)

Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

Marketing Business vision Product development
Customer relationship management

Question No: 42 _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement The product life cycle
Marketing research A customer-oriented approach

Question No: 43 All of the following except _____ are considered to be correct statements about marketing research.
(It is a systematic search for information about customers' needs and how those needs differ)
(Marketing research is geared to uncover unmet consumer needs)
(With market research, the chance product development will be able to create a product consumers want to buy increases)
(Marketing research provides an inexpensive method for tracking consumer behavior)

Question No:44 When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.
Market differentiation Market mission
Market segment Marketing plan

Question No: 45 _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.
Marketing mix Product mix
Product differentiation Product positioning

Question No: 46 Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Sales promotion Public relations
Personal selling Advertising

Question No: 47 The specific method a company uses to sell and deliver its products to customers is known as its _____.
Retail intermediaries Direct distribution
Distribution mix Distribution channel

Question No: 48 Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?
Independent wholesalers Direct distribution
Company-owned distributors Retail distributors

Question No: 49 The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?
Missionary selling Licensed distribution
Distribution mix Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except:

Time Form Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page. Largest market share. Highest paid staff.

Question No: 53 _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing Marketing Era Marketing

Consumer Marketing Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process

Relationship process Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an:

Institution market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except:

Proprietorship partnership bureaucracy corporation

Question No: 59 Partners have unlimited liability in a:

general partnership corporation limited partnership cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating risk value return on investment

Question No: 62 _____ conditions reflect the overall performance of the nation's economy.

Microeconomic multieconomic

macroeconomic all of the given options

Question No: 63 The primary purpose of an industry business environmental assessment is to determine the:
economic growth degree of competition
inflation rate population growth

Question No: 64 The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
Finance marketing production management

Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
Overtime training affirmative action orientation program

Question No: 66 Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
Labor Union Informal organization Team Trade union

Question No: 67 Since they are closer to the production process, first line managers use their _____ skills more frequently.
Conceptual interpersonal managerial technical

Question No: 68 Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
equity theory management by objectives theory X theory Y

Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:
social values anthropology geography demographics

Question No: 70 Cameras, clothes, and household items are examples of products that exist in:
industrial markets business markets
consumer markets government markets

Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:
research and development production facilities
distribution facilities inventory control

Question No: 72 Products that are not branded by the producer or retailer are called:
national brands store brands obsolete brands generic brands

Question No: 73 Managers typically attempt to set a price that will maximize a firm's:
Value production advertising promotion

Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:
advertising strategies product decisions
pricing strategies distribution decisions

Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:
single-service marketers agents stockers mediators

Question No: 76 All of the following are methods of promotion except:

target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising the push strategy
reminder advertising public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79 ___ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers Knowledge workers
Diverse workforce None of the given options

Question No: 80 _____ represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

Gate-keeping Broadband Inter-organizational Internal information

Question No: 83 Through _____, firms achieve a lower average cost by producing large volume.

Inventory management Economies of scale
De-integration Effective marketing

Question No: 84 _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality assurance
Continuous improvement process Total quality management

Question No: 86 The heart of a computer is its:

Power unit Central processing unit
Random access memory Hard drive

Question No: 87 In typical network architecture, workstations are connected to a ___, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

Core components Externalities Peripherals Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function Innovation Quality improvement

Question No: 92 If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable Unfavorable Deficit None of the above

Question No: 93 Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers Unlimited Liability

Easy transfer of Ownership Entire Profit

Question No: 94 Which of the following is an advantage of sole proprietorship?

Longest life Availability of sufficient Capital

Direct contact with customer and workers Separate Legal Entity

Question No: 95 Which of the following is not among the benefits of Partnership Firm?
Satisfaction of Partners Lack of Secrecy
Moral Promotion Minority Protection

Question No: 96 In partnership deed the profit & loss is distributed among the partners by the following ratio.
50:50 As per percentage of Capital invested
As per agreed ratio in Partnership deed 25:75

Question No: 97 The company may raise its capital through which of the following sources:
By Issuing Shares By Issuing Debentures
By Savings All of the given options

Question No: 98 Advantages of cooperative societies does not include
Equal distribution of wealth Interference of Government
No Monopoly Open Membership

Question No: 99 WTO was organized on _____
July 15, 1998 January 01, 1990 August 25, 1995 January 01, 1995

Question No: 100 A major disadvantage of corporate organization is
Double Taxation of dividend **Inability of the firm to large sum of additional capital**
Limited liability of share holders Limited life of Cooperate firm

Question No: 101 It is difficult to transfer to right of ownership is
Sole proprietor ship **Partner ship** All of given options None of given options

Question No: 102 Wages are paid for
Long term **Short term** All of given options None of given options

Question No: 103 Pakistan is exporting
Sports Item Agriculture Product Textile Product **All of given options**

Question No: 104 Managers have _____ type of skills
2 **3** 4 5

Question No: 105 The process of attracting the people for job
Recruitment pecial skills Supervision Job Specification

Question No: 106 What is the method of on job training?
Lectures Vestibule Videos **None of given options**

Question No: 107 The liability of a sole trader is _____
limited Only to his investment in the business
Limited to the total resources of the business **Unlimited** Not defined

Question No: 108 Genetic industry means
Canal Sugar mill **Poultry** Agriculture

Question No: 109 The first stage Evolution business is?
Industry revolution Globalization Entrepreneurship Marketing era

Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:
Partnership Ownership Expansion Organization

Question No: 111 Generally, in a limited partnership:
All partners have limited liability. The partners exist for a limited time period.
The limited partners do not participate in management of the company.
Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with
firm's:
Competition Strategic plan Industry demand Labor union

Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are:
Interpersonal skills Technical skills Decision making skills Conceptual skills

Question No: 114 The four functions of management:
Must be enacted in the proper sequence Must be integrated
Are stand alone, independent functions Can not be performed by one individual

Question No: 115 Social interaction and acceptance by others are examples of:
Physiological needs Safety needs Affiliation needs Esteem needs

Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:
Empowerment Merit system Hygiene theory Equity system

Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
Job analysis Job screening Job evaluation Human resource planning

Question No: 118 A _____ is an assignment to a higher level job with more responsibility and greater pay.
Transfer Lateral assignment Appraisal Promotion

Question No: 119 Products purchased by companies to produce other products are:
Consumer Goods Industrial Goods Services Inventory

Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:
Cartel arrangements Kickback agreements
Production manuals Responsibility and ethics

Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:
Production Competition Advertising Industry demand

Question No: 122 A distribution channel represents the path of a product from a producer to:
Retailer Wholesaler Consumer Manufacturer

Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:
Competitive product analysis Value-Added Analysis
Statistical Process Control Quality/Cost Studies

Question No: 124 Spreadsheets, database and word processing software are all types of:
Operating systems Utility programs Application software Firmware

Question No: 125 Which of the following is the most important determinant of a firm's value?
Earnings Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:
Finance function Marketing function
Organizing function Accounting function

Question No: 127 _____ is used to cover long-term expenses such as assets.
Line of Credit Debt Financing Preferred Stock Financial Management

Question No: 128 _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.
Knowledge Worker Labor Markets Contingent Worker Workforce Diversity

Question No: 129 An increase in the general level of prices of products over a specified period of time is called:
Inflation Gross domestic product
Disinflation Equilibrium

Question No: 130 The formation of _____does not require any legal formality like registration.
Company Cooperative society Partnership **Ans Sole proprietorship**

Question No: 131 Which of the following is a disadvantage of partnership?
Distribution of work Sufficient capital
Prime credit standing **Ans Profit sharing**

Question No: 132 In partnership deed, profit and loss is distributed among the partners:
In equal percentage As per percentage of capital invested
Ans As per agreed ratio in partnership deed None of the given options

Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:
Ans Article of Association Memorandum of Association
Special Resolution None of the given options

Question No: 134 Which of the following should be considered when designing a business plan?
Objectives of the business Marketing components of the business
Financial components of the business **Ans All of the given options**

Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in _____.
Ans A strategic acquisition A financial acquisition
A two-tier tender offer A shark repellent

Question No: 136 The record of a country's imports and exports of goods and services is called its:
Visible trade balance. **Ans Balance of payments**
Balance of payments on current account. Balance of trade.

Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT EU **Ans WTO** NAFTA

Question No: 138 Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity. Game plan

Question No: 140 _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization? GANNT chart **Ans Replacement chart** PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors** Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy Ans
Means that staff is moved periodically from task to task in order to increase variety and interest
Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Ans Total company effort Profit Productivity Customer satisfaction
Question No: 151 In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage Product oriented stage
Ans Marketing oriented stage None of the given options
Question No: 152 Which of the following statements is NOT true about services?
They are experienced, used or consumed. They are often sold first, then consumed.
They are perishable. **Ans They are tangible.**
Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:
Ans Validity Reliability Dependability Goodness of fit.
Question No: 154 Which of the following would generally have *unlimited* liability?
A limited partner in a partnership A shareholder in a corporation
Ans The owner of a sole proprietorship
A member in a limited liability company (LLC)
Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?
Unlimited liability Single tax filing
Difficult ownership resale **Ans Raising capital**
Question No: 156 Which of the following enjoys limited liability?
A general partnership **Ans A Corporation**
A sole proprietorship None of the given options
Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?
General partnership Limited partnership
Corporation **Ans Limited liability company**
Question No: 158 Which of the following is false? I don't know the answer
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems
Question No: 159 What is a business plan? Discuss the purpose and significance of a business plan.
Question No: 160 What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

QuestionNo:161

People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

QuestionNo:162 Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

QuestionNo:163 _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

QuestionNo:164 Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

QuestionNo:165 Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

QuestionNo:166 Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

QuestionNo:167

The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:168

Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

QuestionNo:169

The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

QuestionNo:170

Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

QuestionNo:171

First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

QuestionNo:172 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:173 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:174 Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

QuestionNo:175 Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

QuestionNo:176

A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

QuestionNo:177 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:178 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:179 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:180 Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

QuestionNo:181 In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

QuestionNo:182 A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

QuestionNo:183 The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

QuestionNo:184 Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

QuestionNo:185 population size is included in

Economic factors

Demographic factors

Legal factors

Technological

QuestionNo:186 Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

QuestionNo:187 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

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QuestionNo:188 the return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 the total market value of all final goods and services produced in a country is known as_____.

QuestionNo:189 _____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

QuestionNo:190 if a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

QuestionNo:191 Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

QuestionNo:192 Discuss some of the concerns an entrepreneur may have when starting a new business.

QuestionNo:193 Discuss and give examples of what you believe is the most common form of business ownership in your hometown.

QuestionNo:194 Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

QuestionNo:195 Describe the tasks involved in developing a human resource plan.

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QuestionNo:196 All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.

Land Capital Labor FinancialCounselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

Charter Laws Unlimited Liability

erms of his property insurance Limited Liability

QuestionNo:198 ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

Limited partnerships Limited Liability Companies

Sole Corporations General Partnership

QuestionNo:199------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the following except ----------.

Ensuring the business functions properly Possibly incurring large losses

Possibly losing source of income Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade

Tariffs Quotas Subsidies Taxes

QuestionNo:202 A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

Totalitarian government Representative democracy

Mixed Economy Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

Promoters Brokers Underwriters Directors

MGT211 Introduction To Business Short Notes From Lecture No.01 to Lecture No.22 for Midterm Exam Preparation

Lecture 01

Business:

Definition:

Any activity to earn profit.

The word “business” is derived from the term “busyness.”

Entrepreneurship

A phenomenon in which a person searches for an opportunity and try to avail it.

Components of business

Industry

Commerce

Industry

Conversion of raw material into finished goods.

This is a form utility.

Types of Industry

Primary Industry

Extractive Industry Extraction of underground resources.

Genetics People doing business by changing genes.

Types of industries

Secondary Industry

Construction Construction of buildings, roads, bridges etc.

Manufacturing Conversion of raw material into final goods.

Services Banking, consultancy, accountant, Lawyer, Interior decorator, designer, music composer etc.

Commerce

All those activities which start from the warehouse of the manufacturer to the buyer.

Types of commerce

Trade

Trade means buying and selling

Aid to trade

Institutions that are meant and build to assist and support the trading process.

Factors of production

Labor People working in an organization.

Capital Amount invested by investor in the business.

Entrepreneurship Management ability of the people who are running the business.

Physical Resources Land, labor, building, vehicles, machinery etc.

Economic System

A system for allocation of resources.

Types of Economic Systems

Planned Economy

Free market Economy

Types of environmental forces

External Forces

Factors found outside an organization.

These factors are not controllable by the organization.

Types of environmental forces

Internal Forces

Factors within the organization.

These are controllable by the organization.

SWOT Analysis

Strengths

Weaknesses

Opportunities

Threats

Lecture 02

External Factors

Economy of the country

Per capita income of the country

General employment or unemployment

Economic Growth

Exchange rate

Inflation rate

Demographic factors

Demographic factor is a study of population

Population brings customers.

Population tells the size of market and nature of customers.

Total Population

Population Distribution

Distribution on the basis of gender

In Pakistan female population is further divided into two categories:

Household Women

Working Women

Population growth rate

The rate at which population of an area increases/decreases.

Political and Legal factors

Political Factors

Preference and priorities of the Government

Attitude of the Government towards Exports

Government taxation policy

Legal factors

Laws related to Health

Laws related to Imports and Exports

Laws related to Taxation

Laws related to Packing

Laws related to Child Labor

Laws related to Labor Union

Technological Factors

Business people have to pace with the technological advancements.

Socio cultural Factors

Religion

Followers of one religion have influence over the buying behavior of the society.

Natural Factors

Act of God

Natural factors are out of our control

Business people will develop product considering natural resources

Lecture 03

Sole Proprietorship:

Definition

Sole Proprietorship is that type of business which is owned by one person.

Advantages of Sole Proprietorship

Freedom in formation

The easiest to establish

Individuals are allowed to decide without interference of any other person.

Easier to transfer the ownership of the business

People wholly solely enjoy the ownership of the business and profits

Individual has unlimited opportunity to expand the size of the business

Individual can keep the secrets of the business intact

Individual has personal interest in the business

Owners can make speedy decisions

Easy to dissolve

Disadvantages of Sole Proprietorship

Limited amount of capital

Continuity problem

Sole Proprietorship has limited life and is dependent on the owner

Owner of the business has unlimited liability towards people whom he has to pay

Partnership

A relationship of the people to share investments and profits

Partnership act 1932 governs all affairs of the partnership

Advantages of Partnership

More capital

Relatively easier to form

Sharing of responsibility

Light credit standing

Business can have more loan from various sources

Secrecy

Public Confidence

Better Decision

Easy to dissolve

Lecture 04

Disadvantages of Partnership

Unlimited Liability

Partners will have to pay all the debts of the business even from their personal property.

Shorter Life

Partnership ends when one of the partners dies or becomes insane

Limited Capital

Partners run the business from their own capital. Sometimes, that capital becomes limited to meet the requirements of the business.

Lack of interest

Profit is divided among the partners. So, partners do not take keen interest in the business.

Slow Decision Making

Partners might have different point of view regarding a particular matter. So, decision making is relatively slow.

It is difficult to transfer the rights of partnership.

There is always a chance of conflict.

Types of Partners

Active Partner is one who participates in all the affairs of the business.

Secret Partner is one who has invested in the business but he/she is not known to general public.

Sleeping Partner is one who is not very active in the affairs of the business.

Senior Partner is one who has invested the maximum amount in the business.

Junior Partner is one who has invested the minimum amount in the business.

Types of Partnership

Partnership at will

Life of the partnership depends upon the will of the partners.

Limited Partnership

That business in which at least one partner has the limited liability.

Investor is liable to the amount; he/she has invested in the business only. This is called Limited Liability

There will be at least one partner who has the unlimited liability.

Particular Partnership

Partnership formed for a particular purpose.

It is dissolved automatically at the achievement of the purpose.

Termination of Partnership

By Notice

A partner can terminate partnership by giving notice to other partners due to any reason.

Upon Death

Partnership will automatically be terminated at the death of any partner.

Partnership Deed

A document that contains the terms and conditions of the business.

Contents of Partnership Deed

Date on which the agreement was made.

Name of the business.

Nature of the business.

This clause will cover the scope of the business.

Names, addresses, telephone Numbers and emails of the partners.

Capital of the business.

If duration is attached with any business that should clearly be mentioned in the partnership deed.

Duties of the partners.

Whether any partner is entitled to salary. If yes, how much amount should be given to him as salary.

Profit distribution ratio.

Whether partners are entitled to withdraw money from the business. If yes, procedure of withdrawals should also be written in the partnership deed.

Arbitration

In case of a conflict, how that conflict would be resolved before going to the court.

The partner should read the partnership deed carefully, add as much clauses as

possible and never take anything for granted.

Rights of the partners

Every partner has the right to:

Participate in all the affairs of the business.

Get his/her share of profit from the business.

Leave the partnership according to the terms and conditions of the partnership deed.

Claim the salary against his/her services.

Participate in the management of the business.

Lecture 05

Duties of Partners

Partners have to maintain accounts which describe the true picture of the business.

Partners should use their powers within limits specified in the partnership deed.

Partners are responsible to provide accurate information to Government bodies.

Partners are responsible to pay their share in case of loss to the business.

It is duty of every partner to obey the decision that has been made in the partnership.

Partners should not disclose any secret information about the business to any other person.

It is a moral obligation and legal responsibility of the partners not to use firm's forum to take any advantage without intimating to other partners.

Joint Stock Companies

Joint Stock Companies are formed under the Companies Ordinance 1984.

Joint Stock Company is an association of persons for making profit.

Advantages of Joint Stock Companies

We can expand the business

Credit facility

More capital

With more capital and more expertise, companies have more chances to earn more profit.

Expansion in the scale of business

Responsibility of investor is limited to the face value of shares. This is called Limited Liability.

If one person dies or leaves the country, it does not have any impact on the business.

Life of the joint stock company is longer than sole proprietorship and partnership.

It is easy to transfer rights.

Company can hire better experts which results in better management.

Public place more confidence in companies rather than in any other form of business.

Anyone can exit from joint stock company by selling his/her shares.

Disadvantages of Joint Stock Companies

Formation of Joint Stock Company is very lengthy, very complicated and very technical job.

Lack of interest.

There is not much secrecy found in companies.

Companies pay double taxation to the Government.

Delayed decision making

Power is centralized because there are few people who hold major portion of company's shares.

Public Limited Company Vs Private Limited Company

Number of members

For a public limited company, minimum numbers of members are seven.

For a private limited company, minimum numbers of members are two.

Issue of shares

Public limited company is bound to promote issue of shares to general public through media.

There is no such provision for private limited company.

Name of the company

Public limited companies add the word "Ltd." with their name.

Private limited companies add the word "(Pvt) Ltd." with their name.

Annual report

Public limited companies have to present their data to general public.

There is no such provision for private limited company.

Transfer of shares

It is easy to transfer shares in public limited companies.

In private limited company, shareholder cannot transfer the shares without the consent of other members.

Statutory meeting

It is obligatory for the public limited company to hold statutory meeting.

There is no such obligation for privet limited company

Submission of annual report

It is obligatory for the public limited companies to submit their annual report to registrar Corporate Law Authority.

It is not necessary for private limited company.

Taxation

Public limited company pays double taxation at different income tax rates.

Private limited company pays tax only once at different income tax rates.

Lecture 06

Promotion Stage

Initiation of idea

Further discussion with other people

Collection of further information regarding sales, profitability, availability of machinery, restrictions of the Government etc.

Some other factors

Is there a need for a license for this business?

Is N.O.C required from the Government?

Promoters have applied for license and permission.

If copyrights are involved, permission of the principal company is also required.

People started work for getting their own name and business registered.

Requirement of funds.

Preparation of Documents

Memorandum of the company

A document that contains Name, address, objective and capital of the company.

Articles of association

A document that contains rules and regulations of the company.

Prospectus

Prospectus is an initiation for offer.

Incorporation Stage

All the documents will be filed to the registrar joint stock companies to seek permission for the business along with the registration fee.

Experts will examine these documents and make sure that all claims are justified or not.

If they are satisfied, a certificate of incorporation will be issued to the company.

Collection of Capital

Promoters will inform the general public that business is going to be started.

They will ask the people to invest in the business.

This is capital subscription stage.

Share or stock is the smallest unit of investment.

Stock exchange is a market where people exchange their shares.

Debenture is a kind of loan which is acquired from the market.

Certificate of commencement is issued by the Government when commencement of business is allowed.

Clauses of Memorandum of Association

Name of the business

We cannot suggest a name that has already been registered.

We cannot suggest a name after our National Heroes.

Registered office of the company.

Objective clause of the business.

Authorized capital of the company.

Liability clause

Liability of the investor is limited to the extent of investment in the business.

Association clause.

Articles of Association

Share capital of the company.

Procedure to change the capital.

Procedure for meetings.

Procedure for voting.

Appointment of directors.

Directors are the officials of the company who are appointed to run the affairs of the business.

Duties and authorities of directors.

Rights of shareholders.

Meetings.

Meeting of shareholders.

Meeting of directors.

Disqualifications.

Seal of the company.

Distribution of dividend.

Profit distributed among shareholders is called dividend.

Decision for retained earnings.

Retained earning is a part of the profit retained by the company for future operations.

Appointment of auditors.

Winding up of companies.

Lecture 07

Shareholders' meetings

Statutory Meeting is the first meeting after commencement of business.

Annual General Meeting is the meeting of the company once in a year.

Extra Ordinary General Meeting.

Statutory Meeting

Section 77 of The Companies Ordinance 1984 deals with such type of meeting.

The company must give 21 days notice to shareholders prior to the meeting.

Matters to be Discussed:

Amount of capital acquired.

Details of machinery purchased.

Details of development in all areas of the business.

Sometimes, issue of share capital does not give minimum amount set by the company.

Underwriters are those organizations which guarantee the company to buy the remaining shares, if minimum requirement is not met.

Statutory report will also tell about the underwriters and commission paid to them.

Information about arrears to be received by the company.

Annual General Meeting

All shareholders will participate in this meeting which is held once in a year.

The company must give 21 days notice to shareholders prior to the meeting.

Objectives of Annual General Meeting

Election of directors for the next year.

Appointment of auditors.

Auditors will review the annual accounts of the company and report on the accuracy of these accounts.

Shareholders will elect and approve the appointment of auditors.

If auditors are already hired, the shareholders will review their performance and decide whether to continue with current auditors or to change them.

Auditors will also be asked whether they are willing to work with the company or not.

Declaration of dividend.

Decision for directors' remuneration.

Auditors will report on the companies accounts in terms of:

Accuracy

No fraud found

Conformity with the Companies Ordinance 1984.

Extra Ordinary General Meeting

This meeting will be called when there are:

Some extra ordinary circumstances.

Some special type of business.

Decision for debentures.

The company can change its memorandum and articles of association in extra ordinary general meeting.

Share Capital

The capital with which the company gets registration is called Authorized Capital of the company.

The part of capital that has been offered to general public is called paid up or issued capital.

The part which has not yet been issued to general public is called un issued capital.

If people have applied for more capital than required, the company will issue the shares by balloting and return the excess money to the general public.

If people have applied for less capital than required, whatever amount has been received will be the paid up capital of the company.

Winding up of the company

Voluntary winding up

The members of the company decide about winding up of the company.

Special Resolution

Members will present special resolution in the extra ordinary general meeting regarding winding up of the company. If approved by the members, the company will be dissolved.

Winding up by court

Members have applied to the court for winding up of business.

If court feels that:

Business is not in the benefit of the society.

Objective of the business is not in line with the culture of the country.

Business is deceiving the general public.

The court will order that business should be closed immediately.

Lecture 08

Co-operative Societies

Co-operative societies are group of people who form the business to co-operate

with each other.

The main purpose of co-operative societies is to co-operate with each other through self help.

People join these organizations as volunteers.

Advantages of Co-operative Societies

This system provides high standard of life due to sharing of resources.

Formation is easy because Government support these kind of organizations.

People running the business have equal rights in decision making regardless of number of shares or amount invested in the business.

Economic Democracy

People sit together and decide about the business of the society.

Elimination of middle man results in cheaper products.

Government gives financial assistance to these type of businesses.

Friendly atmosphere is developed in the society due to close relationship in the people running the business.

Employment opportunities are created by such businesses.

A sense of mutual co-operation is developed in the society.

An opportunity to keep demand and supply in balance.

This kind of business requires less expenditure.

Disadvantages of Co-operative Societies

People do not have sufficient capital to start such business.

Unavailability to hire professional manager because:

People do not have money in remote areas.

There are no such people in those areas.

People do not have experience of such business.

Lack of secrecy.

Unavailability of new technology.

These are not businesses in true sense. People might not have confidence in these businesses.

Banks might not provide loans to these businesses.

Interference of the Government.

Entrepreneurship

Entrepreneurship is that ability in which an individual tries to find the opportunity, take risk and avail these opportunities.

Who are Entrepreneurs?

People have more entrepreneurial abilities who:

Have aspiration.

Are more strategic.

Have the vision.

Characteristics of Entrepreneurs

Resourcefulness

Abilities

Concern of being good.

Lecture 09

Entrepreneurial Characteristics

Personal Interest

Interest for their own development.

Customer Relationship

Long term relations with the customers.

Desire to establish own business.

Need of control.

Ability to deal with uncertainties.

Business Plan

A document which contains the objectives of the business and the ways to achieve these objectives.

Components of Business Plan

There are two situations:

Buying a business.

Starting from the scratch.

Objectives of the business.

Marketing Components.

Financial Components.

Components of Business Plan started from scratch

Objectives of the business:

Name of the business.

Name should indicate the type of business.

Name should be simple.

Uniqueness of name.

Legal considerations:

Avoid the names not encouraged by the law. e.g. National Heroes, religious personalities etc.

Location of the business.

Marketing Part:

Who will be the customers of the business?

Where are they located?

What would customers like to pay for the product or service?

What are the benefits, the customers are expecting from the product or service?

Analysis of competitors:

What is the nature of competition in the market?

Who are the competitors of the business?

How product of the business is different from product of the competitors?

Promotional Part

How will the message of the business be promoted in the general public?

How will the business be launched?

Financial Part

What will be the investment of the business and how much should be borrowed?

What are going to be expected revenues in a given period of time?

What would be the expected expenses of the business in a given period of time?

What would be net income or net profit in a given period of time?

Is the business feasible or not?

Administrative Part

What would be the structure to handle the business?

Lecture 10

Franchising

An agreement between two parties in which one party passes on the rights to the other party.

Rights include:

Right to use the trade mark.

Right to use the name.

Right to use systems, methods and researches.

Right to use packing material.

Parties to Franchise agreement

There are two parties:

Franchiser

Franchisee

Franchiser is one who sells the rights to franchisee.

Advantages of Franchising

Franchiser gets a huge amount of money from franchisee without doing anything.

Franchisee gets access to big business.

Failure rate of franchise business is lower than any other business.

Franchisee uses world wide tested brand and tested procedures that is why failure

rate is lower in this type of business.

Franchiser provides guidance to franchisee in all affairs of the business.

Choice of location

Franchiser is always there to support the franchisee in all kinds of matters.

Disadvantages of Franchising

High cost.

Proportionate profit is given to franchiser by franchisee every year.

There are too many restrictions from franchiser on the franchisee.

New Trends in the Business

E-Commerce or E-Business

Using internet for marketing products.

Women in business

So many women have come in so many areas of business.

Business will be better displayed, well mannered staff, more knowledge of the needs of customers and more market oriented.

Global opportunities

People have the awareness of global market.

Internet has played major role in accessing global markets.

In Pakistan, people got huge success globally but could not make a brand name in global market.

Factors for lower failure rate

Government's preferences and priorities.

Government is convinced to support corporate sector.

Businesses are now being set up on more professional grounds.

Support from financial institutions.

General economy of the country.

People are acquiring professional knowledge about business.

Government has developed many training centre to train people related to business.

Skills development.

Institutions to develop man power.

Lecture 11

Causes of Failure in Business

Causes of Failure in People are not capable of handling business.

Some people are not capable enough to know markets.

People should try to learn the abilities to run the business.

People do not have experience required for a business.

We need to have control over:

Production Process

Cost

Wastage

Complaint handling

Quality

Insufficient capital

Bad Luck

National Disaster

Reasons for Success in Business

Hard work

Dedication and Commitment

Response of Market

Competence – The ability to work

Knowledge of Market

Knowledge of Product

Knowledge of Systems

Luck and Act of God

Law of Government

Law related to health

Climate change

Disaster

Joint Venture

Two or more people or organizations join hands and decide to do a business.

Advantage of Joint Venture

Combination of skills and abilities.

Strategic Alliance

Two or more than two organizations collaborate for mutual profit.

Decision involved in Strategic Alliance

Profit Sharing

Client Handling

Merger

Two or more organizations combine together and form a new organization.

Acquisition

One business acquires the other business.

Advantages of Acquisition

Expansion of size

To reduce competition

Lecture 12

Imports

Goods produced somewhere else and sold domestically.

Chemicals

Technology (Machinery, Software & Hardware, Expertise)

Factors to be considered while importing

Identification of products to be imported.

Procedures, methodologies, technical processes and documents for imports.

Exports

Goods produced domestically and sold in some other country.

Advantages of Exports

Support of Government.

High Profits.

Pride for the country.

Utilization of production capacity.

GATT – General Agreement on Tariff & Trade.

An agreement between the countries that encourages international trade.

WTO – World Trade Organization

Scope of WTO

WTO insists on removing the artificial barriers to encourage international trade.

WTO was organized on January 01, 1995.

Per Capita Income

Per Capita = Total income of the country/

Total population

Tools for measuring economies of the world

World can be divided in to three major categories on the basis of per capita income.

High income countries

Those countries where people are earning US $9000 or more.

Middle income countries

Those countries where people are earning between US $765 and $9000.

Tools for measuring economies of the world

Lower income countries

Those countries where people are earning below US $765.

Pakistan has a little below than US $765 income line and is moving towards middle income class countries.

Pakistan is exporting

Sports items

Agricultural products (rice)

Textile products (Bed Sheets, T-Shirts, Towels etc.)

Import and Export Balance

Gap between imports and exports is called surplus and deficit.

It varies from country to country.

Balance of Payment

Balance of payment = Total receipts - Total payments

If receipts are greater, balance of payment is favorable.

If payments are greater, balance of payment is unfavorable.

Level of involvement in international business

Imports or Exports

We can be importer and exporter.

We try to see opportunity in international market to consume surplus products.

This is called exports.

International Firms

International firms have operations world wide.

These firms are also called multinationals.

Multinationals design products separately for each country.

Global Organizations

Those organizations which consider the whole country as single market are called global organizations.

These organizations have standardized products all over the world.

International Organizational Structure

Independent Agent

A person or an organization that works for an exporter or importer.

Appointment of representative abroad.

Licensing agreement,

Independent Branch Office.

Strategic Alliance.

Direct Foreign Investment.

Lecture 13

Barriers to International Trade

Social and Cultural Changes.

Different countries have different life styles.

Religion.

Every religion has its own set of rules for its followers.

Religion asks for spending on certain things and stops from spending on certain things.

Climate

Laws

There are different laws in different parts of the world.

These include laws related to:

Health

Safety

Customer Relationship

Pricing

Packing

Environment

Economic Differences

Per Capita Income is different in different countries.

Different people have different economic systems.

People preference for a particular product

Political System

Tariff

Tax levied on goods entering into a country.

It is also used as a measure to reduce imports in a country.

Quota

Limit imposed by one country on importing commodities from another country.

Subsidies

Concessions provided by a country to its producers in order to protect economy.

Business Ethics

Ethics are basic beliefs, a company decides to pursue and implement during a course of action.

Ethical Behavior

A system that confirms the beliefs of the society.

Business is being run within that system.

Corporate Citizenship is a practice of the company confirmed by the society.

Ethical Behavior in Managerial Practices include:

Responsibility towards employees.

Relationship with other organizations.

Interaction with Government.

Plans to initiate ethical behavior towards people.

To initiate ethical programs.

Corporate Social Responsibilities

To think about benefiting the society and avoid harmful activities for the society is called Corporate Social Responsibilities.

These include:

Ethical attitude towards customers.

Dealing with employees.

Ethical communication with Government and local bodies.

Ethical behavior towards stake holders.

Lecture 14

Stake Holders

People who are interested in the affairs of the business in one way or the other.

Stake holders include:

Customers

Employees

Suppliers

Bankers

Government

Society at large

Rights of Customers

Consumerism

Protecting the rights of customers.

To get a product which is up to the expectations of the customers.

Customer Safety.

Right to get information about:

Product

Supplier

System

Procedures

Standards

Ingredients of the product

Origin of the company

Right to get information about:

Method of manufacturing

Quality standards

Right to be heard

Right to choose

Quality Service

Responsibilities of the Organization towards Environment

Reprocessing of waste water.

Recycling of waste material.

Processing of smoke.

Reprocessing of heat.

Ethics for Advertising

Truthful or Truth less Communication

Objectionable Products

Objectionable Appeals

Fear Factor

Sexual Connotations

Objectionable Timings

Smoking

Selling product to underage customers

Legal Commitments

Discriminations

Health and Safety of Employees

Whistle Blowers

People who see irregularities and bring them in the knowledge of the management.

Management

Getting things done through others.

Manager

A person who practices the functions to achieve management's objectives.

Functions of Managers

Planning

Thinking for the future.

Organizing

Decision about activities performed by the workers.

Grouping the activities

Delegation of authorities

Staffing

Filling out the vacant positions.

Coordination

Communication

Receiving information from various sources.

Processing of information.

Dissemination of information.

Distribution of information.

Conflict handling

Negotiation

Resource Allocation

Controlling

To make sure that organization is moving towards the right direction.

Lecture 15

Managerial Skills

Conceptual Skills

Abilities to think at planning and organizing stage.

Interpersonal Skills

Abilities to deal with others.

Technical Skills

Knowledge of processes and operations.

Goals

Destination where a company wants to reach.

Strategy

Set of plans for long term orientations.

Levels of Strategies

Corporate Level Strategies

The strategies that cover all the operations, processes and units of organizations.

Strategic Business Unit (SBU)

A part of organization that requires separate planning.

Functional/Operational Level Strategies

The level at which all functions or operations are performed.

Objectives of Goal Setting

Goals give us directions.

Resource Allocation.

Setting culture of the organization.

Assessment of performance.

Mission Statement

The purpose for survival of an organization.

Mission Statement describes life time objectives of the organization.

Mission statement is a general statement.

It is written in terms of:

Customer satisfaction

Quality of life

Service of humanity

Mission statement is a long term plan.

Types of Goals

Long Term Goals

Medium Term Goals

Short Term Goals

Short Term Goals

A plan for less than one year.

Medium Term Goals

A plan for one year to three years time.

Long Term Goals

A plan for more than three years.

Length of plan depends upon type of activities.

Research shows that people, who plan, have higher rate of success in life.

Human Resource Management (HRM)

Human Resource Management is an area that deals with people who work in organizations.

HRM deals with the activities of people.

These Include:

Attracting people in the organization

Maintaining them

Recruitment

Selection

HRM deals with the activities of people.

These Include:

Training

Performance appraisals

Compensation

Health and Safety

Scope of HRM

Human Resource Panning

Type of people required

When required

How many people required

Job Analysis

Recruitment

Training

Compensation

Health and Safety

Labor Union

Job Analysis

Collecting all the information related to a job.

It is divided into two parts:

Job Description

Job Specification

Job description describes the activities of a particular job.

It includes:

Job Title

Job Location

Working Environment

Supervision

Job Specification

Job Specification describes human skills required to perform a job.

It includes:

Qualification

Gender

Age

Experience

Special Skills

attitude

Lecture 16

Human Resource Planning

HR Planning Includes:

What is the gap between human Resource demand and supply in the market.

What is the condition of human resource supply in the market.

Sources to find people

Internal Sources

External Sources

Skills Inventory

A chart that shows skills of workers in the organization.

Replacement Chart

A chart that shows turnover in an organization.

Turnover Rate

Tendency to leave jobs in an organization.

Retention.

To retain the people in the organization.

Expansion Plans..

Replacement on the basis of performance.

Recruitment

The process of attracting the people for the job.

Advantage of recruitment within the organization

People are already trained.

Advantages of recruitment outside the organization

Variety of Talent

Variety of Abilities

Variety of Qualifications

Equal Employment Opportunity

No discrimination on any grounds for hiring people.

Sources to find People

Informal Search

This method is used when reference is also required.

Job Posting

Putting notices for job on various places in the organization

Places can be:

Cafeteria

Fair Price Shop

Sports Field

Putting notices for job on various places in the organization

Places can be:

Reception Desk

Notice Board

Union Office

Educational Institutions

Consulting educational institutions for suitable candidates for the job.

Educational Institutes are consulted when:

Fresh Graduates are required.

There are not many institutions for a particular job.

Short Listing of institutions.

Organizations involve teachers in the selection process.

Professional Associations

This method is used when people for senior posts are required.

Recruitment Agencies

These are the organizations which have expertise in selecting people.

These agencies are used when:

Time span for selection is short.

Jobs are highly technical in nature.

Employer and employee are at a distant place.

Advertisement

Giving advertisement in media.

Media is used when:

Large numbers of jobs are available.

Disadvantages of using media

Large numbers of applications are received.

It is difficult to handle large number of applications.

Costly

Selection

The most important stage in HRM process.

It includes:

Filling up forms

Interviewing people

Developing tests

Application Blank

A form designed by the employer for the prospective employee to fill it out.

It records data according to the requirement of the organization.

Test and Interview

Use of test and interview depends upon the nature and level of the job.

Types of Tests

Achievement Test

Test of knowledge acquired by the candidates in educational institutions.

Psychological Test

To determine the attitude and traits of the candidates.

Skills Test

Aptitude test

Test of prior learning

Skills test

Medical Test

To keep in record the physical condition of the candidate before joining the organization.

To make sure that candidate does not have any transferable disease.

Considerations for Test Development

Validity

Reliability

Validity

Content Validity

Contents of the test should be relevant to the requirement.

Construct Validity

Sequence of the questions.

Face Validity

Appearance of the test.

Lecture 17

Infrastructure for Test

Space

Proper Temperature

Enough Quantity of Stationary

Evaluation of Test

Interview

Any verbal interaction is called interview.

Job Interview

A method of selection in which we interact with the candidate verbally.

Types of Job Interview

Telephonic Interviews

Preliminary Interviews

Selection Interviews

Techniques for Final Interviews

Pattern Interview

Pre-decided questions are asked in a pre-defined sequence.

Non Pattern Interview

Questions are asked according to the situation

Shortcoming of Pattern Interview

Interviewer can not ask any question other than pre-defined questions.

Shortcoming of Non Pattern Interview

Possibility of non-professional and irrelevant questions.

Mix Interview

An interview in which some questions are pre-defined and some are situational.

Ways to conduct Interview

One person interview

Panel Interview

A group of people related to the job conduct interview.

Arrangements for conducting Interview

Proper place

Preparation for questions

Read out the resumes of candidates.

Human Resource Development

Human Resource Development is done through training.

Methods for Training

On job Training

Learning while working

Off job Training

Difficulties in On Job Training

In certain jobs, on job training is not possible.

Methods for Off Job Training

Lectures

Cheaper method of training.

For some jobs, it is the most appropriate method.

Vestibule training

Artificial situation created for training people.

Role Play

Business Games

Case Studies

Performance Appraisals

Evaluation of performance

Reasons for performance appraisals

Validation of Human Resource Program

Pay for performance

Compensation

Compensation can be:

Monetary reward

Non Monetary reward

Incentives

Plans for encouragement of employees in the organization.

Types of Incentives

Organizational Level Incentives

Paid to everyone in the organization.

Individual Incentives

Paid to individual employees who have done good job.

Lecture 18

Individual Incentives

Employees are paid for:

Good performance on job.

Good performance during training.

Collective Incentives

Incentives are paid to whole department.

Incentives for the whole organization can be:

Profit Sharing.

Benefits other than salaries and wages.

Compensation

Salary is paid for longer period. e.g. for a week, for a fortnight, for a month or for a year.

Wages are paid for short term period. e.g. for a day or for an hour or on the basis of units completed.

Other ways for compensation can be:

Free or cheaper food.

Retirement Plans.

Pensions.

Medical Facilities.

Transportation Facilities.

Assistance for children education.

Equal Employment Opportunity (E.E.O)

No employee on any base will be discriminated for offering job opportunities.

Base can be:

Gender

Nationality

Religion

Area

Life Style

Race

In many countries, it is against the law and ethics.

Some people are perceived fit for a particular job. This concept is known as

Stereotyping.

Managers should not evaluate performance on the basis of:

Gender

Nationality

Race

Religion

Why do we need Equal Employment Opportunity (E.E.O)?

Job description does not provide any base for discrimination.

If law requires, we have to obey the law.

Ethics.

Research has shown, variety of people can perform better in an organization. This phenomenon is called Work Force Diversity.

Managers should encourage different types of people to join organization in order to enhance productivity.

Collective Affairs of Employees

Employees form labor unions in the organization.

There could be more than one labor organizations in the company.

Collective Bargaining agent (CBA) is a person who has been elected by all the workers in the organization through legal procedures.

Negotiations can be on:

Salary

Working Conditions

Timings

Facilities

Benefits

Attitudes

Motivation

Motivation is a force that forces people towards a task.

Classical Theory of Motivation

People are motivated because of money or material objects.

Fredrick Taylor's Theory of Scientific Management

Every job should be studied scientifically.

Jobs should be divided on the basis of tasks and skills of labor.

Pay should be attached with productivity.

Time & Motion Studies

Time spent on jobs should be studied using scientific devices and motions of machines or human motions.

Objection on Fredrick Taylor's Theory of Scientific Management

This theory considers human beings as machines.

Hawthorn Studies

Basic purpose of these studies was "Effect of light on productivity".

Productivity depends upon human relations.

Shortcoming of this theory was that human moods, human behavior, human liking and disliking and human interest were ignored.

Hawthorn Studies became a base for behavioral studies in organizations.

Lecture 19

McGregor Theory - X

Every normal human being dislikes work by nature.

People work because of some pressure.

Pressure can be:

Salary

Advancement

Respect

Some other force

McGregor Theory - Y

People inherently like to work.

McGregor Theory – X & Y X-

Type managers might:

Use punishment and threat to make people work.

Control activities of the work very closely.

Y-Type managers will identify the barriers which are causing problems for workers and try to eliminate those barriers.

In some situations, managers have to adopt X-type behavior and in some situations, they have to adopt Y-type behavior.

Culturally, in societies, managers are moving towards Y-type behavior from X-type behavior.

Why do People work?

Need

A state of felt deprivation.

Maslow's Hierarchy Of Needs

Biological Needs

Biological needs are related to human body's survival. e.g. food, drink, air, sleep etc.

Safety Needs

Safety from:

Cold

Heat

Sand

Storm

Earthquake

Animals

Enemies

Social Needs

Self Esteem

Worth attached by human beings to themselves.

People who have high self esteem are more productive.

Self Actualization

Fullest utilization of one's potential.

Use of Hierarchy in Motivation

Biological needs can be fulfilled by:

Giving salaries.

Providing free or cheaper food to employees.

Providing routine items at concessional prices.

Safety Needs

Organization can provide safety devices to employees. For instance:

Helmet

Glasses

Gloves

Safety Needs

Organization can provide safety devices to employees. For instance:

Special purpose shoes

Medical Facilities

Houses

House rent

Pick & drop service

Insurance

Pension plans

Preventing people from accidents

Social Needs

Organizations encourage informal organizational activities.

These include:

Combined lunch or dinner

Sports

Fun fair

Musical Programs

Lecture 20

Use of Hierarchy in Motivation

Self Esteem

Worth of human beings.

These include: Designation

of Individuals. Status in

the organization.

Recognition of employees in the organization.

Self esteem has direct relationship with productivity.

Various techniques can be used to make self esteem of employees high. These can

be:

Finding titles for employees

Recognition

Awards

Cash rewards

Increment in the salary

Promotion

Raising status of employees

Self Actualization

Fullest utilization of one's potential.

These include:

High Challenges

High position in the organization

Criticism on Maslow's hierarchy theory

It is possible that human needs may deviate from the order given by Maslow.

There is a question mark whether needs finish after self actualization or not.

Two Factor Theory or Hygiene theory

Hertzberg presented this theory by taking the phenomenon of human hygiene.

Two factors work in the organization:

Hygiene factors

Motivators

Factors required to keep employees in the organization are called hygiene factors.

Factors used to get high productivity from workers are called motivators.

Hygiene factors fall with the biological needs, safety needs and partially with social needs of Maslow's hierarchy theory.

Motivators are almost similar to social needs, Self esteem needs and self actualization needs of Maslow's hierarchy theory.

Both factors should be present in the organization at the same time to get productivity from workers.

Expectancy Theory

People in the organization are motivated with:

Expectations about reward.

Assurance of getting reward by doing a particular task.

Equity Theory

Equivalence in inputs and outcomes.

Inputs of employees in an organization are:

Level of education

Skills

Experience

Reputation

Hard work

Connections

Outcomes of employees in an organization are:

Salaries

Designations

Promotions

Benefits

Social Status

Respect in the organization

Opportunities

Equity Theory

Individual will also compare his input/outcome with other individual's input/outcome.

How can Equity Theory be implemented?

Managers have to explain reasons for the difference of outcomes of employees in order to keep them motivated.

People compare their rewards with the market as well.

Lecture 21

Reinforcement Theory

To strengthen desired behavior at work place.

To force the workers to adopt that behavior.

There are two ways for reinforcement:

Positive reinforcement

Negative reinforcement

Positive reinforcement means to encourage a particular behavior.

Negative reinforcement means to discourage a particular behavior.

Human Relations

Human Relations can be:

Employee to employee

Employee to employer

Purpose of human relations is to give a feeling of a family.

Job Enrichment

This is needed when people are under performing.

Job enrichment means adding something into the job.

To provide opportunities to employees to apply their talent, knowledge and

creativity for performing more in the organization.

Job Re-designing

To re-design a task.

Job Sharing

People share the work.

Management by Objective (MBO)

Idea of MBO is opposite to the traditional management.

Decision and planning is made in collaboration with the subordinates.

Difficulties with MBO

People do not understand the philosophy of MBO.

Application of MBO

Subordinates set their goals by themselves with the consultancy of top

management.

Psychological Contract

A contract between employee and the organization.

With the achievement of psychological contract, workers will have high level of

morale and satisfaction.

Leader

A person who influences people for the achievement of pre-defined goals.

Leadership

Ability of an individual to influence others.

Difference between a leader and a manager

Leader Manager

Leader is a change agent. Manager is more concerned with

the status co.

Leadership

Powers of leaders

Position powers

Personal powers

All those powers/authorities which are attached to a position are called position powers.

Position powers are transferable.

Powers attached with some person are called personal powers.

These are non transferable.

Types of leaders

Autocratic leaders

Leaders who take decisions by themselves.

This type of leadership is used in those circumstances when there is not much time for decision making.

These types of leaders have more centralized powers.

Managers take more powers when:

Managers do not trust their subordinates.

Subordinates might not have enough training.

Democratic Leaders

Democratic leaders share the ideas.

In this style, leaders will encourage more communication. Free-

Rein leaders

Managers depend more upon subordinates.

Encourage the subordinates to make decisions by themselves.

This approach is practiced when:

Staff is highly motivated.

People are working in synergistic environment.

Fully trained people.

Difference of communication in leadership styles

In autocracy, there will be downward communication but no upward communication. i.e. one way communication.

In democracy, there is both way communications. I.e. upward and downward communication.

In free rein, there will be more communication among subordinates and occasional communication among subordinates and managers.

Method of decision making depends upon the situation.

Contingency approach of Leadership

Every job has its own uniqueness.

With the change in task, different type of leaders and different leadership style is required.

Lecture 22

Marketing

All those activities which make the exchange possible.

Exchange includes:

Exchange of goods, services and ideas from one person, organization and place to another person, organization and place.

A system of business activities designed to plan, price, place and promote goods,

services and ideas to potential customers.

Potential Customers

A person, a body, an institution or a firm who has:

Need

Money

Willingness to spend money.

System

A set of interrelated and interdependent activities.

Planning for marketing

What should be marketed?

When should be marketed?

Where should be marketed?

Distribution

Pricing

What is going to be the price of the product?

Promotion

Should the product be promoted or not?

Marketing

Product is:

Anything that is offered for sale in the market.

All those things which are tangible.

Services are intangible. i.e. which are not touchable.

Marketing of ideas.

Marketing

Marketing ideas can be applied on non business activities. This is called social/societal marketing.

This includes:

Asking for donations.

Drive slow.

Say your prayers.

Need is a state of felt deprivation.

Marketers satisfy the needs through products, services, objects and ideas.

Market is a place where people exchange goods, services and ideas.

Stages in Marketing

Production oriented stage

All the efforts are made to produce more and more.

Product oriented stage

Management focuses on quality of product rather than quantity of product.

Sales oriented stage

Sellers feel the need of an organized institution that coordinates all activities related to sales.

Marketing oriented stage

Unsatisfied needs of the customers are satisfied.

Societal Marketing stage

Benefits of society are considered by the organizations.

Value

Difference between cost and benefits of the product.

Utility

Ability of any commodity to satisfy the needs.

Forms of Utility

Time Utility

Customers get the commodity when they want.

Form Utility

Converting the shape of the product from one form to another.

Place Utility

Transportation of product from one place to another.

Ownership Utility

Product owned by the manufacturer is distributed to the end buyers through different steps.

MGT211 Introduction To Business Solved Midterm Subjective and Objective For Preparation of Midterm Exam

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1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in_____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days

3. 07 days
4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. **Fails to submit statutory report**
   3. Expiry of Period
   4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. **Participation Term Certificates**
   4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
   1. **Reserve capital**
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. **Petition by debtor**
   2. Petition by creditor
   3. Petition by contributory
   4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. Complicated coordination
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

a. **Autocratic styles**
b. Democratic styles
c. Free rein style
d. None of the given option

3) _____is the process of motivating others to work to meet specific objectives.

a. **Leadership**
b. Motivation
c. Free rein style
d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

a. Participative Management and Empowerment
b. Management by Objectives (MBO)
c. Reinforcement/Behavior Modification Theory
d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. **Market segmentation**
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. **Marketing Environment**
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. **Substitute product competition**
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of_____from producer to consumer.
    a. **Finished goods**
    b. Work in process
    c. Raw material
    d. All of the given option
12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
    a. Persuasive advertising
    b. Comparative advertising
    c. Informative advertising
    d. Reminder advertising
    e. None of the given options
13) A_____is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
    a. **Pull strategy**
    b. Push strategy
    c. Persuasive advertising
    d. Sales Promotion
14) _____includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
    a. **Warehousing cost**
    b. Transportation cost
    c. Distribution cost
    d. Manufacturing cost
15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
    a. Order Processing
    b. Creative Selling
    c. Missionary Selling
    d. None of the given option
16) Consumer promotion aimed at the_____and Trade promotion aimed at wholesalers and retailers.
    a. **Final consumer**
    b. Retailer
    c. Wholesalers
    d. All of the given options
17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

    a. **Trade Shows**
    b. Contests
    c. Cross-promotion
    d. Special-event sponsorship

18) _____is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

a. **Total quality management (TQM)**
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

a. Public relation
b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

21) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10%
b) 15%
c) 40%
d) 80%

22) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution
b) In annual general meeting
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus

d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 1:

Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 2:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called_____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

Q# 3:

_____is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle
c) Marketing research
d) A customer-oriented approach

Q# 4:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

Q#5:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its_____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

Q#6:

_____is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 7:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 8:

The specific method a company uses to sell and deliver its products to customers is known as its_____.

a) Retail intermediaries
b) Direct distribution
c) Distribution mix
d) Distribution channel

Q# 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 10:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 11:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) Loyalty
d) Ownership

Q# 12:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production

b) Sales
c) Marketing
d) Relationship

Q# 13:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) Long-run success page.
c) Largest market share.
d) Highest paid staff.

Q# 14:

_____involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 15:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) Sales process
b) Exchange process
c) Relationship process
d) Production process

1. An enterprise that provides products or services that customers desire is a / an:
   a. institution
   b. market
   c. agency

d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

1) An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

6. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating

b. risk
c. value
d. return on investment

7. _____conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

8. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

9. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

1. If firms wish to avoid hiring during a temporary increase in production, they can offer_____to existing employees.
   a. overtime
   b. training
   c. affirmative action
   d. orientation program

2. _____are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.
   a. Contingent Workers
   b. Knowledge workers
   c. Diverse workforce
   d. None of the given options

3. Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
    a. Labor Union
    b. Informal organization
    c. Team
    d. Trade union

4. Since they are closer to the production process, first line managers use their _____skills more frequently.
    a. conceptual
    b. interpersonal
    c. managerial
    d. technical

5. Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
    a. equity theory
    b. management by objectives
    c. theory X
    d. theory Y

Q 1. All of the following are key factors that influence consumer preferences and the size of target market except:
    a. social values
    b. anthropology
    c. geography
    d. demographics

Q 2. Cameras, clothes, and household items are examples of products that exist in:
    a. industrial markets
    b. business markets
    c. consumer markets
    d. government markets

Q 3. To develop new ideas for expanding their product lines, many firms have recently increased their investment in:

a. research and development
b. production facilities
c. distribution facilities
d. inventory control

Q 4. Products that are not branded by the producer or retailer are called:
a. national brands
b. store brands
c. obsolete brands
d. generic brands

Q 5. Managers typically attempt to set a price that will maximize a firm's:
a. value
b. production
c. advertising
d. promotion

Q 6. The manner by which a firm's products are made accessible to its customers is determined by its:
a. advertising strategies
b. product decisions
c. pricing strategies
d. distribution decisions

Q 7. Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

a. single-service marketers
b. agents
c. stockers
d. mediators

Q 8. All of the following are methods of promotion except:
a. target marketing
b. personal selling
c. sales promotion
d. public relations

Q 9. The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:
a. institutional advertising
b. the push strategy
c. reminder advertising
d. public relations advertising

Q 10. Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?
a. pull
b. push
c. sampling
d. premiums

Q1. A_____represents a series of tasks in which resources are used to produce a product or service.
a. Production process
b. Layout chart
c. Venn diagram
d. Organizational chart

Q2. The act of setting time periods for each task in the process is called:
a. Routing
b. Scheduling

c. Dispatching
d. None of the given options

Q3. A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as_____system.
a. Gate-keeping
b. Broadband
c. Inter-organizational
d. Internal information

Q4. Through_____, firms achieve a lower average cost by producing large volume.
a. Inventory management
b. Economies of scale
c. De-integration
d. Effective marketing

Q5._is the management, technological, and production operations performed by the organization to convert inputs to outputs.
a. Systems theory
b. Entropy
c. Synergy
d. Transformation process

Q6. Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:
a. Benchmarking
b. Quality assurance
c. Continuous improvement process
d. Total quality management

Q7. The heart of a computer is its:
a. Power unit
b. Central processing unit
c. Random access memory
d. Hard drive

Q8. In typical network architecture, workstations are connected to a_____, which is a machine that stores and provides access to centralized data.
a. Main-frame
b. Stand-alone computer
c. File server
d. Main-board

Q9. The exchange and comprehension of information is:
a. Communication
b. Promotion
c. Posture
d. Facial expression

Q10. Modems, printers, keyboards, monitors, and scanners are examples of computer _____.
a. Core components
b. Externalities
c. Peripherals
d. Serial interfaces

1) Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

2) The function of business in which business man tries to find new techniques of production is

Accounting
Management Function
Innovation
Quality improvement

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

4) Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

5) Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

6) Which of the following is not among the benefits of Partnership Firm?

Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

8) The company may raise its capital through which of the following sources:

By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

9) Advantages of cooperative societies does not include

Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

10) WTO was organized on_____

July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

1. A major disadvantage of corporate organization is

- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is

- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for

- Long term
- **Short term**
- All of given options
- None of given options

4. Pakistan is exporting

- Sports Item
- Agriculture Product
- Textile Product
- **All of given options**

5. Managers have_____type of skills

- 2
- **3**
- 4
- 5

6. The process of attracting the people for job

- **Recruitment**
- Special skills
- Supervision
- Job Specification

7. What is the method of on job training?

- Lectures
- Vestibule
- Videos
- **None of given options**

8. The liability of a sole trader is _____

- limited Only to his investment in the business
- Limited to the total resources of the business
- **Unlimited**
- Not defined

9. Genetic industry means

- Canal
- Sugar mill
- **Poultry**
- Agriculture

10. The first stage Evolution business is?

- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

Question No: 1 (Marks: 1) - Please choose one

When entrepreneurs establish a business, they must first decide on the form of:

? Partnership

? Ownership

? Expansion

? Organization

Question No: 2 (Marks: 1) - Please choose one

Generally, in a limited partnership:

? All partners have limited liability.

? The partners exist for a limited time period.

? The limited partners do not participate in management of the company.

? Not more than 75 partners may invest in the company at one time.

Question No: 3 (Marks: 1) - Please choose one

The “leading” function of management should be conducted in a manner that is consistent with firm’s:

? Competition

? Strategic plan

? Industry demand

? Labor union

Question No: 4 (Marks: 1) - Please choose one

The skills managers use to understand the relationships among the various tasks of the firm are:

? Interpersonal skills

? Technical skills

? Decision making skills

? Conceptual skills

Question No: 5 (Marks: 1) - Please choose one

The four functions of management:

? Must be enacted in the proper sequence

? Must be integrated

? Are stand alone, independent functions

? Can not be performed by one individual

Question No: 6 (Marks: 1) - Please choose one

Social interaction and acceptance by others are examples of:

? Physiological needs

? Safety needs

? Affiliation needs

? Esteem needs

Question No: 7 (Marks: 1) - Please choose one

When firms delegate more authority to their employees, this strategy is referred to as:

? Empowerment

? Merit system

? Hygiene theory

? Equity system

Question No: 8 (Marks: 1) - Please choose one

The process used to determine the tasks and the necessary credentials for a particular position is referred to as:

? Job analysis

? Job screening

? Job evaluation

? Human resource planning

Question No: 9 (Marks: 1) - Please choose one

A_____is an assignment to a higher level job with more responsibility and greater pay.

? Transfer

? Lateral assignment

? Appraisal

? Promotion

Question No: 10 (Marks: 1) - Please choose one

Products purchased by companies to produce other products are:

? Consumer Goods

? Industrial Goods

? Services

? Inventory

1. People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

2. Following are the advantages of cooperative society except:

- Increase in employment
- Lack of profit incentive
- Friendly relation
- Easy formation

3. _____ refers to the standards of moral behavior.

- Legality
- Loyalty
- Integrity
- Ethics

4. Which of the following is included in job specification?

- Working environment
- Experience
- Job title
- Job location

5. Which of the following is included in economic factors?

- Religion
- Value system
- Norms
- Exchange rate

6. Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

7. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

8. Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

9. The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

10. Which of the following is not an example of non-profit making organization?

NGO´s

Trusts

Cooperative societies

Partnership

11. First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

12. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

13. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

14. Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

15. Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

16. A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

17. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

18. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

19. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

20. Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

21. In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

22. A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

23. The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

24. Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

25. population size is included in

Economic factors

Demographic factors

Legal factors

Technological

26. Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

27. Components of Business Plan include all of the following except:
e) Marketing Component
f) Administrative Component
g) External Component
d)Financial Component

28. An agreement between two parties in which one party possess the rights to the other party is:
e) Partnership
f) Strategic Alliance
g) Joint venture
d] Franchising

29. Many organizations provide guidelines of behavior to employees through a code of:

a) Cartel arrangements
b) Kickback agreements
c) Production manuals
d) Responsibility and ethics

30. A firm can charge a higher price without loosing its customers if it does not have much:

a) Production
b) Competition
c) Advertising
d) Industry demand

31. A distribution channel represents the path of a product from a producer to:

a) Retailer
b) Wholesaler
c) Consumer
d) Manufacturer

32. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a) Competitive product analysis
b) Value-Added Analysis
c) Statistical Process Control
d) Quality/Cost Studies

33. Spreadsheets, database and word processing software are all types of:
a) Operating systems
b) Utility programs
c) Application software
d) Firmware

34. Which of the following is the most important determinant of a firm's value?

a) Earnings
b) Debt
c) Liabilities
d) Liquidity

35. How funds are obtained and invested by the firm is determined by the:

a) Finance function
b) Marketing function
c) Organizing function
d) Accounting function

36. _____is used to cover long-term expenses such as assets.

a) Line of Credit
b) Debt Financing
c) Preferred Stock
d) Financial Management

37. _____is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

a) Knowledge Worker
b) Labor Markets
c) Contingent Worker
d) Workforce Diversity

38. An increase in the general level of prices of products over a specified period of time is called:

a) Inflation
b) Gross domestic product
c) Disinflation
d) Equilibrium

a. Which of the following business type has longest life time?

Sole proprietorship

Partnership

Joint stock company

All of the given options

b. Election of the Board of Directors is done by Shareholders.

Through special resolution

In annual general meeting

In Special meeting

In statuary meeting

c. Which of the following business type, has to pay double taxes to the government?

Sole proprietorship

Partnership

Joint stock company

Cooperative Societies

d. _____includes the rules and regulations, necessary to manage the internal affairs of the company.

Memorandum of Association

Article of Association

Prospectus

All of the given option

e. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in_____.

Charter of Company

Article of Association

Prospectus

None of the given option

f. To call the extraordinary meeting, how many days' notice is required?

21 days

15 days

07 days

30 days

g. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

Statutory Declaration

Fails to submit statutory report

Expiry of Period

Appointment of Liquidators

h. Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate

Debentures

Participation Term Certificates

All of the given option

i. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital

Un-Issued Capital Un-

Called up Capital

All of the given option

j. The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor

Petition by creditor

Petition by contributory

All of the above

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Introduction to business_MGT211_MCQs

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days
   3. 07 days
   4. 30 days

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7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. **Fails to submit statutory report**
   3. Expiry of Period
   4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. **Participation Term Certificates**
   4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
   1. **Reserve capital**
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. **Petition by debtor**
   2. Petition by creditor
   3. Petition by contributory
   4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. **Complicated coordination**
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

   a. **Autocratic styles**
   b. Democratic styles
   c. Free rein style

d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

a. Leadership
b. Motivation
c. Free rein style
d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

a. Participative Management and Empowerment
b. Management by Objectives (MBO)
c. Reinforcement / Behavior Modification Theory
d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is / are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix

c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. Substitute product competition
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.

a. Finished goods
b. Work in process
c. Raw material
d. All of the given option

12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising
e. None of the given options

13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
   a. **Pull strategy**
   b. Push strategy
   c. Persuasive advertising
   d. Sales Promotion

14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
   a. **Warehousing cost**
   b. Transportation cost
   c. Distribution cost
   d. Manufacturing cost

15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
   a. Order Processing
   b. Creative Selling
   c. Missionary Selling
   d. None of the given option

16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
   a. Final consumer
   b. Retailer
   c. Wholesalers
   d. All of the given options

17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

   a. **Trade Shows**
   b. Contests
   c. Cross-promotion
   d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.
   a. Total quality management (TQM)
   b. Promotion strategy
   c. Sales promotion
   d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
   a. Public relation

b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

21) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10%
b) 15%
c) 40%
d) 80%

22) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution

b) In annual general meeting
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus
d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 1:

Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 2:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

Q# 3:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle

c) Marketing research
d) A customer-oriented approach

Q# 4:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

Q#5:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

Q#6:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 7:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 8:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries

b) Direct distribution
c) Distribution mix
d) Distribution channel

Q# 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 10:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 11:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) Loyalty
d) Ownership

Q# 12:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) Marketing
d) Relationship

Q# 13:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) Long-run success page.

c) Largest market share.
d) Highest paid staff.

Q# 14:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 15:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) Sales process
b) Exchange process
c) Relationship process
d) Production process

1. An enterprise that provides products or services that customers desire is a / an:
   a. institution
   b. market
   c. agency
   d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

1) An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

6. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating
   b. risk
   c. value
   d. return on investment

7. _____ conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

8. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

9. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

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1. If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
    a. overtime
    b. training
    c. affirmative action
    d. orientation program

2. _____ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.
    a. Contingent Workers
    b. Knowledge workers
    c. Diverse workforce
    d. None of the given options

3. Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
    a. Labor Union
    b. Informal organization
    c. Team
    d. Trade union

4. Since they are closer to the production process, first line managers use their _____ skills more frequently.
    a. conceptual
    b. interpersonal
    c. managerial
    d. technical

5. Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
    a. equity theory
    b. management by objectives
    c. theory X
    d. theory Y

Q 1. All of the following are key factors that influence consumer preferences and the size of target market except:
a. social values
b. anthropology
c. geography
d. demographics

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Q 2. Cameras, clothes, and household items are examples of products that exist in:

a. industrial markets
b. business markets
c. consumer markets
d. government markets

Q 3. To develop new ideas for expanding their product lines, many firms have recently increased their investment in:

a. research and development
b. production facilities
c. distribution facilities
d. inventory control

Q 4. Products that are not branded by the producer or retailer are called:

a. national brands
b. store brands
c. obsolete brands
d. generic brands

Q 5. Managers typically attempt to set a price that will maximize a firm's:

a. value
b. production
c. advertising
d. promotion

Q 6. The manner by which a firm's products are made accessible to its customers is determined by its:

a. advertising strategies
b. product decisions
c. pricing strategies
d. distribution decisions

Q 7. Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

a. single-service marketers
b. agents
c. stockers
d. mediators

Q 8. All of the following are methods of promotion except:

a. target marketing
b. personal selling
c. sales promotion
d. public relations

Q 9. The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

a. institutional advertising
b. the push strategy
c. reminder advertising
d. public relations advertising

Q 10. Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

a. pull
b. push
c. sampling
d. premiums

Q1. A _____ represents a series of tasks in which resources are used to produce a product or service.

a. Production process
b. Layout chart
c. Venn diagram
d. Organizational chart

Q2. The act of setting time periods for each task in the process is called:

a. Routing
b. Scheduling
c. Dispatching
d. None of the given options

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Q3. A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

a. Gate-keeping
b. Broadband
c. Inter-organizational
d. Internal information

Q4. Through _____, firms achieve a lower average cost by producing large volume.

a. Inventory management
b. Economies of scale
c. De-integration
d. Effective marketing

Q5. _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

a. Systems theory
b. Entropy
c. Synergy
d. Transformation process

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Q6. Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:
a. Benchmarking
b. Quality assurance
c. Continuous improvement process
d. Total quality management

Q7. The heart of a computer is its:
a. Power unit
b. Central processing unit
c. Random access memory
d. Hard drive

Q8. In typical network architecture, workstations are connected to a _____, which is a machine that stores and provides access to centralized data.
a. Main-frame
b. Stand-alone computer
c. File server
d. Main-board

Q9. The exchange and comprehension of information is:
a. Communication
b. Promotion
c. Posture
d. Facial expression

Q10. Modems, printers, keyboards, monitors, and scanners are examples of computer _____.
a. Core components
b. Externalities
c. Peripherals
d. Serial interfaces

1) Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

2) The function of business in which business man tries to find new techniques of production is

Accounting

Management Function
Innovation
Quality improvement

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

4) Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

5) Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

6) Which of the following is not among the benefits of Partnership Firm?

Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

8) The company may raise its capital through which of the following sources:

By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

9) Advantages of cooperative societies does not include

Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

10) WTO was organized on _____

July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

1. A major disadvantage of corporate organization is

- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is

- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for
   - Long term
   - **Short term**
   - All of given options
   - None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have _____ type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is _____
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
   - Canal
   - Sugar mill
   - **Poultry**

- Agriculture

10. The first stage Evolution business is?
- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

Question No: 1 (Marks: 1) - Please choose one
When entrepreneurs establish a business, they must first decide on the form of:
? Partnership
? Ownership
? Expansion
? Organization

Question No: 2 (Marks: 1) - Please choose one
Generally, in a limited partnership:
? All partners have limited liability.
? The partners exist for a limited time period.
? The limited partners do not participate in management of the company.
? Not more than 75 partners may invest in the company at one time.

Question No: 3 (Marks: 1) - Please choose one
The “leading” function of management should be conducted in a manner that is consistent with
firm’s:
? Competition
? Strategic plan
? Industry demand
? Labor union

Question No: 4 (Marks: 1) - Please choose one
The skills managers use to understand the relationships among the various tasks of the firm are:
? Interpersonal skills
? Technical skills
? Decision making skills
? Conceptual skills

Question No: 5 (Marks: 1) - Please choose one
The four functions of management:
? Must be enacted in the proper sequence
? Must be integrated

? Are stand alone, independent functions
? Can not be performed by one individual

Question No: 6 (Marks: 1) - Please choose one
Social interaction and acceptance by others are examples of:
? Physiological needs
? Safety needs
? Affiliation needs
? Esteem needs

Question No: 7 (Marks: 1) - Please choose one
When firms delegate more authority to their employees, this strategy is referred to as:
? Empowerment
? Merit system
? Hygiene theory
? Equity system

Question No: 8 (Marks: 1) - Please choose one
The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
? Job analysis
? Job screening
? Job evaluation
? Human resource planning

Question No: 9 (Marks: 1) - Please choose one
A _____ is an assignment to a higher level job with more responsibility and greater pay.
? Transfer
? Lateral assignment
? Appraisal
? Promotion

Question No: 10 (Marks: 1) - Please choose one
Products purchased by companies to produce other products are:
? Consumer Goods
? Industrial Goods
? Services
? Inventory

1. People in business and government face important ethical issues and decisions.

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Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

2. Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

3. _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

4. Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

5. Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

6. Wages are paid for :

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Short term period

Long term period

All of the given options

None of the given options

7. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

8. Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

9. The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

10. Which of the following is not an example of non-profit making organization?

NGO´s

Trusts

Cooperative societies

Partnership

11. First directors are usually named in the _____

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Memorandum of Association

Articles of Association

Prospectus

None of the above

12. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

13. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

14. Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

15. Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

16. A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

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21 days

30 days

45 days

51 days

17. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

18. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

19. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

20. Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

21. In----------industry,raw material is converted into some goods finished or semi finished:

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Manufacturing

Constructive

Genetic

Extractive

22. A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

23. The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

24. Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

25. population size is included in

Economic factors

Demographic factors

Legal factors

Technological

26. Which of the following is excluded from factors that can affect the business?

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Demographic Factors

Economic and social factors

Natural factors

None of the above

27. Components of Business Plan include all of the following except:
e) Marketing Component
f) Administrative Component
g) External Component
d)Financial Component

28. An agreement between two parties in which one party possess the rights to the other party is:
e) Partnership
f) Strategic Alliance
g) Joint venture
d] Franchising

29. Many organizations provide guidelines of behavior to employees through a code of:

a) Cartel arrangements
b) Kickback agreements
c) Production manuals
d) Responsibility and ethics

30. A firm can charge a higher price without loosing its customers if it does not have much:

a) Production
b) Competition
c) Advertising
d) Industry demand

31. A distribution channel represents the path of a product from a producer to:

a) Retailer
b) Wholesaler
c) Consumer
d) Manufacturer

32. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a) Competitive product analysis
b) Value-Added Analysis
c) Statistical Process Control
d) Quality/Cost Studies

33. Spreadsheets, database and word processing software are all types of:

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a) Operating systems
b) Utility programs
c) Application software
d) Firmware

34. Which of the following is the most important determinant of a firm's value?

a) Earnings
b) Debt
c) Liabilities
d) Liquidity

35. How funds are obtained and invested by the firm is determined by the:

a) Finance function
b) Marketing function
c) Organizing function
d) Accounting function

36. _____ is used to cover long-term expenses such as assets.

a) Line of Credit
b) Debt Financing
c) Preferred Stock
d) Financial Management

37. _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

a) Knowledge Worker
b) Labor Markets
c) Contingent Worker
d) Workforce Diversity

38. An increase in the general level of prices of products over a specified period of time is called:

a) Inflation
b) Gross domestic product
c) Disinflation
d) Equilibrium

a. Which of the following business type has longest life time?
Sole proprietorship
Partnership
Joint stock company
All of the given options

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b. Election of the Board of Directors is done by Shareholders.
Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

c. Which of the following business type, has to pay double taxes to the government?
Sole proprietorship
Partnership
Joint stock company
Cooperative Societies

d. _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association
Article of Association
Prospectus
All of the given option

e. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company
Article of Association
Prospectus
None of the given option

f. To call the extraordinary meeting, how many days' notice is required?
21 days
15 days
07 days
30 days

g. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:
Statutory Declaration
Fails to submit statutory report
Expiry of Period
Appointment of Liquidators

h. Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate
Debentures
Participation Term Certificates
All of the given option

i. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital
Un-Issued Capital
Un-Called up Capital
All of the given option

j. The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor
Petition by creditor

Petition by contributory
All of the above

Sr. #	Questions	Correct answer
1	Many organizations provide guidelines of behavior to employees through a code of: e) Cartel arrangements f) Kickback agreements g) Production manuals h) Responsibility and ethics	
2	A firm can charge a higher price without loosing its customers if it does not have much: e) Production f) Competition g) Advertising h) Industry demand	
3	A distribution channel represents the path of a product from a producer to: e) Retailer f) Wholesaler g) Consumer h) Manufacturer	
4	Process by which a company analyzes a competitor's products to identify desirable improvements is: e) Competitive product analysis f) Value-Added Analysis g) Statistical Process Control h) Quality/Cost Studies	
5	Spreadsheets, database and word processing software are all types of: e) Operating systems f) Utility programs	

	g) Application software h) Firmware	
6	Which of the following is the most important determinant of a firm's value? a) Earnings b) Debt c) Liabilities d) Liquidity	
7	How funds are obtained and invested by the firm is determined by the: d) Finance function e) Marketing function f) Organizing function g) Accounting function	
8	_____ is used to cover long-term expenses such as assets. e) Line of Credit f) Debt Financing g) Preferred Stock h) Financial Management	
9	_____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity. e) Knowledge Worker f) Labor Markets g) Contingent Worker h) Workforce Diversity	
10	An increase in the general level of prices of products over a specified period of time is called:	

	e) Inflation f) Gross domestic product g) Disinflation h) Equilibrium	

Lecture 01

Business:

Definition:

- Any activity to earn profit.
- The word "business" is derived from the term "busyness."

Entrepreneurship

A phenomenon in which a person searches for an opportunity and try to avail it.

Components of business

- Industry
- Commerce

Industry

- Conversion of raw material into finished goods.
- This is a form utility.

Types of Industry

Primary Industry

- Extractive Industry _ Extraction of underground resources.
- Genetics _ People doing business by changing genes.

Types of industries

Secondary Industry

- Construction _ Construction of buildings, roads, bridges etc.
- Manufacturing _ Conversion of raw material into final goods.
- Services _ Banking, consultancy, accountant, Lawyer, Interior decorator, designer, music composer etc.

Commerce

All those activities which start from the warehouse of the manufacturer to the buyer.

Types of commerce

Trade

- Trade means buying and selling

- Aid to trade
- Institutions that are meant and build to assist and support the trading process.

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- **Factors of production**
  - Labor _ People working in an organization.
  - Capital _ Amount invested by investor in the business.
  - Entrepreneurship _ Management ability of the people who are running the business.
  - Physical Resources _ Land, labor, building, vehicles, machinery etc.
- **Economic System**
  - A system for allocation of resources.
- **Types of Economic Systems**
  - Planned Economy
  - Free market Economy
- **Types of environmental forces**
  - **External Forces**
    - Factors found outside an organization.
    - These factors are not controllable by the organization.
    - **Types of environmental forces**
  - **Internal Forces**
    - Factors within the organization.
    - These are controllable by the organization.
- **SWOT Analysis**
  - Strengths
  - Weaknesses
  - Opportunities
  - Threats

Lecture 02

- **External Factors**
  - Economy of the country
  - Per capita income of the country
  - General employment or unemployment
  - Economic Growth
  - Exchange rate
  - Inflation rate
- **Demographic factors**
  - Demographic factor is a study of population
  - Population brings customers.
  - Population tells the size of market and nature of customers.
  - **Total Population**
  - **Population Distribution**
    - Distribution on the basis of gender
    - In Pakistan female population is further divided into two categories:
    - Household Women

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- Working Women

Population growth rate

- The rate at which population of an area increases/decreases.

Political and Legal factors

Political Factors

- Preference and priorities of the Government
- Attitude of the Government towards Exports
- Government taxation policy

Legal factors

- Laws related to Health
- Laws related to Imports and Exports
- Laws related to Taxation
- Laws related to Packing
- Laws related to Child Labor
- Laws related to Labor Union

Technological Factors

- Business people have to pace with the technological advancements.

Socio cultural Factors

Religion

- Followers of one religion have influence over the buying behavior of the society.

Natural Factors

- Act of God
- Natural factors are out of our control
- Business people will develop product considering natural resources

Lecture 03

Sole Proprietorship:

Definition

Sole Proprietorship is that type of business which is owned by one person.

Advantages of Sole Proprietorship

- Freedom in formation
- The easiest to establish
- Individuals are allowed to decide without interference of any other person.
- Easier to transfer the ownership of the business
- People wholly solely enjoy the ownership of the business and profits
- Individual has unlimited opportunity to expand the size of the business
- Individual can keep the secrets of the business intact
- Individual has personal interest in the business
- Owners can make speedy decisions
- Easy to dissolve

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Disadvantages of Sole Proprietorship

- Limited amount of capital
- Continuity problem
- Sole Proprietorship has limited life and is dependent on the owner
- Owner of the business has unlimited liability towards people whom he has to pay

Partnership

- A relationship of the people to share investments and profits
- Partnership act 1932 governs all affairs of the partnership

Advantages of Partnership

- More capital
- Relatively easier to form
- Sharing of responsibility
- Light credit standing
- Business can have more loan from various sources
- Secrecy
- Public Confidence
- Better Decision
- Easy to dissolve

Lecture 04

Disadvantages of Partnership

Unlimited Liability

Partners will have to pay all the debts of the business even from their personal property.

Shorter Life

Partnership ends when one of the partners dies or becomes insane

Limited Capital

Partners run the business from their own capital. Sometimes, that capital becomes limited to meet the requirements of the business.

Lack of interest

Profit is divided among the partners. So, partners do not take keen interest in the business.

Slow Decision Making

Partners might have different point of view regarding a particular matter. So, decision making is relatively slow.

- It is difficult to transfer the rights of partnership.
- There is always a chance of conflict.

Types of Partners

- **Active Partner** is one who participates in all the affairs of the business.
- **Secret Partner** is one who has invested in the business but he/she is not known to general public.
- **Sleeping Partner** is one who is not very active in the affairs of the business.
- **Senior Partner** is one who has invested the maximum amount in the business.
- **Junior Partner** is one who has invested the minimum amount in the business.

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Types of Partnership

Partnership at will

Life of the partnership depends upon the will of the partners.

Limited Partnership

- That business in which at least one partner has the limited liability.
- Investor is liable to the amount; he/she has invested in the business only. This is called **Limited Liability**
- There will be at least one partner who has the unlimited liability.

Particular Partnership

- Partnership formed for a particular purpose.
- It is dissolved automatically at the achievement of the purpose.

Termination of Partnership

By Notice

A partner can terminate partnership by giving notice to other partners due to any reason.

Upon Death

Partnership will automatically be terminated at the death of any partner.

Partnership Deed

A document that contains the terms and conditions of the business.

Contents of Partnership Deed

- Date on which the agreement was made.
- Name of the business.
- Nature of the business.

This clause will cover the scope of the business.

- Names, addresses, telephone Numbers and emails of the partners.
- Capital of the business.
- If duration is attached with any business that should clearly be mentioned in the partnership deed**.**
- Duties of the partners.
- Whether any partner is entitled to salary. If yes, how much amount should be given to him as salary.
- Profit distribution ratio.
- Whether partners are entitled to withdraw money from the business. If yes, procedure of withdrawals should also be written in the partnership deed.
- Arbitration

In case of a conflict, how that conflict would be resolved before going to the court.

- The partner should read the partnership deed carefully, add as much clauses as possible and never take anything for granted.

Rights of the partners

Every partner has the right to:

- Participate in all the affairs of the business.
- Get his/her share of profit from the business.
- Leave the partnership according to the terms and conditions of the partnership deed.
- Claim the salary against his/her services.
- Participate in the management of the business.

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Lecture 05

Duties of Partners

- Partners have to maintain accounts which describe the true picture of the business.
- Partners should use their powers within limits specified in the partnership deed.
- Partners are responsible to provide accurate information to Government bodies.
- Partners are responsible to pay their share in case of loss to the business.
- It is duty of every partner to obey the decision that has been made in the partnership.
- Partners should not disclose any secret information about the business to any other person.
- It is a moral obligation and legal responsibility of the partners not to use firm's forum to take any advantage without intimating to other partners.

Joint Stock Companies

- Joint Stock Companies are formed under the Companies Ordinance 1984.
- Joint Stock Company is an association of persons for making profit.

Advantages of Joint Stock Companies

- We can expand the business
- Credit facility
- More capital
- With more capital and more expertise, companies have more chances to earn more profit.
- Expansion in the scale of business
- Responsibility of investor is limited to the face value of shares. This is called **Limited Liability.**
- If one person dies or leaves the country, it does not have any impact on the business.
- Life of the joint stock company is longer than sole proprietorship and partnership.
- It is easy to transfer rights.
- Company can hire better experts which results in better management.
- Public place more confidence in companies rather than in any other form of business.
- Anyone can exit from joint stock company by selling his/her shares.

Disadvantages of Joint Stock Companies

- Formation of Joint Stock Company is very lengthy, very complicated and very technical job.
- Lack of interest.
- There is not much secrecy found in companies.
- Companies pay double taxation to the Government.
- Delayed decision making
- Power is centralized because there are few people who hold major portion of company's shares.

Public Limited Company Vs Private Limited Company

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- **Number of members**
  - For a public limited company, minimum numbers of members are seven.
  - For a private limited company, minimum numbers of members are two.
- **Issue of shares**
  - Public limited company is bound to promote issue of shares to general public through media.
  - There is no such provision for private limited company.
- **Name of the company**
  - Public limited companies add the word "Ltd." with their name.
  - Private limited companies add the word "(Pvt) Ltd." with their name.
- **Annual report**
  - Public limited companies have to present their data to general public.
  - There is no such provision for private limited company.
- **Transfer of shares**
  - It is easy to transfer shares in public limited companies.
  - In private limited company, shareholder cannot transfer the shares without the consent of other members.
- **Statutory meeting**
  - It is obligatory for the public limited company to hold statutory meeting.
  - There is no such obligation for privet limited company
- **Submission of annual report**
  - It is obligatory for the public limited companies to submit their annual report to registrar Corporate Law Authority.
  - It is not necessary for private limited company.
- **Taxation**
  - Public limited company pays double taxation at different income tax rates.
  - Private limited company pays tax only once at different income tax rates.

Lecture 06

- **Promotion Stage**
  - Initiation of idea
  - Further discussion with other people
  - Collection of further information regarding sales, profitability, availability of machinery, restrictions of the Government etc.
  - **Some other factors**
- Is there a need for a license for this business?
- Is N.O.C required from the Government?
  - Promoters have applied for license and permission.
  - If copyrights are involved, permission of the principal company is also required.
  - People started work for getting their own name and business registered.
  - Requirement of funds.
- **Preparation of Documents**
- **Memorandum of the company**

A document that contains Name, address, objective and capital of the company.

- **Articles of association**

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A document that contains rules and regulations of the company.

- **Prospectus**

Prospectus is an initiation for offer.

- **Incorporation Stage**
  - All the documents will be filed to the registrar joint stock companies to seek permission for the business along with the registration fee.
  - Experts will examine these documents and make sure that all claims are justified or not.
  - If they are satisfied, a certificate of incorporation will be issued to the company.
- **Collection of Capital**
  - Promoters will inform the general public that business is going to be started.
  - They will ask the people to invest in the business.
  - This is capital subscription stage.
  - Share or stock is the smallest unit of investment.
  - Stock exchange is a market where people exchange their shares.
  - Debenture is a kind of loan which is acquired from the market.
  - Certificate of commencement is issued by the Government when commencement of business is allowed.

Clauses of Memorandum of Association

- **Name of the business**
  - We cannot suggest a name that has already been registered.
  - We cannot suggest a name after our National Heroes.
- Registered office of the company.
- Objective clause of the business.
- Authorized capital of the company.
- **Liability clause**

Liability of the investor is limited to the extent of investment in the business.

- Association clause.

- **Articles of Association**
  - Share capital of the company.
  - Procedure to change the capital.
  - Procedure for meetings.
  - Procedure for voting.
  - **Appointment of directors.**

Directors are the officials of the company who are appointed to run the affairs of the business.

- Duties and authorities of directors.
- Rights of shareholders.
- **Meetings.**
  - Meeting of shareholders.
  - Meeting of directors.
- Disqualifications.
- Seal of the company.
- **Distribution of dividend.**

Profit distributed among shareholders is called dividend.

- **Decision for retained earnings**.
  - Retained earning is a part of the profit retained by the company for future operations.

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- Appointment of auditors.
- Winding up of companies.

Lecture 07

Shareholders' meetings

- Statutory Meeting is the first meeting after commencement of business.
- Annual General Meeting is the meeting of the company once in a year.
- Extra Ordinary General Meeting.

Statutory Meeting

- Section 77 of The Companies Ordinance 1984 deals with such type of meeting.
- The company must give 21 days notice to shareholders prior to the meeting.
- **Matters to be Discussed:**
- Amount of capital acquired.
- Details of machinery purchased.
- Details of development in all areas of the business.
- Sometimes, issue of share capital does not give minimum amount set by the company.
- Underwriters are those organizations which guarantee the company to buy the remaining shares, if minimum requirement is not met.
- Statutory report will also tell about the underwriters and commission paid to them.
- Information about arrears to be received by the company.

Annual General Meeting

- All shareholders will participate in this meeting which is held once in a year.
- The company must give 21 days notice to shareholders prior to the meeting.
- **Objectives of Annual General Meeting**
- Election of directors for the next year.
- Appointment of auditors.
- Auditors will review the annual accounts of the company and report on the accuracy of these accounts.
- Shareholders will elect and approve the appointment of auditors.
- If auditors are already hired, the shareholders will review their performance and decide whether to continue with current auditors or to change them.
- Auditors will also be asked whether they are willing to work with the company or not.
- Declaration of dividend.
- Decision for directors' remuneration.
- Auditors will report on the companies accounts in terms of:
- Accuracy
- No fraud found
- Conformity with the Companies Ordinance 1984.

Extra Ordinary General Meeting

- **This meeting will be called when there are:**

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- Some extra ordinary circumstances.
- Some special type of business.
- Decision for debentures.
- The company can change its memorandum and articles of association in extra ordinary general meeting.

Share Capital

- The capital with which the company gets registration is called Authorized Capital of the company.
- The part of capital that has been offered to general public is called paid up or issued capital.
- The part which has not yet been issued to general public is called un issued capital.
- If people have applied for more capital than required, the company will issue the shares by balloting and return the excess money to the general public.
- If people have applied for less capital than required, whatever amount has been received will be the paid up capital of the company.

Winding up of the company

Voluntary winding up

- The members of the company decide about winding up of the company.

Special Resolution

- Members will present special resolution in the extra ordinary general meeting regarding winding up of the company. If approved by the members, the company will be dissolved.

- **Winding up by court**
- Members have applied to the court for winding up of business.
- **If court feels that:**

- Business is not in the benefit of the society.
- Objective of the business is not in line with the culture of the country.
- Business is deceiving the general public.
- The court will order that business should be closed immediately.

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Lecture 08

Co-operative Societies

- Co-operative societies are group of people who form the business to co-operate with each other.
- The main purpose of co-operative societies is to co-operate with each other through self help.
- People join these organizations as volunteers.

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Advantages of Co-operative Societies

- This system provides high standard of life due to sharing of resources.
- Formation is easy because Government support these kind of organizations.
- People running the business have equal rights in decision making regardless of number of shares or amount invested in the business.
- **Economic Democracy**
- People sit together and decide about the business of the society.
- Elimination of middle man results in cheaper products.
- Government gives financial assistance to these type of businesses.
- Friendly atmosphere is developed in the society due to close relationship in the people running the business.
- Employment opportunities are created by such businesses.
- A sense of mutual co-operation is developed in the society.
- An opportunity to keep demand and supply in balance.
- This kind of business requires less expenditure.

Disadvantages of Co-operative Societies

- People do not have sufficient capital to start such business.
- **Unavailability to hire professional manager because:**
- People do not have money in remote areas.
- There are no such people in those areas.
- People do not have experience of such business.
- Lack of secrecy.
- Unavailability of new technology.
- These are not businesses in true sense. People might not have confidence in these businesses.
- Banks might not provide loans to these businesses.
- Interference of the Government.

Entrepreneurship

Entrepreneurship is that ability in which an individual tries to find the opportunity, take risk and avail these opportunities.

Who are Entrepreneurs?

- **People have more entrepreneurial abilities who:**
- Have aspiration.
- Are more strategic.
- Have the vision.

Characteristics of Entrepreneurs

- Resourcefulness
- Abilities
- Concern of being good.

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Lecture 09

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Entrepreneurial Characteristics

- **Personal Interest**
  - Interest for their own development.
- **Customer Relationship**
- Long term relations with the customers.
  - Desire to establish own business.
  - Need of control.
  - Ability to deal with uncertainties.

Business Plan

A document which contains the objectives of the business and the ways to achieve these objectives.

Components of Business Plan

There are two situations:

- **Buying a business.**
- **Starting from the scratch**.
  - Objectives of the business.
  - Marketing Components.
  - Financial Components.

Components of Business Plan started from scratch

- **Objectives of the business:**
  - Name of the business.
  - Name should indicate the type of business.
  - Name should be simple.
  - Uniqueness of name.
  - **Legal considerations:**
- Avoid the names not encouraged by the law. e.g. National Heroes, religious personalities etc.
  - Location of the business.
- **Marketing Part:**
  - Who will be the customers of the business?
  - Where are they located?
  - What would customers like to pay for the product or service?
  - What are the benefits, the customers are expecting from the product or service?
- **Analysis of competitors:**
- What is the nature of competition in the market?
- Who are the competitors of the business?
- How product of the business is different from product of the competitors?
- **Promotional Part**
  - How will the message of the business be promoted in the general public?
  - How will the business be launched?
- **Financial Part**
  - What will be the investment of the business and how much should be borrowed?
  - What are going to be expected revenues in a given period of time?
  - What would be the expected expenses of the business in a given period of time?
  - What would be net income or net profit in a given period of time?

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- Is the business feasible or not?

Administrative Part

- What would be the structure to handle the business?

Lecture 10

Franchising

- An agreement between two parties in which one party passes on the rights to the other party.

Rights include:

- Right to use the trade mark.
- Right to use the name.
- Right to use systems, methods and researches.
- Right to use packing material.

Parties to Franchise agreement

There are two parties:

- Franchiser
- Franchisee
- Franchiser is one who sells the rights to franchisee.

Advantages of Franchising

- Franchiser gets a huge amount of money from franchisee without doing anything.
- Franchisee gets access to big business.
- Failure rate of franchise business is lower than any other business.
- Franchisee uses world wide tested brand and tested procedures that is why failure rate is lower in this type of business.
- Franchiser provides guidance to franchisee in all affairs of the business.
- Choice of location
- Franchiser is always there to support the franchisee in all kinds of matters.

Disadvantages of Franchising

- High cost.
- Proportionate profit is given to franchiser by franchisee every year.
- There are too many restrictions from franchiser on the franchisee.

New Trends in the Business

E-Commerce or E-Business

- Using internet for marketing products.

Women in business

- So many women have come in so many areas of business.
- Business will be better displayed, well mannered staff, more knowledge of the needs of customers and more market oriented.

Global opportunities

- People have the awareness of global market.
- Internet has played major role in accessing global markets.
- In Pakistan, people got huge success globally but could not make a brand name in global market.

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Factors for lower failure rate

- Government's preferences and priorities.
- Government is convinced to support corporate sector.
- Businesses are now being set up on more professional grounds.
- Support from financial institutions.
- General economy of the country.
- People are acquiring professional knowledge about business.
- Government has developed many training centre to train people related to business.
- Skills development.
- Institutions to develop man power.

Lecture 11

Causes of Failure in Business

- Causes of Failure in People are not capable of handling business.
- Some people are not capable enough to know markets.
- People should try to learn the abilities to run the business.
- People do not have experience required for a business.
- **We need to have control over:**
  - Production Process
  - Cost
  - Wastage
  - Complaint handling
  - Quality
- Insufficient capital
- Bad Luck
- National Disaster

Reasons for Success in Business

- Hard work
- Dedication and Commitment
- Response of Market
- Competence – The ability to work
  - Knowledge of Market
  - Knowledge of Product
  - Knowledge of Systems
- Luck and Act of God
  - Law of Government
  - Law related to health
  - Climate change
  - Disaster
- **Joint Venture**
  - Two or more people or organizations join hands and decide to do a business.
- **Advantage of Joint Venture**
  - Combination of skills and abilities.

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- **Strategic Alliance**
  - Two or more than two organizations collaborate for mutual profit.
- **Decision involved in Strategic Alliance**
  - Profit Sharing
  - Client Handling
- **Merger**
  - Two or more organizations combine together and form a new organization.
- **Acquisition**
  - One business acquires the other business.
- **Advantages of Acquisition**
  - Expansion of size
  - To reduce competition

Lecture 12

- **Imports**
  - Goods produced somewhere else and sold domestically.
  - Chemicals
  - Technology (Machinery, Software & Hardware, Expertise)
- **Factors to be considered while importing**
  - Identification of products to be imported.
  - Procedures, methodologies, technical processes and documents for imports.
- **Exports**
  - Goods produced domestically and sold in some other country.
- **Advantages of Exports**
  - Support of Government.
  - High Profits.
  - Pride for the country.
  - Utilization of production capacity.
- GATT – General Agreement on Tariff & Trade.
  - An agreement between the countries that encourages international trade.
- WTO – World Trade Organization
  - Scope of WTO
  - WTO insists on removing the artificial barriers to encourage international trade.
  - WTO was organized on January 01, 1995.
- **Per Capita Income**

Per Capita = Total income of the country/
Total population

- Tools for measuring economies of the world
  - World can be divided in to three major categories on the basis of per capita income.
- **High income countries**
  - Those countries where people are earning US $9000 or more.
- **Middle income countries**
  - Those countries where people are earning between US $765 and $9000.

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- Tools for measuring economies of the world

Lower income countries

- Those countries where people are earning below US $765.

Pakistan has a little below than US $765 income line and is moving towards middle income class countries.

Pakistan is exporting

- Sports items
- Agricultural products (rice)
- Textile products (Bed Sheets, T-Shirts, Towels etc.)

Import and Export Balance

- Gap between imports and exports is called surplus and deficit.
- It varies from country to country.

Balance of Payment

- Balance of payment = Total receipts - Total payments
- If receipts are greater, balance of payment is favorable.
- If payments are greater, balance of payment is unfavorable.

Level of involvement in international business

Imports or Exports

- We can be importer and exporter.
- We try to see opportunity in international market to consume surplus products.
- This is called exports.

International Firms

- International firms have operations world wide.
- These firms are also called multinationals.
- Multinationals design products separately for each country.

Global Organizations

- Those organizations which consider the whole country as single market are called global organizations.
- These organizations have standardized products all over the world.

International Organizational Structure

Independent Agent

A person or an organization that works for an exporter or importer.

- Appointment of representative abroad.
- Licensing agreement,
- Independent Branch Office.
- Strategic Alliance.
- Direct Foreign Investment.

Lecture 13

Barriers to International Trade

- Social and Cultural Changes.
- Different countries have different life styles.

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- Religion.
- Every religion has its own set of rules for its followers.
- Religion asks for spending on certain things and stops from spending on certain things.
- Climate
- Laws
- There are different laws in different parts of the world.
- These include laws related to:
- Health
- Safety
- Customer Relationship
- Pricing
- Packing
- Environment
- Economic Differences
- Per Capita Income is different in different countries.
- Different people have different economic systems.
- People preference for a particular product
- Political System
- **Tariff**
- Tax levied on goods entering into a country.
- It is also used as a measure to reduce imports in a country.
- **Quota**
- Limit imposed by one country on importing commodities from another country.
- **Subsidies**
- Concessions provided by a country to its producers in order to protect economy.
- **Business Ethics**
- Ethics are basic beliefs, a company decides to pursue and implement during a course of action.
- **Ethical Behavior**
- A system that confirms the beliefs of the society.
- Business is being run within that system.
- Corporate Citizenship is a practice of the company confirmed by the society.
- Ethical Behavior in Managerial Practices include:
- Responsibility towards employees.
- Relationship with other organizations.
- Interaction with Government.
- Plans to initiate ethical behavior towards people.
- To initiate ethical programs.

- **Corporate Social Responsibilities**
- To think about benefiting the society and avoid harmful activities for the society is called Corporate Social Responsibilities.
- These include:
- Ethical attitude towards customers.
- Dealing with employees.
- Ethical communication with Government and local bodies.

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- Ethical behavior towards stake holders.

Lecture 14

- **Stake Holders**
- People who are interested in the affairs of the business in one way or the other.
- Stake holders include:
- Customers
- Employees
- Suppliers
- Bankers
- Government
- Society at large
- **Rights of Customers**
- Consumerism
- Protecting the rights of customers.
- To get a product which is up to the expectations of the customers.
- Customer Safety.
- Right to get information about:
- Product
- Supplier
- System
- Procedures
- Standards
- Ingredients of the product
- Origin of the company
- Right to get information about:
- Method of manufacturing
- Quality standards
- Right to be heard
- Right to choose
- Quality Service
- **Responsibilities of the Organization towards Environment**
- Reprocessing of waste water.
- Recycling of waste material.
- Processing of smoke.
- Reprocessing of heat.
- **Ethics for Advertising**
- Truthful or Truth less Communication
- Objectionable Products
- Objectionable Appeals
- Fear Factor
- Sexual Connotations
- Objectionable Timings
- Smoking

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- Selling product to underage customers
- Legal Commitments
- Discriminations
- Health and Safety of Employees
- **Whistle Blowers**
- People who see irregularities and bring them in the knowledge of the management.
- **Management**
- Getting things done through others.
- Manager
- A person who practices the functions to achieve management's objectives.

- **Functions of Managers**
- **Planning**
- Thinking for the future.
- **Organizing**
- Decision about activities performed by the workers.
- Grouping the activities
- Delegation of authorities
- **Staffing**
- Filling out the vacant positions.
- **Coordination**
- **Communication**
- Receiving information from various sources.
- Processing of information.
- Dissemination of information.
- Distribution of information.
- **Conflict handling**
- **Negotiation**
- **Resource Allocation**
- **Controlling**
- To make sure that organization is moving towards the right direction.

Lecture 15

- **Managerial Skills**
- **Conceptual Skills**
- Abilities to think at planning and organizing stage.
- **Interpersonal Skills**
- Abilities to deal with others.
- **Technical Skills**
- Knowledge of processes and operations.
- **Goals**
- Destination where a company wants to reach.
- **Strategy**
- Set of plans for long term orientations.

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- **Levels of Strategies**
  - **Corporate Level Strategies**
  - The strategies that cover all the operations, processes and units of organizations.
  - **Strategic Business Unit (SBU)**
  - A part of organization that requires separate planning.
  - **Functional/Operational Level Strategies**
  - The level at which all functions or operations are performed.
- **Objectives of Goal Setting**
  - Goals give us directions.
  - Resource Allocation.
  - Setting culture of the organization.
  - Assessment of performance.
- **Mission Statement**
  - The purpose for survival of an organization.
  - Mission Statement describes life time objectives of the organization.
  - Mission statement is a general statement.
  - It is written in terms of:
  - Customer satisfaction
  - Quality of life
  - Service of humanity
  - Mission statement is a long term plan.
- **Types of Goals**
  - Long Term Goals
  - Medium Term Goals
  - Short Term Goals
  - **Short Term Goals**
  - A plan for less than one year.
  - **Medium Term Goals**
  - A plan for one year to three years time.
  - **Long Term Goals**
  - A plan for more than three years.
  - Length of plan depends upon type of activities.
  - Research shows that people, who plan, have higher rate of success in life.
  - **Human Resource Management (HRM)**
  - Human Resource Management is an area that deals with people who work in organizations.
  - HRM deals with the activities of people.
  - These Include:
  - Attracting people in the organization
  - Maintaining them
  - Recruitment
  - Selection
  - HRM deals with the activities of people.
  - These Include:

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- Training
- Performance appraisals
- Compensation
- Health and Safety

- **Scope of HRM**
  - Human Resource Panning
  - Type of people required
  - When required
  - How many people required
  - Job Analysis
  - Recruitment
  - Training
  - Compensation
  - Health and Safety
  - Labor Union
- **Job Analysis**
  - Collecting all the information related to a job.
  - It is divided into two parts:
  - **Job Description**
  - **Job Specification**
  - Job description describes the activities of a particular job.
  - It includes:
  - Job Title
  - Job Location
  - Working Environment
  - Supervision
  - **Job Specification**
  - Job Specification describes human skills required to perform a job.
  - It includes:
  - Qualification
  - Gender
  - Age
  - Experience
  - Special Skills
  - attitude

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Lecture 16

- **Human Resource Planning**
  - **HR Planning Includes:**
    - What is the gap between human Resource demand and supply in the market.
    - What is the condition of human resource supply in the market.
  - **Sources to find people**
    - Internal Sources
    - External Sources
  - **Skills Inventory**
    - A chart that shows skills of workers in the organization.
  - **Replacement Chart**
    - A chart that shows turnover in an organization.
- **Turnover Rate**
  - Tendency to leave jobs in an organization.
  - Retention.
  - To retain the people in the organization.
  - Expansion Plans..
  - Replacement on the basis of performance.
- **Recruitment**
  - The process of attracting the people for the job.
  - **Advantage of recruitment within the organization**
    - People are already trained.
  - **Advantages of recruitment outside the organization**
    - Variety of Talent
    - Variety of Abilities
    - Variety of Qualifications
  - **Equal Employment Opportunity**
    - No discrimination on any grounds for hiring people.
- **Sources to find People**
  - **Informal Search**
    - This method is used when reference is also required.
  - **Job Posting**
    - Putting notices for job on various places in the organization
    - Places can be:
    - Cafeteria
    - Fair Price Shop
    - Sports Field
    - Putting notices for job on various places in the organization
    - Places can be:
    - Reception Desk
    - Notice Board
    - Union Office

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- **Educational Institutions**
- Consulting educational institutions for suitable candidates for the job.
- Educational Institutes are consulted when:
- Fresh Graduates are required.
- There are not many institutions for a particular job.
- Short Listing of institutions.
- Organizations involve teachers in the selection process.
- **Professional Associations**
- This method is used when people for senior posts are required.
- **Recruitment Agencies**
- These are the organizations which have expertise in selecting people.
- These agencies are used when:
- Time span for selection is short.
- Jobs are highly technical in nature.
- Employer and employee are at a distant place.
- **Advertisement**
- Giving advertisement in media.
- Media is used when:
- Large numbers of jobs are available.
- **Disadvantages of using media**
- Large numbers of applications are received.
- It is difficult to handle large number of applications.
- Costly

Selection

- The most important stage in HRM process.
- It includes:
- Filling up forms
- Interviewing people
- Developing tests
- **Application Blank**
- A form designed by the employer for the prospective employee to fill it out.
- It records data according to the requirement of the organization.
- **Test and Interview**
- Use of test and interview depends upon the nature and level of the job.
- **Types of Tests**
- **Achievement Test**
- Test of knowledge acquired by the candidates in educational institutions.
- **Psychological Test**
- To determine the attitude and traits of the candidates.
- **Skills Test**
- Aptitude test
- Test of prior learning
- Skills test
- **Medical Test**

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- To keep in record the physical condition of the candidate before joining the organization.
- To make sure **t**hat candidate does not have any transferable disease.

Considerations for Test Development

- **Validity**
- **Reliability**
- **Validity**
- **Content Validity**
- Contents of the test should be relevant to the requirement.
- **Construct Validity**
- Sequence of the questions.
- **Face Validity**
- Appearance of the test.

Lecture 17

Infrastructure for Test

- Space
- Proper Temperature
- Enough Quantity of Stationary
- Evaluation of Test
- **Interview**
- Any verbal interaction is called interview.

- **Job Interview**
- A method of selection in which we interact with the candidate verbally.

- **Types of Job Interview**
- Telephonic Interviews
- Preliminary Interviews
- Selection Interviews
- **Techniques for Final Interviews**
- **Pattern Interview**
- Pre-decided questions are asked in a pre-defined sequence.
- **Non Pattern Interview**
- Questions are asked according to the situation

- **Shortcoming of Pattern Interview**
- Interviewer can not ask any question other than pre-defined questions.
- **Shortcoming of Non Pattern Interview**
- Possibility of non-professional and irrelevant questions.
- **Mix Interview**
- An interview in which some questions are pre-defined and some are situational.
- **Ways to conduct Interview**
- One person interview

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- Panel Interview
- A group of people related to the job conduct interview.
- **Arrangements for conducting Interview**
- Proper place
- Preparation for questions
- Read out the resumes of candidates.
- Human Resource Development
- Human Resource Development is done through training.
- **Methods for Training**
- On job Training
- Learning while working
- Off job Training
- **Difficulties in On Job Training**
- In certain jobs, on job training is not possible.
- **Methods for Off Job Training**
- **Lectures**
- Cheaper method of training.
- For some jobs, it is the most appropriate method.
- **Vestibule training**
- Artificial situation created for training people.
- Role Play
- Business Games
- Case Studies
- **Performance Appraisals**
- Evaluation of performance
- **Reasons for performance appraisals**
- Validation of Human Resource Program
- Pay for performance
- **Compensation**
- Compensation can be:
- Monetary reward
- Non Monetary reward
- **Incentives**
- Plans for encouragement of employees in the organization.
- **Types of Incentives**
- **Organizational Level Incentives**
- Paid to everyone in the organization.
- **Individual Incentives**
- Paid to individual employees who have done good job.

Lecture 18

- **Individual Incentives**
- Employees are paid for:
- Good performance on job.

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- Good performance during training.

✱ Collective Incentives

- Incentives are paid to whole department.
- Incentives for the whole organization can be:
- Profit Sharing.
- Benefits other than salaries and wages.

- **Compensation**
- Salary is paid for longer period. e.g. for a week, for a fortnight, for a month or for a year.
- Wages are paid for short term period. e.g. for a day or for an hour or on the basis of units completed.
- Other ways for compensation can be:
- Free or cheaper food.
- Retirement Plans.
- Pensions.
- Medical Facilities.
- Transportation Facilities.
- Assistance for children education.

✱ Equal Employment Opportunity (E.E.O)

- No employee on any base will be discriminated for offering job opportunities.
- Base can be:
- Gender
- Nationality
- Religion
- Area
- Life Style
- Race
- In many countries, it is against the law and ethics.
- Some people are perceived fit for a particular job. This concept is known as Stereotyping.
- Managers should not evaluate performance on the basis of:
- Gender
- Nationality
- Race
- Religion

✱ Why do we need Equal Employment Opportunity (E.E.O)?

- Job description does not provide any base for discrimination.
- If law requires, we have to obey the law.
- Ethics.
- Research has shown, variety of people can perform better in an organization. This phenomenon is called Work Force Diversity.
- Managers should encourage different types of people to join organization in order to enhance productivity.

✱ Collective Affairs of Employees

- Employees form labor unions in the organization.
- There could be more than one labor organizations in the company.

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- Collective Bargaining agent (CBA) is a person who has been elected by all the workers in the organization through legal procedures.
- **Negotiations can be on:**
- Salary
- Working Conditions
- Timings
- Facilities
- Benefits
- Attitudes
- **Motivation**
- Motivation is a force that forces people towards a task.
- **Classical Theory of Motivation**
- People are motivated because of money or material objects.
- **Fredrick Taylor's Theory of Scientific Management**
- Every job should be studied scientifically.
- Jobs should be divided on the basis of tasks and skills of labor.
- Pay should be attached with productivity.
- **Time & Motion Studies**
- Time spent on jobs should be studied using scientific devices and motions of machines or human motions.
- **Objection on Fredrick Taylor's Theory of Scientific Management**
- This theory considers human beings as machines.
- **Hawthorn Studies**
- Basic purpose of these studies was "Effect of light on productivity".
- Productivity depends upon human relations.
- Shortcoming of this theory was that human moods, human behavior, human liking and disliking and human interest were ignored.
- Hawthorn Studies became a base for behavioral studies in organizations.

Lecture 19

- **McGregor Theory - X**
- Every normal human being dislikes work by nature.
- People work because of some pressure.
- Pressure can be:
- Salary
- Advancement
- Respect
- Some other force
- **McGregor Theory - Y**
- People inherently like to work.
- **McGregor Theory – X & Y**
- X-Type managers might:
- Use punishment and threat to make people work.
- Control activities of the work very closely.

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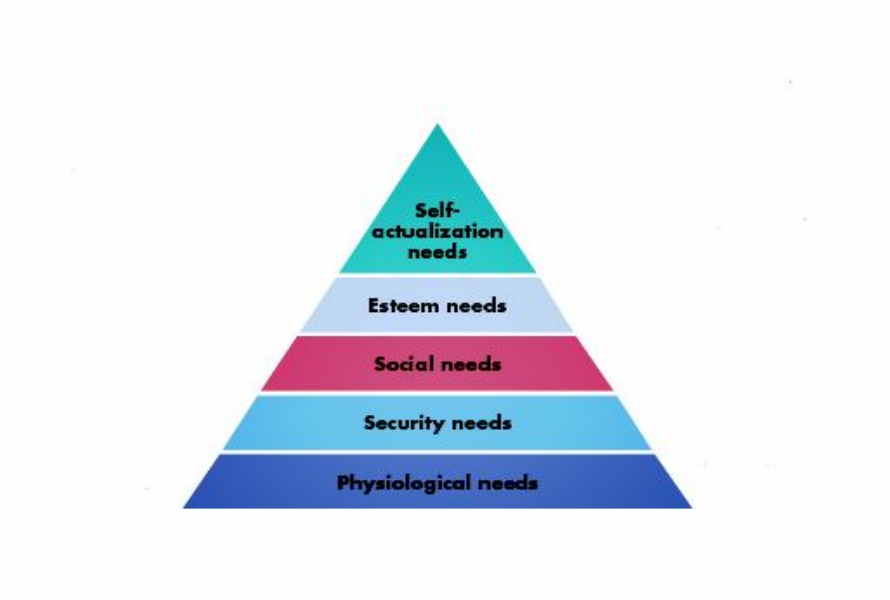
- Y-Type managers will identify the barriers which are causing problems for workers and try to eliminate those barriers.
- In some situations, managers have to adopt X-type behavior and in some situations, they have to adopt Y-type behavior.
- Culturally, in societies, managers are moving towards Y-type behavior from X-type behavior.
- **Why do People work?**
- Need
- A state of felt deprivation.
- **Maslow's Hierarchy Of Needs**



- **Biological Needs**
- Biological needs are related to human body's survival. e.g. food, drink, air, sleep etc.
- **Safety Needs**
- Safety from:
- Cold
- Heat
- Sand
- Storm
- Earthquake
- Animals
- Enemies
- **Social Needs**
- **Self Esteem**
- Worth attached by human beings to themselves.
- People who have high self esteem are more productive.
- **Self Actualization**
- Fullest utilization of one's potential.
- **Use of Hierarchy in Motivation**

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- Biological needs can be fulfilled by:
- Giving salaries.
- Providing free or cheaper food to employees.
- Providing routine items at concessional prices.

Safety Needs

- Organization can provide safety devices to employees. For instance:
- Helmet
- Glasses
- Gloves

Safety Needs

- Organization can provide safety devices to employees. For instance:
- Special purpose shoes
- Medical Facilities
- Houses
- House rent
- Pick & drop service
- Insurance
- Pension plans
- Preventing people from accidents

Social Needs

- Organizations encourage informal organizational activities.
- These include:
- Combined lunch or dinner
- Sports
- Fun fair
- Musical Programs

Lecture 20

Use of Hierarchy in Motivation

Self Esteem

- Worth of human beings.
- These include:
- Designation of Individuals.
- Status in the organization.
- Recognition of employees in the organization.
- Self esteem has direct relationship with productivity.
- Various techniques can be used to make self esteem of employees high. These can be:
- Finding titles for employees
- Recognition
- Awards
- Cash rewards
- Increment in the salary
- Promotion
- Raising status of employees

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- **Self Actualization**
- Fullest utilization of one's potential.
- These include:
- High Challenges
- High position in the organization
- **Criticism on Maslow's hierarchy theory**
- It is possible that human needs may deviate from the order given by Maslow.
- There is a question mark whether needs finish after self actualization or not.
- **Two Factor Theory or Hygiene theory**
- Hertzberg presented this theory by taking the phenomenon of human hygiene.
- Two factors work in the organization:
- Hygiene factors
- Motivators
- Factors required to keep employees in the organization are called hygiene factors.
- Factors used to get high productivity from workers are called motivators.
- Hygiene factors fall with the biological needs, safety needs and partially with social needs of Maslow's hierarchy theory.
- Motivators are almost similar to social needs, Self esteem needs and self actualization needs of Maslow's hierarchy theory.
- Both factors should be present in the organization at the same time to get productivity from workers.
- **Expectancy Theory**
- People in the organization are motivated with:
- Expectations about reward.
- Assurance of getting reward by doing a particular task.
- **Equity Theory**
- Equivalence in inputs and outcomes.
- Inputs of employees in an organization are:
- Level of education
- Skills
- Experience
- Reputation
- Hard work
- Connections
- Outcomes of employees in an organization are:
- Salaries
- Designations
- Promotions
- Benefits
- Social Status
- Respect in the organization
- Opportunities
- **Equity Theory**
- Individual will also compare his input/outcome with other individual's input/outcome.
- **How can Equity Theory be implemented?**

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- Managers have to explain reasons for the difference of outcomes of employees in order to keep them motivated.
- People compare their rewards with the market as well.

Lecture 21

Reinforcement Theory

- To strengthen desired behavior at work place.
- To force the workers to adopt that behavior.
- There are two ways for reinforcement:
- Positive reinforcement
- Negative reinforcement
- Positive reinforcement means to encourage a particular behavior.
- Negative reinforcement means to discourage a particular behavior.

Human Relations

- Human Relations can be:
- Employee to employee
- Employee to employer
- Purpose of human relations is to give a feeling of a family.

Job Enrichment

- This is needed when people are under performing.
- Job enrichment means adding something into the job.
- To provide opportunities to employees to apply their talent, knowledge and creativity for performing more in the organization.

Job Re-designing

- To re-design a task.

Job Sharing

- People share the work.

Management by Objective (MBO)

- Idea of MBO is opposite to the traditional management.
- Decision and planning is made in collaboration with the subordinates.

Difficulties with MBO

- People do not understand the philosophy of MBO.

Application of MBO

- Subordinates set their goals by themselves with the consultancy of top management.

Psychological Contract

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- A contract between employee and the organization.
- With the achievement of psychological contract, workers will have high level of morale and satisfaction.

Leader

- A person who influences people for the achievement of pre-defined goals.

Leadership

- Ability of an individual to influence others.

Difference between a leader and a manager

Leader	Manager
Leader is a change agent.	**Manager is more concerned with the status co.**

Leadership

- Powers of leaders
- Position powers
- Personal powers
- All those powers/authorities which are attached to a position are called position powers.
- Position powers are transferable.
- Powers attached with some person are called personal powers.
- These are non transferable.

Types of leaders

Autocratic leaders

- Leaders who take decisions by themselves.
- This type of leadership is used in those circumstances when there is not much time for decision making.
- These types of leaders have more centralized powers.
- Managers take more powers when:
- Managers do not trust their subordinates.
- Subordinates might not have enough training.

Democratic Leaders

- Democratic leaders share the ideas.
- In this style, leaders will encourage more communication.

Free-Rein leaders

- Managers depend more upon subordinates.
- Encourage the subordinates to make decisions by themselves.
- This approach is practiced when:
- Staff is highly motivated.
- People are working in synergistic environment.
- Fully trained people.

Difference of communication in leadership styles

- In autocracy, there will be downward communication but no upward communication. i.e. one way communication.

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- In democracy, there is both way communications. I.e. upward and downward communication.
- In free rein, there will be more communication among subordinates and occasional communication among subordinates and managers.
- Method of decision making depends upon the situation.

✶ Contingency approach of Leadership

- Every job has its own uniqueness.
- With the change in task, different type of leaders and different leadership style is required.

Lecture 22

Marketing

- All those activities which make the exchange possible.
- Exchange includes:
- Exchange of goods, services and ideas from one person, organization and place to another person, organization and place.
- A system of business activities designed to plan, price, place and promote goods, services and ideas to potential customers.

✶ Potential Customers

- A person, a body, an institution or a firm who has:
- Need
- Money
- Willingness to spend money.

✶ System

- A set of interrelated and interdependent activities.

✶ Planning for marketing

- What should be marketed?
- When should be marketed?
- Where should be marketed?
- Distribution
- Pricing
- What is going to be the price of the product?
- Promotion
- Should the product be promoted or not?

✶ Marketing

- Product is:
- Anything that is offered for sale in the market.
- All those things which are tangible.
- Services are intangible. i.e. which are not touchable.
- Marketing of ideas.

✶ Marketing

- Marketing ideas can be applied on non business activities. This is called social/societal marketing.
- This includes:
- Asking for donations.
- Drive slow.
- Say your prayers.

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- Need is a state of felt deprivation.
- Marketers satisfy the needs through products, services, objects and ideas.
- Market is a place where people exchange goods, services and ideas.

Stages in Marketing

- **Production oriented stage**
- All the efforts are made to produce more and more.
- **Product oriented stage**
- Management focuses on quality of product rather than quantity of product.
- **Sales oriented stage**
- Sellers feel the need of an organized institution that coordinates all activities related to sales.
- **Marketing oriented stage**
- Unsatisfied needs of the customers are satisfied.
- **Societal Marketing stage**
- Benefits of society are considered by the organizations.
- **Value**
- Difference between cost and benefits of the product.

Utility

- Ability of any commodity to satisfy the needs.
- **Forms of Utility**
- **Time Utility**
- Customers get the commodity when they want.
- **Form Utility**
- Converting the shape of the product from one form to another.
- **Place Utility**
- Transportation of product from one place to another.
- **Ownership Utility**
- Product owned by the manufacturer is distributed to the end buyers through different steps.

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Remember Own Prayers

1. **Sole proprietorship always enjoys**

   100% of profit tax

2. **A document that contains rules and regulations of the**

   company. Articles of association

3. **Which of the following have powers of decision making in joint stock**

   company? Board of orders

4. **_____ is no liable for the debt of the partnership**

   business Sub partner

5. **Which of the following is held only once in the life of a public**

   company? Statuary Meeting

6. **It is difficult to transfer the rights of owner ship**

   in? Sole proprietor ship

7. **Which one of the following is Not a type of business organization**

   Cooperative societies

8. **Effective interest rate is different from nominal rate of interest**

   because All options

9. **Balance sheet of a company reflects**

   Organizations a financial health at a specific point of time

10. Which of the following are known as Discretionary financing?

Remember Own Prayer

Long term liabilities

11. **Identify, what can be the biggest advantage of a small partnership over a sole proprietorship?**

Capital can be raised easily

12. **Whichofthefollowingtechniqueisusedtoselectdifferentinvestmentoptionssoas to reduce risk of losing the invested money?**

Diversification

13. **Which of the following can be categorized as opportunity for an organization?**

Good product development

14. **Which of the following item is used to estimate the cash flows while employing percentage of sales of method?**

Sales of revenue

15. **Which of the following is an example of genetic industry? Poultry form**

16. **Which of the following is not an example of non profit making organization?**

Partnership

17. **All of the following can be the advantage of the franchise business Except**

Independency of business

18. **Statutory meeting is held by which of the following companies? All options**

19. **Two or more organizations combine together and form a new organization.**

Merger

20. **In which type of business, there is easiest dissolution?**

SOLEPROPRIETORSHIP

21. **When international trader restricts due to safety, which one of the following barriers exists?**

Laws

Remember Own Prayer

22. Which of the following is NOT an attribute of sale proprietorship business? Unlimited liabiltiy

23. Which is the first stage in the formation of Joint Stock Company? Promotion stage

24. Which of the following is a new trend in which two or more organizations combine together and form a new organization?

Merger

25. Business benefits the people by providing them.

Large number of services

26. Statutoryreportmustbesendtotheshareholderbeforemeetingthatiscertifiedby atleast.

3 directors including CEO

27. _____describes the government payments given to certain industries to help offset some of their costs of production?

Subsides

28. Profit distributed among shareholders is called_____

Dividend

29. _____generally has unlimited liability. The owner of a sole proprietorship

30. The term 'tariff' as used in international trade, refers to A tax on imports

31. A market survey is important because it tells you.

Remember Own Prayer

All options

32. On which of the following dates Companies Ordinance came into force? January 1 ,1985

33. Two or more people or organizations join hands and decide to do a business, formed a separate entity is called _____

Joint venture

34. Tothinkaboutbenefittingthesocietyandavoidharmfulactivitiesforthesocietyis called_____

Corporate social responsibility

35. When a person provides his services on the basis of his specialized knowledge and experience is term edams

Profession

36. Which is the first stage in the formation of Joint Stock Company? Promotion Stage

37. Which of the following is the total out put of goods and services produced by an economic system in a given period of time?

Aggregrate Output

50. All of the following statements are true regarding partnership excepts_____

There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits.

51. Those countries where people are earning below US$765 are knownas.

Low income countries

52. Those countries where people are earning US$9000 are known as.

High income countries

53. Those countries where people are earning between US$9000 TO US$765 are known as.

Middle income countries

Remember Own Prayer

54. All of the following barriers exist due to economic differences in international trade EXCEPT;

Different environemnt

55. _____are the government taxes on imports that raise the price of foreign goods and make them less competitive with domestic goods

Tariff

56. Which of the following is not a secondary

industry? Genetic industry

57. The difference in value between a country's exports and imports is

called . Balnce of trade

58. Which of the following is the partner who does not take part in the management of the business but is known to the public?

Silent partner

59. Which of the following is not a characteristic of a

business? Voluntarily contribution

60. The countries become a_____ when the value of imports exceeds than value of exports in the balance of trade

Creditor

61. Which of the following is not an example of non-profit making

organization? Partnership

62. _____meeting must be held at least one in three month and at least four times in a year

Director's meeting

63. Which of the following have not active participation in the management of the partnership firm?

Sub partner

64. Which of the following should be considered when designing a business plan?

Remember Own Prayer

All options

65. In which meeting of the joint stock company, the board of directors is elected by the shareholders?

Annual general meeting

66. _____is one who has invested maximum amount in the business?

Senior partner

67. _____is a kind of loan which is acquired from the

market. Debenture

68. The notice of the statutory meeting must be sent to each_____at least___ ___before the meeting

Shareholders, 21 days

69. Who signs the documents on behalf of the joint stock

company? Common seal is used for its signature

70. Which of the following have a separate legal entry from its

owner? All options

71. Two or more that two organization collaborate formation profit but the reins separate entity formed is called_____

Strategic Alliance

72. Which of the following is Not as aspect to purchase a franchise

business? Independency

73. In_____---------- a central body will allocated the resources and then decide how these resources will be distributed.

Planned economy

74. Which of the following is an trend, in which one business acquires the other business instead of ordinary.

Acquistion

75. Which of the following business type can avail some concessions from the government?

Remember Own Prayer

Joint stock company

76. _

_____GENERALLYhasunlimitedLiabili

ty The owner of a sale

proprietorship

77. The limit imposed by one country on importing commodities from another country is known as.

Quota

78. Which of the following is not specially categorized as' secondary industry'

Foreign industry

79. The buying and selling of goods by way of electronic media, such as telephones iscalled

E. commerce

80. Which of the following does Not belong to the right of the business?

None options

81. Which of the following statement is false

Joint Venture do not provide opportunities to acquire new expertise

82. If the value of exports exceeds than value of imports the balance of trade is said tobe favorable or a

Trade surplus

83. The first stage in Evolution of business

is. Entrepreneurship

84. Inwhichofthefollowingindustryrawmaterialisconvertedintofinishedorsemi finished goods.

Manufacturing

Remember Own Prayer

85. In which stage of the company formation MOA and AOA are submitted in the register's office?

Incorporation stage

86. The two major sources of raising funds or financing a business

are Owner's capital & Borrowed funds

87. AllofthefollowingarethecontrollablefactorsforsuccessinbusinessEXCEPT.

Statelaws

88. Auditors are generally appointed and their remuneration fixed at the_____

Annual general Meeting

89. Which of the following is NOT the advantage of co-operative

society? Monopoly

90. The first annual general meeting should be held with the _____ of incorporation of a company.

18 months

91. All of the following, fall in the category of business

EXCEPT Construction of houses for personal value

92. _____is the simplest form of business organization, which is owned and controlled by one man

Sole proprietorship

93. In which economy the government decides that how many resources have to be generated and how the resources should be allocated?

Planned economy

94. The relationship between who have agreed to share the profit of a business carried on by all or any one of them for all is called

Partnership

95. One man One vote principle is applied in _ _____

Co operative society

Remember Own Prayer

96. Environmental forces that are controllable are

called Internal forces

97. First directors are usually named in the____

Memorandum of association

98. Economist and policy makers are interested in demographics attributes to determine the

Demand patterns

99. The most important step in understanding business ethics is

Establishing codes of ethics

100. Issuing shares and debentures belong tothe_____of the

company? Commencement

101. The registration of a joint stock company

is; Compulsory

102. Economist and policy makers are interested in Demographics attributes to determine the_____

Demand patterns

103. The word ' limited' at the end of the company name

means; Shareholders has limited liability

104. Which document contains the objectives of the business and the ways to achieve those objectives

Business PLAN

105. A document containing information regarding internal and external matters of the business is called

Partnership deed

Remember Own Prayer

106. Which of the following should be considered when designing a business plan?

All options

107. All of the following form of business has high failure rate

Except; sole proprietorship

108. _____ _____can expand their business by selling shares in the stock

market. Joint stock company

109. Which of the following have not active participation in the management of the partnership firm?

Limited partner

110. Establishment off in an coal in situation such as commercial banks in important because;

All options

111. The form of business organization that generally has the largest volume is

the. Corporation

112. Which of the following is the ethical behaviors(s) in Managerial

Practices? All options

113. All of the following are the controllable factors for success in business

EXCEPT; State laws

114. Which of the following is EXCLUDED from the advantages of sole

proprietorship? Unlimited liability

115. The two major sources of raising funds or financing is business

are Debentures and drafts

116. Which of the meeting is held only once in the life of a public

company? Staturay meeting

117. Which of the following can be the sentences of an organization?

Remember Own Prayer

Precence of non price competitors

118. Occurrence of widespread price increases throughout an economic system

Inflation

119. which of the following is NOT a type of business

organization Co-operative societies

120. Concessions provided by a country to its producers to protect the economy is called a _______

Subsidy

121. Which of the following is NOT the attribute of the demographic

environment. Political instability

122. Total income of the country / Total population is the formula to calculate

Per capita income

123. Which of the following is a new trend in which two or more organizations combine together and form a new organization?

Merger

124. In which part we see about customers, their liking, locality and purchasing

power Marketing part

125. When international trade restricts due to safety, which one of the following barriers exist

Laws

126. A phenomenon in which a person searches for an opportunity and try to avail it is called

Entrepreneurship

127. Franchiser gets a large amount of money from franchisee as_____ while using its name

Fee

Remember Own Prayer

128. _____ _____describes the government payments given to certain industries tohelp offset some of their costs of production?

Subsides

132. Which of the following is included in a business plan;

All options

133. Which of the following factor(S) contribute to success of new business.

All options

134. All of the following is the barrier of international

trade,Except; Quota

135. Which of the following is not a legal entity?

Sole proprietorship

136. Which of the supervises the work of all cooperative societies ?

Cooperative department of provincial

government

137. Business may be defined as an economic activity undertaken with a motive of earning profit by satisfying human needs in society . The term economic activity includes the activities with the motive of.

Earning profits

138. Inwhichformofbusinessonepartygivestherighttootherpartytodothebusiness by using his name and trade mark?

Franchising

139. What is mean by global

organization? None options

140. It is difficult to transfer the rights of ownershipin?

Sole Partnership

141. Which of the following is the partner who does not take part in the management of the business but is known to the public?

Silent partner

Remember Own Prayer

142. Which of the following is the purpose of cooperative societies?

Welfare of the society

143. In which organization, people join as

volunteers Co-operative society

144. Which of the following is the characteristic that should exist to recognize a partnership business?

There must be a written agreement

145. Which of the following enjoys limited liability?

A corporation

146_____ meeting is the first meeting after commencement of business.

None options

147. Oneofthemostimportantsingleelementfortheprospectivefranchiseeisto.

Investigation a bout fee

148. Compared to learning franchising is a more advantages entry mode

because. All options

149. The country becomes a_ _____ when the value of exports exceeds than value of exports in the business of the.

Creditor

150. Statutory meeting is held by which of the following

companies? All options

151, All of the following is the barrier of international trade,

Except Income tax

152_____ describes the government imposed instruction on the quantity ofa good that can be imported over a general of time.

Quota

153. In which type of business, Government gives the financial assistance?

Remember Own Prayer

Co-operative society

154. Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called

Foreign trade

155. can expand their business by selling shares in the stock market

Joint stock company

156. Which of the following have a separate legal entry from its owner?

All options

157. Which of the following is a main reason to get positive trade

balance? Import less than export

158. An agreement between two parties in which one party passes on the right to other party is called

Franchising agreement

159. A sole trade business is started by

Only one person

160. One of the primary advantages of the sole proprietorship business is

Relative freedom from government registration

161. Which of the following is not the objective of the directors

meeting? To makelons

162. A person or an organization that works for an exporter or importer is called_____

Independent agent

163. The liability of a sole trader is

Limited only to his investement in the business

164. Competitor analysis is discussed under the following

part? All options

Remember Own Prayer

165. The limit imposed by one country on importing commodities from another country is know as

Quota

166. What is the maximum number of partners in case of banking

business? 10

167. First meeting of the members of public limited company is know

as Statutory meeting

168. Admission of members and allocation of shares in a Co-operative society is _____for all people living in the same

area; Restricted

169. Population size is included in?

Demographic factors

170. Investment , revenue, expenses and net profit is discussed in_____of business plan?

Financial part

171. _____is a written document which contains the objectives of the business and the ways to achieve these objectives

Business plan

172. A ' tariff' can best be described as;

A tax imposed on an imported good

173. In which type of business, Expansion is comparatively difficult than other

Sole proprietor ship

174. Annual general meeting is the meeting of the company that

held Once in a year

175. Which of the following statement is false?

One reason for failure of small business is lack of managerial experience

Remember Own Prayer

176. Concessions provided by a country to its producers to protect the economy is calleda _____

Subsidy

177. Which of the following are NOT invited in the general meeting of accompany? Debenture holders

178. Which of the following is included in a business plan;

All options

179. What should be the basic theme of a business plan? Ways to go and how to go

180. Which mode of the business is formed when several business concern undertaking units are combined to carry on the business together for achieving the economic benefits?

Combination

181. A period of business cycle that is characterized by high labor turnover may be the period of;

Expension

182. A person or an organization that works for an exporter or importer is called Independent agent

183. Certificate of commencement is issued by the.

Registrar of the companies

184. With the help of Merger and Acquisition a business can attain the following tO reduce the market competition

185. _____ is one who does not share the losses of the partnership business

Minor partners

186. It is difficult to transfer the rights of ownership in? Sole Partnership

187. Which of the following is included in economic factors?

Remember Own Prayer

Exchange rate

188. Total quality of goods and seasons produced by an economic system during agiven period is called.

Aggregate output

189. Which of the following business from has the shortest lifespan?

Sole proprietorship

190. In which of the following business trends, ownership of business moves more towards acquiring partner.

Strategic alliance

191. In which type of business government gives the financial assistance?

Co operative society

192. The members of Co-operative society have__

_____

_Limited

193. The two component of business includes;

commerce and trade

194. _____is no liable for the doubt of the partner ship

business Sub partner

195. The difference between a country's merchandise exports and its merchant is imports is the

Balance of trade

196. A major advantage of the corporate of organization

is; Reduction of double taxation

197. All of the following are the uncontrollable factors for success in business EXCEPT

Remember Own Prayer

Competence

198. Which of the following is the characteristic that should exist to recognize partnership business?

The partnership must beregistered

199. Compared to licensing, franchising is a more advantageous entry mode because;

All options

200. A sole proprietorship business may have

All options

201. Effective interest rate is different from normal rate of interest because

All option

202. All of the following can be the advantage of the franchise business; Except:

Independency of business

203. When international trade restricts due to safety, which one of the following barriers exists

Laws

204. Which of the following is a new trend in which two or more organizations combine together and form a new organization?

Merger

205. All of the following statements are true regarding partnerships except____.

There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits

206. _____ are the government taxes on imports that raise the price of foreign goods and make them less competitive with domestic goods

Tariff

207. _____ is a kind of loan which is acquired from the market

Debenture

Remember Own Prayer

208. **A document containing information regarding internal and external matters of the business is called**

Partnership deed

209. **Which of the following should be considered when designing a business plan?**

All options

210. **_____concept focuses on the needs and wants of the people**

Marketing concept

211. **In _____ a central body will allocated the resources and then decides how these resources will be distributed**

Planned economy

212. **The members of a co-operative society have_____ liability**

Limited

213. **Which of the following is an attribute of the socio-cultural environment?**

Religion

214. **Which of the following issues the initial public offering(IPO)?**

A public limited company

215. **Attitude and traits of the candidates are evaluated by_____.**

Aptitude test

216. **Which one of the following is not the disadvantage of franchise?**

All options

217. **A written statement of what a job holder does, how a job is done, and why a job is done is a_____.**

Human resource inventory report

218. **All of the following form of business has high failure rate Except;**

Sole proprietorship

219. **In which leadership style, there will be downward communication only.**

Remember Own Prayer

Charismatic leadership style

220. The activity directed towards producing wealth through buying and selling goods is termed as?

Business

221. The two component of business includes;

Commerce and trade

222. _____is defined as the difference between the benefits a customer sees from a market offering and the

Customer value

223. Which of the following is Excluded from the advantages of sole proprietorship?

Unlimited liability

224. All of the followings are the advantages of doing Joint Venture, Except;

Not allow to enter in new geographic markets

225. Admission of members and allocation of shares in a Co-operative Society is _____ for all people living in the saving

Restricted

226. Which of the following is not a secondary industry

Genetic industry

227. Which types of organizations have expertise in selecting people for the job?

Recruitment agencies

228. Which of the following condition must be fulfilled to obtain the 'Certificate of commencement?

All options

229. Which of these is/are a disadvantage of operating a franchise?

Dependency

230. Which managerial style will be most suitable; if a team of management trainees

Remember Own Prayer

work under marketing manager?

Autocratic style

231. **Which business is not free like other forms of business and can not earn maximum profit?**

Cooperative societies

232. **For a public limited company, minimum number of members are**

7

233. **private limited company, maximum number of shareholders are**

50

234. **Entrepreneurship is that ability in which an individual tries to;**

All options

235. **Which leadership style is most suitable when there is less time for decision making?**

Autocratic style

236. **Which of the following statements is true about services?**

All options

237. **A cooperative society is formed by the people _____ for self-help through mutual help**

Of limited means

238. **All of the following are the advantages of doing Joint Venture EXCEPT;**

Not allow to enter in new geographic markets

239. **_____- is a person who buys goods or products for his/her personal use or consumption**

Consumer

240. **All of the following are the different managerial styles, Except**

Remember Own Prayer

Reinforcement style

241. Which of the following statements about franchising is true?

Franchising is the most visible variation of contractual system

242. In _____ subordinates set their goals by themselves with the consultancy of top management

Job redesigning

243. The first stage in evolution of business is

Entreprenship

244. In which leadership style managers encourage the subordinates to make decision by themselves

Democratic stle

245. While job designing _____ means assigning additional activities to employees?

Job outsourcing

246. People in business and government face important ethical issues and decisions.

In many different countries around the world

247. All of the following barriers exist due to economic differences in international trade EXCEPT

DIFFERENT Environment

248. Which of the following can be the sentence of an organization?

Presence of non price competitors

249. Which of the following is not the part of partnership deed?

Rights of the partners

250. Which of the following document is NOT required by the private limited company?

Remember Own Prayer

251. Organization like those people who see irregularities in that organization and bring to the knowledge of management

False

252. Whistle Blowers are the people who see irregularities and bring them in the knowledge of the management.

True

253. Which of the following Is Not a benefit of partnership?

Unlimited liability

254. Election of directors and appointment of auditors is the objectives of _____.

Annual general meeting

255. A period of business cycle that is characterized by high labor turnover may be the period of;

Expansion

256. All of the following statements are true regarding a partnership except _____.

Each partner's liability is limited to the amount he or she contributed to the partnership

257. The policy regarding government revenues and expenditure is known as

Fiscal policy

258. Wages are paid for :

Short term period

259. Which of the following is false?

One reason for failure of small businesses is lack of managerial experience.
One reason for failure of small businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of small businesses is neglect.
One reason for failure of small businesses is weak control systems.

260. All of the following statements are true regarding partnerships except _____.

There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits
If the partnership agreement does not specify otherwise, profits will be shared equally by the partners
A partnership balance sheet is much like that of a proprietorship
The death of a partner dissolves the partnership and all assets must be liquidated

261. **Marketing should begin with _____.**

Potential customer needs

Remember Own Prayer

The production process
Identifying customer needs
All of the given options

262. New and revised products may be tested through:

Commercialization
Product life cycle
Family brands
Marketing research

263. In which of the following do two or more organizations collaborate on a project for mutual gain?

Limited partnership
Joint venture
Public corporation
Strategic alliance

264. When a manager focuses on making whatever products are easy to produce, and then trying to sell them, that manager has a _____orientation.

Marketing
Production
Sales
Profit

265. Question # 10 of 15 - Total M - 1

_____ refers to the standards of moral behavior.

Legality
Loyalty
Integrity
Ethics

Remember Own Prayer

266. The law elating to Joint Stock Companies has been laid in companies Ordinance:

1984

1980

1932

none of the above

Remember Own Prayer

268. **___ is the process of locating, identifying, and attracting capable applicants.**

Downsizing
Human resource inventory report
Recruitment
Strategic human resource planning

269. **_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.**

Marketing mix
Product mix
Product differentiation
Product positioning

270. **_____ is the typical sequence of changes in demand for a product that occurs over time.**

The business vision statement
The product life cycle
Marketing research
A customer-oriented approach

271. **Key controllable factors in global marketing are:**

Marketing activities and plans

272. The members of a Co-operative society have _____ liability
limited

2nd file correct

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. Joint stock company
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. In annual general meeting
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. Joint stock company
   4. Cooperative Societies

Remember Own Prayer

4)

5) _____includes the rules and regulations, necessary to manage the internal affairs of the company.

1. Memorandum of Association
2. Article of Association
3. Prospectus
4. All of the given option

6) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in_____.

1. Charter of Company
2. Article of Association
3. Prospectus
4. None of the given option

7) To call the extraordinary meeting, how many days' notice is required?

1. 21 days
2. 15 days
3. 07 days
4. 30 days

Remember Own Prayer

8) According to Section 305 of Companies Ordinance, a company may woundup **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. Fails to submit statutory report
   3. Expiry of Period
   4. Appointment of Liquidators

9) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. Participation Term Certificates
   4. All of the given option

10) Normally some part of Capital is kept for the payment of debts at the time ofwinding up, is called as:
   1. Reserve capital
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

11) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. Petition by debtor
   2. Petition by creditor
   3. Petition by contributory
   4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. Complicated coordination
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

   a. Autocratic styles
   b. Democratic styles
   c. Free rein style

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d. None of the given option

3) _____is the process of motivating others to work to meet specific objectives.

a. Leadership
b. Motivation
c. Free rein style
d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

a. Participative Management and Empowerment
b. Management by Objectives (MBO)
c. Reinforcement/Behavior Modification Theory
d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix

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c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers arecalled as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the targetmarket.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill theneed for transport is an example of:

a. Substitute product competition
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of_____from producer to consumer.

a. Finished goods
b. Work in process
c. Raw material
d. All of the given option

12) Advertising strategies often depend on the product life cycle stage. Examplein case of introductory stage, which of the following advertising strategy is used:

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising
e. None of the given options

Remember Own Prayer

13) A_____is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry aproduct.

a. Pull strategy
b. Push strategy
c. Persuasive advertising
d. Sales Promotion

14) _____includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

a. Warehousing cost
b. Transportation cost
c. Distribution cost
d. Manufacturing cost

15) Personal selling task in which salespeople try to persuade buyers to purchaseproducts by providing information about their benefits is:

a. Order Processing
b. Creative Selling
c. Missionary Selling
d. None of the given option

16) Consumer promotion aimed at the_____and Trade promotion aimed at wholesalers and retailers.

a. Final consumer
b. Retailer
c. Wholesalers
d. All of the given options

17) In which of the following, Companies rent booths to display and demonstrateproducts to customers who have a special interest or are ready to buy.

a. Trade Shows
b. Contests
c. Cross-promotion
d. Special-event sponsorship

18) _____is the planning, organizing, directing, and controlling of allthe activities needed to get high-quality goods and services into the marketplace.

a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or nocontrol of the content and delivery.

a. Public relation

Remember Own Prayer

b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer'smind.

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

21) A major disadvantage of corporate organization is

a. Double Taxation of dividend
b. Inability of the firm to large sum of additional capital
c. Limited liability of share holders
d. Limited life of Cooperate firm

Remember Own Prayer

22) It is difficult to transfer to right of ownership is

a. Sole proprietor ship
b. Partner ship
c. All of given options
d. None of given options

23) Wages are paid for
a. Long term
b. Short term
c. All of given options
d. None of given options

24) Pakistan is exporting
a. Sports Item
b. Agriculture Product
c. Textile Product
d. All of given options

25) Managers have_____type of skills
a. 2
b. 3
c. 4
d. 5

26) The process of attracting the people for job
a. Recruitment
b. Special skills
c. Supervision
d. Job Specification

27) What is the method of on job training?
a. Lectures
b. Vestibule
c. Videos
d. None of given options

28) The liability of a sole trader is _____
a. limited Only to his investment in the business
b. Limited to the total resources of the business
c. Unlimited
d. Not defined

29) Genetic industry means
a. Canal
b. Sugar mill
c. Poultry

30) The first stage Evolution business is?
a. Industry revolution
b. Globalization
c. Entrepreneurship
d. Marketing era

Remember Own Prayer

Which of the following is/are the component/s of business?

- Industry
- Commerce
- Both industry andcommerce
- Trade and aids totrade

The notice calling the annual general meeting must be given to all its members at least _____days before the date of themeeting.

- 21days
- 30days
- 45days
- 51days

The portion of capital kept at the winding up of a company for the payment of debts is known as:

- Reservecapital
- Issuedcapital
- Subscribedcapital
- Authorized capital

Ans3)

Which of the following statements is false?

- Franchising is very common.
- A franchise enables one to use a larger company's tradename.
- A franchisee never has to pay the franchiser a percentage of sales revenues.
- A franchise may constrain the franchisee'sindependence.

Business success can be attributed to:

- Luck.
- Hard work, drive anddedication.
- A high demand for the good or serviceproduced.
- All of the givenoptions

A concept that implies that the firm should consider issues such as protecting the consumer, paying fair wages, maintaining fair hiring practices, supporting education, and considering environmental issues is:

- Financialmanagement
- Profitmaximization
- Socialresponsibility
- Agencytheory

Remember Own Prayer

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

- Legal but notvalid
- Valid but notreliable
- Reliable but notvalid
- Reliable but notlegal

is the process used by organizations to attract a qualified pool ofjob applicants.

- Socialization
- Human resourceplanning
- Recruitment
- Affirmationaction

Profit sharing, gain sharing and pay-for-knowledge plans are examples of:

- Individualincentives
- Company-wideincentives
- Cafeteria benefitplans
- Merit salarysystems

Which of the following statements is NOT true about services?

- They are experienced, used orconsumed.
- They are often sold first, thenconsumed.
- They areperishable.
- They aretangible.

Possession utility is provided when:

- A good or service is obtained and there is a right to use or consumeit.
- A product is available where someone wantsit.
- Someone performs a task for someoneelse
- Someone produces somethingtangible

_____ includes all of the activities managers engage in to forecast their current and future human resource needs.

Remember Own Prayer

- Recruitment and selection
- Job analysis and jobdesign

- Selection and jobdesign
- Human resourceplanning

Specifications of a product relate to the:

- Physical characteristics and level ofquality
- Types of service that are provided along with theproduct
- Financing available with theproduct
- Types of competitors offering a similarproduct

Communicating information between sellers and potential buyers or others in the channel to influence attitudes and behavioriscalled_____.

- Advertising
- Promotion
- Publicity
- Marketing

A product can be: -

- Tangible
- Intangible
- Something that is offered forsale
- All of the given options

Ans) All of the givenoptions

Consumer goods are classified as convenience, shopping, and:

- Durable.
- Nondurable.
- Consumer.
- Specialty.

The stage of the Product life cycle where competitors appear is:

- Introduction
- Decline
- Maturity
- Growth

Remember Own Prayer

Expectations that specify the role of price in a firm's marketing and strategic plans are:

- Pricing considerations
- Pricingguidelines
- pricingobjectives
- Pricingpolicies

Setting the highest initial price is called price:

- Penetration
- Gouging
- Parity
- Skimming

Which type of sales promotion is used when a manufacturer places one small bottle of shampoo in a clear bag and hangs it from the door of each house in a neighborhood?

- Asample
- Adeal
- Apremium
- An introductoryoffer

The activities and processes used in making both tangible and intangible products is knownas_____.

- Operations.
- None of the givenoptions
- Making
- Production.

Under which cost flow assumption is the ending inventory composed of the earliest purchased merchandise?

- FIFO
- LIFO
- Averagecost
- Specificidentification

Remember Own Prayer

The preferred method for achieving total quality in process output is to:

- ► Rely on a team of highly trained and dedicatedinspectors.
- ► Rely on operator self-inspection andself-correction.
- ► Build and install an error-proof process and maintainit.
- ► Perform inspection at the next process.

What is data?

- ► All of the facts that are collected, stored, and processed by an informationsystem.
- ► All of the debit and credit information about eachtransaction.
- ► The same thing asinformation.
- ► All of the givenoptions.

Which of the following is defined as large scale information system used for organizing and managing a firm's processes across product lines, departments and geographic locations?

- ► ExpertSystem
- ► Decision SupportSystem
- ► Enterprise ResourcePlanning
- ► Electronic DataInterchange

The financial statement which shows cash activity (receipts and disbursements) during the accounting period is called a(n):

- ► Bankstatement.
- ► Incomestatement.
- ► Statement of cash flows.
- ► Bankreconciliation.

Which of the following regarding GAAP is true?

- ► GAAPisthebodyofaccountingknowledgefollowedbyallcountriesinthe world.
- ► GAAP is the abbreviation for generally accepted auditingprocedures.
- ► Changes to GAAP must be approved by the Senate FinanceCommission.
- ► All of the givenoptions.

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The inventory cost flow assumption where the oldest cost of inventory items is likely to remain on the balance sheetis_____

- All of the givenoptions.
- FIFO
- LIFO
- Average

Which of the following would generally have *unlimited* liability?

- A limited partner in apartnership
- A shareholder in acorporation
- The owner of a soleproprietorship
- A member in a limited liability company(LLC)

The situation when a country imports more than its exports is:

- A tradesurplus.
- Arecession.
- A tradedeficit.
- Anexpansion.

The marketing environment is BEST described as being

- Composed of controllablevariables.
- Composed of variables independent of oneanother.
- An indirect influence on marketingactivity.
- Dynamic andchanging.

Which one of the following statements by a company chairman best reflects the marketing concept?

- We believe that the marketing department must organise to sell what we produce.
- We try to produce only high quality, technically efficient products.

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► We try to encourage companygrowth.

► We have organised our business to make certain that we satisfy customer needs.

When Nayer Carpets develops new carpets that are highly stain resistant and durable, it must educate consumers about the product's benefits. This calls for activity in which of the following marketing mix variables?

► Price

► Promotion

► Product

► Packaging

QuestionNo:34 (Marks:1) - Please chooseone

The three major categories of influences that are believed to influence the consumer buying decision process are personal, psychological, and:

► Person-specific

► Social

► Demographic

► Situational

Nestle yoghurt represents which type of product for most consumers?

► Convenience

► Shopping

► Speciality

► Unsought

As the production manager of an engineering firm, you went out and bought a metal cutting machine. What you have purchased can best be classifiedas

► a processedcomponent.

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► a componentpart.

► rawmaterial.

► an industrialproduct.

QuestionNo:37 (Marks:1) - Please chooseone

Physical distribution functions influence

► primarily pricing and productdecisions.

► primarily promotion and pricingdecisions.

► all elements of the marketingmix.

► primarily pricing decisions.

QuestionNo:38 (Marks:1) - Please chooseone

All elements of the marketing mix are influenced by physical distribution functions. For this reason, it is important for marketers to remember that

► physical distribution decisions must be made prior to any othermarketing strategy consideration.

► physical distribution costs often rise as customer service requirements decrease.

► over 75 percent of all marketing costs are associated with physical distributionexpenditures.

► nosingledistributionsystemisidealforallsituationsandtargetmarkets.

QuestionNo:39 (Marks:1) - Please chooseone

A fruit and vegetable wholesaler buys a loaded truck of strawberries from a local farmer and then divides them into 10 kg baskets to sell to grocery stores. This sorting function is called:

► Allocation.

► assorting.

► accumulation.

► sortingout.

QuestionNo:40 (Marks:1) - Please chooseone

A product's ability that it cannot be used for various purposes in different capacities and under different conditions istermedas___\

Which of the following statements is most suitable for Quality assurance?

- ▶ It refers to the prevention of productdefects
- ▶ It is an auditing function that provides feedback to the project team and client about the quality of output beingproduced
- ▶ Itisthetechnicalprocessthatincludestheconstructionofcontrolcharts
- ▶ None of the givenoptions

QuestionNo:42 (Marks:1) - Please chooseone

Which of the following is considered as the pillar of quality?

- ▶ Quality isfree
- ▶ Doing it right the firsttime
- ▶ Processimprovement
- ▶ None of the givenoptions

QuestionNo:43 (Marks:1) - Please chooseone

A person needs to buy a medicine in midnight and gets it from a pharmacy, the availability of medicine in the midnight represents following

- ▶ Timeutility
- ▶ Formutility
- ▶ Placeutility
- ▶ None of the givenoptions

QuestionNo:44 (Marks:1) - Please chooseone

Flow of communication from top to bottom is knownas_____

- ▶ Downwardcommunication
- ▶ Upwardcommunication
- ▶ Combination of Downward and upwardcommunication
- ▶ None of the givenoptions

QuestionNo:45 (Marks:1) - Please chooseone

Auditors who are working within the organization are known as_____

- ▶ Internalauditors
- ▶ Externalauditors
- ▶ Both internal auditors and externalauditors
- ▶ None of the givenoptions

QuestionNo:46 (Marks:1) - Please chooseone

Assets which can not be physically touched are termedas_____

- ▶ Intangibleassets
- ▶ Tangibleassets
- ▶ Goodwill
- ▶ None of the given options

Ans 46) Intangibleassets

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QuestionNo:47 (Marks:1) - Please chooseone

Profit and loss account is also termedas_____

- ► Incomestatement
- ► Balancesheet
- ► TrialBalance
- ► None of the givenoptions

QuestionNo:48 (Marks:1) - Please chooseone

A plan or an estimate for future expenses and revenues is termed as_____

- ► Budgeting
- ► Balancesheet
- ► Incomestatement
- ► None of the givenoptions

Which of the following is excluded from factors that can affect the business?
Demographic Factors
Economic and social factors Natural
factors
None of the above

The formation of_____does not require any legal formality like registration.
Company Cooperative
society Partnership
Sole proprietorship

Which of the following is a disadvantage of partnership?

Distribution of work
Sufficient capital Prime
credit standing
Profit sharing

In partnership deed, profit and loss is distributed among the partners: In equal percentage
As per percentage of capital invested
As per agreed ratio in partnership deed
None of the given options

Remember Own Prayer

The powers of the Board of Directors to borrow from the bank are mentioned in:
Article of Association
Memorandum of Association Special Resolution
None of the given options

Which of the following should be considered when designing a business plan?
Objectives of the business

Marketing components of the business
Financial components of the business
All of the given options

A firm that acquires another firm as part of its overall business strategy is engaging in _____.
A strategic acquisition A financial acquisition A two-tier tender offer A shark repellent

The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Balance of payments
Balance of payments on current account.
Balance of trade.

Which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT EU
WTO
NAFTA

Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation. Taxes placed on imported products.

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Licensing requirements or unreasonable quality standards designed to reduce imports.
Government payments to domestic producers to reduce the price on exportedgoods
.
If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers shouldbegin focusing on improving the firm's:
Ethics
Profitability.
Productivity.
Game plan

_____is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy
Corporate policy Corporate governance
Corporate responsibility

Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:
What business the organization should be in

The right quantity and quality of employees needed when and where

What physical resources the organization needs
Who the organization's main competitors are

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work.
However, critic of this test suggest that the results can change over time as a person's personality develops.
Therefore the MBTI personality test may be:

Remember Own Prayer

Legal but not valid

Valid but not reliable

Reliable but not valid

Reliable but not legal

Selection devices that are based upon physical condition of the candidates are known as:

Medical tests

Background investigations. Aptitude tests

Application forms.

Which of the following chart shows turnover in an organization? GANNT chart

Replacement chart

PERT chart

Bar chart

The Hawthorne Studies found:

That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem.

Security

Social

Self-actualization…….All options coorect

Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

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Growth factors

Hygiene factors

Esteem factors
Motivating factors

Which of the following step is important to improve expectancy?

Deliver rewards as promised.

Observe and recognize performance.
Create the belief that effort is related to performance Make
the rewards meaningful.

The term "Job Rotation":
Is another term for employee empowerment Involves allocating a wider range of
similar tasks to individuals

Involves giving employees work with a greater degree of responsibility and autonomy

Means that staff is moved periodically from task to task in order to increasevariety and interest

Which of the following is NOT included as a basic idea in the definition of marketing?
concepts?

Total company effort
Profit
Productivity Customer
satisfaction

In_____of marketing, unsatisfied need of the customers aresatisfied.

Social oriented stage Product
oriented stage
Marketing oriented stage
None of the given options

Which of the following statements is NOT true about services? They are
experienced, used or consumed.

Remember Own Prayer

They are often sold first, then consumed.

They are perishable.
They are tangible.

The degree to which a tool or test measures what it is supposed to measure is known as:

Validity Reliability
Dependability
Goodness of fit.

Which of the following would generally have unlimited liability?

A limited partner in a partnership A
shareholder in a corporation
The owner of a soleproprietorship
A member in a limited liability company (LLC)

What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability Single
tax filing
Difficult ownership resale
Raising capital

Which of the following enjoys limited liability?

A general partnership
A Corporation
A sole proprietorship None of
the given options

In which type of business entity the entire ownership interest is transferable most freely ?

General partnership
Limited partnership

Remember Own Prayer

unlimited

Corporation
Limited liability company

Which of the following is/are the component/s of business?
Industry Commerce
Both industry and commerce
Trade and aids totrade

Which of the following is excluded from factors that can affect the business? Demographic Factors

Economic and social factors

Natural factors

None of the above

Theformationof_____does not require any legal formalitylike registration. Company

Cooperative society

Partnership

Sole proprietorship

Which of the following is a disadvantage of partnership?

Distribution of work

Sufficient capital
Prime credit standing

Profit sharing
In partnership deed, profit and loss is distributed among the partners: In equal percentage

As per percentage of capital invested

As per agreed ratio in partnership deed None of the given options

The powers of the Board of Directors to borrow from the bank are mentioned in:

Article of Association

Memorandum of Association
unlimited

Remember Own Prayer

Special Resolution

None of the given options

Which of the following should be considered when designing a business plan? Objectives of the business

Marketing components of the business

Financial components of the business

All of the given options

A firm that acquires another firm as part of its overall business strategy is

_____.

A strategic acquisition A

financial acquisition A two-

tier tender offer A shark

repellent

Question No: 8 (Marks: 1) - Please choose one

The record of a country's imports and exports of goods and services is called its:

Visible trade balance.

Balance of payments

Balance of payments on current account. Balance of trade.

Question No: 9 (Marks: 1) - Please choose one which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations? GATT

EU

WTO

NAFTA

Export subsidies are:

unlimited

Remember Own Prayer

Maximum limits on the quantity of specific products imported to a nation. Taxes placed on imported products.

Licensing requirements or unreasonable quality standards designed to reduce imports.

Government payments to domestic producers to reduce the price on exported goods

.

If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ethics

Profitability.

Productivity.

Game plan

_____is a dimension of social responsibility thatincludes hiring minority workers, making safe products, minimizing pollution, using energywisely, and providing.

a safe work environment
Corporate philanthropy

Corporate policy Corporate governance

Corporate responsibility

Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding: What business the organization should be in

The right quantity and quality of employees needed when and where What physical resources the organization needs
unlimited

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Who the organization's main competitors are Question

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops.

Therefore the MBTI personality test may be: Legal

but not valid

Valid but not reliable

Reliable

Selection devices that are based upon physical condition of the candidates are known as:

Medical tests

Background investigations.

Aptitude tests

Application forms.

Question No: 16 (Marks: 1) - Please choose one

Which of the following chart shows turnover in an organization? GANNT chart

Replacement chart

PERT chart

Bar chart

The Hawthorne Studies found:

That social and psychological factors could significantly affect productivity That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

According to Maslow's hierarchy of needs, a person who buys a motion
unlimited

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detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem.

Security

Social

Self-actualization.

Company policy, administration, supervision, interpersonal relations,working conditions, and salary are characterized as:

Growth factors

Hygiene factors

Esteem factors

Motivating factors

Question No: 20 (Marks: 1) - Please choose one

Which of the following step is important to improve expectancy?Deliver rewards as promised.

Observe and recognize performance.

Create the belief that effort is related to performance

Make the rewards meaningful.

Question No: 21 (Marks: 1) - Please choose one

The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider

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range of similar tasks to individuals

Involves giving employees work with a greater degree of responsibility and autonomy

Means that staff is moved periodically from task to task in order to increase variety and interest

Which of the following is NOT included as a basic idea in the definition of marketing? concepts?

Total company effort

Profit

Productivity Customer satisfaction

In_____of marketing, unsatisfied need of the customers aresatisfied.

Social oriented stage

Product oriented stage

Marketing oriented stage None of the given options

Which of the following statements is NOT true about services? They are experienced, used or consumed.

They are often sold first, then consumed.

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They are perishable.

They are tangible.

The degree to which a tool or test measures what it is supposed to measure is known as:

Validity Reliability

Dependability

Goodness of fit.

Which of the following would generally have unlimited liability? A limited partner in a partnership

A shareholder in a corporation

The owner of a sole proprietorship

A member in a limited liability company (LLC) Question

What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability

Single tax filing

Difficult ownership resale

Raising capital

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unlimited

Which of the following enjoys limited liability? A general

partnership

A Corporation

A sole proprietorship None of the given

options

In which type of business entity the entire ownership interest is transferable

most freely ?

General partnership Limited

partnership Corporation

Limited liability company

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unlimited

3rd file correct

1. In which meeting of the joint stock company, the board of directors is elected by the shareholders?
Annual General Meeting (L 5)

2. The two major sources of raising funds for financing a business are
Owner's Capital, Borrowed Funds (L 3)

3. Competitor analysis is discussed under the following part?
   - Marketing part
   - Financial part
   - Production part
   - All of the given Option

4. Which of the following statement is false?
   - Joint Venture do not Provide opportunities to acquire new expertise
   - Joint Venture allow to enter in new geographic markets
   - Joint Venture allow to gain new technological knowledge
   - Joint Venture allow to Sharing of specialized staff and technology
   - haring of risks

5. In what type of business, expansion is comparatively difficult than others
Sole Proprietorship

6. Which government economic policy determines the size of a nation's supply of money?
Monetary policy

7. Which one of the following is NOT a type of business organization?
Cooperative Societies

8. _____is the simplest form of business organization, which is owned and controlled by one man
Sole Proprietorship

9. Which of the following is not the objective of directors meeting?
To issue debentures

10. Which of the following factor(s) contribute to success of new business?
   - Competence
   - Market Knowledge
   - State Laws
   - All of the given options

11. A period of business cycle that is characterized by high employment rate may be the period of
Recession
Expansion
Contraction
All of the given option

12. Statutory report must be send to the shareholders before meeting that is certified by atleast
3 directors including CEO

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13. All of the following are uncontrollable factors for success in business EXCEPT

Competence

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14. _____is one who has invested the maximum amount in the business
Senior Partner

15. Annual General Meeting is the meeting of the company that held
Once in a year

16. _____is not liable for the debt of the partnership business
Sub Partner

17. In what type of business there is easiest dissolution?
Sole Proprietorship

18. The registration of joint stock company is
Compulsory

19. A major disadvantage of the corporate form of organization is the
Double taxation of the dividends

20. The relationship between the persons who have agreed to share the profit of a business carried on by all or any one of them acting for all is called
Partnership

21. Economist and policy makers are interested in Demographic attributes to determine the
Supply Patterns
Skilled labor Force
Demand patterns
All of the above

22. Which document contains the objectives of the business and the ways to achieve those objectives?
Business Plan

23. Two or more organizations combine together and form a new organization
Merger

24. The word 'limited' at the end of the company name means
Shareholders has limited liability

25. One man one vote principle is applied in_____
Cooperative society

26. Total value of all goods and services produced within a given period by a national economy through domestic factors of production
GDP

27. Total quantity of goods and services produced by an economic system during a given period is called
Aggregate output

28. _____meeting is the first meeting after commencement of business
Statutory Meeting

29. In sole proprietorship business entire finance is provided by
All of the given options

unlimited

Remember Own Prayer

30. Competitor analysis is discussed under the following part?
Marketing Part

31. Which of the following is not the disadvantage of cooperative society?
Lack of secrecy D/# 9
No profit incentive D/# 8
Untrained Supervision D/# 2
Protection of Mutual Interest Ad # 15

32. The first stage in Evolution of business
is:Industrial revolution
Marketing era
Entrepreneurship
Globalization

33. _____is a kind of loan which is acquired from the market
Dividend
Debenture
Paid up capital
None of the given option

34. The law relating to joint stock companies has been laid in companies Ordinance
1984

35. All of the following personal characteristics are found in an entrepreneur except:
Follower
Perceptive
Independent mind
Self Confident

36. The liability of each member in cooperative society is
limited to the share capital

37. Which of the following is NOT a secondary industry?
Genetic Industry

38. The first annual general meeting should be held with the_____months of incooperation of a company
18 months

39. In which type of business, banks hesitate to give loans?
Co-operative Society
None of the given option

40. Who signs the document on behalf of the joint stock company?
Common seal is used for its signature

41. Which of the following is included in a business
planFinancial Information
Production
PlansMarket
analysis
All of the above option

unlimited

Remember Own Prayer

42. Certificate of commencement is issued by the

Remember Own Prayer

Registrar of the companies

43. Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called

Foreign trade/ International trade

44. The policy regarding government revenues and expenditures is known as
Fiscal Policy
Monetary Policy
Stabilization
Policy

All of the given option

45. Partners will have to pay all the debts of the business even from their personal property.

Unlimited Liability

46. _____meeting must be held at least once in three months and at least four times in a year.

Director's meeting

47. Auditors are generally appointed and their remuneration, fixed at the

Annual General Meeting

48. Which of the following is the characteristic that should exist to recognize a partnership business?

Must be registered

49. Which of the following document contains the name and address of the joint stock company?

Memorandum of Association

50. First meeting of the members of public limited company is known as:

Statutory meeting

51. Social welfare is one of the objectives of:
Partnership
Private company
Co-operative Society
Public limited company

52. Which of the following have powers of decision making in Joint Stock Company?Shareholders
A member

Board of directors

All of the given option

53. Which one of the following is NOT a type of business organization?

Sole creditor ship

54. Which one of the following can be the strength of an organization?
New market opportunities
Low employee's turnover
Presence of few competitors
Presence of non-price competitors

55. Business may be defined as an economic activity undertaken with a motive of earning profit by satisfying unlimited

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human needs in society. The term economic activity includes the activities with the motive of:
Social justice
Earning profit
Collective benefits

Remember Own Prayer

Personal Satisfaction

56. Following are the advantages of cooperative society except:

Lack of profit incentive

60. In which part we see about customers, their liking, locality and purchasing power

Marketing Part

61. All of the following are the advantages of doing joint Venture. EXCEPT

Not allow to enter in new geographic markets

62. Which of the following is the specific characteristic of partnership business?

- Written partnership agreement
- Profit sharing
- Limited liability
- All of the given option

60. Which of the following is a partner who does not take part in the management of the business i knownto the public

Sleeping partner

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4th file correct

1. In which meeting of the joint stock company, the board of directors is elected by theshareholders?
   Annual General Meeting (L 5)

2. The two major sources of raising funds for financing a businessare
   Owner's Capital, Borrowed Funds (L 3)

3. Competitor analysis is discussed under the followingpart?
   - Marketingpart
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   - Productionpart
   - All of the givenOption

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   - Joint Venture allow to Sharing of specialized staff andtechnology
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Monetary policy

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    - Competence
    - MarketKnowledge
    - StateLaws
    - **All of the givenoptions**

11. A period of business cycle that is characterized by high employment rate may be the period of
    Recession
    Expansion
    Contraction
    All of the given option

12. Statutory report must be send to the shareholders before meeting that is certified byatleast
    directors including CEO
    unlimited

Remember Own Prayer

13. All of the following are uncontrollable factors for success in businessEXCEPT

Competence

Remember Own Prayer

14. is one who has invested the maximum amount in the business SeniorPartner

15. Annual General Meeting is the meeting of the company that held Once in ayear

16. is not liable for the debt of the partnership business SubPartner

17. In what type of business there is easiestdissolution?
Sole Proprietorship

18. The registration of joint stock company isCompulsory

19. A major disadvantage of the corporate form of organization isthe
Double taxation of the dividends

20. The relationship between the persons who have agreed to share the profit of a business carried on by all or any one of them acting for all is called
Partnership

21. Economist and policy makers are interested in Demographic attributes to determine the SupplyPatterns
Skilled
labor
Force
Demand
patterns**A**
ll of the
above

22. Which document contains the objectives of the business and the ways to achieve thoseobjectives?
Business Plan

23. Two or more organizations combine together and form a neworganization
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Cooperative society

26. Total value of all goods and services produced within a given period by a national economy through domestic factors of production
GDP

27. Total quantity of goods and services produced by an economic system during a given period iscalled

unlimited

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Aggregate output

28. meeting is the first meeting after commencement of business Ans **None of the above**

StatutoryMeeting

29. The form of business that generally has the largest sales volume is the corporation

30. Which of the following business type can avail some concession from thegovernment

Joint stock company

31. In sole proprietorship business entire finance is provided by

All of the given options

32. Competitor analysis is discussed under the following part?

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No profit incentive D/# 8
Untrained Supervision D/# 2

Protection of Mutual Interest Ad # 15

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Industrialrevolution
Marketing era
Entrepreneurship
Globalization

35. is a kind of loan which is acquired from the market Dividend

Debenture

Paid up capital
None of the given option

36. The law relating to joint stock companies has been laid in companiesOrdinance 1984

37. All of the following personal characteristics are found in an entrepreneurexcept:

Follower
Perceptive
Independent mind

unlimited

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Self
Conf
ident

38. The liability of each member in cooperative societyis

Limited to the share capital

39. Which of the following is NOT a secondaryindustry?

Genetic Industry

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41. In which type of business, banks hesitate to giveloans?

Co-operative
Society None of
the given option

42. Who signs the document on behalf of the joint stock company?

Common seal is used for its signature

43. Which of the following is included in a business plan

FinancialInformation
Produc
tion
Plans
Marke
t
analysi
s

All of the above option

44. Certificate of commencement is issued bythe

Registrar of the companies

45. Trade or exchange of goods and services between two or more independent countries for their mutual advantages iscalled

Foreign trade/ International trade

46. The policy regarding government revenues and expenditures is known as FiscalPolicy

M
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unlimited

Remember Own Prayer

Policy

Stabilization

Policy

All of the given option

47. Partners will have to pay all the debts of the business even from their personalproperty.

Unlimited Liability

48. meeting must be held at least once in three months and at least four times in ayear.

Director's meeting

49. Auditors are generally appointed and their remuneration, fixed atthe

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50. Which of the following is the characteristic that should exist to recognize a partnershipbusiness?

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51. Which of the following document contains the name and address of the joint stockcompany?

Memorandum of Association

52. First meeting of the members of public limited company is knownas:

Statutory meeting

53. Social welfare is one of the objectives of:

unlimited

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Partnership
Private company
Co-operative Society
Public limited company

54. Which of the following have powers of decision making in Joint Stock Company? Shareholders
A member
Board of directors
All of the given option

55. Which one of the following is NOT a type of businessorganization?
Sole creditor ship

56. Which one of the following can be the strength of an organization? New marketopportunities
Low employee's turnover Presence of few competitors
Presence of non-price competitors

57. Business may be defined as an economic activity undertaken with a motive of earning profit by satisfying human needs in society. The term economic activity includes the activities with the motiveof:
Social justice
Earning profit
Collective benefits

[redacted]

5th file correct

1. **All of the following barriers exist due to economic differences in international trade Except.**

Different environment

2. **All of the following statements are true regarding partnership except_____.**

There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits.

3. **The form of business organization that generally has the largest volume is the _____.**

Corporation

4. **Which of the following is NOT a secondary industry?**

unlimited

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Genetic industry

5. **Which of the following is a primary industry?**

Extractive industry and Genetic industry ….both

6. **Which of the following is a Secondary industry?**

Constructive , manufacturing, services industry…all options

7. **Which of the following is the partner who does not take part in the management of the business but is known to the public. He is liable to the creditors of the film?**

Silent partner

8. **Which of the following is the partner who takes active part in the affairs of business and its management. He contributes his share in the capital and is liable to pay the obligations of the firm?**

Active partner

9. **Which of the following is the partner who takes active part in the affairs of the business but is unknown to the public as a partner. He is liable to the creditors of the firm?**

Secret partner

10. **Which of the following is the partner who only contributes is the capital but does not take part in the man agement of the business. He is liable to pay the obligations of the firm?**

Sleeping partner

11. **Which of the following is the partner who invests a large portion of capital in the business. He has a prominent position in the firm due to his experience, skill, energy, age and other facts?**

Senior partner

12. **Which of the following is the partner in a firm can make an agreement with a stranger to share the profits earned by him from the partnership business. He is not liable for any debt and can not interface in the business matters?**

Sub- partner

13. **Which of the following is a person who has a small investment in the firm and has a limited experience of business?**

Junior partner

14. **Which of the following is a person who is over 18 years of age. A person is allowed to make contract when he has attained the age of majority?**

Major Partner

15. **Which of the following is a person who is minor cannot enter into a valid contract. However, he can bec**

Remember Own Prayer

ome a partner with the consent of all other partners. He can share profits of a business but not the losses?

Minor Partner

16. Which of the following is a
partner who neither contributes in capital nor does he take part in the man agement of
the business but allows his name to be used in the business is known as. He is individually and jointly liable for the debts of the firm along with other partners?

Nominal Partner

17. Which of the following is A partner whose life has expired is known as.
The share of capital and
profit of such partner is paid to his legal heirs in lump sum or in installment ?

Deceased Partner

18. Which of the following is a
A partner whose liabilities are limited to his share in business is called. He cannot take active part in the management of the firm?

Limited Partner

19. Which of the following is a
A partner whose liabilities are unlimited is known as. He and his personal property both are liable to clear the debts of the firm?

Unlimited Partner

20. Which of the following is a
A person who is newly admitted in the firm with the consent of all the partne rs. He is not liable for any act of the firm performed before he became the partner unless he agrees.

Incoming partner

21. Which of the following is a
A partner who leaves the firm due to certain reasons is known as.
He is liable to pay all the obligations and debts of the firm incurred before his retirement?

Retired Partner

22. Which of the following is a
a partner is entitled to receive certain share of profits and is not held liable f or losses is known as .
He is not allowed to take part in the management of the business?

Partner in profits only

23. Which of the following is a
A person, who was the partner of a firm but has now retired from active par ticipation in
business and has left his capital in the business as a loan, receiving interest o n it, is known as ?

unlimited

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Quasi Partner

24. Which of the following is a

A person who holds himself out as a partner of a firm, before a third party o r allows other to do so, though he is not a partner of that firm, is called. He is not entitled to any right like other partners of the firm. He is not entitl ed to any right like other partners of the firm. He is personally liable to the third party for the credit given to the firm, on the faith of his representation.

Partner by Estoppel

25. Which of the following is NOT the characteristic of a business?

Voluntarily contribution

26. Which of the following is a characteristics of a business?

CAPITAL, CREATION OF UTILITY, DEALING IN GOODS AND SERVICES, Employment, Islamic Process, Motive, Organization, Productions or Purchase of goods, Regular transaction, Risk and uncertainly, Sale or transfer for value, Social welfare ……. ALL OPTIONS

27. The difference in value between a country's exports and imports is called

Balance of trade

28. Those countries where people are earning US $9000 or more.

High income countries

29. Those countries where people are earning between US $765 and $9000

Middle income countries

30. Those countries where people are earning below US $765.

Lower income countries

31. The country becomes a _____ when the value of imports exceeds than value of exports in the balance of trade.

Creditor

32. Which of the following is not an example of non-profit making organization?

Partnership

33. _____ meeting must be held at least one in three months and at least four times in a year.

Director meeting

34. On which of the following dates companies ordinance came into force?

January 1, 1985

35. Statutory meeting is held by which of the following companies?

All options

36. Environmental forces that are controllable are called?

Internal forces

37. Statutory report must be send to the shareholder before meeting that is certified by at least;

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3 directors of CEO

38. A major disadvantage of the corporate form of organization is the _____-.

Double taxation of dividends

39. The activity directed towards producing wealth through buying and selling goods is termed as ?

Business

40. 'One man one vote' principle is applied in _____.

Co-operative society

41. First directors are usually named in the _____.

Articles of Association

42. The rules and regulations of a co-operative society are formed in its_____.

Co-operative rules

43. Annual General Meeting of the company that held.

Once in a year

44. The person who takes the major risks of a business by committing equity and time is known as

Partner

45. In which type of business, Government gives the financial assistance?

Joint stock company

46. In which stage of the company formation, MOA and AOA are submitted in the registrar's office?

Incorporation stage

47. Which of the following factor(S) contribute to success of new business.

All options

48. Social welfare is one of the objectives of:

Public limited company

49. Which of the following business form has the shortest life span?

Sole- partnership

50. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as_____.

Economics activities

51. Business benefits the people by providing them.

Large number of services

52. Which of the following can be the strength of an organization?

High employers turnover

53. In which of the following industry, raw material is converted into finished or semi finished goods

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Manufacturing

54. WTO was established in _____

January 1995

55. Franchiser gets a large amount of money from franchisee as _____ while using its name.

Fee

56. All of the following form of business has high failure rate EXCEPT.

Sole proprietorship

57. Which of the following is included in economic factors?

Exchange rate

58. First meeting of the members of public limited company is known as_____

Statutory meeting

59. Which industry is concerned with the extraction and production of raw materials?

Primary industry

60. Which industry use raw materials and make useful goods?

Secondary industry

61. The liability of a sole trader is.

Unlimited

62. A major advantage of the corporate form of organization is _____

Reduction of double taxation

63. A period of business cycle that is characterized by high employment rate may be the period of;

All options

64. It is difficult to transfer the rights of ownership in?

Sole proprietorship

65. Which of the following is not the adjective of the directors meeting?

To recommend dividend

66. The law relating to joint stock companies has been laid in companies ordinance?

1984

67. First directors are usually named in the _____.

Articles of association

68. The law relating to joint stock company has been laid in companies ordinance, 1984 which came into force on _____ in Pakistan.

Januray 1985

unlimited

Remember Own Prayer

69. In which stage of the company formation, MOA and AOA are submitted in the register's office

Incorporation stage

70. The registration of a joint stock company is;

Compulsory

71. A major disadvantage of the corporate form of organization is the _____.

Double taxation of dividends

72. Which of the following statement is false.

Joint Venture do not provide opportunities to acquire new experitise

73. The relationship between persons who have agreed to share the profits of a business carried on by all or any one of them acting for all is called _____

Partnership

74. In which economy, the government decides that how many resources have to bee generated and how the resources should be allocated?

Planned economy

75. Economist and policy makers are interested in Demographics attributes to determine the ;

Demand patterns

76. Which document contains the objective of the business and the ways to achieve those objectives?

Business plan

77. _____ is the simplest form of business organization, which is owned and controlled by one man

SOLE PROPRIETORSHIP

78. Two or more organization combine together and form a new organization.

Merger

79. The word 'limited' at the end of the company name means;

Shareholders has limited liability

80. Which entity supervises the work of all cooperative societies?

Cooperative department of provincial government

81. Barriers to international trade include;

All options

82. _____- generally has unlimited liability

The owner of a sole proprietorship

83. Investment, revenue, expenses and net profit is discussed in _____ of business plan?

unlimited

Remember Own Prayer

Financial part

84. A document that contains rules and regulations of the company.

Articles of association

85. The buying and selling of goods by way of electronic media, such as telephone is called;

E-commerce

86. Which of the following can be the situation of wound up of a company?

All options

87. The list annual general meeting should be held with the _____ of incorporation of a company.

16 month

88. The sale of products and services via internet is fall under the;

E-commerce

89. Which of the following is required the certificate of commencement?

A public limited company

90. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as_____

Non ecnomiecs activites

91. Which of the document contains the objectives of the business and the ways to achieve those objectives?

Business plan

92. Auditors are generally appointed and their remuneration, fixed at the _____

Annual general meeting

93. A _____ imposes limits on the quantity of a good that can be imported over a period of time.

Tariff

94. Which of the following is a new trend in which two or more organization combine together and form a new organization?

Merger

95. If the value of exports exceeds than value of imports the balance of trade is said to be favorable or a.

Trade barrier

96. Which mode of the business is formed when several business concern undertaking units are combined to carry on the business together fro achieving the economic benefits?

Combination

97. All of the following best describes the practice of corporate social responsibility, EXCEPT;

Interaction with government

unlimited

Remember Own Prayer

98. Compared to licensing, franchising is a more advantageous entry mode because;

All options

99. Which of the following business type can avail some concessions from the government?

Joint stock company

100. The first stage in Evolution of business is;

Entrepreneurship

101. A sole proprietorship business may have;

All options

102. An agreement between two parties in which one party passes on the right to other party is called;

Franchising agreement

103. Which of the following can be the situation of wound up of a company?

All options

104. The liability of each member in cooperative society is .

Limited to the share capital

105. In what type of business, Expansion is comparatively difficult than others.

SOLE PROPRIETORSHIP

106. Following are the advantages of cooperative society except;

Lack of profit incentive

107. Goods produced domestically and sold in some other country is called_____

Exports

108. Total income of the country/ Total population is the formula to calculate.

Per capita Income

109. A market survey is important because it tells you;

All options

110. Which of the meetings is held only once in the life of a public company?

Statuary meeting

111. When a business enters into a legal arrangement to allow its name and product& services to be used by others for a fee it is called

Franchising

112. Which of the following factor(s) contribute to success of new business

All options

unlimited

Remember Own Prayer

113. In which type of business, Government gives the financial assistance?

Co-operative society

114. A person or an organization that works for an exporter or importer is called _____

Independent

115. Which of the following documents contains the name and address of the joint stock company?

Memorandum of association

116. All of the following barriers exist due to economic differences in international trade EXCEPT;

Different environment

117. The form of business organization that generally has the largest sales volume is the;

Corporation

118. Which of the following is NOT the characteristics of a business?

Voluntarily contribution

119. Which of the following is not an example of non-profit making organization?

Partnership

120. Which of the following can be categorized an opportunity for an organization?

Good product development

121. Which of the following is NOT the characteristics of a business?

Voluntarily contribution

122. Sole proprietorship always enjoys;

100% of profit after tax

123. Which of the following can be categorized as opportunity for an organization?

Good product development

124. A document that contains rules and regulations of the company.

Articles of association

125. The notice calling the annual general meeting, must be given to all its members at least

21 days

126. It is difficult to transfer the rights of ownership in ?

Sole proprietorship

127. Which of the meetings is held only once in the life of a public company?

Statuary meeting

128. Which of the following is an example of genetic industry?

Remember Own Prayer

Poultry farms

129. Which of the following have not active participation in the management of the partnership firm?

All options

130. The notice of the statutory meeting must be sent to each _____ at least _____ before the meeting.

Shareholders, 21 days

131. In which meeting of the joint stock company, the board of directors is elected by the shareholders?

Annual General meeting

132. Which of the following should be considered when designing a business plan?

All options

133. Who signs the documents on behalf of the joint stock company?

Common seal is used for its signature

134. _____ is a kind of loan which is acquired from the market.

Debenture

135. Partners will have to pay all the debts of the business even from their personal property.

Unlimited liability

136. A phenomenon in which a person searches for an opportunity and try to avail it is called

Entrepreneurship

137. In which forms of business one party gives the right to other party to do the business by using his name and trademark?

Franchising

138. Which of the following enjoys limited liability?

A corporation

139. Which for the following statement is false?

One reason for failure small business is that most entrepreneurs are younger than 25 years old

140. All of the following best describes the practice of corporate social responsibility, Except

Interaction with government

141. Which of the following can be categorized as opportunity for an organization?

Good product development

142. Which of the following have powers of decision making in joint stock company?

Board of directors

unlimited

Remember Own Prayer

143. It is difficult to transfer the rights of ownership in?

Sole proprietorship

144. The notice calling the annual general meeting, must, be given to all its members at least _____ days before the date of the meeting

21 days

145. ALL of the following can be the advantage of the franchise business. Except

Independency of business

146. Occurrence of widespread price increases throughout an economic system

Inflation

147. The form of business organization that generally has the largest sales volume is the

Corporation

148. The limit imposed by one country on importing commodities from another country is known as

Quota

149. Statutory meeting is held by which of the following companies?

All options

150. Two or more organization combine together and form a new organization.

Merger

151. Which of the following is a new brand in which two or more organization together and form a new organization

Merger

152. Which is the first stage in the formation of joint stock company?

Promotion stage

153. Which of the following is NOT an attribute of sole proprietor ship business?

Unlimited liability

154. Certificate of Commencement is issued by the

Registrar of the companies

A market survey is important because it tells you;

ALL options

155. Two or more people or organizations join hands and decide to do a business, formed a separate

Joint venture

156. Which of the following is the total output of goods and services produced by an economic system is a given period of time?

Aggregate output

unlimited

Remember Own Prayer

157. When a person provides his services to society on the basis of his specialized knowledge and experience is terms

Profession

158. _____ are the government taxes on import that raise the price of foreign goods and make less competitive goods

TAriffs

159. _____ describes the government payments given to certain industries to help offset some of their costs of production?

Subsides

160. Auditors are generally appointed and their remuneration, fixed at the _____

Annual meeting

161. The relationship between persons who have agreed to share the profits of a business carried on by all or any one of them acting for all is called

Partnership

162. The formation of _____ does not require any legal formality like registration

Sole proprietorship

163. A period of business cycle that is characterized by high labor turnover may be the period of _____

Expension

164. _____ can expand their business by selling shares in the stock market

Joint stock company

165. The general Agreement on tariffs and trade (GATT) is based on the principle of

Tariff reduction through international negotiations

166. First directors are usually named in the_____

Articles of association

167. _____ describes the government-imposed restrictions on the quantity of a good that can be imported over a period of time

Quota

168. In which meeting of the joint stock company the board of directors is elected by the shareholders?

Annual general meeting

169. Statutory meeting is compulsory for;

All options

170. Which of the following is not the disadvantage of cooperative society?

Remember Own Prayer

Protection of mutual interest

171. The liability of each member in cooperative society is;

Limited to the share capital

172. In the business plan, when making financial projections, which of these would NOT form part of the plan?

Audit

173. Which of the following EXCLUDED from the advantages of sole proprietorship?

Unlimited liability

174. Concessions provided by a country to its producers to protect the economy is called a _____

Subsidy

175. Which of the following business form has the shortest life span?

Sole proprietorship

176. Which of the following option is true for the characteristics of a limited company?

Delayed decision

177. A major disadvantages of the corporation form of organization is the _____.

Double taxation of dividends

178. Competitor analysis is discussed under the following part?

All options

179. A phenomenon in which a person searches for an opportunity and try to avail it is called

Entrepreneurship

180. In which form of business one party gives the right to other party to do the business by using his name and trademark?

Franchising

181. Which of the following enjoys limited liability?

A corporation

182. Two or more people or organizations join hands and decide to do a business, formed a separate entity is called_____

Joint venture

183. Which of the following statement is false?

One reason for failure small business is that most entrepreneurs are younger than 25 years

184. All of the following best describes the practice of corporate social responsibility, Except

Interaction with government

unlimited

Remember Own Prayer

185. For a private limited company, minimum number of members are - _____

2

186. Which of the following are NOT invited in the annual general meeting of a company?

Debenture holders

187. Issuing shares and debentures belong to the _____ of the company?

Commencement

188. The most important step in understanding business ethics is

Establishing codes of ethics

189. All of the following fall in the category of ' business' except

Construction of houses for personal use

190. _____ is the simplest form of business organization, which is owned and controlled by one man

SOLE PROPRIETORSHIP

191. The first annual general meeting should be held with the ____ of incorporation of a company

18 months

192. The relationship between person who have agreed to share the profits of a business carried one by all or any one of them acting for all is called.

Partnership

193. Which of the following is NOT the advantage of cooperative society?

Monopoly

194. Balance sheet of a company reflects

Organization's financial health at a specific point of time

195. Identity, what can be the biggest advantage of a small partnership over a sole proprietorship?

Capital can be raised easily

196. Effective interest rate is different from nominal rate of interest because;

All options

197. Which of the followings equation will be used to calculate future value of ordinary annuity?

FV= CCF(1+i)^n-1

198. Which of the following are known as Discretionary financing?

Long term liabilities

199. Suppose sales of company 's' have increased from RS 500,000 to RS 650,000 after 1 year. What will be the sale growth rate of company S?

Remember Own Prayer

130%

200. What is the present value of Rs, 10,000 to be paid at the end of five years if interest rate is 10% compounded annually?

Rs 6,209

201. Which of the following technique is used to select different investment options so as to reduce risk of losing the invested money?

Diversification

202. The formula to calculate future value of an amount using simple interest is.

FV=PV/(1+i)n

203. Which of the following item is used to estimate the cash flows while employing percentage of sales method?

Sales revenue

204. Formation of _____ is very lengthy, very complicated and very technical job?

Joint stock company

205. Goods produced domestically and sold in some other country is called _____

Exports

206. First directors are usually named in the _____

Articles of association

207. Occurrence of widespread price increases throughout an economic system

Infliation

208. A_____ imposes limits on the quantity of a good that can be imported over a period of time.

Quota

209. A document that contains the terms and conditions of the business.

Partnership deed

210. Which of the following is a new trend, in which one business acquires the other business instead of combining

Accquisition

211. Which of the following is a new trend in market in which two or more organizations combine together and form a new organization.

Merger

212. Which of the following is two or more than two organizations collaborate for mutual profits.

Strategic alliance

213. The situation when a country imports less than it exports is;

A trade sirpus

Remember Own Prayer

214. The formation of ___ does not require any legal formality like registration.

Sole proprietorship

215. The sale of products and services via internet is fall under the;

E-commerce

216. When a business enters into a legal arrangement to allow its name and product & services to be used by others for a fee it is called.

Franchising

217. According to the companies ordinance the _____ must be held in once in a year.

Annual general meeting

218. In which part we see about customers. Their liking, locality and purchasing power

Financial part

219. Altering the articles of association requires _____ resolution.

Special

220. Total value of all goods and services produced within a given period by a national economy through domestic factors of production.

GDP

221. In which type of business, banks hesitate to give loans?

None options

222. When international trade restricts to safely, which one of the following barriers exists?

Subsides

223. A business related to the construction of roads and is categorized as.

Secondary industry

224. Election of directors and appointment of auditors is the objectives of _____.

Annual general meeting

225. _____ is a written document which contains the objectives of the business and the ways to achieve these objectives.

Business plan

226. Which of the following is not the disadvantage of cooperative society?

Remember Own Prayer

Protection of matual interest

227. A person or an organization that works for an exporter or importer is called.

Independent

228. Issuing shares and debentures belong to the _____ of the company?

Capital subscription

229. Which of the following can be categorized as opportunity for an organization?

High employee turnover

230. Which of the following have powers of decision making in Joint Stock Company?

Board of directors

231. It is difficult to transfer the rights of ownership on?

Sole proprietorship

232. The notice calling the annual meeting, must, be given to all its members at least _____ days before the date of the meeting

21 days

233. Which of the following is held only one in the life of a public company?

Statuary meeting

234. Which one of the following is NOT a type of business organization?

Cooperative society

235. Which of the following is not an example of non-profit making organization?

Partnership

236. All of the following can be the advantage of the franchise business. Except

Independency of business

237. THE limit imposed by one country on importing commodities from another country is known as;

Remember Own Prayer

Quota

238. When international trade restricts due to safety, which one of the following barriers exists?

Laws

239. In what type of business, there is easiest dissolution?

Sole proprietorship

240. Which is the first stage in the formation of Joint Stock Company?

Promotion stage

241. Which of the following is NOT an attribute of sole proprietor ship business?

Unlimited liability

242. Certificate of Commencement is issued by the;

Registrar of companies

243. Profit distributed among shareholders is called_____

Dividend

244. _____ generally has unlimited liability.

The owner of a sole proprietorship

245. _____ describe the government payments given to certain industries to help offset some of their costs of production?

Subsides

246. The term tariff, as used in international trade, refers to;
A tax on imports

247. To think about benefiting the society and avoid harmful activities for the society is called_____

Corporate social responsibility

248. When a person provides his services to society on the basis of his specialized knowledge and experience is termed as

Profession

249. _____ are the government taxes on imports that rise the price of foreign goods and make them less competitive with domestic goods

Tariff

unlimited

Remember Own Prayer

250. The activity directed towards producing wealth through buying and selling goods is termed as?

Business

251. Economist and policy makers are interested in Demographic attributes to determine the _____

Demand patterns

252. First directors are usually named in the _____

Memorandum of association

253. Environmental forces that are controllable are called?

Internal forces

254. The relationships between who have agreed to share the profits of a business carried on by all or any one of them for all is called;

Partnership

255. In which economy, the government decides that how many resources have to be generated and how the resources should be allocated?

Planned economy

256. _____ is the simplest form of business organization, which is owned and controlled by one man

SOLE PROPRIETORWSHIP

257. Which document contains the objectives of the business and the ways to achieve those objectives?

Business plan

258. The world 'limited' at the end of the company name means;

Shareholders has limited company

259. The registration of a joint stock company is;

Compulsory

260. All of the following barriers exist due to economic differences in international trade EXCEPT;

Different environment

261. Which of the following is NOT the characteristics of a business?

Voluntarily contribution

262. The difference in value between a country's exports and imports is called

Remember Own Prayer

Balance of trade

263. All of the following are the controllable factors for success in business EXCEPT;

State laws

264. Auditors are generally appointed and their remuneration fixed at the _____

Annual general meeting

265. The two major sources of raising funds or financing a business are

Owner's capital & borrowed funds

266. Which of the following in the ethical behavior(s) in managerial Practices?

All options

267. _____ is one who has invested the maximum amount in the business?

Senior partner

268. Statutory meeting must be held within _____ of the environment of the business.

3 months to 6 months

269. In _____ a central body will allocated the resources and then decode how these resources will be distributed.

Planned economy

270. If the value of exports exceeds than value of imports the balance of trade is said to be favorable or a

Trade surplus

271. In which of the following industry, raw material is converted into finished or semi finished goods

Manufacturing

272. The first stage in Evolution of business is

Industrial revolution

273. Which of the following does NOT belong to the right of the business?

None options

Remember Own Prayer

1. **Those countries where people are earning below US $ 765 are known as:**

   Low income countries

2. **A document that contains rules and regulations of the company.**
   Articles of association
3. **A major disadvantage of the corporate form of organization is the _____.**

   Double taxation of dividends

4. **An agreement between two parties in which one party passes on the right to other party is called:**

   Franchising agreement

5. **Competitor analysis is discussed under the following part?**

   Marketing part

6. **For a private limited company, minimum number of members are _____.**

   2

7. **A sole proprietorship business may have:**

   All of the given

8. **The first annual general meeting should be held with the _____ of incorporation of a company.**

   18 months

9. **In which economy, the government decides that how many resources have to be generated and how the resources should be allocated?**

   Planned economy

10. **_____ is no liable for the debt of the partnership business.**

    Sub partner

Remember Unlimited

11. Franchiser gets a large amount of mony from franshisee as _____ while using its name.

Interest

12. The two major sources of raising funds or financing a business are:

Owner's capital & borrowed funds

13. Set of organizational activities directed at attracting, developing, and maintaining an effective workforce is called:
Human resource Management

14. Total quantity of goods and services produced by an economic system during a given period is called
Aggregate output

15. The activity directed towards producing wealth through buying and selling goods is termed as?
Business

16. Filling out the vacant positions is?
Staffing

17. The two major sources of raising funds or financing a business are:
Owner's capital & borrowed funds

18. In which type of business, Government gives the financial assistance?
Joint stock company

19. Which of the following is EXCLUDED from the advantages of sole proprietorship?
Unlimited liability

20. EEO stands for:
Equal Employment Opportunity

21. In which of the following do two or more organizations collaborate on a project for mutual gain?
Joint venture

22. A person who practices the functions to achieve management's objectives?
Manager

Remember Own Prayer

unlimited

23. Auditors are generally appointed and their remuneration, fixed at the _____
Annual General Meeting

24. This management level is concerned with long-range planning for the organization.
Top Managerial

25. Which of the following business type can avail some concessions from the government?
Joint stock company

26. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as_____.
Business activities

27. It is difficult to transfer the rights of ownership in?
Sole Partnership

28. Which of the following is NOT a core function of management?
Motivating

29. A part of organization that requires separate planning is called?
Strategic Business Unit (SBU)

30. Which of the following is not an example of non-profit making organization?
Partnership

31. A document that contains rules and regulations of the company.
Articles of association

32. Money is the sole motivator for workers according to which of the following?
Theory X

33. _____ is one who has invested the maximum amount in the business?

Senior Partner

34. The law relating to joint stock company has been laid in Companies Ordinence, 1984 which came into force on _____ in Pakistan.

Jan-85

35. Who signs the documents on behalf of the joint stock company?

common seal is used for its signature

Remember Own Prayer

36. A form designed by the employer for the prospective employee to fill it out is called?

Application blank

37. An agreement between two parties in which one party passes on the right to other party is called:

Joint venture

38. A written statement of what a job holder does, how a job is done, and why a job is done is a_____:

Human resource inventory report

39. In what type of business,there is easiest dissolution?

Sole proprietorship

40. Sources of marketing information are categorized into two groups - what are they?

External sources; internal sources.

41. Which of the following factor(s) contribute to success of new businesses?

Hard work

42. Which of the following is not the objective of the Directors' meeting?

To issue debentures

43. A distribution channel represents the path of a product from a producer to:

Consumer

44. Which of the following Selection devices are based upon physical condition of the candidates:

Medical tests

unlimited

45. Which of the following factor(s) contribute to failures of new businesses?

All of the given

46. _____ are paid for short term period, e.g. for a day or for an hour or on the basis of units completed.

None of the given

47. What is mean by global organization?

Producing products for specific country

48. In franchising, all of the following are the rights of franchisee except:

Right to use factory location

49. A part of organization that requires separate planning is called _____.

None of the given

50. Those countries where people are earning below US $765?

Low income countries

51. Profit distributed among shareholders is called _____.

Dividend

52. In which approach of marketing: unstatisfied needs of the customers are satisfied?

Product oriented

53. Environmental forces that are controllable are called?

Internal forces

54. The notice calling the ammual general meeting, must be given to all its members at least _____ days before the date of the meeting.

21 days

55. First meeting of the members of public limited company is known as:

Statutory meeting

56. Dividing the market on the basis of area, climate and cultural values is called?

Geographical segmentation

57. Which of the following enjoys limited liability?

A corporation

58. DSS stands for:

Decision support system

59. All of the following personal characteristics are found in an entrepreneur except:

Follower

60. _____ meeting must be held at least once in three months and at least four times in a year.

None of the given

61. In which leadership style, there will be downward communication only.

Charismatic leadership style

62. To get a product that is up to the expectations of the customers comes under consumerism.

False

63. Business may be define as an economic activity undertaken with a motive of earning profit by satisfying human needs in society. The term economic activity includes the activities with the motive of:

Earning profits

64. Statutory meeting must be held within _____ of the commencement of the business

3 months to 6 months

65. The method of interviews where questions can be changed or adapted to meet the respondent's intelligence and understanding is called:

Unstructured interviews

66. Which types of organizations have expertise in selecting people for the job?

Recruitment agencies

67. Which of the following is not an example of non-profit making organization?

Partnership

68. Which of the following is an example of genetic industry?

Poultry Farms

69. All of the following is the barrier of international trade, Except:

Tariff

70. Which of the following is included in a business plan:

All of the given

71. The first time issuance of share is held in the:

Both in secondary and Primary market

72. Job Enrichment:

Is a programme through which management seeks greater productivity from worker

73. Which of the following condition must be fulfilled to obtain the "Certificate of commencement"?

unlimited

All of the given

74. **Decision about activities performed by the workers is called**

Organizing

75. **Which of the meetings is held only once in the life of a public company?**

Statutory meeting

76. **Total income of the country/Total population is the formula to calculate.**

Per Capita Income

77. **Which of the following documents contains the name and address of joint stock company?**

Memorandum of association

78. **All of the following fall in the category of "business" except:**

Construction of houses for personal use

79. **Limit imposed by one country or importing commodities from another country?**

Quoata

80. **Which of the following statement is true for the World Trade Organization (WTO):**

Sets tariffs to balance international trade among nations

81. **All of the following fall in the category of "business" except:**

Construction of houses for personal use

82. **Limit imposed by one country or importing commodities from another country?**

Quoata

83. **Marketing should begin with _____.**

All of the given

84. **The activities that are undertaken for personal satisfaction and not to earn profit or income are known as _____.**

Business activities

85. **Concessions provided by a country to its producers in order to protect economy?**

Subsidies

86. **Which of the following have powers of decisions making in Joint Stock Company?**

Board of directors

87. **Election of directors and appointment of auditors is the objectives of _____.**

Annual general meeting

88. **Annual General Meeting is the meeting of the company that held**

Once in a year

89. **Those who invest in joint stock companies is called:**

Shareholders

90. **_____ meeting is the first meeting after commencement of business.**

None of the given

91. **which mode of the business is formed when several business concern undertaking units are combined to carry on the business together for achieving the economic benefits?**

combination

92. **_____ describes life time objectives of the organization.**

All of the given

93. Those who invest in joint stock companies is called:

Shareholders

94. First meeting of the members of public limited company is known as:

Statutory meeting

95. Which of the following have powers of decisions making in Joint Stock Company?

Board of directors

96. Limit imposed by one country or importing commodities from another country?

Quoata

97. Which of the meetings is held only once in the life of a public company?

Statutory meeting

98. Sole proprietorship always enjoys:

100% of profit after tax

99. The first time issuance of share is held in the:

Both in secondary and Primary market

100. Decision about activities performed by the workers is called

Organizing

101. _____ are the government taxes on imports that raise the price of foreign goods and make them less competitive with domestic goods.

Income tax

102. Which of the following is NOT an aspect to purchase a franchise business?

unlimited

Attractive Location

103. Which of the following is not an example of non-profit making organization?

Partnership

104. The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:

Market penetrating

105. All of the following personal characteristics are found in an entrepreneur except:

Follower

106. Which of the following is included in a economic factors?

Value system

107. In what type of business,there is easiest dissolution?

Sole proprietorship

108. Goods produce domestically and sold in some other country is called:

Exports

109. Sources of marketing information are categorized into two groups - what are they?

External sources; internal sources

110. The first annual general meeting should be held with the _____ of incorporation of a company.

18 months

111. Dividing the market on the basis of area, climate and cultural values is called?

Geographical segmentation

unlimited

112. Which types of organizations have expertise in selecting people for the job?

Recruitment agencies

6th file correct

---------- is the lifeblood of every business.
goods
wealth
capital
buying

--------is connected with the production and preparation of goods and services.
business
system
social process
industry

---------- is the second component of business.
commerce
industry
primary industry
secondary industry

Commerce can be----------
trade
aids to trade
trade and aids to trade
home trade

A good business person must have the knowledge aboutskills.
personal
technical
leadership
decision making

---------- separates the organization from its environment.
external environment
multiple environment
economic environment
organizational boundaries

unlimited

Remember Own Prayer

Minimum members of public limited company should be

5

7

unlimited

Remember Own Prayer

Cooperative society is set up to protect economically the sections of the society.

Middle
Poor
Stable
Wealthy

Due to the absence of-------the performance of cooperative society is very poor.

Discipline
Experience
Capital
Profit incentive

---------- are the objectives that a business hopes and plan to achieve

Plans
Goals
Mission
SWOT analysis

In Private limited company minimum members can be 2 and maximum members should not exceed-------

50
20
10
40

A public company must have---- basic legal document.

2
3
5
6

A notice of annual general meeting should be sent to the shareholders at least days before the
date of meeting.

15
30
21
51

Company must hold an annual general meeting of its shareholders in a year.

once
twice
thrice
four times

unlimited

Remember Own Prayer

---------- skills are necessary to compete in a global environment.

Technical skills

Global management skills

Time management skills Human relation skills

Skills used in understanding and getting along with people is ----------

Decision making skillsTechnical skills

Human relation skills Conceptual skills

---------- are responsible for the development. pricing, promotion and distribution of goods and services

Operation manager

s **Marketing managers**

Information managersFinancial managers

Commerce can be----------

trade

aids to trade

trade and aids to trade

home trade

Minimum members of public limited company should be

5

7

9

10

Cooperative society is set up to protect economically the sections of the society.

Middle

Poor

Stable

Wealthy

[redacted]

unlimited

Remember Own Prayer

7th file correct

1. Which of the following must hold a statutory meeting?

Statutory companies

Private limited

companies

Public limited

companies

Chartered companies

2. Which of the following is NOT included in aids to trade?

Insurance

Warehousing

Transportatio

nForeign

trade

3. The portion of capital kept at the winding up of a company for the payment of debts is known

as:Reserve capital

Issued capital

Subscribed

capital

Authorized

capital

unlimited

Remember Own Prayer

4. Which of the following business type can avail some concessions from the government?

Sole proprietorship

Partnership

Joint Stock company

Cooperative society

Remember Own Prayer

5. While making financial projections in a business plan, which of these would NOT form part of theplan?

Source of

loan

Audit

Net income or

profitExpected

revenues

6. Which of the following are included in a business plan?

Financial information, production plans, personal

policies.Goals of the business and how they will be

achieved.

Market analysis

All of the given options.

7. Which of the following is not a reason for a business failure?

Managerial experience or

inexperienceEffective control

systems

Insufficient control

system

None of the given

options

8. In which of the following two or more organizations collaborate on a project for mutual gain?

unlimited **Limited**

Remember Own Prayer

partnership Public

corporation

Strategic alliance

None of the given options

9. The difference between a country's merchandise exports and its merchandise imports is the:

Remember Own Prayer

Current account

Capital account

Balance of trade

Balance of

payments

10. One of the best solutions to get rid of non-biodegradable wastes is:

Dumping

Recycling

11. The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid

Valid but not

reliableReliable

but not valid

Reliable but not

legal

12. According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarmfor her house is motivated to do so in an attempt to fulfill the following need:

Esteem

Securit

y

Remember Own Prayer

13. Douglas McGregor is associated with which of the following?

Scientific

management

Motivational factors

Theory X and theory

Y The Hawthorne

studies

14. Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

Safety

Self

actualization

Physiological

Social

Remember Own Prayer

15. Which of the following generic terms is not a management function?

Leading

Systemizin

gPlanning

Organizin

g

16. What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited

liabilitySingle

tax filing

Difficult ownership

resaleRaising capital

Remember Own Prayer

unlimited

17. Which of the following is the oldest form of business organization?

Sole

proprietorship

Partnership

Company

Cooperative

society

18. Which of the following is an advantage of a corporation that is *not* an advantage as a limitedpartner in a partnership?

Limited liability

Easy transfer of ownership

positionDouble taxation

All of the given options are advantages that the corporation has over limited partner

19. Examples of constructive industries

include:Canals

Fishery

Sugar

mills

Plant nurseries

20. Which of the following statement shows the Trade Deficit process?

A process in which country imports are higher than the

exportsA process in which country exports are equal to

Remember Own Prayer

the exports

A process in which country imports are less than the country exports

All of the given options

21. Name of the business should:

Be simple

Indicates the type of business

Be familiar

All of the given options

22. Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entrystrategy is Hormel using?

Licensing

Joint venturing

Contracting

Franchising

Remember Own Prayer

Remember Own Prayer

unlimited

MGT211 MEGA MCQS FILE FOR MID AND FINAL TERM EXAM (prepared by Izhar Ullah (izharullah149@gamil.com)

1. **Competitor analysis is discussed under the following part?**

    1. Marketing part
    2. Financial part
    3. Production part
    4. All of the given options

2. **Which one of the following statements about marketing is inaccurate?**

    1. The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
    2. Marketing has to do with persuading customers a product meets their needs.
    3. The mass market has fragmented into many different groups of customers.
    4. Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

3. **Goods produce domestically and sold in some other country is called:**

    1. Imports
    2. Exports
    3. Localization
    4. None of the given options

4. **Which of the following is not the disadvantage of cooperative society?**

    1. Lack of secrecy
    2. No profit incentive
    3. Untrained supervision
    4. Protection of mutual interest

5. **In franchising, all of the following are the rights of franchisee except:**

    1. Right to use name
    2. Right to use trade mark
    3. Right to use factory location
    4. Right to use systems and researches

6. **Statutory meeting must be held within _____ of the commencement of the business.**

    1. 1 year
    2. 3 months
    3. 6 months
    4. 3 months to 6 months

7. **The first annual general meeting should be held with the _____ of incorporation of a company.**

    1. 14 months
    2. 15 months
    3. 16 months
    4. 18 months

8. **The method of interviews where questions can be changed or adapted to meet the respondent's intelligence and understanding is called:**

    1. Unstructured interviews
    2. Structured interviews
    3. Qualitative interviews
    4. None of the given

9. **Which of the following have powers of decisions making in Joint Stock Company?**

    1. Shareholders
    2. A member
    3. Board of directors
    4. All of the given

10. Which of the following is an example of genetic industry?

1. Sugar mill
2. Poultry Farms
3. Textile industries
4. None of the given

11. In which type of Needs, Organizations encourage informal organizational activities. For example, combined lunch or dinner, Sports, Fun fair, Musical Programs etc.

1. Safety Needs
2. Biological Needs
3. Social Needs
4. Self Actualization

12. Election of directors and appointment of auditors is the objectives of _____.

1. Annual general meeting
2. Statutory meeting
3. Extra ordinary general meeting
4. None of the given

13. Which of the following is not the objective of the Directors' meeting?

1. To allot the share
2. To recommend dividend
3. To issue debentures
4. To make loans

14. Which of the following is not the example of primary industry?

1. Coal mining
2. Construction
3. Fish farming
4. Poultry farm

15. Which of the following issues the initial public offering (IPO)?

1. A Partnership firm
2. A private company
3. A public limited company
4. a multinational company

16. Which of the following condition must be fulfilled to obtain the "Certificate of commencement"?

1. Issuance of prospectus
2. Allotment of Shares
3. minimum Subscription
4. All of the given

17. A document that contains rules and regulations of the company.

1. Prospects
2. Memorandum of the company
3. Articles of association
4. All of the given

18. Marketing should begin with _____.

1. Potential customer needs
2. The production process
3. Identifying customer needs
4. All of the given

19. Which of the meetings is held only once in the life of a public company?

1. Extra ordinary meeting
2. Statutory meeting
3. Shareholders' meeting
4. Special meeting

20. The word "limited" at the end of the company name means:

1. It has limited capital
2. It has limited shareholders
3. Shareholders has limited liability
4. All of the given

21. A document that contains the terms and conditions of the business

1. Partnership deed
2. Limited partnership
3. Particular partnership
4. None of the given

22. Employees' tendency to leave the job in an organization is called _____.

1. Replacement chart
2. Skill inventory
3. Turnover
4. Retention

23. Which of the following statement is true for the World Trade Organization (WTO):

1. Sets tariffs to balance international trade among nations.
2. Is the successor to NAFTA.
3. Rules on trade disputes between nations.
4. Sets exchange rates to balance international trade among nations.

24. All of the following are the main features of a comparative form of organization, EXCEPT:

1. Voluntary association
2. One man one vote
3. Service motive
4. Religious and political extremism

25. The two major sources of raising funds or financing a business are:

1. Owner's capital & borrowed funds
2. Short term and long term loans
3. Debentures and drafts
4. Assets and long term loans

26. Which of the following are the functions of management?

1. Planning
2. Organizing
3. Coordinating
4. All of the given

27. Which of the following factor(s) contribute to failures of new businesses.

1. Managerial incompetence or inexperience
2. Neglect
3. Weak control system
4. All of the given

28. In which leadership style, there will be downward communication only.

1. Charismatic leadership style
2. Autocrtic Style
3. Democratic style
4. Free Rein Style

29. Filling out the vacant positions is called _____.

1. Leading
2. Organizing
3. Planning
4. Staffing

30. Profit distributed among shareholders is called _____.

1. Retained earning
2. Dividend

3. Debenture
4. All of the given

31. Decision about activities performed by the workers is called

1. Planning
2. Leading
3. Controlling
4. Organizing

32. Which of the following is included in a business plan:

1. Financial information
2. Production plans
3. Market analysis
4. All of the given

33. _____ is no liable for the debt of the partnership business.

1. Sub partner
2. Active partner
3. Sleeping partner
4. Secrete partner

34. Which theory describes that behavior can be encouraged or discouraged by means of rewards or punishments?

1. Theory X
2. Theory y
3. Reinforcement Theory
4. Agency theory

35. An agreement between two parties in which one party passes on the right to other party is called:

1. Franchising agreement
2. Joint venture

3. Merger
4. Reconsolidation

36. All of the following personal characteristics are found in an entrepreneur except:

1. Follower
2. Perceptive
3. Independent mind
4. Self-confident

37. Who signs the documents on behalf of the joint stock company?

1. one of the directors
2. Chief executive officer
3. common seal is used for its signature
4. General manager

38. All of the following is the barrier of international trade, Except:

1. Tariff
2. Quota
3. Embargo
4. Income tax

39. Which one of the following is NOT a type of business organization?

1. A company
2. Partnership
3. Sole creditorship
4. Co-operative societies

40. _____ meeting is the first meeting after commencenent of business.

1. Annual general meering
2. Extra ordinary general meeting
3. Monthly meeting

4. None of the given

41. Total income of the country/Total population is the formula to calculate.

1. Per Capita Income
2. Average Income
3. Population Income
4. Country Income

42. _____ meeting must be held at least once in three months and at least four times in a year.

1. Statutory meeting
2. Extra ordinary general meeting
3. Director's meeting
4. None of the given

43. What is mean by global organization?

1. Customizing the product range for each segment in part.
2. Craeting standardized products
3. Producing products for specific country
4. None of the given

44. Which of the following factor(s) contribute to success of new businesses.

1. Hard work
2. Market Demand
3. Luck
4. All of the given

45. An agreement between two parties in which one party passes on the right to other party is called:

1. Franchising agreement
2. Joint venture
3. Merger
4. Reconsolidation

46. Annual General Meeting is the meeting of the company that held

1. Each quarter
2. after 6 months
3. once in a year
4. None of the given

47. The law relating to joint stock company has been laid in Companies Ordinence, 1984 which came into force on _____ in Pakistan.

1. Dec-84
2. Jan-85
3. Aug-85
4. None of the given

48. The notice calling the ammual general meeting, must be given to all its members at least _____ days before the date of the meeting.

1. 21 days
2. 30 days
3. 45 days
4. 51 days

49. The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:

1. Market penetrating
2. Target Marketing
3. Relationship marketing
4. Market segmentation

50. First meeting of the members of public limited company is known as:

1. Intriductory meeting
2. Statutory meeting
3. Initial meeting

4. Special meeting

51. Business may be define as an economic activity undertaken with a motive of earning profit by satisfying human needs in society. The term economic activity includes the activities with the motive of:

1. Social justice
2. Earning profits
3. Collective benefits
4. Personal satisfation

52. Enviromental forces that are controllable are called?

1. External force
2. Internal forces
3. Non controllable forces
4. None of the given options

53. _____ are the government taxes on imports that raise the price of foreign goods and make them less competitive with domestic goods.

1. Tariffs
2. Embargo
3. Income tax
4. Quota

54. _____ describes life time objectives of the organization.

1. Vision statement
2. Mission statement
3. Goal alignment
4. All of the given

55. In which approach of marketing: unstatisfied needs of the customers are satisfied?

1. Sales oriented

2. Production oriented
3. Product oriented
4. Marketing oriented

56. Concessions provided by a country to its producers in order to protect economy?

1. Quota
2. Tariff
3. Subsidies
4. All of the given

57. All of the following fall in the category of "business" except:

1. Exchange of rice with wheat for profit
2. Production of heavy machinery for sale purposes
3. Construction of houses for personal use
4. House financing on markup by bank

58. DSS stands for:

1. Decision support system
2. Data support system
3. Data supervision system
4. None of the given

59. Sellers feel the needs of an organized institution that coordinates all activities related to sales in _____ .

1. Prodution oriented stage
2. Product oriented stage
3. Sales oriented stage
4. Societal marketing stage

60. The first time issuance of share is held in the:

1. Primary market
2. Secondary market
3. Counter market

4. Both in secondary and primary market

61. Which of the following is the growth rate of GDP, adjusted for infiation and changes in the value of country's currency?

1. GDP per capita rate
2. Real groth rate
3. Real GDP
4. None of the given

62. Which of the following enjoys limited liability?

1. A general partnership
2. A corporation
3. a sole proprietorship
4. None of the given

63. Which of the following documents contains the name and address of joint stock company?

1. Articles of Association
2. Memorandum of association
3. Prospectus
4. Statement in lieu of prospectus

64. A form designed by the employer for the prospective employee to fill it out is called?

1. Offer letter
2. Application blank
3. Basic Information form
4. None of the given

65. Franchisors like franchising because:

1. They get a huge amount of mony from franchisee without doing much.
2. Failure rate of franchise business is lower than other businesses.

3. franchisees invest their own mony and take responsibility for management of the businesses they own.
4. All of the given options

66. A part of organization that requires separate planning is called _____.

1. Functional/Operational Level Strategies
2. Corporate Level Strategies
3. Strategic Business Unit (SBU)
4. None of the given

67. Which of the following can be categorized as opportunity for an organization?

1. High employee turnover
2. Establishing online sales
3. Good product development
4. Effective internal control

68. Dividing the market on the basis of area, climate and cultural values is called?

1. Demographic segmentation
2. Psychographic segmentation
3. Geographical segmentation
4. Behaviouralistic Segmentation

69. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as _____.

1. Economic activities
2. Non-economic activities
3. Business activities
4. None of the given

70. Which of the following can be the wearkness of an organization?

1. High employees turnover

2. Presence of few competitors
3. Potential change in the consumer taste
4. Presence of non-price competitors

71. For a private limited company, minimum numbrer of members are _____.

1. 2
2. 5
3. 7
4. 10

72. which mode of the business is formed when several business concern undertaking units are combined to carry on the business together for achieving the economic benefits?

1. cooperative societies
2. combination
3. franchising
4. merger

73. In democratic style of leadership there is:

1. Upward communication
2. Upward and downward communication
3. Occasional communication
4. Downward communication

74. A distribution channel represents the path of a product from a producer to:

1. Retailer
2. Wholesaler
3. Consumer
4. Manufacturer

75. Competitor analysis is discussed under the following part?

1. Marketing part

2. Financial part
3. Production part
4. All of the given

76. In which economy, the government decides that how many resources have to be generated and how the resources should be allocated?

1. Free market economy
2. Planned economy
3. Open economy
4. Closed economy

77. It is difficult to transfer the rights of ownership in?

1. Sole proprietorship
2. Partnership
3. Joint stock company
4. None of the given

78. The relationship between persons who have agreed to share the profit of a business carried on by all or any of them acting for all is called:

1. Partnership
2. Joint venture
3. Association of persons
4. Body of individuals

79. Which types of organizations have expertise in selecting people for the job?

1. Professional Associations
2. Recruitment Agencies
3. Advertising Agencies
4. All of the given

80. _____ is one who has invested the maximum amount in the business?

1. Active Partner

2. sleeping partner
3. Senior Partner
4. None of the given

81. A written statement of what a job holder does, how a job is done, and why a job is done is a_____:

1. Job description.
2. Human resource inventory report.
3. Job analysis.
4. Job specification.

82. Those countries where people are earning below US $765?

1. Middle income countries
2. High income countries
3. Low income countries
4. None of the given

83. Those who invest in joint stock companies is called:

1. Members
2. Shareholders
3. Partners
4. Associates

84. Which of the following is NOT an aspect to purchase a franchise business?

1. Attractive Location
2. High profitability
3. Independency
4. Well known customer base

85. A document containing information regarding internal and external matters of the business is called:

1. Business plan
2. Partnership deed
3. Feasibility report

4. None of the given

86. The law relating to stock companies has been laid in companies Ordinence?

1. 1984
2. 1980
3. 1982
4. None of the given

87. Franchiser gets a large amount of mony from franshisee as _____ while using its name.

1. Commission
2. Fee
3. Interest
4. Tax

88. The word "limited" at the end of the company name means:

1. It has limited capital
2. It has limited shareholder
3. shareholder has limited liability
4. All of the given

89. In what type of business,there is easiest dissolution?

1. Sole proprietorship
2. partnership
3. Joint stock company
4. None of the given

90. A sole proprietorship business may have:

1. One owner & one worker
2. Single owner and many workers
3. Direct dealing with customers
4. All of the given

91. Which of the partner who does not take part in the management of the business but is known to the public?

1. Silent partner
2. sleeping partner
3. active partner
4. Nominal partner

92. Sole proprietorship always enjoys:

1. Limited liability
2. 100% of profit after tax
3. 100% of profit before tax
4. All of the given

93. Limit imposed by one country or importing commodities from another country?

1. Tariff
2. Quoata
3. Subsidies
4. All of the given

94. Which of the following Selection devices are based upon physical condition of the candidates:

1. Application forms
2. Medical tests
3. Background investigations
4. Aptitude tests

95. Statutory report must be sent to the shareholder before meeting that is certified by at least:

1. 2 directors including CEO
2. 3 directors including CEO
3. 5 directors including CEO
4. 7 directors including CEO

96. Sources of marketing information are categorized into two groups - what are they?

1. Macro environmental sources; micro environmental sources.
2. External sources; internal sources.
3. Causal resources.
4. All of the given

97. Those countries where people are earning below US $ 765 are known as:

1. Middle income countries
2. High income countries
3. Low income countries
4. None of the given

98. Which of the following is not an example of non-profit making organization?

1. NGO's
2. Trusts
3. Cooperative societies
4. Partnership

99. Job Enrichment:

1. Increases the amount of money employees are paid for completing an unit of work
2. Is a programme through which management seeks greater productivity from workers
3. Involves giving employees work with a greater degree of responsibility and autonomy
4. None of the given

100. A major disadvantage of the corporate form of organization is the _____.

1. Double taxation of dividends
2. Inability of the form to raise large sums of additional capital
3. Limited liability of shareholders
4. Limited life of the corporate form

101. To get a product that is up to the expectations of the customers comes under consumerism.

1. True
2. False

102. Which of the following is a correct formula to get the per capita income?

1. Total receipts / Total payments
2. Total income of the country / Total population
3. Total Payments / Total Receipts
4. Total imports / Total exports

103. Which of the following is included in a economic factors?

1. Religion
2. Value system
3. Norms
4. Exchange rate

104. _____ are paid for short term period, e.g. for a day or for an hour or on the basis of units completed.

1. Salary
2. Bonus
3. Wages
4. None of the given

105. Which of the following managers are responsible for hiring and training of employees?

1. Operations managers
2. Marketing managers
3. Human resource managers
4. Financial managers

106. Which of the following is NOT the characteristic of a business?

1. Monetary benefits

2. Voluntarily contribution
3. Risk and uncertainty
4. Transfer of goods or services

(GOOD LUCK (BY IZHAR ULLAH KHAN)

MGT211

SOLVED MIDTERM EXAMINATION

HADI VU PASTPAPER(LAHORE) CONTACT US: 03087122922

MGT211- Introduction to Business (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

Question No: 2 (Marks: 1) - Please choose one

The formation of _____does not require any legal formality like registration.

Company

Cooperative society

Partnership

Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a disadvantage of partnership?

Distribution of work

Sufficient capital

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Prime credit standing

Profit sharing

Question No: 4 (Marks: 1) - Please choose one

In partnership deed, profit and loss is distributed among the partners:

In equal percentage

As per percentage of capital invested

As per agreed ratio in partnership deed

None of the given options

Question No: 5 (Marks: 1) - Please choose one

The powers of the Board of Directors to borrow from the bank are mentioned in:

Article of Association

Memorandum of Association

Special Resolution

None of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following should be considered when designing a business plan?

Objectives of the business

Marketing components of the business

Financial components of the business

All of the given options

Question No: 7 (Marks: 1) - Please choose one

A firm that acquires another firm as part of its overall business strategy is

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engaging in

_____.

A strategic acquisition

A financial acquisition

A two-tier tender offer

A shark repellent

Question No: 8 (Marks: 1) - Please choose one

The record of a country's imports and exports of goods and services is called its:

Visible trade balance.

Balance of payments

Balance of payments on current account.

Balance of trade.

Question No: 9 (Marks: 1) - Please choose one which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?

GATT

EU

WTO

NAFTA

Question No: 10 (Marks: 1) - Please choose one

Export subsidies are:

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Maximum limits on the quantity of specific products imported to a nation.

Taxes placed on imported products.

Licensing requirements or unreasonable quality standards designed to reduce imports.

Government payments to domestic producers to reduce the price on exported goods

.

Question No: 11 (Marks: 1) - Please choose one

If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin

focusing on improving the firm's:

Ethics

Profitability.

Productivity.

Game plan

Question No: 12 (Marks: 1) - Please choose one

_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely,

and providing.

a safe work environment

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Corporate philanthropy

Corporate policy

Corporate governance

Corporate responsibility

Question No: 13 (Marks: 1) - Please choose one

Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 14 (Marks: 1) - Please choose one

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops.

Therefore the MBTI personality test may be:

Legal but not valid

Valid but not reliable

Reliable but not valid

Reliable but not legal

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Question No: 15 (Marks: 1) - Please choose one

Selection devices that are based upon physical condition of the candidates are known as:

Medical tests

Background investigations.

Aptitude tests

Application forms.

Question No: 16 (Marks: 1) - Please choose one

Which of the following chart shows turnover in an organization?

GANNT chart

Replacement chart

PERT chart

Bar chart

Question No: 17 (Marks: 1) - Please choose one

The Hawthorne Studies found:

That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 18 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, a person who buys a motion

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detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem.

Security

Social

Self-actualization.

Question No: 19 (Marks: 1) - Please choose one

Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors

Hygiene factors

Esteem factors

Motivating factors

Question No: 20 (Marks: 1) - Please choose one

Which of the following step is important to improve expectancy?

Deliver rewards as promised.

Observe and recognize performance.

Create the belief that effort is related to performance

Make the rewards meaningful.

Question No: 21 (Marks: 1) - Please choose one

The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider

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range of similar tasks to individuals

Involves giving employees work with a greater degree of responsibility and autonomy

Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 22 (Marks: 1) - Please choose one

Which of the following is NOT included as a basic idea in the definition of marketing? concepts?

Total company effort

Profit

Productivity

Customer satisfaction

Question No: 23 (Marks: 1) - Please choose one

In _____ of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage

Product oriented stage

Marketing oriented stage

None of the given options

Question No: 24 (Marks: 1) - Please choose one

Which of the following statements is NOT true about services?

They are experienced, used or consumed.

They are often sold first, then consumed.

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They are perishable.

They are tangible.

Question No: 25 (Marks: 1) - Please choose one

The degree to which a tool or test measures what it is supposed to measure is known as:

Validity

Reliability

Dependability

Goodness of fit.

Question No: 26 (Marks: 1) - Please choose one

Which of the following would generally have unlimited liability?

A limited partner in a partnership

A shareholder in a corporation

The owner of a sole proprietorship

A member in a limited liability company (LLC)

Question No: 27 (Marks: 1) - Please choose one

What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability

Single tax filing

Difficult ownership resale

Raising capital

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Question No: 28 (Marks: 1) - Please choose one

Which of the following enjoys limited liability?

A general partnership

A Corporation

A sole proprietorship

None of the given options

Question No: 29 (Marks: 1) - Please choose one

In which type of business entity the entire ownership interest is transferable most freely ?

General partnership

Limited partnership

Corporation

Limited liability company

Question No: 1 (Marks: 1) - Please choose one

Which of the following is/are the component/s of business?

Industry

Commerce

Both industry and commerce

Trade and aids to trade

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PRAY FOR ME .THANKS

HADI

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1. In which meeting of the joint stock company, the board of directors is elected by the shareholders?
Annual General Meeting (L 5)

2. The two major sources of raising funds for financing a business are
Owner's Capital, Borrowed Funds (L 3)

3. Competitor analysis is discussed under the following part?
   - Marketing part
   - Financial part
   - Production part
   - All of the given Option

4. Which of the following statement is false?
   - **Joint Venture do not Provide opportunities to acquire new expertise**
   - Joint Venture allow to enter in new geographic markets
   - Joint Venture allow to gain new technological knowledge
   - Joint Venture allow to Sharing of specialized staff and technology
   - haring of risks

5. In what type of business, expansion is comparatively difficult than others
Sole Proprietorship

6. Which government economic policy determines the size of a nation's supply of money?
Monetary policy

7. Which one of the following is NOT a type of business organization?
Cooperative Societies

8. ____ is the simplest form of business organization, which is owned and controlled by one man
Sole Proprietorship

9. Which of the following is not the objective of directors meeting?
To issue debentures

10. Which of the following factor(s) contribute to success of new business?
   - Competence
   - Market Knowledge
   - State Laws
   - **All of the given options**

11. A period of business cycle that is characterized by high employment rate may be the period of
Recession
Expansion
Contraction
All of the given option

12. Statutory report must be send to the shareholders before meeting that is certified by atleast
3 directors including CEO

13. All of the following are uncontrollable factors for success in business EXCEPT
Competence

14. _____is one who has invested the maximum amount in the business
Senior Partner

15. Annual General Meeting is the meeting of the company that held
Once in a year

16. _____is not liable for the debt of the partnership business
Sub Partner

17. In what type of business there is easiest dissolution?
Sole Proprietorship

18. The registration of joint stock company is
Compulsory

19. A major disadvantage of the corporate form of organization is the
Double taxation of the dividends

20. The relationship between the persons who have agreed to share the profit of a business carried on by all or any one of them acting for all is called
Partnership

21. Economist and policy makers are interested in Demographic attributes to determine the
Supply Patterns
Skilled labor Force
Demand patterns
All of the above

22. Which document contains the objectives of the business and the ways to achieve those objectives?
Business Plan

23. Two or more organizations combine together and form a new organization
Merger

24. The word 'limited' at the end of the company name means
Shareholders has limited liability

25. One man one vote principle is applied in_____
Cooperative society

26. Total value of all goods and services produced within a given period by a national economy through domestic factors of production
GDP

27. Total quantity of goods and services produced by an economic system during a given period is called
Aggregate output

28. _____meeting is the first meeting after commencement of business
Ans **None of the above**
Statutory Meeting

29. The form of business that generally has the largest sales volume is the

30. Which of the following business type can avail some concession from the government
Cooperative societies

31. In sole proprietorship business entire finance is provided by
All of the given options

32. Competitor analysis is discussed under the following part?
Marketing Part

33. Which of the following is not the disadvantage of cooperative society?
Lack of secrecy D/# 9
No profit incentive D/# 8
Untrained Supervision D/# 2
Protection of Mutual Interest Ad # 15

34. The first stage in Evolution of business is:
Industrial revolution
Marketing era
Entrepreneurship
Globalization

35. _____ is a kind of loan which is acquired from the market
Dividend
Debenture
Paid up capital
None of the given option

36. The law relating to joint stock companies has been laid in companies Ordinance
1984

37. All of the following personal characteristics are found in an entrepreneur except:
Follower
Perceptive
Independent mind
Self Confident

38. The liability of each member in cooperative society is
Limited to the share capital

39. Which of the following is NOT a secondary industry?
Genetic Industry

40. The first annual general meeting should be held with the _____months of incooperation of a company
18 months

41. In which type of business, banks hesitate to give loans?
Co-operative Society
None of the given option

42. Who signs the document on behalf of the joint stock company?
Common seal is used for its signature

43. Which of the following is included in a business plan
Financial Information
Production Plans
Market analysis
All of the above option

44. Certificate of commencement is issued by the

Registrar of the companies

45. Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called

Foreign trade/ International trade

46. The policy regarding government revenues and expenditures is known as
    Fiscal Policy
    Monetary Policy
    Stabilization Policy
    All of the given option

47. Partners will have to pay all the debts of the business even from their personal property.
    Unlimited Liability

48. _____meeting must be held at least once in three months and at least four times in a year.
    Director's meeting

49. Auditors are generally appointed and their remuneration, fixed at the
    Annual General Meeting

50. Which of the following is the characteristic that should exist to recognize a partnership business?
    Must be registered

51. Which of the following document contains the name and address of the joint stock company?
    Memorandum of Association

52. First meeting of the members of public limited company is known as:
    Statutory meeting

53. Social welfare is one of the objectives of:
    Partnership
    Private company
    Co-operative Society
    Public limited company

54. Which of the following have powers of decision making in Joint Stock Company?
    Shareholders
    A member
    Board of directors
    All of the given option

55. Which one of the following is NOT a type of business organization?
    Sole creditor ship

56. Which one of the following can be the strength of an organization?
    New market opportunities
    Low employee's turnover
    Presence of few competitors
    Presence of non-price competitors

57. Business may be defined as an economic activity undertaken with a motive of earning profit by satisfying human needs in society. The term economic activity includes the activities with the motive of:
    Social justice
    Earning profit
    Collective benefits

Personal Satisfaction

58. Following are the advantages of cooperative society except:
Lack of profit incentive

60. In which part we see about customers, their liking, locality and purchasing power
Marketing Part

61. All of the following are the advantages of doing joint Venture. EXCEPT
Not allow to enter in new geographic markets

62. Which of the following is the specific characteristic of partnership business?

- Written partnership agreement
- Profit sharing
- Limited liability
- **All of the given option**

60. Which of the following is a partner who does not take part in the management of the business is known to the public
Sleeping partner

1. **Which of the following must hold a statutory meeting?**

   Statutory companies
   Private limited companies
   Public limited companies
   Chartered companies

2. **Which of the following is NOT included in aids to trade?**

   Insurance
   Warehousing
   Transportation
   Foreign trade

3. **The portion of capital kept at the winding up of a company for the payment of debts is known as:**

   Reserve capital
   Issued capital
   Subscribed capital
   Authorized capital

4. **Which of the following business type can avail some concessions from the government?**

   Sole proprietorship
   Partnership
   Joint Stock company
   Cooperative society

5. **While making financial projections in a business plan, which of these would NOT form part of the plan?**
   Source of loan
   Audit
   Net income or profit
   Expected revenues

6. **Which of the following are included in a business plan?**
   Financial information, production plans, personal policies.
   Goals of the business and how they will be achieved.
   Market analysis
   All of the given options.

7. **Which of the following is not a reason for a business failure?**
   Managerial experience or inexperience
   Effective control systems
   Insufficient control system
   None of the given options

8. **In which of the following two or more organizations collaborate on a project for mutual gain?**
   Limited partnership
   Public corporation
   Strategic alliance
   None of the given options

9. **The difference between a country's merchandise exports and its merchandise imports is the:**
   Current account
   Capital account
   Balance of trade
   Balance of payments

10. **One of the best solutions to get rid of non-biodegradable wastes is:**
    Dumping
    Recycling

11. **The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:**
    Legal but not valid
    Valid but not reliable
    Reliable but not valid
    Reliable but not legal

12. **_____ is a written statement which contains the duties and responsibilities of a job.**
    Job analysis
    Job specification
    Job description
    Job inventory chart

13. **According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:**
    Esteem
    Security
    Social
    Self-actualization

14. **Douglas McGregor is associated with which of the following?**
    Scientific management
    Motivational factors
    Theory X and theory Y
    The Hawthorne studies

15. **Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?**
    Safety
    Self actualization
    Physiological

Social

16. **Which of the following generic terms is not a**
management function?
Leading
Systemizing
Planning
Organizing

17. **What is potentially the biggest advantage of a small partnership over a sole proprietorship?**
Unlimited liability
Single tax filing
Difficult ownership resale
Raising capital

18. **Which of the following is the oldest form of business organization?**
Sole proprietorship
Partnership
Company
Cooperative society

19. **Which of the following is an advantage of a corporation that is not an advantage as a limited partner in a partnership?**
Limited liability
Easy transfer of ownership position
Double taxation
All of the given options are advantages that the corporation has over limited partner

20. **Examples of constructive industries include:**
Canals
Fishery
Sugar mills
Plant nurseries

21. **Which of the following statement shows the Trade Deficit process?**
A process in which country imports are higher than the exports
A process in which country exports are equal to the exports
A process in which country imports are less than the country exports
All of the given options

Mr. Saleem has invested 20,000 Rs in a business but did not take part in the management of the business. In which category of partner he falls?
Secret partner
Silent partner
Sleeping partner
All of the given options

Name of the business should:
Be simple

Indicates the type of business
Be familiar
All of the given options

Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?
Licensing
Joint venturing
Contracting
Franchising

Which of the following is excluded from factors that can affect the business?
Demographic Factors
Economic and social factors
Natural factors
None of the above

The formation of _____does not require any legal formality like registration.
Company
Cooperative society
Partnership
Sole proprietorship

Which of the following is a disadvantage of partnership?
Distribution of work
Sufficient capital
Prime credit standing
Profit sharing

In partnership deed, profit and loss is distributed among the partners:
In equal percentage
As per percentage of capital invested
As per agreed ratio in partnership deed
None of the given options

The powers of the Board of Directors to borrow from the bank are mentioned in:
Article of Association
Memorandum of Association
Special Resolution
None of the given options

Which of the following should be considered when designing a business plan?
Objectives of the business
Marketing components of the business
Financial components of the business
All of the given options

A firm that acquires another firm as part of its overall business strategy is engaging in _____.
A strategic acquisition
A financial acquisition
A two-tier tender offer

A shark repellent

The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Balance of payments
Balance of payments on current account.
Balance of trade.

which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT
EU
WTO
NAFTA

Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Government payments to domestic producers to reduce the price on exported goods.

If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ethics
Profitability.
Productivity.
Game plan

_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment.
Corporate philanthropy
Corporate policy
Corporate governance
Corporate responsibility

Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding: What business the organization should be in.
The right quantity and quality of employees needed when and where
What physical resources the organization needs
Who the organization's main competitors are

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:
Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

Selection devices that are based upon physical condition of the candidates are known as:
Medical tests
Background investigations.
Aptitude tests
Application forms.

Which of the following chart shows turnover in an organization?
GANNT chart
Replacement chart
PERT chart
Bar chart

The Hawthorne Studies found:
That social and psychological factors could significantly affect productivity
That economic factors affect productivity
Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:
Esteem.
Security
Social
Self-actualization.

Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:
Growth factors
Hygiene factors
Esteem factors
Motivating factors

Which of the following step is important to improve expectancy?
Deliver rewards as promised.
Observe and recognize performance.
Create the belief that effort is related to performance
Make the rewards meaningful.

Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Total company effort
Profit
Productivity
Customer satisfaction

In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage
Product oriented stage

Marketing oriented stage
None of the given options

Which of the following statements is NOT true about services?
They are experienced, used or consumed.
They are often sold first, then consumed.
They are perishable.
They are tangible.

The degree to which a tool or test measures what it is supposed to measure is known as:
Validity
Reliability
Dependability
Goodness of fit.

Which of the following would generally have unlimited liability?
A limited partner in a partnership
A shareholder in a corporation
The owner of a sole proprietorship
A member in a limited liability company (LL

What is potentially the biggest advantage of a small partnership over a sole proprietorship?
Unlimited liability
Single tax filing
Difficult ownership resale
Raising capital

Which of the following enjoys limited liability?
A general partnership
A corporation
A sole proprietorship
None of the given options

In which type of business entity the entire ownership interest is transferable most freely ?
General partnership
Limited partnership
Corporation
Limited liability company

Which of the following is false?
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems

54. **A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?**
10%
15%
40%

80%

55. Components of Business Plan include all of the following except

Marketing Component
Administrative Component
External Component
Financial Component

56. An agreement between two parties in which one party possess the rights to the other party is

Partnership
Strategic Alliance
Joint venture
Franchising

The shareholders elect the Board of Directors in the

Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

Portion of the undistributed profit transferred to which of the following?

General Reserve
Retained Earning
Appropriation account
All of the given options

Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company
Article of Association
Prospectus
None of the given option

A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period
Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following

Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt
Equity
None of the above
All of the given option

Cooperative Societies are not formed for:

The serving of the orphans and widows
The help of poor people

For the earning of profit
Social welfare

Which of the following is the source of acquiring of redeemable capital?
Mudarbah Certificate
Debentures
Participation Term Certificates
All of the given option

Which one of the following statements about marketing is inaccurate?
The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
Marketing has to do with persuading customers a product meets their needs.
The mass market has fragmented into many different groups of customers.
Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.
Marketing
Business vision
Product development
Customer relationship management

66. **_____ is the typical sequence of changes in demand for a product that occurs over time.**
The business vision statement
The product life cycle
Marketing research
A customer-oriented approach

67. **All of the following except _____ are considered to be correct statements about marketing research.**
It is a systematic search for information about customers' needs and how those needs differ
Marketing research is geared to uncover unmet consumer needs
With market research, the chance product development will be able to create a product consumers want to buy increases
Marketing research provides an inexpensive method for tracking consumer behavior

68. **When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its_____.**
Market differentiation
Market mission
Market segment
Marketing plan

69. **_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.**
Marketing mix
Product mix

Product differentiation
Product positioning

70. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Sales promotion
Public relations
Personal selling
Advertising

71. The specific method a company uses to sell and deliver its products to customers is known as its _____.
Retail intermediaries
Direct distribution
Distribution mix
Distribution channel

72. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?
Independent wholesalers
Direct distribution
Company-owned distributors
Retail distributors

73. The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?
Missionary selling
Licensed distribution
Distribution mix
Distribution channel

74. All of the following choices represent one of the four types of utility except:
Time
Form
Loyalty
Ownership

75. The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?
Production
Sales
Marketing
Relationship

76. The marketing concept is:
Companywide consumer orientation with the objective of achieving the maximum amount of profits.
Long-run success page.
Largest market share.
Highest paid staff.

77. _____ involves long-term, value-added relationships developed over time with customers and suppliers:
Relationship Marketing

Marketing Era Marketing
Consumer Marketing
Exchange Marketing

78. An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process
Exchange process
Relationship process
Production process

79. Which of the following focuses on job content, environment, and conditions of employment?

a. Job description
b. Human resource inventory report
c. Job analysis
d. None of the given options

80. All of the following except _____ are considered to be correct statements about marketing research.

a. It is a systematic search for information about customers' needs and how those needs differ.
b. Marketing research is geared to uncover unmet consumer needs
c. With market research, the chance product development will be able to create a product consumers want to buy increases
d. Marketing research provides an inexpensive method for tracking consumer behavior

81. In the marketing research process the 1st step is to define the problem followed by:

a. Collection of data
b. Develop recommendation
c. Develop the research design
d. Implement plan

82. Which of the following is the least likely decision to be made by Operations Managers?

a. Deciding which market areas to manufacture products for
b. Designing and improving the jobs of the workforce
c. Selecting the location and layout of a facility
d. How to use quality techniques to reduce waste

83. What kind of sales person are you most likely to find working in the pharmaceutical industry?

a. Order taker
b. Order getter
c. Sales engineer
d. Missionary salesperson

84. _____ includes all of the activities involved in the sale of products to final customers.

a. Wholesaling
b. Retailing
c. Marketing
d. Distributing

85. Which of the following are the functions of management?
b. Planning
c. Organizing
d. Coordinating
e. All of the given options

86. A major advantage of the corporate form of organization is:
a. Reduction of double taxation.
b. Limited owner liability.
c. Legal restrictions.
d. Ease of organization

87. It is difficult to transfer the rights of ownership in:
a. Sole proprietorship
b. Partnership
c. All the given options
d. None of the given options

88. Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business
a. 3 months
b. 6 months
c. 1 year
d. One month

89. Which of the following is the most important determinant of a firm's value?
a. Earnings
b. Debt
c. Liabilities
d. Liquidity

90. The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:
a. Market penetrating
b. Target Marketing
c. Relationship marketing
d. Market segmentation

91. _____ refers to the standards of moral behavior.
a. Legality
b. Loyalty
c. Integrity
d. Ethics

92. The difference between a country's merchandise exports and its merchandise imports is the:
a. Current account.
b. Capital account
c. Balance of trade

d. Balance of payments

93. The World Trade Organization (WTO):
a. Sets tariffs to balance international trade among nations.
b. Is the successor to NAFTA.
c. Rules on trade disputes between nations.
d. Sets exchange rates to balance international trade among nations.

94. Which of the following is NOT a core function of management?
a. Planning
b. Organizing
c. Motivating
d. Leading

95. In democratic style of leadership there is:
a. Upward communication
b. Upward and downward communication
c. Occasional communication
d. Downward communication

96. The following are included in a business plan:
a. Financial information, production plans, personnel policies
b. Goals of the business and how they will be achieved.
c. Market analysis
d. All of the above.

97. There are really only two ways to collect primary data for a marketing study:
a. Observation and asking questions
b. Passive and remote observations
c. Through laboratory settings and onsite groups
d. With careful, selected shopper and specialized syndicated services

98. The major disadvantage of advertising on television is:
a. Local market focus
b. Long life span
c. Cost.
d. Its inability to target specific audiences.

99. _____ may be used to analyze how well a company is managing its assets.
a. Profitability Ratio
b. Debt Ratio
c. Activity Ratio
d. Liquidity Ratio

100. For the individual employee, MBO provides:
a. A way to keep the company accountable
b. Specific personal performance objectives
c. Increased monetary compensation
d. Communication between co-workers.

101. Examples of genetic industries include:

a. Poultry
b. Sugar mill
c. Plant nurseries
d. Canals

102. Which of the following enjoys limited liability?

a. A general partnership.
b. A corporation.
c. A sole proprietorship.
d. None of the above

103. JIT aims at:-

a. Avoid delays
b. Favorable cash flow of the organization
c. Reduction in non-value added activities
d. All of the given options

104. Consumer goods are purchased by:

a. Business users.
b. Ultimate consumers.
c. Governments.
d. Families.

105. The last step involved in designing an advertising campaign is _____.

a. Allocation of Budget
b. Advertising Objectives
c. Advertising Evaluation
d. Message Creation

106. In which of the following do two or more organizations collaborate on a project for mutual gain?

a. Limited partnership
b. Joint venture
c. Public corporation
d. Strategic alliance

107. Air crafts are used for transportation of products when speed is

More important
Less important

108. An item consumed in one or a few uses is called a:

a. Consumer good
b. Commodity
c. Durable good
d. Nondurable good

109. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
a. Sales promotion
b. Public relations
c. Personal selling
d. Advertising

110. A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:
a. Job description.
b. Human resource inventory report.
c. Job analysis.
d. Job specification.

111. Aggregating prospective buyers into groups is called:
a. Market categorization
b. Market segmentation
c. BCG matrix analysis
d. Grouping
a. Sets exchange rates to balance international trade among nations.

112. Franchisors like franchising because:
a. They get a huge amount of money from franchisee without doing much
b. Failure rate of franchise business is lower than other businesses.
c. Franchisees invest their own money and take responsibility for the management of the businesses they own.
d. All of the given

113. Auditors are generally appointed and their remuneration, fixed at the _____
Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting

114. Which of the following is included in economic factors?
Religion
Value system
Norms
Exchange rate

_____ refers to the standards of moral behavior.
Legality
Loyalty
Integrity
Ethics

Skyscrapers, pop-ups, and banners are all types of _____ advertising.

Television
Radio
Outdoor
Internet

Selection devices that are based upon physical condition of the candidates are known as:

a. Medical tests
b. Background investigations.
c. Aptitude tests
d. Application forms.

Which of the following business type has longest life time?

1. Sole proprietorship
2. Partnership
3**. Joint stock company**
4. All of the given options

Election of the Board of Directors is done by Shareholders.

1. Through special resolution
2**. In annual general meeting**
3. In Special meeting
4. In statuary meeting

Which of the following business type, has to pay double taxes to the government?

1. Sole proprietorship
2. Partnership
3. **Joint stock company**
4. Cooperative Societies

_____ includes the rules and regulations, necessary to manage the internal affairs of the company.

1. Memorandum of Association
2. Article of Association
3. Prospectus
4. All of the given option

General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.

1. Charter of Company
2. Article of Association
3. Prospectus
4. None of the given option

To call the extraordinary meeting, how many days' notice is required?

Select correct option:
2. 15 days
3. 07 days
4. 30 days

According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

1. Statutory Declaration
2. **Fails to submit statutory report**
3. Expiry of Period
4. Appointment of Liquidators

Which of the following is the source of acquiring of redeemable capital?

1. Modarba Certificate
2. Debentures
3. **Participation Term Certificates**
4. All of the given option

Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

1. **Reserve capital**
2. Un-Issued Capital
3. Un-Called up Capital
4. All of the given option

The following person cannot make a petition to the court to get an order for winding up of a company.

2. **Petition by creditor**
3. Petition by contributory
4. All of the above

Which of the following is the disadvantage of modified schedules and alternative workplace?

a. Freedom in professional and personal life
b. More Job satisfaction
c. **Complicated coordination**
d. Suitable for self starter who require little direct supervision

Among different managerial styles, which of the following allows most rapid decision making?

a. **Autocratic styles**
b. Democratic styles
c. Free rein style
d. None of the given option

_____ is the process of motivating others to work to meet specific objectives.

a**. Leadership**
b. Motivation
c. Free rein style
d. Democratic style

Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

a. Participative Management and Empowerment
b. **Management by Objectives (MBO)**
c. Reinforcement/Behavior Modification Theory
d. None of the given option

The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d**. All of the given option**

133. **A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:**
a. Marketing Mix
b. **Advertising objective**
c. Market segmentation
d. Marketing process

Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.
a**. Market segmentation**
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:
a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.
a. Market segmentation
b. **Marketing Mix**
c. Marketing Penetration
d. Marketing Environment

Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:
a. **Substitute product competition**
b. Brand competition
c. International competition:
d. Market competition

Physical distribution is a channel to make availability of _____ from producer to consumer.
a. Finished goods
b. Work in process
c. Raw material
d. All of the given option

Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
a. Persuasive advertising
b. Comparative advertising

c**. Informative advertising**
d. Reminder advertising
e. None of the given options

A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
a. **Pull strategy**
b. Push strategy
c. Persuasive advertising
d. Sales Promotion

_____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
a. **Warehousing cost**
b. Transportation cost
c. Distribution cost
d. Manufacturing cost

Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
a. Order Processing
b. **Creative Selling**
c. Missionary Selling
d. None of the given option

Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
a**. Final consumer**
b. Retailer
c. Wholesalers
d. All of the given options

In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.
a. **Trade Shows**
b. Contests
c. Cross-promotion
d. Special-event sponsorship

_____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.
a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
a. Public relation

b. Trade Promotion
c**. Publicity**
d. Consumer Promotion

Advertising strategy that tries to keep a product's name in the consumer's mind.
a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. **Reminder advertising**

148. A major disadvantage of corporate organization is
- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

149. It is difficult to transfer to right of ownership is
- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

150. Wages are paid for
- Long term
- **Short term**
- All of given options
- None of given options

151. Pakistan is exporting
- Sports Item
- Agriculture Product
- Textile Product
- **All of given options**

152. Managers have _____ type of skills
- 2
- **3**
- 4
- 5

153. The process of attracting the people for job
- **Recruitment**
- Special skills
- Supervision
- Job Specification

154. What is the method of on job training?
- Lectures
- Vestibule
- Videos

- **None of given options**

155. The liability of a sole trader is _____

- limited Only to his investment in the business
- Limited to the total resources of the business
- **Unlimited**
- Not defined

156. Genetic industry means

- Canal
- Sugar mill
- **Poultry**
- Agriculture

157. The first stage Evolution business is?

- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

158. ---------- refers to standard of moral behavior

Loyalty
Integrity
Ethics

159. The buying and selling of goods by way of electronic media, such as telephone is called

Digital age
E commerce
Enterprise resource planning
None of the above

160. Which one of the following is NOT a benefit of partnership?

Distribution of work
Unlimited liability
Tax facility
Minority protection

161. Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

162. If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable

Deficit
None of the above

163. Which of the following is excluded from the advantages of Sole Proprietorship?
Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

164. Which of the following is an advantage of sole proprietorship?
Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

165. Which of the following is not among the benefits of Partnership Firm?
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Lack of Secrecy
Moral Promotion
Minority Protection

166. In partnership deed the profit & loss is distributed among the partners by the following ratio.
50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

167. The company may raise its capital through which of the following sources:
By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

168. Advantages of cooperative societies does not include
Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

169. WTO was organized on _____
July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

An enterprise that provides products or services that customers desire is a /an:
a. institution

b. market
c. agency
d. **business**

The different types of stakeholders involved in a business include all of the following except:
a. owners
b. creditors
c**. couriers**
d. employees

A certificate of ownership of a business is a:
a. bond
b**. stock**
c. mutual fund
d. contract 4.

The following are possible forms of business ownership except:
a. proprietorship
b. partnership
c. **bureaucracy**
d. corporation

Partners have unlimited liability in a:
a. **general partnership**
b. corporation
c. limited partnership
d. cooperative

An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
a. franchise
b. joint venture
c. distribution
d. cartel 7.

A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
a. bond rating
b. risk
c. **value**
d. return on investment

_____ conditions reflect the overall performance of the nation's economy.

a. microeconomic
b. multieconomic
c. **macroeconomic**
d. all of the given options

The primary purpose of an industry business environmental assessment is to determine the:

a. economic growth
b**. degree of competition**
c. inflation rate
d. population growth

The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
a. finance
b. marketing
c. production
d. **management**

All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.
Land
Capital
Labor
Financial Counselors

181. Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ------- .
Charter Laws
Unlimited Liability
Terms of his property insurance
Limited Liability

182. ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.
Limited partnerships
Limited Liability Companies
Sole Corporations
General Partnership

183. ---------- is considered a primary advantage to forming a business partnership.
Shared Profit
Increase Specialization
Shared Control
Unlimited Liability

184. Disadvantages associated with being an entrepreneur include all of the following except ----------.
Ensuring the business functions properly
Possibly incurring large losses
Possibly losing source of income
Having an increased amount of control

185. All of the following except ---------- are considered to be
barriers to free trade

Tariffs
Quotas
Subsidies
Taxes

186. A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.
Totalitarian government
Representative democracy
Mixed Economy
Free Market Economy

187. are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.
Promoters
Brokers
Underwriters
Directors

188. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
Finance
Marketing
Production
Management

189. The different types of stakeholders involved in a business include all of the following except:
Owners
Creditors
Couriers
Employees

190. Which of the following business type has longest life time?
Sole proprietorship
Partnership
Joint stock company
All of the given options

191. Election of the Board of Directors is done by Shareholders.
Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

192. Which of the following business type, has to pay double taxes to the government?
Sole proprietorship
Partnership
Joint stock company
Cooperative Societies

193. _____ includes the rules and regulations, necessary to manage the internal affairs of the company.

Memorandum of Association
Article of Association
Prospectus
All of the given option

194. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in:

Charter of Company
Article of Association
Prospectus
None of the given option

195. To call the extraordinary meeting, how many days' notice is required?

21 days
15 days
07 days
30 days

196. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

Statutory Declaration
Fails to submit statutory report
Expiry of Period
Appointment of Liquidators

197. Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate
Debentures
Participation Term Certificates
All of the given option

198. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital
Un-Issued Capital
Un-Called up Capital
All of the given option

199. The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor
Petition by creditor
Petition by contributory
All of the above

200. Which of the following is the disadvantage of modified schedules and alternative workplace?

Freedom in professional and personal life
More Job satisfaction
Complicated coordination
Suitable for self starter who require little direct supervision

201. Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles
Democratic styles
Free rein style
None of the given option

202. _____ is the process of motivating others to work to meet specific objectives.

Leadership
Motivation
Free rein style
Democratic style

203. Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

Participative Management and Empowerment
Management by Objectives (MBO)
Reinforcement/Behavior Modification Theory
None of the given option

204. The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

Organization Policies
Product Policies
Management Structure
All of the given option

205. A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

Marketing Mix
Advertising objective
Market segmentation
Marketing process

206. Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

Market segmentation
Marketing Mix
Marketing Penetration
Marketing control

207. The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

Marketing Environment
Market segmentation
Marketing Mix
Marketing Penetration

208. The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

Market segmentation
Marketing Mix
Marketing Penetration
Marketing Environment

209. Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

Substitute product competition
Brand competition
International competition:
Market competition

210. Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods
Work in process
Raw material
All of the given option

211. Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising
Comparative advertising
Informative advertising
Reminder advertising
None of the given options

212. _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy
Push strategy
Persuasive advertising
Sales Promotion

213. _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost
Transportation cost
Distribution cost
Manufacturing cost

214. Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing
Creative Selling
Missionary Selling

None of the given option

215. Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer
Retailer
Wholesalers
All of the given options

216. In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows
Contests
Cross-promotion
Special-event sponsorship

217. _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM)
Promotion strategy
Sales promotion
Management by objective (MBO)

218. A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation
Trade Promotion
Publicity
Consumer Promotion

219. Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising
Comparative advertising
Informative advertising
Reminder advertising

220. Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10%
15%
40%

221. Components of Business Plan include all of the following except:

Marketing Component
Administrative Component
External Component
Financial Component

222. An agreement between two parties in which one party possess the rights to the other party is:

Partnership
Strategic Alliance
Joint venture
Franchising

223. The shareholders elect the Board of Directors in the

Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

224. Portion of the undistributed profit transferred to which of the following?

General Reserve
Retained Earning
Appropriation account
All of the given options

225. Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company
Article of Association
Prospectus
None of the given option

226. A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period
Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following

227. Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt
Equity
None of the above
All of the given option

228. Cooperative Societies are not formed for:

The serving of the orphans and widows
The help of poor people
For the earning of profit
Social welfare

229. Which one of the following statements about marketing is inaccurate?

(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)
(Marketing has to do with persuading customers a product meets their needs.)
(The mass market has fragmented into many different groups of customers.)
(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)

230. The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

Marketing
Business vision
Product development
Customer relationship management

231. _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement
The product life cycle
Marketing research
A customer-oriented approach

232. All of the following except _____ are considered to be correct statements about marketing research.

(It is a systematic search for information about customers' needs and how those needs differ)
(Marketing research is geared to uncover unmet consumer needs)
(With market research, the chance product development will be able to create a product consumers want to buy increases)
(Marketing research provides an inexpensive method for tracking consumer behavior)

233. When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

Market differentiation
Market mission
Market segment
Marketing plan

234. _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

Marketing mix
Product mix
Product differentiation
Product positioning

235. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

Sales promotion
Public relations
Personal selling
Advertising

236. The specific method a company uses to sell and deliver its products to customers is known as its _____.

Retail intermediaries

Direct distribution
Distribution mix
Distribution channel

237. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

Independent wholesalers
Direct distribution
Company-owned distributors
Retail distributors

238. The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

Missionary selling
Licensed distribution
Distribution mix
Distribution channel

239. All of the following choices represent one of the four types of utility except:

Time
Form
Loyalty
Ownership

240. The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production
Marketing
Relationship

241. The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.
Long-run success page.
Largest market share.
Highest paid staff.

242. _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing
Marketing Era Marketing
Consumer Marketing
Exchange Marketing

243. An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process
Exchange process
Relationship process
Production process

244. An enterprise that provides products or services that customers desire is a / an:

Institution
market
agency
business

245. The different types of stakeholders involved in a business include all of the following except:

Owners
creditors
couriers
employees

246. A certificate of ownership of a business is a:

Bond
stock
mutual fund
contract

247. The following are possible forms of business ownership except:

Proprietorship
partnership
bureaucracy
corporation

248. Partners have unlimited liability in a:

general partnership
corporation
limited partnership
cooperative

249. An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise
joint venture
distribution
cartel

250. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating
risk
value
return on investment

251. _____ conditions reflect the overall performance of the nation's economy.

Microeconomic
multieconomic
macroeconomic
all of the given options

252. The primary purpose of an industry business environmental assessment is to determine the:

economic growth
degree of competition

inflation rate
population growth

253. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:

Finance
marketing
production
management

254. The function of business in which business man tries to find new techniques of production is

Accounting
Management Function
Innovation
Quality improvement

255. If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

256. Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

257. Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

258. **Which of the following is not among the benefits of Partnership Firm?**

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Moral Promotion
Minority Protection

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Inability of the firm to large sum of additional capital
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Sole proprietor ship
Partner ship
All of given options
None of given options

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Long term
Short term
All of given options
None of given options

266. Pakistan is exporting
Sports Item
Agriculture Product
Textile Product
All of given options

267. Managers have _____ type of skills
2
3
4
5

268. The process of attracting the people for job
Recruitment
pecial skills
Supervision
Job Specification

269. What is the method of on job training?

Lectures
Vestibule
Videos
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Limited to the total resources of the business
Unlimited
Not defined

271. Genetic industry means

Canal
Sugar mill
Poultry
Agriculture

272. The first stage Evolution business is?

Industry revolution
Globalization
Entrepreneurship
Marketing era

273. When entrepreneurs establish a business, they must first decide on the form of:

Partnership
Ownership
Expansion
Organization

274. Generally, in a limited partnership:

All partners have limited liability.
The partners exist for a limited time period.
The limited partners do not participate in management of the company.
Not more than 75 partners may invest in the company at one time.

275. The "leading" function of management should be conducted in a manner that is consistent with firm's:

Competition
Strategic plan
Industry demand
Labor union

276. The skills managers use to understand the relationships among the various tasks of the firm are:

Interpersonal skills
Technical skills
Decision making skills

Conceptual skills

277. The four functions of management:

Must be enacted in the proper sequence
Must be integrated
Are stand alone, independent functions
Can not be performed by one individual

278. Social interaction and acceptance by others are examples of:

Physiological needs
Safety needs
Affiliation needs
Esteem needs

279. When firms delegate more authority to their employees, this strategy is referred to as:

Empowerment
Merit system
Hygiene theory
Equity system

280. The process used to determine the tasks and the necessary credentials for a particular position is referred to as:

Job analysis
Job screening
Job evaluation
Human resource planning

281. A _____ is an assignment to a higher level job with more responsibility and greater pay.

Transfer
Lateral assignment
Appraisal
Promotion

282. Products purchased by companies to produce other products are:

Consumer Goods
Industrial Goods
Services
Inventory

283. The formation of _____does not require any legal formality like registration.

Company
Cooperative society
Partnership
Sole proprietorship

284. Which of the following is a disadvantage of partnership?

Distribution of work
Sufficient capital

Prime credit standing
Ans Profit sharing

285. In partnership deed, profit and loss is distributed among the partners:
In equal percentage
As per percentage of capital invested
Ans As per agreed ratio in partnership deed
None of the given options

286. The powers of the Board of Directors to borrow from the bank are mentioned in:
Ans Article of Association
Memorandum of Association
Special Resolution
None of the given options

287. Which of the following should be considered when designing a business plan?
Objectives of the business
Marketing components of the business
Financial components of the business
All of the given options

288. A firm that acquires another firm as part of its overall business strategy is engaging in _____.
Ans A strategic acquisition
A financial acquisition
A two-tier tender offer
A shark repellent

289. The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Ans Balance of payments
Balance of payments on current account.
Balance of trade.

290. **which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between** nations?
GATT
EU
WTO
NAFTA

291. Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Ans Government payments to domestic producers to reduce the price on exported goods .

292. If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ans Ethics
Profitability.
Productivity.

Game plan

293. _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy
Corporate policy
Corporate governance
Ans Corporate responsibility

294. Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in
Ans The right quantity and quality of employees needed when and where
What physical resources the organization needs
Who the organization's main competitors are

295. The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid
Ans Valid but not reliable
Reliable but not valid
Reliable but not legal

296. Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests
Background investigations.
Aptitude tests
Application forms.

297. Which of the following chart shows turnover in an organization?

GANNT chart
Replacement chart
PERT chart
Bar chart

298. The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity
That economic factors affect productivity
Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

299. According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem.
Ans Security Social Self-actualization.

300. Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors

Ans Hygiene factors

Esteem factors

Motivating factors

301. Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised.

Observe and recognize performance.

Create the belief that effort is related to performance

Make the rewards meaningful.

302. The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals Involves giving employees work with a greater degree of responsibility and autonomy

Ans Means that staff is moved periodically from task to task in order to increase variety and interest

303. Which of the following is NOT included as a basic idea in the definition of marketing concepts?

Ans Total company effort

Profit Productivity

Customer satisfaction

304. In _____ of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage

Product oriented stage

Ans Marketing oriented stage

None of the given options

305. Which of the following statements is NOT true about services?

They are experienced, used or consumed.

They are often sold first, then consumed.

They are perishable.

Ans They are tangible.

306. The degree to which a tool or test measures what it is supposed to measure is known as:

Ans Validity

Reliability

Dependability

Goodness of fit.

307. Which of the following would generally have unlimited liability?

A limited partner in a partnership

A shareholder in a corporation

Ans The owner of a sole proprietorship

A member in a limited liability company (LLC)

308. What is potentially the biggest advent age of a small partnership over a sole proprietorship?

Unlimited liability
Single tax filing
Difficult ownership resale
Ans Raising capital

309. Which of the following enjoys limited liability?

A general partnership
Ans A Corporation
A sole proprietorship
None of the given options

310. In which type of business entity the entire ownership interest is transferable most freely ?

General partnership
Limited partnership
Corporation
Limited liability company

311. Which of the following focuses on job content, environment, and conditions of employment?

a. Job description
b. Human resource inventory report
c. Job analysis
d. None of the given options

312. All of the following except _____ are considered to be correct statements about marketing research.

a. It is a systematic search for information about customers' needs and how those needs differ.
b. Marketing research is geared to uncover unmet consumer needs
c. With market research, the chance product development will be able to create a product consumers want to buy increases
d. Marketing research provides an inexpensive method for tracking consumer behavior

313. In the marketing research process the 1st step is to define the problem followed by:

a. Collection of data
b. Develop recommendation
c. Develop the research design
d. Implement plan

314. Which of the following is the least likely decision to be made by Operations Managers?

a. Deciding which market areas to manufacture products for
b. Designing and improving the jobs of the workforce
c. Selecting the location and layout of a facility
d. How to use quality techniques to reduce waste

315. What kind of sales person are you most likely to find working in the pharmaceutical industry?

a. Order taker
b. Order getter
c. Sales engineer
d. Missionary salesperson

315. _____ includes all of the activities involved in the sale of products to final customers.
a. Wholesaling
b. Retailing
c. Marketing
d. Distributing

316. A major advantage of the corporate form of organization is:
a. Reduction of double taxation.
b. Limited owner liability.
c. Legal restrictions.
d. Ease of organization

317. It is difficult to transfer the rights of ownership in:
a. Sole proprietorship
b. Partnership
c. All the given options
d. None of the given options

318. Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business

a. 3 months
b. 6 months
c. 1 year
d. One month

319. Which of the following is the most important determinant of a firm's value?
a. Earnings
b. Debt
c. Liabilities
d. Liquidity

320. The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:
a. Market penetrating
b. Target Marketing
c. Relationship marketing
d. Market segmentation

321. _____ refers to the standards of moral behavior.
a. Legality
b. Loyalty
c. Integrity
d. Ethics

322. The difference between a country's merchandise exports and its merchandise imports is the:

a. Current account.
b. Capital account
c. Balance of trade
d. Balance of payments

323. The World Trade Organization (WTO):
a. Sets tariffs to balance international trade among nations.
b. Is the successor to NAFTA.
c. Rules on trade disputes between nations.
d. Sets exchange rates to balance international trade among nations.

324. Which of the following is NOT a core function of management?
a. Planning
b. Organizing
c. Motivating
d. Leading

325. In democratic style of leadership there is:
a. Upward communication
b. Upward and downward communication
c. Occasional communication
d. Downward communication

326. The following are included in a business plan:
a. Financial information, production plans, personnel policies
b. Goals of the business and how they will be achieved.
c. Market analysis
d. All of the above.

327. There are really only two ways to collect primary data for a marketing study:
a. Observation and asking questions
b. Passive and remote observations
c. Through laboratory settings and onsite groups
d. With careful, selected shopper and specialized syndicated services

328. The major disadvantage of advertising on television is:
a. Local market focus
b. Long life span
c. Cost.
d. Its inability to target specific audiences.

329. _____ may be used to analyze how well a company is managing its assets.
a. Profitability Ratio
b. Debt Ratio
c. Activity Ratio
d. Liquidity Ratio

330. For the individual employee, MBO provides:
a. A way to keep the company accountable
b. Specific personal performance objectives
c. Increased monetary compensation

d. Communication between co-workers.

331. Examples of genetic industries include:

a. Poultry
b. Sugar mill
c. Plant nurseries
d. Canals

332. Which of the following enjoys limited liability?

a. A general partnership.
b. A corporation.
c. A sole proprietorship.
d. None of the above

333. JIT aims at:-

a. Avoid delays
b. Favorable cash flow of the organization
c. Reduction in non-value added activities
d. All of the given options

334. Consumer goods are purchased by:

a. Business users.
b. Ultimate consumers.
c. Governments.
d. Families.

335. The last step involved in designing an advertising campaign is _____.

a. Allocation of Budget
b. Advertising Objectives
c. Advertising Evaluation
d. Message Creation

336. In which of the following do two or more organizations collaborate on a project for mutual gain?

a. Limited partnership
b. Joint venture
c. Public corporation
d. Strategic alliance

337. An item consumed in one or a few uses is called a:

a. Consumer good
b. Commodity
c. Durable good
d. Nondurable good

338. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a. Sales promotion
b. Public relations
c. Personal selling
d. Advertising

339. A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:

a. Job description.
b. Human resource inventory report.
c. Job analysis.
d. Job specification.

340. Aggregating prospective buyers into groups is called:

a. Market categorization
b. Market segmentation
c. BCG matrix analysis
d. Grouping

341. Franchisors like franchising because:

a. They get a huge amount of money from franchisee without doing much
b. Failure rate of franchise business is lower than other businesses.
c. Franchisees invest their own money and take responsibility for the management of the businesses they own.
d. All of the given

342. Auditors are generally appointed and their remuneration, fixed at the _____

Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting

343. Which of the following is included in economic factors?

Religion
Value system
Norms
Exchange rate

344. Management, marketing and finance are key parts of a/ an:

Accounting plan
Production strategy
Business plan
Information systems

345. _____ refers to the standards of moral behavior.

Legality
Loyalty
Integrity
Ethics

346. Skyscrapers, pop-ups, and banners are all types of _____ advertising.

Television
Radio
Outdoor
Internet

347. Selection devices that are based upon physical condition of the candidates are known as:

a. Medical tests

b. Background investigations.
c. Aptitude tests
d. Application forms.

348. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a. Competitive product analysis
b. Value-Added Analysis
c. Statistical Process Control
d. Quality/Cost Studies

349. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a. Independent wholesalers
b. Direct distribution
c. Company-owned distributors
d. Retail distributors

350. When members of a channel have problems with each other this is called:

a. Trouble
b. Infighting
c. Disputations
d. Channel conflict

351. The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a. Missionary selling
b. Licensed distribution
c. Distribution mix
d. Distribution channel

352. This management level is concerned with long-range planning for the organization.

a. Supervisory
b. Middle-managerial
c. Stockholder
d. Top-managerial

353. The two major sources of raising funds or financing a business are:

a. Owner's capital & borrowed funds
b. Short term and long term loans
c. Debentures and drafts
d. Assets and long term loans

354. Which of the following business form has the shortest life span?

a. Sole proprietorship
b. Partnership
c. Company
d. Co-operative society

355. Four cost concepts are important in pricing decisions: total cost, fixed cost, variable cost, and:

a. Spending cost
b. Promotion cost
c. Product cost
d. Marginal cost

356. In which of the following do two or more organizations collaborate on a project for mutual gain?

a. Limited partnership
b. Joint venture
c. Public corporation
d. Strategic alliance

357. Sources of marketing information are categorized into two groups - what are they?

a. Macro environmental sources; micro environmental sources.
b. External sources; internal sources.
c. Causal resources.
d. All of the given options

358. _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement
The product life cycle
Marketing research
A customer-oriented approach

359. The notice calling the annual general meeting, must, be given to all its members at least _____ days before the date of the meeting.

a. 21 days
b. 30 days
c. 45 days
d. 51 days

360. A product is:

a. Everything the customer receives in an exchange
b. The physical object the customer receives in an exchange
c. The service that is rendered to a customer
d. The idea that the customer receives in an exchange

361. Political and legal barriers to trade include:

a. Tarrifs
b. Quotas
c. All of the given options
d. None of the given options

362. Money is the sole motivator for workers according to which of the following?

a. Theory X
b. Theory Y
c. Equity theory
d. Classical theory of motivation

363. DSS stands for:

a. Decision support system
b. Data support system
c. Data supervision system
d. None of the given options

364. Business benefits the people by providing them

a. **Large number of services**
b. Less number of services
c. Environmental pollution
d. Sub standard goods

365. The method of interviews where questions can be changed or adapted to meet the respondent's intelligence and understanding is called:

a. Unstructured interviews
b. Structured interviews
c. All of the given options
d. None of the given options

366. Which of the following is not the disadvantage of cooperative society?

a. Lack of secrecy
b. No profit incentive
c. Untrained supervision

d. Protection of mutual interest

367. First directors are usually named in the _____

a. Memorandum of Association
b. Articles of Association
c. Prospectus
d. None of the above

368. Which of the following statements about franchising is true?

a. Franchising is a type of corporate system.
b. Franchising is used to achieve coordination at successive stages of production
c. Franchising is a type of administered vertical marketing system.
d. Franchising is the most visible variation of contractual systems

369. A training technique in which trainees act out as parts in a realistic management situation is known

as:

Business Games
Role Play
Vestibule Training
None of the given options

370. The situation when a country imports less than it exports is:

a. A trade surplus.
b. A recession.
c. An expansion.
d. A trade deficit

371. Being a global organization means:

a. Customizing the product range for each segment in part.
b. Creating standardized products
c. All of the given
d. None of the given

372. _____ is the process of locating, identifying, and attracting capable applicants.

a. Downsizing
b. Human resource inventory report
c. Recruitment
d. Strategic human resource planning

373. Which of the following is included in job specification?

a. Working environment
b. Experience
c. Job title
d. Job location

374. When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a. Market differentiation
b. Market mission
c. Market segment
d. Marketing plan

375. There are really only two ways to collect primary data for a marketing study:

a. Observation and asking questions
b. Passive and remote observations
c. Through laboratory settings and onsite groups
d. With careful, selected shopper and specialized syndicated services

376. A firm can charge a higher price without loosing its customers if it does not have much

a. Production
b. Competition
c. Advertising
d. Industry demand

377. _____ is used to cover long-term expenses such as assets.

a. Line of Credit
b. Debt Financing
c. Preferred Stock
d. Financial Management

378. A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

a. 21 days
b. 30 days
c. 45 days
d. 51 days

379. The obtaining and investing funds by the firm is determined by the

a. Finance function
b. Marketing function
c. Organizing function
d. Accounting function

380. The marketing concept is:

a. Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b. Long-run success page.
c. Largest market share.
d. Highest paid staff.

381. _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing
Marketing Era Marketing
Consumer Marketing
Exchange Marketing

382. The liability of a sole trader is:

Limited only to his investment in the business
Limited to the total resources of the business
Unlimited
Not defined

383. At which stage of the product life cycle would a company consider the design of product versions for

different segments as part of its product strategy?

a. Introduction
b. Growth
c. Maturity
d. Decline

384. All of the following statements are true regarding a partnership except _____.

Partners pay personal income tax on their share of the partnership's income
A new partnership agreement is required whenever a new partner enters or leaves the partnership
Mutual agency creates personal obligations for each partner
Each partner's liability is limited to the amount he or she contributed to the partnership

385. Which of the following statements is true about services?

They are experienced, used or consumed
They are often sold first, then consumed
They are perishable
All of the given options

386. The sole trader and his business exist:

a. Independently
b. Together
c. For others
d. None of the above

387. In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:

Demographics
Psychographics
Personal profiles
Personality

388. Which of the following is an off-the-job training methods?

a. Lectures
b. Business Games
c. Case Study method
d. All of the given options

389. A major disadvantage of the corporate form of organization is the _____.

a. Double taxation of dividends
b. Inability of the firm to raise large sums of additional capital
c. Limited liability of shareholders
d. Limited life of the corporate form

390. Which of the following business type can avail some concessions from the government?

a. Sole proprietorship
b. Partnership
c. Joint stock company
d. Cooperative society

391. New and revised products may be tested through:

a. Commercialization
b. Product life cycle
c. Family brands
d. Marketing research

392. Demographic segmentation divides the market by:

a. Age, gender, marital status, social class, religion and education
b. Perceptions, beliefs and values
c. Lifestyle, personality and self-image
d. Location or region

393. The activity directed towards producing wealth through buying and selling goods is termed as:

a. Business
b. Social services
c. non-economic activities
d. None of the given options

394. People in business and government face important ethical issues and decisions.

a. Only in the United States
b. Primarily in capitalist countries
c. Primarily in communist countries
d. In many different countries around the world

395. A good, service, or idea consisting of a bundle of tangible and intangible attributes that can satisfy consumers is called a:

a. Nondurable good
b. Durable good
c. Product
d. Commodity

396. Possession utility is provided when:

A good or service is obtained and there is a right to use or consume it
A product is available where someone wants it
Someone performs a task for someone else
None of the given options

397. The first stage in Evolution of business is:

a. Industrial revolution
b. Marketing Era
c. Entrepreneurship
d. Globalization

398. An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process
Exchange process
Relationship process
Production process

399. Which of the following is EXCLUDED from the advantages of sole proprietorship?

a. Unlimited liability
b. Personal satisfaction
c. Entire profit
d. Independence

400. Examples of genetic industries include:

Poultry
Sugar mill
Plant nurseries
Canals

401. A document containing information regarding internal and external matters of the business is called:

a. Business plan
b. Partnership deed
c. Feasibility report
d. None of the given

402. Many organizations provide guidelines of behavior to employees through a code of:

Cartel arrangements
Kickback agreements
Production manuals
Responsibility and ethics

403. The most important step in understanding business ethics is

a. Establishing codes of ethics
b. Learning to recognize ethical issues
c. Having efficient operations
d. Implementing a strategic plan

404. A major disadvantage of the corporate form of organization is the _____.

Double taxation of dividends
Inability of the firm to raise large sums of additional capital
Limited liability of shareholders
Limited life of the corporate form

405. Selection devices that are based upon physical condition of the candidates are known as:

a. Medical tests
b. Background investigations.
c. Aptitude tests
d. Application forms.

406. Which of the following focuses on job content, environment, and conditions of employment?

a. Job description
b. Human resource inventory report
c. Job analysis
d. None of the given options

407. People in business and government face important ethical issues and decisions.

a. Only in the United States
b. Primarily in capitalist countries
c. Primarily in communist countries
d. In many different countries around the world

408. The law elating to Joint Stock Companies has been laid in companies Ordinance:

a. 1984
b. 1980
c. 1932
d. none of the above

409. The term tariff, as used in international trade, refers to:

a. The price of goods when they leave the producing country.
b. A tax on imports.
c. A limit on the quantity of a good that can be imported into a country
d. A government payment to encourage exports.

410. Which of the following should be considered when designing a business plan?

a. Objectives of the business
b. Marketing components of the business
c. Financial components of the business
d. All of the above

411. Which of the following is included in economic factors?

a. Religion

b. Value system
c. Norms
d. Exchange rate

412. A document containing information regarding internal and external matters of the business is called:

a. Business plan
b. Partnership deed
c. Feasibility report
d. None of the given

413. Which of the following business type can avail some concessions from the government?

a. Sole proprietorship
b. Partnership
c. Joint stock company
d. Cooperative society

414. A major advantage of the corporate form of organization is:

a. Reduction of double taxation.
b. Limited owner liability.
c. Legal restrictions.
d. Ease of organization

415. Which of the following factor(s) contribute to success of new businesses?

a. Hard work
b. Market Demand
c. Luck
d. All of the given

416. The formation of ____ does not require any legal formality like registration.

a. Sole proprietorship
b. Company
c. Cooperative society
d. Partnership

417. The buying and selling of goods by way of electronic media, such as telephones is called:

a. E-commerce
b. Digital Age
c. Enterprise Resource Planning
d. None of the given options

418. Compared to licensing, franchising is a more advantageous entry mode because:

a. It generates economies of scale in marketing to international customers.
b. It offers greater control.
c. It is low-risk and low-cost.

d. Of all the above

419. In the business plan, when making financial projections, which of these would NOT form part of the plan?

a. Sources of loan
b. Expected revenues
c. Net income or profit
d. Audit

420. The two major sources of raising funds or financing a business are:

a. Owner's capital & borrowed funds
b. Short term and long term loans
c. Debentures and drafts
d. Assets and long term loans

421. Auditors are generally appointed and their remuneration, fixed at the _____

a. Extraordinary Meeting
b. Statutory Meeting
c. Director's Meeting
d. Annual General Meeting

422. An agreement between two parties in which one party passes on the right to other party is called:

a. Franchising agreement
b. Joint venture
c. Merger
d. Reconsolidation

423. Management level is concerned with long-range planning for the organization.

a. Supervisory
b. Middle-managerial
c. Stockholder
d. Top-managerial

424. Which of the following enjoys limited liability?

a. A general partnership.
b. A corporation.
c. A sole proprietorship.
d. None of the above

425. Which of the following is excluded from factors that can affect the business?

a. Demographic Factors
b. Economic and social factors
c. Natural factors
d. None of the above

426. Barriers to international trade include:

a. Social and cultural differences
b. Political and legal differences
c. Economic differences
d. All of the given options

427. The sole trader and his business exist:

a. Independently
b. Together
c. For others
d. None of the above

428. All of the following statements are true regarding partnerships except _____.

a. There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits
b. If the partnership agreement does not specify otherwise, profits will be shared equally by the partners
c. A partnership balance sheet is much like that of a proprietorship
d. The death of a partner dissolves the partnership and all assets must be liquidated

429. The liability of each member in cooperative society is

a. Limited to the share capital
b. Limited to total property of the society
c. Unlimited
d. None of the above.

430. Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) **External Component**
d) Financial Component
3) An agreement between two parties in which one party

431. possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) **Franchising**

432. The shareholders elect the Board of Directors in the

a)Through special resolution
b)In annual general meeting
c) In Special meeting
d)In statuary meeting

433. 5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) **Retained Earning**
c) Appropriation account
d) All of the given options

Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) **Prospectus**
d) None of the given option

434. A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

435. Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

a) Debt
b) Equity
c) None of the above
d) All of the given option

436. Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

437. Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

438. Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

439. The process of tracking the demand and satisfaction of customers in an effort to develop products

they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

440. _____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle
c) Marketing research
d) A customer-oriented approach

441. All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

442. When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

443. _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

444. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

445. The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries

b) Direct distribution
c) Distribution mix
d) Distribution channel

446. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

All of the following choices represent one of the four types of utility except:
a) Time
b) Form
c) Loyalty
d) Ownership

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) Marketing
d) Relationship

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving
the maximum amount of profits.
b) Long-run success page.
c) Largest market share.
d) Highest paid staff.

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) Sales process

b) Exchange process
c) Relationship process
d) Production process

MGT211- Introduction To Business

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FINALTERM EXAMINATION
Spring 2010
MGT211- Introduction To Business (Session - 3)

Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Which of the following is/are the component/s of business?

- Industry
- Commerce
- Both industry and commerce
- Trade and aids to trade

Question No: 2 (Marks: 1) - Please choose one

The notice calling the annual general meeting must be given to all its members at least _____ days before the date of the meeting.

- 21 days
- 30 days
- 45 days
- 51 days

Question No: 3 (Marks: 1) - Please choose one
The portion of capital kept at the winding up of a company for the payment of debts is known as:

- ► Reserve capital
- ► Issued capital
- ► Subscribed capital
- ► Authorized capital

Ans3)

Question No: 4 (Marks: 1) - Please choose one
Which of the following statements is false?

- ► Franchising is very common.
- ► A franchise enables one to use a larger company's trade name.
- ► A franchisee never has to pay the franchiser a percentage of sales revenues.
- ► A franchise may constrain the franchisee's independence.

Question No: 5 (Marks: 1) - Please choose one
Business success can be attributed to:

- ► Luck.
- ► Hard work, drive and dedication.
- ► A high demand for the good or service produced.
- ► All of the given options

Question No: 6 (Marks: 1) - Please choose one
A concept that implies that the firm should consider issues such as protecting the consumer, paying fair wages, maintaining fair hiring practices, supporting education, and considering environmental issues is:

- ► Financial management
- ► Profit maximization
- ► Social responsibility
- ► Agency theory

Question No: 7 (Marks: 1) - Please choose one
The MBTI is a personality test that has been used to select candidates who will

more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

- ► Legal but not valid
- ► Valid but not reliable
- ► Reliable but not valid
- ► Reliable but not legal

Question No: 8 (Marks: 1) - Please choose one

_____ is the process used by organizations to attract a qualified pool of job applicants.

- ► Socialization
- ► Human resource planning
- ► Recruitment
- ► Affirmation action

Question No: 9 (Marks: 1) - Please choose one

Profit sharing, gain sharing and pay-for-knowledge plans are examples of:

- ► Individual incentives
- ► Company-wide incentives
- ► Cafeteria benefit plans
- ► Merit salary systems

Question No: 10 (Marks: 1) - Please choose one

Which of the following statements is NOT true about services?

- ► They are experienced, used or consumed.
- ► They are often sold first, then consumed.
- ► They are perishable.
- ► They are tangible.

Question No: 11 (Marks: 1) - Please choose one

Possession utility is provided when:

- ► A good or service is obtained and there is a right to use or consume it.
- ► A product is available where someone wants it.
- ► Someone performs a task for someone else
- ► Someone produces something tangible

Question No: 12 (Marks: 1) - Please choose one

_____ includes all of the activities managers engage in to forecast their current and future human resource needs.

- RRecruitment and selection
- Job analysis and job design

- Selection and job design
- Human resource planning

Question No: 13 (Marks: 1) - Please choose one

Specifications of a product relate to the:

- Physical characteristics and level of quality
- Types of service that are provided along with the product
- Financing available with the product
- Types of competitors offering a similar product

Question No: 14 (Marks: 1) - Please choose one

Communicating information between sellers and potential buyers or others in the channel to influence attitudes and behavior is called _____.

- Advertising
- Promotion
- Publicity
- Marketing

Question No: 15 (Marks: 1) - Please choose one

A product can be:

- Tangible
- Intangible
- Something that is offered for sale
- All of the given options

Ans) All of the given options

Question No: 16 (Marks: 1) - Please choose one

Consumer goods are classified as convenience, shopping, and:

- Durable.
- Nondurable.
- Consumer.
- Specialty.

Question No: 17 (Marks: 1) - Please choose one

The stage of the Product life cycle where competitors appear is:

- Introduction
- Decline
- Maturity
- Growth

Question No: 18 (Marks: 1) - Please choose one

Expectations that specify the role of price in a firm's marketing and strategic plans are:

- ▶ Pricing considerations
- ▶ Pricing guidelines
- ▶ pricing objectives
- ▶ Pricing policies

Question No: 19 (Marks: 1) - Please choose one

Setting the highest initial price is called price:

- ▶ Penetration
- ▶ Gouging
- ▶ Parity
- ▶ Skimming

Question No: 20 (Marks: 1) - Please choose one

Which type of sales promotion is used when a manufacturer places one small bottle of shampoo in a clear bag and hangs it from the door of each house in a neighborhood?

- ▶ A sample
- ▶ A deal
- ▶ A premium
- ▶ An introductory offer

Question No: 21 (Marks: 1) - Please choose one

The activities and processes used in making both tangible and intangible products is known as _____.

- ▶ Operations.
- ▶ None of the given options
- ▶ Making
- ▶ Production.

Question No: 22 (Marks: 1) - Please choose one

Under which cost flow assumption is the ending inventory composed of the earliest purchased merchandise?

- ▶ FIFO
- ▶ LIFO
- ▶ Average cost
- ▶ Specific identification

Question No: 23 (Marks: 1) - Please choose one

The preferred method for achieving total quality in process output is to:

- ► Rely on a team of highly trained and dedicated inspectors.
- ► Rely on operator self-inspection and self-correction.
- ► Build and install an error-proof process and maintain it.
- ► Perform inspection at the next process.

Question No: 24 (Marks: 1) - Please choose one

What is data?

- ► All of the facts that are collected, stored, and processed by an information system.
- ► All of the debit and credit information about each transaction.
- ► The same thing as information.
- ► All of the given options.

Question No: 25 (Marks: 1) - Please choose one

Which of the following is defined as large scale information system used for organizing and managing a firm's processes across product lines, departments and geographic locations?

- ► Expert System
- ► Decision Support System
- ► Enterprise Resource Planning
- ► Electronic Data Interchange

Question No: 26 (Marks: 1) - Please choose one

The financial statement which shows cash activity (receipts and disbursements) during the accounting period is called a(n):

- ► Bank statement.
- ► Income statement.
- ► Statement of cash flows.
- ► Bank reconciliation.

Question No: 27 (Marks: 1) - Please choose one

Which of the following regarding GAAP is true?

- ► GAAP is the body of accounting knowledge followed by all countries in the world.
- ► GAAP is the abbreviation for generally accepted auditing procedures.
- ► Changes to GAAP must be approved by the Senate Finance Commission.
- ► All of the given options.

Question No: 28 (Marks: 1) - Please choose one

The inventory cost flow assumption where the oldest cost of inventory items is likely to remain on the balance sheet is_____

- All of the given options.
- FIFO
- LIFO
- Average

Question No: 29 (Marks: 1) - Please choose one

Which of the following would generally have *unlimited* liability?

- A limited partner in a partnership
- A shareholder in a corporation
- The owner of a sole proprietorship
- A member in a limited liability company (LLC)

Question No: 30 (Marks: 1) - Please choose one

The situation when a country imports more than its exports is:

- A trade surplus.
- A recession.
- A trade deficit.
- An expansion.

Question No: 31 (Marks: 1) - Please choose one

The marketing environment is BEST described as being

- Composed of controllable variables.
- Composed of variables independent of one another.
- An indirect influence on marketing activity.
- Dynamic and changing.

Question No: 32 (Marks: 1) - Please choose one

Which one of the following statements by a company chairman best reflects the marketing concept?

- We believe that the marketing department must organise to sell what we produce.
- We try to produce only high quality, technically efficient products.

► We try to encourage company growth.

► We have organised our business to make certain that we satisfy customer needs.

Question No: 33 (Marks: 1) - Please choose one

When Nayer Carpets develops new carpets that are highly stain resistant and durable, it must educate consumers about the product's benefits. This calls for activity in which of the following marketing mix variables?

► Price

► Promotion

► Product

► Packaging

Question No: 34 (Marks: 1) - Please choose one

The three major categories of influences that are believed to influence the consumer buying decision process are personal, psychological, and:

► Person-specific

► Social

► Demographic

► Situational

Question No: 35 (Marks: 1) - Please choose one

Nestle yoghurt represents which type of product for most consumers?

► Convenience

► Shopping

► Speciality

► Unsought

Question No: 36 (Marks: 1) - Please choose one

As the production manager of an engineering firm, you went out and bought a metal cutting machine. What you have purchased can best be classified as

► a processed component.

► a component part.

► raw material.

► an industrial product.

Question No: 37 (Marks: 1) - Please choose one

Physical distribution functions influence

► primarily pricing and product decisions.

► primarily promotion and pricing decisions.

► all elements of the marketing mix.

► primarily pricing decisions.

Question No: 38 (Marks: 1) - Please choose one

All elements of the marketing mix are influenced by physical distribution functions. For this reason, it is important for marketers to remember that

► physical distribution decisions must be made prior to any other marketing strategy consideration.

► physical distribution costs often rise as customer service requirements decrease.

► over 75 percent of all marketing costs are associated with physical distribution expenditures.

► no single distribution system is ideal for all situations and target markets.

Question No: 39 (Marks: 1) - Please choose one

A fruit and vegetable wholesaler buys a loaded truck of strawberries from a local farmer and then divides them into 10 kg baskets to sell to grocery stores. This sorting function is called:

► Allocation.

► assorting.

► accumulation.

► sorting out.

Question No: 40 (Marks: 1) - Please choose one

A product's ability that it cannot be used for various purposes in different capacities and under different conditions is termed as_____

► Flexibility of a product

► Inflexibility of a product

► Availability of a product

► All of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following statements is most suitable for Quality assurance?

- ▶ It refers to the prevention of product defects
- ▶ It is an auditing function that provides feedback to the project team and client about the quality of output being produced
- ▶ It is the technical process that includes the construction of control charts
- ▶ None of the given options

Question No: 42 (Marks: 1) - Please choose one

Which of the following is considered as the pillar of quality?

- ▶ Quality is free
- ▶ Doing it right the first time
- ▶ Process improvement
- ▶ None of the given options

Question No: 43 (Marks: 1) - Please choose one

A person needs to buy a medicine in midnight and gets it from a pharmacy, the availability of medicine in the midnight represents following

- ▶ Time utility
- ▶ Form utility
- ▶ Place utility
- ▶ None of the given options

Question No: 44 (Marks: 1) - Please choose one

Flow of communication from top to bottom is known as_____

- ▶ Downward communication
- ▶ Upward communication
- ▶ Combination of Downward and upward communication
- ▶ None of the given options

Question No: 45 (Marks: 1) - Please choose one

Auditors who are working within the organization are known as_____

- ▶ Internal auditors
- ▶ External auditors
- ▶ Both internal auditors and external auditors
- ▶ None of the given options

Question No: 46 (Marks: 1) - Please choose one

Assets which can not be physically touched are termed as_____

- ▶ Intangible assets
- ▶ Tangible assets
- ▶ Good will
- ▶ None of the given options

Ans 46) Intangible assets

Question No: 47 (Marks: 1) - Please choose one

Profit and loss account is also termed as _____

- ► Income statement
- ► Balance sheet
- ► Trial Balance
- ► None of the given options

Question No: 48 (Marks: 1) - Please choose one

A plan or an estimate for future expenses and revenues is termed as_____

- ► Budgeting
- ► Balance sheet
- ► Income statement
- ► None of the given options

Question No: 49 (Marks: 3)

Explain the nature and general purpose of financial statements.

Ans 49) statement prepared to meet the needs of all financial statement users as opposed to meeting the needs of only a particular group such as investors, creditors, management, or regulatory bodies. This is the purpose of financial statements based on GAAP. Financial statements are written records of business finances, including balance sheets and profit and loss statements. They stand as one of the most essential components of business information, and as the principal method of communicating financial information about an entity to outside parties. In a technical sense, financial statements are a summation of the financial position of an entity at a given point in time. General purpose financial statements are designed to meet the needs of many diverse users, particularly present and potential owners and creditors. Financial statements result from simplifying, condensing, and aggregating masses of data obtained primarily from a company's (or individual's) accounting system

Question No: 50 (Marks: 3)

What is meant by the term 'Just-in-Time' Inventory system?

Ans 50) Pull driven inventory system in which materials, parts, sub-assemblies,

and support items are delivered just when needed and neither sooner nor later. Its objective is to eliminate product inventories from the supply. As much a managerial philosophy as an inventory system, JIT encompasses all activities required to make a final product from design engineering onwards to the last manufacturing operation. JIT systems are fundamentals to time based competition and rely on waste reduction, process simplification, setup time and batch size reduction, parallel processing, and shop floor layout redesign. Under JIT management, shipments are made within rigidly enforced 'time windows' and all items must be within the specification with very little or no inspection. It was developed and perfected by Taiichi Ohno of Toyota corporation during 1960s.

Question No: 51 (Marks: 5)

Differentiate between push and pull strategies for promotion.

Ans 51) A push strategy is when a company proactively and aggressively markets or promotes a product or product line to the market place or a market segment. This can be through cold calling, direct mail, sending email blasts, advertising, etc. in which the company explicitly asks a prospective consumer to take action such as:
"Buy Now!" "Call Today" Sign Up Now" "For More Info Visit..."
Some times push strategy is accompanied by a sense of urgency and limited time offers and one-time incentives to prompt consumers' immediate action.

On the other hand a pull strategy is more passive than aggressive. In this case companies may have longer term strategy in mind. A company may look to instill top of mind awareness in the marketplace or build its Brand equity. Another twist to pull offers, is FREE Offers, this is when prospects are offered free trials, free information passively. The purpose behind this is to generate leads to which marketers can later promote back-end offers, in fact sometimes marketers will lose money upfront because they know they'll make up their money in the back-end. Good examples are: Coke Commercials (Enjoy Coca, Polar, Polar Bears) Lexus Commercials, Free Offers on the internet or ON TV.
To summarize a push strategy is aggressive, direct and calls prospects to action. A pull strategy is passive, instills a message for top of mind awareness or to build Brand equity.

Question No: 52 (Marks: 5)

Define the term "Material Management". What are the problems faced by materials managers in today's world?

Ans 52) Material Management is concerned with control of materials in such a manner which ensures maximum return on working control. Material management is concerned with the location & purchase of needed their storage & movement. It also arranges to keep an account for them. It is also responsible for planning their movement through manufacturing processes, store rooms and distribution channels. It is the branch of logistics that deals with the tangible components of a supply chain which covers the acquisition of spare parts/replacements, quality control of purchasing and ordering such parts/replacements, and the standards involved in ordering, shipping, and warehousing.

Question No: 53 (Marks: 5)

Define channel of communication, discuss different types of channels of business communication.

Ans 53) Various sources used by marketers to send marketing messages to potential consumers. Communication channels may be personal, involving two or more persons communicating directly with each other, such as a customer/salesperson relationship, or impersonal such as bill boards etc.
Types of communications:

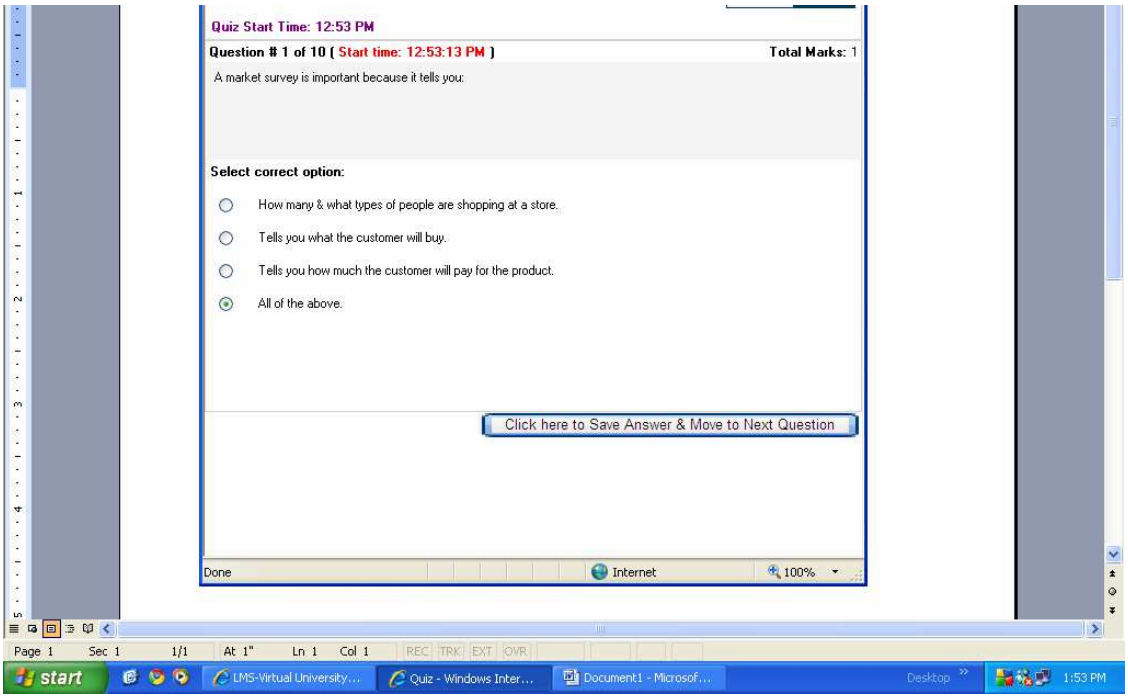
- **Verbal Communication**

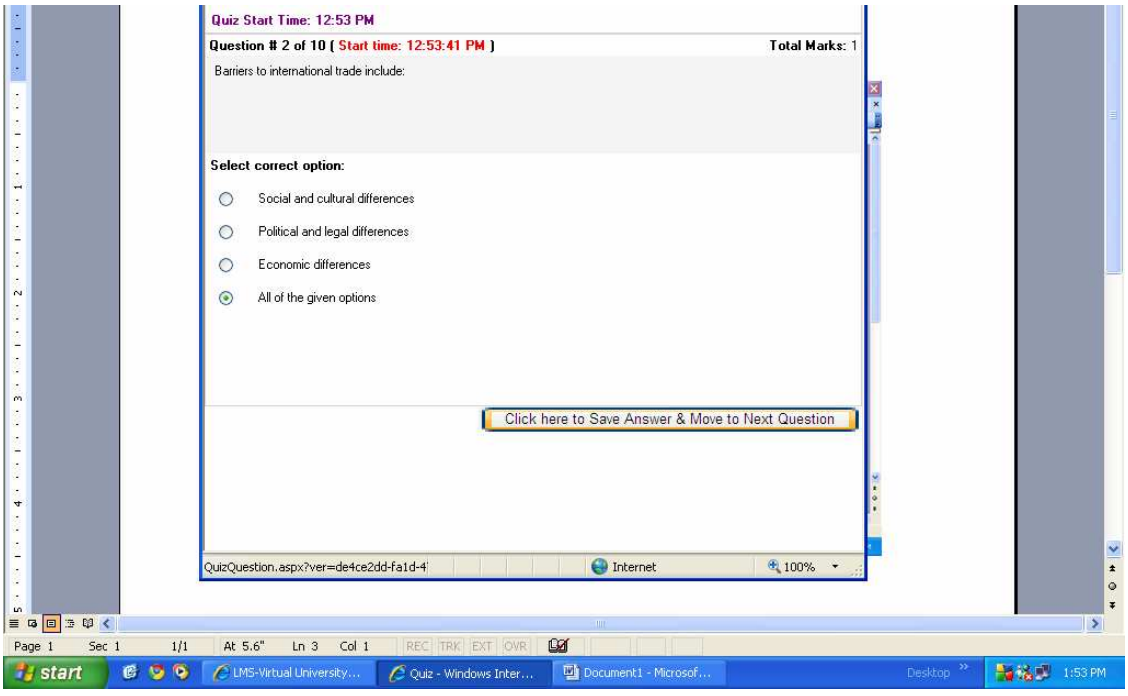
  Verbal communication is further divided into written and oral communication. The oral communication refers to the spoken words in the communication process. Oral communication can either be face-to-face communication or a conversation over the phone or on the voice chat over the Internet. Spoken conversations or dialogs are influenced by voice modulation, pitch, volume and even the speed and clarity of speaking. The other type of verbal communication is written communication. Written communication can be either via snail mail, or email. The effectiveness of written communication depends on the style of writing, vocabulary used, grammar, clarity and precision of language.

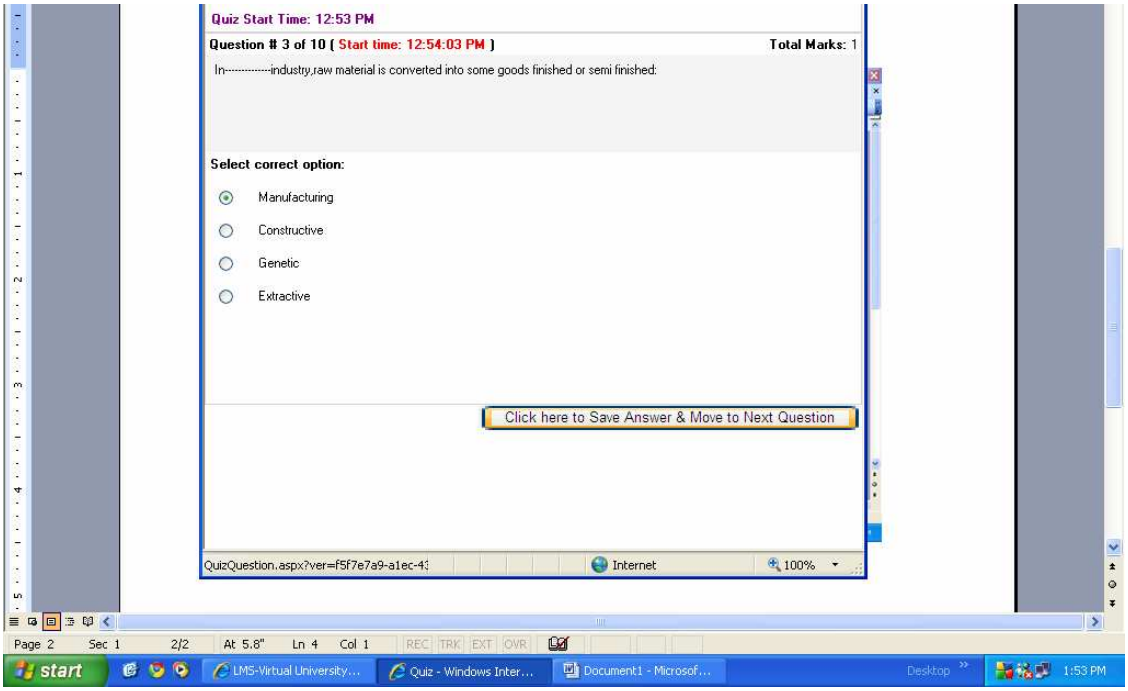
- **Nonverbal Communication**

  Non-verbal communication includes the overall body language of the person who is speaking, which will include the body posture, the hand gestures, and overall body movements. The facial expressions also play a major role while communication since the expressions on a person's face say a lot about his/her mood. On the other hand gestures like a handshake, a smile or a hug can independently convey emotions. Non verbal communication can also be in the form of pictorial representations, signboards, or even photographs.

Introduction to business _MGT 211_MCQs



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Question # 3 of 10 (Start time: 12:54:03 PM)
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In----------industry,raw material is converted into some goods finished or semi finished:
Select correct option:
Manufacturing
Constructive
Genetic
Extractive
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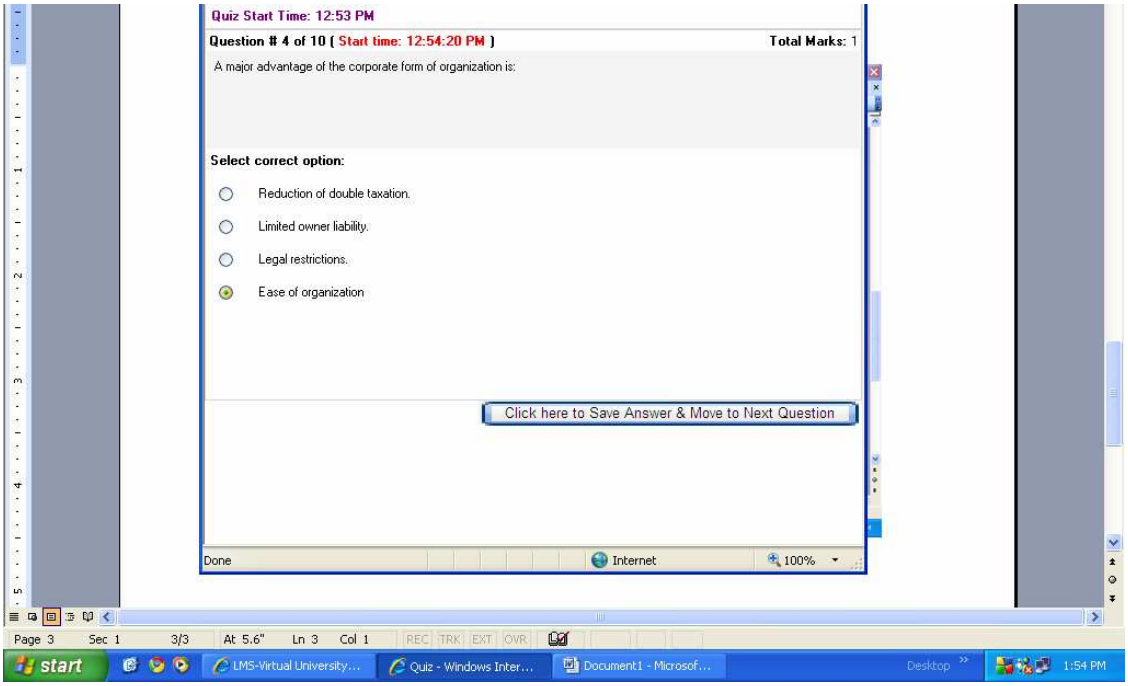
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Question # 4 of 10 (Start time: 12:54:20 PM)
Total Marks: 1
A major advantage of the corporate form of organization is:
Select correct option:
Reduction of double taxation.
Limited owner liability.
Legal restrictions.
Ease of organization
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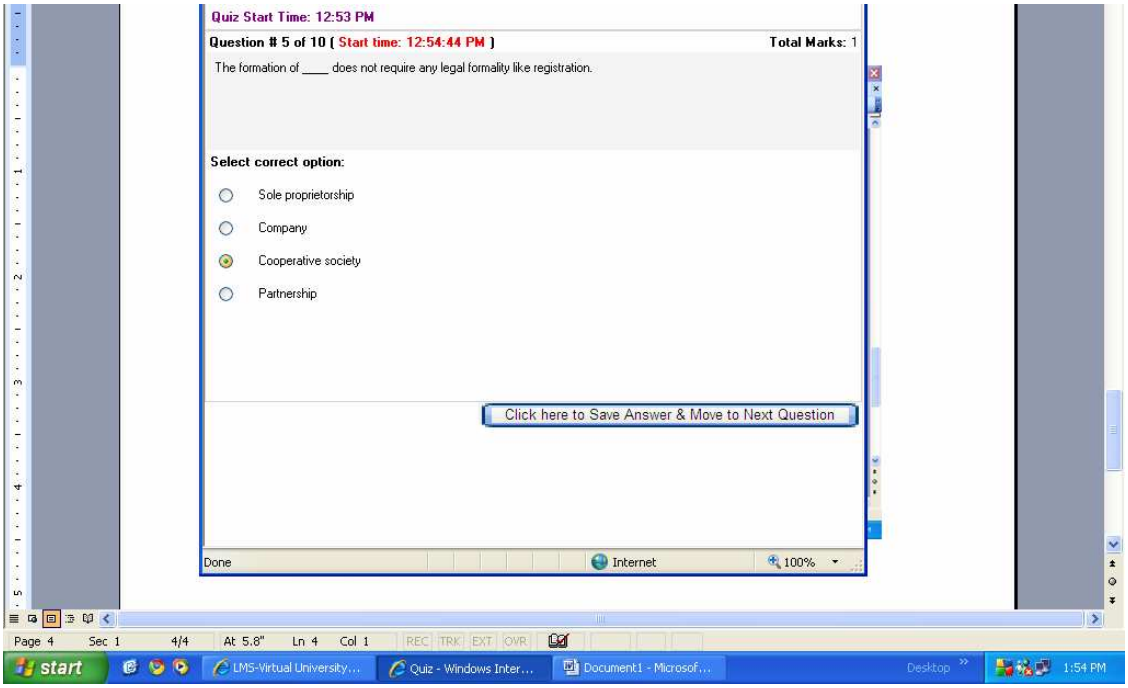
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Question # 5 of 10 (Start time: 12:54:44 PM)
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The formation of ____ does not require any legal formality like registration.
Select correct option:
Sole proprietorship
Company
Cooperative society
Partnership
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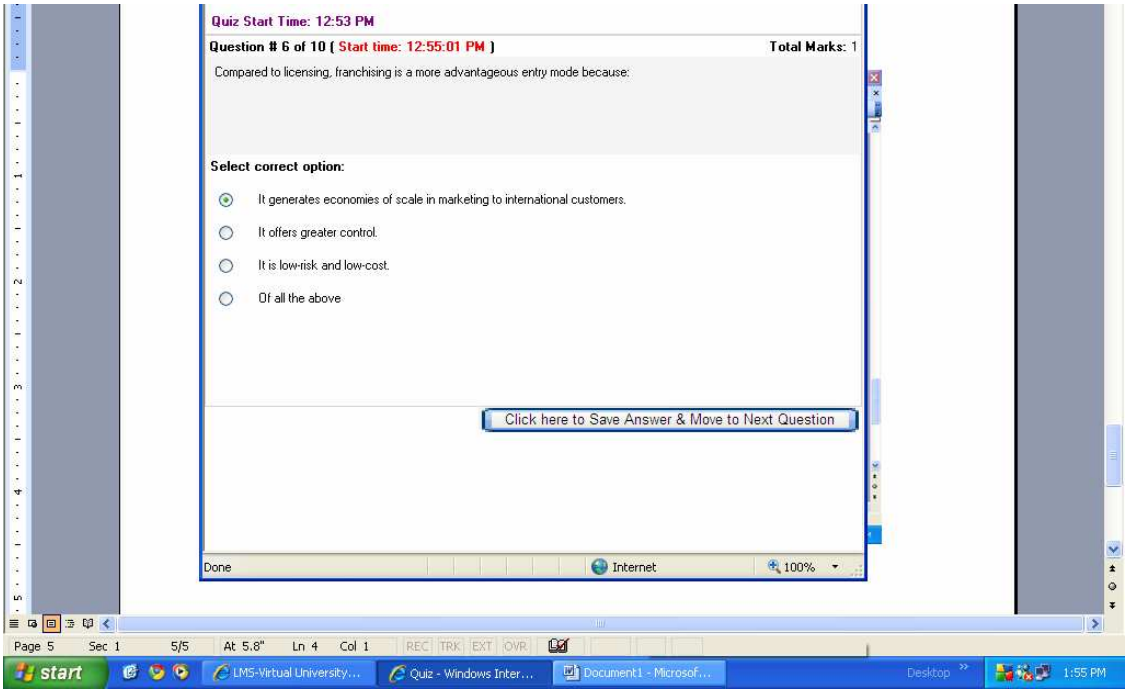
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Question # 6 of 10 (Start time: 12:55:01 PM)
Total Marks: 1
Compared to licensing, franchising is a more advantageous entry mode because:
Select correct option:
It generates economies of scale in marketing to international customers.
It offers greater control.
It is low-risk and low-cost.
Of all the above
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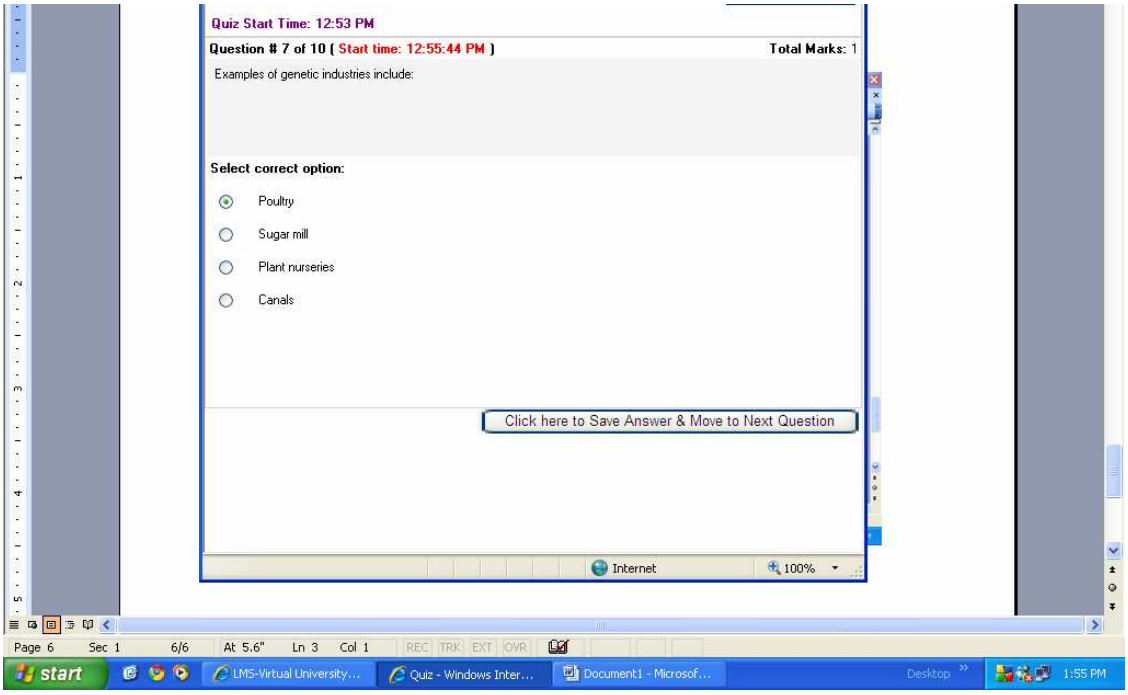
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Question # 7 of 10 (Start time: 12:55:44 PM)
Total Marks: 1
Examples of genetic industries include:
Select correct option:
Poultry
Sugar mill
Plant nurseries
Canals
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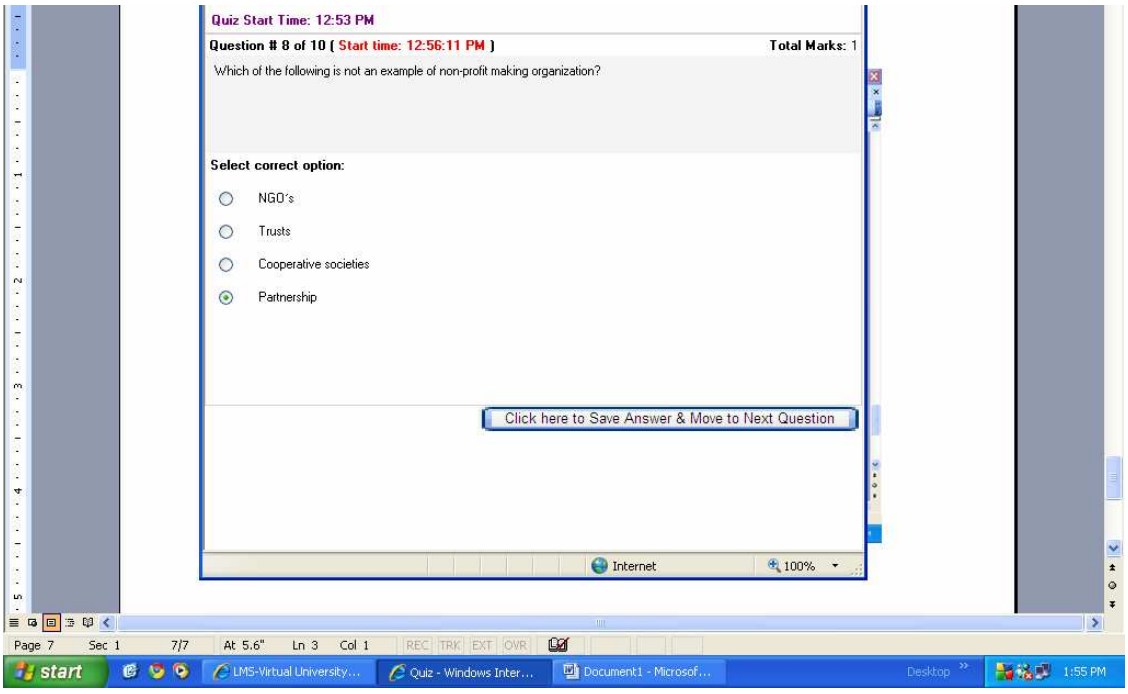
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Question # 8 of 10 (Start time: 12:56:11 PM)
Total Marks: 1
Which of the following is not an example of non-profit making organization?
Select correct option:
NGO's
Trusts
Cooperative societies
Partnership
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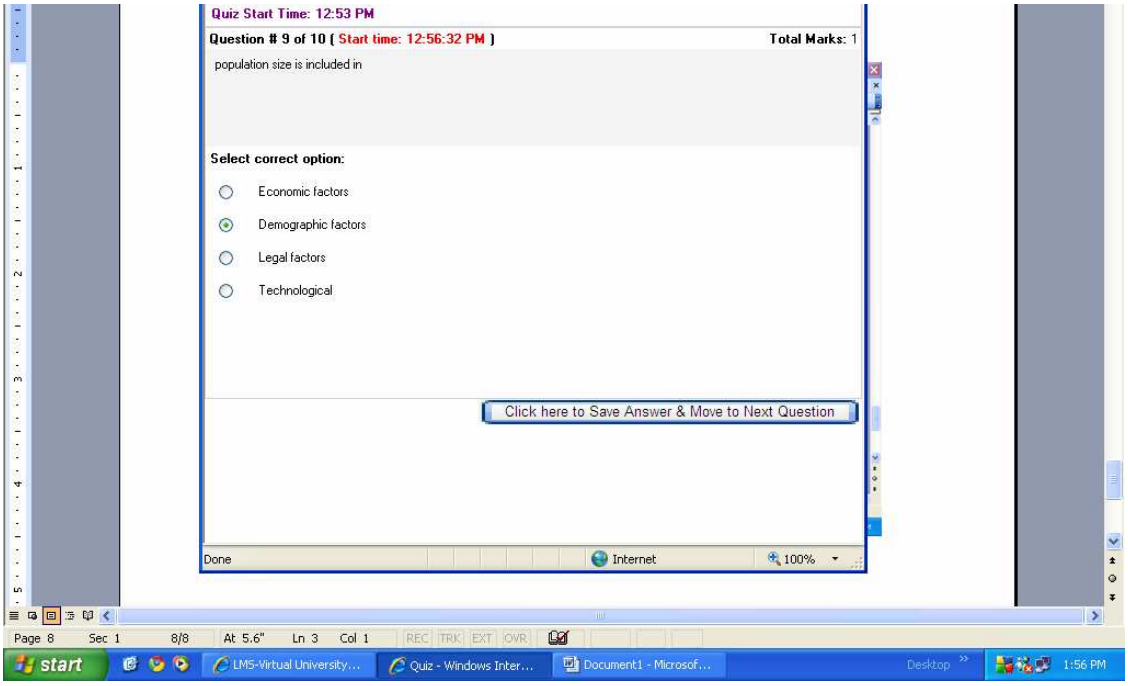
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Question # 9 of 10 (Start time: 12:56:32 PM)
Total Marks: 1
population size is included in
Select correct option:
Economic factors
Demographic factors
Legal factors
Technological
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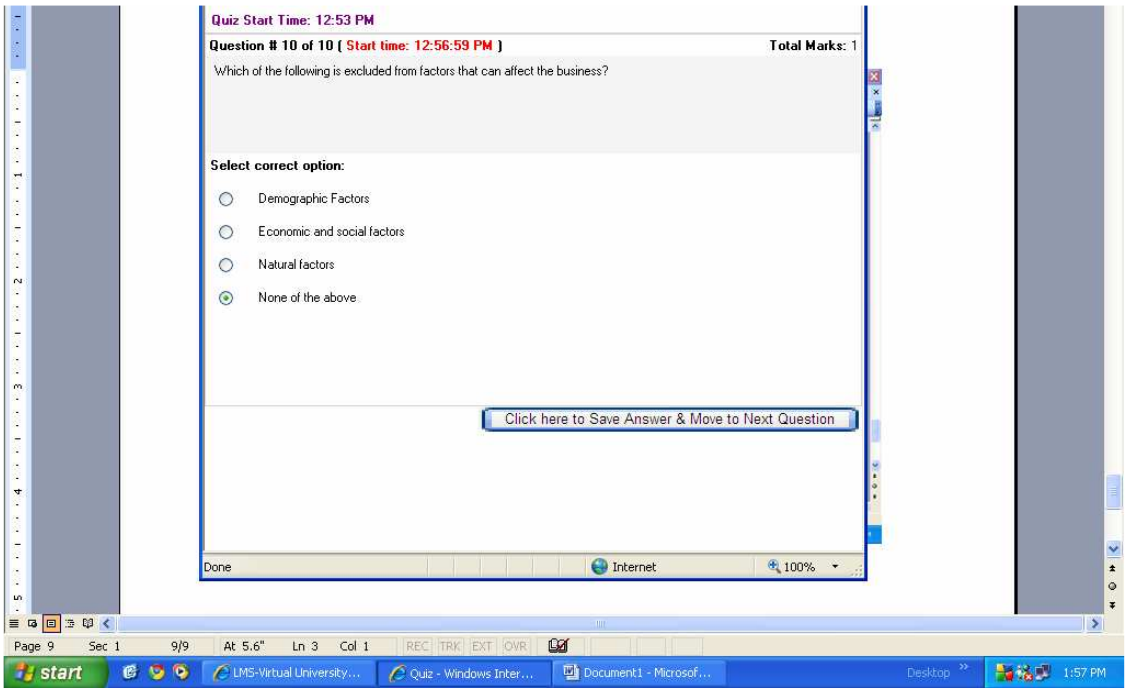
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Question # 10 of 10 (Start time: 12:56:59 PM)
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Which of the following is excluded from factors that can affect the business?
Select correct option:
Demographic Factors
Economic and social factors
Natural factors
None of the above
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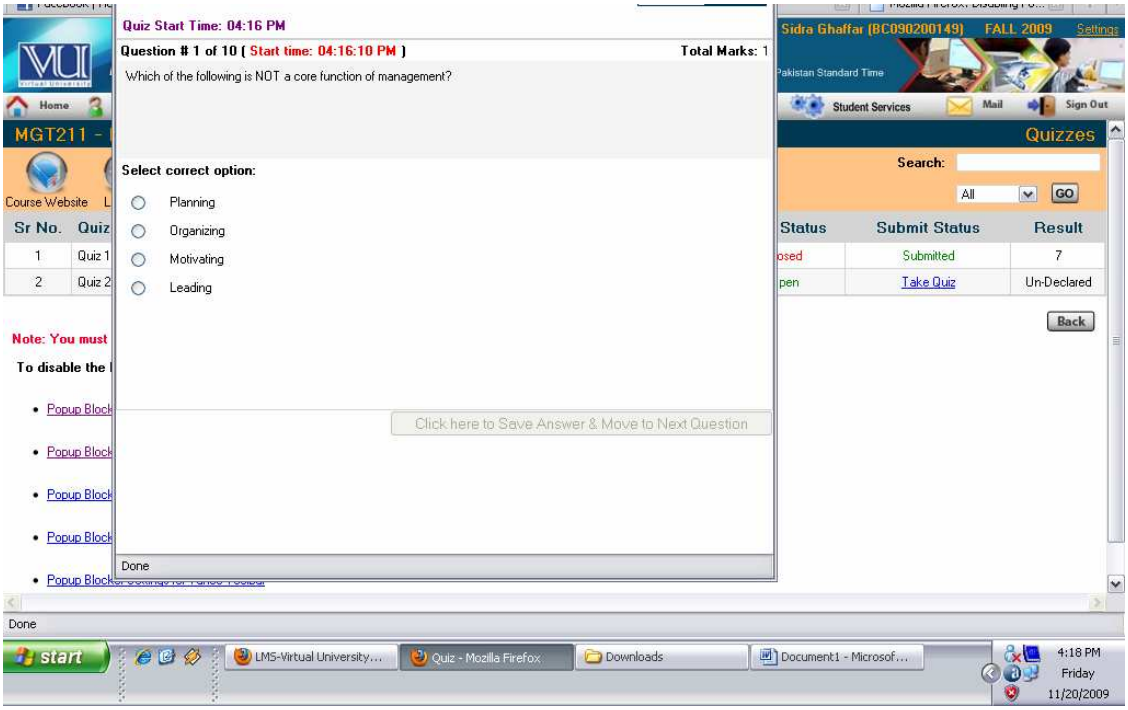
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Question # 1 of 10 (Start time: 04:16:10 PM)
Total Marks: 1
Which of the following is NOT a core function of management?
Select correct option:
Planning
Organizing
Motivating
Leading
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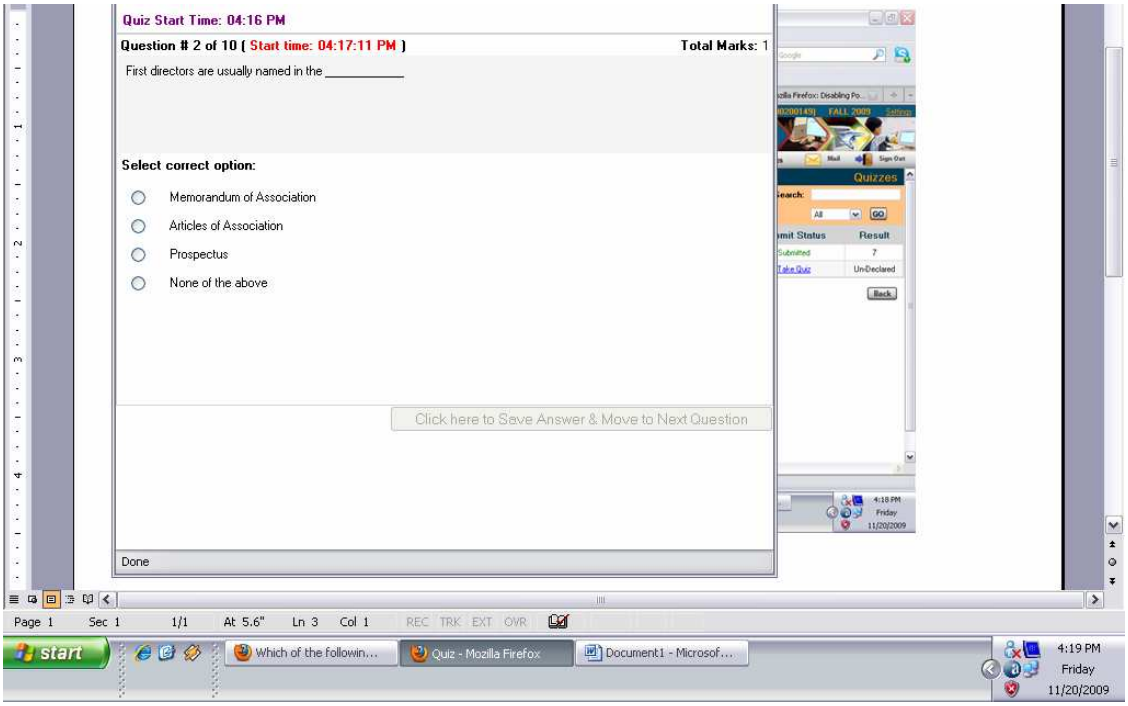
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Question # 2 of 10 (Start time: 04:17:11 PM)
Total Marks: 1
First directors are usually named in the _____
Select correct option:
Memorandum of Association
Articles of Association
Prospectus
None of the above
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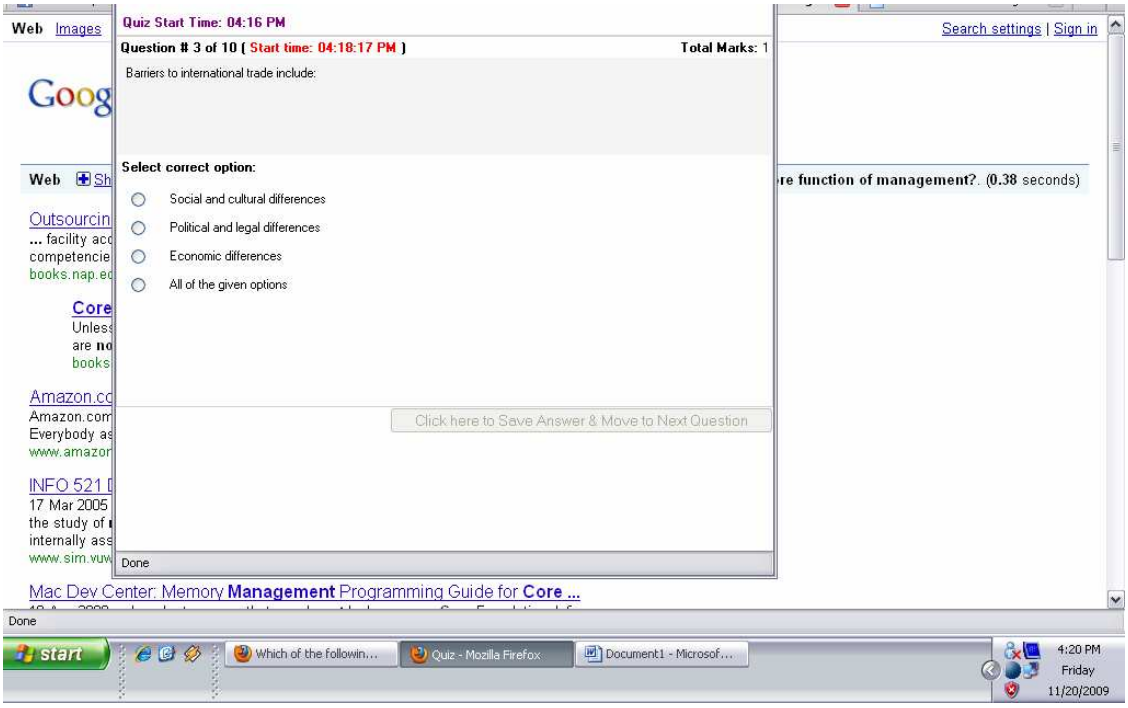
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Question # 3 of 10 (Start time: 04:18:17 PM)
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Barriers to international trade include:
Select correct option:
Social and cultural differences
Political and legal differences
Economic differences
All of the given options
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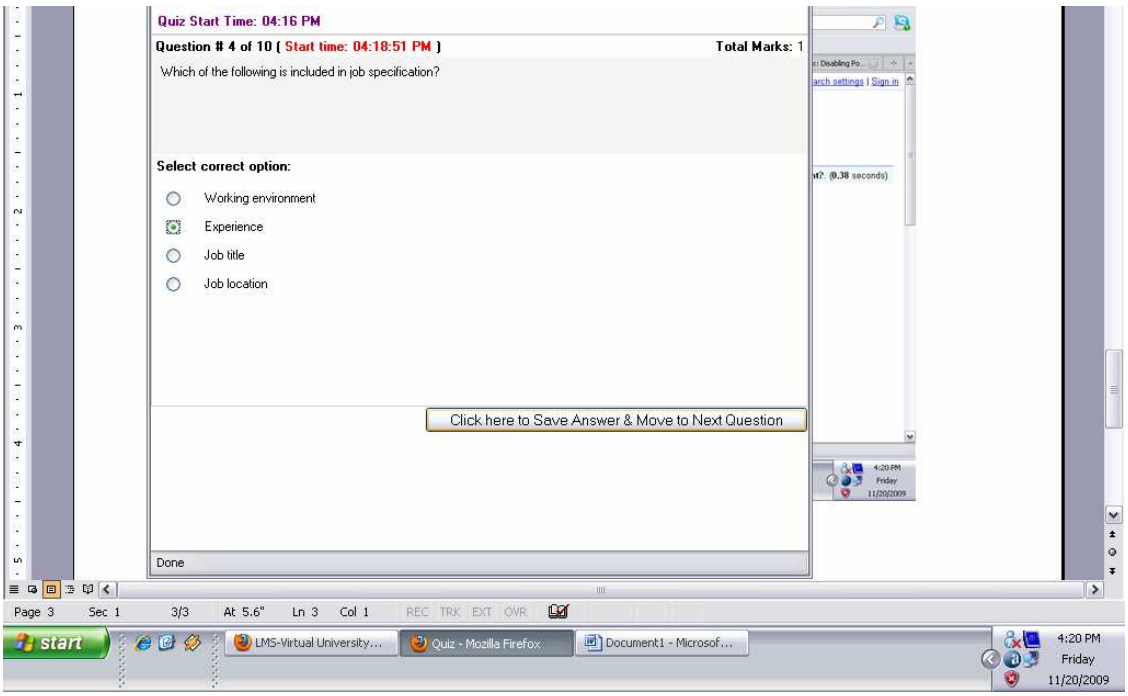
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Question # 4 of 10 (Start time: 04:18:51 PM)
Total Marks: 1
Which of the following is included in job specification?
Select correct option:
Working environment
Experience
Job title
Job location
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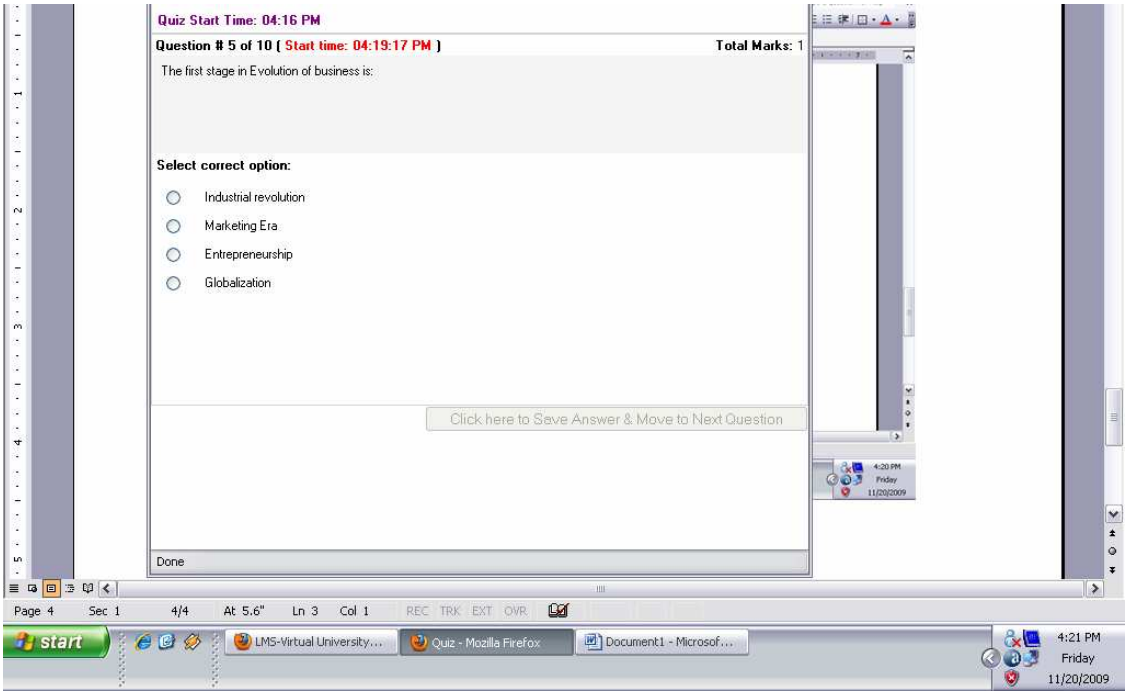
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Question # 5 of 10 (Start time: 04:19:17 PM)
Total Marks: 1
The first stage in Evolution of business is:
Select correct option:
Industrial revolution
Marketing Era
Entrepreneurship
Globalization
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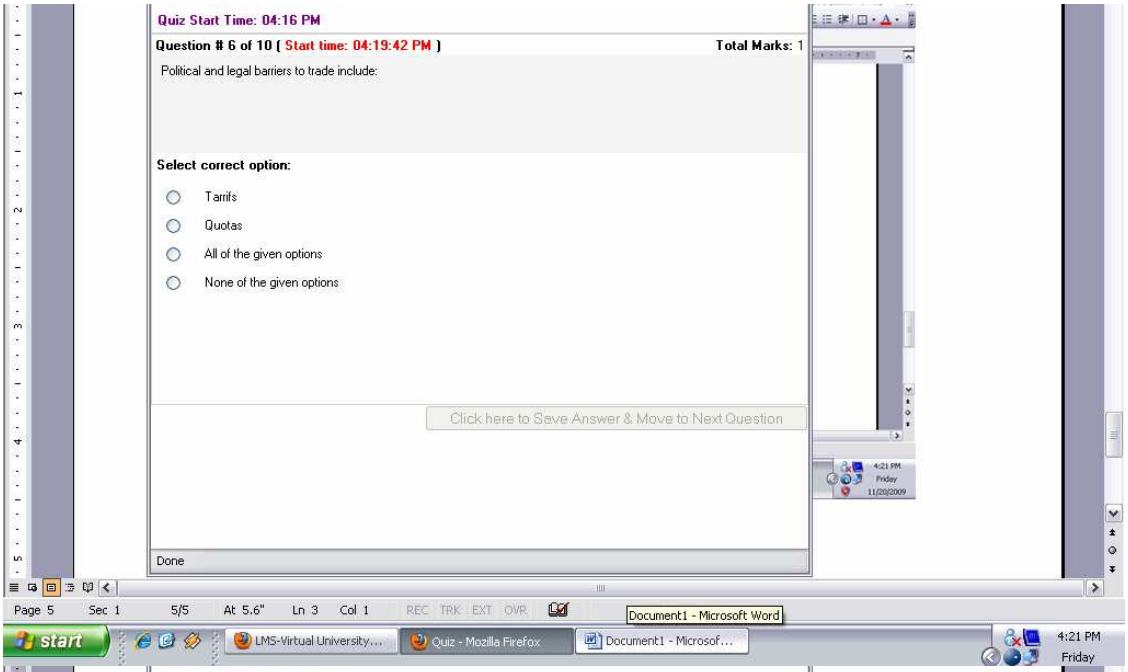
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Question # 6 of 10 (Start time: 04:19:42 PM)
Total Marks: 1
Political and legal barriers to trade include:
Select correct option:
Tarrifs
Quotas
All of the given options
None of the given options
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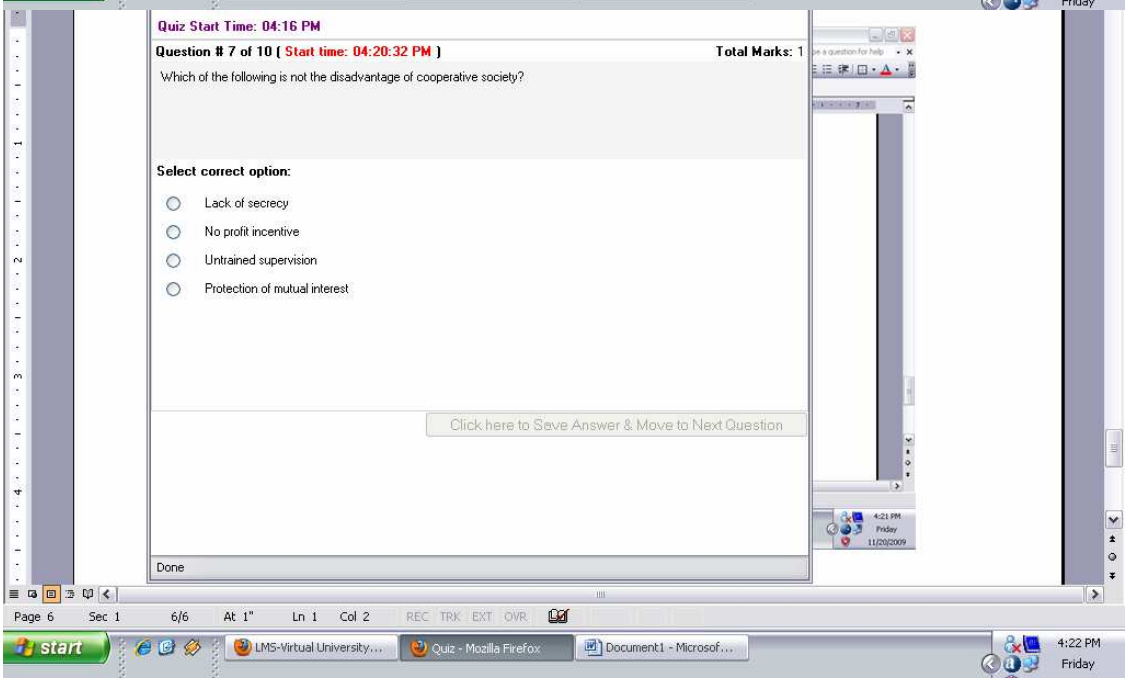
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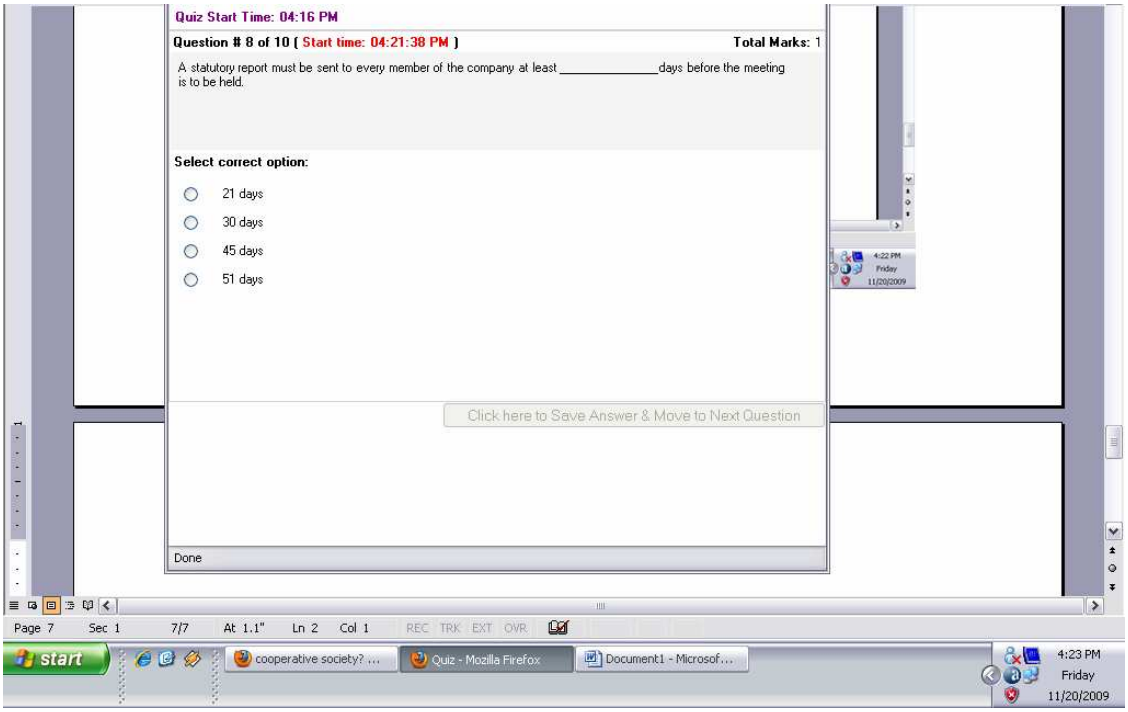
Question # 7 of 10 (Start time: 04:20:32 PM)
Total Marks: 1
Which of the following is not the disadvantage of cooperative society?
Select correct option:
Lack of secrecy
No profit incentive
Untrained supervision
Protection of mutual interest
Click here to Save Answer & Move to Next Question
Done
Page 6 Sec 1 6/6 At 1" Ln 1 Col 2
start
LMS-Virtual University...
Quiz - Mozilla Firefox
Document1 - Microsof...
4:22 PM
Friday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Question # 8 of 10 (Start time: 04:21:38 PM)
Total Marks: 1
A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.
Select correct option:
21 days
30 days
45 days
51 days
Click here to Save Answer & Move to Next Question
Done
Page 7 Sec 1 7/7 At 1.1" Ln 2 Col 1 REC TRK EXT OVR
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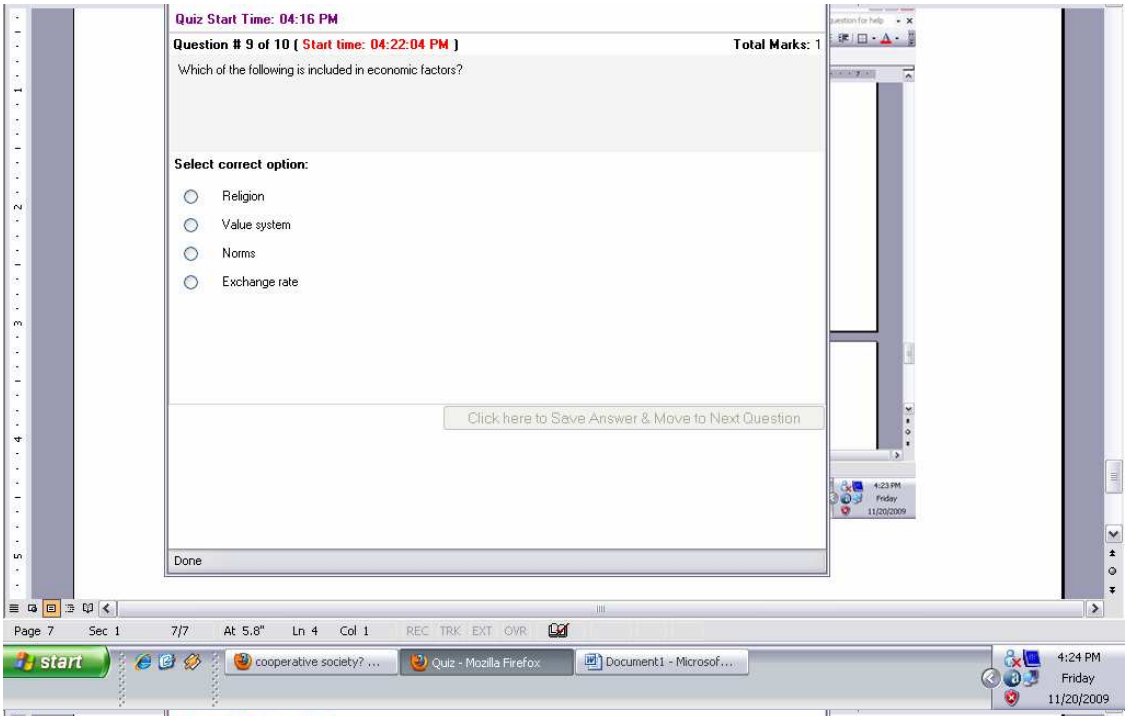
Friday
11/20/2009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Question # 9 of 10 (Start time: 04:22:04 PM)
Total Marks: 1
Which of the following is included in economic factors?
Select correct option:
Religion
Value system
Norms
Exchange rate
Click here to Save Answer & Move to Next Question
Done
Page 7 Sec 1 7/7 At 5.8" Ln 4 Col 1
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cooperative society? ...
Quiz - Mozilla Firefox
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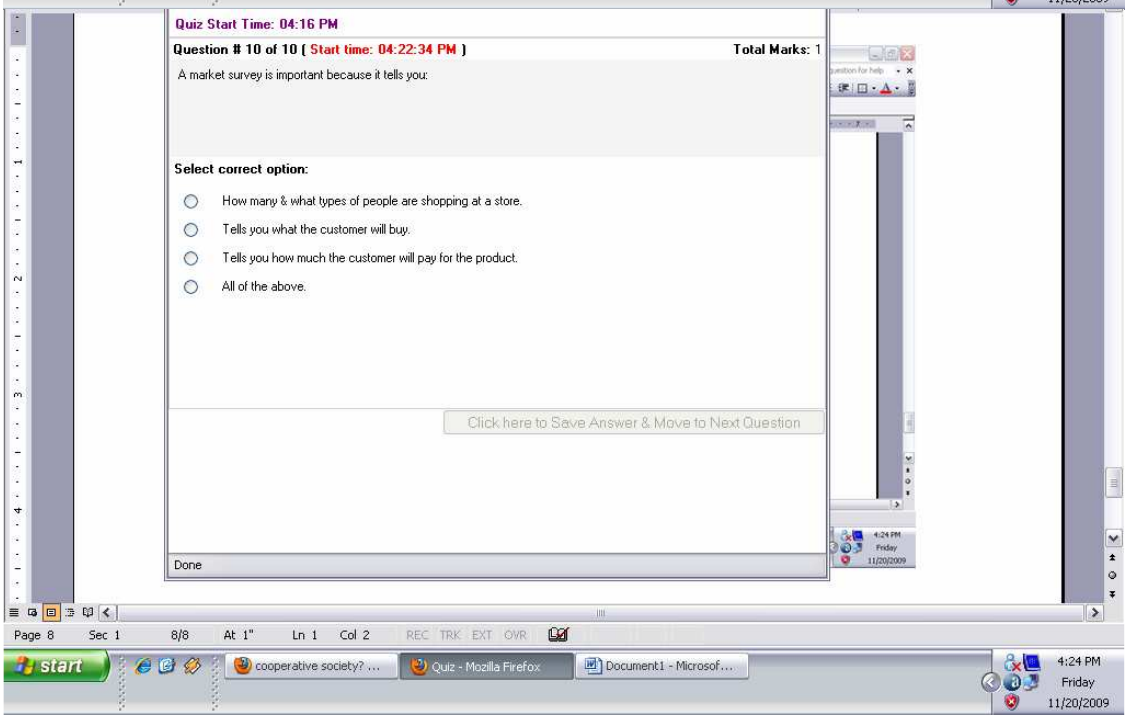
Friday
11/20/2009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Question # 10 of 10 (Start time: 04:22:34 PM)
Total Marks: 1
A market survey is important because it tells you:
Select correct option:
How many & what types of people are shopping at a store.
Tells you what the customer will buy.
Tells you how much the customer will pay for the product.
All of the above.
Click here to Save Answer & Move to Next Question
Done
Page 8 Sec 1 8/8 At 1" Ln 1 Col 2
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cooperative society? ...
Quiz - Mozilla Firefox
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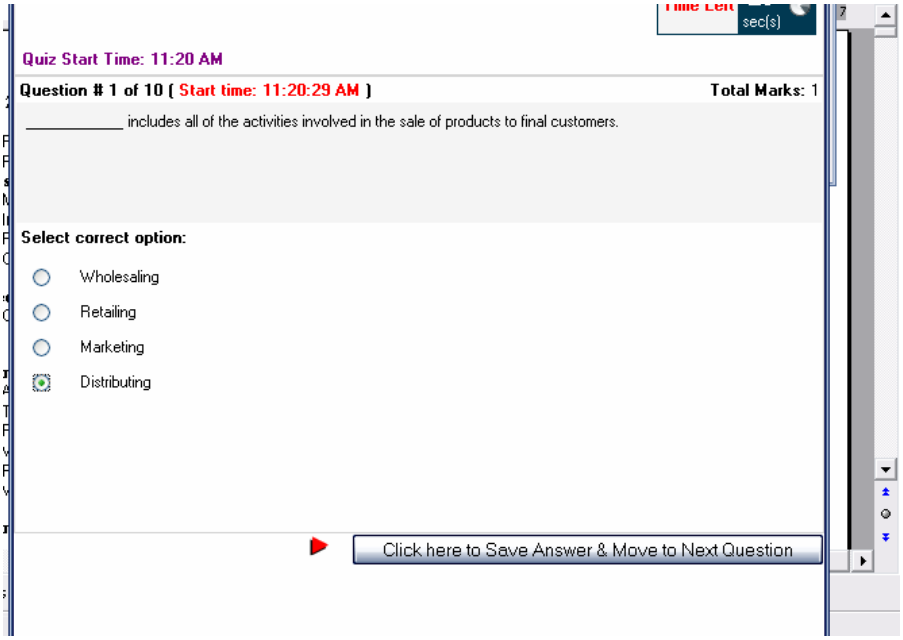
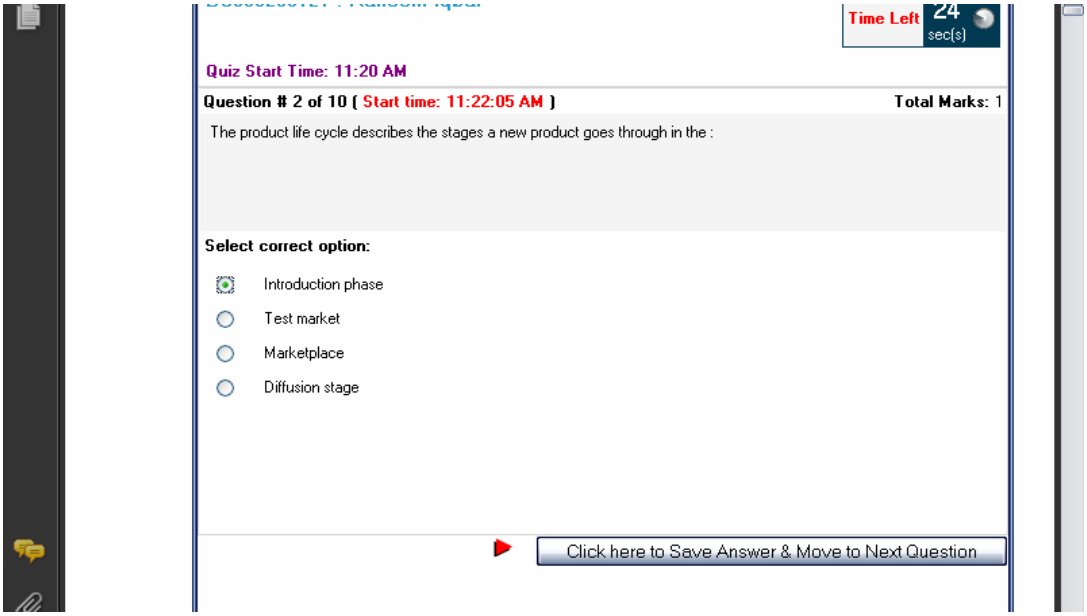
Friday
11/20/2009


sec(s)
Quiz Start Time: 11:20 AM
Question # 1 of 10 (Start time: 11:20:29 AM)
Total Marks: 1
_____ includes all of the activities involved in the sale of products to final customers.
Select correct option:
Wholesaling
Retailing
Marketing
Distributing
Click here to Save Answer & Move to Next Question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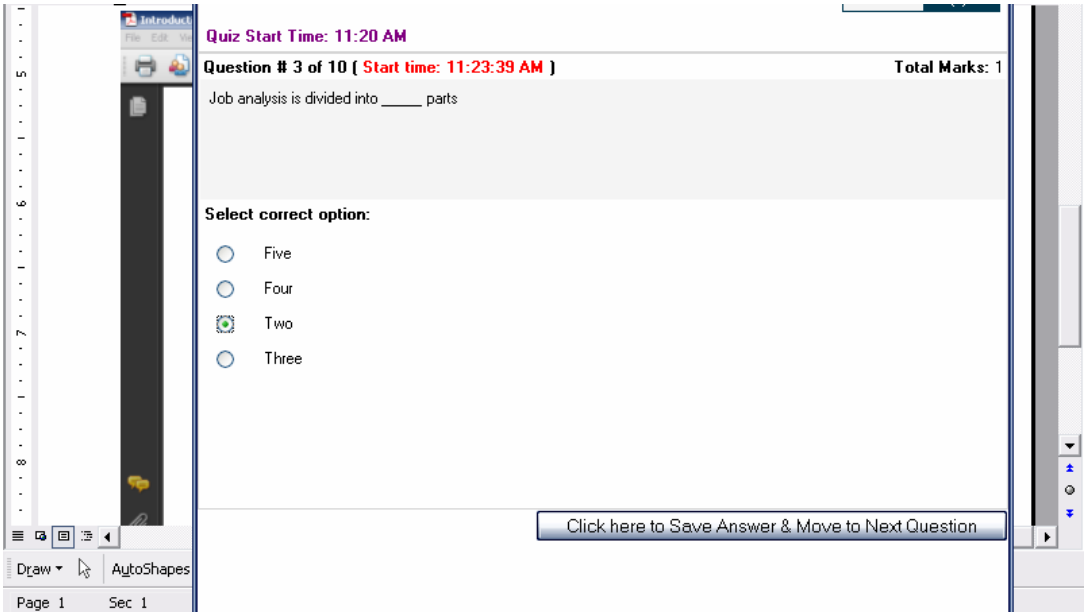
Question # 2 of 10 (Start time: 11:22:05 AM)
Total Marks: 1
The product life cycle describes the stages a new product goes through in the :
Select correct option:
Introduction phase
Test market
Marketplace
Diffusion stage
Click here to Save Answer & Move to Next Question


Quiz Start Time: 11:20 AM
Question # 3 of 10 (Start time: 11:23:39 AM)
Total Marks: 1
Job analysis is divided into _____ parts
Select correct option:
Five
Four
Two
Three
Click here to Save Answer & Move to Next Question
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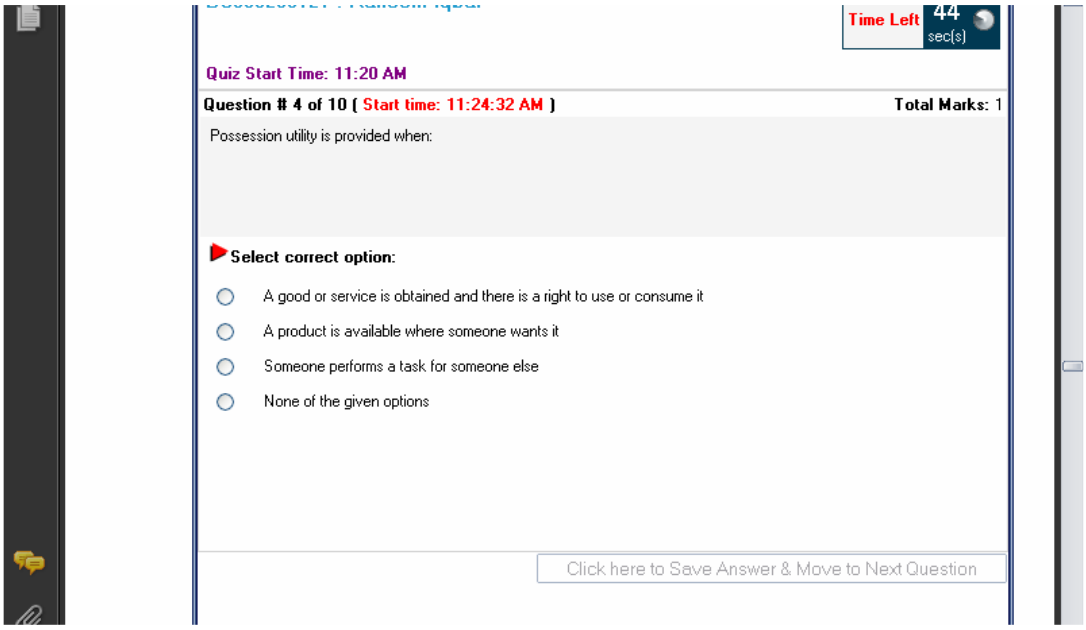
Page 1
Sec 1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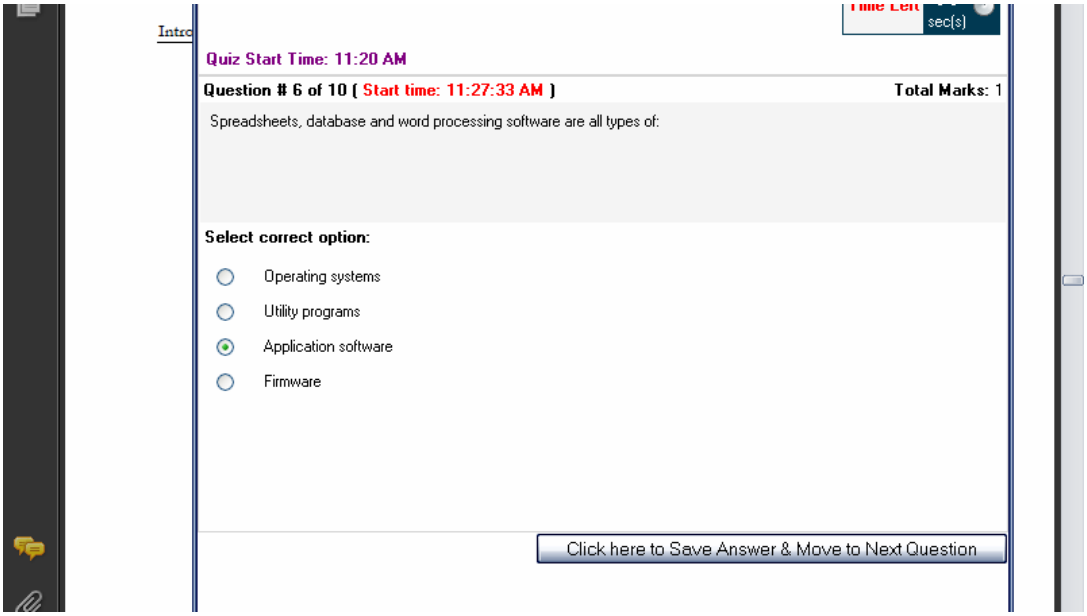
Quiz Start Time: 11:20 AM
Question # 4 of 10 (Start time: 11:24:32 AM)
Total Marks: 1
Possession utility is provided when:
Select correct option:
A good or service is obtained and there is a right to use or consume it
A product is available where someone wants it
Someone performs a task for someone else
None of the given options
Click here to Save Answer & Move to Next Question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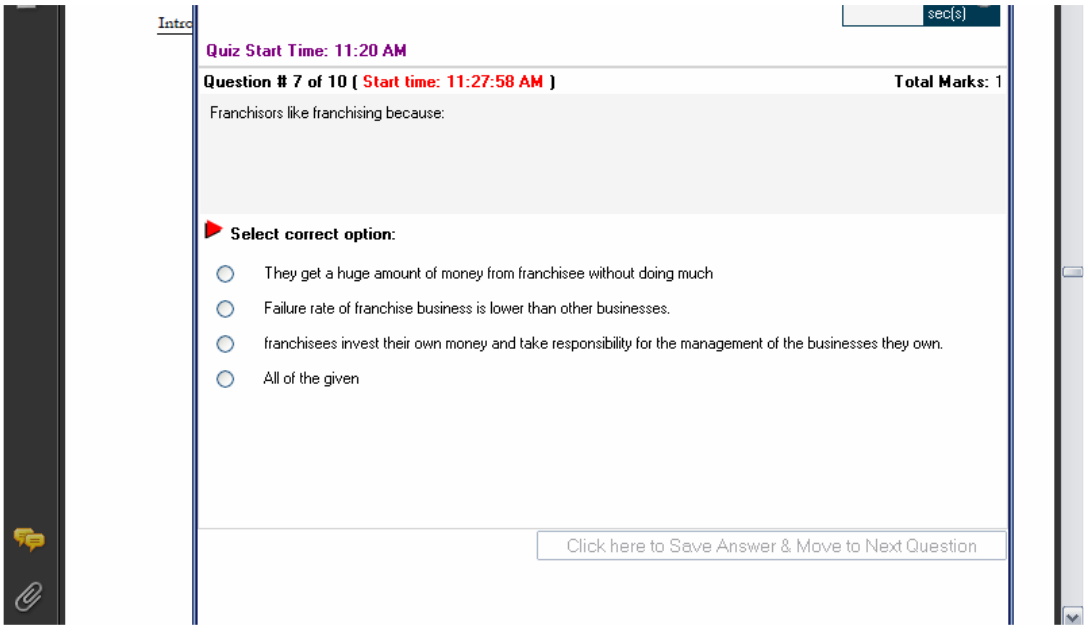
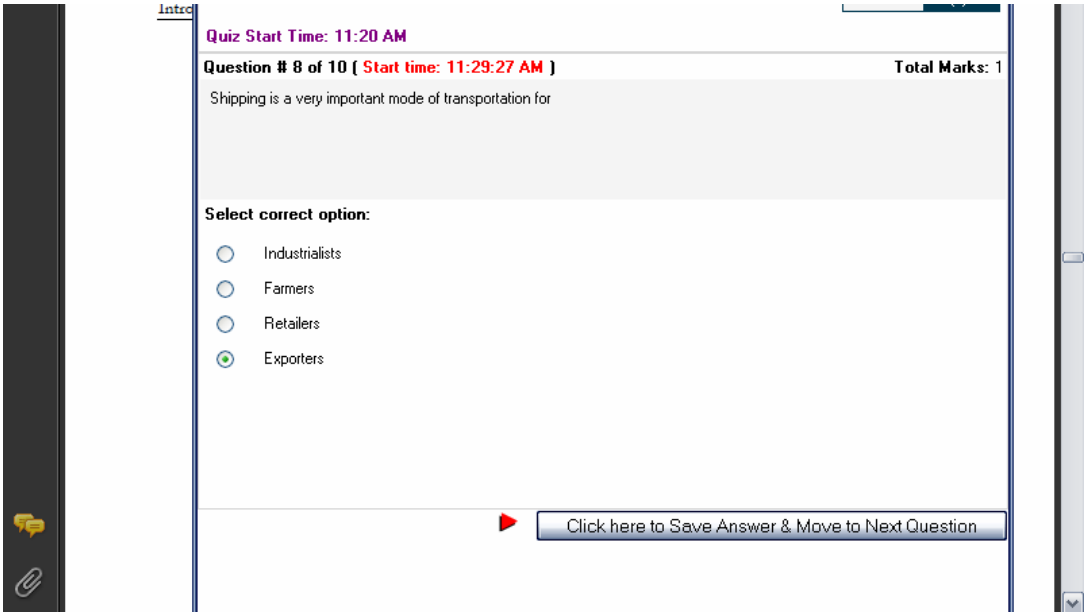
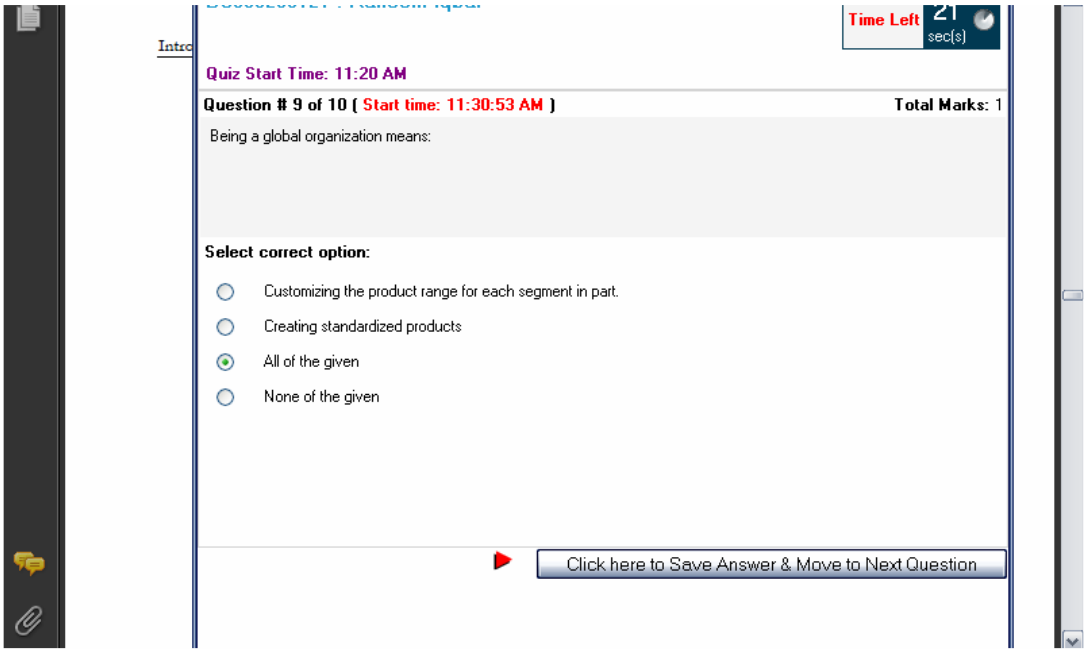
Quiz Start Time: 11:20 AM
Question # 6 of 10 (Start time: 11:27:33 AM)
Total Marks: 1
Spreadsheets, database and word processing software are all types of:
Select correct option:
Operating systems
Utility programs
Application software
Firmware
Click here to Save Answer & Move to Next Question


sec(s)
Quiz Start Time: 11:20 AM
Question # 7 of 10 (Start time: 11:27:58 AM)
Total Marks: 1
Franchisors like franchising because:
Select correct option:
They get a huge amount of money from franchisee without doing much
Failure rate of franchise business is lower than other businesses.
franchisees invest their own money and take responsibility for the management of the businesses they own.
All of the given
Click here to Save Answer & Move to Next Question


Quiz Start Time: 11:20 AM
Question # 8 of 10 (Start time: 11:29:27 AM)
Total Marks: 1
Shipping is a very important mode of transportation for
Select correct option:
Industrialists
Farmers
Retailers
Exporters
Click here to Save Answer & Move to Next Question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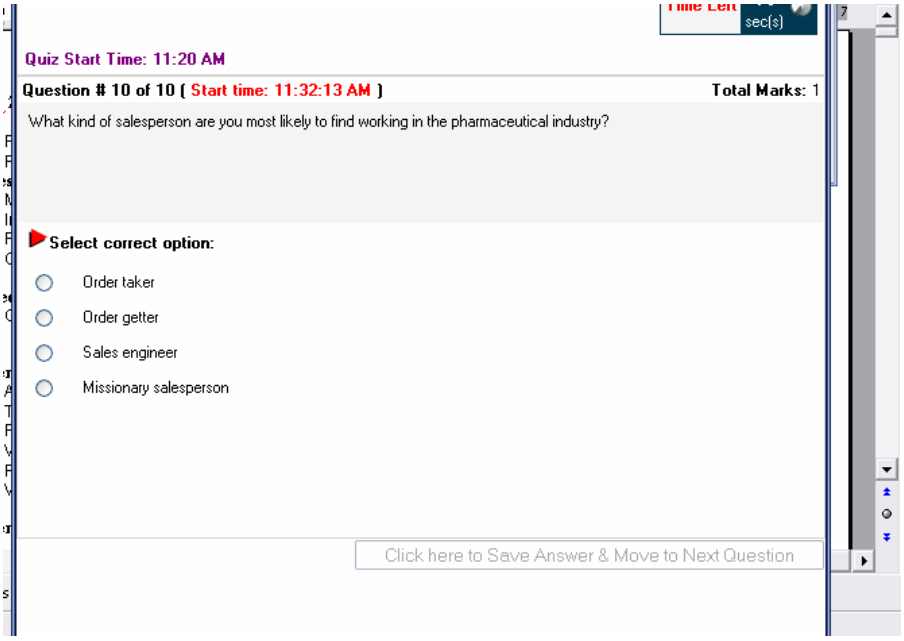
Quiz Start Time: 11:20 AM
Question # 9 of 10 (Start time: 11:30:53 AM)
Total Marks: 1
Being a global organization means:
Select correct option:
Customizing the product range for each segment in part.
Creating standardized products
All of the given
None of the given
Click here to Save Answer & Move to Next Question



Mark the statements as true or false.

1. Equity theory suggests that an employee's efforts are influenced by the expected outcome of those efforts.

2. A firm with several foreign subsidiaries should vary its leadership style in different countries, depending upon the characteristics of foreign country.

3. In a small business, the owner may perform all the management functions.

4. The overall performance evaluation of most employees is based on multiple criteria.

5. Firms should offer the same compensation package to their employees in foreign countries that they offer in their home country.

Online quiz of mgt211 (2nd quiz)

Examples of genetic industries include:

Select correct option:

- Poultry
- Sugar mill
- Plant nurseries
- Canals

The sole trader and his business exist:

Select correct option:

- Independently
- Together
- For others
- None of the above

The most important step in understanding business ethics is

Select correct option:

- Establishing codes of ethics
- Learning to recognize ethical issues
- Having efficient operations
- Implementing a strategic plan

When a person provides his services to society on the basis of his speciallized knowledge and experience is termed as:

Select correct option:

- Employment

- Profession
- NGO's
- All of the given options

When a person provides his services to another person on the basis of fixed salary is known as:

Select correct option:

- Employment
- Unemployment
- Government service
- All of the given options

The difference between a country's merchandise exports and its merchandise imports is the:

Select correct option:

- Current account.
- Capital account
- Balance of trade
- Balance of payments

Business benefits the people by providing them

Select correct option:

- Large number of services
- Less number of services
- Environmental pollution
- Sub standard goods

Selection devices that are based upon physical condition of the candidates are known as:

Select correct option:

- Medical tests
- Background investigations.
- Aptitude tests
- Application forms.

The two major sources of raising funds or financing a business are:

Select correct option:

- Owner’s capital & borrowed funds
- Short term and long term loans
- Debentures and drafts
- Assets and long term loans

Which of the following is EXCLUDED from the advantages of sole proprietorship?

Select correct option:

- Unlimited liability
- Personal satisfaction
- Entire profit
- Independence

Job analysis is divided into _____ parts

Select correct option:

- Five
- Four
- Two
- Three

which of the following is an off-the-job training methods?

Select correct option:

- Lectures
- Business Games
- Case Study method
- All of the given options

In----------industry,raw material is converted into some goods finished or semi finished:

Select correct option:

- Manufacturing
- Constructive
- Genetic
- Extractive

The following are included in a business plan:

Select correct option:

- Financial information, production plans, personnel policies
- Goals of the business and how they will be achieved.
- Market analysis
- All of the above.

The method of interviews where questions can be changed or adapted to meet the respondent's intelligence and understanding is called:

Select correct option:

- Unstructured interviews
- Structured interviews
- All of the given options
- None of the given options

Being a global organization means:

Select correct option:

- Customizing the product range for each segment in part.
- Creating standardized products
- All of the given
- None of the given

The interviewer asks respondents the same questions using a predetermined series of interview questions in:

Select correct option:

- Structured interview
- Unstructured Interview
- Telephonic Interview
- None of the given options

Which of the following should be considered when designing a business plan?

Select correct option:

- Objectives of the business
- Marketing components of the business
- Financial components of the business
- All of the above

The formation of ____ does not require any legal formality like registration.

Select correct option:

- Sole proprietorship
- Company

- Cooperative society
- Partnership

Auditors are generally appointed and their remuneration, fixed at the _____

Select correct option:

- Extraordinary Meeting
- Statutory Meeting
- Director’s Meeting
- Annual General Meeting

The liabilty of a sole trader is:

Select correct option:

- Limited only to his investment in the business
- Limited to the total resources of the business
- Unlimited
- Not defined

When a person provides his services to another person on the basis of fixed salary is known as:

Select correct option:

- Employment
- Unemployment
- Government service
- All of the given options

All of the following statements are true regarding partnerships except _____.

Select correct option:

- There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits
- If the partnership agreement does not specify otherwise, profits will be shared equally by the partners
- A partnership balance sheet is much like that of a proprietorship
- The death of a partner dissolves the partnership and all assets must be liquidated

The situation when a country imports less than it exports is:

Select correct option:

- A trade surplus.
- A recession.
- An expansion.
- A trade deficit

Which of the following is included in economic factors?

Select correct option:

- Religion
- Value system
- Norms
- Exchange rate

A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:

Select correct option:

- Job description.
- Human resource inventory report.
- Job analysis.
- Job specification.

A major disadvantage of the corporate form of organization is the _____.

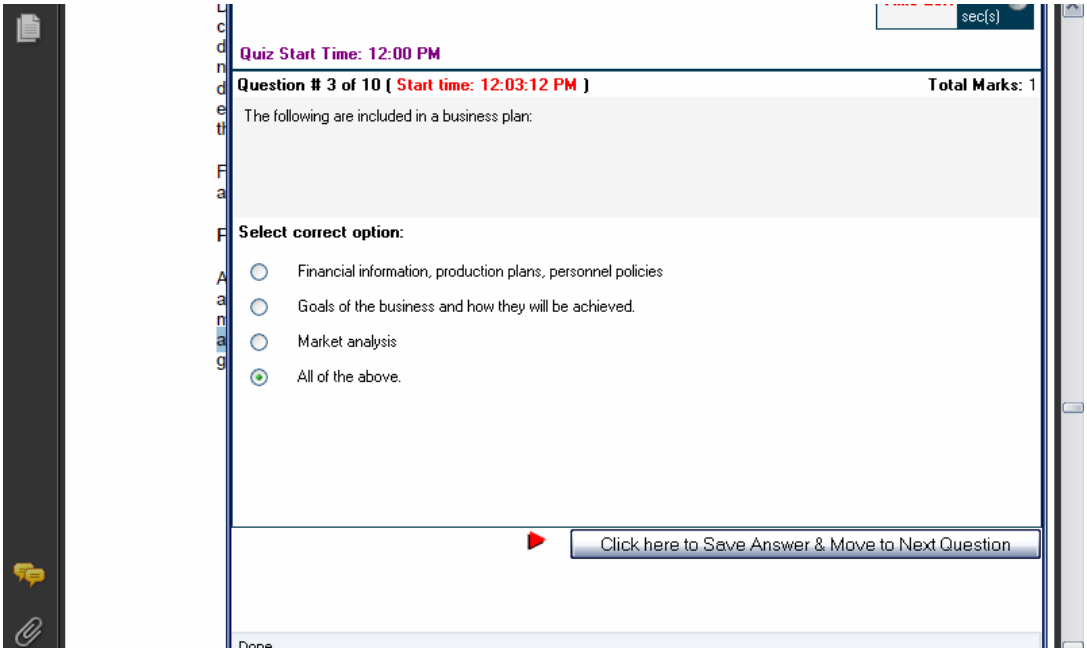
Select correct option:

- Double taxation of dividends
- Inability of the firm to raise large sums of additional capital
- Limited liability of shareholders
- Limited life of the corporate form

The method of interviews where questions can be changed or adapted to meet the respondent's intelligence and understanding is called:

Select correct option:

- Unstructured interviews
- Structured interviews
- All of the given options
- None of the given options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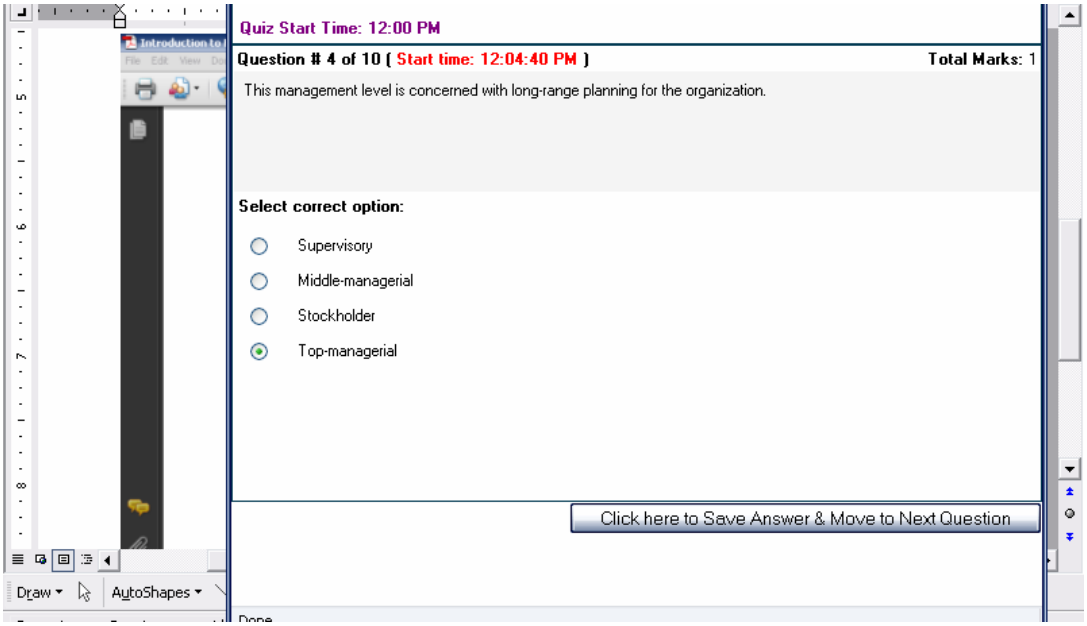
Quiz Start Time: 12:00 PM
Question # 3 of 10 (Start time: 12:03:12 PM)
Total Marks: 1
The following are included in a business plan:
Select correct option:
Financial information, production plans, personnel policies
Goals of the business and how they will be achieved.
Market analysis
All of the above.
Click here to Save Answer & Move to Next Question
Done


Quiz Start Time: 12:00 PM
Question # 4 of 10 (Start time: 12:04:40 PM)
Total Marks: 1
This management level is concerned with long-range planning for the organization.
Select correct option:
Supervisory
Middle-managerial
Stockholder
Top-managerial
Click here to Save Answer & Move to Next Question
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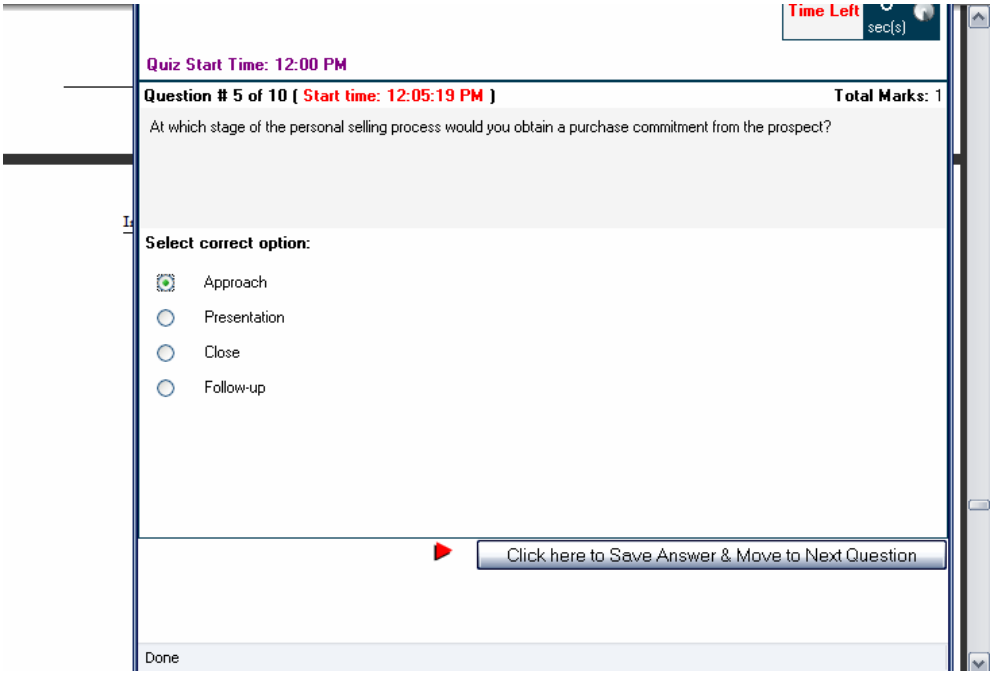
Time Left
sec(s)
Quiz Start Time: 12:00 PM
Question # 5 of 10 (Start time: 12:05:19 PM)
Total Marks: 1
At which stage of the personal selling process would you obtain a purchase commitment from the prospect?
Select correct option:
Approach
Presentation
Close
Follow-up
Click here to Save Answer & Move to Next Question
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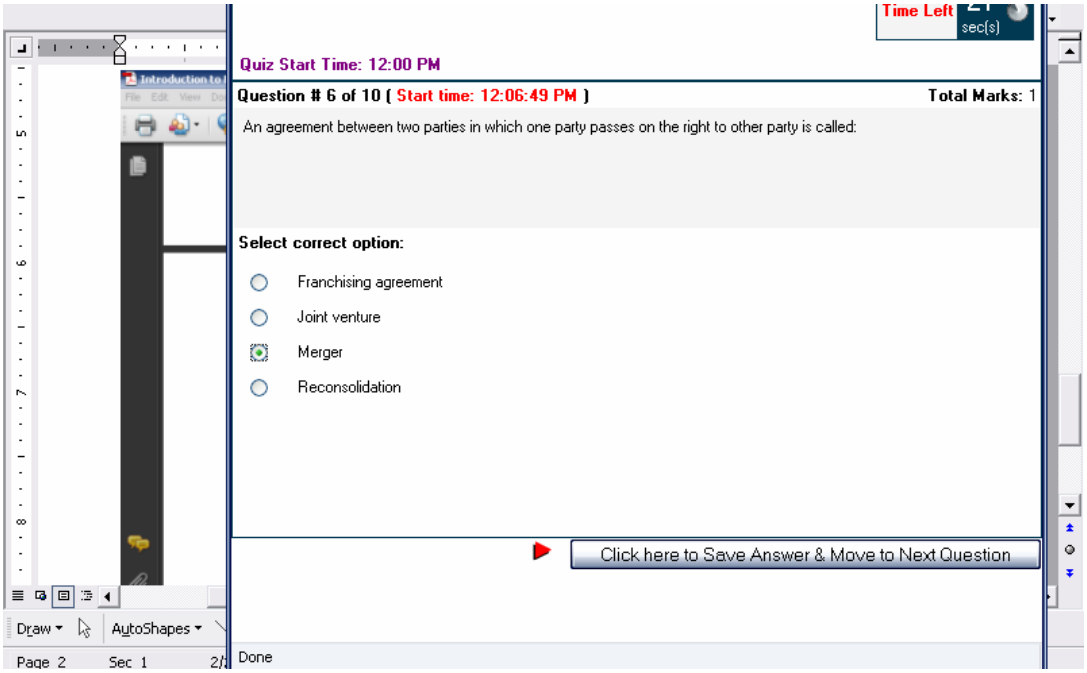
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Quiz Start Time: 12:00 PM
Question # 6 of 10 (Start time: 12:06:49 PM)
Total Marks: 1
An agreement between two parties in which one party passes on the right to other party is called:
Select correct option:
Franchising agreement
Joint venture
Merger
Reconsolidation
Click here to Save Answer & Move to Next Question
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Page 2
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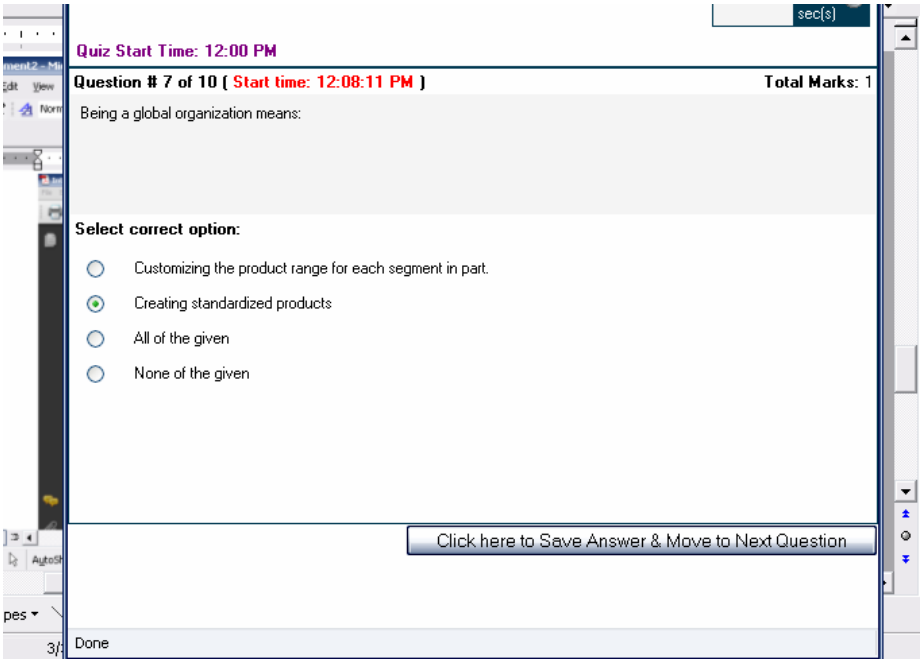
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Quiz Start Time: 12:00 PM
Question # 7 of 10 (Start time: 12:08:11 PM)
Total Marks: 1
Being a global organization means:
Select correct option:
Customizing the product range for each segment in part.
Creating standardized products
All of the given
None of the given
Click here to Save Answer & Move to Next Question
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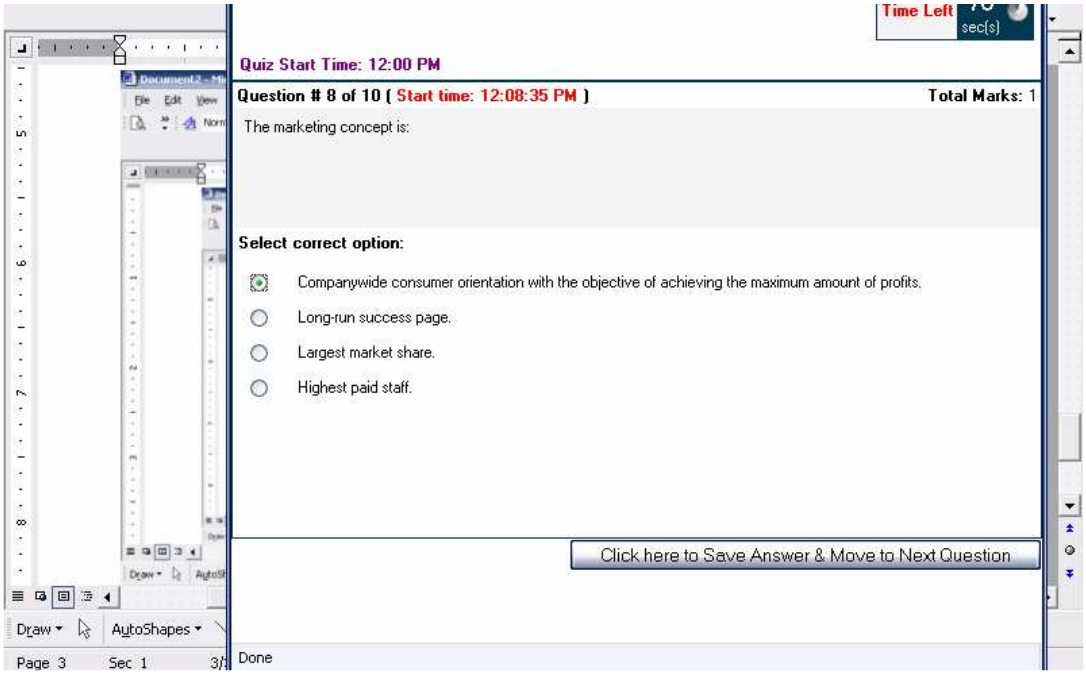
Time Left
sec(s)
Quiz Start Time: 12:00 PM
Question # 8 of 10 (Start time: 12:08:35 PM)
Total Marks: 1
The marketing concept is:
Select correct option:
Companywide consumer orientation with the objective of achieving the maximum amount of profits.
Long-run success page.
Largest market share.
Highest paid staff.
Click here to Save Answer & Move to Next Question
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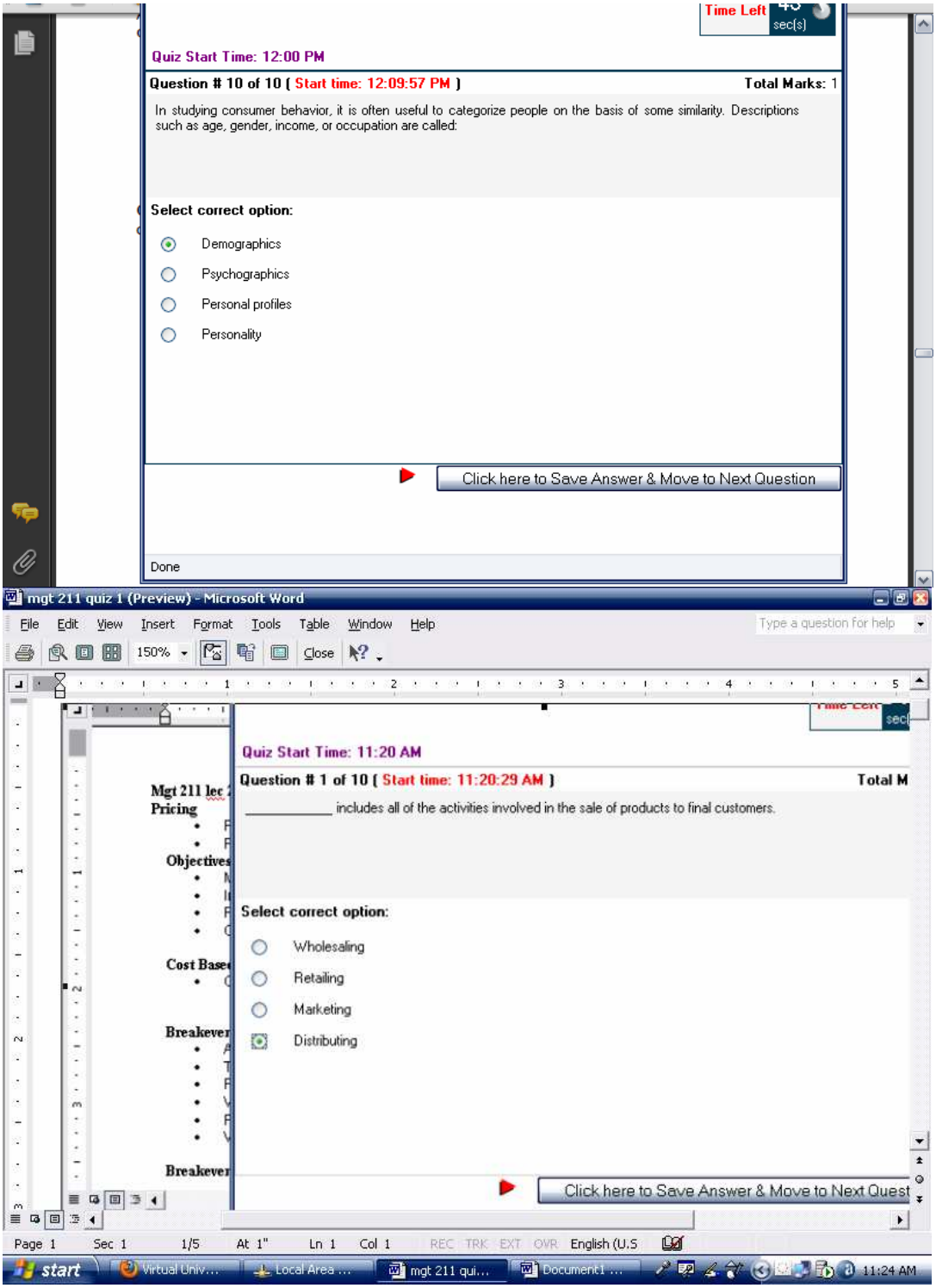
AutoShapes
Page 3
Sec 1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sec(s)
Quiz Start Time: 12:00 PM
Question # 10 of 10 (Start time: 12:09:57 PM)
Total Marks: 1
In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:
Select correct option:
Demographics
Psychographics
Personal profiles
Personality
Click here to Save Answer & Move to Next Question
Done
mgt 211 quiz 1 (Preview) - Microsoft Word
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Type a question for help
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Quiz Start Time: 11:20 AM
Question # 1 of 10 (Start time: 11:20:29 AM)
Total M
_____ includes all of the activities involved in the sale of products to final customers.
Select correct option:
Wholesaling
Retailing
Marketing
Distributing
Click here to Save Answer & Move to Next Quest
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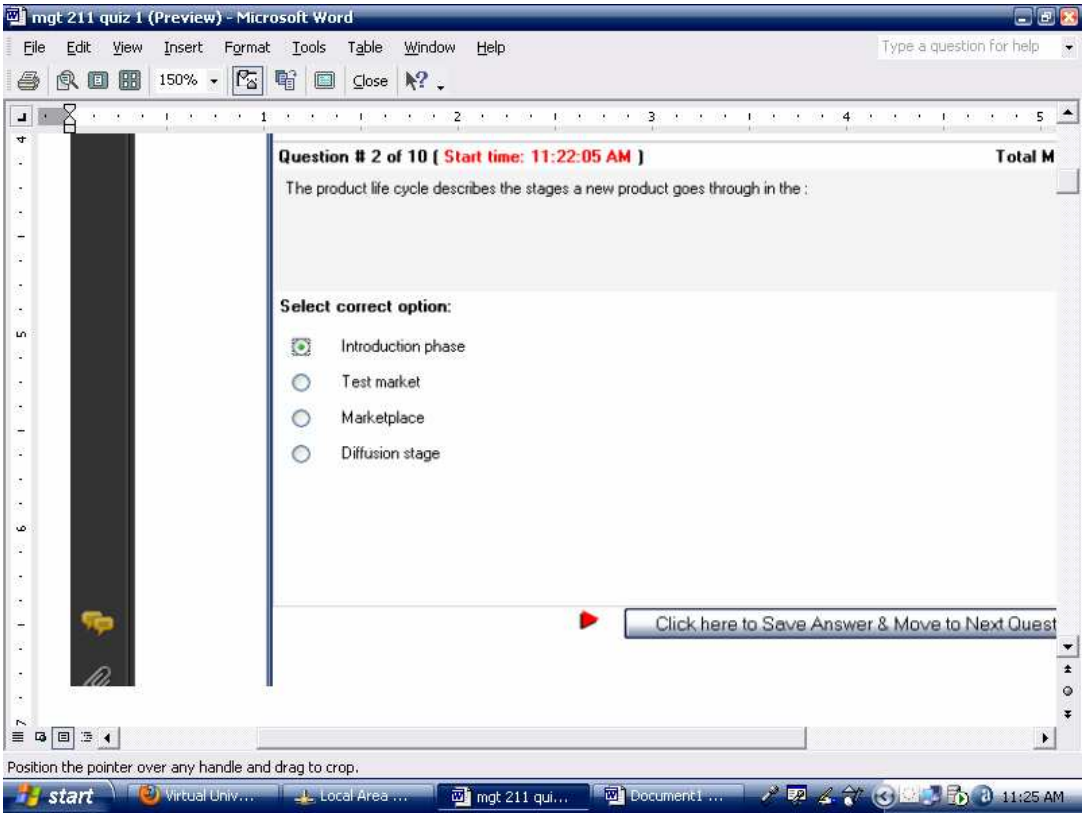
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Type a question for help
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Question # 2 of 10 (Start time: 11:22:05 AM)
Total M
The product life cycle describes the stages a new product goes through in the :
Select correct option:
Introduction phase
Test market
Marketplace
Diffusion stage
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Position the pointer over any handle and drag to crop.
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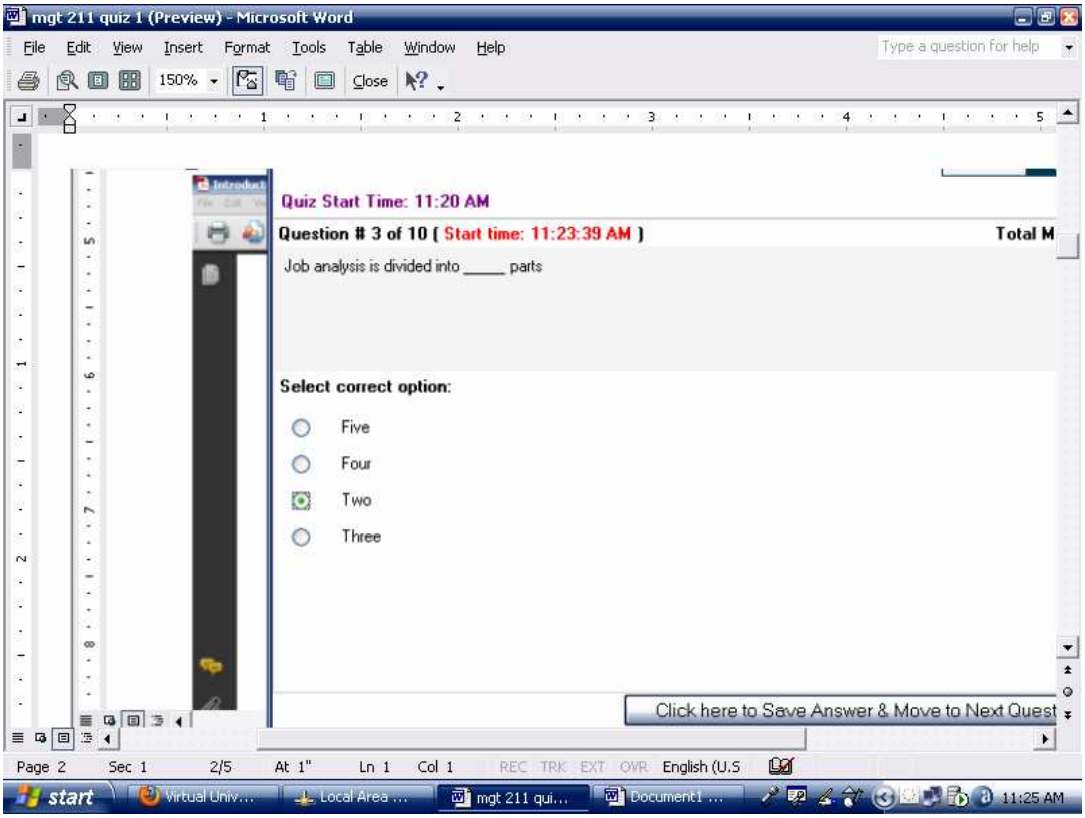
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Quiz Start Time: 11:20 AM
Question # 3 of 10 (Start time: 11:23:39 AM)
Total M
Job analysis is divided into _____ parts
Select correct option:
Five
Four
Two
Three
Click here to Save Answer & Move to Next Quest
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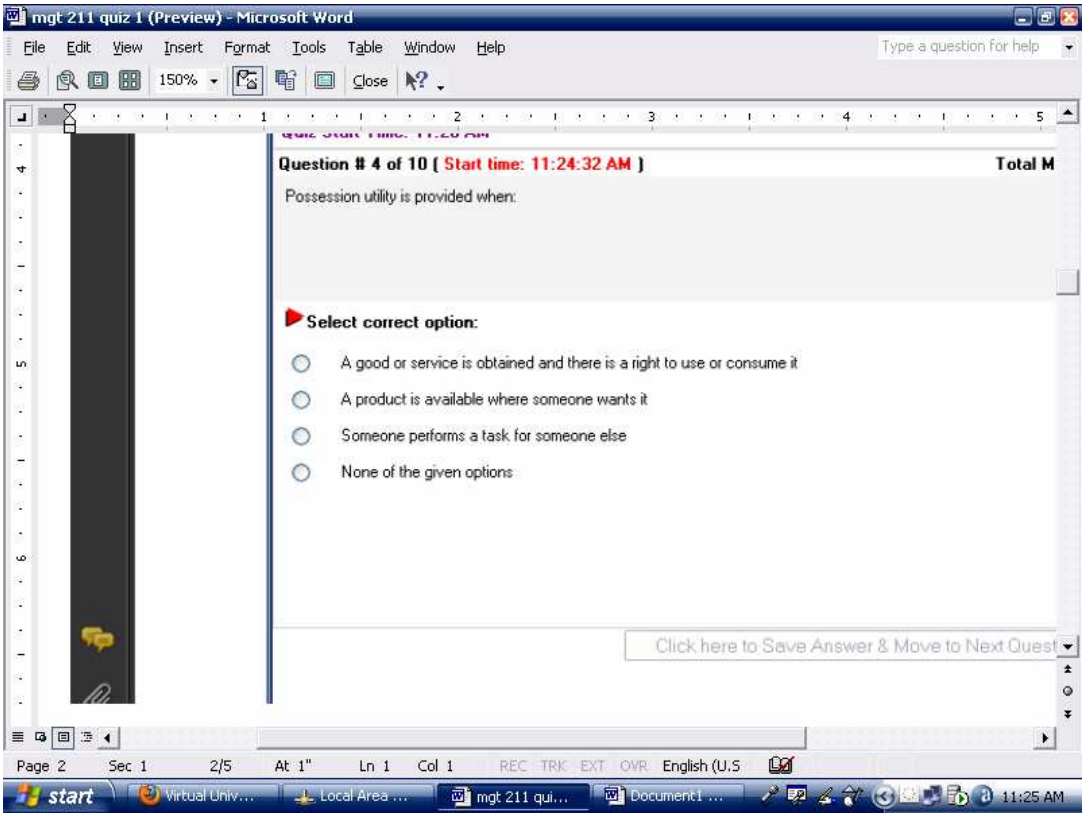
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Type a question for help
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Question # 4 of 10 (Start time: 11:24:32 AM)
Total M
Possession utility is provided when:
Select correct option:
A good or service is obtained and there is a right to use or consume it
A product is available where someone wants it
Someone performs a task for someone else
None of the given options
Click here to Save Answer & Move to Next Quest
Page 2 Sec 1 2/5 At 1" Ln 1 Col 1 REC TRK EXT OVR English (U.S
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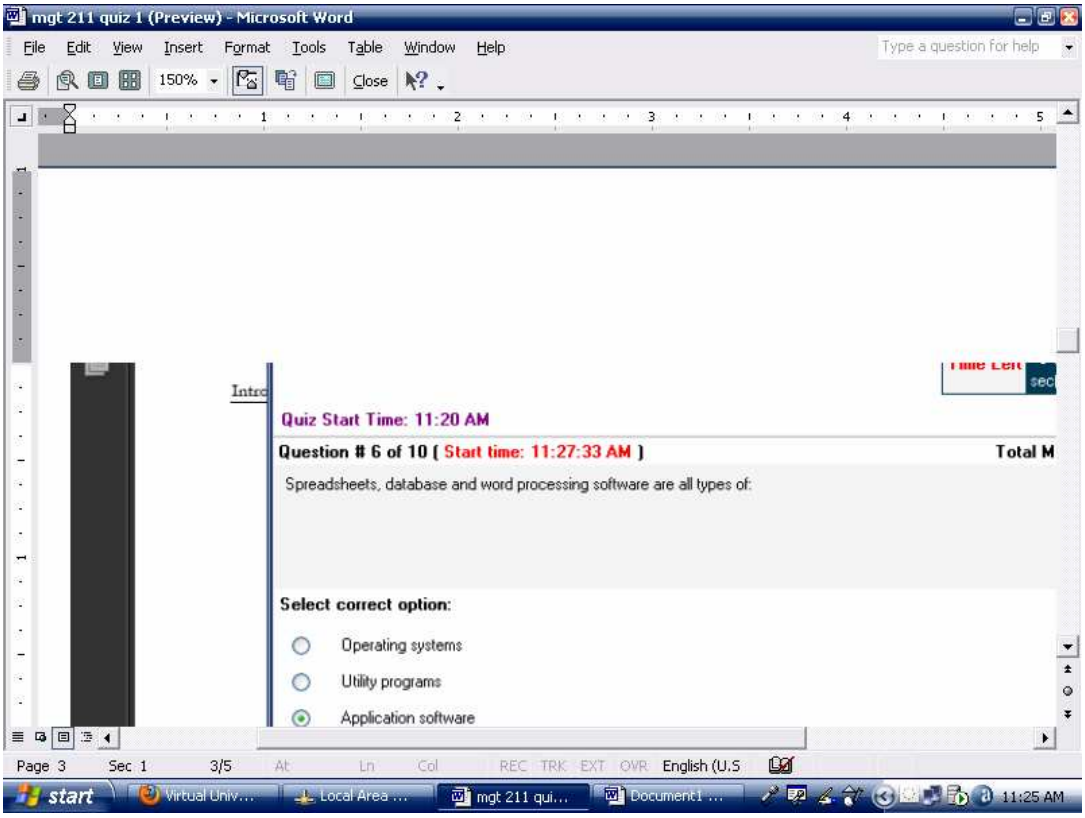
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Type a question for help
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Close
Quiz Start Time: 11:20 AM
Question # 6 of 10 (Start time: 11:27:33 AM)
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Spreadsheets, database and word processing software are all types of:
Select correct option:
Operating systems
Utility programs
Application software
Page 3 Sec 1 3/5 At Ln Col REC TRK EXT OVR English (U.S
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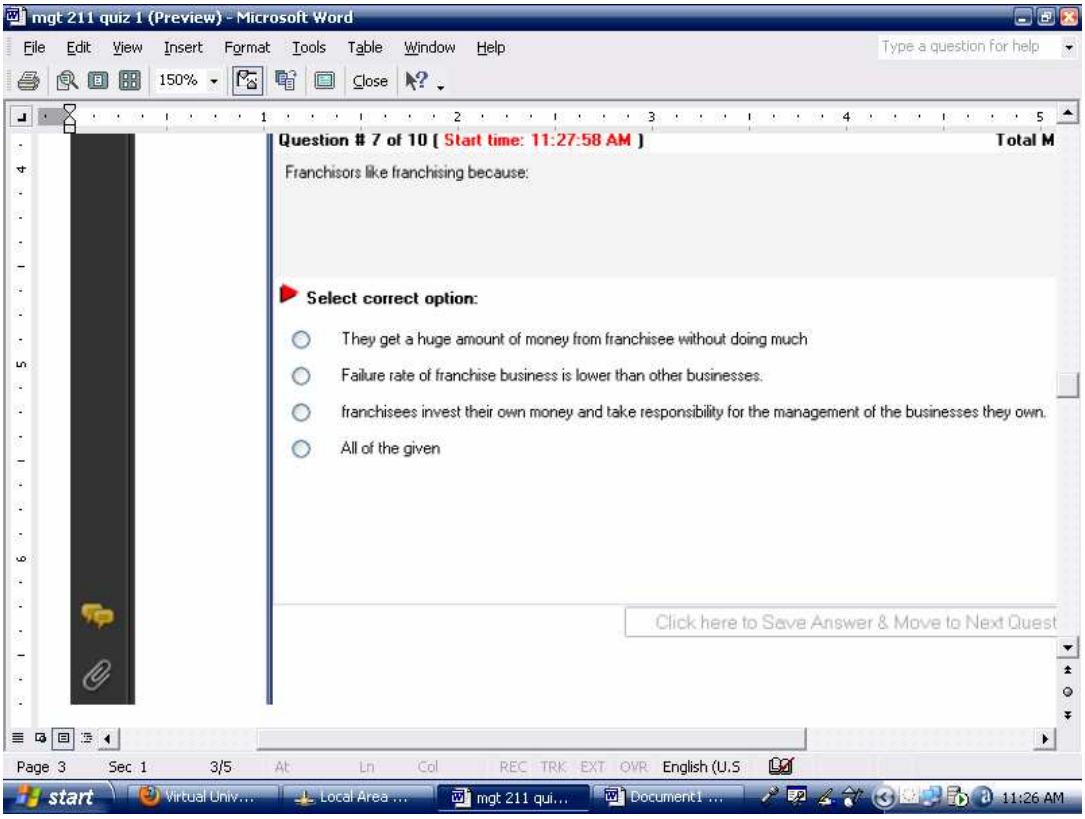
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Type a question for help
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Close
Question # 7 of 10 (Start time: 11:27:58 AM)
Total M
Franchisors like franchising because:
Select correct option:
They get a huge amount of money from franchisee without doing much
Failure rate of franchise business is lower than other businesses.
franchisees invest their own money and take responsibility for the management of the businesses they own.
All of the given
Click here to Save Answer & Move to Next Quest
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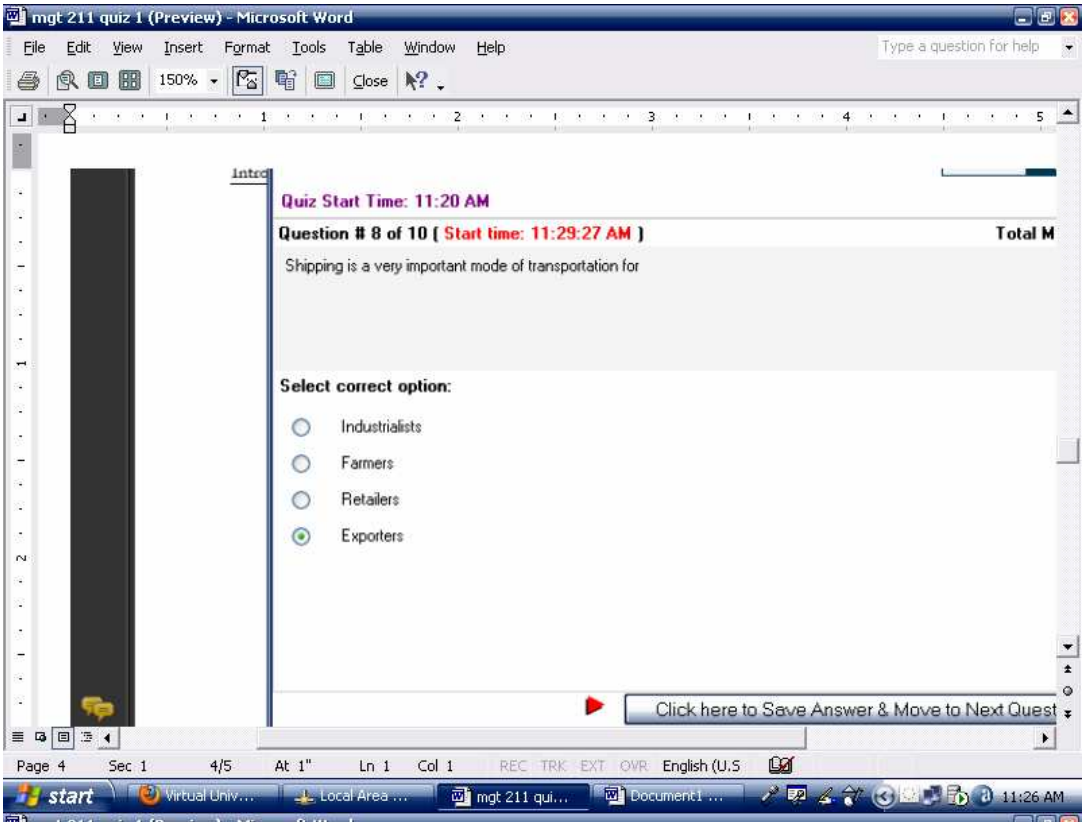
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Quiz Start Time: 11:20 AM
Question # 8 of 10 (Start time: 11:29:27 AM)
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Shipping is a very important mode of transportation for
Select correct option:
Industrialists
Farmers
Retailers
Exporters
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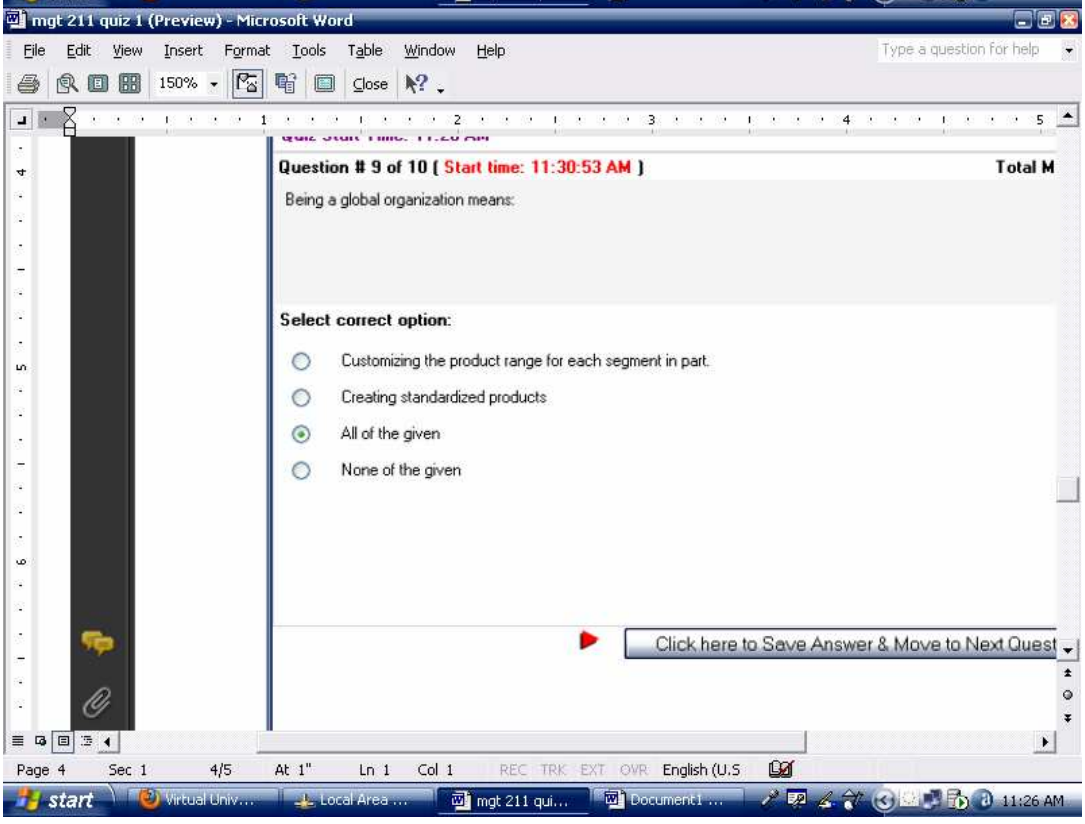
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Question # 9 of 10 (Start time: 11:30:53 AM)
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Being a global organization means:
Select correct option:
Customizing the product range for each segment in part.
Creating standardized products
All of the given
None of the given
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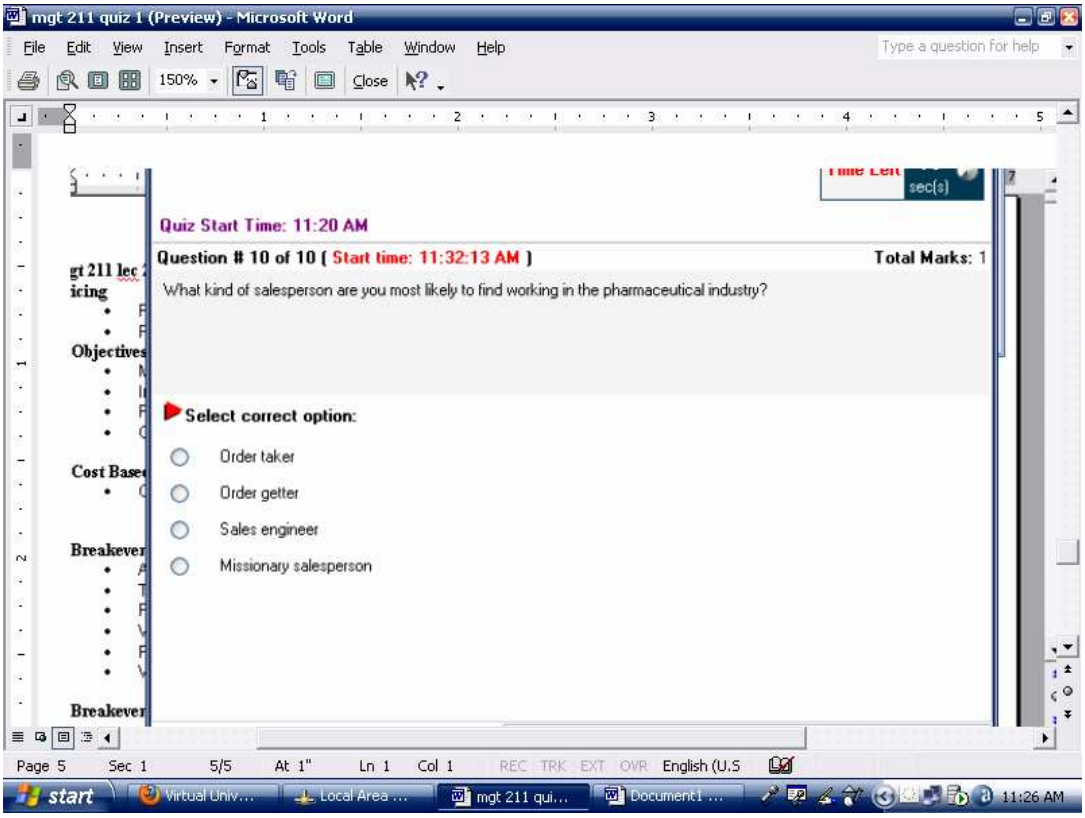


Introduction to business_MGT21_MCQs

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days
   3. 07 days
   4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. **Fails to submit statutory report**
   3. Expiry of Period
   4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. **Participation Term Certificates**
   4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
   1. **Reserve capital**
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. **Petition by debtor**

2. Petition by creditor
3. Petition by contributory
4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

    a. Freedom in professional and personal life
    b. More Job satisfaction
    c. Complicated coordination
    d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

    a. Autocratic styles
    b. Democratic styles
    c. Free rein style
    d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

    a. Leadership
    b. Motivation
    c. Free rein style
    d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

    a. Participative Management and Empowerment
    b. Management by Objectives (MBO)
    c. Reinforcement/Behavior Modification Theory
    d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

    a. Organization Policies
    b. Product Policies
    c. Management Structure

d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. Substitute product competition

b. Brand competition

c. International competition:

d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.
    a. Finished goods
    b. Work in process
    c. Raw material
    d. All of the given option

12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
    a. Persuasive advertising
    b. Comparative advertising
    c. Informative advertising
    d. Reminder advertising
    e. None of the given options

13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
    a. Pull strategy
    b. Push strategy
    c. Persuasive advertising
    d. Sales Promotion

14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
    a. Warehousing cost
    b. Transportation cost
    c. Distribution cost
    d. Manufacturing cost

15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
    a. Order Processing
    b. Creative Selling
    c. Missionary Selling
    d. None of the given option

16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
    a. Final consumer
    b. Retailer
    c. Wholesalers
    d. All of the given options

17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

   a. **Trade Shows**
   b. Contests
   c. Cross-promotion
   d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

   a. **Total quality management (TQM)**
   b. Promotion strategy
   c. Sales promotion
   d. Management by objective (MBO)

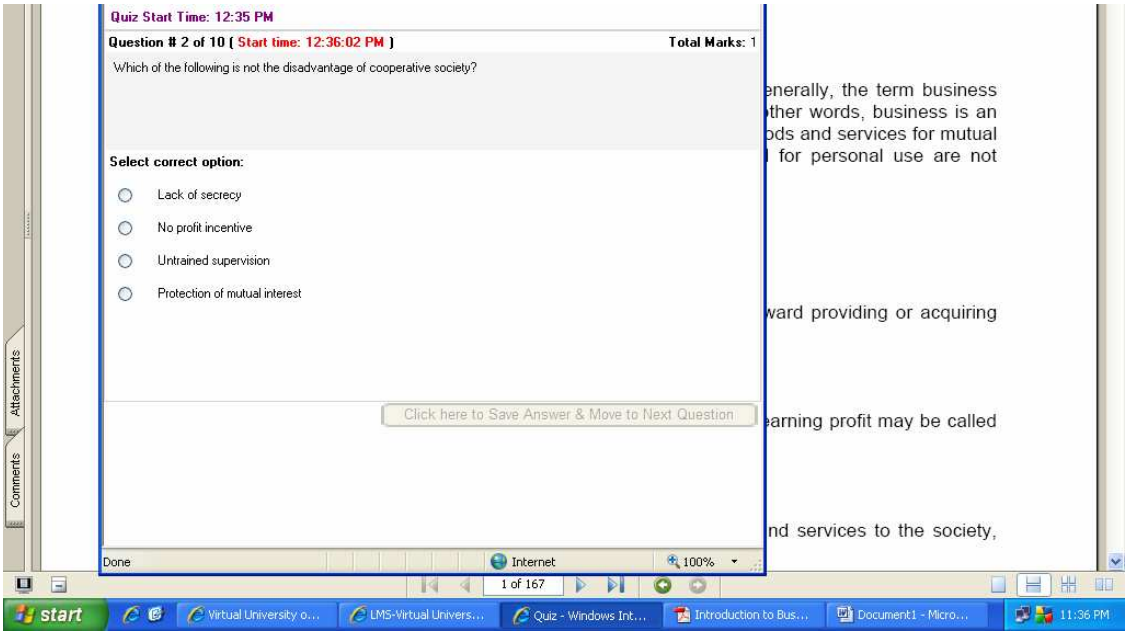
19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

   a. Public relation
   b. Trade Promotion
   c. **Publicity**
   d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.

   a. Persuasive advertising
   b. Comparative advertising
   c. Informative advertising
   d. **Reminder advertising**

Introduction to business _MGT 211_MCQs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Question # 2 of 10 (Start time: 12:36:02 PM)
Total Marks: 1
Which of the following is not the disadvantage of cooperative society?
Select correct option:
Lack of secrecy
No profit incentive
Untrained supervision
Protection of mutual interest
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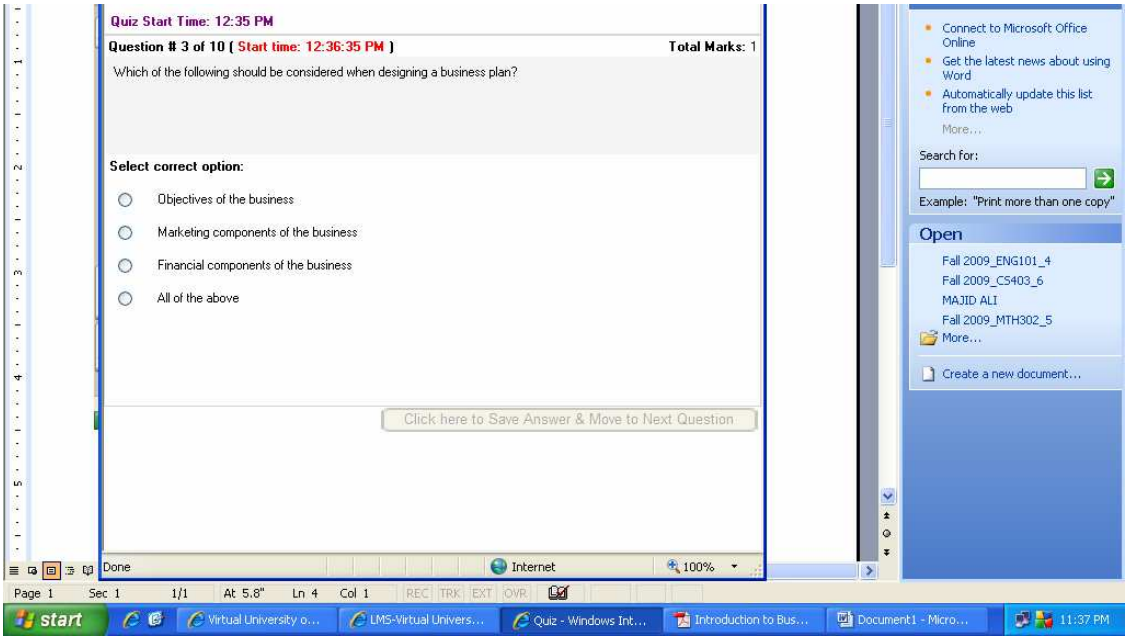
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Question # 3 of 10 (Start time: 12:36:35 PM)
Total Marks: 1
Which of the following should be considered when designing a business plan?
Select correct option:
Objectives of the business
Marketing components of the business
Financial components of the business
All of the above
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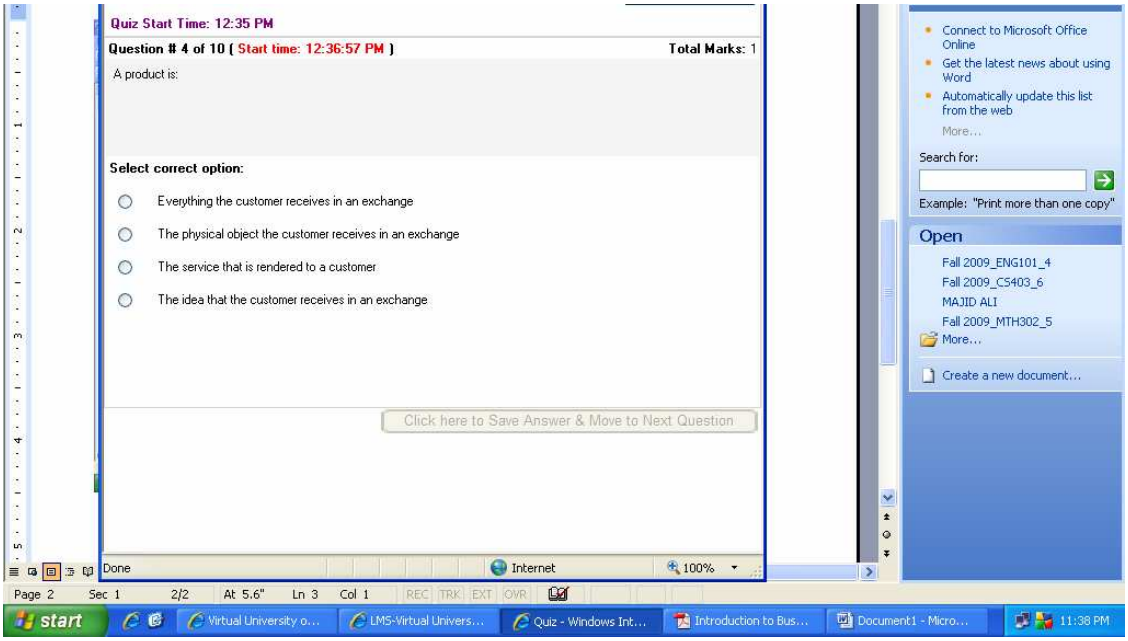

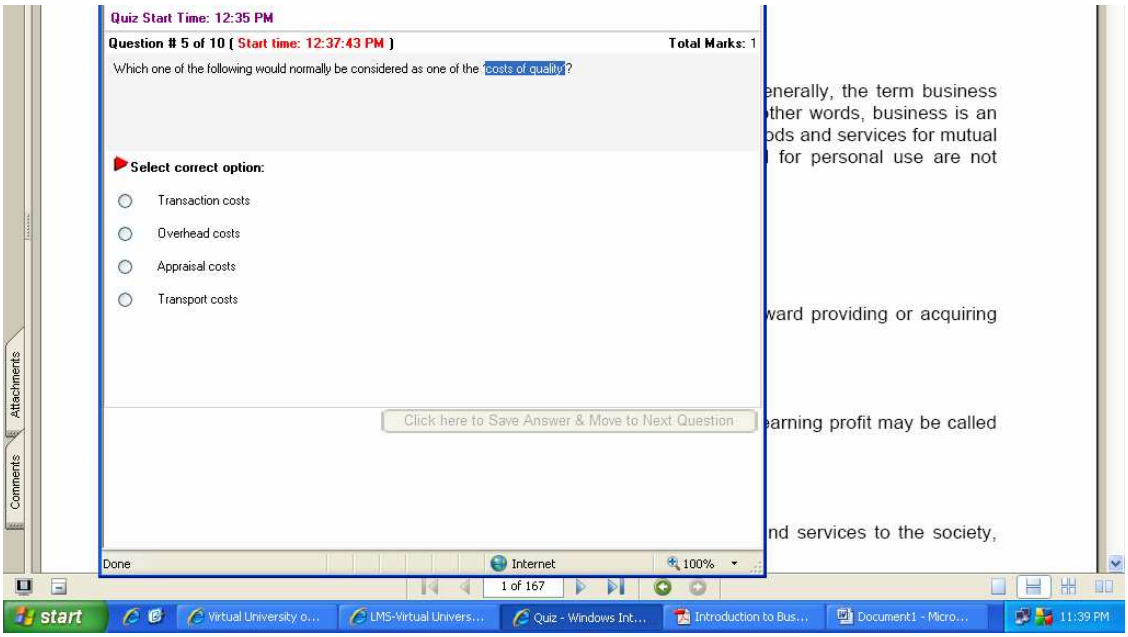

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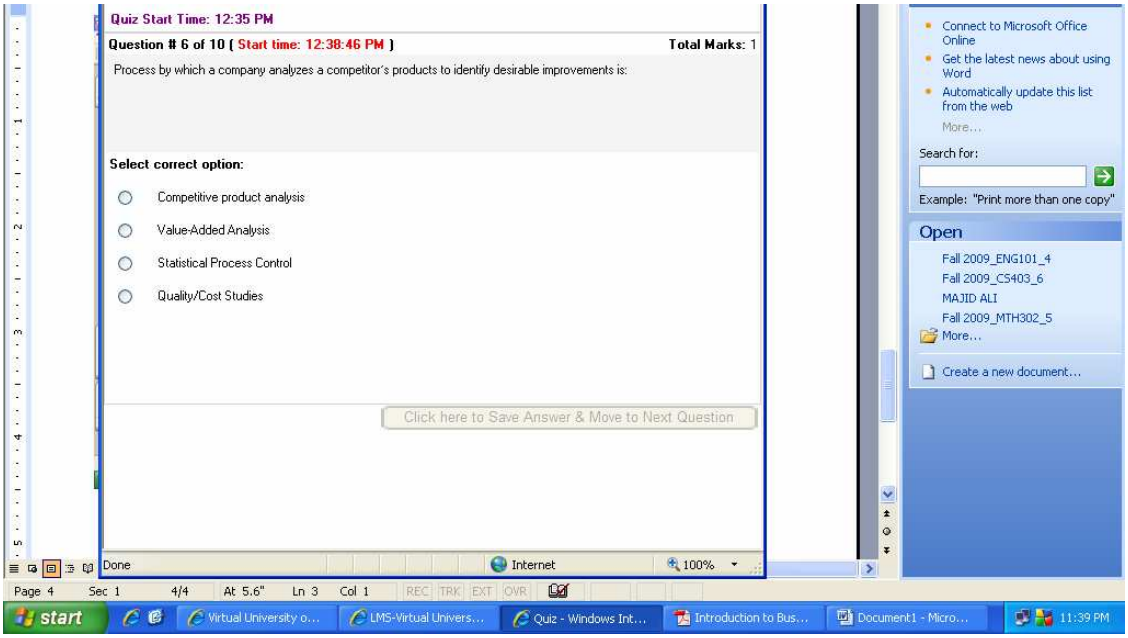
Quiz Start Time: 12:35 PM
Question # 6 of 10 (Start time: 12:38:46 PM)
Total Marks: 1
Process by which a company analyzes a competitor's products to identify desirable improvements is:
Select correct option:
Competitive product analysis
Value-Added Analysis
Statistical Process Control
Quality/Cost Studies
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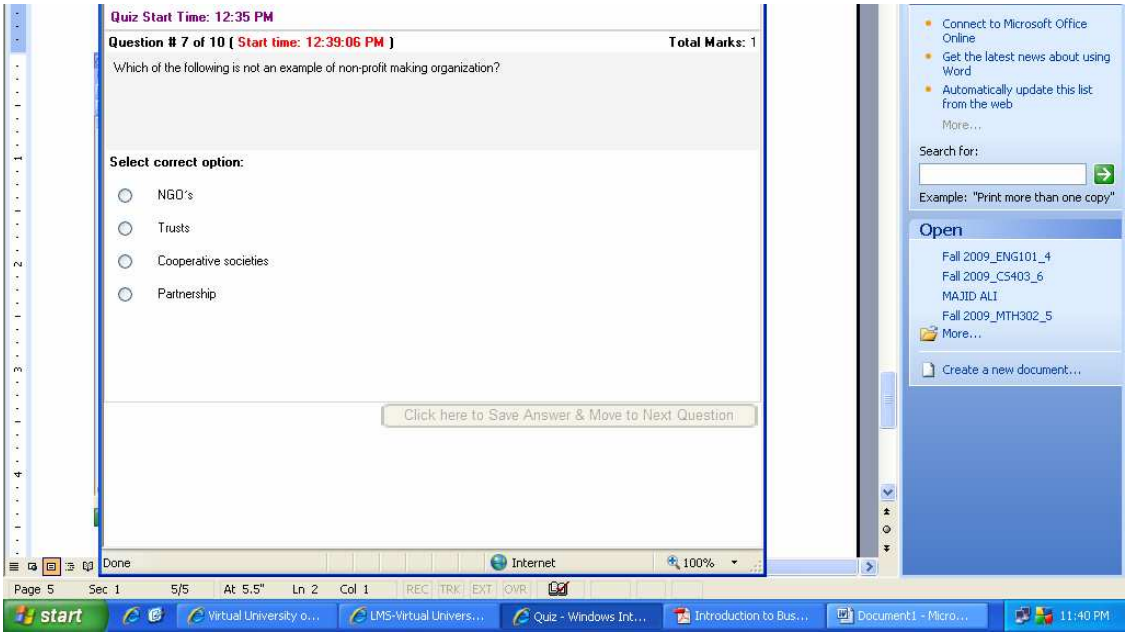
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Question # 7 of 10 (Start time: 12:39:06 PM)
Total Marks: 1
Which of the following is not an example of non-profit making organization?
Select correct option:
NGO's
Trusts
Cooperative societies
Partnership
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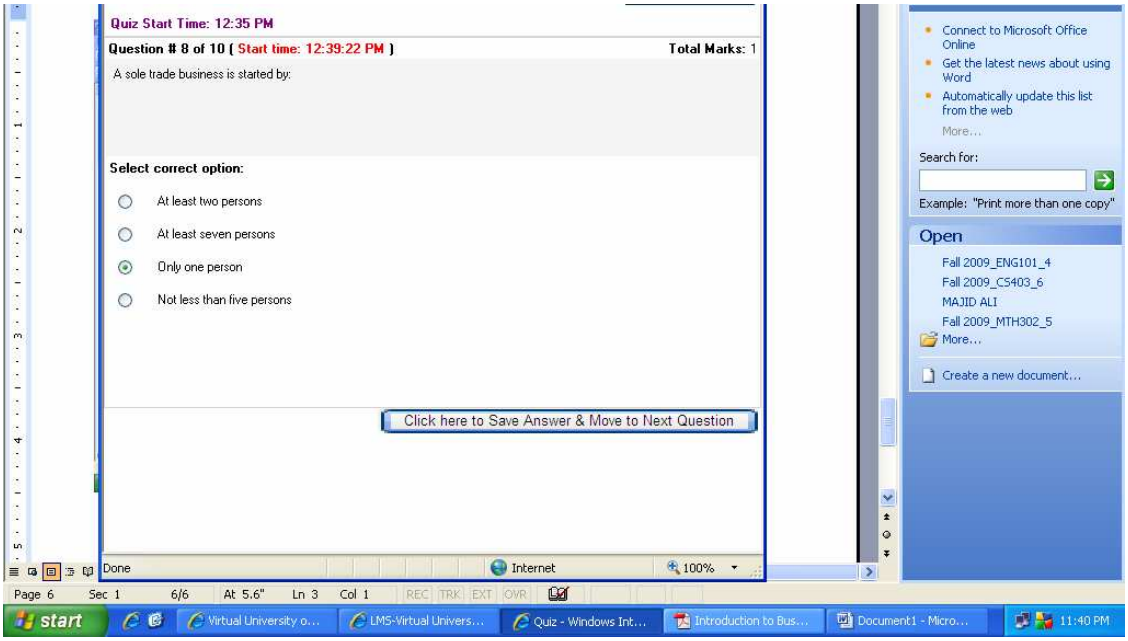
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Question # 8 of 10 (Start time: 12:39:22 PM)
Total Marks: 1
A sole trade business is started by:
Select correct option:
At least two persons
At least seven persons
Only one person
Not less than five persons
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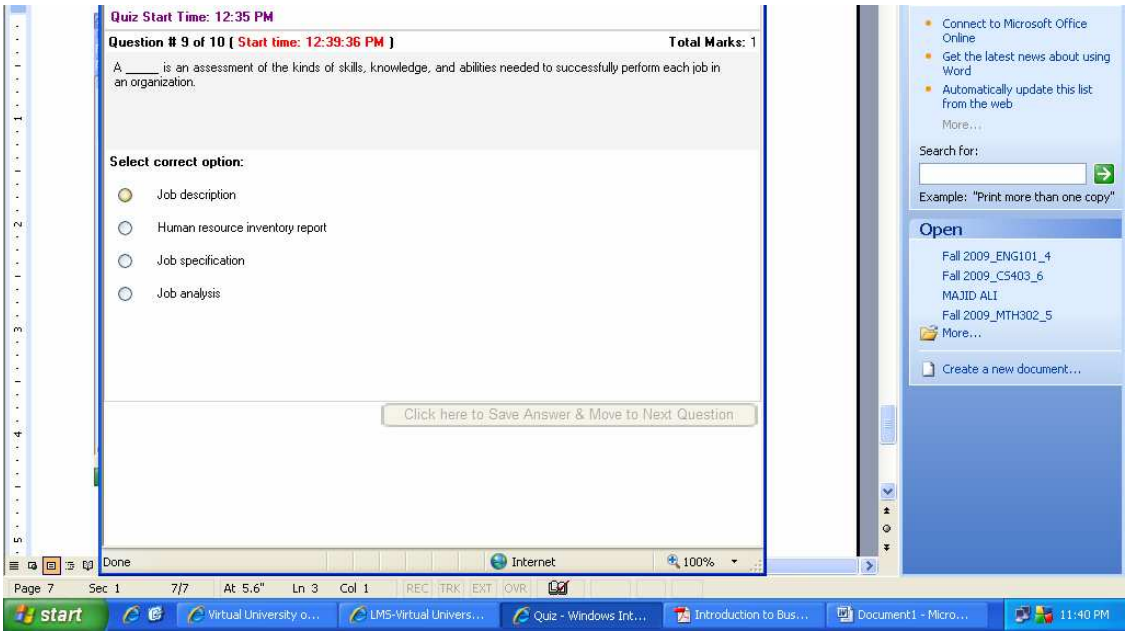
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Question # 9 of 10 (Start time: 12:39:36 PM)
Total Marks: 1
A _____ is an assessment of the kinds of skills, knowledge, and abilities needed to successfully perform each job in an organization.
Select correct option:
Job description
Human resource inventory report
Job specification
Job analysis
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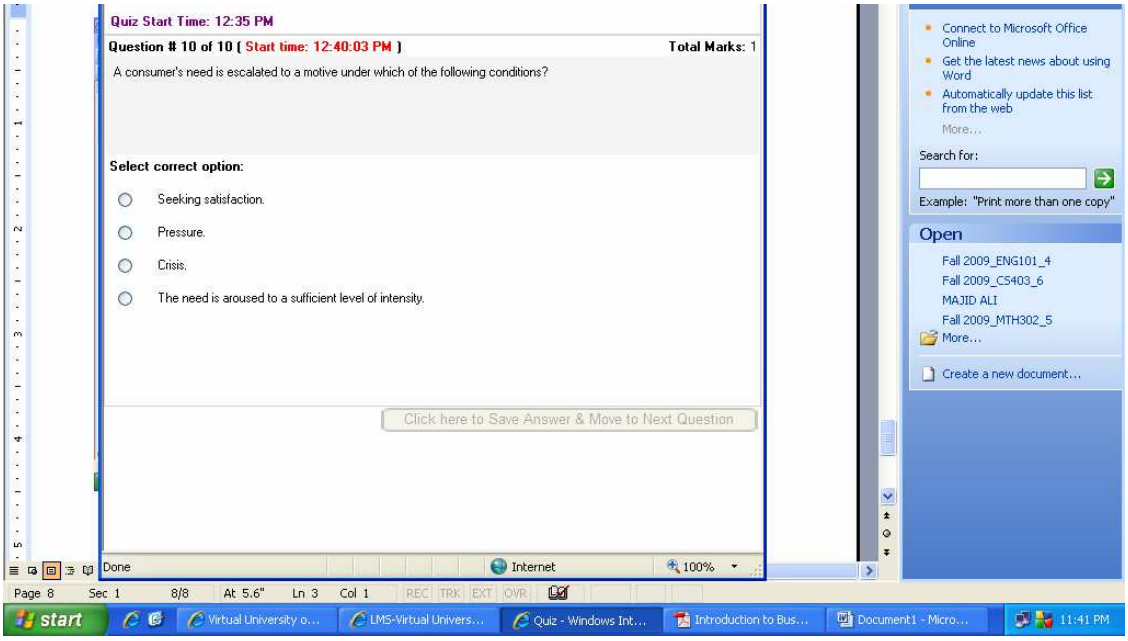
Quiz Start Time: 12:35 PM
Question # 10 of 10 (Start time: 12:40:03 PM)
Total Marks: 1
A consumer's need is escalated to a motive under which of the following conditions?
Select correct option:
Seeking satisfaction.
Pressure.
Crisis.
The need is aroused to a sufficient level of intensity.
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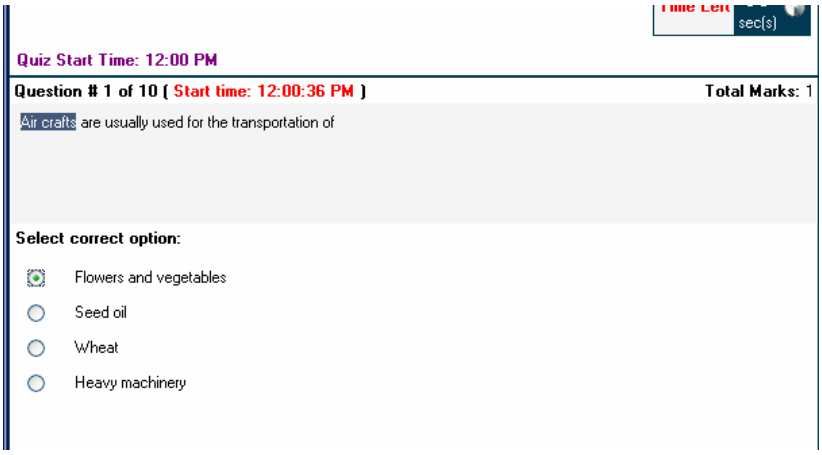
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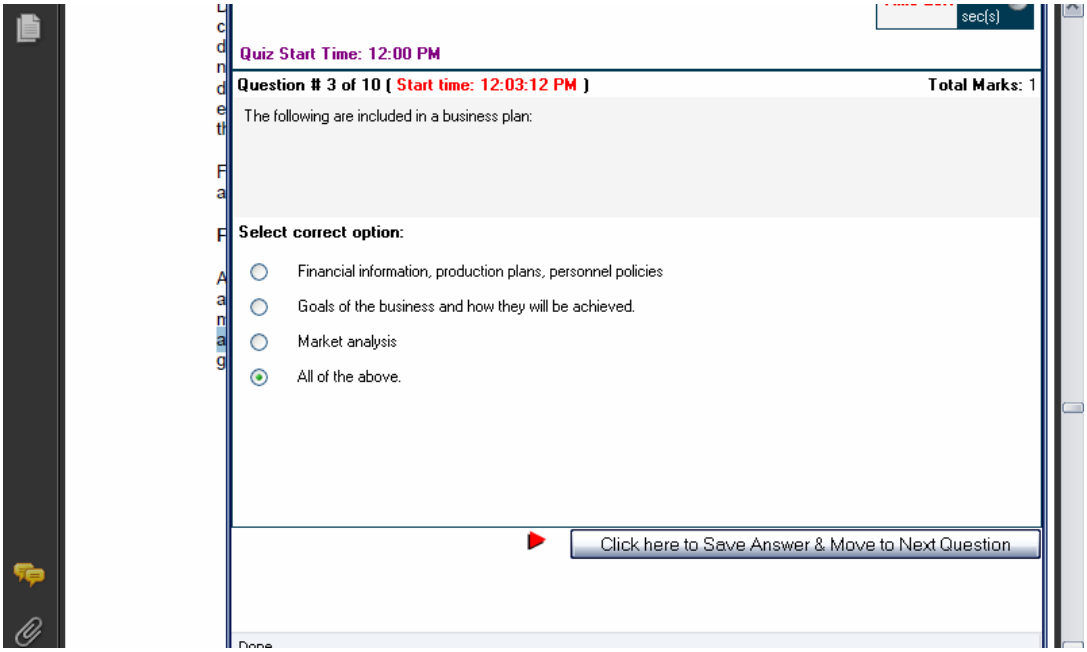
Quiz Start Time: 12:00 PM
Question # 1 of 10 (Start time: 12:00:36 PM)
Total Marks: 1
Air crafts are usually used for the transportation of
Select correct option:
Flowers and vegetables
Seed oil
Wheat
Heavy machinery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Quiz Start Time: 12:00 PM
Question # 3 of 10 (Start time: 12:03:12 PM)
Total Marks: 1
The following are included in a business plan:
Select correct option:
Financial information, production plans, personnel policies
Goals of the business and how they will be achieved.
Market analysis
All of the above.
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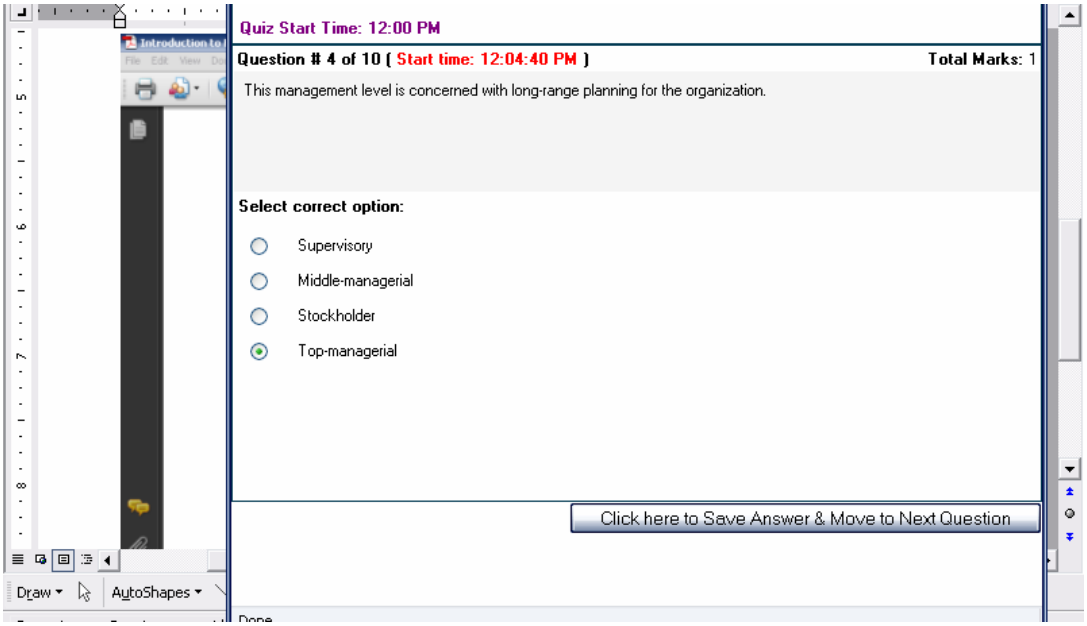
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Question # 4 of 10 (Start time: 12:04:40 PM)
Total Marks: 1
This management level is concerned with long-range planning for the organization.
Select correct option:
Supervisory
Middle-managerial
Stockholder
Top-managerial
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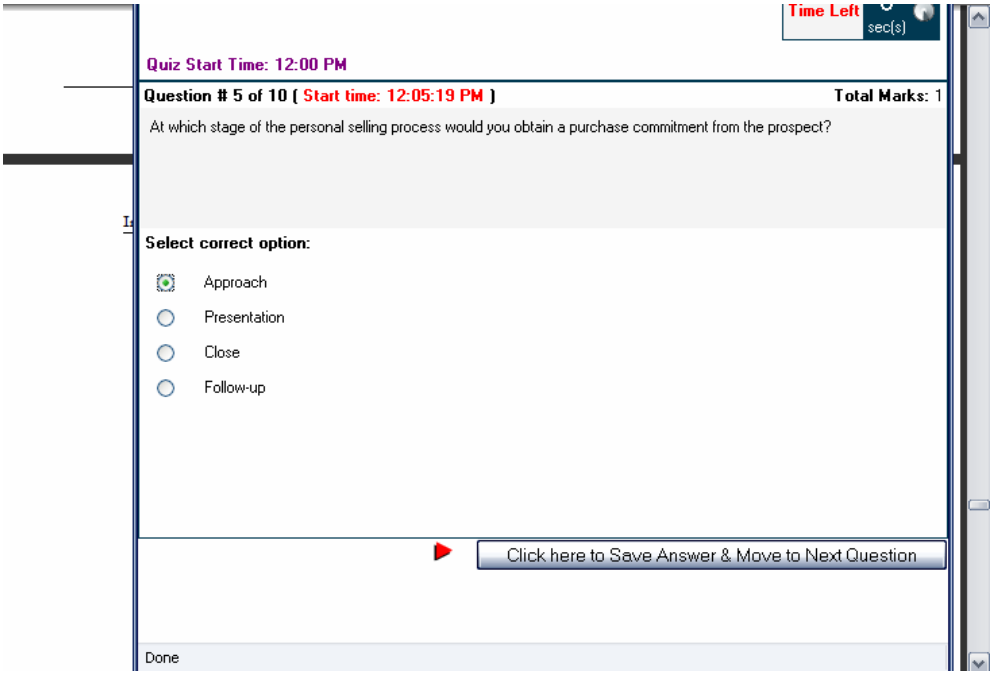
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Question # 5 of 10 (Start time: 12:05:19 PM)
Total Marks: 1
At which stage of the personal selling process would you obtain a purchase commitment from the prospect?
Select correct option:
Approach
Presentation
Close
Follow-up
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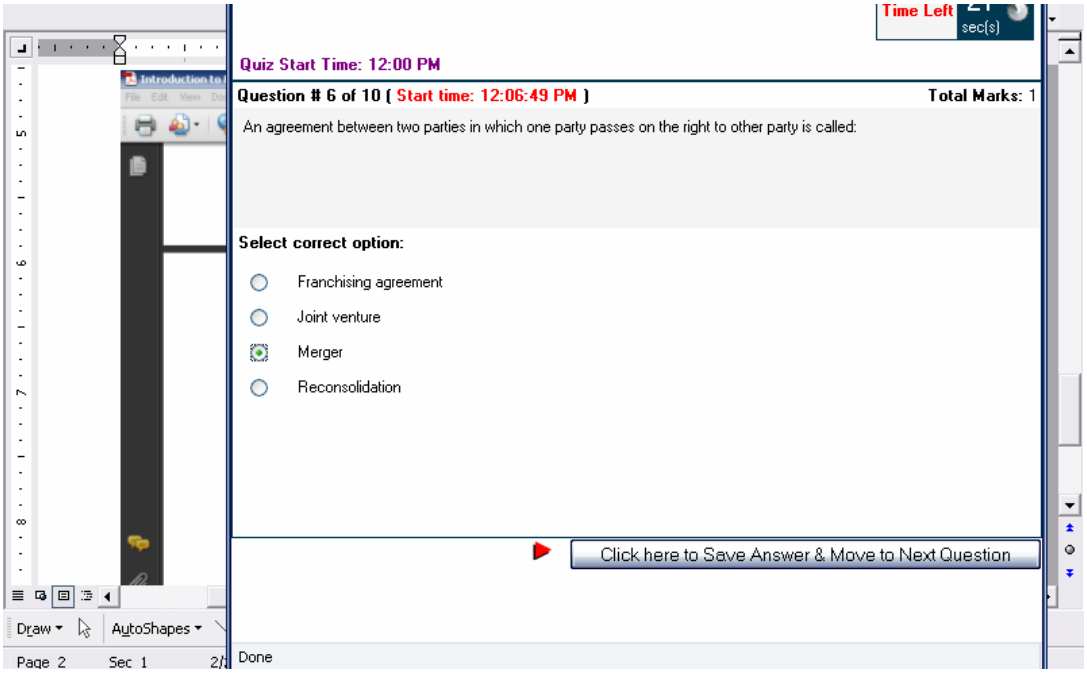
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Question # 6 of 10 (Start time: 12:06:49 PM)
Total Marks: 1
An agreement between two parties in which one party passes on the right to other party is called:
Select correct option:
Franchising agreement
Joint venture
Merger
Reconsolidation
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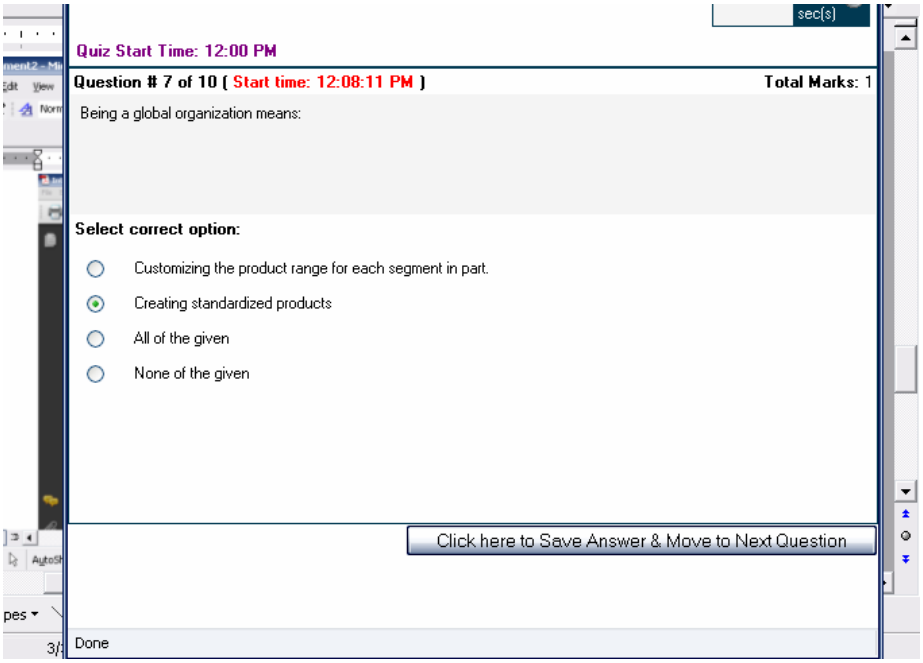
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Quiz Start Time: 12:00 PM
Question # 7 of 10 (Start time: 12:08:11 PM)
Total Marks: 1
Being a global organization means:
Select correct option:
Customizing the product range for each segment in part.
Creating standardized products
All of the given
None of the given
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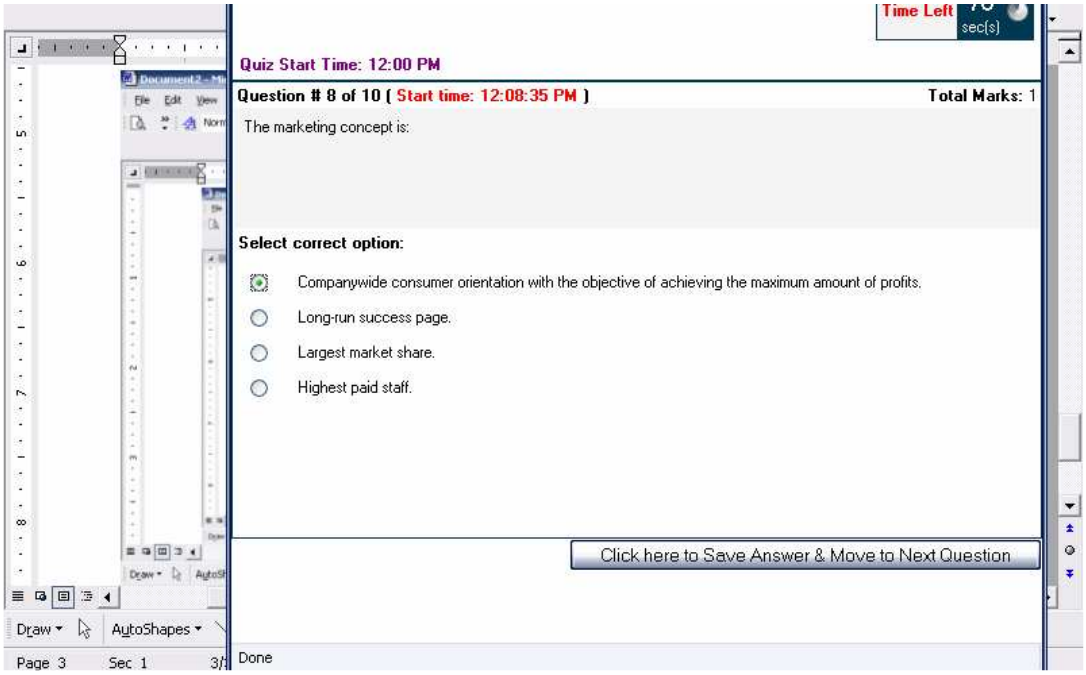
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Quiz Start Time: 12:00 PM
Question # 8 of 10 (Start time: 12:08:35 PM)
Total Marks: 1
The marketing concept is:
Select correct option:
Companywide consumer orientation with the objective of achieving the maximum amount of profits.
Long-run success page.
Largest market share.
Highest paid staff.
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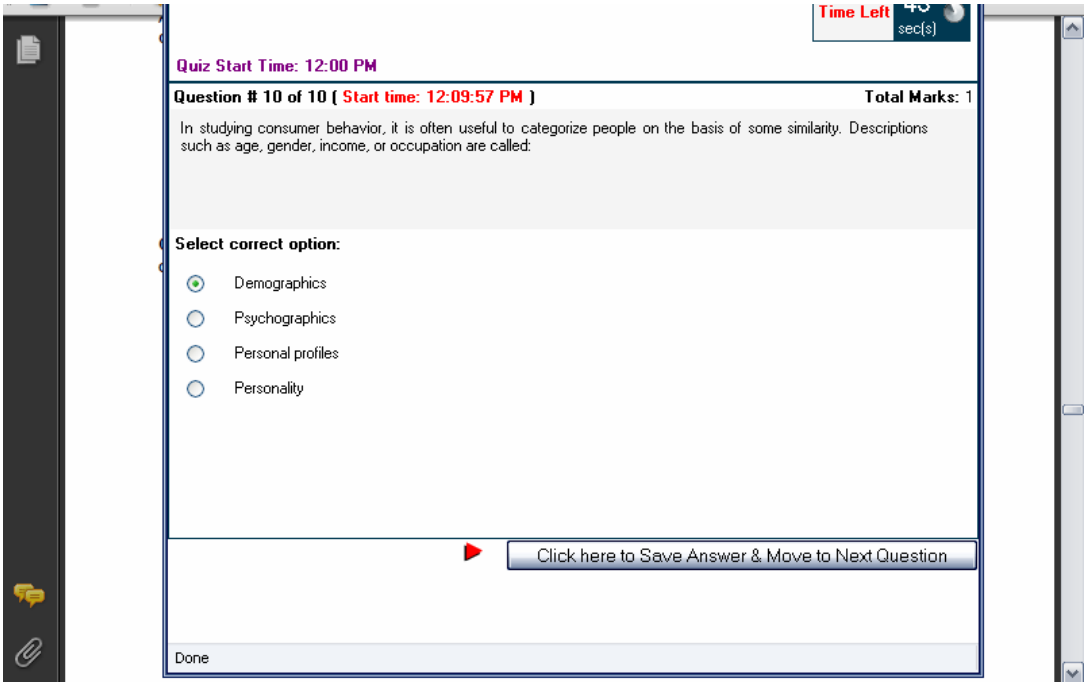
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Quiz Start Time: 12:00 PM
Question # 10 of 10 (Start time: 12:09:57 PM)
Total Marks: 1
In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:
Select correct option:
Demographics
Psychographics
Personal profiles
Personality
Click here to Save Answer & Move to Next Question
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Quiz Start Time: 12:44 PM

Question # 1 of 10 (Start time: 12:44:28 PM)

Which of the following business form has the shortest life span?

Select correct option:

- Sole proprietorship
- Partnership
- Company
- Co-operative society

Quiz Start Time: 12:44 PM

Question # 2 of 10 (Start time: 12:44:57 PM) **Total Marks:** 1

Being a global organization means:

Select correct option:

- Customizing the product range for each segment in part.
- Creating standardized products
- All of the given
- None of the given

Quiz Start Time: 12:44 PM

Question # 3 of 10 (Start time: 12:46:00 PM) **Total Marks:** 1

A major disadvantage of the corporate form of organization is the _____.

Select correct option:

- Double taxation of dividends
- Inability of the firm to raise large sums of additional capital
- Limited liability of shareholders
- Limited life of the corporate form

Quiz Start Time: 12:44 PM

Question # 4 of 10 (Start time: 12:46:37 PM) **Total Marks:** 1

Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business

Select correct option:

- 3 months
- 6 months
- 1 year
- One month

Quiz Start Time: 12:44 PM

Question # 5 of 10 (Start time: 12:47:13 PM) **Total Marks:** 1

The formation of ____ does not require any legal formality like registration.

Select correct option:

- Sole proprietorship
- Company
- Cooperative society
- Partnership

Quiz Start Time: 12:44 PM

Question # 6 of 10 (Start time: 12:47:30 PM) **Total Marks:** 1

A document containing information regarding internal and external matters of the business is called:

Select correct option:

- Business plan
- Partnership deed
- Feasibility report
- None of the given

Quiz Start Time: 12:44 PM

Question # 7 of 10 (Start time: 12:47:59 PM) **Total Marks:** 1

The notice calling the annual general meeting, must, be given to all its members at least _____ days before the date of the meeting.

Select correct option:

- (•) 21 days
- ( ) 30 days
- ( ) 45 days
- ( ) 51 days

Quiz Start Time: 12:44 PM

Question # 8 of 10 (Start time: 12:48:32 PM) **Total Marks:** 1

A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

Select correct option:

- (•) 21 days
- ( ) 30 days
- ( ) 45 days
- ( ) 51 days

Quiz Start Time: 12:44 PM

Question # 9 of 10 (Start time: 12:49:01 PM) **Total Marks:** 1

It is difficult to tranfer the rights of ownership in:

Select correct option:

- ( ) Sole proprietorship
- ( ) Partnership
- ( ) All the given options
- (•) None of the given options

Quiz Start Time: 12:44 PM

Question # 10 of 10 (Start time: 12:49:46 PM) **Total Marks:** 1

Environmental forces that are controllable are called:

Select correct option:

- External forces
- Internal forces
- non controllable forces
- None of the above

Quiz Start Time: 12:53 PM

Question # 1 of 10 (Start time: 12:53:13 PM) **Total Marks:** 1

A market survey is important because it tells you:

Select correct option:

- How many & what types of people are shopping at a store.
- Tells you what the customer will buy.
- Tells you how much the customer will pay for the product.
- All of the above.

Quiz Start Time: 12:53 PM

Question # 2 of 10 (Start time: 12:53:41 PM) **Total Marks:** 1

Barriers to international trade include:

Select correct option:

- Social and cultural differences
- Political and legal differences
- Economic differences
- All of the given options

Quiz Start Time: 12:53 PM

Question # 3 of 10 (Start time: 12:54:03 PM) **Total Marks:** 1

In----------industry,raw material is converted into some goods finished or semi finished:

Select correct option:

- (•) Manufacturing
- ( ) Constructive
- ( ) Genetic
- ( ) Extractive

Quiz Start Time: 12:53 PM

Question # 4 of 10 (Start time: 12:54:20 PM) **Total Marks:** 1

A major advantage of the corporate form of organization is:

Select correct option:

- ( ) Reduction of double taxation.
- ( ) Limited owner liability.
- ( ) Legal restrictions.
- (•) Ease of organization

Quiz Start Time: 12:53 PM

Question # 5 of 10 (Start time: 12:54:44 PM) **Total Marks:** 1

The formation of ____ does not require any legal formality like registration.

Select correct option:

- ( ) Sole proprietorship
- ( ) Company
- (•) Cooperative society
- ( ) Partnership

Quiz Start Time: 12:53 PM

Question # 6 of 10 (Start time: 12:55:01 PM) **Total Marks:** 1

Compared to licensing, franchising is a more advantageous entry mode because:

Select correct option:

- (•) It generates economies of scale in marketing to international customers.
- ( ) It offers greater control.
- ( ) It is low-risk and low-cost.
- ( ) Of all the above

Quiz Start Time: 12:53 PM

Question # 7 of 10 (Start time: 12:55:44 PM) **Total Marks:** 1

Examples of genetic industries include:

Select correct option:

- (•) Poultry
- ( ) Sugar mill
- ( ) Plant nurseries
- ( ) Canals

Quiz Start Time: 12:53 PM

Question # 8 of 10 (Start time: 12:56:11 PM) **Total Marks:** 1

Which of the following is not an example of non-profit making organization?

Select correct option:

- ( ) NGO's
- ( ) Trusts
- ( ) Cooperative societies
- (•) Partnership

Quiz Start Time: 12:53 PM

Question # 9 of 10 (Start time: 12:56:32 PM)

population size is included in

Select correct option:

- ○ Economic factors
- ◉ Demographic factors
- ○ Legal factors
- ○ Technological

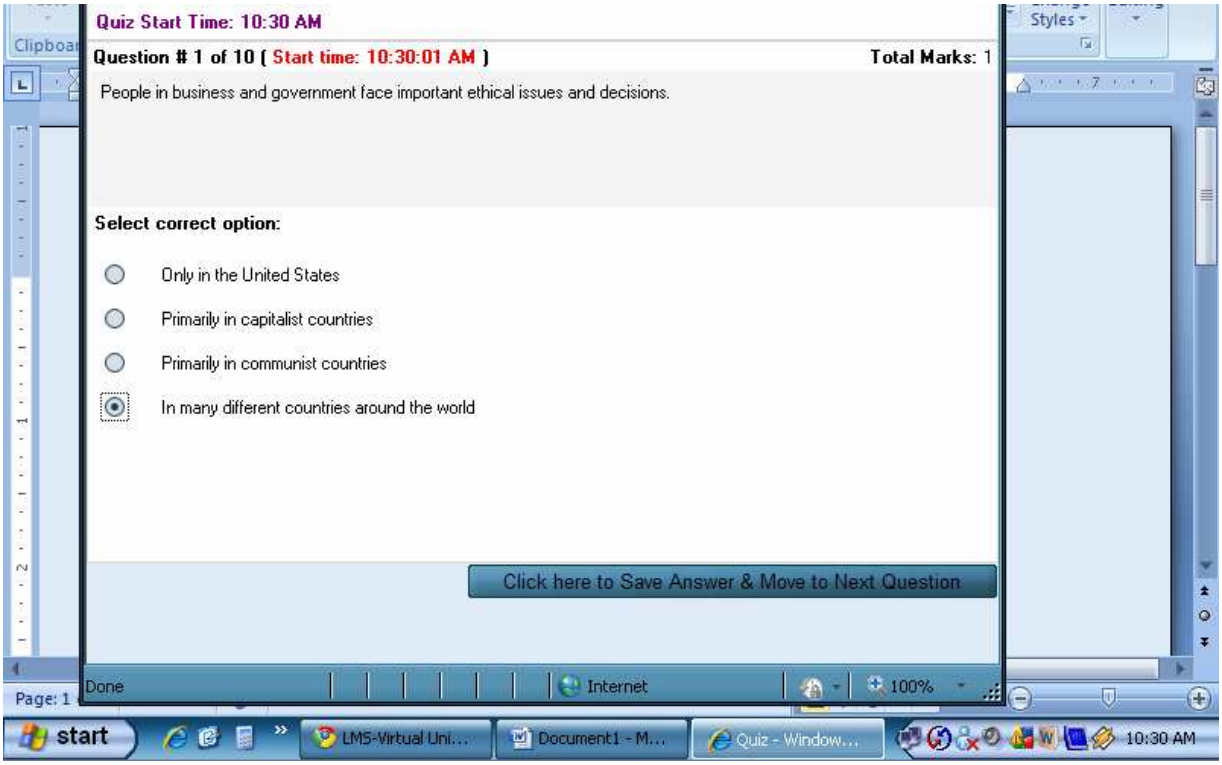
Quiz Start Time: 12:53 PM

Question # 10 of 10 (Start time: 12:56:59 PM) **Total Marks:** 1

Which of the following is excluded from factors that can affect the business?

Select correct option:

- ○ Demographic Factors
- ○ Economic and social factors
- ○ Natural factors
- ◉ None of the above


Quiz Start Time: 10:30 AM
Question # 1 of 10 (Start time: 10:30:01 AM)
Total Marks: 1
People in business and government face important ethical issues and decisions.
Select correct option:
Only in the United States
Primarily in capitalist countries
Primarily in communist countries
In many different countries around the world
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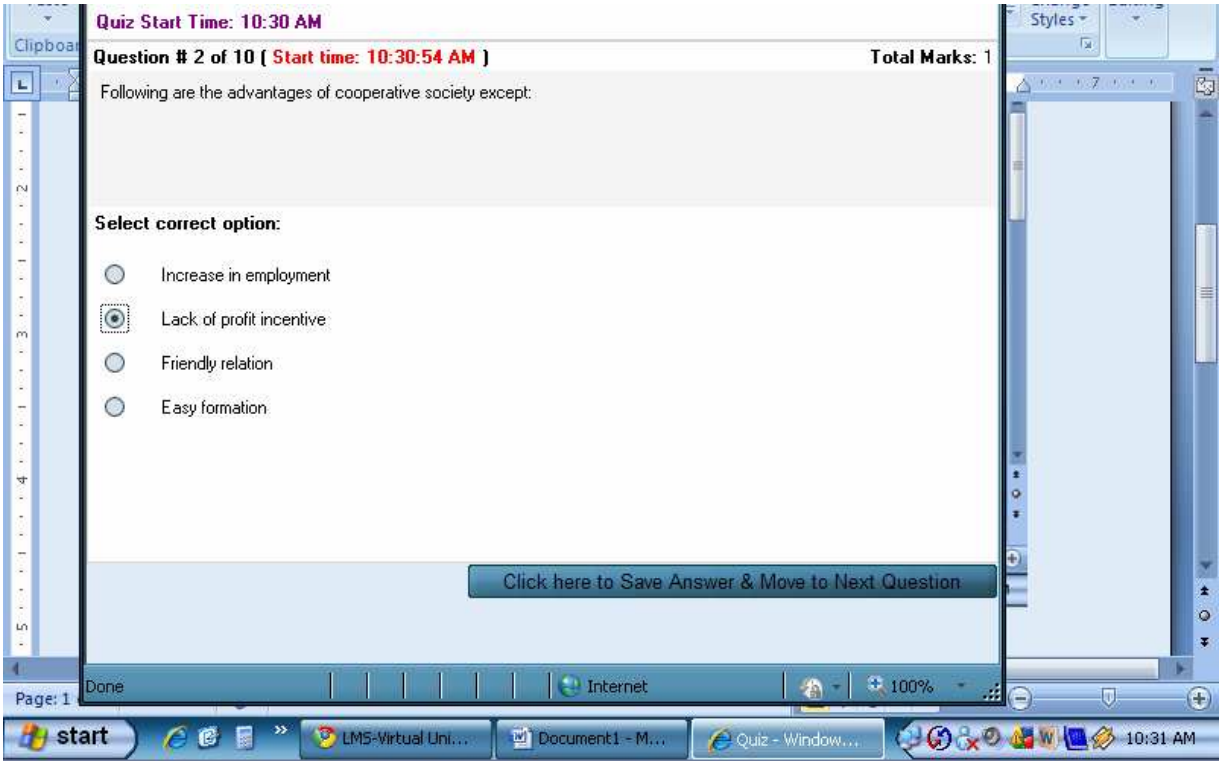
Quiz Start Time: 10:30 AM
Question # 2 of 10 (Start time: 10:30:54 AM)
Total Marks: 1
Following are the advantages of cooperative society except:
Select correct option:
Increase in employment
Lack of profit incentive
Friendly relation
Easy formation
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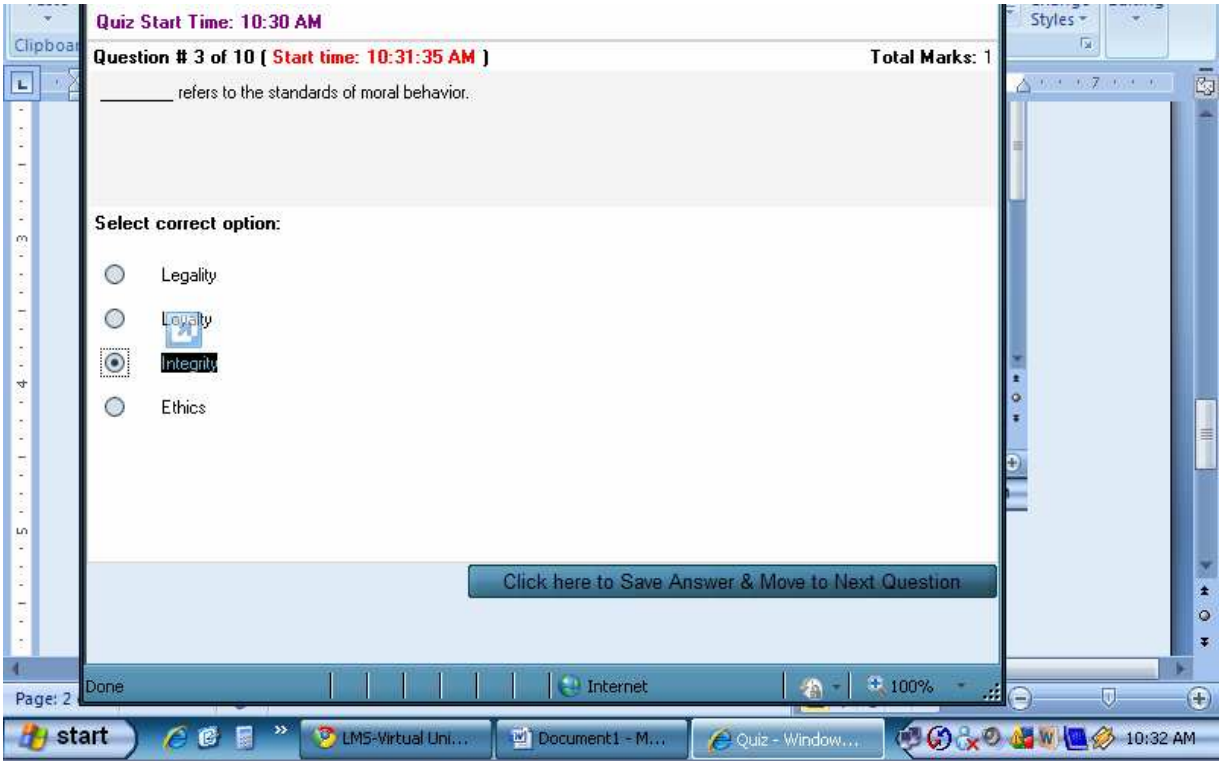
Quiz Start Time: 10:30 AM
Question # 3 of 10 (Start time: 10:31:35 AM)
Total Marks: 1
_____ refers to the standards of moral behavior.
Select correct option:
Legality
Loyalty
Integrity
Ethics
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Quiz Start Time: 10:30 AM
Question # 4 of 10 (Start time: 10:32:26 AM)
Total Marks: 1
Which of the following is included in job specification?
Select correct option:
Working environment
Experience
Job title
Job location
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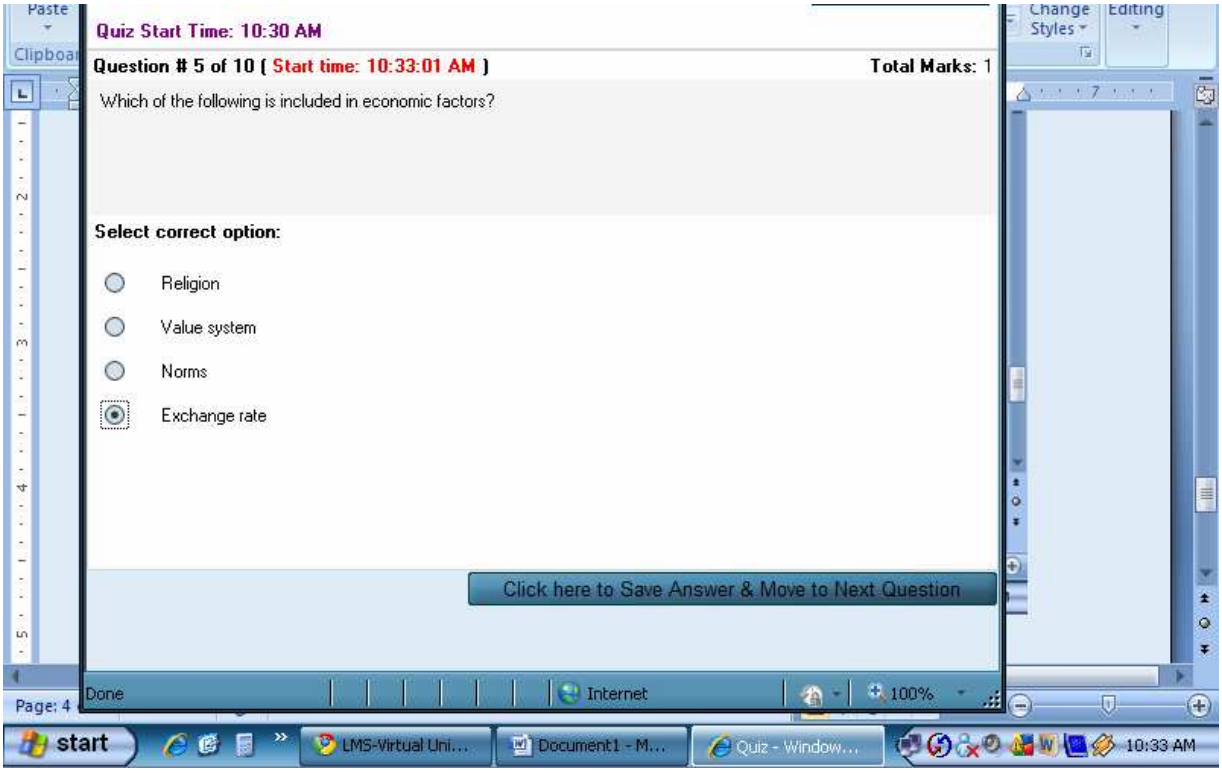
Quiz Start Time: 10:30 AM
Question # 5 of 10 (Start time: 10:33:01 AM)
Total Marks: 1
Which of the following is included in economic factors?
Select correct option:
Religion
Value system
Norms
Exchange rate
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10:33 AM

Question # 6 of 10 (Start time: 10:33:20 AM)
Total Marks: 1
Wages are paid for :
Select correct option:
Short term period
Long term period
All of the given options
None of the given options
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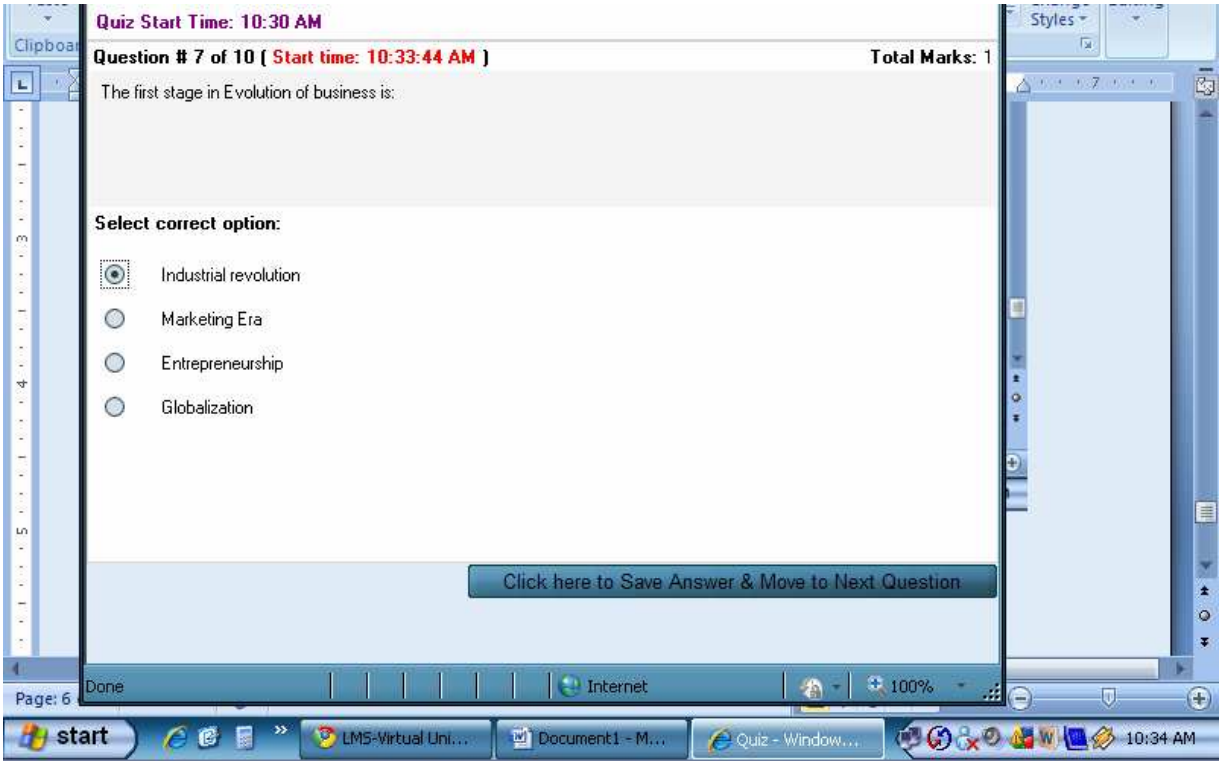
Quiz Start Time: 10:30 AM
Question # 7 of 10 (Start time: 10:33:44 AM)
Total Marks: 1
The first stage in Evolution of business is:
Select correct option:
Industrial revolution
Marketing Era
Entrepreneurship
Globalization
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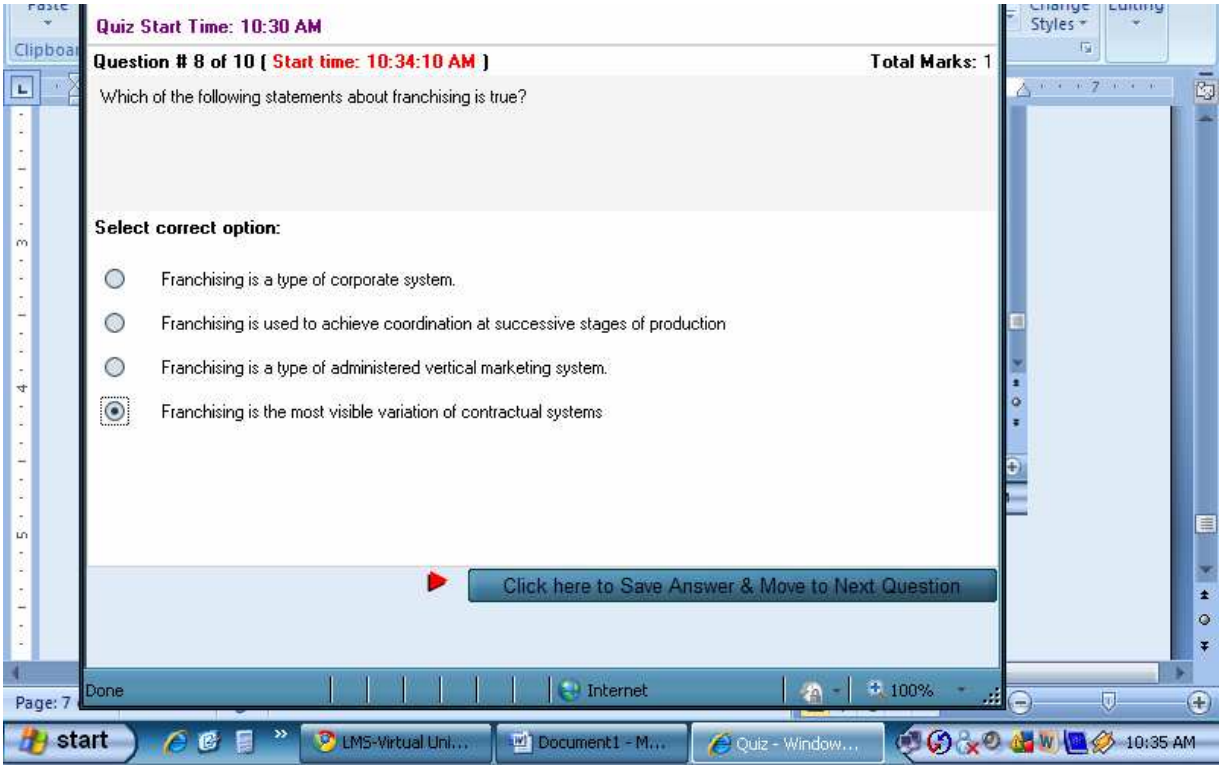
Quiz Start Time: 10:30 AM
Question # 8 of 10 (Start time: 10:34:10 AM)
Total Marks: 1
Which of the following statements about franchising is true?
Select correct option:
Franchising is a type of corporate system.
Franchising is used to achieve coordination at successive stages of production
Franchising is a type of administered vertical marketing system.
Franchising is the most visible variation of contractual systems
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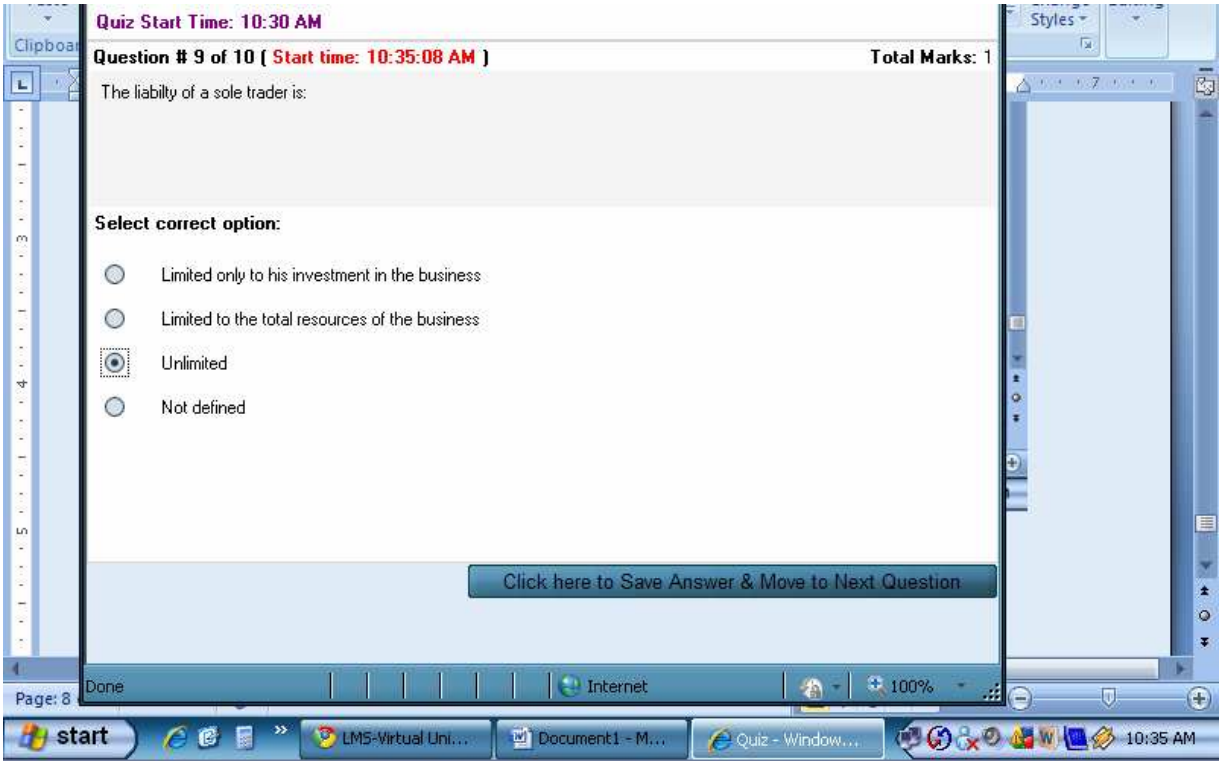
Quiz Start Time: 10:30 AM
Question # 9 of 10 (Start time: 10:35:08 AM)
Total Marks: 1
The liabilty of a sole trader is:
Select correct option:
Limited only to his investment in the business
Limited to the total resources of the business
Unlimited
Not defined
Click here to Save Answer & Move to Next Question
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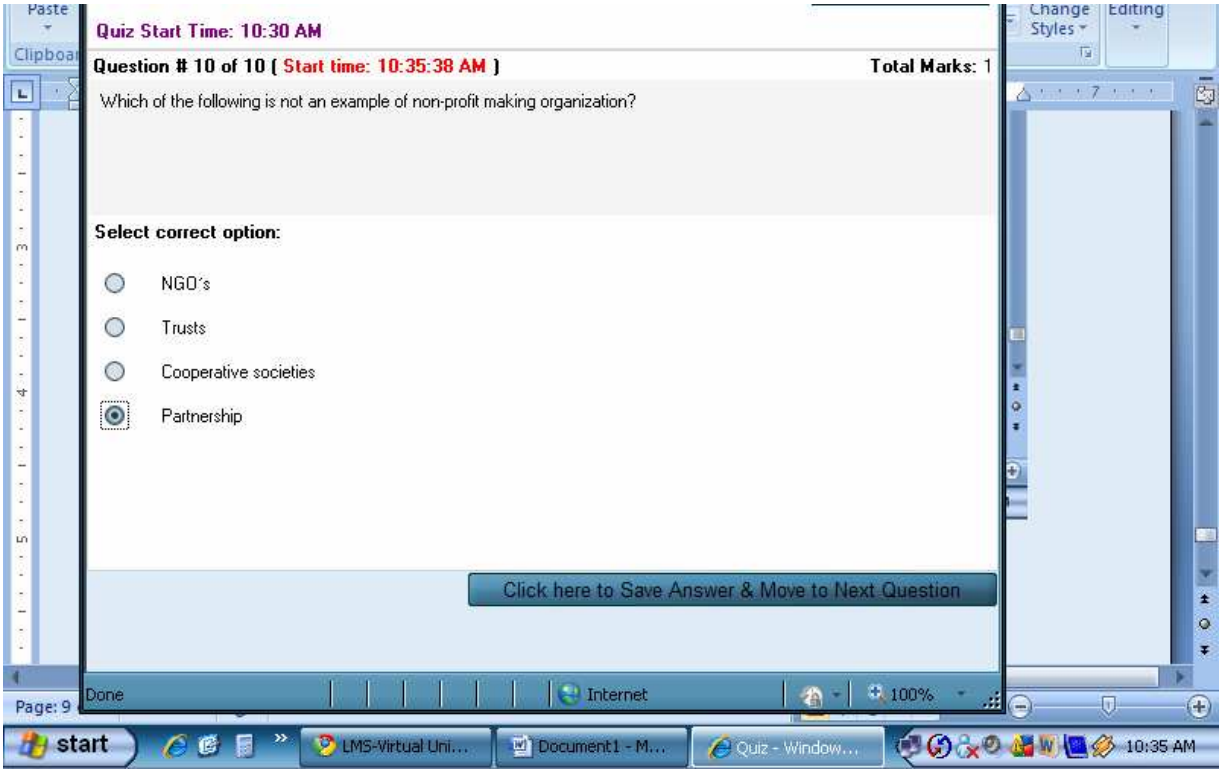
Quiz Start Time: 10:30 AM
Question # 10 of 10 (Start time: 10:35:38 AM)
Total Marks: 1
Which of the following is not an example of non-profit making organization?
Select correct option:
NGO´s
Trusts
Cooperative societies
Partnership
Click here to Save Answer & Move to Next Question
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21) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10%
b) 15%
c) 40%
d) 80%

22) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution
b) In annual general meeting
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning

c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus
d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 1:

Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 2:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

Q# 3:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle
c) Marketing research
d) A customer-oriented approach

Q# 4:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs

c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

Q#5:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

Q#6:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 7:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 8:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries
b) Direct distribution
c) Distribution mix
d) Distribution channel

Q# 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers

b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 10:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 11:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) Loyalty
d) Ownership

Q# 12:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) Marketing
d) Relationship

Q# 13:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) Long-run success page.
c) Largest market share.
d) Highest paid staff.

Q# 14:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 15:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) Sales process
b) Exchange process
c) Relationship process
d) Production process

1. An enterprise that provides products or services that customers desire is a / an:
   a. institution
   b. market
   c. agency
   d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

1) An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :

a. franchise
b. joint venture
c. distribution
d. cartel

6. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating
   b. risk
   c. value
   d. return on investment

7. _____ conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

8. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

9. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

1. If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
   a. overtime
   b. training
   c. affirmative action
   d. orientation program

2. _____ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.
   a. Contingent Workers

b. Knowledge workers
c. Diverse workforce
d. None of the given options

3. Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
    a. Labor Union
    b. Informal organization
    c. Team
    d. Trade union

4. Since they are closer to the production process, first line managers use their _____ skills more frequently.
    a. conceptual
    b. interpersonal
    c. managerial
    d. technical

5. Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
    a. equity theory
    b. management by objectives
    c. theory X
    d. theory Y

Q 1. All of the following are key factors that influence consumer preferences and the size of target market except:
a. social values
b. anthropology
c. geography
d. demographics

Q 2. Cameras, clothes, and household items are examples of products that exist in:
a. industrial markets
b. business markets
c. consumer markets
d. government markets

Q 3. To develop new ideas for expanding their product lines, many firms have recently increased their investment in:
a. research and development
b. production facilities

c. distribution facilities
d. inventory control

Q 4. Products that are not branded by the producer or retailer are called:
a. national brands
b. store brands
c. obsolete brands
d. generic brands

Q 5. Managers typically attempt to set a price that will maximize a firm's:
a. value
b. production
c. advertising
d. promotion

Q 6.

The manner by which a firm's products are made accessible to its customers is determined by its:

a. advertising strategies
b. product decisions
c. pricing strategies
d. distribution decisions

Q 7. Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

a. single-service marketers
b. agents
c. stockers
d. mediators

Q 8. All of the following are methods of promotion except:

a. target marketing
b. personal selling
c. sales promotion
d. public relations

Q 9. The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

a. institutional advertising
b. the push strategy
c. reminder advertising
d. public relations advertising

Q 10. Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

a. pull
b. push
c. sampling
d. premiums

Q1. A _____ represents a series of tasks in which resources are used to produce a product or service.

a. Production process
b. Layout chart
c. Venn diagram
d. Organizational chart

Q2. The act of setting time periods for each task in the process is called:

a. Routing
b. Scheduling
c. Dispatching
d. None of the given options

Q3. A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

a. Gate-keeping
b. Broadband
c. Inter-organizational
d. Internal information

Q4. Through _____, firms achieve a lower average cost by producing large volume.

a. Inventory management
b. Economies of scale
c. De-integration
d. Effective marketing

Q5. _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

a. Systems theory
b. Entropy
c. Synergy
d. Transformation process

Q6.

Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

a. Benchmarking
b. Quality assurance
c. Continuous improvement process
d. Total quality management

Q7. The heart of a computer is its:

a. Power unit
b. Central processing unit
c. Random access memory
d. Hard drive

Q8. In typical network architecture, workstations are connected to a _____, which is a machine that stores and provides access to centralized data.

a. Main-frame
b. Stand-alone computer
c. File server
d. Main-board

Q9. The exchange and comprehension of information is:

a. Communication
b. Promotion
c. Posture
d. Facial expression

Q10. Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

a. Core components
b. Externalities
c. Peripherals
d. Serial interfaces

1) Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

2) The function of business in which business man tries to find new techniques of production is

Accounting

Management Function
Innovation
Quality improvement

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

4) Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

5) Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

6) Which of the following is not among the benefits of Partnership Firm?

Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

8) The company may raise its capital through which of the following sources:

By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

9) Advantages of cooperative societies does not include

Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

10) WTO was organized on _____

July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

1. A major disadvantage of corporate organization is

- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders

- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is
   - Sole proprietor ship
   - **Partner ship**
   - All of given options
   - None of given options

3. Wages are paid for
   - Long term
   - **Short term**
   - All of given options
   - None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have _____ type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is _____
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
- Canal
- Sugar mill
- **Poultry**
- Agriculture

10. The first stage Evolution business is?
- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

Question No: 1 (Marks: 1) - Please choose one
When entrepreneurs establish a business, they must first decide on the form of:
? Partnership
? Ownership
? Expansion
? Organization

Question No: 2 (Marks: 1) - Please choose one
Generally, in a limited partnership:
? All partners have limited liability.
? The partners exist for a limited time period.
? The limited partners do not participate in management of the company.
? Not more than 75 partners may invest in the company at one time.

Question No: 3 (Marks: 1) - Please choose one
The "leading" function of management should be conducted in a manner that is consistent with
firm's:
? Competition
? Strategic plan
? Industry demand
? Labor union

Question No: 4 (Marks: 1) - Please choose one
The skills managers use to understand the relationships among the various tasks of the firm are:
? Interpersonal skills

? Technical skills
? Decision making skills
? Conceptual skills

Question No: 5 (Marks: 1) - Please choose one
The four functions of management:
? Must be enacted in the proper sequence
? Must be integrated
? Are stand alone, independent functions
? Can not be performed by one individual

Question No: 6 (Marks: 1) - Please choose one
Social interaction and acceptance by others are examples of:
? Physiological needs
? Safety needs
? Affiliation needs
? Esteem needs

Question No: 7 (Marks: 1) - Please choose one
When firms delegate more authority to their employees, this strategy is referred to as:
? Empowerment
? Merit system
? Hygiene theory
? Equity system

Question No: 8 (Marks: 1) - Please choose one
The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
? Job analysis
? Job screening
? Job evaluation
? Human resource planning

Question No: 9 (Marks: 1) - Please choose one
A _____ is an assignment to a higher level job with more responsibility and greater pay.
? Transfer

? Lateral assignment
? Appraisal
? Promotion

Question No: 10 (Marks: 1) - Please choose one
Products purchased by companies to produce other products are:
? Consumer Goods
? Industrial Goods
? Services
? Inventory

1. People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

2. Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

3. _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

4. Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

5. Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

6. Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

7. The first stage in Evolution of business is:

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Marketing Era

Entrepreneurship

Globalization

8. Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

9. The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

10. Which of the following is not an example of non-profit making organization?

NGO´s

Trusts

Cooperative societies

Partnership

11. First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

12. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

13. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

14. Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

15. Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

16.

A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

17. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

18. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

19. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

20. Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

21. In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

22. A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

23. The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

24. Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

25. population size is included in

Economic factors

Demographic factors

Legal factors

Technological

26. Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

27. Components of Business Plan include all of the following except:
e) Marketing Component
f) Administrative Component
g) External Component
d)Financial Component

28. An agreement between two parties in which one party possess the rights to the other party is:
e) Partnership
f) Strategic Alliance
g) Joint venture
d] Franchising

29. Many organizations provide guidelines of behavior to employees through a code of:

a) Cartel arrangements
b) Kickback agreements
c) Production manuals
d) Responsibility and ethics

30. A firm can charge a higher price without loosing its customers if it does not have much:

a) Production
b) Competition
c) Advertising
d) Industry demand

31. A distribution channel represents the path of a product from a producer to:

a) Retailer
b) Wholesaler
c) Consumer
d) Manufacturer

32. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a) Competitive product analysis
b) Value-Added Analysis
c) Statistical Process Control
d) Quality/Cost Studies

33. Spreadsheets, database and word processing software are all types of:
a) Operating systems
b) Utility programs
c) Application software
d) Firmware

34. Which of the following is the most important determinant of a firm's value?

a) Earnings
b) Debt
c) Liabilities
d) Liquidity

35. How funds are obtained and invested by the firm is determined by the:

a) Finance function
b) Marketing function
c) Organizing function
d) Accounting function

36. _____ is used to cover long-term expenses such as assets.

a) Line of Credit
b) Debt Financing
c) Preferred Stock
d) Financial Management

37. _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

a) Knowledge Worker
b) Labor Markets
c) Contingent Worker
d) Workforce Diversity

38. An increase in the general level of prices of products over a specified period of time is called:

a) Inflation
b) Gross domestic product
c) Disinflation
d) Equilibrium

a. Which of the following business type has longest life time?
Sole proprietorship
Partnership
Joint stock company
All of the given options

b. Election of the Board of Directors is done by Shareholders.
Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

c. Which of the following business type, has to pay double taxes to the government?
Sole proprietorship
Partnership
Joint stock company
Cooperative Societies

d. _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association
Article of Association
Prospectus
All of the given option

e. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company
Article of Association
Prospectus
None of the given option

f. To call the extraordinary meeting, how many days' notice is required?

21 days
15 days
07 days
30 days

g. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

Statutory Declaration
Fails to submit statutory report
Expiry of Period
Appointment of Liquidators

h. Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate
Debentures
Participation Term Certificates
All of the given option

i. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital
Un-Issued Capital
Un-Called up Capital
All of the given option

j. The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor
Petition by creditor
Petition by contributory
All of the above

Sr. #	Questions	Correct answer
1	Many organizations provide guidelines of behavior to employees through a code of: e) Cartel arrangements f) Kickback agreements g) Production manuals h) Responsibility and ethics	
2	A firm can charge a higher price without loosing its customers if it does not have much:	

	e) Production f) Competition g) Advertising h) Industry demand	
3	A distribution channel represents the path of a product from a producer to: e) Retailer f) Wholesaler g) Consumer h) Manufacturer	
4	Process by which a company analyzes a competitor's products to identify desirable improvements is: e) Competitive product analysis f) Value-Added Analysis g) Statistical Process Control h) Quality/Cost Studies	
5	Spreadsheets, database and word processing software are all types of: e) Operating systems f) Utility programs g) Application software h) Firmware	
6	Which of the following is the most important determinant of a firm's value? a) Earnings b) Debt c) Liabilities d) Liquidity	
7	How funds are obtained and invested by the firm is determined by the:	

	d) Finance function e) Marketing function f) Organizing function g) Accounting function	
8	_____ is used to cover long-term expenses such as assets. e) Line of Credit f) Debt Financing g) Preferred Stock h) Financial Management	
9	_____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity. e) Knowledge Worker f) Labor Markets g) Contingent Worker h) Workforce Diversity	
10	An increase in the general level of prices of products over a specified period of time is called: e) Inflation f) Gross domestic product g) Disinflation h) Equilibrium	

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Introduction to business_MGT211_MCQs

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days
   3. 07 days
   4. 30 days

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7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. **Fails to submit statutory report**
   3. Expiry of Period
   4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. **Participation Term Certificates**
   4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
   1. **Reserve capital**
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. **Petition by debtor**
   2. Petition by creditor
   3. Petition by contributory
   4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. **Complicated coordination**
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

   a. **Autocratic styles**
   b. Democratic styles
   c. Free rein style

d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

a. Leadership
b. Motivation
c. Free rein style
d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

a. Participative Management and Empowerment
b. Management by Objectives (MBO)
c. Reinforcement / Behavior Modification Theory
d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is / are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix

c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. Substitute product competition
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.

a. Finished goods
b. Work in process
c. Raw material
d. All of the given option

12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising
e. None of the given options

13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
   a. **Pull strategy**
   b. Push strategy
   c. Persuasive advertising
   d. Sales Promotion

14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
   a. **Warehousing cost**
   b. Transportation cost
   c. Distribution cost
   d. Manufacturing cost

15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
   a. Order Processing
   b. Creative Selling
   c. Missionary Selling
   d. None of the given option

16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
   a. Final consumer
   b. Retailer
   c. Wholesalers
   d. All of the given options

17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

   a. **Trade Shows**
   b. Contests
   c. Cross-promotion
   d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.
   a. Total quality management (TQM)
   b. Promotion strategy
   c. Sales promotion
   d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
   a. Public relation

b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

21) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10%
b) 15%
c) 40%
d) 80%

22) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution

b) In annual general meeting
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus
d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 1:

Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 2:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

Q# 3:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle

c) Marketing research
d) A customer-oriented approach

Q# 4:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

Q#5:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

Q#6:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 7:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 8:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries

b) Direct distribution
c) Distribution mix
d) Distribution channel

Q# 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 10:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 11:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) Loyalty
d) Ownership

Q# 12:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) Marketing
d) Relationship

Q# 13:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) Long-run success page.

c) Largest market share.
d) Highest paid staff.

Q# 14:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 15:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) Sales process
b) Exchange process
c) Relationship process
d) Production process

1. An enterprise that provides products or services that customers desire is a / an:
   a. institution
   b. market
   c. agency
   d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

1) An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

6. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating
   b. risk
   c. value
   d. return on investment

7. _____ conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

8. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

9. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

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1. If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
    a. overtime
    b. training
    c. affirmative action
    d. orientation program

2. _____ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.
    a. Contingent Workers
    b. Knowledge workers
    c. Diverse workforce
    d. None of the given options

3. Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
    a. Labor Union
    b. Informal organization
    c. Team
    d. Trade union

4. Since they are closer to the production process, first line managers use their _____ skills more frequently.
    a. conceptual
    b. interpersonal
    c. managerial
    d. technical

5. Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
    a. equity theory
    b. management by objectives
    c. theory X
    d. theory Y

Q 1. All of the following are key factors that influence consumer preferences and the size of target market except:
a. social values
b. anthropology
c. geography
d. demographics

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Q 2. Cameras, clothes, and household items are examples of products that exist in:

a. industrial markets
b. business markets
c. consumer markets
d. government markets

Q 3. To develop new ideas for expanding their product lines, many firms have recently increased their investment in:

a. research and development
b. production facilities
c. distribution facilities
d. inventory control

Q 4. Products that are not branded by the producer or retailer are called:

a. national brands
b. store brands
c. obsolete brands
d. generic brands

Q 5. Managers typically attempt to set a price that will maximize a firm's:

a. value
b. production
c. advertising
d. promotion

Q 6. The manner by which a firm's products are made accessible to its customers is determined by its:

a. advertising strategies
b. product decisions
c. pricing strategies
d. distribution decisions

Q 7. Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

a. single-service marketers
b. agents
c. stockers
d. mediators

Q 8. All of the following are methods of promotion except:

a. target marketing
b. personal selling
c. sales promotion
d. public relations

Q 9. The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

a. institutional advertising
b. the push strategy
c. reminder advertising
d. public relations advertising

Q 10. Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

a. pull
b. push
c. sampling
d. premiums

Q1. A _____ represents a series of tasks in which resources are used to produce a product or service.

a. Production process
b. Layout chart
c. Venn diagram
d. Organizational chart

Q2. The act of setting time periods for each task in the process is called:

a. Routing
b. Scheduling
c. Dispatching
d. None of the given options

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Q3. A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

a. Gate-keeping
b. Broadband
c. Inter-organizational
d. Internal information

Q4. Through _____, firms achieve a lower average cost by producing large volume.

a. Inventory management
b. Economies of scale
c. De-integration
d. Effective marketing

Q5. _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

a. Systems theory
b. Entropy
c. Synergy
d. Transformation process

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Q6. Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:
a. Benchmarking
b. Quality assurance
c. Continuous improvement process
d. Total quality management

Q7. The heart of a computer is its:
a. Power unit
b. Central processing unit
c. Random access memory
d. Hard drive

Q8. In typical network architecture, workstations are connected to a _____, which is a machine that stores and provides access to centralized data.
a. Main-frame
b. Stand-alone computer
c. File server
d. Main-board

Q9. The exchange and comprehension of information is:
a. Communication
b. Promotion
c. Posture
d. Facial expression

Q10. Modems, printers, keyboards, monitors, and scanners are examples of computer _____.
a. Core components
b. Externalities
c. Peripherals
d. Serial interfaces

1) Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

2) The function of business in which business man tries to find new techniques of production is

Accounting

Management Function
Innovation
Quality improvement

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

4) Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

5) Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

6) Which of the following is not among the benefits of Partnership Firm?

Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

8) The company may raise its capital through which of the following sources:

By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

9) Advantages of cooperative societies does not include

Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

10) WTO was organized on _____

July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

1. A major disadvantage of corporate organization is

- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is

- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for
   - Long term
   - **Short term**
   - All of given options
   - None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have _____ type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is _____
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
   - Canal
   - Sugar mill
   - **Poultry**

- Agriculture

10. The first stage Evolution business is?
- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

Question No: 1 (Marks: 1) - Please choose one
When entrepreneurs establish a business, they must first decide on the form of:
? Partnership
? Ownership
? Expansion
? Organization

Question No: 2 (Marks: 1) - Please choose one
Generally, in a limited partnership:
? All partners have limited liability.
? The partners exist for a limited time period.
? The limited partners do not participate in management of the company.
? Not more than 75 partners may invest in the company at one time.

Question No: 3 (Marks: 1) - Please choose one
The “leading” function of management should be conducted in a manner that is consistent with
firm’s:
? Competition
? Strategic plan
? Industry demand
? Labor union

Question No: 4 (Marks: 1) - Please choose one
The skills managers use to understand the relationships among the various tasks of the firm are:
? Interpersonal skills
? Technical skills
? Decision making skills
? Conceptual skills

Question No: 5 (Marks: 1) - Please choose one
The four functions of management:
? Must be enacted in the proper sequence
? Must be integrated

? Are stand alone, independent functions
? Can not be performed by one individual

Question No: 6 (Marks: 1) - Please choose one
Social interaction and acceptance by others are examples of:
? Physiological needs
? Safety needs
? Affiliation needs
? Esteem needs

Question No: 7 (Marks: 1) - Please choose one
When firms delegate more authority to their employees, this strategy is referred to as:
? Empowerment
? Merit system
? Hygiene theory
? Equity system

Question No: 8 (Marks: 1) - Please choose one
The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
? Job analysis
? Job screening
? Job evaluation
? Human resource planning

Question No: 9 (Marks: 1) - Please choose one
A _____ is an assignment to a higher level job with more responsibility and greater pay.
? Transfer
? Lateral assignment
? Appraisal
? Promotion

Question No: 10 (Marks: 1) - Please choose one
Products purchased by companies to produce other products are:
? Consumer Goods
? Industrial Goods
? Services
? Inventory

1. People in business and government face important ethical issues and decisions.

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Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

2. Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

3. _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

4. Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

5. Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

6. Wages are paid for :

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Short term period

Long term period

All of the given options

None of the given options

7. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

8. Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

9. The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

10. Which of the following is not an example of non-profit making organization?

NGO´s

Trusts

Cooperative societies

Partnership

11. First directors are usually named in the _____

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Memorandum of Association

Articles of Association

Prospectus

None of the above

12. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

13. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

14. Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

15. Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

16. A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

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21 days

30 days

45 days

51 days

17. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

18. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

19. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

20. Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

21. In----------industry,raw material is converted into some goods finished or semi finished:

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Manufacturing

Constructive

Genetic

Extractive

22. A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

23. The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

24. Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

25. population size is included in

Economic factors

Demographic factors

Legal factors

Technological

26. Which of the following is excluded from factors that can affect the business?

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Demographic Factors

Economic and social factors

Natural factors

None of the above

27. Components of Business Plan include all of the following except:
e) Marketing Component
f) Administrative Component
g) External Component
d)Financial Component

28. An agreement between two parties in which one party possess the rights to the other party is:
e) Partnership
f) Strategic Alliance
g) Joint venture
d] Franchising

29. Many organizations provide guidelines of behavior to employees through a code of:

a) Cartel arrangements
b) Kickback agreements
c) Production manuals
d) Responsibility and ethics

30. A firm can charge a higher price without loosing its customers if it does not have much:

a) Production
b) Competition
c) Advertising
d) Industry demand

31. A distribution channel represents the path of a product from a producer to:

a) Retailer
b) Wholesaler
c) Consumer
d) Manufacturer

32. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a) Competitive product analysis
b) Value-Added Analysis
c) Statistical Process Control
d) Quality/Cost Studies

33. Spreadsheets, database and word processing software are all types of:

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a) Operating systems
b) Utility programs
c) Application software
d) Firmware

34. Which of the following is the most important determinant of a firm's value?

a) Earnings
b) Debt
c) Liabilities
d) Liquidity

35. How funds are obtained and invested by the firm is determined by the:

a) Finance function
b) Marketing function
c) Organizing function
d) Accounting function

36. _____ is used to cover long-term expenses such as assets.

a) Line of Credit
b) Debt Financing
c) Preferred Stock
d) Financial Management

37. _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

a) Knowledge Worker
b) Labor Markets
c) Contingent Worker
d) Workforce Diversity

38. An increase in the general level of prices of products over a specified period of time is called:

a) Inflation
b) Gross domestic product
c) Disinflation
d) Equilibrium

a. Which of the following business type has longest life time?
Sole proprietorship
Partnership
Joint stock company
All of the given options

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b. Election of the Board of Directors is done by Shareholders.
Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

c. Which of the following business type, has to pay double taxes to the government?
Sole proprietorship
Partnership
Joint stock company
Cooperative Societies

d. _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association
Article of Association
Prospectus
All of the given option

e. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company
Article of Association
Prospectus
None of the given option

f. To call the extraordinary meeting, how many days' notice is required?
21 days
15 days
07 days
30 days

g. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:
Statutory Declaration
Fails to submit statutory report
Expiry of Period
Appointment of Liquidators

h. Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate
Debentures
Participation Term Certificates
All of the given option

i. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital
Un-Issued Capital
Un-Called up Capital
All of the given option

j. The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor
Petition by creditor

Petition by contributory
All of the above

Sr. #	Questions	Correct answer
1	Many organizations provide guidelines of behavior to employees through a code of: e) Cartel arrangements f) Kickback agreements g) Production manuals h) Responsibility and ethics	
2	A firm can charge a higher price without loosing its customers if it does not have much: e) Production f) Competition g) Advertising h) Industry demand	
3	A distribution channel represents the path of a product from a producer to: e) Retailer f) Wholesaler g) Consumer h) Manufacturer	
4	Process by which a company analyzes a competitor's products to identify desirable improvements is: e) Competitive product analysis f) Value-Added Analysis g) Statistical Process Control h) Quality/Cost Studies	
5	Spreadsheets, database and word processing software are all types of: e) Operating systems f) Utility programs	

	g) Application software h) Firmware	
6	Which of the following is the most important determinant of a firm's value? a) Earnings b) Debt c) Liabilities d) Liquidity	
7	How funds are obtained and invested by the firm is determined by the: d) Finance function e) Marketing function f) Organizing function g) Accounting function	
8	_____ is used to cover long-term expenses such as assets. e) Line of Credit f) Debt Financing g) Preferred Stock h) Financial Management	
9	_____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity. e) Knowledge Worker f) Labor Markets g) Contingent Worker h) Workforce Diversity	
10	An increase in the general level of prices of products over a specified period of time is called:	

	e) Inflation f) Gross domestic product g) Disinflation h) Equilibrium	

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1. **All of the following barriers exist due to economic differences in international trade Except.**

   Different environment

2. **All of the following statements are true regarding partnership except_____.**

   There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits.

3. **The form of business organization that generally has the largest volume is the _____.**

   Corporation

4. **Which of the following is NOT a secondary industry?**

   Genetic industry

5. **Which of the following is a primary industry?**

   Extractive industry and Genetic industry ….both

6. **Which of the following is a Secondary industry?**

   Constructive , manufacturing, services industry…all options

7. **Which of the following is the partner who does not take part in the management of the business but is known to the public. He is liable to the creditors of the film?**

   Silent partner

8. **Which of the following is the partner who takes active part in the affairs of business and i ts management.He contributes his share in the capital and is liable to pay the obligations of the firm?**

Active partner

9. **Which of the following is the partner who takes active part in the affairs of the business b ut is unknown to the public as a partner. He is liable to the creditors of the firm?**

Secret partner

10. **Which of the following is the partner who only contributes is the capital but does not tak e part in the management of the business. He is liable to pay the obligations of the firm?**

Sleeping partner

11. **Which of the following is the partner who invests a large portion of capital in the busines s. He has a prominent position in the firm due to his experience, skill, energy, age and other facts?**

Senior partner

12. **Which of the following is the partner in a firm can make an agreement with a stranger to share the profits earned by him from the partnership business. He is not liable for any debt and can not interface in the business matters?**

Sub- partner

13. **Which of the following is a person who has a small investment in the firm and has a li mited experience of business?**

Junior partner

14. Which of the following is a person who is over 18 years of age. A person is allowed to make contract when he has attained the age of majority?

Major Partner

15. Which of the following is a person who is minor cannot enter into a valid contract. However, he can become a partner with the consent of all other partners. He can share profits of a business but not the losses?

Minor Partner

16. Which of the following is a partner who neither contributes in capital nor does he take part in the management of the business but allows his name to be used in the business is known as. He is individually and jointly liable for the debts of the firm along with other partners?

Nominal Partner

17. Which of the following is A partner whose life has expired is known as. The share of capital and profit of such partner is paid to his legal heirs in lump sum or in installment?

Deceased Partner

18. Which of the following is a A partner whose liabilities are limited to his share in business is called. He cannot take active part in the management of the firm?

Limited Partner

19. Which of the following is a A partner whose liabilities are unlimited is known as.

He and his personal
property both are liable to clear the debts of the firm?

Unlimited Partner

20. Which of the following is a
A person who is newly admitted in the firm with the consent of all the partners.
He is not liable for any act of the firm performed before he became the partner unless he agrees.

Incoming partner

21. Which of the following is a
A partner who leaves the firm due to certain reasons is known as.
He is liable to pay all the obligations and debts of the firm incurred before his retirement?

Retired Partner

22. Which of the following is a
a partner is entitled to receive certain share of profits and is not held liable for losses is known as .
He is not allowed to take part in the management of the business?

Partner in profits only

23. Which of the following is a
A person, who was the partner of a firm but has now retired from active participation in
business and has left his capital in the business as a loan, receiving interest on it, is known as ?

Quasi Partner

24. Which of the following is a
A person who holds himself out as a partner of a firm, before a third party or allows other to

do so, though he is not a partner of that firm, is called.
He is not entitled to any right like other partners of the fir m. He is not entitled to
any right like other partners of the firm. He is personally li able to the third party for the
credit given to the firm, on the faith of his representation.

Partner by Estoppel

25. Which of the following is NOT the characteristic of a business?

Voluntarily contribution

26. Which of the following is a characteristics of a business?

CAPITAL, CREATION OF UTILITY, DEALING IN GOODS AND SERVICES, Employment, Islamic Process, Motive, Organization, Productions or Purchase of goods, Regular transaction, Risk and uncertainly, Sale or transfer for value, Social welfare ……. ALL OPTIONS

27. The difference in value between a country's exports and imports is called

Balance of trade

28. Those countries where people are earning US $9000 or more.

High income countries

29. Those countries where people are earning between US $765 and $9000

Middle income countries

30. Those countries where people are earning below US $765.

Lower income countries

31. **The country becomes a _____ when the value of imports exceeds than value of exports in the balance of trade.**

Creditor

32. **Which of the following is not an example of non-profit making organization?**

Partnership

33. **_____ meeting must be held at least one in three months and at least four times in a year.**

Director meeting

34. **On which of the following dates companies ordinance came into force?**

January 1, 1985

35. **Statutory meeting is held by which of the following companies?**

All options

36. **Environmental forces that are controllable are called?**

Internal forces

37. **Statutory report must be send to the shareholder before meeting that is certified by at least;**

3 directors of CEO

38. **A major disadvantage of the corporate form of organization is the _____-.**

Double taxation of dividends

39. **The activity directed towards producing wealth through buying and selling goods is termed as ?**

Business

40. **‘One man one vote’ principle is applied in _____.**

Co-operative society

41. **First directors are usually named in the _____.**

Articles of Association

42. **The rules and regulations of a co-operative society are formed in its_____.**

Co-operative rules

43. **Annual General Meeting of the company that held.**

Once in a year

44. **The person who takes the major risks of a business by committing equity and time is known as**

Partner

45. **In which type of business, Government gives the financial assistance?**

Joint stock company

46. **In which stage of the company formation, MOA and AOA are submitted in the registrar’s office?**

Incorporation stage

47. **Which of the following factor(S) contribute to success of new business.**

All options

48. **Social welfare is one of the objectives of:**

Public limited company

49. **Which of the following business form has the shortest life span?**

Sole- partnership

50. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as_____.

Economics activities

51. Business benefits the people by providing them.

Large number of services

52. Which of the following can be the strength of an organization?

Presence of few competitors

53. In which of the following industry, raw material is converted into finished or semi finished goods

Manufacturing

54. WTO was established in _____

January 1995

55. Franchiser gets a large amount of money from franchisee as _____ while using its name.

Fee

56. All of the following form of business has high failure rate EXCEPT.

Corporate societies

57. Which of the following is included in economic factors?

Exchange rate

58. First meeting of the members of public limited company is known as_____

Statutory meeting

59. Which industry is concerned with the extraction and production of raw materials?

Primary industry

60. Which industry use raw materials and make useful goods?

Secondary industry

61. The liability of a sole trader is.

Unlimited

62. A major advantage of the corporate form of organization is _____

Reduction of double taxation

63. A period of business cycle that is characterized by high employment rate may be the period of;

Expansion

64. It is difficult to transfer the rights of ownership in?

Sole proprietorship

65. Which of the following is not the adjective of the directors meeting?

To recommend dividend

66. The law relating to joint stock companies has been laid in company's ordinance?

1984

67. First directors are usually named in the _____.

Articles of association

68. The law relating to joint stock company has been laid in companies ordinance, 1984 which came into force on _____ in Pakistan.

Januray 1985

69. In which stage of the company formation, MOA and AOA are submitted in the register's office

Incorporation stage

70. The registration of a joint stock company is;

Compulsory

71. A major disadvantage of the corporate form of organization is the _____.

Double taxation of dividends

72. Which of the following statement is false.

Joint Venture do not provide opportunities to acquire new experitise

73. The relationship between persons who have agreed to share the profits of a business carried on by all or any one of them acting for all is called _____

Partnership

74. In which economy, the government decides that how many resources have to bee generated and how the resources should be allocated?

Planned economy

75. Economist and policy makers are interested in Demographics attributes to determine the ;

Demand patterns

76. Which document contains the objective of the business and the ways to achieve those objectives?

Business plan

77. _____is the simplest form of business organization, which is owned and controlled by one man

SOLE PROPRIETORSHIP

78. Two or more organization combine together and form a new organization.

Merger

79. The word 'limited' at the end of the company name means;

Shareholders has limited liability

80. Which entity supervises the work of all cooperative societies?

Cooperative department of provincial government

81. Barriers to international trade include;

All options

82. _____- generally has unlimited liability

The owner of a sole proprietorship

83. Investment, revenue, expenses and net profit is discussed in _____ of business plan?

Financial part

84. A document that contains rules and regulations of the company.

All options

85. The buying and selling of goods by way of electronic media, such as telephone is called;

E-commerce

86. Which of the following can be the situation of wound up of a company?

All options

87. The list annual general meeting should be held with the _____ of incorporation of a company.

16 month

88. The sale of products and services via internet is fall under the;

E-commerce

89. Which of the following is required the certificate of commencement?

A public limited company

90. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as_____

Non ecnomiecs activites

91. Which of the document contains the objectives of the business and the ways to achieve those objectives?

Business plan

92. Auditors are generally appointed and their remuneration, fixed at the _____

All options

93. A _____ imposes limits on the quantity of a good that can be imported over a period of time.

Tariff

94. Which of the following is a new trend in which two or more organization combine together and form a new organization?

Merger

95. If the value of exports exceeds than value of imports the balance of trade is said to be favorable or a.

Trade barrier

96. Which mode of the business is formed when several business concern undertaking units are combined to carry on the business together fro achieving the economic benefits?

Combination

97. All of the following best describes the practice of corporate social responsibility, EXCEPT;

Interaction with government

98. Compared to licensing, franchising is a more advantageous entry mode because;

All options

99. Which of the following business type can avail some concessions from the government?

Cooperative society

100. The first stage in Evolution of business is;

Entrepreneurship

101. A sole proprietorship business may have;

All options

102. Which of the following business type can avail some concessions from the government?

Cooperative society

103. An agreement between two parties in which one party passes on the right to other party is called;

Franchising agreement

104. Which of the following can be the situation of wound up of a company?

All options

105. The liability of each member in cooperative society is .

Limited to the share capital

106. In what type of business, Expansion is comparatively difficult than others.

SOLE PROPRIETORSHIP

107. Following are the advantages of cooperative society except;

Lack of profit incentive

108. Goods produced domestically and sold in some other country is called_____

Exports

109. Total income of the country/ Total population is the formula to calculate.

Per capita Income

110. A market survey is important because it tells you;

All options

111. Which of the meetings is held only once in the life of a public company?

Statuary meeting

112. When a business enters into a legal arrangement to allow its name and product& services to be used by others for a fee it is called

Franchising

113. Which of the following factor(s) contribute to success of new business

All options

114. In which type of business, Government gives the financial assistance?

Co-operative society

115. A person or an organization that works for an exporter or importer is called _____

Independent

116. Which of the following documents contains the name and address of the joint stock company?

Memorandum of association

117. All of the following barriers exist due to economic differences in international trade EXCEPT;

Preferences for particular product

118. The form of business organization that generally has the largest sales volume is the;

Sole proprietorship

119. Which of the following is NOT the characteristics of a business?

Voluntarily contribution

120. Which of the following is not an example of non-profit making organization?

Partnership

121. Which of the following can be categorized an opportunity for an organization?

Good product development

122. Which of the following is NOT the characteristics of a business?

Voluntarily contribution

123. Sole proprietorship always enjoys;

100% of profit after tax

124. Which of the following can be categorized as opportunity for an organization?

High employee turnover

125. A document that contains rules and regulations of the company.

Articles of association

126. The notice calling the annual general meeting, must be given to all its members at least

30 days

127. It is difficult to transfer the rights of ownership in ?

Sole proprietorship

128. Which of the meetings is held only once in the life of a public company?

Statuary meeting

129. Which of the following is an example of genetic industry?

Poultry farms

130. Which of the following have not active participation in the management of the partnership firm?

All options

131. The notice of the statutory meeting must be sent to each _____ at least _____ before the meeting.

Shareholders, 21 days

132. In which meeting of the joint stock company, the board of directors is elected by the shareholders?

General meeting

133. Which of the following should be considered when designing a business plan?

Financial components of the business

134. Who signs the documents on behalf of the joint stock company?

Common seal is used for its signature

135. _____ is a kind of loan which is acquired from the market.

Debenture

136. Partners will have to pay all the debts of the business even from their personal property.

Both

137. A phenomenon in which a person searches for an opportunity and try to avail it is called

Entrepreneurship

138. In which forms of business one party gives the right to other party to do the business by using his name and trademark?

Franchising

139. Which of the following enjoys limited liability?

A corporation

140. Which for the following statement is false?

One reason for failure small business is that most entrepreneurs are younger than 25 years old

141. All of the following best describes the practice of corporate social responsibility, Except

Interaction with government

142. Which of the following can be categorized as opportunity for an organization?

High employee turnover

143. Which of the following have powers of decisf bion making in joint stock company?

Board of directors

144. It is difficult to transfer the rights of ownership in?

Sole proprietorship

145. The notice calling the annual general meting, must, be given to all its members at least _____ days before the date of the meeting

30 days

146. ALL of the following can be the advantage of the franchise business. Except

Independency of business

147. Occurrence of widespread price increases throughout an economic system

Inflation

148. The form of business organization that generally has the largest sales volume is the

Corporation

149. The limit imposed by one country on importing commodities from another country is known as

Quota

150. Statutory meeting is held by which of the following companies?

All options

151. Two or more organization combine together and form a new organization.

Merger

152. Which of the following is a new brand in which two or more organization together and form a new organization

Merger

153. Which is the first stage in the formation of joint stock company?

Promotion stage

154. Which of the following is NOT an attribute of sole proprietor ship business?

Profit sharing

155. Certificate of Commencement is issued by the

Registrar of the companies

156. A market survey is important because it tells you;

ALL options

157. Two or more people or organizations join hands and decide to do a business, formed a separate

Joint venture

158. Which of the following is the total output of goods and services produced by an economic system is a given period of time?

Aggregate output

159. When a person provides his services to society on the basis of his specialized knowledge and experience is terms

Profession

160. _____ are the government taxes on import that raise the price of foreign goods and make less competitive goods

TAriffs

161. _____ describes the government payments given to certain industries to help offset some of their costs of production?

Subsides

162. Auditors are generally appointed and their remuneration, fixed at the _____

Annual meeting

163. The relationship between persons who have agreed to share the profits of a business carried on by all or any one of them acting for all is called

Partnership

164. The formation of _____ does not require any legal formality like registration

Sole proprietorship

165. A period of business cycle that is characterized by high labor turnover may be the period of _____

Evolution

166. _____ can expand their business by selling shares in the stock market

Joint stock company

167. The general Agreement on tariffs and trade (GATT) is based on the principle of

Tariff reduction through international negotiations

168. First directors are usually named in the_____

Articles of association

169. _____ describes the government-imposed restrictions on the quantity of a good that can be imported over a period of time

Quota

170. In which meeting of the joint stock company the board of directors is elected by the shareholders?

Annual general meeting

171. Statutory meeting is compulsory for;

All options

172. Which of the following is not the disadvantage of cooperative society?

Protection of mutual interest

173. The liability of each member in cooperative society is;

Limited to the share capital

174. In the business plan, when making financial projections, which of these would NOT form part of the plan?

Audit

175. Which of the following EXCLUDED from the advantages of sole proprietorship?

Unlimited liability

176. Concessions provided by a country to its producers to protect the economy is called a _____

Subsidy

177. Which of the following business form has the shortest life span?

Sole proprietorship

178. Which of the following option is true for the characteristics of a limited company?

Delayed decision

179. A major disadvantages of the corporation form of organization is the _____.

Double taxation of dividends

180. Competitor analysis is discussed under the following part?

All options

181. A phenomenon in which a person searches for an opportunity and try to avail it is called

Entrepreneurship

182. In which form of business one party gives the right to other party to do the business by using his name and trademark?

Franchising

183. Which of the following enjoys limited liability?

A corporation

184. Two or more people or organizations join hands and decide to do a business, formed a separate entity is called_____

Joint venture

185. Which of the following statement is false?

One reason for failure small business is that most entrepreneurs are younger than 25 years

186. All of the following best describes the practice of corporate social responsibility, Except

Interaction with government

187. For a private limited company, minimum number of members are -_____

2

188. Which of the following are NOT invited in the annual general meeting of a company?

Debenture holders

189. Issuing shares and debentures belong to the _____ of the company?

Commencement

190. The most important step in understanding business ethics is

Establishing codes of ethics

191. All of the following fall in the category of ‘ business’ except

Construction of houses for personal use

192. _____ is the simplest form of business organization, which is owned and controlled by one man

SOLE PROPRIETORSHIP

193. The first annual general meeting should be held with the ____ of incorporation of a company

18 months

194. The relationship between person who have agreed to share the profits of a business carried one by all or any one of them acting for all is called.

Partnership

195. Which of the following is NOT the advantage of cooperative society?

Monopoly

196. Balance sheet of a company reflects

Organization’s financial health at a specific point of time

197. Identity, what can be the biggest advantage of a small partnership over a sole proprietorship?

Rising capital

198. Effective interest rate is different from nominal rate of interest because;

All options

199. Which of the followings equation will be used to calculate future value of ordinary annuity?

FV= CCF(1+i)^n-1

200. Which of the following are known as Discretionary financing?

Long term liabilities

201. Suppose sales of company ‘s’ have increased from RS 500,000 to RS 650,000 after 1 year. What will be the sale growth rate of company S?

130%

202. What is the present value of Rs, 10,000 to be paid at the end of five years if interest rate is 10% compounded annually?

Rs 6,209

203. Which of the following technique is used to select different investment options so as to reduce risk of losing the invested money?

Diversification

204. The formula to calculate future value of an amount using simple interest is.

FV=PV/(1+i)n

205. Which of the following item is used to estimate the cash flows while employing percentage of sales method?

Sales revenue

206. Formation of _____ is very lengthy, very complicated and very technical job?

Joint stock company

207. Goods produced domestically and sold in some other country is called _____

Exports

208. First directors are usually named in the _____

Articles of association

209. Occurrence of widespread price increases throughout an economic system

Infliation

210. A_____ imposes limits on the quantity of a good that can be imported over a period of time.

Quota

211. A document that contains the terms and conditions of the business.

Partnership deed

212. Which of the following is a new trend, in which one business acquires the other business instead of combining

Accquisition

213. Which of the following is a new trend in market in which two or more organizations combine together and form a new organization.

Merger

214. Which of the following is two or more than two organizations collaborate for mutual profits.

Strategic alliance

215. The situation when a country imports less than it exports is;

A trade sirpus

216. The formation of ___ does not require any legal formality like registration.

Sole proprietorship

217. The sale of products and services via internet is fall under the;

E-commerce

218. When a business enters into a legal arrangement to allow its name and product & services to be used by others for a fee it is called.

Franchisee

219. According to the companies ordinance the _____ must be held in once in a year.

Annual general meeting

220. In which part we see about customers. Their liking, locality and purchasing power

Financial part

221. Altering the articles of association requires _____ resolution.

Special

222. Total value of all goods and services produced within a given period by a national economy through domestic factors of production.

GDP

223. In which type of business, banks hesitate to give loans?

None options

224. When international trade restricts to safely, which one of the following barriers exists?

Subsides

225. A business related to the construction of roads and is categorized as.

Secondary industry

226. Election of directors and appointment of auditors is the objectives of _____.

None options

227. _____ is a written document which contains the objectives of the business and the ways to achieve these objectives.

Business plan

228. Which of the following is not the disadvantage of cooperative society?

Untrained supervision

229. A person or an organization that works for an exporter or importer is called.

Independent

230. Issuing shares and debentures belong to the _____ of the company?

Capital subscription

231. Which of the following can be categorized as opportunity for an organization?

High employee turnover

232. Which of the following have powers of decision making in Joint Stock Company?

Board of directors

233. It is difficult to transfer the rights of ownership on?

Sole proprietorship

234. The notice calling the annual meeting, must, be given to all its members at least _____ days before the date of the meeting

21 days

235. Which of the following is held only one in the life of a public company?

Statuary meeting

236. Which one of the following is NOT a type of business organization?

A company

237. Which of the following is not an example of non-profit making organization?

Partnership

238. All of the following can be the advantage of the franchise business. Except

Independency of business

239. THE limit imposed by one country on importing commodities from another country is known as;

Quota

240. When international trade restricts due to safety, which one of the following barriers exists?

Laws

241. In what type of business, there is easiest dissolution?

Sole proprietorship

242. Which is the first stage in the formation of Joint Stock Company?

Promotion stage

243. Which of the following is NOT an attribute of sole proprietor ship business?

Profit sharing

244. Certificate of Commencement is issued by the;

Registrar of companies

245. Profit distributed among shareholders is called_____

Dividend

246. _____ generally has unlimited liability.

The owner of a sole proprietorship

247. _____ describe the government payments given to certain industries to help offset some of their costs of production?

Subsides

248. The term tariff, as used in international trade, refers to;

A tax on imports

249. To think about benefiting the society and avoid harmful activities for the society is called_____

Corporate social responsibility

250. When a person provides his services to society on the basis of his specialized knowledge and experience is termed as

Profession

251. _____ are the government taxes on imports that rise the price of foreign goods and make them less competitive with domestic goods

Tariff

252. The activity directed towards producing wealth through buying and selling goods is termed as?

Business

253. Economist and policy makers are interested in Demographic attributes to determine the _____

Demand patterns

254. First directors are usually named in the _____

Memorandum of association

255. Environmental forces that are controllable are called?

Internal forces

256. The relationships between who have agreed to share the profits of a business carried on by all or any one of them for all is called;

Partnership

257. In which economy, the government decides that how many resources have to be generated and how the resources should be allocated?

Planned economy

258. _____ is the simplest form of business organization, which is owned and controlled by one man

SOLE PROPRIETORWSHIP

259. Which document contains the objectives of the business and the ways to achieve those objectives?

Business plan

260. The world 'limited' at the end of the company name means;

Shareholders has limited company

261. The registration of a joint stock company is;

Compulsory

262. All of the following barriers exist due to economic differences in international trade EXCEPT;

Preferences for particular product

263. Which of the following is NOT the characteristics of a business?

Voluntarily contribution

264. The difference in value between a country's exports and imports is called

Balance of trade

265. All of the following are the controllable factors for success in business EXCEPT;

State laws

266. Auditors are generally appointed and their remuneration fixed at the _____

Annual general meeting

267. The two major sources of raising funds or financing a business are

Owner's capital & borrowed funds

268. Which of the following in the ethical behavior(s) in managerial Practices?

All options

269. _____ is one who has invested the maximum amount in the business?

None options

270. Statutory meeting must be held within _____ of the environment of the business.

3 months to 6 months

271. In _____ a central body will allocated the resources and then decode how these resources will be distributed.

Planned economy

272. If the value of exports exceeds than value of imports the balance of trade is said to be favorable or a

Trade surplus

273. In which of the following industry, raw material is converted into finished or semi finished goods

Manufacturing

274. The first stage in Evolution of business is

Industrial revolution

275. Which of the following does NOT belong to the right of the business?

None options

276. Those countries where people are earning below US $ 765 are known as:

Low income countries

277. A document that contains rules and regulations of the company.

Articles of association

278. A major disadvantage of the corporate form of organization is the _____.

Double taxation of dividends

279. An agreement between two parties in which one party passes on the right to other party is called:

Franchising agreement

280. Competitor analysis is discussed under the following part?

Marketing part

281. For a private limited company, minimum numbrer of members are _____.

2

282. A sole proprietorship business may have:

All of the given

283. The first annual general meeting should be held with the _____ of incorporation of a company.

18 months

284. In which economy, the government decides that how many resources have to be generated and how the resources should be allocated?

Planned economy

285. _____ is no liable for the debt of the partnership business.

Sleeping partner

286. Franchiser gets a large amount of mony from franshisee as _____ while using its name.

Interest

287. The two major sources of raising funds or financing a business are:

Owner's capital & borrowed funds

288. Set of organizational activities directed at attracting, developing, and maintaining an effective workforce is called:
Human resource Management

289. Total quantity of goods and services produced by an economic system during a given period is called
Aggregate output

290. The activity directed towards producing wealth through buying and selling goods is termed as?
Business

291. Filling out the vacant positions is?
Staffing

292. The two major sources of raising funds or financing a business are:
Owner's capital & borrowed funds

293. In which type of business, Government gives the financial assistance?
Joint stock company

294. Which of the following is EXCLUDED from the advantages of sole proprietorship?
Unlimited liability

295. EEO stands for:
Equal Employment Opportunity

296. In which of the following do two or more organizations collaborate on a project for mutual gain?
Joint venture

297. A person who practices the functions to achieve management's objectives?
Manager

298. Auditors are generally appointed and their remuneration, fixed at the _____
Annual General Meeting

299. This management level is concerned with long-range planning for the organization.
Top Managerial

300. Which of the following business type can avail some concessions from the government?

Joint stock company

301. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as_____.

Business activities

302. It is difficult to transfer the rights of ownership in?

Partnership

303. Which of the following is NOT a core function of management?

Motivating

304. A part of organization that requires separate planning is called?

Strategic Business Unit (SBU)

305. Which of the following is not an example of non-profit making organization?

Partnership

306. A document that contains rules and regulations of the company.

307. Money is the sole motivator for workers according to which of the following?

Theory X

308. _____ is one who has invested the maximum amount in the business?

Senior Partner

309. The law relating to joint stock company has been laid in Companies Ordinence, 1984 which came into force on _____ in Pakistan.

Jan-85

310. Who signs the documents on behalf of the joint stock company?

common seal is used for its signature

311. A form designed by the employer for the prospective employee to fill it out is called?

Application blank

312. An agreement between two parties in which one party passes on the right to other party is called:

Joint venture

313. A written statement of what a job holder does, how a job is done, and why a job is done is a_____:

Job description.

314. In what type of business,there is easiest dissolution?

Sole proprietorship

315. Sources of marketing information are categorized into two groups - what are they?

External sources; internal sources.

316. Which of the following factor(s) contribute to success of new businesses?

Hard work

317. Which of the following is not the objective of the Directors' meeting?

To issue debentures

318. A distribution channel represents the path of a product from a producer to:

Consumer

319. Which of the following Selection devices are based upon physical condition of the candidates:

Medical tests

320. Which of the following factor(s) contribute to failures of new businesses?

All of the given

321. _____ are paid for short term period, e.g. for a day or for an hour or on the basis of units completed.

None of the given

322. What is mean by global organization?

Producing products for specific country

323. In franchising, all of the following are the rights of franchisee except:

Right to use factory location

324. A part of organization that requires separate planning is called _____.

None of the given

325. Those countries where people are earning below US $765?

Middle income countries

326. Profit distributed among shareholders is called _____.

Dividend

327. In which approach of marketing: unstatisfied needs of the customers are satisfied?

Product oriented

328. Environmental forces that are controllable are called?

Internal forces

329. The notice calling the ammual general meeting, must be given to all its members at least _____ days before the date of the meeting.

21 days

330. First meeting of the members of public limited company is known as:

Statutory meeting

331. Dividing the market on the basis of area, climate and cultural values is called?

Geographical segmentation

332. Which of the following enjoys limited liability?

A corporation

333. DSS stands for:

Decision support system

334. All of the following personal characteristics are found in an entrepreneur except:

Follower

335. _____ meeting must be held at least once in three months and at least four times in a year.

None of the given

336. In which leadership style, there will be downward communication only.

Democratic style

337. To get a product that is up to the expectations of the customers comes under consumerism.

False

338. Business may be define as an economic activity undertaken with a motive of earning profit by satisfying human needs in society. The term economic activity includes the activities with the motive of:

Personal satisfation

339. Statutory meeting must be held within _____ of the commencement of the business

3 months to 6 months

340. The method of interviews where questions can be changed or adapted to meet the respondent's intelligence and understanding is called:

Unstructured interviews

341. Which types of organizations have expertise in selecting people for the job?

Exports

342. Which of the following is not an example of non-profit making organization?

Partnership

343. Which of the following is an example of genetic industry?

Poultry Farms

344. All of the following is the barrier of international trade, Except:

Tariff

345. Which of the following is included in a business plan:

All of the given

346. The first time issuance of share is held in the:

Primary market

347. Job Enrichment:

Is a programme through which management seeks greater productivity from worker

348. Which of the following condition must be fulfilled to obtain the "Certificate of commencement"?

All of the given

349. Decision about activities performed by the workers is called

Organizing

350. Which of the meetings is held only once in the life of a public company?

Statutory meeting

351. Total income of the country/Total population is the formula to calculate.

Per Capita Income

352. Which of the following documents contains the name and address of joint stock company?

Memorandum of association

353. All of the following fall in the category of "business" except:

Construction of houses for personal use

354. Limit imposed by one country or importing commodities from another country?

Quoata

355. Which of the following statement is true for the World Trade Organization (WTO):

Sets tariffs to balance international trade among nations

356. All of the following fall in the category of "business" except:

Construction of houses for personal use

357. Limit imposed by one country or importing commodities from another country?

Quoata

358. Marketing should begin with _____.

All of the given

359. The activities that are undertaken for personal satisfaction and not to earn profit or income are known as _____.

Business activities

360. Concessions provided by a country to its producers in order to protect economy?

Subsidies

361. Which of the following have powers of decisions making in Joint Stock Company?

Board of directors

362. Election of directors and appointment of auditors is the objectives of _____.

Annual general meeting

363. Annual General Meeting is the meeting of the company that held

Once in a year

364. Those who invest in joint stock companies is called:

Shareholders

365. _____ meeting is the first meeting after commencenent of business.

None of the given

366. which mode of the business is formed when several business concern undertaking units are combined to carry on the business together for achieving the economic benefits?

combination

367. Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

368. _____ describes life time objectives of the organization.

All of the given

369. Those who invest in joint stock companies is called:

Shareholders

370. First meeting of the members of public limited company is known as:

Statutory meeting

371. Which of the following have powers of decisions making in Joint Stock Company?

Board of directors

372. Limit imposed by one country or importing commodities from another country?

Quoata

373. Which of the meetings is held only once in the life of a public company?

Statutory meeting

374. Sole proprietorship always enjoys:

100% of profit after tax

375. The first time issuance of share is held in the:

Primary market

376. Decision about activities performed by the workers is called

Organizing

377. _____ are the government taxes on imports that raise the price of foreign goods and make them less competitive with domestic goods.

Income tax

378. Which of the following is NOT an aspect to purchase a franchise business?

Attractive Location

379. Which of the following is not an example of non-profit making organization?

Partnership

380. The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:

Market penetrating

381. All of the following personal characteristics are found in an entrepreneur except:

Follower

382. Which of the following is included in a economic factors?

Value system

383. In what type of business,there is easiest dissolution?

Sole proprietorship

384. Goods produce domestically and sold in some other country is called:

Exports

385. Sources of marketing information are categorized into two groups - what are they?

External sources; internal sources

386. The first annual general meeting should be held with the _____ of incorporation of a company.

18 months

387. Dividing the market on the basis of area, climate and cultural values is called?

Geographical segmentation

388. Which types of organizations have expertise in selecting people for the job?

All of the given

1. Which of the following must hold a statutory meeting?
Statutory companies
Public limited companies

2. Which of the following is NOT included in aids to trade?

Insurance

3. The portion of capital kept at the winding up of acompany for the payment of debts is known as:
Reserve capital

Authorized capital

2. Which of the following business type can avail someconcessions from the government?

Sole proprietorship

Partnership

Joint Stock company

Cooperative society

3. While making financial projections in a business plan,which of these would NOT form part of the plan?

Source of loanAudit

Net income or profitExpected revenues

4. Which of the following are included in a business plan? Financial information, production plans, personalpolicies.

Goals of the business and how they will beachieved.

Market analysis

All of the given options.

5. Which of the following is not a reason for a business failure?

Managerial experience or inexperience
Effective control systems
Insufficient control system
None of the given options

6. In which of the following two or more organizations collaborate on a project for mutual gain?

Strategic alliance

7. The difference between a country's merchandise exportsand its merchandise imports is the:

Current account
Capital account
Balance of trade
Balance of payments

8. One of the best solutions to get rid of non-biodegradablewastes is:
Recyclg

9. The MBTI is a personality test that has been used toselect candidates who will more likely engage in organizational citizenship behaviors at work.

However, critics of this test suggest that the

results can change over time as a person's personalitydevelops. Therefore the MBTI personality

test may be:

Legal but not valid Valid but not reliable
Reliable but not validReliable but not legal

10. _ is a written statement which contains the duties and responsibilities of a job.

Job analysis

Job specification

Job description

Job inventory chart

11. According to Maslow's hierarchy of needs, a personwho buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfillthe following need:

Estee
m
Securit
y

Social

Self-actualization

12. Douglas McGregor is associated with which of thefollowing?

Scientific
management
Motivational
factors Theory X
and theory YThe
Hawthorne studies

13. Which step in Maslow's Hierarchy of Needs Theorydeals with achieving one's potential?

Safety

Self
actualization
Physiological
Social

14. The term "Job Rotation":

Is another term for employee empowerment? Involves allocating a wider range of similar tasks toindividuals

Involves giving employees work with a greaterdegree of responsibility and autonomy

Means that staff is moved periodically from task totask in order to increase variety and interest.

15. Which of the following statements is NOT true aboutservices?

They are experienced, used or consumed They are often sold first, and then consumedThey are perishable

They are tangible

16. Which of the followinggeneric terms is not a management function?

Leading

Systemizing

Planning

Organizing

17. Increases in the degree of responsibility a worker hasover his or her job is referred to as job:

Empowerment

Enlargement

Enrichment

Entitlement

18. ABC Company is currently hiring employees fromdifferent countries. ABC Company is said to

be implementing_____strategy.

Decentralization

Downsizing

Workforce

diversity

Retrenchment

19. What is potentially the biggest advantage of a smallpartnership over a sole proprietorship?

Unlimited

liabilitySingle

tax filing

Difficult ownership
resaleRaising capital

20. Which of the following is the oldest form of businessorganization?

Sole
proprietorship
Partnership
Company
Cooperative
society

21. Which of the following is an advantage of a corporationthat is *not* an advantage as a limited partner in a partnership?

Limited liability

Easy transfer of ownership
positionDouble taxation

All of the given options are advantages that thecorporation has over limited partner

22. Examples of constructive industries include:Canals
Fishery
Sugar
mills

Plant nurseries

23. Which of the following statement shows the TradeDeficit process?

A process in which country imports are higher thanthe exports

A process in which country exports are equal to theexports

A process in which country imports are less thanthe country exports

All of the given options

24.Mr. Saleem has invested 20,000 Rs in a business but didnot take part in the management of the

business. In which category of partner he falls?

Secret partner
Silent partner
Sleeping
partner

All of the given options

25.Name of the business should:Be simple
Indicates the type of businessBe familiar

All of the given options

26. Hormel Foods Corporation in the USA allows theDanish company Tulip International to produce and market SPAM for the UK market under itsown name. What kind of market entry strategy is Hormel using?

Licensing
Joint
venturing
Contracting
Franchising

27. What are some of the non financial ways ofcompensation for employees? (3 marks)
28. How does the term Merger differs from the

termAcquisition. (3 marks)
29. What do you mean by recruitment? What are thedifferent ways of recruitment? (5 marks)
30.Describe Expectancy theory. (5 marks)

Question No: 1 (Marks: 1) - Please choose one
Which of the following is excluded from factors that can affect the business? Demographic Factors
Economic and social factors
Natural factors
None of the above

Question No: 2 (Marks: 1) - Please choose one
The formation of_____does not require any legal formality like registration. Company
Cooperative society
Partnership
Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one Which of the following is a disadvantage of partnership? Distribution of work
Sufficient capital Prime credit standing
Profit sharing

Question No: 4 (Marks: 1) - Please choose one
In partnership deed, profit and loss is distributed among the partners: In equal percentage
As per percentage of capital invested
As per agreed ratio in partnership deed
None of the given options

Question No: 5 (Marks: 1) - Please choose one
The powers of the Board of Directors to borrow from the bank are

mentioned in:

Article of Association

Memorandum of Association Special Resolution

None of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following should be considered when designing a business plan? Objectives of the business

Marketing components of the business

Financial components of the business
All of the given options

Question No: 7 (Marks: 1) - Please choose one
A firm that acquires another firm as part of its overall business strategy is engaging in _____.
A strategic acquisition A financial acquisition A two-tier tender offer A shark repellent

Question No: 8 (Marks: 1) - Please choose one
The record of a country's imports and exports of goods and services is called its: Visible trade balance.
Balance of payments

Balance of payments on current account. Balance of trade.

Question No: 9 (Marks: 1) - Please choose one
which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GAT
T EU
WTO
NAF
TA

Question No: 10 (Marks: 1) - Please choose one Export subsidies are:
Maximum limits on the quantity of specific products

imported to a nation. Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Government payments to domestic producers to reduce the price on exported goods.

Question No: 11 (Marks: 1) - Please choose one
If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ethics
Profitability.
Productivity.
Game plan

Question No: 12 (Marks: 1) - Please choose one

_____is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy

Corporate policy

Corporate governance

Corporate responsibility

Question No: 13 (Marks: 1) - Please choose one

Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 14 (Marks: 1) - Please choose one

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops.

Therefore the MBTI personality test may be:

Legal but not valid

Valid but not reliable

Reliable but not valid

Reliable but not legal

Question No: 15 (Marks: 1) - Please choose one
Selection devices that are based upon physical condition of the candidates are known as:

Medical tests

Background

investigations.

Aptitude tests

Application forms.

Question No: 16 (Marks: 1) - Please choose one
Which of the following chart shows turnover in an organization? GANNT chart

Replacement chart

PERT

chart

Bar

chart

Question No: 17 (Marks: 1) -
Please choose one The Hawthorne

Studies found:

That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

Question No: 18 (Marks: 1) - Please choose one
According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need: Esteem.
Security
Social
Self-actualization.

Question No: 19 (Marks: 1) - Please choose one
Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:
Growth
factors
Hygiene
factors
Esteem
factors
Motivating
factors

Question No: 20 (Marks: 1) - Please choose one
Which of the following step is important to improve expectancy?
Deliver rewards as promised.
Observe and recognize performance.
Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 21 (Marks: 1) - Please choose one The term "Job Rotation":
Is another term for employee empowerment

Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 22 (Marks: 1) - Please choose one
Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Total company effort

Profit
Producti vity
Customer satisfaction

Question No: 23 (Marks: 1) - Please choose one
In _____ of marketing, unsatisfied need of the customers are satisfied. Social oriented stage

Product oriented stage **Marketing oriented stage**
None of the given options

Question No: 24 (Marks: 1) - Please choose one
Which of the following statements is NOT true about services? They are experienced, used or consumed.
They are often sold first, then consumed. They are perishable.
They are tangible.

Question No: 25 (Marks: 1) - Please choose one
The degree to which a tool or test measures what it is supposed to measure is known as:
Validity
Reliability
Dependability
Goodness of fit.

Question No: 26 (Marks: 1) - Please choose one Which of the following would generally have *unlimited* liability?
A limited partner in a partnership A shareholder in a corporation
The owner of a sole proprietorship
A member in a limited liability company (LLC)

Question No: 27 (Marks: 1) - Please choose one
What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability

Single tax filing

Difficult ownership resale

Raising capital

Question No: 28 (Marks: 1) - Please choose one Which of the following enjoys limited liability?

A general partnership

A corporation

A sole proprietorship

None of the given options

Question No: 29 (Marks: 1) - Please choose one
In which type of business entity the entire ownership interest is transferable most freely ? General partnership
Limited
partnership
Corporation
Limited liability company

Question No: 30 (Marks: 1) -
Please choose one Which of the
following is false?
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most
entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is
weak control systems Question No: 31 (
Marks: 5)
What is a business plan? Discuss the purpose and
significance of a business plan. Question No: 32 (
Marks: 10)
What is Maslow's hierarchy of needs model? What are
management implications of Maslow's Hierarchy need theory?

1) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?
   a) 10%
   b) 15%
   c) 40%
   d) 80%

2) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution
b) In annual general meeting
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus

d) None of the given option

7) A joint stock company may be wound up voluntarily inwhich of the following way:

a) **Expiry of Period**
b) Fails to submit statutory report
c) Fails to start its business within one year from the dateof incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate itscapital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring ofredeemable capital?
a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 11:

Which one of the following statements about marketing is inaccurate?

a) **The growing number of products in all categories has made it easier for marketers to capture the attention of customers.**

b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 12:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) **Customer relationship management**

Q# 13:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) **The product life cycle**
c) Marketing research
d) A customer-oriented approach

Q# 14:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy

increases

d) **Marketing research provides an inexpensive method for tracking consumer behavior**

Q#15:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its

_____.

a) Market differentiation
b) Market mission
c) **Market segment**
d) Marketing plan

Q#16:

_____is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) **Marketing mix**
b) Product mix
c) Product differentiation
d) Product positioning

Q# 17:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) **Personal selling**
d) Advertising

Q# 18:

The specific method a company uses to sell and deliver its products tocustomers is known as its___.

a) Retail intermediaries
b) Direct distribution
c) Distribution mix
d) **Distribution channel**

Q#1 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) **Direct distribution**
c) Company-owned distributors
d) Retail distributors

Q# 20:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) **Distribution mix**
d) Distribution channel

Q# 21:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) **Loyalty**
d) Ownership

Q# 22:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) **Marketing**
d) Relationship

Q# 23:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) **Long-run success page**.
c) Largest market share.
d) Highest paid staff.

Q# 24:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) **Relationship Marketing**
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 25:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) **Sales process**
b) Exchange process
c) Relationship process
d) Production process

Solved MCQs mgt211

Question # 1

Which of the following focuses on job content, environment, and conditions of employment?
Select correct option:

a. Job description

b. Human resource inventory report

c. Job analysis

d. None of the given options

Question # 2

All of the following except_are considered to be correct statements about marketing research.
Select correct option:

a. It is a systematic search for information about customers' needs and how those needs differ.

b. Marketing research is geared to uncover unmet consumer needs

c. With market research, the chance product development will be able to create a product consumers want to buy increases

d. Marketing research provides an inexpensive method for tracking consumer behavior

Question # 3

In the marketing research process the 1st step is to define

the problem followed by: Select correct option:

a. Collection of data

b. Develop recommendation

c. Develop the research design

d. Implement plan

Question # 4

Which of the following is the least likely decision to be made by Operations Managers? Select correct option:

a. Deciding which market areas to manufacture products for

b. Designing and improving the jobs of the workforce

c. Selecting the location and layout of a facility

d. How to use quality techniques to reduce waste

Question # 5

What kind of sales person are you most likely to find working in the pharmaceutical industry?
Select correct option:

a. Order taker

b. Order getter

c. Sales engineer

d. Missionary salesperson

Question # 6

_____ includes all of the activities involved in the sale of products to final customers.
Select correct option:

a. Wholesaling

b. Retailing

c. Marketing

d. Distributing

Question # 7

Which of the following are the functions of management?

a. Select correct option:

b. Planning

c. Organizing
d. Coordinating

e. All of the given

options Question # 8
A major advantage of the corporate form of organization is:

Select correct option:

a.Reduction of double taxation.

b.Limited owner liability.

c.Legal restrictions.

d.Ease of organization

Question # 9

It is difficult to transfer the rights of ownership in:
Select correct option:

a.Sole proprietorship

b.Partnership

c.All the given options

d.None of the given options

Question # 10

Statutory meeting must be held not later than_from the date on which apublic company is entitled to commence business
Select correct option:

a.3 months

b.6 months

c. 1 year

d.One month

Question # 11

Which of the following is the most important determinant of a firm's value?
Select correct option:

a. Earnings

b. Debt

c. Liabilities

d. Liquidity

Question # 12

The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:
Select correct option:

a.Market penetrating

b. Target Marketing

c.Relationship marketing

d.Market

segmentation Question

 # 13

_____refers to the standards of moral behavior. Select correct option:

a.Legality

b. Loyalty

c.Integrity

d.Ethi

cs Question

 # 14

The difference between a country's merchandise exports and its merchandise imports isthe:
Select correct option:

a.Current account.

b. Capital account

c.Balance of trade

d. Balance of payments

Question # 15

The World Trade Organization (WTO):
Select correct option:

a.Sets tariffs to balance international trade among nations.

b. Is the successor to NAFTA.

c.Rules on trade disputes between nations.

d.Sets exchange rates to balance international trade among nations.

Question # 16

Which of the following is NOT a core function of management? Select correct option:

a.Planning

b. Organizing

c. Motivating

d. Leading

Question # 17

In democratic style of leadership there is:
Select correct option:

a. Upward communication

b. Upward and downward communication

c. Occasional communication

d. Downward communication

Question # 18

The following are included in a business plan:
Select correct option:

a. Financial information, production plans, personnel policies

b. Goals of the business and how they will be achieved.

c. Market analysis

d. All of the above.

Question # 19

There are really only two ways to collect primary data for a marketing study: Select correct option:

a. Observation and asking questions

b. Passive and remote observations

c. Through laboratory settings and onsite groups

d. With careful, selected shopper and specialized syndicated

services

Question # 20

The major disadvantage of advertising on television is: Select correct option:

a. Local market focus

b. Long life span

c. Cost.

d. Its inability to target specific audiences.

Question # 21

_____may be used to analyze how well a company is managing its assets. Select correct option:

a. Profitability Ratio

b. Debt Ratio

c. Activity Ratio

d. Liquidity Ratio

Question # 22

For the individual employee, MBO provides: Select correct option:

a. A way to keep the company accountable

b. Specific personal performance objectives

c. Increased monetary compensation

d. Communication between co-workers.

Question # 23

Examples of genetic industries include: Select correct option:

a. Poultry

b. Sugar mill

c. Plant nurseries

d. Canals

Question # 24

Which of the following enjoys limited liability? Select correct option:

a. A general partnership.

b. A corporation.

c. A sole proprietorship.

d. None of the above

Question # 25

JIT aims at:-
Select correct option:

a.Avoid delays

b. Favorable cash flow of the organization

c.Reduction in non-value added activities

d.All of the given

options Question # 26

Consumer goods are purchased by:
Select correct option: a. Business users.

b.Ultimate consumers.

c.Governments.

d.Families.

Question # 27

The last step involved in designing an advertising campaign is

_____

.Select correct option:

a.Allocation of Budget

b. Advertising Objectives

c.Advertising Evaluation

d. Message Creation

Question # 28

In which of the following do two or more organizations collaborate on a project formutual gain?
Select correct option:

a.Limited partnership

b. Joint venture
c. Public corporation

d. Strategic alliance

Question # 29

Air crafts are used for transportation of products when speed is Select correct option:

More important

Less important

Question # 30

An item consumed in one or a few uses is called a:
Select correct option:

a.Consumer good

b.Commodity

c.Durable good

d.Nondurable good

Question # 31

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Select correct option:

a.Sales promotion

b.Public relations

c. Personal selling

d.Advertising

Question # 32

A written statement of what a jobholder does, how a job is done, and why a job is done is a___:
Select correct option:

a.Job description.

b. Human resource inventory report.

c.Job analysis.

d. Job specification.

Question # 33

Aggregating prospective buyers into groups is called: Select correct option:

a. Market categorization

b. Market segmentation

c. BCG matrix analysis

d. Grouping

a. Sets exchange rates to balance international trade among nations.

Question #34

Franchisors like franchising because:
Select correct option:

a. They get a huge amount of money from franchisee without doing much

b. Failure rate of franchise business is lower than other businesses.

c. Franchisees invest their own money and take responsibility for the management of the businesses they own.

d. All of the given

Question # 35

Auditors are generally appointed and their remuneration, fixed at the _____
Select correct option:
Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting

Question #36

Which of the following is included in economic factors?
Select correct option:
Religion
Value system
Norms

Exchange rate

Question # 37

Management, marketing and finance are key parts of a/ an: Select correct option:

Accounting plan

Production strategy

Business plan

Information systems

Question # 38

_____refers to the standards of moral behavior. Select correct option:

Legality

Loyalty

Integrity

Ethics

Question # 39

Skyscrapers, pop-ups, and banners are all types of _____advertising. Select correct option:

Television

Radio

Outdoor
Internet
Question #
40

Selection devices that are based upon physical condition of the candidates are known as: Select correct option:

a. Medical tests

b. Background investigations.

c. Aptitude tests

d. Application forms.

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____includes the rules and regulations, necessary to manage the internal affairs of the company.

1. Memorandum of Association
2. **Article of Association**
3. Prospectus
4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in_____.

1. Charter of Company
2. Article of Association
3. **Prospectus**
4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?

1. **21 days**
2. 15 days
3. 07 days
4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:

1. Statutory Declaration
2. **Fails to submit statutory report**
3. Expiry of Period
4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?

1. Modarba Certificate
2. Debentures
3. **Participation Term Certificates**
4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

1. **Reserve capital**
2. Un-Issued Capital
3. Un-Called up Capital
4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.

1. **Petition by debtor**
2. Petition by creditor
3. Petition by contributory
4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. Complicated coordination
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

   a. Autocratic styles
   b. Democratic styles
   c. Free rein style
   d. None of the given option

3) _____is the process of motivating others to work to meet specific objectives.

   a. Leadership
   b. Motivation
   c. Free rein style
   d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

   a. Participative Management and Empowerment
   b. Management by Objectives (MBO)
   c. Reinforcement/Behavior Modification Theory
   d. None of the given option

5) The internal environment consists of the insides

forces that influence marketing strategy and decision making is/are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. **Substitute product competition**
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of _ from producer to consumer.
    a. Finished goods
    b. Work in process
    c. Raw material
    d. All of the given option
12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
    a. Persuasive advertising
    b. Comparative advertising
    c. Informative advertising
    d. Reminder advertising
    e. None of the given options
13) A_____is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
    a. Pull strategy
    b. Push strategy
    c. Persuasive advertising
    d. Sales Promotion
14) _____includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
    a. Warehousing cost
    b. Transportation cost
    c. Distribution cost
    d. Manufacturing cost
15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
    a. Order Processing
    b. Creative Selling
    c. Missionary Selling
    d. None of the given option
16) Consumer promotion aimed at the_and Trade promotion

aimed at wholesalers and retailers.

a. Final consumer

b. Retailer

c. Wholesalers

d. All of the given options

17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

a. Trade Shows
b. Contests
c. Cross-promotion
d. Special-event sponsorship

18) _____is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

a. Public relation
b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

Q 1.

1. A major disadvantage of corporate organization is

- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is

- Sole proprietor ship
- **Partner ship**
- All of given options

- None of given options

3. Wages are paid for
   - Long term
   - **Short term**
   - All of given options
   - None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have___type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is __
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
   - Canal
   - Sugar mill
   - **Poultry**
   - Agriculture

10. The first stage Evolution business is?
    - **Industry revolution**
    - Globalization
    - Entrepreneurship
    - Marketing era

Question # 1 of 15

In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:

Demograp
hics
Psychograp
hics
Personal
profile
Personality

Question # 2 of 15

The method of interview where questions can be changed or adapted to meet the respondent's intelligence and understanding is called

Unstructured interview

Structured
interview All of
the given options
None of the given options

Question # 3 of 15

Examples of generic industries include

Poultry

Sugar mill
Plant
nurseries
Canals

Question # 4 of 15

---------- refers to standard of moral
behavior Loyalty
Integrity

Ethics

Question # 5 of 15

The buying and selling of goods by way of electronic media, such as telephone is called

Digital age E commerc e Enterprise resource planning None of the above

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Question # 6 of 15

Which one of the following is NOT a benefit of partnership?

Distribution of work **Unlimited liability** Tax facility

Minority protection

Sets tariffs to balance international trade among nations

Is the successor to NAFTA?
Rules on trade disputes between nations.
Sets exchange rates to balance international trade among nations

---

Question # 8 of 15

The liability of a sole trader is
Limited only to his investment in the business Limited to the total resources of the business **Unlimited**
Not defined

Question # 9 of 15

Which of the following statements about Franchising is true?

Franchising is a type of corporate system
Franchising is used to achieve coordination at successive stages of production
Franchising is a type of administered vertical marketing system Franchising is the most visible variation of contractual systems

---

Question # 10 of 15

Which one of the following business type can avail some concessions from Government?
Sole proprietorship
Partnership
JS Company
Cooperative society

Question # 11 of 15

Wages are paid for
Short term periods Long term periods
All of the given options None of the given options

Question # 12 of 15

A good, service, or idea consisting of a bundle of Tangible and intangible attributes that can satisfy consumer is called a:
Durable good
Product
Commodity

Question # 13 of 15

A_____is an assessment of the kinds of skills, knowledge and abilities needed to successfully perform each job in an organization

Job description
Human resource inventory report
Job specification

Job analysis

Question # 14 of 15

The interviewer asks the respondents same questions using a predetermined series of questions interview questions in:

Structured interview
Unstructured interview
Telephonic interview None of the given options

Question # 15 of 15

Which one of the following business has shortest life spam?

Sole proprietorship

Partners hip JS Compan y
Co-operative society

Questions Correct answer

1) Which of the following is excluded from factors that can affect thebusiness?
a)

Demographic Factorsb)

Economic factorsc)

Act of Godd)

None of the above

Correct answer D

2) The function of business in which business man tries to find newtechniques of production is

a) Accounting

b) Management Function

c) Innovation

d) Quality improvement

Correct answer c

3) If Trade Receipts are grater then Trade Payments then Balance ofPayments is _____

a) Favorable

b) Unfavorable

c) Deficit

d)None of the above

Correct answerA

4) Which of the following is excluded from the advantages of SoleProprietorship?

a) Direct relationship with customers

b) Unlimited Liability

c)

Easy transfer of
Ownershipd)

Entire Profit

Correct answerB

5)Which of the following is an advantage of sole proprietorship?a)
Longest
lifeb)

Availability of sufficient
Capitalc)

Direct contact with customer and workersd)

Separate Legal Entity

Correct answerC

6)Which of the following is not among the benefits of Partnership Firm?a)
Satisfaction of Partnersb)

Lack of Secrecyc)

Moral Promotiond)

Minority Protection

Correct answerB

7)In partnership deed the profit & loss is distributed among the partners bythe following ratio.
a)
50:50

b)

As per percentage of Capital investedc)

As per agreed ratio in Partnership deedd)

25:75

Correct answerC

8)The company may raise its capital through which of the followingsources:

a)

By Issuing
Sharesb)

By Issuing
Debenturesc)

By
Savings
d)

All of the given options

Correct answerD

9) Advantages of cooperative societies does not include

a)

Equal distribution of wealthb)

Interference of Governmentc)

No Monopoly
Open Membership
Correct answerB

10)WTO was organized on _____
a)

July 15, 1998

b)

January 01, 1990c)

August 25, 1995d)

January 01, 1995

Correct answerD

Please highlight the correct option from given choices.

1. An enterprise that provides products or services that customers desireis a /an:
   a. institution
   b. market
   c. agency
   d.

busines
s

2. The different types of stakeholders involved in a business include all ofthe following except:
   a. owners
   b. credito
   rsc.
   courier
   s
   d. employees

3. A certificate of ownership of a business is a:
   a. bon
   db.
   stoc
   k
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnershi
   p c.
   bureaucra
   cy
   d. corporation

5. Partners have unlimited liability in a:a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

6. An arrangement whereby business owners allow others to use theirtrademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

7. A firm's ____is measured by its stock price, which can be negativelyaffected by unethical business practices:

a. bond rating
b. risk
c. valu
e
d. return on investment

8. _____ conditions reflect the overall performance of the nation’seconomy.
a. microeconomic
b. multieconomi
c c. macroecono
mic
d. all of the given options

9. The primary purpose of an industry business environmentalassessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

10. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

11) All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ....
   a) Land
   b) Capital
   c) Labor
   d) Financial Counselors

12) Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to --.

   a) Charter Laws
   b) Unlimited Liability
   c) Terms of his property insurance
   d) Limited Liability

13) ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

   a) Limited partnerships

b) Limited Liability Companies
c) Sole Corporations
d) General Partnership

14) ---------- is considered a primary advantage to forming abusiness partnership.

a) Shared Profit
b) Increase Specialization
c) Shared Control
d) Unlimited Liability

15) Disadvantages associated with being an entrepreneur includeall of the following except --.

a) Ensuring the business functions properly
b) Possibly incurring large losses
c) Possibly losing source of income
d) Having an increased amount of control

16) All of the following except ---------- are considered to bebarriers to free trade

a) Tariffs
b) Quotas
c) Subsidies
d) Taxes

17) A ---------- is an economic system in which the productionof goods and services is left in the hands of private enterprise.

a) Totalitarian government
b) Representative democracy
c) Mixed Economy
d) Free Market Economy

18) ---------- are those persons who guarantee the company,to buy the remaining shares if minimum requirement is not met.

a) Promoters
b) Brokers

c) Underwriters
d) Directors

19) The function of business responsible for the efficient use ofemployees and other resources (such as machinery) is:

a) Finance
b) Marketing
c) Production
d) Management

20) The different types of stakeholders involved in a businessinclude all of the following except:

c) Couriers

Question No: 1 Which of the following business type has longest life time?

Joint stock company

Question No: 2 Election of the Board of Directors is done by Shareholders.

Through special resolution

In annual general meeting

Question No: 3 Which of the following business type, has to pay double taxes to the government?

Sole proprietorship Partnership

Joint stock company

Question No: 4 includes the rules and regulations, necessary to manage the internal affairs of the company.

Article of Association

Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in___.

Charter of Company Article of Association

Prospectus None of the given option

Question No: 6 To call the extraordinary meeting, how many days' notice is required?

21 days 15 days 07 days 30 days

Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:

Statutory Declaration **Fails to submit statutory report**

Expiry of Period Appointment of Liquidators

Question No: 8 Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate Debentures

Participation Term Certificates All of the given option

Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital Un-Issued Capital

Un-Called up Capital All of the given option

Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor

Question No: 11 Which of the following is the disadvantage of

modified schedules and alternative workplace?

Freedom in professional and personal life More Job satisfaction

Complicated coordination

Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles

Question No: 13 ___ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

Participative Management and Empowerment

Management by Objectives (MBO)

Reinforcement/Behavior Modification Theory

None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

Organization Policies Product Policies

Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

Marketing Mix **Advertising objective**

Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

Market

segmentation

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

Marketing Environment

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

Marketing Mix

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

Substitute product

competition

Question No: 21 Physical distribution is a channel to make availability of _____from producer to consumer.

Finished goods Work in process

Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising

Comparative advertising

Informative advertising

Reminder advertising None of the given options

Question No: 23

_____is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising

Sales Promotion

Question No: 24 includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost

Transportation cost

Distribution cost

Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing

Creative Selling

Missionary Selling

None of the given option

Question No: 26 Consumer promotion aimed at the _ _____and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers

All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion

Special-event sponsorship

Question No: 28 is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM)

Promotion strategy

Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion
Publicity Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising
Comparative advertising

Informative advertising
Reminder advertising

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:

Marketing Component
Administrative Component

External Component
Financial Component

Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:

Partnership Strategic Alliance

Joint venture Franchising

Question No: 34 The shareholders elect the Board of Directors in the

Through special resolution

In annual general meeting In Special meeting

In statuary meeting

Question No: 35 Portion of the undistributed profit transferred to which of the following?

General Reserve Retained Earning

Appropriation account

All of the given options

Question No: 36 Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company

Article of Association

Prospectus None of the given option

Question No: 37 A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period

Fails to submit statutory report

Fails to start its business within one year from the date of incorporation

n All of the following

Question No: 38 Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt Equity None of the above
All of the given option

Question No: 39 Cooperative Societies are not formed for:

The serving of the orphans and widows
The help of poor people

For the earning of profit Social welfare

Question No: 40 Which one of the following statements about marketing is inaccurate?

(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)

(Marketing has to do with persuading customers a product meets their needs.)

(The mass market has fragmented into many different groups of customers.)

(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)

Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called_____.

Marketing Business vision Product development Customer relationship management

Question No: 42

is the typical sequence of changes in demand for a product that occurs overtime.

The business vision statement

The product life cycle

Marketing research A customer-oriented approach

Question No: 43 All of the following except_____ are considered to be correct statements aboutmarketing research.

(It is a systematic search for information about customers' needs and howthose needs differ)

(Marketing research is geared to uncover unmet consumer needs)

(With market research, the chance product development will be able to create a product consumers want to buy increases)

(Marketing research provides an inexpensive method for tracking consumer behavior)

Question No:44 When a company targets a particular group of customers because of their need foritsproduct, it can be stated the company has identified its_____.

Market differentiation Market mission

Market segment Marketing plan

Question No: 45

_____is the combination of a product's qualities and features, its price, the way itis promoted and sold, and the places at which it is sold.

Marketing mix Product mix Product differentiation

Product positioning

Question No: 46 Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

Sales promotion

Public relations

Personal selling

Advertising

Question No: 47 The specific method a company uses to sell and deliver its products to customers is known as its_____.

Retail intermediaries

Direct distribution Distribution mix

Distribution channel

Question No: 48 Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

Independent wholesalers Direct distribution Company-owned distributors Retail distributors

Question No: 49 The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

Missionary selling

Licensed distribution Distribution mix

Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except: Time Form

Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing

Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page.

Largest market share.

Highest paid staff.

Question No: 53

_____involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing

Marketing Era Marketing Consumer Marketing

Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process Relationship process

Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an: Institution

market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except: Proprietorship partnership bureaucracy

corporation **Question No: 59** Partners have unlimited liability in a:

general partnership corporation limited partnership

cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, tradename, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____is measured by its stock price, which can be negatively affected byunethical business practices:

bond rating risk value return on investment

Question No: 62 _____conditions reflect the overall performance of the nation's economy.

Microeconomic multieconomic

macroeconomic all of the given options

Question No: 63 The primary purpose of an industry business environmental assessment is todetermine the:

economic growth

degree of competitioninflation rate

population growth

Question No: 64 The function of business responsible for the efficient use of employees and otherresources (such as machinery) is:

Finance marketing production management

Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they canoffer _____to existing employees.

Overtime training affirmative action orientation program

Question No: 66 Group of individuals working together to achieve shared job-related goals, suchas higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:

Labor Union Informal organization Team Trade union

Question No: 67 Since they are closer to the production process, first line managers use their

_____skills more frequently.

Conceptualinterpersonal managerial technical

Question No: 68 Which of the following allows employees to set their own goals and determinethe manner in which they accomplish their tasks?

equity theory management by objectives
theory X theory Y

Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:

social values anthropology
geography demographics

Question No: 70 Cameras, clothes, and household items are examples of products that exist in:

industrial markets
business markets

consumer markets
government markets

Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:

research and development

production facilities distribution facilities

inventory control

Question No: 72 Products that are not branded by the producer or retailer are called:

national brands store brands obsolete brands
generic brands

Question No: 73 Managers typically attempt to set a price that will maximize a firm's:

Value production advertising promotion

Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:

advertising strategies

product decisions pricing strategies

distribution decisions

Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

single-service marketers agents stockers mediators

Question No: 76 All of the following are methods of promotion except:

target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising

the push strategy

reminder advertising

public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79

_____are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers

Knowledge workers Diverse workforce

None of the given options

Question No: 80

_____represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram

Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching

None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as_____system.

Gate-keeping Broadband Inter-organizational

Internal information

Question No: 83 Through_____, firms achieve a lower average cost by producing large volume.

Inventory management

Economies of scale

De-integration Effective marketing

Question No: 84

_____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy
Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality assurance Continuous improvement process Total quality management **Question No: 86** The heart of a computer is its:

Power unit Central processing unit Random access memory

Hard drive

Question No: 87 In typical network architecture, workstations are connected to a _____, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer
File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion
Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer_____.

Core components ExternalitiesPeripherals
Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors
Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function
Innovation Quality improvement

Question No: 92 If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable Unfavorable
Deficit None of the above

Question No: 93 Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability Easy transfer of Ownership
Entire Profit

Question No: 94 Which of the following is an advantage of sole proprietorship?

Longest life

Availability of sufficient Capital

Direct contact with customer and workers

Separate Legal Entity

Question No: 95 Which of the following is not among the benefits of Partnership Firm? Satisfaction of Partners Lack of Secrecy

Moral Promotion Minority Protection

Question No: 96 In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50 As per percentage of Capital invested As per agreed ratio in Partnership deed 25:75

Question No: 97 The company may raise its capital through which of the following sources:

By Issuing Shares

By Issuing Debentures By Savings

All of the given options

Question No: 98 Advantages of cooperative societies does not include

Equal distribution of wealth

Interference of Government No Monopoly

Open Membership

Question No: 99 WTO was organized on _____

July 15, 1998 January 01, 1990 August 25, 1995

January 01, 1995

Question No: 100 A major disadvantage of corporate organization is

Double Taxation of dividend

Inability of the firm to large sum of additional capital

Limited liability of share holders

Limited life of Cooperate firm

Question No: 101 It is difficult to transfer to right of ownership is

Partner ship

Question No: 102 Wages are paid for

Long term **Short term** All of given options
None of given options

Question No: 103 Pakistan is exporting

Sports Item Agriculture Product

Textile Product **All of given options** **Question No: 104**

Managers have_____type of skills

2 **3** 4 5

Question No: 105 The process of attracting the people for job

Recruitment pecial skills Supervision
Job Specification

Question No: 106 What is the method of on job training?

Lectures Vestibule Videos

None of given options **Question No: 107** The liability of a sole trader is _____

limited Only to his investment in the business

Limited to the total resources of the business **Unlimited**

Not defined

Question No: 108 Genetic industry means

Canal Sugar mill **Poultry**

Agriculture

Question No: 109 The first stage Evolution business is?

Industry revolution Globalization Entrepreneurship

Marketing era

Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:

Partnership Ownership Expansion

Organization

Question No: 111 Generally, in a limited partnership:

All partners have limited liability.

The partners exist for a limited time period. The limited partners do not participate in management of the company.

Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with

firm's:

Competition Strategic plan Industry demand
Labor union

Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are:

Interpersonal skills Technical skills Decision making skills
Conceptual skills

Question No: 114 The four functions of management:

Must be enacted in the proper sequence
Must be integrated

Are stand alone, independent functions
Can not be performed by one individual

Question No: 115 Social interaction and acceptance by others are examples of:

Physiological needs Safety needs Affiliation needs
Esteem needs

Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:

Empowerment Merit system Hygiene theory
Equity system

Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is

referred to as:

Job analysis Job screening Job evaluation
Human resource planning

Question No: 118 A _____is an assignment to a higher level job with more responsibility and greater pay.

Transfer Lateral assignment
Appraisal Promotion

Question No: 119 Products purchased by companies to produce other products are:

Consumer Goods Industrial Goods
Services Inventory

Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:

Cartel arrangements Kickback agreements

Production manuals
Responsibility and ethics

Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:

Production Competition Advertising
Industry demand

Question No: 122 A distribution channel represents the path of a product from a producer to:

Retailer Wholesaler Consumer
Manufacturer

Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:

Competitive product analysis
Value-Added Analysis

Statistical Process Control
Quality/Cost Studies

Question No: 124 Spreadsheets, database and word processing software are all types of: Operating systems

Utility programs Application software

Firmware **Question No: 125** Which of the following is the most important determinant of a firm's value? Earnings

Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:

Finance function Marketing function

Organizing function

Accounting function

Question No: 127

_____is used to cover long-term expenses such as assets.

Line of Credit Debt Financing

Preferred StockFinancial Management

Question No: 128

_____is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

Knowledge Worker Labor Markets Contingent Worker

Workforce Diversity

Question No: 129 An increase in the general level of prices of products over a specified period of time is called:

Inflation Gross domestic product

Disinflation Equilibrium

Question No: 130 The formation of _____does not require any legal formality like registration.

Company Cooperative society

Partnership **Ans Sole proprietorship** **Question No: 131**

Which of the following is a disadvantage of partnership?

Distribution of work

Sufficient capital

Prime credit standing

Ans Profit sharing

Question No: 132 In partnership deed, profit and loss is distributed among the partners:

In equal percentage As per percentage of capital invested

Ans As per agreed ratio in partnership deed

None of the given options

Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:

Ans Article of Association

Memorandum of Association Special Resolution

None of the given options

Question No: 134 Which of the following should be considered when designing a business plan?

Objectives of the business Marketing components of the business

Financial components of the business

Ans All of the given options

Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in_____.

Ans A strategic acquisition A financial acquisition

A two-tier tender offer A shark repellent

Question No: 136 The record of a country's imports and exports of goods and services is called its:

Visible trade balance. **Ans Balance of payments**

Balance of payments on current account.

Balance of trade.

Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?

GATT EU **Ans WTO** NAFTA

Question No: 138 Export subsidies are:

Maximum limits on the quantity of specific products imported to a nation.

Taxes placed on imported products.

Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity.

Game plan

Question No: 140 is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy

Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs Who the organization's

main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization? GANNT chart **Ans Replacement chart** PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors**

Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised.

Observe and recognize performance.

Create the belief that effort is related to performance

Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Ans Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?

Ans Total company effort

Question No: 151 In _____of marketing, unsatisfied need of the customers are satisfied.

Ans Marketing oriented stage

Question No: 152 Which of the following statements is NOT true about services?

They are experienced, used or consumed.

They are often sold first, then consumed.

They are perishable. **Ans They are tangible.**

Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:

Ans Validity Reliability Dependability

Goodness of fit.

Question No: 154 Which of the following would generally have *unlimited* liability?

A limited partner in a partnership

A shareholder in a corporation

Ans The owner of a sole proprietorship

A member in a limited liability company (LLC)

Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?

Unlimited liability Single tax filing

Difficult ownership resale

Ans Raising capital **Question No: 156** Which of the following enjoys limited liability?

A general partnership

Ans A Corporation

A sole proprietorship

None of the given options

Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?

General partnership Limited partnership

Corporation **Ans Limited liability company**

QuestionNo:158 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With totalstockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

QuestionNo:196 All of the following are considered crucial ingredients that are needed in order fora business to be able to make a profit except --.

Land Capital Labor Financial Counselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ---------- --.

Charter Laws Unlimited Libilityerms of his property

insurance Limited Liability

QuestionNo:198 comprise partners whose liability is limited to the cash or property they

contributed to the partnership.

Limited partnerships Limited Liability CompaniesSole Corporations

General Partnership

QuestionNo:199

---------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization

Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the followingexcept-.

Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade:

Subsidies

QuestionNo:202 A is an economic system in which the production of goods and services is left in the hands of private enterprise.

Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remainingshares if minimum requirement is not met.

Underwriters

Question No: 1 (Marks: 1) - Please choose one

Which of the following is excluded from factors that can affect the business?Demographic Factors

Economic and social factorsNatural factors

None of the above

Question No: 2 (Marks: 1) - Please choose one

The formation of_____does not require any legal formality likeregistration.

Company Cooperative societyPartnership

Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a disadvantage of partnership?

Distribution of work Sufficient capital Prime credit standingProfit sharing

Question No: 4 (Marks: 1) - Please choose one

In partnership deed, profit and loss is distributed among the partners:In equal percentage

As per percentage of capital invested As per agreed ratio in partnership deedNone of the given options

Question No: 5 (Marks: 1) - Please choose one

The powers of the Board of Directors to borrow from the bank arementioned in:

Article of Association Memorandum of Association Special Resolution

None of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following should be considered when designing a businessplan?

Objectives of the business

Marketing components of the businessFinancial components of the business All of the given options

Question No: 7 (Marks: 1) - Please choose one

A firm that acquires another firm as part of its overall business strategy isengaging in

_____.

A strategic acquisition A financial acquisition A two-tier tender offerA shark repellent

Question No: 8 (Marks: 1) - Please choose one

The record of a country's imports and exports of goods and services is calledits:

.Balance of payments

which of the following isthe treaty designed to remove barriers to the free flow of goods, services, and capital between nations?

GATT EU WTO NAFTA

Export subsidies are:

Government payments to domestic producers to reduce the price on exported goods

If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals,then managers should begin

focusing on improving the firm's:

Ethics

Question No: 12 (Marks: 1) - Please choose one

_____is a dimension of social responsibility that includeshiring minority

Workers, making safe products, minimizing pollution, using energy wisely,and providing

Corporate responsibility

Question No: 13 (Marks: 1) - Please choose one

Human resource planning is a dynamic planning process which involvesongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

The right quantity and quality of employees needed when and where What physical resources the organization needs

Who the organization’s main competitors are Question No: 14 (Marks: 1) - Please choose one

The MBTI is a personality test that has been used to select candidates whowill more likely engage in organizational citizenship behaviors at work.

However, critic of this test suggest that the results can change over time as aperson's personality develops.

Therefore the MBTI personality test may be:

Legal but not valid Valid but not reliableReliable but not validReliable but not legal

Question No: 15 (Marks: 1) - Please choose one

Selection devices that are based upon physical condition of the candidatesare known as:

Medical tests

Background investigations.Aptitude tests

Application forms.

Question No: 16 (Marks: 1) - Please choose one

Which of the following chart shows turnover in an organization?GANNT chart

Replacement chartPERT chart

Bar chart

Question No: 17 (Marks: 1) - Please choose oneThe Hawthorne Studies found:

That social and psychological factors could significantly affect productivity

Question No: 18 (Marks: 1) - Please choose one

According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt tofulfill the following need:

SecuritySocial

Self-actualization.

Question No: 19 (Marks: 1) - Please choose one

Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors Hygiene factors Esteem factors Motivating factors

Question No: 20 (Marks: 1) - Please choose one

Which of the following step is important to improve expectancy?

Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 21 (Marks: 1) - Please choose oneThe term "Job Rotation":

Is another term for employee empowerment Involves allocating a widerrange of similar tasks to individuals

Involves giving employees work with a greater degree of responsibility andautonomy

Means that staff is moved periodically from task to task in order to increasevariety and interest

Question No: 22 (Marks: 1) - Please choose one

Which of the following is NOT included as a basic idea in the definition ofmarketing? concepts?

Total company effortProfit

Productivity Customer satisfaction

Question No: 23 (Marks: 1) - Please choose one

In_____of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage Product oriented stage Marketing oriented stage None of the given options

Question No: 24 (Marks: 1) - Please choose one

Which of the following statements is NOT true about services?They are experienced, used or consumed.

MGT211

They are often sold first, then consumed.

They are perishable.They are tangible.

Question No: 25 (Marks: 1) - Please choose one

The degree to which a tool or test measures what it is supposed to measure isknown as:

Validity

Question No: 26 (Marks: 1) - Please choose one

Which of the following would generally have unlimited liability?

The owner of a sole proprietorship

A member in a limited liability company (LLC) Question No: 27 (Marks: 1) - Please choose one

What is potentially the biggest advantage of a small partnership over a soleproprietorship?

Raising capital

Question No: 28 (Marks: 1) - Please choose oneWhich of the following enjoys limited liability?

A Corporation

MGT211

In which type of business entity the entire ownership interest is transferablemost freely ?

Limited liability Company

Which of the following is/are the component/s of business?

Trade and aids to trade

MGT211

SOLVED MIDTERM EXAMINATION

HADI VU PASTPAPER(LAHORE) CONTACT US: 03087122922

MGT211- Introduction to Business (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

Question No: 2 (Marks: 1) - Please choose one

The formation of _____does not require any legal formality like registration.

Company

Cooperative society

Partnership

Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a disadvantage of partnership?

Distribution of work

Sufficient capital

HADI VU PASTPAPER(LAHORE) CONTACT US: 03087122922

Prime credit standing

Profit sharing

Question No: 4 (Marks: 1) - Please choose one

In partnership deed, profit and loss is distributed among the partners:

In equal percentage

As per percentage of capital invested

As per agreed ratio in partnership deed

None of the given options

Question No: 5 (Marks: 1) - Please choose one

The powers of the Board of Directors to borrow from the bank are mentioned in:

Article of Association

Memorandum of Association

Special Resolution

None of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following should be considered when designing a business plan?

Objectives of the business

Marketing components of the business

Financial components of the business

All of the given options

Question No: 7 (Marks: 1) - Please choose one

A firm that acquires another firm as part of its overall business strategy is

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engaging in

_____.

A strategic acquisition

A financial acquisition

A two-tier tender offer

A shark repellent

Question No: 8 (Marks: 1) - Please choose one

The record of a country's imports and exports of goods and services is called its:

Visible trade balance.

Balance of payments

Balance of payments on current account.

Balance of trade.

Question No: 9 (Marks: 1) - Please choose one which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?

GATT

EU

WTO

NAFTA

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Export subsidies are:

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Maximum limits on the quantity of specific products imported to a nation.

Taxes placed on imported products.

Licensing requirements or unreasonable quality standards designed to reduce imports.

Government payments to domestic producers to reduce the price on exported goods

.

Question No: 11 (Marks: 1) - Please choose one

If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin

focusing on improving the firm's:

Ethics

Profitability.

Productivity.

Game plan

Question No: 12 (Marks: 1) - Please choose one

_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely,

and providing.

a safe work environment

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Corporate philanthropy

Corporate policy

Corporate governance

Corporate responsibility

Question No: 13 (Marks: 1) - Please choose one

Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 14 (Marks: 1) - Please choose one

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops.

Therefore the MBTI personality test may be:

Legal but not valid

Valid but not reliable

Reliable but not valid

Reliable but not legal

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Question No: 15 (Marks: 1) - Please choose one

Selection devices that are based upon physical condition of the candidates are known as:

Medical tests

Background investigations.

Aptitude tests

Application forms.

Question No: 16 (Marks: 1) - Please choose one

Which of the following chart shows turnover in an organization?

GANNT chart

Replacement chart

PERT chart

Bar chart

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The Hawthorne Studies found:

That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

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According to Maslow's hierarchy of needs, a person who buys a motion

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detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem.

Security

Social

Self-actualization.

Question No: 19 (Marks: 1) - Please choose one

Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors

Hygiene factors

Esteem factors

Motivating factors

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Which of the following step is important to improve expectancy?

Deliver rewards as promised.

Observe and recognize performance.

Create the belief that effort is related to performance

Make the rewards meaningful.

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The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider

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range of similar tasks to individuals

Involves giving employees work with a greater degree of responsibility and autonomy

Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 22 (Marks: 1) - Please choose one

Which of the following is NOT included as a basic idea in the definition of marketing? concepts?

Total company effort

Profit

Productivity

Customer satisfaction

Question No: 23 (Marks: 1) - Please choose one

In _____ of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage

Product oriented stage

Marketing oriented stage

None of the given options

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Which of the following statements is NOT true about services?

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HADI V PASTPAPERS(LAHORE) CONTACT US: 03087122922

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A limited partner in a partnership

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A member in a limited liability company (LLC)

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What is potentially the biggest advantage of a small partnership over a sole proprietorship?

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Single tax filing

Difficult ownership resale

Raising capital

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A general partnership

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None of the given options

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Limited partnership

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Limited liability company

Question No: 1 (Marks: 1) - Please choose one

Which of the following is/are the component/s of business?

Industry

Commerce

Both industry and commerce

Trade and aids to trade

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PRAY FOR ME .THANKS

HADI

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SOLVED MIDTERM EXAMINATION

MGT211- Introduction to Business (Session - 2)

Composed by:
Mr.Jabbran (Super Admin)

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Question No: 1 (Marks: 1) - Please choose one
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Commerce
Both industry and commerce
Trade and aids to trade

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Fall 2011 MGT211 Quiz1
Solved by Admin Rajpoot
www.vuaskari.com
abbas.rajpoot@gmail.com

Question # 1 of 10 (Start time: 01:46:29 PM) Total Marks: 1
Following are the advantages of cooperative society except:
Select correct option:

Increase in employment
Lack of profit incentive
Friendly relation
All of the above

Question # 2 of 10 (Start time: 01:47:34 PM) Total Marks: 1
In Franchising, who sells the rights to other party
Select correct option:

Franchisee
Franchiser
Manager
All of the above

Question # 3 of 10 (Start time: 01:47:58 PM) Total Marks: 1
Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called
Select correct option:

Wholesale Trade
Retail Trade
Foreign Trade
None of the Above

Question # 4 of 10 (Start time: 01:48:32 PM) Total Marks: 1
In ---------- a central body will allocated the resources and then decide how these resources will be distributed.
Select correct option:

Free Economy
Mixed Economy
Planned Economy
None of the above

Question # 5 of 10 (Start time: 01:49:51 PM) Total Marks: 1
First directors are usually named in the _____
Select correct option:

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Memorandum of Association
Articles of Association
Prospectus
None of the above

Question # 6 of 10 (Start time: 01:51:10 PM) Total Marks: 1
Goods produced domestically and sold in some other country.
Select correct option:

Import
Export
Tariff
Quota

Question # 7 of 10 (Start time: 01:51:33 PM) Total Marks: 1
For a public limited company, minimum number of members are --------.
Select correct option:

2
5
7
10

Question # 8 of 10 (Start time: 01:52:03 PM) Total Marks: 1
People in business and government face important ethical issues and decisions.
Select correct option:

Only in the United States
Primarily in capitalist countries
Primarily in communist countries
In many different countries around the world

Question # 9 of 10 (Start time: 01:53:20 PM) Total Marks: 1
Annual General Meeting is the meeting of the company that held
Select correct option:

Each quarter
after 6 months
once in a year
None of the above

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Question # 10 of 10 (Start time: 01:53:54 PM) Total Marks: 1
Partners will have to pay all the debts of the business even from their personal property.
Select correct option:

Limited Liability
Unlimited Liability
Both
None of the above

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1. In which meeting of the joint stock company, the board of directors is elected by the shareholders?
Annual General Meeting (L 5)

2. The two major sources of raising funds for financing a business are
Owner's Capital, Borrowed Funds (L 3)

3. Competitor analysis is discussed under the following part?
   - Marketing part
   - Financial part
   - Production part
   - All of the given Option

4. Which of the following statement is false?
   - **Joint Venture do not Provide opportunities to acquire new expertise**
   - Joint Venture allow to enter in new geographic markets
   - Joint Venture allow to gain new technological knowledge
   - Joint Venture allow to Sharing of specialized staff and technology
   - haring of risks

5. In what type of business, expansion is comparatively difficult than others
Sole Proprietorship

6. Which government economic policy determines the size of a nation's supply of money?
Monetary policy

7. Which one of the following is NOT a type of business organization?
Cooperative Societies

8. ____ is the simplest form of business organization, which is owned and controlled by one man
Sole Proprietorship

9. Which of the following is not the objective of directors meeting?
To issue debentures

10. Which of the following factor(s) contribute to success of new business?
   - Competence
   - Market Knowledge
   - State Laws
   - **All of the given options**

11. A period of business cycle that is characterized by high employment rate may be the period of
Recession
Expansion
Contraction
All of the given option

12. Statutory report must be send to the shareholders before meeting that is certified by atleast
3 directors including CEO

13. All of the following are uncontrollable factors for success in business EXCEPT
Competence

14. _____is one who has invested the maximum amount in the business
Senior Partner

15. Annual General Meeting is the meeting of the company that held
Once in a year

16. _____is not liable for the debt of the partnership business
Sub Partner

17. In what type of business there is easiest dissolution?
Sole Proprietorship

18. The registration of joint stock company is
Compulsory

19. A major disadvantage of the corporate form of organization is the
Double taxation of the dividends

20. The relationship between the persons who have agreed to share the profit of a business carried on by all or any one of them acting for all is called
Partnership

21. Economist and policy makers are interested in Demographic attributes to determine the
Supply Patterns
Skilled labor Force
Demand patterns
All of the above

22. Which document contains the objectives of the business and the ways to achieve those objectives?
Business Plan

23. Two or more organizations combine together and form a new organization
Merger

24. The word 'limited' at the end of the company name means
Shareholders has limited liability

25. One man one vote principle is applied in_____
Cooperative society

26. Total value of all goods and services produced within a given period by a national economy through domestic factors of production
GDP

27. Total quantity of goods and services produced by an economic system during a given period is called
Aggregate output

28. _____meeting is the first meeting after commencement of business
Ans **None of the above**
Statutory Meeting

29. The form of business that generally has the largest sales volume is the

30. Which of the following business type can avail some concession from the government
Cooperative societies

31. In sole proprietorship business entire finance is provided by
All of the given options

32. Competitor analysis is discussed under the following part?
Marketing Part

33. Which of the following is not the disadvantage of cooperative society?
Lack of secrecy D/# 9
No profit incentive D/# 8
Untrained Supervision D/# 2
Protection of Mutual Interest Ad # 15

34. The first stage in Evolution of business is:
Industrial revolution
Marketing era
Entrepreneurship
Globalization

35. _____ is a kind of loan which is acquired from the market
Dividend
Debenture
Paid up capital
None of the given option

36. The law relating to joint stock companies has been laid in companies Ordinance
1984

37. All of the following personal characteristics are found in an entrepreneur except:
Follower
Perceptive
Independent mind
Self Confident

38. The liability of each member in cooperative society is
Limited to the share capital

39. Which of the following is NOT a secondary industry?
Genetic Industry

40. The first annual general meeting should be held with the _____months of incooperation of a company
18 months

41. In which type of business, banks hesitate to give loans?
Co-operative Society
None of the given option

42. Who signs the document on behalf of the joint stock company?
Common seal is used for its signature

43. Which of the following is included in a business plan
Financial Information
Production Plans
Market analysis
All of the above option

44. Certificate of commencement is issued by the

Registrar of the companies

45. Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called

Foreign trade/ International trade

46. The policy regarding government revenues and expenditures is known as
    Fiscal Policy
    Monetary Policy
    Stabilization Policy
    All of the given option

47. Partners will have to pay all the debts of the business even from their personal property.
    Unlimited Liability

48. _____meeting must be held at least once in three months and at least four times in a year.
    Director's meeting

49. Auditors are generally appointed and their remuneration, fixed at the
    Annual General Meeting

50. Which of the following is the characteristic that should exist to recognize a partnership business?
    Must be registered

51. Which of the following document contains the name and address of the joint stock company?
    Memorandum of Association

52. First meeting of the members of public limited company is known as:
    Statutory meeting

53. Social welfare is one of the objectives of:
    Partnership
    Private company
    Co-operative Society
    Public limited company

54. Which of the following have powers of decision making in Joint Stock Company?
    Shareholders
    A member
    Board of directors
    All of the given option

55. Which one of the following is NOT a type of business organization?
    Sole creditor ship

56. Which one of the following can be the strength of an organization?
    New market opportunities
    Low employee's turnover
    Presence of few competitors
    Presence of non-price competitors

57. Business may be defined as an economic activity undertaken with a motive of earning profit by satisfying human needs in society. The term economic activity includes the activities with the motive of:
    Social justice
    Earning profit
    Collective benefits

Personal Satisfaction

58. Following are the advantages of cooperative society except:
Lack of profit incentive

60. In which part we see about customers, their liking, locality and purchasing power
Marketing Part

61. All of the following are the advantages of doing joint Venture. EXCEPT
Not allow to enter in new geographic markets

62. Which of the following is the specific characteristic of partnership business?

- Written partnership agreement
- Profit sharing
- Limited liability
- **All of the given option**

60. Which of the following is a partner who does not take part in the management of the business is known to the public
Sleeping partner

1. **Which of the following must hold a statutory meeting?**

   Statutory companies
   Private limited companies
   Public limited companies
   Chartered companies

2. **Which of the following is NOT included in aids to trade?**

   Insurance
   Warehousing
   Transportation
   Foreign trade

3. **The portion of capital kept at the winding up of a company for the payment of debts is known as:**

   Reserve capital
   Issued capital
   Subscribed capital
   Authorized capital

4. **Which of the following business type can avail some concessions from the government?**

   Sole proprietorship
   Partnership
   Joint Stock company
   Cooperative society

5. **While making financial projections in a business plan, which of these would NOT form part of the plan?**
   Source of loan
   Audit
   Net income or profit
   Expected revenues

6. **Which of the following are included in a business plan?**
   Financial information, production plans, personal policies.
   Goals of the business and how they will be achieved.
   Market analysis
   All of the given options.

7. **Which of the following is not a reason for a business failure?**
   Managerial experience or inexperience
   Effective control systems
   Insufficient control system
   None of the given options

8. **In which of the following two or more organizations collaborate on a project for mutual gain?**
   Limited partnership
   Public corporation
   Strategic alliance
   None of the given options

9. **The difference between a country's merchandise exports and its merchandise imports is the:**
   Current account
   Capital account
   Balance of trade
   Balance of payments

10. **One of the best solutions to get rid of non-biodegradable wastes is:**
    Dumping
    Recycling

11. **The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:**
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12. **_____ is a written statement which contains the duties and responsibilities of a job.**
    Job analysis
    Job specification
    Job description
    Job inventory chart

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    Security
    Social
    Self-actualization

14. **Douglas McGregor is associated with which of the following?**
    Scientific management
    Motivational factors
    Theory X and theory Y
    The Hawthorne studies

15. **Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?**
    Safety
    Self actualization
    Physiological

Social

16. **Which of the following generic terms is not a**
management function?
Leading
Systemizing
Planning
Organizing

17. **What is potentially the biggest advantage of a small partnership over a sole proprietorship?**
Unlimited liability
Single tax filing
Difficult ownership resale
Raising capital

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Sole proprietorship
Partnership
Company
Cooperative society

19. **Which of the following is an advantage of a corporation that is not an advantage as a limited partner in a partnership?**
Limited liability
Easy transfer of ownership position
Double taxation
All of the given options are advantages that the corporation has over limited partner

20. **Examples of constructive industries include:**
Canals
Fishery
Sugar mills
Plant nurseries

21. **Which of the following statement shows the Trade Deficit process?**
A process in which country imports are higher than the exports
A process in which country exports are equal to the exports
A process in which country imports are less than the country exports
All of the given options

Mr. Saleem has invested 20,000 Rs in a business but did not take part in the management of the business. In which category of partner he falls?
Secret partner
Silent partner
Sleeping partner
All of the given options

Name of the business should:
Be simple

Indicates the type of business
Be familiar
All of the given options

Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?
Licensing
Joint venturing
Contracting
Franchising

Which of the following is excluded from factors that can affect the business?
Demographic Factors
Economic and social factors
Natural factors
None of the above

The formation of _____does not require any legal formality like registration.
Company
Cooperative society
Partnership
Sole proprietorship

Which of the following is a disadvantage of partnership?
Distribution of work
Sufficient capital
Prime credit standing
Profit sharing

In partnership deed, profit and loss is distributed among the partners:
In equal percentage
As per percentage of capital invested
As per agreed ratio in partnership deed
None of the given options

The powers of the Board of Directors to borrow from the bank are mentioned in:
Article of Association
Memorandum of Association
Special Resolution
None of the given options

Which of the following should be considered when designing a business plan?
Objectives of the business
Marketing components of the business
Financial components of the business
All of the given options

A firm that acquires another firm as part of its overall business strategy is engaging in _____.
A strategic acquisition
A financial acquisition
A two-tier tender offer

A shark repellent

The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Balance of payments
Balance of payments on current account.
Balance of trade.

which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT
EU
WTO
NAFTA

Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Government payments to domestic producers to reduce the price on exported goods.

If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ethics
Profitability.
Productivity.
Game plan

_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment.
Corporate philanthropy
Corporate policy
Corporate governance
Corporate responsibility

Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding: What business the organization should be in.
The right quantity and quality of employees needed when and where
What physical resources the organization needs
Who the organization's main competitors are

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:
Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

Selection devices that are based upon physical condition of the candidates are known as:
Medical tests
Background investigations.
Aptitude tests
Application forms.

Which of the following chart shows turnover in an organization?
GANNT chart
Replacement chart
PERT chart
Bar chart

The Hawthorne Studies found:
That social and psychological factors could significantly affect productivity
That economic factors affect productivity
Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:
Esteem.
Security
Social
Self-actualization.

Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:
Growth factors
Hygiene factors
Esteem factors
Motivating factors

Which of the following step is important to improve expectancy?
Deliver rewards as promised.
Observe and recognize performance.
Create the belief that effort is related to performance
Make the rewards meaningful.

Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Total company effort
Profit
Productivity
Customer satisfaction

In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage
Product oriented stage

Marketing oriented stage
None of the given options

Which of the following statements is NOT true about services?
They are experienced, used or consumed.
They are often sold first, then consumed.
They are perishable.
They are tangible.

The degree to which a tool or test measures what it is supposed to measure is known as:
Validity
Reliability
Dependability
Goodness of fit.

Which of the following would generally have unlimited liability?
A limited partner in a partnership
A shareholder in a corporation
The owner of a sole proprietorship
A member in a limited liability company (LL

What is potentially the biggest advantage of a small partnership over a sole proprietorship?
Unlimited liability
Single tax filing
Difficult ownership resale
Raising capital

Which of the following enjoys limited liability?
A general partnership
A corporation
A sole proprietorship
None of the given options

In which type of business entity the entire ownership interest is transferable most freely ?
General partnership
Limited partnership
Corporation
Limited liability company

Which of the following is false?
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems

54. **A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?**
10%
15%
40%

80%

55. Components of Business Plan include all of the following except

Marketing Component
Administrative Component
External Component
Financial Component

56. An agreement between two parties in which one party possess the rights to the other party is

Partnership
Strategic Alliance
Joint venture
Franchising

The shareholders elect the Board of Directors in the

Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

Portion of the undistributed profit transferred to which of the following?

General Reserve
Retained Earning
Appropriation account
All of the given options

Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company
Article of Association
Prospectus
None of the given option

A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period
Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following

Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt
Equity
None of the above
All of the given option

Cooperative Societies are not formed for:

The serving of the orphans and widows
The help of poor people

For the earning of profit
Social welfare

Which of the following is the source of acquiring of redeemable capital?
Mudarbah Certificate
Debentures
Participation Term Certificates
All of the given option

Which one of the following statements about marketing is inaccurate?
The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
Marketing has to do with persuading customers a product meets their needs.
The mass market has fragmented into many different groups of customers.
Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.
Marketing
Business vision
Product development
Customer relationship management

66. **_____ is the typical sequence of changes in demand for a product that occurs over time.**
The business vision statement
The product life cycle
Marketing research
A customer-oriented approach

67. **All of the following except _____ are considered to be correct statements about marketing research.**
It is a systematic search for information about customers' needs and how those needs differ
Marketing research is geared to uncover unmet consumer needs
With market research, the chance product development will be able to create a product consumers want to buy increases
Marketing research provides an inexpensive method for tracking consumer behavior

68. **When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its_____.**
Market differentiation
Market mission
Market segment
Marketing plan

69. **_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.**
Marketing mix
Product mix

Product differentiation
Product positioning

70. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Sales promotion
Public relations
Personal selling
Advertising

71. The specific method a company uses to sell and deliver its products to customers is known as its _____.
Retail intermediaries
Direct distribution
Distribution mix
Distribution channel

72. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?
Independent wholesalers
Direct distribution
Company-owned distributors
Retail distributors

73. The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?
Missionary selling
Licensed distribution
Distribution mix
Distribution channel

74. All of the following choices represent one of the four types of utility except:
Time
Form
Loyalty
Ownership

75. The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?
Production
Sales
Marketing
Relationship

76. The marketing concept is:
Companywide consumer orientation with the objective of achieving the maximum amount of profits.
Long-run success page.
Largest market share.
Highest paid staff.

77. _____ involves long-term, value-added relationships developed over time with customers and suppliers:
Relationship Marketing

Marketing Era Marketing
Consumer Marketing
Exchange Marketing

78. An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process
Exchange process
Relationship process
Production process

79. Which of the following focuses on job content, environment, and conditions of employment?

a. Job description
b. Human resource inventory report
c. Job analysis
d. None of the given options

80. All of the following except _____ are considered to be correct statements about marketing research.

a. It is a systematic search for information about customers' needs and how those needs differ.
b. Marketing research is geared to uncover unmet consumer needs
c. With market research, the chance product development will be able to create a product consumers want to buy increases
d. Marketing research provides an inexpensive method for tracking consumer behavior

81. In the marketing research process the 1st step is to define the problem followed by:

a. Collection of data
b. Develop recommendation
c. Develop the research design
d. Implement plan

82. Which of the following is the least likely decision to be made by Operations Managers?

a. Deciding which market areas to manufacture products for
b. Designing and improving the jobs of the workforce
c. Selecting the location and layout of a facility
d. How to use quality techniques to reduce waste

83. What kind of sales person are you most likely to find working in the pharmaceutical industry?

a. Order taker
b. Order getter
c. Sales engineer
d. Missionary salesperson

84. _____ includes all of the activities involved in the sale of products to final customers.

a. Wholesaling
b. Retailing
c. Marketing
d. Distributing

85. Which of the following are the functions of management?
b. Planning
c. Organizing
d. Coordinating
e. All of the given options

86. A major advantage of the corporate form of organization is:
a. Reduction of double taxation.
b. Limited owner liability.
c. Legal restrictions.
d. Ease of organization

87. It is difficult to transfer the rights of ownership in:
a. Sole proprietorship
b. Partnership
c. All the given options
d. None of the given options

88. Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business
a. 3 months
b. 6 months
c. 1 year
d. One month

89. Which of the following is the most important determinant of a firm's value?
a. Earnings
b. Debt
c. Liabilities
d. Liquidity

90. The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:
a. Market penetrating
b. Target Marketing
c. Relationship marketing
d. Market segmentation

91. _____ refers to the standards of moral behavior.
a. Legality
b. Loyalty
c. Integrity
d. Ethics

92. The difference between a country's merchandise exports and its merchandise imports is the:
a. Current account.
b. Capital account
c. Balance of trade

d. Balance of payments

93. The World Trade Organization (WTO):
a. Sets tariffs to balance international trade among nations.
b. Is the successor to NAFTA.
c. Rules on trade disputes between nations.
d. Sets exchange rates to balance international trade among nations.

94. Which of the following is NOT a core function of management?
a. Planning
b. Organizing
c. Motivating
d. Leading

95. In democratic style of leadership there is:
a. Upward communication
b. Upward and downward communication
c. Occasional communication
d. Downward communication

96. The following are included in a business plan:
a. Financial information, production plans, personnel policies
b. Goals of the business and how they will be achieved.
c. Market analysis
d. All of the above.

97. There are really only two ways to collect primary data for a marketing study:
a. Observation and asking questions
b. Passive and remote observations
c. Through laboratory settings and onsite groups
d. With careful, selected shopper and specialized syndicated services

98. The major disadvantage of advertising on television is:
a. Local market focus
b. Long life span
c. Cost.
d. Its inability to target specific audiences.

99. _____ may be used to analyze how well a company is managing its assets.
a. Profitability Ratio
b. Debt Ratio
c. Activity Ratio
d. Liquidity Ratio

100. For the individual employee, MBO provides:
a. A way to keep the company accountable
b. Specific personal performance objectives
c. Increased monetary compensation
d. Communication between co-workers.

101. Examples of genetic industries include:

a. Poultry
b. Sugar mill
c. Plant nurseries
d. Canals

102. Which of the following enjoys limited liability?

a. A general partnership.
b. A corporation.
c. A sole proprietorship.
d. None of the above

103. JIT aims at:-

a. Avoid delays
b. Favorable cash flow of the organization
c. Reduction in non-value added activities
d. All of the given options

104. Consumer goods are purchased by:

a. Business users.
b. Ultimate consumers.
c. Governments.
d. Families.

105. The last step involved in designing an advertising campaign is _____.

a. Allocation of Budget
b. Advertising Objectives
c. Advertising Evaluation
d. Message Creation

106. In which of the following do two or more organizations collaborate on a project for mutual gain?

a. Limited partnership
b. Joint venture
c. Public corporation
d. Strategic alliance

107. Air crafts are used for transportation of products when speed is

More important
Less important

108. An item consumed in one or a few uses is called a:

a. Consumer good
b. Commodity
c. Durable good
d. Nondurable good

109. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
a. Sales promotion
b. Public relations
c. Personal selling
d. Advertising

110. A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:
a. Job description.
b. Human resource inventory report.
c. Job analysis.
d. Job specification.

111. Aggregating prospective buyers into groups is called:
a. Market categorization
b. Market segmentation
c. BCG matrix analysis
d. Grouping
a. Sets exchange rates to balance international trade among nations.

112. Franchisors like franchising because:
a. They get a huge amount of money from franchisee without doing much
b. Failure rate of franchise business is lower than other businesses.
c. Franchisees invest their own money and take responsibility for the management of the businesses they own.
d. All of the given

113. Auditors are generally appointed and their remuneration, fixed at the _____
Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting

114. Which of the following is included in economic factors?
Religion
Value system
Norms
Exchange rate

_____ refers to the standards of moral behavior.
Legality
Loyalty
Integrity
Ethics

Skyscrapers, pop-ups, and banners are all types of _____ advertising.

Television
Radio
Outdoor
Internet

Selection devices that are based upon physical condition of the candidates are known as:

a. Medical tests
b. Background investigations.
c. Aptitude tests
d. Application forms.

Which of the following business type has longest life time?

1. Sole proprietorship
2. Partnership
3**. Joint stock company**
4. All of the given options

Election of the Board of Directors is done by Shareholders.

1. Through special resolution
2**. In annual general meeting**
3. In Special meeting
4. In statuary meeting

Which of the following business type, has to pay double taxes to the government?

1. Sole proprietorship
2. Partnership
3. **Joint stock company**
4. Cooperative Societies

_____ includes the rules and regulations, necessary to manage the internal affairs of the company.

1. Memorandum of Association
2. Article of Association
3. Prospectus
4. All of the given option

General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.

1. Charter of Company
2. Article of Association
3. Prospectus
4. None of the given option

To call the extraordinary meeting, how many days' notice is required?

Select correct option:
2. 15 days
3. 07 days
4. 30 days

According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

1. Statutory Declaration
2. **Fails to submit statutory report**
3. Expiry of Period
4. Appointment of Liquidators

Which of the following is the source of acquiring of redeemable capital?

1. Modarba Certificate
2. Debentures
3. **Participation Term Certificates**
4. All of the given option

Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

1. **Reserve capital**
2. Un-Issued Capital
3. Un-Called up Capital
4. All of the given option

The following person cannot make a petition to the court to get an order for winding up of a company.

2. **Petition by creditor**
3. Petition by contributory
4. All of the above

Which of the following is the disadvantage of modified schedules and alternative workplace?

a. Freedom in professional and personal life
b. More Job satisfaction
c. **Complicated coordination**
d. Suitable for self starter who require little direct supervision

Among different managerial styles, which of the following allows most rapid decision making?

a. **Autocratic styles**
b. Democratic styles
c. Free rein style
d. None of the given option

_____ is the process of motivating others to work to meet specific objectives.

a**. Leadership**
b. Motivation
c. Free rein style
d. Democratic style

Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

a. Participative Management and Empowerment
b. **Management by Objectives (MBO)**
c. Reinforcement/Behavior Modification Theory
d. None of the given option

The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d**. All of the given option**

133. **A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:**
a. Marketing Mix
b. **Advertising objective**
c. Market segmentation
d. Marketing process

Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.
a**. Market segmentation**
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:
a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.
a. Market segmentation
b. **Marketing Mix**
c. Marketing Penetration
d. Marketing Environment

Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:
a. **Substitute product competition**
b. Brand competition
c. International competition:
d. Market competition

Physical distribution is a channel to make availability of _____ from producer to consumer.
a. Finished goods
b. Work in process
c. Raw material
d. All of the given option

Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
a. Persuasive advertising
b. Comparative advertising

c**. Informative advertising**
d. Reminder advertising
e. None of the given options

A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
a. **Pull strategy**
b. Push strategy
c. Persuasive advertising
d. Sales Promotion

_____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
a. **Warehousing cost**
b. Transportation cost
c. Distribution cost
d. Manufacturing cost

Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
a. Order Processing
b. **Creative Selling**
c. Missionary Selling
d. None of the given option

Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
a**. Final consumer**
b. Retailer
c. Wholesalers
d. All of the given options

In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.
a. **Trade Shows**
b. Contests
c. Cross-promotion
d. Special-event sponsorship

_____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.
a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
a. Public relation

b. Trade Promotion
c**. Publicity**
d. Consumer Promotion

Advertising strategy that tries to keep a product's name in the consumer's mind.
a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. **Reminder advertising**

148. A major disadvantage of corporate organization is
- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

149. It is difficult to transfer to right of ownership is
- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

150. Wages are paid for
- Long term
- **Short term**
- All of given options
- None of given options

151. Pakistan is exporting
- Sports Item
- Agriculture Product
- Textile Product
- **All of given options**

152. Managers have _____ type of skills
- 2
- **3**
- 4
- 5

153. The process of attracting the people for job
- **Recruitment**
- Special skills
- Supervision
- Job Specification

154. What is the method of on job training?
- Lectures
- Vestibule
- Videos

- **None of given options**

155. The liability of a sole trader is _____

- limited Only to his investment in the business
- Limited to the total resources of the business
- **Unlimited**
- Not defined

156. Genetic industry means

- Canal
- Sugar mill
- **Poultry**
- Agriculture

157. The first stage Evolution business is?

- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

158. ---------- refers to standard of moral behavior

Loyalty
Integrity
Ethics

159. The buying and selling of goods by way of electronic media, such as telephone is called

Digital age
E commerce
Enterprise resource planning
None of the above

160. Which one of the following is NOT a benefit of partnership?

Distribution of work
Unlimited liability
Tax facility
Minority protection

161. Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

162. If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable

Deficit
None of the above

163. Which of the following is excluded from the advantages of Sole Proprietorship?
Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

164. Which of the following is an advantage of sole proprietorship?
Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

165. Which of the following is not among the benefits of Partnership Firm?
Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

166. In partnership deed the profit & loss is distributed among the partners by the following ratio.
50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

167. The company may raise its capital through which of the following sources:
By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

168. Advantages of cooperative societies does not include
Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

169. WTO was organized on _____
July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

An enterprise that provides products or services that customers desire is a /an:
a. institution

b. market
c. agency
d. **business**

The different types of stakeholders involved in a business include all of the following except:
a. owners
b. creditors
c**. couriers**
d. employees

A certificate of ownership of a business is a:
a. bond
b**. stock**
c. mutual fund
d. contract 4.

The following are possible forms of business ownership except:
a. proprietorship
b. partnership
c. **bureaucracy**
d. corporation

Partners have unlimited liability in a:
a. **general partnership**
b. corporation
c. limited partnership
d. cooperative

An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
a. franchise
b. joint venture
c. distribution
d. cartel 7.

A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
a. bond rating
b. risk
c. **value**
d. return on investment

_____ conditions reflect the overall performance of the nation's economy.

a. microeconomic
b. multieconomic
c. **macroeconomic**
d. all of the given options

The primary purpose of an industry business environmental assessment is to determine the:

a. economic growth
b**. degree of competition**
c. inflation rate
d. population growth

The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
a. finance
b. marketing
c. production
d. **management**

All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.
Land
Capital
Labor
Financial Counselors

181. Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ------- .
Charter Laws
Unlimited Liability
Terms of his property insurance
Limited Liability

182. ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.
Limited partnerships
Limited Liability Companies
Sole Corporations
General Partnership

183. ---------- is considered a primary advantage to forming a business partnership.
Shared Profit
Increase Specialization
Shared Control
Unlimited Liability

184. Disadvantages associated with being an entrepreneur include all of the following except ----------.
Ensuring the business functions properly
Possibly incurring large losses
Possibly losing source of income
Having an increased amount of control

185. All of the following except ---------- are considered to be
barriers to free trade

Tariffs
Quotas
Subsidies
Taxes

186. A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.
Totalitarian government
Representative democracy
Mixed Economy
Free Market Economy

187. are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.
Promoters
Brokers
Underwriters
Directors

188. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
Finance
Marketing
Production
Management

189. The different types of stakeholders involved in a business include all of the following except:
Owners
Creditors
Couriers
Employees

190. Which of the following business type has longest life time?
Sole proprietorship
Partnership
Joint stock company
All of the given options

191. Election of the Board of Directors is done by Shareholders.
Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

192. Which of the following business type, has to pay double taxes to the government?
Sole proprietorship
Partnership
Joint stock company
Cooperative Societies

193. _____ includes the rules and regulations, necessary to manage the internal affairs of the company.

Memorandum of Association
Article of Association
Prospectus
All of the given option

194. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in:

Charter of Company
Article of Association
Prospectus
None of the given option

195. To call the extraordinary meeting, how many days' notice is required?

21 days
15 days
07 days
30 days

196. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

Statutory Declaration
Fails to submit statutory report
Expiry of Period
Appointment of Liquidators

197. Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate
Debentures
Participation Term Certificates
All of the given option

198. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital
Un-Issued Capital
Un-Called up Capital
All of the given option

199. The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor
Petition by creditor
Petition by contributory
All of the above

200. Which of the following is the disadvantage of modified schedules and alternative workplace?

Freedom in professional and personal life
More Job satisfaction
Complicated coordination
Suitable for self starter who require little direct supervision

201. Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles
Democratic styles
Free rein style
None of the given option

202. _____ is the process of motivating others to work to meet specific objectives.

Leadership
Motivation
Free rein style
Democratic style

203. Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

Participative Management and Empowerment
Management by Objectives (MBO)
Reinforcement/Behavior Modification Theory
None of the given option

204. The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

Organization Policies
Product Policies
Management Structure
All of the given option

205. A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

Marketing Mix
Advertising objective
Market segmentation
Marketing process

206. Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

Market segmentation
Marketing Mix
Marketing Penetration
Marketing control

207. The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

Marketing Environment
Market segmentation
Marketing Mix
Marketing Penetration

208. The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

Market segmentation
Marketing Mix
Marketing Penetration
Marketing Environment

209. Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

Substitute product competition
Brand competition
International competition:
Market competition

210. Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods
Work in process
Raw material
All of the given option

211. Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising
Comparative advertising
Informative advertising
Reminder advertising
None of the given options

212. _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy
Push strategy
Persuasive advertising
Sales Promotion

213. _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost
Transportation cost
Distribution cost
Manufacturing cost

214. Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing
Creative Selling
Missionary Selling

None of the given option

215. Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer
Retailer
Wholesalers
All of the given options

216. In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows
Contests
Cross-promotion
Special-event sponsorship

217. _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM)
Promotion strategy
Sales promotion
Management by objective (MBO)

218. A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation
Trade Promotion
Publicity
Consumer Promotion

219. Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising
Comparative advertising
Informative advertising
Reminder advertising

220. Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10%
15%
40%

221. Components of Business Plan include all of the following except:

Marketing Component
Administrative Component
External Component
Financial Component

222. An agreement between two parties in which one party possess the rights to the other party is:

Partnership
Strategic Alliance
Joint venture
Franchising

223. The shareholders elect the Board of Directors in the

Through special resolution
In annual general meeting
In Special meeting
In statuary meeting

224. Portion of the undistributed profit transferred to which of the following?

General Reserve
Retained Earning
Appropriation account
All of the given options

225. Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company
Article of Association
Prospectus
None of the given option

226. A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period
Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following

227. Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt
Equity
None of the above
All of the given option

228. Cooperative Societies are not formed for:

The serving of the orphans and widows
The help of poor people
For the earning of profit
Social welfare

229. Which one of the following statements about marketing is inaccurate?

(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)
(Marketing has to do with persuading customers a product meets their needs.)
(The mass market has fragmented into many different groups of customers.)
(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)

230. The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

Marketing
Business vision
Product development
Customer relationship management

231. _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement
The product life cycle
Marketing research
A customer-oriented approach

232. All of the following except _____ are considered to be correct statements about marketing research.

(It is a systematic search for information about customers' needs and how those needs differ)
(Marketing research is geared to uncover unmet consumer needs)
(With market research, the chance product development will be able to create a product consumers want to buy increases)
(Marketing research provides an inexpensive method for tracking consumer behavior)

233. When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

Market differentiation
Market mission
Market segment
Marketing plan

234. _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

Marketing mix
Product mix
Product differentiation
Product positioning

235. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

Sales promotion
Public relations
Personal selling
Advertising

236. The specific method a company uses to sell and deliver its products to customers is known as its _____.

Retail intermediaries

Direct distribution
Distribution mix
Distribution channel

237. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

Independent wholesalers
Direct distribution
Company-owned distributors
Retail distributors

238. The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

Missionary selling
Licensed distribution
Distribution mix
Distribution channel

239. All of the following choices represent one of the four types of utility except:

Time
Form
Loyalty
Ownership

240. The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production
Marketing
Relationship

241. The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.
Long-run success page.
Largest market share.
Highest paid staff.

242. _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing
Marketing Era Marketing
Consumer Marketing
Exchange Marketing

243. An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process
Exchange process
Relationship process
Production process

244. An enterprise that provides products or services that customers desire is a / an:

Institution
market
agency
business

245. The different types of stakeholders involved in a business include all of the following except:

Owners
creditors
couriers
employees

246. A certificate of ownership of a business is a:

Bond
stock
mutual fund
contract

247. The following are possible forms of business ownership except:

Proprietorship
partnership
bureaucracy
corporation

248. Partners have unlimited liability in a:

general partnership
corporation
limited partnership
cooperative

249. An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise
joint venture
distribution
cartel

250. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating
risk
value
return on investment

251. _____ conditions reflect the overall performance of the nation's economy.

Microeconomic
multieconomic
macroeconomic
all of the given options

252. The primary purpose of an industry business environmental assessment is to determine the:

economic growth
degree of competition

inflation rate
population growth

253. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:

Finance
marketing
production
management

254. The function of business in which business man tries to find new techniques of production is

Accounting
Management Function
Innovation
Quality improvement

255. If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

256. Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

257. Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

258. **Which of the following is not among the benefits of Partnership Firm?**

Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

259. In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

260. The company may raise its capital through which of the following sources:

By Issuing Shares

By Issuing Debentures
By Savings
All of the given options

261. Advantages of cooperative societies does not include
Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

262. WTO was organized on _____
July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

263. A major disadvantage of corporate organization is
Double Taxation of dividend
Inability of the firm to large sum of additional capital
Limited liability of share holders
Limited life of Cooperate firm

264. It is difficult to transfer to right of ownership is
Sole proprietor ship
Partner ship
All of given options
None of given options

265. Wages are paid for
Long term
Short term
All of given options
None of given options

266. Pakistan is exporting
Sports Item
Agriculture Product
Textile Product
All of given options

267. Managers have _____ type of skills
2
3
4
5

268. The process of attracting the people for job
Recruitment
pecial skills
Supervision
Job Specification

269. What is the method of on job training?

Lectures
Vestibule
Videos
None of given options

270. The liability of a sole trader is _____

limited Only to his investment in the business
Limited to the total resources of the business
Unlimited
Not defined

271. Genetic industry means

Canal
Sugar mill
Poultry
Agriculture

272. The first stage Evolution business is?

Industry revolution
Globalization
Entrepreneurship
Marketing era

273. When entrepreneurs establish a business, they must first decide on the form of:

Partnership
Ownership
Expansion
Organization

274. Generally, in a limited partnership:

All partners have limited liability.
The partners exist for a limited time period.
The limited partners do not participate in management of the company.
Not more than 75 partners may invest in the company at one time.

275. The "leading" function of management should be conducted in a manner that is consistent with firm's:

Competition
Strategic plan
Industry demand
Labor union

276. The skills managers use to understand the relationships among the various tasks of the firm are:

Interpersonal skills
Technical skills
Decision making skills

Conceptual skills

277. The four functions of management:

Must be enacted in the proper sequence
Must be integrated
Are stand alone, independent functions
Can not be performed by one individual

278. Social interaction and acceptance by others are examples of:

Physiological needs
Safety needs
Affiliation needs
Esteem needs

279. When firms delegate more authority to their employees, this strategy is referred to as:

Empowerment
Merit system
Hygiene theory
Equity system

280. The process used to determine the tasks and the necessary credentials for a particular position is referred to as:

Job analysis
Job screening
Job evaluation
Human resource planning

281. A _____ is an assignment to a higher level job with more responsibility and greater pay.

Transfer
Lateral assignment
Appraisal
Promotion

282. Products purchased by companies to produce other products are:

Consumer Goods
Industrial Goods
Services
Inventory

283. The formation of _____does not require any legal formality like registration.

Company
Cooperative society
Partnership
Sole proprietorship

284. Which of the following is a disadvantage of partnership?

Distribution of work
Sufficient capital

Prime credit standing
Ans Profit sharing

285. In partnership deed, profit and loss is distributed among the partners:
In equal percentage
As per percentage of capital invested
Ans As per agreed ratio in partnership deed
None of the given options

286. The powers of the Board of Directors to borrow from the bank are mentioned in:
Ans Article of Association
Memorandum of Association
Special Resolution
None of the given options

287. Which of the following should be considered when designing a business plan?
Objectives of the business
Marketing components of the business
Financial components of the business
All of the given options

288. A firm that acquires another firm as part of its overall business strategy is engaging in _____.
Ans A strategic acquisition
A financial acquisition
A two-tier tender offer
A shark repellent

289. The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Ans Balance of payments
Balance of payments on current account.
Balance of trade.

290. **which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between** nations?
GATT
EU
WTO
NAFTA

291. Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Ans Government payments to domestic producers to reduce the price on exported goods .

292. If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ans Ethics
Profitability.
Productivity.

Game plan

293. _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy
Corporate policy
Corporate governance
Ans Corporate responsibility

294. Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in
Ans The right quantity and quality of employees needed when and where
What physical resources the organization needs
Who the organization's main competitors are

295. The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid
Ans Valid but not reliable
Reliable but not valid
Reliable but not legal

296. Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests
Background investigations.
Aptitude tests
Application forms.

297. Which of the following chart shows turnover in an organization?

GANNT chart
Replacement chart
PERT chart
Bar chart

298. The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity
That economic factors affect productivity
Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

299. According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem.
Ans Security Social Self-actualization.

300. Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors

Ans Hygiene factors

Esteem factors

Motivating factors

301. Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised.

Observe and recognize performance.

Create the belief that effort is related to performance

Make the rewards meaningful.

302. The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals Involves giving employees work with a greater degree of responsibility and autonomy

Ans Means that staff is moved periodically from task to task in order to increase variety and interest

303. Which of the following is NOT included as a basic idea in the definition of marketing concepts?

Ans Total company effort

Profit Productivity

Customer satisfaction

304. In _____ of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage

Product oriented stage

Ans Marketing oriented stage

None of the given options

305. Which of the following statements is NOT true about services?

They are experienced, used or consumed.

They are often sold first, then consumed.

They are perishable.

Ans They are tangible.

306. The degree to which a tool or test measures what it is supposed to measure is known as:

Ans Validity

Reliability

Dependability

Goodness of fit.

307. Which of the following would generally have unlimited liability?

A limited partner in a partnership

A shareholder in a corporation

Ans The owner of a sole proprietorship

A member in a limited liability company (LLC)

308. What is potentially the biggest advent age of a small partnership over a sole proprietorship?

Unlimited liability
Single tax filing
Difficult ownership resale
Ans Raising capital

309. Which of the following enjoys limited liability?

A general partnership
Ans A Corporation
A sole proprietorship
None of the given options

310. In which type of business entity the entire ownership interest is transferable most freely ?

General partnership
Limited partnership
Corporation
Limited liability company

311. Which of the following focuses on job content, environment, and conditions of employment?

a. Job description
b. Human resource inventory report
c. Job analysis
d. None of the given options

312. All of the following except _____ are considered to be correct statements about marketing research.

a. It is a systematic search for information about customers' needs and how those needs differ.
b. Marketing research is geared to uncover unmet consumer needs
c. With market research, the chance product development will be able to create a product consumers want to buy increases
d. Marketing research provides an inexpensive method for tracking consumer behavior

313. In the marketing research process the 1st step is to define the problem followed by:

a. Collection of data
b. Develop recommendation
c. Develop the research design
d. Implement plan

314. Which of the following is the least likely decision to be made by Operations Managers?

a. Deciding which market areas to manufacture products for
b. Designing and improving the jobs of the workforce
c. Selecting the location and layout of a facility
d. How to use quality techniques to reduce waste

315. What kind of sales person are you most likely to find working in the pharmaceutical industry?

a. Order taker
b. Order getter
c. Sales engineer
d. Missionary salesperson

315. _____ includes all of the activities involved in the sale of products to final customers.
a. Wholesaling
b. Retailing
c. Marketing
d. Distributing

316. A major advantage of the corporate form of organization is:
a. Reduction of double taxation.
b. Limited owner liability.
c. Legal restrictions.
d. Ease of organization

317. It is difficult to transfer the rights of ownership in:
a. Sole proprietorship
b. Partnership
c. All the given options
d. None of the given options

318. Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business

a. 3 months
b. 6 months
c. 1 year
d. One month

319. Which of the following is the most important determinant of a firm's value?
a. Earnings
b. Debt
c. Liabilities
d. Liquidity

320. The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:
a. Market penetrating
b. Target Marketing
c. Relationship marketing
d. Market segmentation

321. _____ refers to the standards of moral behavior.
a. Legality
b. Loyalty
c. Integrity
d. Ethics

322. The difference between a country's merchandise exports and its merchandise imports is the:

a. Current account.
b. Capital account
c. Balance of trade
d. Balance of payments

323. The World Trade Organization (WTO):
a. Sets tariffs to balance international trade among nations.
b. Is the successor to NAFTA.
c. Rules on trade disputes between nations.
d. Sets exchange rates to balance international trade among nations.

324. Which of the following is NOT a core function of management?
a. Planning
b. Organizing
c. Motivating
d. Leading

325. In democratic style of leadership there is:
a. Upward communication
b. Upward and downward communication
c. Occasional communication
d. Downward communication

326. The following are included in a business plan:
a. Financial information, production plans, personnel policies
b. Goals of the business and how they will be achieved.
c. Market analysis
d. All of the above.

327. There are really only two ways to collect primary data for a marketing study:
a. Observation and asking questions
b. Passive and remote observations
c. Through laboratory settings and onsite groups
d. With careful, selected shopper and specialized syndicated services

328. The major disadvantage of advertising on television is:
a. Local market focus
b. Long life span
c. Cost.
d. Its inability to target specific audiences.

329. _____ may be used to analyze how well a company is managing its assets.
a. Profitability Ratio
b. Debt Ratio
c. Activity Ratio
d. Liquidity Ratio

330. For the individual employee, MBO provides:
a. A way to keep the company accountable
b. Specific personal performance objectives
c. Increased monetary compensation

d. Communication between co-workers.

331. Examples of genetic industries include:

a. Poultry
b. Sugar mill
c. Plant nurseries
d. Canals

332. Which of the following enjoys limited liability?

a. A general partnership.
b. A corporation.
c. A sole proprietorship.
d. None of the above

333. JIT aims at:-

a. Avoid delays
b. Favorable cash flow of the organization
c. Reduction in non-value added activities
d. All of the given options

334. Consumer goods are purchased by:

a. Business users.
b. Ultimate consumers.
c. Governments.
d. Families.

335. The last step involved in designing an advertising campaign is _____.

a. Allocation of Budget
b. Advertising Objectives
c. Advertising Evaluation
d. Message Creation

336. In which of the following do two or more organizations collaborate on a project for mutual gain?

a. Limited partnership
b. Joint venture
c. Public corporation
d. Strategic alliance

337. An item consumed in one or a few uses is called a:

a. Consumer good
b. Commodity
c. Durable good
d. Nondurable good

338. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a. Sales promotion
b. Public relations
c. Personal selling
d. Advertising

339. A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:

a. Job description.
b. Human resource inventory report.
c. Job analysis.
d. Job specification.

340. Aggregating prospective buyers into groups is called:

a. Market categorization
b. Market segmentation
c. BCG matrix analysis
d. Grouping

341. Franchisors like franchising because:

a. They get a huge amount of money from franchisee without doing much
b. Failure rate of franchise business is lower than other businesses.
c. Franchisees invest their own money and take responsibility for the management of the businesses they own.
d. All of the given

342. Auditors are generally appointed and their remuneration, fixed at the _____

Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting

343. Which of the following is included in economic factors?

Religion
Value system
Norms
Exchange rate

344. Management, marketing and finance are key parts of a/ an:

Accounting plan
Production strategy
Business plan
Information systems

345. _____ refers to the standards of moral behavior.

Legality
Loyalty
Integrity
Ethics

346. Skyscrapers, pop-ups, and banners are all types of _____ advertising.

Television
Radio
Outdoor
Internet

347. Selection devices that are based upon physical condition of the candidates are known as:

a. Medical tests

b. Background investigations.
c. Aptitude tests
d. Application forms.

348. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a. Competitive product analysis
b. Value-Added Analysis
c. Statistical Process Control
d. Quality/Cost Studies

349. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a. Independent wholesalers
b. Direct distribution
c. Company-owned distributors
d. Retail distributors

350. When members of a channel have problems with each other this is called:

a. Trouble
b. Infighting
c. Disputations
d. Channel conflict

351. The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a. Missionary selling
b. Licensed distribution
c. Distribution mix
d. Distribution channel

352. This management level is concerned with long-range planning for the organization.

a. Supervisory
b. Middle-managerial
c. Stockholder
d. Top-managerial

353. The two major sources of raising funds or financing a business are:

a. Owner's capital & borrowed funds
b. Short term and long term loans
c. Debentures and drafts
d. Assets and long term loans

354. Which of the following business form has the shortest life span?

a. Sole proprietorship
b. Partnership
c. Company
d. Co-operative society

355. Four cost concepts are important in pricing decisions: total cost, fixed cost, variable cost, and:

a. Spending cost
b. Promotion cost
c. Product cost
d. Marginal cost

356. In which of the following do two or more organizations collaborate on a project for mutual gain?

a. Limited partnership
b. Joint venture
c. Public corporation
d. Strategic alliance

357. Sources of marketing information are categorized into two groups - what are they?

a. Macro environmental sources; micro environmental sources.
b. External sources; internal sources.
c. Causal resources.
d. All of the given options

358. _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement
The product life cycle
Marketing research
A customer-oriented approach

359. The notice calling the annual general meeting, must, be given to all its members at least _____ days before the date of the meeting.

a. 21 days
b. 30 days
c. 45 days
d. 51 days

360. A product is:

a. Everything the customer receives in an exchange
b. The physical object the customer receives in an exchange
c. The service that is rendered to a customer
d. The idea that the customer receives in an exchange

361. Political and legal barriers to trade include:

a. Tarrifs
b. Quotas
c. All of the given options
d. None of the given options

362. Money is the sole motivator for workers according to which of the following?

a. Theory X
b. Theory Y
c. Equity theory
d. Classical theory of motivation

363. DSS stands for:

a. Decision support system
b. Data support system
c. Data supervision system
d. None of the given options

364. Business benefits the people by providing them

a. **Large number of services**
b. Less number of services
c. Environmental pollution
d. Sub standard goods

365. The method of interviews where questions can be changed or adapted to meet the respondent's intelligence and understanding is called:

a. Unstructured interviews
b. Structured interviews
c. All of the given options
d. None of the given options

366. Which of the following is not the disadvantage of cooperative society?

a. Lack of secrecy
b. No profit incentive
c. Untrained supervision

d. Protection of mutual interest

367. First directors are usually named in the _____

a. Memorandum of Association
b. Articles of Association
c. Prospectus
d. None of the above

368. Which of the following statements about franchising is true?

a. Franchising is a type of corporate system.
b. Franchising is used to achieve coordination at successive stages of production
c. Franchising is a type of administered vertical marketing system.
d. Franchising is the most visible variation of contractual systems

369. A training technique in which trainees act out as parts in a realistic management situation is known

as:

Business Games
Role Play
Vestibule Training
None of the given options

370. The situation when a country imports less than it exports is:

a. A trade surplus.
b. A recession.
c. An expansion.
d. A trade deficit

371. Being a global organization means:

a. Customizing the product range for each segment in part.
b. Creating standardized products
c. All of the given
d. None of the given

372. _____ is the process of locating, identifying, and attracting capable applicants.

a. Downsizing
b. Human resource inventory report
c. Recruitment
d. Strategic human resource planning

373. Which of the following is included in job specification?

a. Working environment
b. Experience
c. Job title
d. Job location

374. When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a. Market differentiation
b. Market mission
c. Market segment
d. Marketing plan

375. There are really only two ways to collect primary data for a marketing study:

a. Observation and asking questions
b. Passive and remote observations
c. Through laboratory settings and onsite groups
d. With careful, selected shopper and specialized syndicated services

376. A firm can charge a higher price without loosing its customers if it does not have much

a. Production
b. Competition
c. Advertising
d. Industry demand

377. _____ is used to cover long-term expenses such as assets.

a. Line of Credit
b. Debt Financing
c. Preferred Stock
d. Financial Management

378. A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

a. 21 days
b. 30 days
c. 45 days
d. 51 days

379. The obtaining and investing funds by the firm is determined by the

a. Finance function
b. Marketing function
c. Organizing function
d. Accounting function

380. The marketing concept is:

a. Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b. Long-run success page.
c. Largest market share.
d. Highest paid staff.

381. _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing
Marketing Era Marketing
Consumer Marketing
Exchange Marketing

382. The liability of a sole trader is:

Limited only to his investment in the business
Limited to the total resources of the business
Unlimited
Not defined

383. At which stage of the product life cycle would a company consider the design of product versions for

different segments as part of its product strategy?

a. Introduction
b. Growth
c. Maturity
d. Decline

384. All of the following statements are true regarding a partnership except _____.

Partners pay personal income tax on their share of the partnership's income
A new partnership agreement is required whenever a new partner enters or leaves the partnership
Mutual agency creates personal obligations for each partner
Each partner's liability is limited to the amount he or she contributed to the partnership

385. Which of the following statements is true about services?

They are experienced, used or consumed
They are often sold first, then consumed
They are perishable
All of the given options

386. The sole trader and his business exist:

a. Independently
b. Together
c. For others
d. None of the above

387. In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:

Demographics
Psychographics
Personal profiles
Personality

388. Which of the following is an off-the-job training methods?

a. Lectures
b. Business Games
c. Case Study method
d. All of the given options

389. A major disadvantage of the corporate form of organization is the _____.

a. Double taxation of dividends
b. Inability of the firm to raise large sums of additional capital
c. Limited liability of shareholders
d. Limited life of the corporate form

390. Which of the following business type can avail some concessions from the government?

a. Sole proprietorship
b. Partnership
c. Joint stock company
d. Cooperative society

391. New and revised products may be tested through:

a. Commercialization
b. Product life cycle
c. Family brands
d. Marketing research

392. Demographic segmentation divides the market by:

a. Age, gender, marital status, social class, religion and education
b. Perceptions, beliefs and values
c. Lifestyle, personality and self-image
d. Location or region

393. The activity directed towards producing wealth through buying and selling goods is termed as:

a. Business
b. Social services
c. non-economic activities
d. None of the given options

394. People in business and government face important ethical issues and decisions.

a. Only in the United States
b. Primarily in capitalist countries
c. Primarily in communist countries
d. In many different countries around the world

395. A good, service, or idea consisting of a bundle of tangible and intangible attributes that can satisfy consumers is called a:

a. Nondurable good
b. Durable good
c. Product
d. Commodity

396. Possession utility is provided when:

A good or service is obtained and there is a right to use or consume it
A product is available where someone wants it
Someone performs a task for someone else
None of the given options

397. The first stage in Evolution of business is:

a. Industrial revolution
b. Marketing Era
c. Entrepreneurship
d. Globalization

398. An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process
Exchange process
Relationship process
Production process

399. Which of the following is EXCLUDED from the advantages of sole proprietorship?

a. Unlimited liability
b. Personal satisfaction
c. Entire profit
d. Independence

400. Examples of genetic industries include:

Poultry
Sugar mill
Plant nurseries
Canals

401. A document containing information regarding internal and external matters of the business is called:

a. Business plan
b. Partnership deed
c. Feasibility report
d. None of the given

402. Many organizations provide guidelines of behavior to employees through a code of:

Cartel arrangements
Kickback agreements
Production manuals
Responsibility and ethics

403. The most important step in understanding business ethics is

a. Establishing codes of ethics
b. Learning to recognize ethical issues
c. Having efficient operations
d. Implementing a strategic plan

404. A major disadvantage of the corporate form of organization is the _____.

Double taxation of dividends
Inability of the firm to raise large sums of additional capital
Limited liability of shareholders
Limited life of the corporate form

405. Selection devices that are based upon physical condition of the candidates are known as:

a. Medical tests
b. Background investigations.
c. Aptitude tests
d. Application forms.

406. Which of the following focuses on job content, environment, and conditions of employment?

a. Job description
b. Human resource inventory report
c. Job analysis
d. None of the given options

407. People in business and government face important ethical issues and decisions.

a. Only in the United States
b. Primarily in capitalist countries
c. Primarily in communist countries
d. In many different countries around the world

408. The law elating to Joint Stock Companies has been laid in companies Ordinance:

a. 1984
b. 1980
c. 1932
d. none of the above

409. The term tariff, as used in international trade, refers to:

a. The price of goods when they leave the producing country.
b. A tax on imports.
c. A limit on the quantity of a good that can be imported into a country
d. A government payment to encourage exports.

410. Which of the following should be considered when designing a business plan?

a. Objectives of the business
b. Marketing components of the business
c. Financial components of the business
d. All of the above

411. Which of the following is included in economic factors?

a. Religion

b. Value system
c. Norms
d. Exchange rate

412. A document containing information regarding internal and external matters of the business is called:

a. Business plan
b. Partnership deed
c. Feasibility report
d. None of the given

413. Which of the following business type can avail some concessions from the government?

a. Sole proprietorship
b. Partnership
c. Joint stock company
d. Cooperative society

414. A major advantage of the corporate form of organization is:

a. Reduction of double taxation.
b. Limited owner liability.
c. Legal restrictions.
d. Ease of organization

415. Which of the following factor(s) contribute to success of new businesses?

a. Hard work
b. Market Demand
c. Luck
d. All of the given

416. The formation of ____ does not require any legal formality like registration.

a. Sole proprietorship
b. Company
c. Cooperative society
d. Partnership

417. The buying and selling of goods by way of electronic media, such as telephones is called:

a. E-commerce
b. Digital Age
c. Enterprise Resource Planning
d. None of the given options

418. Compared to licensing, franchising is a more advantageous entry mode because:

a. It generates economies of scale in marketing to international customers.
b. It offers greater control.
c. It is low-risk and low-cost.

d. Of all the above

419. In the business plan, when making financial projections, which of these would NOT form part of the plan?

a. Sources of loan
b. Expected revenues
c. Net income or profit
d. Audit

420. The two major sources of raising funds or financing a business are:

a. Owner's capital & borrowed funds
b. Short term and long term loans
c. Debentures and drafts
d. Assets and long term loans

421. Auditors are generally appointed and their remuneration, fixed at the _____

a. Extraordinary Meeting
b. Statutory Meeting
c. Director's Meeting
d. Annual General Meeting

422. An agreement between two parties in which one party passes on the right to other party is called:

a. Franchising agreement
b. Joint venture
c. Merger
d. Reconsolidation

423. Management level is concerned with long-range planning for the organization.

a. Supervisory
b. Middle-managerial
c. Stockholder
d. Top-managerial

424. Which of the following enjoys limited liability?

a. A general partnership.
b. A corporation.
c. A sole proprietorship.
d. None of the above

425. Which of the following is excluded from factors that can affect the business?

a. Demographic Factors
b. Economic and social factors
c. Natural factors
d. None of the above

426. Barriers to international trade include:

a. Social and cultural differences
b. Political and legal differences
c. Economic differences
d. All of the given options

427. The sole trader and his business exist:

a. Independently
b. Together
c. For others
d. None of the above

428. All of the following statements are true regarding partnerships except _____.

a. There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits
b. If the partnership agreement does not specify otherwise, profits will be shared equally by the partners
c. A partnership balance sheet is much like that of a proprietorship
d. The death of a partner dissolves the partnership and all assets must be liquidated

429. The liability of each member in cooperative society is

a. Limited to the share capital
b. Limited to total property of the society
c. Unlimited
d. None of the above.

430. Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) **External Component**
d) Financial Component
3) An agreement between two parties in which one party

431. possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) **Franchising**

432. The shareholders elect the Board of Directors in the

a)Through special resolution
b)In annual general meeting
c) In Special meeting
d)In statuary meeting

433. 5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) **Retained Earning**
c) Appropriation account
d) All of the given options

Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) **Prospectus**
d) None of the given option

434. A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

435. Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

a) Debt
b) Equity
c) None of the above
d) All of the given option

436. Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

437. Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

438. Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

439. The process of tracking the demand and satisfaction of customers in an effort to develop products

they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

440. _____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle
c) Marketing research
d) A customer-oriented approach

441. All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

442. When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

443. _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

444. Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

445. The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries

b) Direct distribution
c) Distribution mix
d) Distribution channel

446. Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

All of the following choices represent one of the four types of utility except:
a) Time
b) Form
c) Loyalty
d) Ownership

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) Marketing
d) Relationship

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving
the maximum amount of profits.
b) Long-run success page.
c) Largest market share.
d) Highest paid staff.

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
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An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

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b) Exchange process
c) Relationship process
d) Production process

Rana Abubakar Khan

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Introduction to business_MGT211_MCQs Midterm

Question No: 1 Which of the following business type has longest life time?

Sole proprietorship Partnership

Joint stock company All of the given options

Question No: 2 Election of the Board of Directors is done by Shareholders.

Through special resolution **In annual general meeting**

In Special meeting In statuary meeting

Question No: 3 Which of the following business type, has to pay double taxes to the government?

Sole proprietorship Partnership

Joint stock company Cooperative Societies

Question No: 4 _____ includes the rules and regulations, necessary to manage the internal affairs of the company.

Memorandum of Association **Article of Association**

Prospectus All of the given option

Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.

Charter of Company Article of Association

Prospectus None of the given option

Question No: 6 To call the extraordinary meeting, how many days' notice is required?

21 days 15 days 07 days 30 days

Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:

Statutory Declaration **Fails to submit statutory report**

Expiry of Period Appointment of Liquidators

Question No: 8 Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate Debentures

Participation Term Certificates All of the given option

Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital Un-Issued Capital

Un-Called up Capital All of the given option

Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor Petition by creditor

Petition by contributory All of the above

Question No: 11 Which of the following is the disadvantage of modified schedules and alternative workplace?

Freedom in professional and personal life More Job satisfaction

Complicated coordination

Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles Democratic styles

Free rein style None of the given option

Question No: 13 _____ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

Participative Management and Empowerment

Management by Objectives (MBO)

Reinforcement/Behavior Modification Theory None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

Organization Policies Product Policies

Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

Marketing Mix **Advertising objective**

Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

Market segmentation Marketing Mix

Marketing Penetration Marketing control

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

Marketing Environment Market segmentation

Marketing Mix Marketing Penetration

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

Market segmentation **Marketing Mix**

Marketing Penetration Marketing Environment

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

Substitute product competition Brand competition

International competition: Market competition

Question No: 21 Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods Work in process

Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising Comparative advertising

Informative advertising Reminder advertising

None of the given options

Question No: 23 _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising Sales Promotion

Question No: 24 _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost Transportation cost

Distribution cost Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing **Creative Selling**

Missionary Selling None of the given option

Question No: 26 Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion Special-event sponsorship

Question No: 28 _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM) Promotion strategy

Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion **Publicity** Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising Comparative advertising

Informative advertising **Reminder advertising**

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:

Marketing Component Administrative Component

External Component Financial Component

Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:

Partnership Strategic Alliance Joint venture Franchising

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Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

Marketing Business vision Product development

Customer relationship management

Question No: 42 _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement The product life cycle

Marketing research A customer-oriented approach

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create a product consumers want to buy increases)

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consumer behavior)

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Market segment Marketing plan

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Product differentiation Product positioning

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Distribution mix Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except:

Time Form Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page. Largest market share. Highest paid staff.

Question No: 53 _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing Marketing Era Marketing

Consumer Marketing Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process

Relationship process Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an:

Institution market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except:

Proprietorship partnership bureaucracy corporation

Question No: 59 Partners have unlimited liability in a:

general partnership corporation limited partnership cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating risk value return on investment

Question No: 62 _____ conditions reflect the overall performance of the nation's economy.

Microeconomic multieconomic

macroeconomic all of the given options

Question No: 63 The primary purpose of an industry business environmental assessment is to determine the:

economic growth degree of competition

inflation rate population growth

Question No: 64 The function of business responsible for the efficient use of employees and other resources (such as machinery) is:

Finance marketing production management

Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.

Overtime training affirmative action orientation program

Question No: 66 Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:

Labor Union Informal organization Team Trade union

Question No: 67 Since they are closer to the production process, first line managers use their _____ skills more frequently.

Conceptual interpersonal managerial technical

Question No: 68 Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?

equity theory management by objectives theory X theory Y

Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:

social values anthropology geography demographics

Question No: 70 Cameras, clothes, and household items are examples of products that exist in:

industrial markets business markets

consumer markets government markets

Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:

research and development production facilities

distribution facilities inventory control

Question No: 72 Products that are not branded by the producer or retailer are called:

national brands store brands obsolete brands generic brands

Question No: 73 Managers typically attempt to set a price that will maximize a firm's:

Value production advertising promotion

Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:

advertising strategies product decisions

pricing strategies distribution decisions

Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

single-service marketers agents stockers mediators

Question No: 76 All of the following are methods of promotion except:

target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising the push strategy

reminder advertising public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79 ____ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers Knowledge workers

Diverse workforce None of the given options

Question No: 80 _____ represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

Gate-keeping Broadband Inter-organizational Internal information

Question No: 83 Through _____, firms achieve a lower average cost by producing large volume.

Inventory management Economies of scale

De-integration Effective marketing

Question No: 84 _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality assurance

Continuous improvement process Total quality management

Question No: 86 The heart of a computer is its:

Power unit Central processing unit

Random access memory Hard drive

Question No: 87 In typical network architecture, workstations are connected to a ___, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

Core components Externalities Peripherals Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function Innovation Quality improvement

Question No: 92 If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable Unfavorable Deficit None of the above

Question No: 93 Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers Unlimited Liability
Easy transfer of Ownership Entire Profit

Question No: 94 Which of the following is an advantage of sole proprietorship?

Longest life Availability of sufficient Capital
Direct contact with customer and workers Separate Legal Entity

Question No: 95 Which of the following is not among the benefits of Partnership Firm? Satisfaction of Partners
Lack of Secrecy

Moral Promotion Minority Protection

Question No: 96 In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50 As per percentage of Capital invested
As per agreed ratio in Partnership deed 25:75

Question No: 97 The company may raise its capital through which of the following sources:
By Issuing Shares By Issuing Debentures
By Savings All of the given options

Question No: 98 Advantages of cooperative societies does not include

Equal distribution of wealth Interference of Government
No Monopoly Open Membership

Question No: 99 WTO was organized on _____

July 15, 1998 January 01, 1990 August 25, 1995 January 01, 1995

Question No: 100 A major disadvantage of corporate organization is

Double Taxation of dividend **Inability of the firm to large sum of additional capital**

Limited liability of share holders Limited life of Cooperate firm

Question No: 101 It is difficult to transfer to right of ownership is

Sole proprietor ship **Partner ship** All of given options None of given options

Question No: 102 Wages are paid for

Long term **Short term** All of given options None of given options

Question No: 103 Pakistan is exporting

Sports Item Agriculture Product Textile Product **All of given options**

Question No: 104 Managers have _____ type of skills

2 **3** 4 5

Question No: 105 The process of attracting the people for job

Recruitment pecial skills Supervision Job Specification

Question No: 106 What is the method of on job training?

Lectures Vestibule Videos **None of given options**

Question No: 107 The liability of a sole trader is _____

limited Only to his investment in the business

Limited to the total resources of the business **Unlimited** Not defined

Question No: 108 Genetic industry means

Canal Sugar mill **Poultry** Agriculture

Question No: 109 The first stage Evolution business is?

Industry revolution Globalization Entrepreneurship Marketing era

Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:

Partnership Ownership Expansion Organization

Question No: 111 Generally, in a limited partnership:

All partners have limited liability. The partners exist for a limited time period.

The limited partners do not participate in management of the company.

Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with firm's:

Competition Strategic plan Industry demand Labor union

Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are:

Interpersonal skills Technical skills Decision making skills Conceptual skills

Question No: 114 The four functions of management:

Must be enacted in the proper sequence Must be integrated

Are stand alone, independent functions Can not be performed by one individual

Question No: 115 Social interaction and acceptance by others are examples of:

Physiological needs Safety needs Affiliation needs Esteem needs

Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:

Empowerment Merit system Hygiene theory Equity system

Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is referred to as:

Job analysis Job screening Job evaluation Human resource planning

Question No: 118 A _____ is an assignment to a higher level job with more responsibility and greater pay.

Transfer Lateral assignment Appraisal Promotion

Question No: 119 Products purchased by companies to produce other products are:

Consumer Goods Industrial Goods Services Inventory

Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:

Cartel arrangements Kickback agreements

Production manuals Responsibility and ethics

Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:

Production Competition Advertising Industry demand

Question No: 122 A distribution channel represents the path of a product from a producer to:

Retailer Wholesaler Consumer Manufacturer

Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:

Competitive product analysis Value-Added Analysis

Statistical Process Control Quality/Cost Studies

Question No: 124 Spreadsheets, database and word processing software are all types of:

Operating systems Utility programs Application software Firmware

Question No: 125 Which of the following is the most important determinant of a firm's value?

Earnings Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:

Finance function Marketing function

Organizing function Accounting function

Question No: 127_____ is used to cover long-term expenses such as assets.

Line of Credit Debt Financing Preferred Stock Financial Management

Question No: 128 _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

Knowledge Worker Labor Markets Contingent Worker Workforce Diversity

Question No: 129 An increase in the general level of prices of products over a specified period of time is called:

Inflation Gross domestic product

Disinflation Equilibrium

Question No: 130 The formation of _____does not require any legal formality like registration.

Company Cooperative society Partnership **Ans Sole proprietorship**

Question No: 131 Which of the following is a disadvantage of partnership?

Distribution of work Sufficient capital

Prime credit standing **Ans Profit sharing**

Question No: 132 In partnership deed, profit and loss is distributed among the partners:

In equal percentage As per percentage of capital invested

Ans As per agreed ratio in partnership deed None of the given options

Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:

Ans Article of Association Memorandum of Association

Special Resolution None of the given options

Question No: 134 Which of the following should be considered when designing a business plan?

Objectives of the business Marketing components of the business

Financial components of the business **Ans All of the given options**

Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in _____.

Ans A strategic acquisition A financial acquisition

A two-tier tender offer A shark repellent

Question No: 136 The record of a country's imports and exports of goods and services is called its:

Visible trade balance. **Ans Balance of payments**

Balance of payments on current account. Balance of trade.

Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?

GATT EU **Ans WTO** NAFTA

Question No: 138 Export subsidies are:

Maximum limits on the quantity of specific products imported to a nation.

Taxes placed on imported products.

Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity. Game plan

Question No: 140 _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization? GANNT chart **Ans Replacement chart** PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors** Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals

Involves giving employees work with a greater degree of responsibility and autonomy Ans Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?

Ans Total company effort Profit Productivity Customer satisfaction

Question No: 151 In _____ of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage Product oriented stage

Ans Marketing oriented stage None of the given options

Question No: 152 Which of the following statements is NOT true about services?

They are experienced, used or consumed. They are often sold first, then consumed.

They are perishable. **Ans They are tangible.**

Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:

Ans Validity Reliability Dependability Goodness of fit.

Question No: 154 Which of the following would generally have *unlimited* liability?

A limited partner in a partnership A shareholder in a corporation

Ans The owner of a sole proprietorship

A member in a limited liability company (LLC)

Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?

Unlimited liability Single tax filing

Difficult ownership resale **Ans Raising capital**

Question No: 156 Which of the following enjoys limited liability?

A general partnership **Ans A Corporation**

A sole proprietorship None of the given options

Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?

General partnership Limited partnership

Corporation **Ans Limited liability company**

Question No: 158 Which of the following is false? I don't know the answer

One reason for failure of businesses is lack of managerial experience

One reason for failure of businesses is that most entrepreneurs are younger than 25 years old

One reason for failure of businesses is to neglect

One reason for failure of businesses is weak control systems

Question No: 159 What is a business plan? Discuss the purpose and significance of a business plan.

Question No: 160 What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

QuestionNo:161 People in business and government face important ethical issues and decisions. In many different countries around the world

QuestionNo:162 Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

QuestionNo:163 _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

QuestionNo:164 Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

QuestionNo:165 Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

QuestionNo:166 Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

QuestionNo:167 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:168 Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

QuestionNo:169 The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

QuestionNo:170 Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

QuestionNo:171 First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

QuestionNo:172 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:173 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:174 Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

QuestionNo:175 Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

QuestionNo:176 A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

QuestionNo:177 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:178 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:179 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:180 Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

QuestionNo:181 In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

QuestionNo:182 A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

QuestionNo:183 The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

QuestionNo:184 Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

QuestionNo:185 population size is included in

Economic factors

Demographic factors

Legal factors

Technological

QuestionNo:186 Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

QuestionNo:187 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

SPRING 2007 MGT211 - (Session - 4)

QuestionNo:188 the return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 the total market value of all final goods and services produced in a country is known as_____.

QuestionNo:189 _____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

QuestionNo:190 if a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

QuestionNo:191 Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

QuestionNo:192 Discuss some of the concerns an entrepreneur may have when starting a new business.

QuestionNo:193 Discuss and give examples of what you believe is the most common form of business ownership in your hometown.

QuestionNo:194 Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

QuestionNo:195 Describe the tasks involved in developing a human resource plan.

Spring 2007

QuestionNo:196 All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.

Land Capital Labor FinancialCounselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

Charter Laws Unlimited Liability

erms of his property insurance Limited Liability

QuestionNo:198 ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

Limited partnerships Limited Liability Companies

Sole Corporations General Partnership

QuestionNo:199------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the following except ----------.

Ensuring the business functions properly Possibly incurring large losses

Possibly losing source of income Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade

Tariffs Quotas Subsidies Taxes

QuestionNo:202 A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

Totalitarian government Representative democracy

Mixed Economy Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

Promoters Brokers Underwriters Directors

MGT211- INTRODUCTION TO BUSINESS

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MIDTERM EXAMINATION
Spring 2010
MGT211- Introduction To Business (Session - 1)

1. Which of the following must hold a statutory meeting?
   - Statutory companies
   - Private limited companies
   - Public limited companies
   - Chartered companies
2. Which of the following is NOT included in aids to trade?
   - Insurance
   - Warehousing
   - Transportation
   - Foreign trade

3. The portion of capital kept at the winding up of a company for the payment of debts is known as:
   - Reserve capital
   - Issued capital
   - Subscribed capital

Authorized capital

4. Which of the following business type can avail some concessions from the government?

Sole proprietorship
Partnership
Joint Stock company
Cooperative society

5. While making financial projections in a business plan, which of these would NOT form part of the plan?

Source of loan
Audit
Net income or profit
Expected revenues

6. Which of the following are included in a business plan?

Financial information, production plans, personal policies.
Goals of the business and how they will be achieved.
Market analysis
All of the given options.

7. Which of the following is not a reason for a business failure?

Managerial experience or inexperience
Effective control systems
Insufficient control system
None of the given options

8. In which of the following two or more organizations collaborate on a project for mutual gain?

Limited partnership

Public corporation
Strategic alliance
None of the given options

9. The difference between a country's merchandise exports and its merchandise imports is the:

Current account
Capital account
Balance of trade
Balance of payments

10. One of the best solutions to get rid of non-biodegradable wastes is:
Dumping
Recycling

11. The MBTI is a personality test that has been used to select candidates who will more likely
engage in organizational citizenship behaviors at work. However, critics of this test suggest that the
results can change over time as a person's personality develops. Therefore the MBTI personality
test may be:

Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

12._____ is a written statement which contains the duties and responsibilities of a job.

Job analysis
Job specification
Job description
Job inventory chart

13. According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm
for her house is motivated to do so in an attempt to fulfill the following need:

Esteem
Security

Social
Self-actualization

14. Douglas McGregor is associated with which of the following?

Scientific management
Motivational factors
Theory X and theory Y
The Hawthorne studies

15. Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

Safety
Self actualization
Physiological
Social

16. The term "Job Rotation":

Is another term for employee empowerment?
Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Means that staff is moved periodically from task to task in order to increase variety and
interest.

17. Which of the following statements is NOT true about services?

They are experienced, used or consumed
They are often sold first, and then consumed
They are perishable

They are tangible

18. Which of the following generic terms is not a management function?

Leading
Systemizing
Planning
Organizing

19. Increases in the degree of responsibility a worker has over his or her job is referred to as job:

Empowerment
Enlargement
Enrichment
Entitlement

20. ABC Company is currently hiring employees from different countries. ABC Company is said to be implementing _____ strategy.

Decentralization
Downsizing
Workforce diversity
Retrenchment

21. What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability
Single tax filing

Difficult ownership resale
Raising capital

22. Which of the following is the oldest form of business organization?

Sole proprietorship
Partnership
Company
Cooperative society

23. Which of the following is an advantage of a corporation that is *not* an advantage as a limited partner in a partnership?

Limited liability
Easy transfer of ownership position
Double taxation
All of the given options are advantages that the corporation has over limited partner

24. Examples of constructive industries include:

Canals
Fishery
Sugar mills
Plant nurseries

25. Which of the following statement shows the Trade Deficit process?

A process in which country imports are higher than the exports
A process in which country exports are equal to the exports
A process in which country imports are less than the country exports
All of the given options

26. Mr. Saleem has invested 20,000 Rs in a business but did not take part in the management of the

business. In which category of partner he falls?

Secret partner
Silent partner
Sleeping partner
All of the given options

27. Name of the business should:

Be simple
Indicates the type of business
Be familiar
All of the given options

28. Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?

Licensing
Joint venturing
Contracting
Franchising

29. What are some of the non financial ways of compensation for employees? (3 marks)

30. How does the term Merger differs from the term Acquisition. (3 marks)

31. What do you mean by recruitment? What are the different ways of recruitment? (5 marks)

32. Describe Expectancy theory. (5 marks)

MIDTERM EXAMINATION
Spring 2009
MGT211- Introduction To Business (Session - 2)

Question No: 1 (Marks: 1) - Please choose one
Which of the following is excluded from factors that can affect the business?
Demographic Factors
Economic and social factors
Natural factors
None of the above

Question No: 2 (Marks: 1) - Please choose one
The formation of _____does not require any legal formality like registration.
Company
Cooperative society
Partnership
Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one
Which of the following is a disadvantage of partnership?
Distribution of work
Sufficient capital
Prime credit standing
Profit sharing

Question No: 4 (Marks: 1) - Please choose one
In partnership deed, profit and loss is distributed among the partners:
In equal percentage
As per percentage of capital invested
As per agreed ratio in partnership deed
None of the given options

Question No: 5 (Marks: 1) - Please choose one
The powers of the Board of Directors to borrow from the bank are mentioned in:
Article of Association
Memorandum of Association
Special Resolution
None of the given options

Question No: 6 (Marks: 1) - Please choose one
Which of the following should be considered when designing a business plan?
Objectives of the business
Marketing components of the business

Financial components of the business
All of the given options

Question No: 7 (Marks: 1) - Please choose one
A firm that acquires another firm as part of its overall business strategy is engaging in _____.
A strategic acquisition
A financial acquisition
A two-tier tender offer
A shark repellent

Question No: 8 (Marks: 1) - Please choose one
The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Balance of payments
Balance of payments on current account.
Balance of trade.

Question No: 9 (Marks: 1) - Please choose one
which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT
EU
WTO
NAFTA

Question No: 10 (Marks: 1) - Please choose one
Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Government payments to domestic producers to reduce the price on exported goods.

Question No: 11 (Marks: 1) - Please choose one
If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ethics
Profitability.
Productivity.
Game plan

Question No: 12 (Marks: 1) - Please choose one
_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment
Corporate philanthropy
Corporate policy
Corporate governance
Corporate responsibility

Question No: 13 (Marks: 1) - Please choose one
Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:
What business the organization should be in
The right quantity and quality of employees needed when and where
What physical resources the organization needs
Who the organization's main competitors are

Question No: 14 (Marks: 1) - Please choose one
The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:
Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

Question No: 15 (Marks: 1) - Please choose one
Selection devices that are based upon physical condition of the candidates are known as:
Medical tests
Background investigations.
Aptitude tests
Application forms.

Question No: 16 (Marks: 1) - Please choose one
Which of the following chart shows turnover in an organization?
GANNT chart
Replacement chart
PERT chart
Bar chart

Question No: 17 (Marks: 1) - Please choose one
The Hawthorne Studies found:
That social and psychological factors could significantly affect productivity
That economic factors affect productivity

Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

Question No: 18 (Marks: 1) - Please choose one
According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:
Esteem.
Security
Social
Self-actualization.

Question No: 19 (Marks: 1) - Please choose one
Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:
Growth factors
Hygiene factors
Esteem factors
Motivating factors

Question No: 20 (Marks: 1) - Please choose one
Which of the following step is important to improve expectancy?
Deliver rewards as promised.
Observe and recognize performance.
Create the belief that effort is related to performance
Make the rewards meaningful.

Question No: 21 (Marks: 1) - Please choose one
The term "Job Rotation":
Is another term for employee empowerment
Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 22 (Marks: 1) - Please choose one
Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Total company effort
Profit
Productivity
Customer satisfaction

Question No: 23 (Marks: 1) - Please choose one
In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage

Product oriented stage
Marketing oriented stage
None of the given options

Question No: 24 (Marks: 1) - Please choose one
Which of the following statements is NOT true about services?
They are experienced, used or consumed.
They are often sold first, then consumed.
They are perishable.
They are tangible.

Question No: 25 (Marks: 1) - Please choose one
The degree to which a tool or test measures what it is supposed to measure is known as:
Validity
Reliability
Dependability
Goodness of fit.

Question No: 26 (Marks: 1) - Please choose one
Which of the following would generally have
unlimited
liability?
A limited partner in a partnership
A shareholder in a corporation
The owner of a sole proprietorship
A member in a limited liability company (LLC)

Question No: 27 (Marks: 1) - Please choose one
What is potentially the biggest advantage of a small partnership over a sole proprietorship?
Unlimited liability
Single tax filing
Difficult ownership resale
Raising capital

Question No: 28 (Marks: 1) - Please choose one
Which of the following enjoys limited liability?
A general partnership
A corporation
A sole proprietorship
None of the given options

Question No: 29 (Marks: 1) - Please choose one
In which type of business entity the entire ownership interest is transferable most freely ?
General partnership
Limited partnership
Corporation
Limited liability company

Question No: 30 (Marks: 1) - Please choose one
Which of the following is false?
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems

Question No: 31 (Marks: 5)
What is a business plan? Discuss the purpose and significance of a business plan.

Question No: 32 (Marks: 10)
What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

INTRODUCTION TO BUSINESS
MGT 211
Fall semester 2007
Mid term paper

Please highlight the correct option from the given choices.

1) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?
a) 10%
b) 15%
c) 40%
d) 80%

2) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution
b) **In annual general meeting**
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus
d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?
a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 11:
Which one of the following statements about marketing is inaccurate?
a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.

b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 12:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) **Customer relationship management**

Q# 13:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) **The product life cycle**
c) Marketing research
d) A customer-oriented approach

Q# 14:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) **Marketing research provides an inexpensive method for tracking consumer behavior**

Q#15:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) **Market segment**
d) Marketing plan

Q#16:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 17:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 18:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries
b) Direct distribution
c) Distribution mix
d) Distribution channel

Q#1 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 20:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 21:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) **Loyalty**
d) Ownership

Q# 22:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) **Marketing**
d) Relationship

Q# 23:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) **Long-run success page**.
c) Largest market share.
d) Highest paid staff.

Q# 24:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) **Relationship Marketing**
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 25:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) **Sales process**
b) Exchange process
c) Relationship process
d) Production process

Solved MCQs mgt211

Question # 1
Which of the following focuses on job content, environment, and conditions of employment?
Select correct option:

a. Job description

b. Human resource inventory report

c. Job analysis

d. None of the given options

Question # 2
All of the following except _____ are considered to be correct statements about marketing research.
Select correct option:

a. It is a systematic search for information about customers' needs and how those needs differ.

b. Marketing research is geared to uncover unmet consumer needs

c. With market research, the chance product development will be able to create a product consumers want to buy increases

d. Marketing research provides an inexpensive method for tracking consumer behavior

Question # 3
In the marketing research process the 1st step is to define the problem followed by:
Select correct option:

a. Collection of data

b. Develop recommendation

c. Develop the research design

d. Implement plan

Qu**estion # 4**

Which of the following is the least likely decision to be made by Operations Managers?
Select correct option:

a. Deciding which market areas to manufacture products for

b. Designing and improving the jobs of the workforce

c. Selecting the location and layout of a facility

d. How to use quality techniques to reduce waste

Question # 5

What kind of sales person are you most likely to find working in the pharmaceutical industry?
Select correct option:

a. Order taker

b. Order getter

c. Sales engineer

d. Missionary salesperson

Question # 6

_____ includes all of the activities involved in the sale of products to final customers.
Select correct option:

a. Wholesaling

b. Retailing

c. Marketing

d. Distributing

Question # 7

Which of the following are the functions of management?

a. Select correct option:
b. Planning

c. Organizing
d. Coordinating

e. All of the given options

Question # 8

A major advantage of the corporate form of organization is:

Select correct option:

a. Reduction of double taxation.

b. Limited owner liability.

c. Legal restrictions.

d. Ease of organization

Question # 9

It is difficult to transfer the rights of ownership in:

Select correct option:

a. Sole proprietorship

b. Partnership

c. All the given options

d. None of the given options

Question # 10

Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business

Select correct option:

a. 3 months

b. 6 months

c. 1 year

d. One month

Question # 11

Which of the following is the most important determinant of a firm's value?

Select correct option: **a. Earnings**

b. Debt

c. Liabilities

d. Liquidity

Question # 12

The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:

Select correct option:

a. Market penetrating

b. Target Marketing

c. Relationship marketing

d. Market segmentation

Question # 13
_____ refers to the standards of moral behavior.
Select correct option:

a. Legality

b. Loyalty

c. Integrity

d. Ethics

Question # 14
The difference between a country's merchandise exports and its merchandise imports is the:
Select correct option:

a. Current account.

b. Capital account

c. Balance of trade

d. Balance of payments

Question # 15
The World Trade Organization (WTO):
Select correct option:

a. Sets tariffs to balance international trade among nations.

b. Is the successor to NAFTA.

c. Rules on trade disputes between nations.

d. Sets exchange rates to balance international trade among nations.

Question # 16
Which of the following is NOT a core function of management?
Select correct option:

a. Planning

b. Organizing

c. Motivating

d. Leading

Question # 17
In democratic style of leadership there is:
Select correct option:

a. Upward communication

b. Upward and downward communication

c. Occasional communication

d. Downward communication

Question # 18
The following are included in a business plan:
Select correct option:

a. Financial information, production plans, personnel policies

b. Goals of the business and how they will be achieved.
c. Market analysis

d. All of the above.

Question # 19
There are really only two ways to collect primary data for a marketing study:
Select correct option:

a. Observation and asking questions

b. Passive and remote observations

c. Through laboratory settings and onsite groups

d. With careful, selected shopper and specialized syndicated services

Question # 20
The major disadvantage of advertising on television is:
Select correct option:

a. Local market focus

b. Long life span

c. Cost.

d. Its inability to target specific audiences.

Question # 21

_____ may be used to analyze how well a company is managing its assets.

Select correct option:

a. Profitability Ratio

b. Debt Ratio

c. Activity Ratio

d. Liquidity Ratio

Question # 22

For the individual employee, MBO provides:

Select correct option:

a. A way to keep the company accountable

b. Specific personal performance objectives

c. Increased monetary compensation

d. Communication between co-workers.

Question # 23

Examples of genetic industries include:

Select correct option:

a. Poultry

b. Sugar mill

c. Plant nurseries

d. Canals

Question # 24

Which of the following enjoys limited liability?

Select correct option:

a. A general partnership.

b. A corporation.

c. A sole proprietorship.

d. None of the above

Question # 25
JIT aims at:-
Select correct option:

a. Avoid delays

b. Favorable cash flow of the organization

c. Reduction in non-value added activities

d. All of the given options

Question # 26
Consumer goods are purchased by:
Select correct option: a. Business users.

b. Ultimate consumers.

c. Governments.

d. Families.

Question # 27
The last step involved in designing an advertising campaign is _____.
Select correct option:

a. Allocation of Budget

b. Advertising Objectives

c. Advertising Evaluation

d. Message Creation

Question # 28
In which of the following do two or more organizations collaborate on a project for mutual gain?
Select correct option:

a. Limited partnership

b. Joint venture

c. Public corporation

d. Strategic alliance

Question # 29
Air crafts are used for transportation of products when speed is
Select correct option:

More important
Less important

Question # 30
An item consumed in one or a few uses is called a:
Select correct option:

a. Consumer good
b. Commodity
c. Durable good
d. Nondurable good

Question # 31
Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Select correct option:

a. Sales promotion
b. Public relations
c. Personal selling
d. Advertising

Question # 32
A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:
Select correct option:

a. Job description.
b. Human resource inventory report.
c. Job analysis.
d. Job specification.

Question # 33
Aggregating prospective buyers into groups is called:
Select correct option:

a. Market categorization
b. Market segmentation
c. BCG matrix analysis
d. Grouping

a. Sets exchange rates to balance international trade among nations.

Question #34
Franchisors like franchising because:
Select correct option:

a. They get a huge amount of money from franchisee without doing much

b. Failure rate of franchise business is lower than other businesses.

c. Franchisees invest their own money and take responsibility for the management of the businesses they own.

d. All of the given

Question # 35
Auditors are generally appointed and their remuneration, fixed at the _____
Select correct option:
Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting
Question #36
Which of the following is included in economic factors?
Select correct option:
Religion
Value system
Norms
Exchange rate
Question # 37
Management, marketing and finance are key parts of a/ an:
Select correct option:
Accounting plan Production strategy
Business plan
Information systems
Question # 38
_____ refers to the standards of moral behavior.
Select correct option:
Legality
Loyalty
Integrity
Ethics
Question # 39
Skyscrapers, pop-ups, and banners are all types of _____ advertising.
Select correct option:
Television
Radio

Outdoor
Internet
Question # 40
Selection devices that are based upon physical condition of the candidates are known as:
Select correct option:

a. Medical tests

b. Background investigations.

c. Aptitude tests

d. Application forms.

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days
   3. 07 days
   4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. **Fails to submit statutory report**
   3. Expiry of Period
   4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. **Participation Term Certificates**
   4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
   1. **Reserve capital**
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. **Petition by debtor**
   2. Petition by creditor
   3. Petition by contributory
   4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. Complicated coordination
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

   a. Autocratic styles
   b. Democratic styles
   c. Free rein style
   d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

   a. Leadership
   b. Motivation
   c. Free rein style
   d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

   a. Participative Management and Empowerment
   b. Management by Objectives (MBO)
   c. Reinforcement/Behavior Modification Theory
   d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

   a. Organization Policies
   b. Product Policies
   c. Management Structure
   d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. Substitute product competition
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.
    a. **Finished goods**
    b. Work in process
    c. Raw material
    d. All of the given option
12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
    a. Persuasive advertising
    b. Comparative advertising
    c. **Informative advertising**
    d. Reminder advertising
    e. None of the given options
13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
    a. **Pull strategy**
    b. Push strategy
    c. Persuasive advertising
    d. Sales Promotion
14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
    a. **Warehousing cost**
    b. Transportation cost
    c. Distribution cost
    d. Manufacturing cost
15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
    a. Order Processing
    b. **Creative Selling**
    c. Missionary Selling
    d. None of the given option
16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
    a. **Final consumer**
    b. Retailer
    c. Wholesalers
    d. All of the given options
17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

a. **Trade Shows**
b. Contests
c. Cross-promotion
d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.
a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
a. Public relation
b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.
a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

Q 1.

1. A major disadvantage of corporate organization is
- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is
- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for
- Long term
- **Short term**
- All of given options
- None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have _____ type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is _____
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
   - Canal
   - Sugar mill
   - **Poultry**
   - Agriculture

10. The first stage Evolution business is?
    - **Industry revolution**
    - Globalization
    - Entrepreneurship
    - Marketing era

MGT211-Quizz-

Question # 1 of 15

In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:

Demographics
Psychographics
Personal profile
Personality

Question # 2 of 15
The method of interview where questions can be changed or adapted to meet the respondent's intelligence and understanding is called

Unstructured interview
Structured interview
All of the given options
None of the given options

Question # 3 of 15
Examples of generic industries include

Poultry
Sugar mill
Plant nurseries
Canals

Question # 4 of 15
---------- refers to standard of moral behavior

Loyalty
Integrity
Ethics

Question # 5 of 15
The buying and selling of goods by way of electronic media, such as telephone is called

Digital age
E commerce
Enterprise resource planning
None of the above

Question # 6 of 15
Which one of the following is NOT a benefit of partnership?

Distribution of work
Unlimited liability
Tax facility
Minority protection

Question # 7 of 15
The World Trade Organization (WTO):

Sets tariffs to balance international trade among nations
Is the successor to NAFTA?
Rules on trade disputes between nations.
Sets exchange rates to balance international trade among nations

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Question # 8 of 15
The liability of a sole trader is
Limited only to his investment in the business
Limited to the total resources of the business
Unlimited
Not defined

Question # 9 of 15
Which of the following statements about Franchising is true?
Franchising is a type of corporate system
Franchising is used to achieve coordination at successive stages of production
Franchising is a type of administered vertical marketing system
Franchising is the most visible variation of contractual systems

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Question # 10 of 15
Which one of the following business type can avail some concessions from Government?
Sole proprietorship
Partnership
JS Company
Cooperative society

Question # 11 of 15
Wages are paid for
Short term periods
Long term periods
All of the given options
None of the given options

Question # 12 of 15
A good, service, or idea consisting of a bundle of Tangible and intangible attributes that can satisfy consumer is called a:
Durable good
Product
Commodity

Question # 13 of 15
A _____ is an assessment of the kinds of skills, knowledge and abilities needed to successfully perform each job in an organization

Job description
Human resource inventory report
Job specification
Job analysis

Question # 14 of 15
The interviewer asks the respondents same questions using a predetermined series of questions interview questions in:

Structured interview
Unstructured interview
Telephonic interview
None of the given options

Question # 15 of 15
Which one of the following business has shortest life spam?

Sole proprietorship
Partnership
JS Company
Co-operative society

Semester Spring 2008
Quiz 1 solution
MGT211 (Introduction to Business)

Questions
Correct answer

1) Which of the following is excluded from factors that can affect the business?
a)
Demographic Factors
b)
Economic factors
c)
Act of God
d)
None of the above

Correct answer **D**

2)The function of business in which business man tries to find new techniques of production is

a)
Accounting
b)
Management Function
c)
Innovation
d)
Quality improvement

Correct answer C

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

a)
Favorable
b)
Unfavorable
c)
Deficit
d)None of the above

Correct answerA

4) Which of the following is excluded from the advantages of Sole Proprietorship?

a)
Direct relationship with customers
b)
Unlimited Liability
c)
Easy transfer of Ownership
d)
Entire Profit

Correct answerB

5) Which of the following is an advantage of sole proprietorship?

a)
Longest life
b)
Availability of sufficient Capital
c)

Direct contact with customer and workers
d)
Separate Legal Entity

Correct answer **C**

6) Which of the following is not among the benefits of Partnership Firm?
a)
Satisfaction of Partners
b)
Lack of Secrecy
c)
Moral Promotion
d)
Minority Protection

Correct answer **B**

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.
a)
50:50
b)
As per percentage of Capital invested
c)
As per agreed ratio in Partnership deed
d)
25:75

Correct answer **C**

8) The company may raise its capital through which of the following sources:
a)
By Issuing Shares
b)
By Issuing Debentures
c)
By Savings
d)
All of the given options

Correct answer **D**

9)Advantages of cooperative societies does not include

a)
Equal distribution of wealth
b)
Interference of Government
c)
No Monopoly
Open Membership

Correct answer **B**

10) WTO was organized on _____
a)
July 15, 1998
b)
January 01, 1990
c)
August 25, 1995
d)
January 01, 1995

Correct answer **D**

INTRODUCTION TO BUSINESS (MGT 211)

(QUIZ)

Please highlight the correct option from given choices.

1. An enterprise that provides products or services that customers desire is a /an:
   a. institution
   b. market
   c. agency
   d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

6. An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

7. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating
   b. risk
   c. value
   d. return on investment

8. _____ conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

9. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

10. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

11) All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.
   a) Land
   b) Capital
   c) Labor
   d) Financial Counselors

12) Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

   a) Charter Laws
   b) Unlimited Liability
   c) Terms of his property insurance
   d) Limited Liability

13) ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

   a) Limited partnerships
   b) Limited Liability Companies
   c) Sole Corporations
   d) General Partnership

14) ---------- is considered a primary advantage to forming a business partnership.

a) Shared Profit
b) Increase Specialization
c) Shared Control
d) Unlimited Liability

15) Disadvantages associated with being an entrepreneur include all of the following except ----------.

a) Ensuring the business functions properly
b) Possibly incurring large losses
c) Possibly losing source of income
d) Having an increased amount of control

16) All of the following except ---------- are considered to be barriers to free trade

a) Tariffs
b) Quotas
c) Subsidies
d) Taxes

17) A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

a) Totalitarian government
b) Representative democracy
c) Mixed Economy
d) Free Market Economy

18) ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

a) Promoters
b) Brokers
c) Underwriters
d) Directors

19) The function of business responsible for the efficient use of employees and other resources (such as machinery) is:

a) Finance
b) Marketing
c) Production
d) Management

20) The different types of stakeholders involved in a business include all of the following except:

a) Owners
b) Creditors
c) Couriers
d) Employees

MGT211 Introduction To Business More than 200 MCQs For Preparation of Midterm Exam

Question No: 1 Which of the following business type has longest life time?
Sole proprietorship Partnership
Joint stock company All of the given options
Question No: 2 Election of the Board of Directors is done by Shareholders.
Through special resolution **In annual general meeting**
In Special meeting In statuary meeting
Question No: 3 Which of the following business type, has to pay double taxes to the government?
Sole proprietorship Partnership
Joint stock company Cooperative Societies
Question No: 4 _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association **Article of Association**
Prospectus All of the given option
Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company Article of Association
Prospectus None of the given option
Question No: 6 To call the extraordinary meeting, how many days' notice is required?
21 days 15 days 07 days 30 days
Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
Statutory Declaration **Fails to submit statutory report**
Expiry of Period Appointment of Liquidators
Question No: 8 Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate Debentures
Participation Term Certificates All of the given option
Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital Un-Issued Capital
Un-Called up Capital All of the given option
Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor Petition by creditor
Petition by contributory All of the above
Question No: 11 Which of the following is the disadvantage of modified schedules and alternative workplace?
Freedom in professional and personal life More Job satisfaction

Complicated coordination
Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles Democratic styles
Free rein style None of the given option

Question No: 13 _____ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?
Participative Management and Empowerment
Management by Objectives (MBO)
Reinforcement/Behavior Modification Theory None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:
Organization Policies Product Policies
Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:
Marketing Mix **Advertising objective**
Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.
Market segmentation Marketing Mix
Marketing Penetration Marketing control

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:
Marketing Environment Market segmentation
Marketing Mix Marketing Penetration

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.
Market segmentation **Marketing Mix**
Marketing Penetration Marketing Environment

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:
Substitute product competition Brand competition
International competition: Market competition

Question No: 21 Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods Work in process
Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising Comparative advertising
Informative advertising Reminder advertising
None of the given options

Question No: 23 _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising Sales Promotion

Question No: 24 _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost Transportation cost
Distribution cost Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing **Creative Selling**
Missionary Selling None of the given option

Question No: 26 Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion Special-event sponsorship

Question No: 28 _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM) Promotion strategy
Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion **Publicity** Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising Comparative advertising
Informative advertising **Reminder advertising**

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:

Marketing Component Administrative Component
External Component Financial Component

Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:

Partnership Strategic Alliance Joint venture Franchising

Question No: 34 The shareholders elect the Board of Directors in the

Through special resolution In annual general meeting
In Special meeting In statuary meeting

Question No: 35 Portion of the undistributed profit transferred to which of the following?

General Reserve Retained Earning
Appropriation account All of the given options

Question No: 36 Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company Article of Association
Prospectus None of the given option

Question No: 37 A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following

Question No: 38 Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt Equity None of the above All of the given option

Question No: 39 Cooperative Societies are not formed for:

The serving of the orphans and widows The help of poor people
For the earning of profit Social welfare

Question No: 40 Which one of the following statements about marketing is inaccurate?

(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)

(Marketing has to do with persuading customers a product meets their needs.)

(The mass market has fragmented into many different groups of customers.)

(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)

Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

Marketing Business vision Product development
Customer relationship management

Question No: 42 _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement The product life cycle
Marketing research A customer-oriented approach

Question No: 43 All of the following except _____ are considered to be correct statements about marketing research.
(It is a systematic search for information about customers' needs and how those needs differ)
(Marketing research is geared to uncover unmet consumer needs)
(With market research, the chance product development will be able to create a product consumers want to buy increases)
(Marketing research provides an inexpensive method for tracking consumer behavior)

Question No:44 When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.
Market differentiation Market mission
Market segment Marketing plan

Question No: 45 _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.
Marketing mix Product mix
Product differentiation Product positioning

Question No: 46 Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Sales promotion Public relations
Personal selling Advertising

Question No: 47 The specific method a company uses to sell and deliver its products to customers is known as its _____.
Retail intermediaries Direct distribution
Distribution mix Distribution channel

Question No: 48 Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?
Independent wholesalers Direct distribution
Company-owned distributors Retail distributors

Question No: 49 The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?
Missionary selling Licensed distribution
Distribution mix Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except:

Time Form Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page. Largest market share. Highest paid staff.

Question No: 53 _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing Marketing Era Marketing

Consumer Marketing Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process

Relationship process Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an:

Institution market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except:

Proprietorship partnership bureaucracy corporation

Question No: 59 Partners have unlimited liability in a:

general partnership corporation limited partnership cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating risk value return on investment

Question No: 62 _____ conditions reflect the overall performance of the nation's economy.

Microeconomic multieconomic

macroeconomic all of the given options

Question No: 63 The primary purpose of an industry business environmental assessment is to determine the:
economic growth degree of competition
inflation rate population growth

Question No: 64 The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
Finance marketing production management

Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
Overtime training affirmative action orientation program

Question No: 66 Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
Labor Union Informal organization Team Trade union

Question No: 67 Since they are closer to the production process, first line managers use their _____ skills more frequently.
Conceptual interpersonal managerial technical

Question No: 68 Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
equity theory management by objectives theory X theory Y

Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:
social values anthropology geography demographics

Question No: 70 Cameras, clothes, and household items are examples of products that exist in:
industrial markets business markets
consumer markets government markets

Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:
research and development production facilities
distribution facilities inventory control

Question No: 72 Products that are not branded by the producer or retailer are called:
national brands store brands obsolete brands generic brands

Question No: 73 Managers typically attempt to set a price that will maximize a firm's:
Value production advertising promotion

Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:
advertising strategies product decisions
pricing strategies distribution decisions

Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:
single-service marketers agents stockers mediators

Question No: 76 All of the following are methods of promotion except:

target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising the push strategy
reminder advertising public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79 ___ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers Knowledge workers
Diverse workforce None of the given options

Question No: 80 _____ represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

Gate-keeping Broadband Inter-organizational Internal information

Question No: 83 Through _____, firms achieve a lower average cost by producing large volume.

Inventory management Economies of scale
De-integration Effective marketing

Question No: 84 _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality assurance
Continuous improvement process Total quality management

Question No: 86 The heart of a computer is its:

Power unit Central processing unit
Random access memory Hard drive

Question No: 87 In typical network architecture, workstations are connected to a ___, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

Core components Externalities Peripherals Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function Innovation Quality improvement

Question No: 92 If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable Unfavorable Deficit None of the above

Question No: 93 Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers Unlimited Liability

Easy transfer of Ownership Entire Profit

Question No: 94 Which of the following is an advantage of sole proprietorship?

Longest life Availability of sufficient Capital

Direct contact with customer and workers Separate Legal Entity

Question No: 95 Which of the following is not among the benefits of Partnership Firm?
Satisfaction of Partners Lack of Secrecy
Moral Promotion Minority Protection

Question No: 96 In partnership deed the profit & loss is distributed among the partners by the following ratio.
50:50 As per percentage of Capital invested
As per agreed ratio in Partnership deed 25:75

Question No: 97 The company may raise its capital through which of the following sources:
By Issuing Shares By Issuing Debentures
By Savings All of the given options

Question No: 98 Advantages of cooperative societies does not include
Equal distribution of wealth Interference of Government
No Monopoly Open Membership

Question No: 99 WTO was organized on _____
July 15, 1998 January 01, 1990 August 25, 1995 January 01, 1995

Question No: 100 A major disadvantage of corporate organization is
Double Taxation of dividend **Inability of the firm to large sum of additional capital**
Limited liability of share holders Limited life of Cooperate firm

Question No: 101 It is difficult to transfer to right of ownership is
Sole proprietor ship **Partner ship** All of given options None of given options

Question No: 102 Wages are paid for
Long term **Short term** All of given options None of given options

Question No: 103 Pakistan is exporting
Sports Item Agriculture Product Textile Product **All of given options**

Question No: 104 Managers have _____ type of skills
2 **3** 4 5

Question No: 105 The process of attracting the people for job
Recruitment pecial skills Supervision Job Specification

Question No: 106 What is the method of on job training?
Lectures Vestibule Videos **None of given options**

Question No: 107 The liability of a sole trader is _____
limited Only to his investment in the business
Limited to the total resources of the business **Unlimited** Not defined

Question No: 108 Genetic industry means
Canal Sugar mill **Poultry** Agriculture

Question No: 109 The first stage Evolution business is?
Industry revolution Globalization Entrepreneurship Marketing era

Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:
Partnership Ownership Expansion Organization

Question No: 111 Generally, in a limited partnership:
All partners have limited liability. The partners exist for a limited time period.
The limited partners do not participate in management of the company.
Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with
firm's:
Competition Strategic plan Industry demand Labor union

Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are:
Interpersonal skills Technical skills Decision making skills Conceptual skills

Question No: 114 The four functions of management:
Must be enacted in the proper sequence Must be integrated
Are stand alone, independent functions Can not be performed by one individual

Question No: 115 Social interaction and acceptance by others are examples of:
Physiological needs Safety needs Affiliation needs Esteem needs

Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:
Empowerment Merit system Hygiene theory Equity system

Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
Job analysis Job screening Job evaluation Human resource planning

Question No: 118 A _____ is an assignment to a higher level job with more responsibility and greater pay.
Transfer Lateral assignment Appraisal Promotion

Question No: 119 Products purchased by companies to produce other products are:
Consumer Goods Industrial Goods Services Inventory

Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:
Cartel arrangements Kickback agreements
Production manuals Responsibility and ethics

Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:
Production Competition Advertising Industry demand

Question No: 122 A distribution channel represents the path of a product from a producer to:
Retailer Wholesaler Consumer Manufacturer

Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:
Competitive product analysis Value-Added Analysis
Statistical Process Control Quality/Cost Studies

Question No: 124 Spreadsheets, database and word processing software are all types of:
Operating systems Utility programs Application software Firmware

Question No: 125 Which of the following is the most important determinant of a firm's value?
Earnings Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:
Finance function Marketing function
Organizing function Accounting function

Question No: 127 _____ is used to cover long-term expenses such as assets.
Line of Credit Debt Financing Preferred Stock Financial Management

Question No: 128 _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.
Knowledge Worker Labor Markets Contingent Worker Workforce Diversity

Question No: 129 An increase in the general level of prices of products over a specified period of time is called:
Inflation Gross domestic product
Disinflation Equilibrium

Question No: 130 The formation of _____does not require any legal formality like registration.
Company Cooperative society Partnership **Ans Sole proprietorship**

Question No: 131 Which of the following is a disadvantage of partnership?
Distribution of work Sufficient capital
Prime credit standing **Ans Profit sharing**

Question No: 132 In partnership deed, profit and loss is distributed among the partners:
In equal percentage As per percentage of capital invested
Ans As per agreed ratio in partnership deed None of the given options

Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:
Ans Article of Association Memorandum of Association
Special Resolution None of the given options

Question No: 134 Which of the following should be considered when designing a business plan?
Objectives of the business Marketing components of the business
Financial components of the business **Ans All of the given options**

Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in _____.
Ans A strategic acquisition A financial acquisition
A two-tier tender offer A shark repellent

Question No: 136 The record of a country's imports and exports of goods and services is called its:
Visible trade balance. **Ans Balance of payments**
Balance of payments on current account. Balance of trade.

Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT EU **Ans WTO** NAFTA

Question No: 138 Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity. Game plan

Question No: 140 _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization? GANNT chart **Ans Replacement chart** PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors** Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy Ans
Means that staff is moved periodically from task to task in order to increase variety and interest
Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Ans Total company effort Profit Productivity Customer satisfaction
Question No: 151 In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage Product oriented stage
Ans Marketing oriented stage None of the given options
Question No: 152 Which of the following statements is NOT true about services?
They are experienced, used or consumed. They are often sold first, then consumed.
They are perishable. **Ans They are tangible.**
Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:
Ans Validity Reliability Dependability Goodness of fit.
Question No: 154 Which of the following would generally have *unlimited* liability?
A limited partner in a partnership A shareholder in a corporation
Ans The owner of a sole proprietorship
A member in a limited liability company (LLC)
Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?
Unlimited liability Single tax filing
Difficult ownership resale **Ans Raising capital**
Question No: 156 Which of the following enjoys limited liability?
A general partnership **Ans A Corporation**
A sole proprietorship None of the given options
Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?
General partnership Limited partnership
Corporation **Ans Limited liability company**
Question No: 158 Which of the following is false? I don't know the answer
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems
Question No: 159 What is a business plan? Discuss the purpose and significance of a business plan.
Question No: 160 What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

QuestionNo:161

People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

QuestionNo:162 Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

QuestionNo:163 _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

QuestionNo:164 Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

QuestionNo:165 Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

QuestionNo:166 Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

QuestionNo:167

The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:168

Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

QuestionNo:169

The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

QuestionNo:170

Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

QuestionNo:171

First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

QuestionNo:172 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:173 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:174 Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

QuestionNo:175 Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

QuestionNo:176

A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

QuestionNo:177 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:178 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:179 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:180 Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

QuestionNo:181 In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

QuestionNo:182 A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

QuestionNo:183 The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

QuestionNo:184 Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

QuestionNo:185 population size is included in

Economic factors

Demographic factors

Legal factors

Technological

QuestionNo:186 Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

QuestionNo:187 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

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QuestionNo:188 the return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 the total market value of all final goods and services produced in a country is known as_____.

QuestionNo:189 _____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

QuestionNo:190 if a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

QuestionNo:191 Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

QuestionNo:192 Discuss some of the concerns an entrepreneur may have when starting a new business.

QuestionNo:193 Discuss and give examples of what you believe is the most common form of business ownership in your hometown.

QuestionNo:194 Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

QuestionNo:195 Describe the tasks involved in developing a human resource plan.

Spring 2007

QuestionNo:196 All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.

Land Capital Labor FinancialCounselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

Charter Laws Unlimited Liability

erms of his property insurance Limited Liability

QuestionNo:198 ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

Limited partnerships Limited Liability Companies

Sole Corporations General Partnership

QuestionNo:199------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the following except ----------.

Ensuring the business functions properly Possibly incurring large losses

Possibly losing source of income Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade

Tariffs Quotas Subsidies Taxes

QuestionNo:202 A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

Totalitarian government Representative democracy

Mixed Economy Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

Promoters Brokers Underwriters Directors

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---------- is the lifeblood of every business.
goods
wealth
capital
buying

--------is connected with the production and preparation of goods and services.
business
system
social process
industry

---------- is the second component of business.
commerce
industry
primary industry
secondary industry

Commerce can be----------
trade
aids to trade
trade and aids to trade
home trade

A good business person must have the knowledge about ---------- skills.
personal
technical
leadership
decision making

---------- separates the organization from its environment.
external environment
multiple environment
economic environment
organizational boundaries

Measure of ---------- by which we compare that how much a system can produce with the resources needed to produce it
purchasing
selling
GDP per capital
capital

Minimum members of public limited company should be
5
7

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9
10

Cooperative society is set up to protect economically the -------- sections of the society.
Middle
Poor
Stable
Wealthy

Due to the absence of ---------- the performance of cooperative society is very poor.
Discipline
Experience
Capital
Profit incentive

---------- are the objectives that a business hopes and plan to achieve
Plans
Goals
Mission
SWOT analysis

In Private limited company minimum members can be 2 and maximum members should not exceed-------
50
20
10
40

A public company must have --------- basic legal document.
2
3
5
6

A notice of annual general meeting should be sent to the shareholders at least-------- days before the date of meeting.
15
30
21
51

Company must hold an annual general meeting of its shareholders -------in a year.
once
twice
thrice
four times

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---------- skills are necessary to compete in a global environment.
Technical skills
Global management skills
Time management skills
Human relation skills

Skills used in understanding and getting along with people is ----------
Decision making skills
Technical skills
Human relation skills
Conceptual skills

---------- are responsible for the development. pricing, promotion and distribution of goods and services
Operation managers
Marketing managers
Information managers
Financial managers

Commerce can be----------
trade
aids to trade
trade and aids to trade
home trade

Measure of ---------- by which we compare that how much a system can produce with the resources needed to produce it
purchasing
selling
GDP per capital
capital

Minimum members of public limited company should be
5
7
9
10

Cooperative society is set up to protect economically the -------- sections of the society.
Middle
Poor
Stable
Wealthy

MGT211

UPDATED QUIZ 1 2021

WE'RE DAVID WORRIORS

1. Sole proprietorship always enjoys

   100% of profit tax

2. A document that contains rules and regulations of the company.

   Articles of association

3. Which of the following have powers of decision making in joint stock company?

   Board of orders

4. _____ is no liable for the debt of the partnership business

   Sub partner

5. Which of the following is held only once in the life of a public company?

   Statuary Meeting

6. It is difficult to transfer the rights of ownership in?

   Sole proprietorship

7. Which one of the following is Not a type of business organization

   Cooperative societies

8. Effective interest rate is different from nominal rate of interest because

   All options

9. Balance sheet of a company reflects

   Organizations a financial health at a specific point of time

10. Which of the following are known as Discretionary financing?

Long term liabilities

11. Identify, what can be the biggest advantage of a small partnership over a sole proprietorship?

Liability is unlimited

12. Which of the following technique is used to select different investment options so as to reduce risk of losing the invested money?

Diversification

13. Which of the following can be categorized as opportunity for an organization?

Good product development

14. Which of the following item is used to estimate the cash flows while employing percentage of sales of method?

Sales of revenue

15. Which of the following is an example of genetic industry?

Poultry form

16. Which of the following is not an example of non_ profit making organization?

Partnership

17. All of the following can be the advantage of the franchise business. Except

Independency of business

18. Statutory meeting is held by which of the following companies?

All options

19. Two or more organizations combine together and form a new organization.

Merger

20. In which type of business, there is easiest dissolution?

SOLE PROPRIETORSHIP

21. When international trade restricts due to safety, which one of the following barriers exists?

Laws

22. Which of the following is NOT an attribute of sale proprietorship business?

Profit sharing

23. Which is the first stage in the formation of Joint Stock Company?

Promotion stage

24. Which is the first stage in the formation of Joint Stock Company?
Incorporation stage
25. Which is the first stage in the formation of Joint Stock Company?
Commencement stage
26. Which is the first stage in the formation of Joint Stock Company?
Capital subscription stage

27. Which of the following is a new trend in which two or more organizations combine together and form a new organization?

Merger

28. Business benefits the people by providing them.

Large number of services

29. Statutory report must be send to the shareholder before meeting that is certified by at least.

3 directors including CEO

30. _____describes the government payments given to certain industries to help offset some of their costs of production?

Subsides

31. Profit distributed among shareholders is called_____

Dividend

32. _____ generally has unlimited liability.

The owner of a sole proprietorship

33. The term 'tariff' as used in international trade, refers to

A tax on imports

34. A market survey is important because it tells you.

All options

35. On which of the following dates Companies Ordinance came into force?

January 1 , 1985

36. Two or more people or organizations join hands and decide to do a business, formed a separate entity is called _____

Joint venture

37. To think about benefitting the society and avoid harmful activities for the society is called_____

Corporate social responsibility

38. When a person provides his services on the basis of his specialized knowledge and experience is termed as

Profession

39. Which is the first stage in the formation of Joint Stock Company?

Promotion Stage

40. Which of the following is the total output of goods and services produced by an economic system in a given period of time?

Aggregrate Output

50. All of the following statements are true regarding partnership excepts_____

There is no partnership income tax; the individual partners pay a personal income tax on their portion of partnership profits.

51. Those countries where people are earning below US$765 are known as.

Low income countries

52. Those countries where people are earning US$9000 are known as.

High income countries

53. Those countries where people are earning between US$9000 TO US$765 are known as.

Middle income countries

54. All of the following barriers exist due to economic differences in international trade EXCEPT;

Preferences for particular product

55. _____are the government taxes on imports that raise the price of foreign goods and make them less competitive with domestic goods

Tariff

56. Which of the following is not a secondary industry?

Genetic industry

57. The difference in value between a country's exports and imports is called

Per Capita Income

58. Which of the following is the partner who does not take part in the management of the business but is known to the public?

Silent partner

59. Which of the following is not a characteristic of a business?

Voluntarily contribution

60. The countries become a _____ when the value of imports exceeds than value of exports in the balance of trade

Creditor

61. Which of the following is not an example of non-profit making organization?

Partnership

62. _____meeting must be held at least one in three month and at least four times in a year

Director's meeting

63. Which of the following have not active participation in the management of the partnership firm?

Sub partner

64. Which of the following should be considered when designing a business plan ?

All options

65. In which meeting of the joint stock company, the board of directors is elected by the shareholders?

Annual general meeting

66. _____is one who has invested maximum amount in the business?

Senior partner

67. _____is a kind of loan which is acquired from the market.

Debenture

68. The notice of the statutory meeting must be sent to each _____at least _____ before the meeting

Shareholders, 21 days

69. Who signs the documents on behalf of the joint stock company?

Common seal is ued for its signature

70. Which of the following have a separate legal entry from its owner?

A company

71. Two or more that two organization collaborate for matual profit but there is no separate entity formed is called_____

Srategic Alliance

72. Which of the following is Not as aspect to purchase a franchise business?

Independency

73. In_____-a central body will allocated the resources and then decide how these resources will be distributed.

Planned economy

74. Which of the following is a ne trend, in which one business acquires the other business instead of ordinary.

Acquistion

75. Which of the following business type can avail some concessions from the government?

Cooperative society

76. _____GENERALLY has unlimited liability

The owner of a sale proprietorship

77. The limit imposed by one country on importing commodities from another country is known as.

Quota

78. Which of the following is not specially categorized as' secondary industry'

Foreign industry

79. The buying and selling of goods by way of electronic media, such as telephones is called

E. commerce

80. Which of the following does Not belong to the right of the business?

None options

81. Which of the following statement is false

Joint Venture do not provide opportunities to acquire new expertise

82. If the value of exports exceeds than value of imports the balance of trade is said to be favorable or a

Trade surplus

83. The first stage in Evolution of business is.

Entrepreneurship

84. In which of the following industry raw material is converted into finished or semi finished goods.

Manufacturing

85. When a business enters into a legal arrangement to allow its name and product & services to be used by others for a fee it is called

Franchisee

86. In which stage of the company formation MOA and AOA are submitted in the register's office?

Incorporation stage

87. The two major sources of raising funds or financing a business are

Owner's capital & Borrowed funds

88. All of the following are the controllable factors for success in business EXCEPT.

State laws

89. Auditors are generally appointed and their remuneration fixed at the_____

Director's Meeting

90. Which of the following is NOT the advantage of co-operative society?

Monopoly

91. The first annual general meeting should be held with the _____ of incorporation of a company.

18 months

92. All of the following, fall in the category of business EXCEPT

Construction of houses for personal value

93. _____ is the simplest form of business organization, which is owned and controlled by one man

Sole proprietorship

94. In which economy the government decides that how many resources have to be generated and how the resources should be allocated?

Planned economy

95. The relationship between who have agreed to share the profit of a business carried on by all or any one of them for all is called

Partnership

96. One man One vote principle is applied in _____

Co operative society

97. Environmental forces that are controllable are called

Internal forces

98. First directors are usually named in the _____

Memorandum of association

99. Economist and policy makers are interested in demographics attributes to determine the

Demand patterns

100. The most important step in understanding business ethics is

Establishing codes of ethics

101. Issuing shares and debentures belong to the _____ of the company?

Commencement

102. All of the following barriers exist due to the economic differences in international trade Except;

Preference for particular product

103. The registration of a joint stock company is;

Compulsory

104. Economist and policy makers are interested in Demographics attributes to determine the _____

Demand patterns

105. The word ' limited' at the end of the company name means;

Shareholders has limited liability

106. Which document contains the objectives of the business and the ways to achieve those objectives

Business PLAN

107. A document containing information regarding internal and external matters of the business is called

Partnership deed

108. Which of the following should be considered when designing a business plan?

All options

109. All of the following form of business has high failure rate Except;

Partnership

110. _____can expand their business by selling shares in the stock market.

Joint stock company

111. Which of the following have not active participation in the management of the partnership firm?

Limited partner

112. Establishment of financial institution such as commercial banks in important because;

All options

113. The form of business organization that generally has the largest volume is the.

Sole proprietorship

114. Which of the following is the ethical behaviors(s) in Managerial Practices?

All options

115. All of the following are the controllable factors for success in business EXCEPT;

State laws

116. Which of the following is EXCLUDED from the advantages of sole proprietorship?

Unlimited liability

117. The two major sources of raising funds or financing is business are

Debentures and drafts

118. Which of the meeting is held only once in the life of a public company?

Staturay meeting

119. Which of the following can be the strength of an organization?

Low employee's turnover

120. Occurrence of widespread price increases throughout an economic system

Inflation

121. which of the following is NOT a type of business organization

Co-operative societies

122. Concessions provided by a country to its producers to protect the economy is called a _____

Subsidy

123. Which of the following is NOT the attribute of the demographic environment.

Political instability

124. Total income of the country / Total population is the formula to calculate

Per capita income

125. Which of the following is a new trend in which two or more organizations combine together and form a new organization?

Merger

126. In which part we see about customers, their liking, locality and purchasing power

Marketing part

127. When international trade restricts due to safety, which one of the following barriers exist

Laws

128. A phenomenon in which a person searches for an opportunity and try to avail it is called

Entrepreneuship

129. Franchiser gets a large amount of money from franchisee as _____ while using its name

Fee

130. _____describes the government payments given to certain industries to help offset some of their costs of production?

Subsides

132. Which of the following is included in a business plan ;

All options

133. Which of the following factor(S) contribute to success of new business.

All options

134. All of the following is the barrier of international trade, Except;

Quota

135. Which of the following is not a legal entity?

Co-operative societies

136. Which of the supervises the work of all cooperative societies ?

Cooperative department of provincial government

137. Business may be defined as an economic activity undertaken with a motive of earning profit by satisfying human needs in society . The term economic activity includes the activities with the motive of .

Earning profits

138. In which form of business one party gives the right to other party to do the business by using his name and trademark?

Franchising

139. What is mean by global organization?

None options

140. It is difficult to transfer the rights of ownership in?

Partnership

141. Which of the following is the partner who does not take part in the management of the business but is known to the public?

Silent partner

142. Which of the following is the purpose of cooperative societies?

Welfare of the society

143. In which organization, people join as volunteers

Co-operative society

144. Which of the following is the characteristic that should exist to recognize a partnership business?

There must be a written aggrement

145. Which of the following enjoys limited liability?

A corporation

146. _____meeting is the first meeting after commencement of business.

None options

147. One of the most important single element for the prospective franchisee is to.

Investigation about fee

148. Compared to learning franchising is a more advantages entry mode because.

All options

149. The country becomes a _____ when the value of exports exceeds than value of exports in the business of the.

Creditor

150. Statutory meeting is held by which of the following companies?

All options

151, All of the following is the barrier of international trade, Except

Income tax

152. _____describes the government imposed instruction on the quantity of a good that can be imported over a general of time.

Quota

153. In which type of business, Government gives the financial assistance?

Co-operative society

154. Trade or exchange of goods and services between two or more independent countries for their mutual advantages is called

Foreign trade

155. _____can expand their business by selling shares in the stock market

Joint stock company

156. Which of the following have a separate legal entry from its owner?

A sole proprietorship business

157. Which of the following is a main reason to get positive trade balance?

Import less than export

158. An agreement between two parties in which one party passes on the right to other party is called

Franchising agreement

159. A sole trade business is started by

Only one person

160. One of the primary advantages of the sole proprietorship business is

Relative freedom from government registration

161. Which of the following is not the objective of the directors meeting?

To make lons

162. A person or an organization that works for an exporter or importer is called_____

Independent agent

163. The liability of a sole trader is

Limited only to his investement in the business

164. Competitor analysis is discussed under the following part?

All options

165. The limit imposed by one country on importing commodities from another country is know as

Quota

166. What is the maximum number of partners in case of banking business?

10

167. First meeting of the members of public limited company is know as

Statutory meeting

168. Admission of members and allocation of shares in a Co-operative society is _____ for all people living in the same area;

Restricted

169. Population size is included in ?

Demographic factors

170. Investment , revenue, expenses and net profit is discussed in _____ of business plan?

Financial part

171. _____is a written document which contains the objectives of the business and the ways to achieve these objectives

Business plan

172 . A ' tariff' can best be described as;

A tax imposed on an imported good

173. In which type of business, Expansion is comparatively difficult than other

Sole proprirtorship

174. Annual general meeting is the meeting of the company that held

Once in a year

175. Which of the following statement is false?

One reason for failure of small business is lack of managerial experience

176. Concessions provided by a country to its producers to protect the economy is called a _____

Subsidy

177. Which of the following are NOT invited in the general meeting of a company?

Debenture holders

178. Which of the following is included in a business plan;

All options

179. What should be the basic theme of a business plan?

Ways to go and how to go

180. Which mode of the business is formed when several business concern undertaking units are combined to carry on the business together for achieving the economic benefits?

Combination

181. A period of business cycle that is characterized by high labour turnover may be the period of;

Boom

182. A person or an organization that works for an exporter or importer is called

Independent agent

183. Certificate of commencement is issued by the.

Registrar of the companies

184. With the help of Merger and Acquisition a business can attain the following

tO reduce the market competition

185. _____is one who does not share the losses of the partnership business

Minor partners

186. It is difficult to transfer the rights of ownership in?

Partnership

187. Which of the following is included in economic factors?

Exchange rate

188. Which of the following can be the weakness of an organization?

Potential change in the consumer taste

189. Total quality of goods and seasons produced by an economic system during a given period is called.

Aggregate output

190. Which of the following business from has the shortest life span?

Sole proprietorship

191. In which of the following business trends, ownership of business moves more towards acquiring partner

Acquistion

192. I n which type of business government gives the financial assistance?

Co operative society

193. The members of Co-operative society have_____

Limited

194. The two component of business includes;

Import or Export

195. _____is no liable for the doubt of the partnership business

Sub partner

196. The difference between a country's merchandise exports and its merchandise imports is the

Balance of trade

196. A major advantage of the corporate of organization is;

Ease of organization

197. All of the following are the uncontrollable factors for success in business EXCEPT

Competence

198. Which of the following is the characteristic that should exist to recognize a partnership business?

The partnership must be registered

199. Compared to licensing, franchising is a more advantagerous entry mode because;

All options

200. A sole proprietorship business may have

All options

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Which of the following must hold a statutory meeting?

Statutory companies

Private limited companies

Public limited companies

Chartered companies

Which of the following is NOT included in aids to trade?

Insurance

Warehousing

Transportation

Foreign trade

The portion of capital kept at the winding up of a company for the payment of debts is known as:

Reserve capital

Issued capital

Subscribed capital

Authorized capital

Which of the following business type can avail some concessions from the government?

Sole proprietorship

Partnership

Joint Stock company

Cooperative society

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While making financial projections in a business plan, which of these would NOT form part of the plan?

Source of loan

Audit

Net income or profit

Expected revenues

Which of the following are included in a business plan?

Financial information, production plans, personal policies.

Goals of the business and how they will be achieved.

Market analysis

All of the given options.

Which of the following is not a reason for a business failure?

Managerial experience or inexperience

Effective control systems

Insufficient control system

None of the given options

In which of the following two or more organizations collaborate on a project for mutual gain?

Limited partnership

Public corporation

Strategic alliance

None of the given options

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The difference between a country's merchandise exports and its merchandise imports is the:

Current account

Capital account

Balance of trade

Balance of payments

One of the best solutions to get rid of non-biodegradable wastes is:

Dumping

Recycling

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid

Valid but not reliable

Reliable but not valid

Reliable but not legal

According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem

Security

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Social

Self-actualization

Douglas McGregor is associated with which of the following?

Scientific management

Motivational factors

Theory X and theory Y

The Hawthorne studies

Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

Safety

Self actualization

Physiological

Social

Which of the following generic terms is not a management function?

Leading

Systemizing

Planning

Organizing

What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability

Single tax filing

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Difficult ownership resale

Raising capital

Which of the following is the oldest form of business organization?

Sole proprietorship

Partnership

Company

Cooperative society

Which of the following is an advantage of a corporation that is *not* an advantage as a limited partner in a partnership?

Limited liability

Easy transfer of ownership position

Double taxation

All of the given options are advantages that the corporation has over limited partner

Examples of constructive industries include:

Canals

Fishery

Sugar mills

Plant nurseries

Which of the following statement shows the Trade Deficit process?

A process in which country imports are higher than the exports

A process in which country exports are equal to the exports

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A process in which country imports are less than the country exports

All of the given options

Name of the business should:

Be simple

Indicates the type of business

Be familiar

All of the given options

Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?

Licensing

Joint venturing

Contracting

Franchising

Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

The formation of _____does not require any legal formality like registration.

Company

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Cooperative society

Partnership

Sole proprietorship

Which of the following is a disadvantage of partnership?

Distribution of work

Sufficient capital

Prime credit standing

Profit sharing

In partnership deed, profit and loss is distributed among the partners:

In equal percentage

As per percentage of capital invested

As per agreed ratio in partnership deed

None of the given options

The powers of the Board of Directors to borrow from the bank are mentioned in:

Article of Association

Memorandum of Association

Special Resolution

None of the given options

Which of the following should be considered when designing a business plan?

Objectives of the business

Marketing components of the business

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Financial components of the business

All of the given options

A firm that acquires another firm as part of its overall business strategy is engaging in _____.

A strategic acquisition

A financial acquisition

A two-tier tender offer

A shark repellent

The record of a country's imports and exports of goods and services is called its:

Visible trade balance.

Balance of payments

Balance of payments on current account.

Balance of trade.

Which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?

GATT

EU

WTO

NAFTA

Export subsidies are:

Maximum limits on the quantity of specific products imported to a nation.

Taxes placed on imported products.

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Licensing requirements or unreasonable quality standards designed to reduce imports.

Government payments to domestic producers to reduce the price on exported goods.

If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ethics

Profitability.

Productivity.

Game plan

_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy

Corporate policy

Corporate governance

Corporate responsibility

The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops.

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Therefore the MBTI personality test may be:

Legal but not valid

Valid but not reliable

Reliable but not valid

Reliable but not legal

Selection devices that are based upon physical condition of the candidates are known as:

Medical tests

Background investigations.

Aptitude tests

Application forms.

Which of the following chart shows turnover in an organization?

GANNT chart

Replacement chart

PERT chart

Bar chart

The Hawthorne Studies found:

That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

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According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem.

Security

Social

Self-actualization.

Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors

Hygiene factors

Esteem factors

Motivating factors

Which of the following step is important to improve expectancy?

Deliver rewards as promised.

Observe and recognize performance.

Create the belief that effort is related to performance

Make the rewards meaningful.

The term "Job Rotation":

Is another term for employee empowerment

Involves allocating a wider range of similar tasks to individuals

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Involves giving employees work with a greater degree of responsibility and autonomy

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Which of the following is NOT included as a basic idea in the definition of marketing concepts?

Total company effort

Profit

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In _____ of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage

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Marketing oriented stage

None of the given options

Which of the following statements is NOT true about services?

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The degree to which a tool or test measures what it is supposed to measure is known as:

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Reliability

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Goodness of fit.

Which of the following would generally have *unlimited* Liability?

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The owner of a sole proprietorship

A member in a limited liability company (LLC)

What is potentially the biggest advantage of a small partnership over a sole proprietorship?

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None of the given options

In which type of business entity the entire ownership interest is transferable most freely?

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General partnership

Limited partnership

Corporation

Limited liability company

A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10%

b) 15%

c) 40%

d) 80%

Components of Business Plan include all of the following except

a) Marketing Component

b) Administrative Component

c) External Component

d) Financial Component

An agreement between two parties in which one party possess the rights to the other party is

a) Partnership

b) Strategic Alliance

c) Joint venture

d) Franchising

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The shareholders elect the Board of Directors in the

a) Through special resolution

b) **In annual general meeting**

c) In Special meeting

d) In statuary meeting

Portion of the undistributed profit transferred to which of the following?

a) General Reserve

b) Retained Earning

c) Appropriation account

d) All of the given options

Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company

b) Article of Association

c) Prospectus

d) None of the given option

A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period

b) Fails to submit statutory report

c) Fails to start its business within one year from the date of incorporation

d) All of the following

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Capital is required for the purchase of land, machines, wages and raw materials.

A businessman can generate its capital from:

a) Debt

b) Equity

c) None of the above

d) All of the given option

Cooperative Societies are not formed for:

a) The serving of the orphans and widows

b) The help of poor people

c) For the earning of profit

d) Social welfare

Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate

b) Debentures

c) Participation Term Certificates

d) All of the given option

Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.

b) Marketing has to do with persuading customers a product meets their needs.

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c) The mass market has fragmented into many different groups of customers.

d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing

b) Business vision

c) Product development

d) Customer relationship management

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement

b) The product life cycle

c) Marketing research

d) A customer-oriented approach

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ

b) Marketing research is geared to uncover unmet consumer needs

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c) With market research, the chance product development will be able to create a product consumers want to buy increases

d) Marketing research provides an inexpensive method for tracking consumer behavior

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation

b) Market mission

c) Market segment

d) Marketing plan

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix

b) Product mix

c) Product differentiation

d) Product positioning

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion

b) Public relations

c) Personal selling

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d) Advertising

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries

b) Direct distribution

c) Distribution mix

d) Distribution channel

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers

b) Direct distribution

c) Company-owned distributors

d) Retail distributors

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling

b) Licensed distribution

c) Distribution mix

d) Distribution channel

All of the following choices represent one of the four types of utility except:

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a) Time

b) Form

c) Loyalty

d) Ownership

Questions:

Q1. Discuss some of the concerns an entrepreneur may have when starting a new business.

Q2. Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

Q3. Describe the tasks involved in developing a human resource plan.

Q4. What are some of the non financial ways of compensation for employees? (3 marks)

Q5. How does the term Merger differs from the term Acquisition. (3 marks)

Q6. What do you mean by recruitment? What are the different ways of recruitment? (5 marks)

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Q7. Describe Expectancy theory. (5 marks)

Q8. What is a business plan? Discuss the purpose and significance of a business plan.

Q9. What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

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MGT211

SOLVED MIDTERM EXAMINATION

HADI VU PASTPAPER(LAHORE) CONTACT US: 03087122922

MGT211- Introduction to Business (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

Question No: 2 (Marks: 1) - Please choose one

The formation of _____does not require any legal formality like registration.

Company

Cooperative society

Partnership

Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a disadvantage of partnership?

Distribution of work

Sufficient capital

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Question No: 4 (Marks: 1) - Please choose one

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Export subsidies are:

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Corporate policy

Corporate governance

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Reliable but not valid

Reliable but not legal

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GANNT chart

Replacement chart

PERT chart

Bar chart

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Motivating factors

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Productivity

Customer satisfaction

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Product oriented stage

Marketing oriented stage

None of the given options

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They are perishable.

They are tangible.

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Dependability

Goodness of fit.

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Raising capital

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Corporation

Limited liability company

Question No: 1 (Marks: 1) - Please choose one

Which of the following is/are the component/s of business?

Industry

Commerce

Both industry and commerce

Trade and aids to trade

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HADI

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SOLVED MIDTERM EXAMINATION

MGT211- Introduction to Business (Session - 2)

Composed by:
Mr.Jabbran (Super Admin)

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Question No: 1 (Marks: 1) - Please choose one
Which of the following is excluded from factors that can affect the business?
Demographic Factors
Economic and social factors
Natural factors
None of the above
Question No: 2 (Marks: 1) - Please choose one
The formation of _____does not require any legal formality like registration.
Company
Cooperative society
Partnership
Sole proprietorship
Question No: 3 (Marks: 1) - Please choose one
Which of the following is a disadvantage of partnership?

Distribution of work
Sufficient capital
Prime credit standing
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A shark repellent
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If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin
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Productivity.
Game plan
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_____ is a dimension of social responsibility that includes hiring minority
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Corporate philanthropy
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Corporate governance
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Limited liability company
Question No: 1 (Marks: 1) - Please choose one
Which of the following is/are the component/s of business?
Industry
Commerce
Both industry and commerce
Trade and aids to trade

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MGT211 Notes For Mid Term

Question No: 1 Which of the following business type has longest life time?

Sole proprietorship Partnership

Joint stock company All of the given options

Question No: 2 Election of the Board of Directors is done by Shareholders.

Through special resolution **In annual general meeting**

In Special meeting In statuary meeting

Question No: 3 Which of the following business type, has to pay double taxes to the government?

Sole proprietorship Partnership

Joint stock company Cooperative Societies

Question No: 4 _____ includes the rules and regulations, necessary to manage the internal affairs of the company. Memorandum of Association **Article of Association**

Prospectus All of the given option

Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.

Charter of Company Article of Association

Prospectus None of the given option

Question No: 6 To call the extraordinary meeting, how many days' notice is required?

21 days 15 days 07 days 30 days

Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:

Statutory Declaration **Fails to submit statutory report**

Expiry of Period Appointment of Liquidators

Question No: 8 Which of the following is the source of acquiring of redeemable capital?

Modarba Certificate Debentures

Participation Term Certificates All of the given option

Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:

Reserve capital Un-Issued Capital

Un-Called up Capital All of the given option

Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.

Petition by debtor
Petition by creditor Petition by contributory All of the above

Question No: 11 Which of the following is the disadvantage of modified schedules and alternative workplace?

Freedom in professional and personal life More Job satisfaction

Complicated coordination

Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles Democratic styles

Free rein style None of the given option

Question No: 13 _____ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

Participative Management and Empowerment

Management by Objectives (MBO)

Reinforcement/Behavior Modification Theory None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

Organization Policies Product Policies

Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

Marketing Mix **Advertising objective**

Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

Market segmentation Marketing Mix

Marketing Penetration Marketing control

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as: **Marketing Environment** Market segmentation

Marketing Mix Marketing Penetration

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

Market segmentation **Marketing Mix**

Marketing Penetration Marketing Environment

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

Substitute product competition Brand competition

International competition: Market competition

Question No: 21 Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods Work in process

Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising Comparative advertising

Informative advertising Reminder advertising

None of the given options

Question No: 23 _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising Sales Promotion

Question No: 24 _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost Transportation cost

Distribution cost Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing **Creative Selling**

Missionary Selling None of the given option

Question No: 26 Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion Special-event sponsorship

Question No: 28 _____ is the planning, organizing, directing, and controlling of all the activities needed to get highquality goods and services into the marketplace.

Total quality management (TQM) Promotion strategy

Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion **Publicity** Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising Comparative advertising

Informative advertising **Reminder advertising**

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:

Marketing Component Administrative Component

External Component Financial Component

Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:

Partnership Strategic Alliance Joint venture Franchising

Question No: 34 The shareholders elect the Board of Directors in the

Through special resolution In annual general meeting

In Special meeting In statuary meeting

Question No: 35 Portion of the undistributed profit transferred to which of the following?

General Reserve Retained Earning

Appropriation account All of the given options

Question No: 36 Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company Article of Association

Prospectus None of the given option

Question No: 37 A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period Fails to submit statutory report

Fails to start its business within one year from the date of incorporation

All of the following

Question No: 38 Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt Equity None of the above All of the given option

Question No: 39 Cooperative Societies are not formed for:

The serving of the orphans and widows The help of poor people

For the earning of profit Social welfare

Question No: 40 Which one of the following statements about marketing is inaccurate?

(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)

(Marketing has to do with persuading customers a product meets their needs.)

(The mass market has fragmented into many different groups of customers.)

(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)

Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

Marketing Business vision Product development

Customer relationship management

Question No: 42 _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement The product life cycle

Marketing research A customer-oriented approach

Question No: 43 All of the following except _____ are considered to be correct statements about marketing research.

(It is a systematic search for information about customers'

needs and how those needs differ)

(Marketing research is geared to uncover unmet

consumer needs) (With market research, the chance

product development will be able to create a product

consumers want to buy increases)

(Marketing research provides an inexpensive method for

tracking consumer behavior)

Question No:44 When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

Market differentiation Market mission

Market segment Marketing plan

Question No: 45_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

Marketing mix Product mix

Product differentiation Product positioning

Question No: 46 Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

Sales promotion Public relations

Personal selling Advertising

Question No: 47 The specific method a company uses to sell and deliver its products to customers is known as its _____.

Retail intermediaries Direct distribution

Distribution mix Distribution channel

Question No: 48 Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

Independent wholesalers Direct distribution

Company-owned distributors Retail distributors

Question No: 49 The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

Missionary selling Licensed distribution

Distribution mix Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except:

Time Form Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page. Largest market share. Highest paid staff.

Question No: 53 _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing Marketing Era Marketing

Consumer Marketing Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process

Relationship process Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an:

Institution market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except:

Proprietorship partnership bureaucracy corporation

Question No: 59 Partners have unlimited liability in a: general

partnership corporation limited partnership

cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating risk value return on investment

Question No: 62 _____ conditions reflect the overall performance of the

nation's economy. Microeconomic

multieconomic macroeconomic all of the given

options

Question No: 63 The primary purpose of an industry business environmental assessment is to determine the:

economic growth degree of

competition inflation rate

population growth

Question No: 64 The function of business responsible for the efficient use of employees and other resources (such as machinery) is:

Finance marketing production management

Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.

Overtime training affirmative action orientation program

Question No: 66 Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:

Labor Union Informal organization Team Trade union

Question No: 67 Since they are closer to the production process, first line managers use their _____ skills more frequently.

Conceptual interpersonal managerial technical

Question No: 68 Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?

equity theory management by objectives theory X theory Y

Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:

social values anthropology geography demographics

Question No: 70 Cameras, clothes, and household items are examples of products that exist in:

industrial markets business markets consumer markets government markets

Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:

research and development
production facilities distribution facilities
inventory control

Question No: 72 Products that are not branded by the producer or retailer are called:

national brands store brands obsolete brands generic brands

Question No: 73 Managers typically attempt to set a price that will maximize a firm's:

Value production advertising promotion

Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:

advertising strategies product decisions pricing strategies
distribution decisions

Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

single-service marketers agents stockers mediators

Question No: 76 All of the following are methods of promotion except: target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising the push strategy reminder advertising
public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79 ____ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers Knowledge workers

Diverse workforce None of the given options

Question No: 80 _____ represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

Gate-keeping Broadband Inter-organizational Internal information

Question No: 83 Through _____, firms achieve a lower average cost by producing large volume.

Inventory management Economies of scale

De-integration Effective marketing

Question No: 84 _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality

assurance Continuous improvement process

Total quality management **Question No: 86** The heart

of a computer is its:

Power unit Central processing unit

Random access memory Hard drive

Question No: 87 In typical network architecture, workstations are connected to a ___, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

Core components Externalities Peripherals Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function Innovation Quality improvement

Question No: 92 If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable Unfavorable Deficit None of the above

Question No: 93 Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability Easy transfer of Ownership
Entire Profit

Question No: 94 Which of the following is an advantage of sole proprietorship?

Longest life Availability of sufficient Capital
Direct contact with customer and workers Separate Legal Entity

Question No: 95 Which of the following is not among the benefits of Partnership Firm? Satisfaction of Partners
Lack of Secrecy

Moral Promotion Minority Protection

Question No: 96 In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50 As per percentage of Capital invested As per agreed ratio in Partnership deed 25:75

Question No: 97 The company may raise its capital through which of the following sources:

By Issuing Shares By Issuing Debentures
By Savings All of the given options

Question No: 98 Advantages of cooperative societies does not include

Equal distribution of wealth Interference of Government
No Monopoly Open Membership

Question No: 99 WTO was organized on _____

July 15, 1998 January 01, 1990 August 25, 1995 January 01, 1995

Question No: 100 A major disadvantage of corporate organization is

Double Taxation of dividend **Inability of the firm to large sum of additional capital**

Limited liability of share holders Limited life of Cooperate firm

Question No: 101 It is difficult to transfer to right of ownership is

Sole proprietor ship **Partner ship** All of given options None of given options

Question No: 102 Wages are paid for

Long term **Short term** All of given options None of given options

Question No: 103 Pakistan is exporting

Sports Item Agriculture Product Textile Product **All of given options**

Question No: 104 Managers have _____ type of skills

2 **3** 4 5

Question No: 105 The process of attracting the people for job

Recruitment pecial skills Supervision Job Specification

Question No: 106 What is the method of on job training?

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None of given options **Question No: 107** The liability of a sole trader is _____ limited Only to his investment in the business

Limited to the total resources of the business **Unlimited** Not defined

Question No: 108 Genetic industry means

Canal Sugar mill **Poultry** Agriculture

Question No: 109 The first stage Evolution business is?

Industry revolution Globalization Entrepreneurship Marketing era

Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:

Partnership Ownership Expansion Organization

Question No: 111 Generally, in a limited partnership:

All partners have limited liability. The partners exist for a limited time period.

The limited partners do not participate in management of the company.

Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with firm's:

Competition Strategic plan Industry demand Labor union

Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are: Interpersonal skills Technical skills Decision making skills Conceptual skills

Question No: 114 The four functions of management:

Must be enacted in the proper sequence Must be integrated

Are stand alone, independent functions Can not be performed by one individual

Question No: 115 Social interaction and acceptance by others are examples of:

Physiological needs Safety needs Affiliation needs Esteem needs

Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:

Empowerment Merit system Hygiene theory Equity system

Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is referred to as:

Job analysis Job screening Job evaluation Human resource planning

Question No: 118 A _____ is an assignment to a higher level job with more responsibility and greater pay.

Transfer Lateral assignment Appraisal Promotion

Question No: 119 Products purchased by companies to produce other products are:

Consumer Goods Industrial Goods Services Inventory

Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:

Cartel arrangements Kickback agreements

Production manuals Responsibility and ethics

Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:

Production Competition Advertising Industry demand

Question No: 122 A distribution channel represents the path of a product from a producer to:

Retailer Wholesaler Consumer Manufacturer

Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:

Competitive product analysis Value-Added Analysis

Statistical Process Control Quality/Cost Studies

Question No: 124 Spreadsheets, database and word processing software are all types of:

Operating systems Utility programs Application software Firmware

Question No: 125 Which of the following is the most important determinant of a firm's value?

Earnings Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:

Finance function Marketing function

Organizing function Accounting function

Question No: 127_____ is used to cover long-term expenses such as assets.

Line of Credit Debt Financing Preferred Stock Financial Management

Question No: 128 _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

Knowledge Worker Labor Markets Contingent Worker Workforce Diversity

Question No: 129 An increase in the general level of prices of products over a specified period of time is called:

Inflation Gross domestic product

Disinflation Equilibrium

Question No: 130 The formation of _____does not require any legal formality like registration.

Company Cooperative society Partnership **Ans Sole proprietorship**

Question No: 131 Which of the following is a disadvantage of partnership?

Distribution of work Sufficient capital

Prime credit standing **Ans Profit sharing**

Question No: 132 In partnership deed, profit and loss is distributed among the partners:

In equal percentage As per percentage of capital invested

Ans As per agreed ratio in partnership deed None of the given options

Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:

Ans Article of Association Memorandum of Association

Special Resolution None of the given options

Question No: 134 Which of the following should be considered when designing a business plan?

Objectives of the business Marketing components of the business

Financial components of the business **Ans All of the given options**

Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in _____.

Ans A strategic acquisition A financial acquisition

A two-tier tender offer A shark repellent

Question No: 136 The record of a country's imports and exports of goods and services is called its:

Visible trade balance. **Ans Balance of payments**

Balance of payments on current account. Balance of trade.

Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?

GATT EU **Ans WTO** NAFTA

Question No: 138 Export subsidies are:

Maximum limits on the quantity of specific products imported to a nation.

Taxes placed on imported products.

Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity. Game plan

Question No: 140 _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization? GANNT chart
Ans Replacement chart PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors** Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals

Involves giving employees work with a greater degree of responsibility and autonomy Ans Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?

Ans Total company effort Profit Productivity Customer satisfaction

Question No: 151 In _____ of marketing, unsatisfied need of the customers are satisfied.

Social oriented stage Product oriented stage

Ans Marketing oriented stage None of the given options

Question No: 152 Which of the following statements is NOT true about services?

They are experienced, used or consumed. They are often sold first, then consumed.

They are perishable. **Ans They are tangible.**

Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:

Ans Validity Reliability Dependability Goodness of fit.

Question No: 154 Which of the following would generally have *unlimited* liability?

A limited partner in a partnership A shareholder in a corporation

Ans The owner of a sole proprietorship

A member in a limited liability company (LLC)

Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?

Unlimited liability Single tax filing

Difficult ownership resale **Ans Raising capital**

Question No: 156 Which of the following enjoys limited liability?

A general partnership **Ans A Corporation**

A sole proprietorship None of the given options

Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?

General partnership Limited partnership

Corporation **Ans Limited liability company**

Question No: 158 Which of the following is false? I don't know the answer

One reason for failure of businesses is lack of managerial experience

One reason for failure of businesses is that most entrepreneurs are younger than 25 years old

One reason for failure of businesses is to neglect

One reason for failure of businesses is weak control systems

Question No: 159 What is a business plan? Discuss the purpose and significance of a business plan.

Question No: 160 What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

QuestionNo:161 People in business and government face important ethical issues and decisions. In many different countries around the world

QuestionNo:162 Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

QuestionNo:163 _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

QuestionNo:1

QuestionNo:164

Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

65

Which of the following is included in economic factors?

QuestionNo:1

Religion

Value system

Norms

Exchange rate

QuestionNo:166 Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

QuestionNo:167 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:168 Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

QuestionNo:169 The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

QuestionNo:170

Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

QuestionNo:171

First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

QuestionNo:172

Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:1

_____

73 The first stage in Evolution of business is:

QuestionNo:1

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:174 Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

QuestionNo:175 Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

QuestionNo:176 A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

QuestionNo:177 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:178 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:179 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:180 Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

QuestionNo:181 In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

QuestionNo:182 A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

QuestionNo:183 The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

QuestionNo:184 Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

QuestionNo:185 population size is included in

Economic factors

Demographic factors

Legal factors

Technological

QuestionNo:186 Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

QuestionNo:187 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

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QuestionNo:188 the return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 the total market value of all final goods and services produced in a country is known as_____.

QuestionNo:189 _____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

QuestionNo:190 if a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

QuestionNo:191 Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

QuestionNo:192 Discuss some of the concerns an entrepreneur may have when starting a new business.

QuestionNo:193 Discuss and give examples of what you believe is the most common form of business ownership in your hometown.

QuestionNo:194 Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

QuestionNo:195 Describe the tasks involved in developing a human resource plan.

Spring 2007

QuestionNo:196 All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.

Land Capital Labor FinancialCounselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

Charter Laws Unlimited Liability erms

of his property insurance Limited Liability

QuestionNo:198 ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

Limited partnerships Limited Liability Companies

Sole Corporations General Partnership

QuestionNo:199------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the following except ----------.

Ensuring the business functions properly Possibly incurring large losses

Possibly losing source of income Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade

Tariffs Quotas Subsidies Taxes

QuestionNo:202 A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

Totalitarian government Representative democracy

Mixed Economy Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

Promoters Brokers Underwriters Directors

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http://forum.vupages.com
Largest Online Community of VU Students

	MIDTERM EXAMINATION SPRING 2007 MGT211 - INTRODUCTION TO BUSINESS (Session - 4)	Marks: 40 Time: 90min

StudentID/LoginID: _____

Student Name: _____

Center Name/Code: _____

Exam Date: Thursday, April 26, 2007

- All questions are compulsory.
- There are ten Multiple Choice Questions (MCQs)- carrying 1 mark each; five Fill in the Blanks statements carrying 1 mark each; three Short Questions carrying 5 marks each and; one Descriptive Question carrying 10 marks.
- You should try to complete objective type questions in 10 – 15 minutes in order to give yourself enough time for descriptive and short questions.
- You may wish to pace yourself with your own watch, but the Supervisor will be the official timekeeper of the test.
- For each MCQ, read the choices available and select the choice which you consider is the correct answer.
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- Failure to comply with the Supervisor's directions will result in your test being cancelled. Please comply with supervisor's directions to avoid any unpleasant event.

For Teacher's use only											
Question	1	2	3	4	5	6	7	8	9	10	Total
Marks											
Question	11	12	13	14	15	16	17	18	19		
Marks											

Question Marks											

Question No: 1 (Marks: 1) - Please choose one

When entrepreneurs establish a business, they must first decide on the form of:

- ▶ Partnership
- ▶ Ownership
- ▶ Expansion
- ▶ Organization

Question No: 2 (Marks: 1) - Please choose one

Generally, in a limited partnership:

- ▶ All partners have limited liability.
- ▶ The partners exist for a limited time period.
- ▶ The limited partners do not participate in management of the company.
- ▶ Not more than 75 partners may invest in the company at one time.

Question No: 3 (Marks: 1) - Please choose one

The “leading” function of management should be conducted in a manner that is consistent with firm’s:

- ▶ Competition
- ▶ Strategic plan
- ▶ Industry demand
- ▶ Labor union

Question No: 4 (Marks: 1) - Please choose one

The skills managers use to understand the relationships among the various tasks of the firm are:

- Interpersonal skills
- Technical skills
- Decision making skills
- Conceptual skills

Question No: 5 (Marks: 1) - Please choose one

The four functions of management:

- Must be enacted in the proper sequence
- Must be integrated
- Are stand alone, independent functions
- Can not be performed by one individual

Question No: 6 (Marks: 1) - Please choose one

Social interaction and acceptance by others are examples of:

- Physiological needs
- Safety needs
- Affiliation needs
- Esteem needs

Question No: 7 (Marks: 1) - Please choose one

When firms delegate more authority to their employees, this strategy is referred to as:

- Empowerment
- Merit system
- Hygiene theory
- Equity system

Question No: 8 (Marks: 1) - Please choose one

The process used to determine the tasks and the necessary credentials for a particular position is referred to as:

- Job analysis
- Job screening
- Job evaluation
- Human resource planning

Question No: 9 (Marks: 1) - Please choose one

A _____ is an assignment to a higher level job with more responsibility and greater pay.

- Transfer
- Lateral assignment
- Appraisal
- Promotion

Question No: 10 (Marks: 1) - Please choose one

Products purchased by companies to produce other products are:

- Consumer Goods
- Industrial Goods
- Services
- Inventory

Question No: 11 (Marks: 1)

The return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 (Marks: 1)

The total market value of all final goods and services produced in a country is known as _____.

Question No: 13 (Marks: 1)

_____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

Question No: 14 (Marks: 1)

If a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

Question No: 15 (Marks: 1)

Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

Question No: 16 (Marks: 5)

Discuss some of the concerns an entrepreneur may have when starting a new business.

Question No: 17 (Marks: 5)

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Question No: 18 (Marks: 5)

Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

Question No: 19 (Marks: 10)

Describe the tasks involved in developing a human resource plan.

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	MIDTERM EXAMINATION MGT211 - INTRODUCTION TO BUSI-NESS (Session - 4)	Marks: 40 Time: 90min

StudentID/LoginID: _____

Student Name: _____

Center Name/Code: _____

Exam Date: Thursday, April 26, 2007

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Marks

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- Strategic plan
- Industry demand
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- Affiliation needs
- Esteem needs

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- ▶ Lateral assignment

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► Promotion

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	MIDTERM EXAMINATION MGT211 - INTRODUCTION TO BUSI-NESS (Session - 4)	Marks: 40 Time: 90min

StudentID/LoginID: _____

Student Name: _____

Center Name/Code: _____

Exam Date: Thursday, April 26, 2007

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MGT211- INTRODUCTION TO BUSINESS

Composed By Faheem Saqib

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For more Help Rep At

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Faheem.saqib2003@gmail.com

0334-6034849

MIDTERM EXAMINATION
Spring 2010
MGT211- Introduction To Business (Session - 1)

1. Which of the following must hold a statutory meeting?
   - Statutory companies
   - Private limited companies
   - Public limited companies
   - Chartered companies
2. Which of the following is NOT included in aids to trade?
   - Insurance
   - Warehousing
   - Transportation
   - Foreign trade

3. The portion of capital kept at the winding up of a company for the payment of debts is known as:
   - Reserve capital
   - Issued capital
   - Subscribed capital

Authorized capital

4. Which of the following business type can avail some concessions from the government?

Sole proprietorship
Partnership
Joint Stock company
Cooperative society

5. While making financial projections in a business plan, which of these would NOT form part of the plan?

Source of loan
Audit
Net income or profit
Expected revenues

6. Which of the following are included in a business plan?

Financial information, production plans, personal policies.
Goals of the business and how they will be achieved.
Market analysis
All of the given options.

7. Which of the following is not a reason for a business failure?

Managerial experience or inexperience
Effective control systems
Insufficient control system
None of the given options

8. In which of the following two or more organizations collaborate on a project for mutual gain?

Limited partnership

Public corporation
Strategic alliance
None of the given options

9. The difference between a country's merchandise exports and its merchandise imports is the:

Current account
Capital account
Balance of trade
Balance of payments

10. One of the best solutions to get rid of non-biodegradable wastes is:
Dumping
Recycling

11. The MBTI is a personality test that has been used to select candidates who will more likely
engage in organizational citizenship behaviors at work. However, critics of this test suggest that the
results can change over time as a person's personality develops. Therefore the MBTI personality
test may be:

Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

12._____ is a written statement which contains the duties and responsibilities of a job.

Job analysis
Job specification
Job description
Job inventory chart

13. According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm
for her house is motivated to do so in an attempt to fulfill the following need:

Esteem
Security

Social
Self-actualization

14. Douglas McGregor is associated with which of the following?

Scientific management
Motivational factors
Theory X and theory Y
The Hawthorne studies

15. Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

Safety
Self actualization
Physiological
Social

16. The term "Job Rotation":

Is another term for employee empowerment?
Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Means that staff is moved periodically from task to task in order to increase variety and
interest.

17. Which of the following statements is NOT true about services?

They are experienced, used or consumed
They are often sold first, and then consumed
They are perishable

They are tangible

18. Which of the following generic terms is not a management function?

Leading
Systemizing
Planning
Organizing

19. Increases in the degree of responsibility a worker has over his or her job is referred to as job:

Empowerment
Enlargement
Enrichment
Entitlement

20. ABC Company is currently hiring employees from different countries. ABC Company is said to be implementing _____ strategy.

Decentralization
Downsizing
Workforce diversity
Retrenchment

21. What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability
Single tax filing

Difficult ownership resale
Raising capital

22. Which of the following is the oldest form of business organization?

Sole proprietorship
Partnership
Company
Cooperative society

23. Which of the following is an advantage of a corporation that is *not* an advantage as a limited partner in a partnership?

Limited liability
Easy transfer of ownership position
Double taxation
All of the given options are advantages that the corporation has over limited partner

24. Examples of constructive industries include:

Canals
Fishery
Sugar mills
Plant nurseries

25. Which of the following statement shows the Trade Deficit process?

A process in which country imports are higher than the exports
A process in which country exports are equal to the exports
A process in which country imports are less than the country exports
All of the given options

26. Mr. Saleem has invested 20,000 Rs in a business but did not take part in the management of the

business. In which category of partner he falls?

Secret partner
Silent partner
Sleeping partner
All of the given options

27. Name of the business should:

Be simple
Indicates the type of business
Be familiar
All of the given options

28. Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?

Licensing
Joint venturing
Contracting
Franchising

29. What are some of the non financial ways of compensation for employees? (3 marks)

30. How does the term Merger differs from the term Acquisition. (3 marks)

31. What do you mean by recruitment? What are the different ways of recruitment? (5 marks)

32. Describe Expectancy theory. (5 marks)

MIDTERM EXAMINATION
Spring 2009
MGT211- Introduction To Business (Session - 2)

Question No: 1 (Marks: 1) - Please choose one
Which of the following is excluded from factors that can affect the business?
Demographic Factors
Economic and social factors
Natural factors
None of the above

Question No: 2 (Marks: 1) - Please choose one
The formation of _____does not require any legal formality like registration.
Company
Cooperative society
Partnership
Sole proprietorship

Question No: 3 (Marks: 1) - Please choose one
Which of the following is a disadvantage of partnership?
Distribution of work
Sufficient capital
Prime credit standing
Profit sharing

Question No: 4 (Marks: 1) - Please choose one
In partnership deed, profit and loss is distributed among the partners:
In equal percentage
As per percentage of capital invested
As per agreed ratio in partnership deed
None of the given options

Question No: 5 (Marks: 1) - Please choose one
The powers of the Board of Directors to borrow from the bank are mentioned in:
Article of Association
Memorandum of Association
Special Resolution
None of the given options

Question No: 6 (Marks: 1) - Please choose one
Which of the following should be considered when designing a business plan?
Objectives of the business
Marketing components of the business

Financial components of the business
All of the given options

Question No: 7 (Marks: 1) - Please choose one
A firm that acquires another firm as part of its overall business strategy is engaging in _____.
A strategic acquisition
A financial acquisition
A two-tier tender offer
A shark repellent

Question No: 8 (Marks: 1) - Please choose one
The record of a country's imports and exports of goods and services is called its:
Visible trade balance.
Balance of payments
Balance of payments on current account.
Balance of trade.

Question No: 9 (Marks: 1) - Please choose one
which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT
EU
WTO
NAFTA

Question No: 10 (Marks: 1) - Please choose one
Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.
Government payments to domestic producers to reduce the price on exported goods.

Question No: 11 (Marks: 1) - Please choose one
If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:
Ethics
Profitability.
Productivity.
Game plan

Question No: 12 (Marks: 1) - Please choose one
_____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment
Corporate philanthropy
Corporate policy
Corporate governance
Corporate responsibility

Question No: 13 (Marks: 1) - Please choose one
Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:
What business the organization should be in
The right quantity and quality of employees needed when and where
What physical resources the organization needs
Who the organization's main competitors are

Question No: 14 (Marks: 1) - Please choose one
The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:
Legal but not valid
Valid but not reliable
Reliable but not valid
Reliable but not legal

Question No: 15 (Marks: 1) - Please choose one
Selection devices that are based upon physical condition of the candidates are known as:
Medical tests
Background investigations.
Aptitude tests
Application forms.

Question No: 16 (Marks: 1) - Please choose one
Which of the following chart shows turnover in an organization?
GANNT chart
Replacement chart
PERT chart
Bar chart

Question No: 17 (Marks: 1) - Please choose one
The Hawthorne Studies found:
That social and psychological factors could significantly affect productivity
That economic factors affect productivity

Money to be the primary motivator of female employees.
That workers were motivated to produce more when managers left them alone.

Question No: 18 (Marks: 1) - Please choose one
According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:
Esteem.
Security
Social
Self-actualization.

Question No: 19 (Marks: 1) - Please choose one
Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:
Growth factors
Hygiene factors
Esteem factors
Motivating factors

Question No: 20 (Marks: 1) - Please choose one
Which of the following step is important to improve expectancy?
Deliver rewards as promised.
Observe and recognize performance.
Create the belief that effort is related to performance
Make the rewards meaningful.

Question No: 21 (Marks: 1) - Please choose one
The term "Job Rotation":
Is another term for employee empowerment
Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy
Means that staff is moved periodically from task to task in order to increase variety and interest

Question No: 22 (Marks: 1) - Please choose one
Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Total company effort
Profit
Productivity
Customer satisfaction

Question No: 23 (Marks: 1) - Please choose one
In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage

Product oriented stage
Marketing oriented stage
None of the given options

Question No: 24 (Marks: 1) - Please choose one
Which of the following statements is NOT true about services?
They are experienced, used or consumed.
They are often sold first, then consumed.
They are perishable.
They are tangible.

Question No: 25 (Marks: 1) - Please choose one
The degree to which a tool or test measures what it is supposed to measure is known as:
Validity
Reliability
Dependability
Goodness of fit.

Question No: 26 (Marks: 1) - Please choose one
Which of the following would generally have
unlimited
liability?
A limited partner in a partnership
A shareholder in a corporation
The owner of a sole proprietorship
A member in a limited liability company (LLC)

Question No: 27 (Marks: 1) - Please choose one
What is potentially the biggest advantage of a small partnership over a sole proprietorship?
Unlimited liability
Single tax filing
Difficult ownership resale
Raising capital

Question No: 28 (Marks: 1) - Please choose one
Which of the following enjoys limited liability?
A general partnership
A corporation
A sole proprietorship
None of the given options

Question No: 29 (Marks: 1) - Please choose one
In which type of business entity the entire ownership interest is transferable most freely ?
General partnership
Limited partnership
Corporation
Limited liability company

Question No: 30 (Marks: 1) - Please choose one
Which of the following is false?
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems

Question No: 31 (Marks: 5)
What is a business plan? Discuss the purpose and significance of a business plan.

Question No: 32 (Marks: 10)
What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

INTRODUCTION TO BUSINESS
MGT 211
Fall semester 2007
Mid term paper

Please highlight the correct option from the given choices.

1) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?
a) 10%
b) 15%
c) 40%
d) 80%

2) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution
b) **In annual general meeting**
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus
d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:
a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?
a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 11:
Which one of the following statements about marketing is inaccurate?
a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.

b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 12:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) **Customer relationship management**

Q# 13:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) **The product life cycle**
c) Marketing research
d) A customer-oriented approach

Q# 14:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) **Marketing research provides an inexpensive method for tracking consumer behavior**

Q#15:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) **Market segment**
d) Marketing plan

Q#16:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 17:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 18:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries
b) Direct distribution
c) Distribution mix
d) Distribution channel

Q#1 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 20:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 21:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) **Loyalty**
d) Ownership

Q# 22:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production
b) Sales
c) **Marketing**
d) Relationship

Q# 23:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) **Long-run success page**.
c) Largest market share.
d) Highest paid staff.

Q# 24:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) **Relationship Marketing**
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 25:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) **Sales process**
b) Exchange process
c) Relationship process
d) Production process

Solved MCQs mgt211

Question # 1
Which of the following focuses on job content, environment, and conditions of employment?
Select correct option:

a. Job description

b. Human resource inventory report

c. Job analysis

d. None of the given options

Question # 2
All of the following except _____ are considered to be correct statements about marketing research.
Select correct option:

a. It is a systematic search for information about customers' needs and how those needs differ.

b. Marketing research is geared to uncover unmet consumer needs

c. With market research, the chance product development will be able to create a product consumers want to buy increases

d. Marketing research provides an inexpensive method for tracking consumer behavior

Question # 3
In the marketing research process the 1st step is to define the problem followed by:
Select correct option:

a. Collection of data

b. Develop recommendation

c. Develop the research design

d. Implement plan

Qu**estion # 4**

Which of the following is the least likely decision to be made by Operations Managers?
Select correct option:

a. Deciding which market areas to manufacture products for

b. Designing and improving the jobs of the workforce

c. Selecting the location and layout of a facility

d. How to use quality techniques to reduce waste

Question # 5

What kind of sales person are you most likely to find working in the pharmaceutical industry?
Select correct option:

a. Order taker

b. Order getter

c. Sales engineer

d. Missionary salesperson

Question # 6

_____ includes all of the activities involved in the sale of products to final customers.
Select correct option:

a. Wholesaling

b. Retailing

c. Marketing

d. Distributing

Question # 7

Which of the following are the functions of management?

a. Select correct option:
b. Planning

c. Organizing
d. Coordinating

e. All of the given options

Question # 8

A major advantage of the corporate form of organization is:

Select correct option:

a. Reduction of double taxation.

b. Limited owner liability.

c. Legal restrictions.

d. Ease of organization

Question # 9

It is difficult to transfer the rights of ownership in:

Select correct option:

a. Sole proprietorship

b. Partnership

c. All the given options

d. None of the given options

Question # 10

Statutory meeting must be held not later than _____from the date on which a public company is entitled to commence business

Select correct option:

a. 3 months

b. 6 months

c. 1 year

d. One month

Question # 11

Which of the following is the most important determinant of a firm's value?

Select correct option: **a. Earnings**

b. Debt

c. Liabilities

d. Liquidity

Question # 12

The marketing activity of dividing market into smaller units with similar needs and characteristics is known as:

Select correct option:

a. Market penetrating

b. Target Marketing

c. Relationship marketing

d. Market segmentation

Question # 13
_____ refers to the standards of moral behavior.
Select correct option:

a. Legality

b. Loyalty

c. Integrity

d. Ethics

Question # 14
The difference between a country's merchandise exports and its merchandise imports is the:
Select correct option:

a. Current account.

b. Capital account

c. Balance of trade

d. Balance of payments

Question # 15
The World Trade Organization (WTO):
Select correct option:

a. Sets tariffs to balance international trade among nations.

b. Is the successor to NAFTA.

c. Rules on trade disputes between nations.

d. Sets exchange rates to balance international trade among nations.

Question # 16
Which of the following is NOT a core function of management?
Select correct option:

a. Planning

b. Organizing

c. Motivating

d. Leading

Question # 17
In democratic style of leadership there is:
Select correct option:

a. Upward communication

b. Upward and downward communication

c. Occasional communication

d. Downward communication

Question # 18
The following are included in a business plan:
Select correct option:

a. Financial information, production plans, personnel policies

b. Goals of the business and how they will be achieved.
c. Market analysis

d. All of the above.

Question # 19
There are really only two ways to collect primary data for a marketing study:
Select correct option:

a. Observation and asking questions

b. Passive and remote observations

c. Through laboratory settings and onsite groups

d. With careful, selected shopper and specialized syndicated services

Question # 20
The major disadvantage of advertising on television is:
Select correct option:

a. Local market focus

b. Long life span

c. Cost.

d. Its inability to target specific audiences.

Question # 21

_____ may be used to analyze how well a company is managing its assets.

Select correct option:

a. Profitability Ratio

b. Debt Ratio

c. Activity Ratio

d. Liquidity Ratio

Question # 22

For the individual employee, MBO provides:

Select correct option:

a. A way to keep the company accountable

b. Specific personal performance objectives

c. Increased monetary compensation

d. Communication between co-workers.

Question # 23

Examples of genetic industries include:

Select correct option:

a. Poultry

b. Sugar mill

c. Plant nurseries

d. Canals

Question # 24

Which of the following enjoys limited liability?

Select correct option:

a. A general partnership.

b. A corporation.

c. A sole proprietorship.

d. None of the above

Question # 25
JIT aims at:-
Select correct option:

a. Avoid delays

b. Favorable cash flow of the organization

c. Reduction in non-value added activities

d. All of the given options

Question # 26
Consumer goods are purchased by:
Select correct option: a. Business users.

b. Ultimate consumers.

c. Governments.

d. Families.

Question # 27
The last step involved in designing an advertising campaign is _____.
Select correct option:

a. Allocation of Budget

b. Advertising Objectives

c. Advertising Evaluation

d. Message Creation

Question # 28
In which of the following do two or more organizations collaborate on a project for mutual gain?
Select correct option:

a. Limited partnership

b. Joint venture

c. Public corporation

d. Strategic alliance

Question # 29
Air crafts are used for transportation of products when speed is
Select correct option:

More important
Less important

Question # 30
An item consumed in one or a few uses is called a:
Select correct option:

a. Consumer good
b. Commodity
c. Durable good
d. Nondurable good

Question # 31
Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Select correct option:

a. Sales promotion
b. Public relations
c. Personal selling
d. Advertising

Question # 32
A written statement of what a jobholder does, how a job is done, and why a job is done is a_____:
Select correct option:

a. Job description.
b. Human resource inventory report.
c. Job analysis.
d. Job specification.

Question # 33
Aggregating prospective buyers into groups is called:
Select correct option:

a. Market categorization
b. Market segmentation
c. BCG matrix analysis
d. Grouping

a. Sets exchange rates to balance international trade among nations.

Question #34
Franchisors like franchising because:
Select correct option:

a. They get a huge amount of money from franchisee without doing much

b. Failure rate of franchise business is lower than other businesses.

c. Franchisees invest their own money and take responsibility for the management of the businesses they own.

d. All of the given

Question # 35
Auditors are generally appointed and their remuneration, fixed at the _____
Select correct option:
Extraordinary Meeting
Statutory Meeting
Director's Meeting
Annual General Meeting
Question #36
Which of the following is included in economic factors?
Select correct option:
Religion
Value system
Norms
Exchange rate
Question # 37
Management, marketing and finance are key parts of a/ an:
Select correct option:
Accounting plan Production strategy
Business plan
Information systems
Question # 38
_____ refers to the standards of moral behavior.
Select correct option:
Legality
Loyalty
Integrity
Ethics
Question # 39
Skyscrapers, pop-ups, and banners are all types of _____ advertising.
Select correct option:
Television
Radio

Outdoor
Internet
Question # 40
Selection devices that are based upon physical condition of the candidates are known as:
Select correct option:

a. Medical tests

b. Background investigations.

c. Aptitude tests

d. Application forms.

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days
   3. 07 days
   4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
   1. Statutory Declaration
   2. **Fails to submit statutory report**
   3. Expiry of Period
   4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
   1. Modarba Certificate
   2. Debentures
   3. **Participation Term Certificates**
   4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
   1. **Reserve capital**
   2. Un-Issued Capital
   3. Un-Called up Capital
   4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
   1. **Petition by debtor**
   2. Petition by creditor
   3. Petition by contributory
   4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

   a. Freedom in professional and personal life
   b. More Job satisfaction
   c. Complicated coordination
   d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

   a. Autocratic styles
   b. Democratic styles
   c. Free rein style
   d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

   a. Leadership
   b. Motivation
   c. Free rein style
   d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

   a. Participative Management and Empowerment
   b. Management by Objectives (MBO)
   c. Reinforcement/Behavior Modification Theory
   d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

   a. Organization Policies
   b. Product Policies
   c. Management Structure
   d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. Substitute product competition
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.
    a. **Finished goods**
    b. Work in process
    c. Raw material
    d. All of the given option
12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
    a. Persuasive advertising
    b. Comparative advertising
    c. **Informative advertising**
    d. Reminder advertising
    e. None of the given options
13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
    a. **Pull strategy**
    b. Push strategy
    c. Persuasive advertising
    d. Sales Promotion
14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
    a. **Warehousing cost**
    b. Transportation cost
    c. Distribution cost
    d. Manufacturing cost
15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
    a. Order Processing
    b. **Creative Selling**
    c. Missionary Selling
    d. None of the given option
16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
    a. **Final consumer**
    b. Retailer
    c. Wholesalers
    d. All of the given options
17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

a. **Trade Shows**
b. Contests
c. Cross-promotion
d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.
a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.
a. Public relation
b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.
a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

Q 1.

1. A major disadvantage of corporate organization is
- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is
- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for
- Long term
- **Short term**
- All of given options
- None of given options

4. Pakistan is exporting
   - Sports Item
   - Agriculture Product
   - Textile Product
   - **All of given options**

5. Managers have _____ type of skills
   - 2
   - **3**
   - 4
   - 5

6. The process of attracting the people for job
   - **Recruitment**
   - Special skills
   - Supervision
   - Job Specification

7. What is the method of on job training?
   - Lectures
   - Vestibule
   - Videos
   - **None of given options**

8. The liability of a sole trader is _____
   - limited Only to his investment in the business
   - Limited to the total resources of the business
   - **Unlimited**
   - Not defined

9. Genetic industry means
   - Canal
   - Sugar mill
   - **Poultry**
   - Agriculture

10. The first stage Evolution business is?
    - **Industry revolution**
    - Globalization
    - Entrepreneurship
    - Marketing era

MGT211-Quizz-

Question # 1 of 15

In studying consumer behavior, it is often useful to categorize people on the basis of some similarity. Descriptions such as age, gender, income, or occupation are called:

Demographics
Psychographics
Personal profile
Personality

Question # 2 of 15
The method of interview where questions can be changed or adapted to meet the respondent's intelligence and understanding is called

Unstructured interview
Structured interview
All of the given options
None of the given options

Question # 3 of 15
Examples of generic industries include

Poultry
Sugar mill
Plant nurseries
Canals

Question # 4 of 15
---------- refers to standard of moral behavior

Loyalty
Integrity
Ethics

Question # 5 of 15
The buying and selling of goods by way of electronic media, such as telephone is called

Digital age
E commerce
Enterprise resource planning
None of the above

Question # 6 of 15
Which one of the following is NOT a benefit of partnership?

Distribution of work
Unlimited liability
Tax facility
Minority protection

Question # 7 of 15
The World Trade Organization (WTO):

Sets tariffs to balance international trade among nations
Is the successor to NAFTA?
Rules on trade disputes between nations.
Sets exchange rates to balance international trade among nations

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Question # 8 of 15
The liability of a sole trader is
Limited only to his investment in the business
Limited to the total resources of the business
Unlimited
Not defined

Question # 9 of 15
Which of the following statements about Franchising is true?
Franchising is a type of corporate system
Franchising is used to achieve coordination at successive stages of production
Franchising is a type of administered vertical marketing system
Franchising is the most visible variation of contractual systems

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Question # 10 of 15
Which one of the following business type can avail some concessions from Government?
Sole proprietorship
Partnership
JS Company
Cooperative society

Question # 11 of 15
Wages are paid for
Short term periods
Long term periods
All of the given options
None of the given options

Question # 12 of 15
A good, service, or idea consisting of a bundle of Tangible and intangible attributes that can satisfy consumer is called a:
Durable good
Product
Commodity

Question # 13 of 15
A _____ is an assessment of the kinds of skills, knowledge and abilities needed to successfully perform each job in an organization

Job description
Human resource inventory report
Job specification
Job analysis

Question # 14 of 15
The interviewer asks the respondents same questions using a predetermined series of questions interview questions in:

Structured interview
Unstructured interview
Telephonic interview
None of the given options

Question # 15 of 15
Which one of the following business has shortest life spam?

Sole proprietorship
Partnership
JS Company
Co-operative society

Semester Spring 2008
Quiz 1 solution
MGT211 (Introduction to Business)

Questions
Correct answer

1) Which of the following is excluded from factors that can affect the business?
a)
Demographic Factors
b)
Economic factors
c)
Act of God
d)
None of the above

Correct answer **D**

2)The function of business in which business man tries to find new techniques of production is

a)
Accounting
b)
Management Function
c)
Innovation
d)
Quality improvement

Correct answer C

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

a)
Favorable
b)
Unfavorable
c)
Deficit
d)None of the above

Correct answerA

4) Which of the following is excluded from the advantages of Sole Proprietorship?

a)
Direct relationship with customers
b)
Unlimited Liability
c)
Easy transfer of Ownership
d)
Entire Profit

Correct answerB

5) Which of the following is an advantage of sole proprietorship?

a)
Longest life
b)
Availability of sufficient Capital
c)

Direct contact with customer and workers
d)
Separate Legal Entity

Correct answer **C**

6) Which of the following is not among the benefits of Partnership Firm?
a)
Satisfaction of Partners
b)
Lack of Secrecy
c)
Moral Promotion
d)
Minority Protection

Correct answer **B**

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.
a)
50:50
b)
As per percentage of Capital invested
c)
As per agreed ratio in Partnership deed
d)
25:75

Correct answer **C**

8) The company may raise its capital through which of the following sources:
a)
By Issuing Shares
b)
By Issuing Debentures
c)
By Savings
d)
All of the given options

Correct answer **D**

9)Advantages of cooperative societies does not include

a)
Equal distribution of wealth
b)
Interference of Government
c)
No Monopoly
Open Membership

Correct answer **B**

10) WTO was organized on _____
a)
July 15, 1998
b)
January 01, 1990
c)
August 25, 1995
d)
January 01, 1995

Correct answer **D**

INTRODUCTION TO BUSINESS (MGT 211)

(QUIZ)

Please highlight the correct option from given choices.

1. An enterprise that provides products or services that customers desire is a /an:
   a. institution
   b. market
   c. agency
   d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

6. An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

7. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating
   b. risk
   c. value
   d. return on investment

8. _____ conditions reflect the overall performance of the nation's economy.
   a. microeconomic
   b. multieconomic
   c. macroeconomic
   d. all of the given options

9. The primary purpose of an industry business environmental assessment is to determine the:
   a. economic growth
   b. degree of competition
   c. inflation rate
   d. population growth

10. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
   a. finance
   b. marketing
   c. production
   d. management

11) All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.
   a) Land
   b) Capital
   c) Labor
   d) Financial Counselors

12) Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

   a) Charter Laws
   b) Unlimited Liability
   c) Terms of his property insurance
   d) Limited Liability

13) ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

   a) Limited partnerships
   b) Limited Liability Companies
   c) Sole Corporations
   d) General Partnership

14) ---------- is considered a primary advantage to forming a business partnership.

a) Shared Profit
b) Increase Specialization
c) Shared Control
d) Unlimited Liability

15) Disadvantages associated with being an entrepreneur include all of the following except ----------.

a) Ensuring the business functions properly
b) Possibly incurring large losses
c) Possibly losing source of income
d) Having an increased amount of control

16) All of the following except ---------- are considered to be barriers to free trade

a) Tariffs
b) Quotas
c) Subsidies
d) Taxes

17) A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

a) Totalitarian government
b) Representative democracy
c) Mixed Economy
d) Free Market Economy

18) ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

a) Promoters
b) Brokers
c) Underwriters
d) Directors

19) The function of business responsible for the efficient use of employees and other resources (such as machinery) is:

a) Finance
b) Marketing
c) Production
d) Management

20) The different types of stakeholders involved in a business include all of the following except:

a) Owners
b) Creditors
c) Couriers
d) Employees

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MGT211 Introduction To Business Solved Midterm Subjective and Objective by Shabbir Ahamd

1) Which of the following business type has longest life time?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. All of the given options

2) Election of the Board of Directors is done by Shareholders.
   1. Through special resolution
   2. **In annual general meeting**
   3. In Special meeting
   4. In statuary meeting

3) Which of the following business type, has to pay double taxes to the government?
   1. Sole proprietorship
   2. Partnership
   3. **Joint stock company**
   4. Cooperative Societies

4) _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
   1. Memorandum of Association
   2. **Article of Association**
   3. Prospectus
   4. All of the given option

5) General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
   1. Charter of Company
   2. Article of Association
   3. **Prospectus**
   4. None of the given option

6) To call the extraordinary meeting, how many days' notice is required?
   1. **21 days**
   2. 15 days

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3. 07 days
4. 30 days

7) According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
1. Statutory Declaration
2. **Fails to submit statutory report**
3. Expiry of Period
4. Appointment of Liquidators

8) Which of the following is the source of acquiring of redeemable capital?
1. Modarba Certificate
2. Debentures
3. **Participation Term Certificates**
4. All of the given option

9) Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
1. **Reserve capital**
2. Un-Issued Capital
3. Un-Called up Capital
4. All of the given option

10) The following person cannot make a petition to the court to get an order for winding up of a company.
1. **Petition by debtor**
2. Petition by creditor
3. Petition by contributory
4. All of the above

1) Which of the following is the disadvantage of modified schedules and alternative workplace?

a. Freedom in professional and personal life
b. More Job satisfaction
c. **Complicated coordination**
d. Suitable for self starter who require little direct supervision

2) Among different managerial styles, which of the following allows most rapid decision making?

a. Autocratic styles
b. Democratic styles
c. Free rein style
d. None of the given option

3) _____ is the process of motivating others to work to meet specific objectives.

a. Leadership
b. Motivation
c. Free rein style
d. Democratic style

4) Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?

a. Participative Management and Empowerment
b. Management by Objectives (MBO)
c. Reinforcement/Behavior Modification Theory
d. None of the given option

5) The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:

a. Organization Policies
b. Product Policies
c. Management Structure
d. All of the given option

6) A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:

a. Marketing Mix
b. Advertising objective
c. Market segmentation
d. Marketing process

7) Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.

a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing control

8) The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:

a. Marketing Environment
b. Market segmentation
c. Marketing Mix
d. Marketing Penetration

9) The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.
a. Market segmentation
b. Marketing Mix
c. Marketing Penetration
d. Marketing Environment

10) Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:

a. Substitute product competition
b. Brand competition
c. International competition:
d. Market competition

11) Physical distribution is a channel to make availability of _____ from producer to consumer.
    - **a. Finished goods**
    - b. Work in process
    - c. Raw material
    - d. All of the given option

12) Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:
    - a. Persuasive advertising
    - b. Comparative advertising
    - **c. Informative advertising**
    - d. Reminder advertising
    - e. None of the given options

13) A _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.
    - a. **Pull strategy**
    - b. Push strategy
    - c. Persuasive advertising
    - d. Sales Promotion

14) _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.
    - a. **Warehousing cost**
    - b. Transportation cost
    - c. Distribution cost
    - d. Manufacturing cost

15) Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:
    - a. Order Processing
    - **b. Creative Selling**
    - c. Missionary Selling
    - d. None of the given option

16) Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.
    - **a. Final consumer**
    - b. Retailer
    - c. Wholesalers
    - d. All of the given options

17) In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.
    - a. **Trade Shows**
    - b. Contests
    - c. Cross-promotion
    - d. Special-event sponsorship

18) _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

a. Total quality management (TQM)
b. Promotion strategy
c. Sales promotion
d. Management by objective (MBO)

19) A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

a. Public relation
b. Trade Promotion
c. Publicity
d. Consumer Promotion

20) Advertising strategy that tries to keep a product's name in the consumer's mind.

a. Persuasive advertising
b. Comparative advertising
c. Informative advertising
d. Reminder advertising

21) A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10%
b) 15%
c) 40%
d) 80%

22) Components of Business Plan include all of the following except

a) Marketing Component
b) Administrative Component
c) External Component
d) Financial Component

3) An agreement between two parties in which one party possess the rights to the other party is

a) Partnership
b) Strategic Alliance
c) Joint venture
d) Franchising

4) The shareholders elect the Board of Directors in the

a) Through special resolution
b) In annual general meeting
c) In Special meeting
d) In statuary meeting

5) Portion of the undistributed profit transferred to which of the following?

a) General Reserve
b) Retained Earning
c) Appropriation account
d) All of the given options

6) Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

a) Charter of Company
b) Article of Association
c) Prospectus

d) None of the given option

7) A joint stock company may be wound up voluntarily in which of the following way:

a) Expiry of Period
b) Fails to submit statutory report
c) Fails to start its business within one year from the date of incorporation
d) All of the following

8) Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

a) Debt
b) Equity
c) None of the above
d) All of the given option

9) Cooperative Societies are not formed for:

a) The serving of the orphans and widows
b) The help of poor people
c) For the earning of profit
d) Social welfare

10) Which of the following is the source of acquiring of redeemable capital?

a) Mudarbah Certificate
b) Debentures
c) Participation Term Certificates
d) All of the given option

Q# 1:

Which one of the following statements about marketing is inaccurate?

a) The growing number of products in all categories has made it easier for marketers to capture the attention of customers.
b) Marketing has to do with persuading customers a product meets their needs.
c) The mass market has fragmented into many different groups of customers.
d) Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.

Q# 2:

The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

a) Marketing
b) Business vision
c) Product development
d) Customer relationship management

Q# 3:

_____ is the typical sequence of changes in demand for a product that occurs over time.

a) The business vision statement
b) The product life cycle
c) Marketing research
d) A customer-oriented approach

Q# 4:

All of the following except _____ are considered to be correct statements about marketing research.

a) It is a systematic search for information about customers' needs and how those needs differ
b) Marketing research is geared to uncover unmet consumer needs
c) With market research, the chance product development will be able to create a product consumers want to buy increases
d) Marketing research provides an inexpensive method for tracking consumer behavior

Q#5:

When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.

a) Market differentiation
b) Market mission
c) Market segment
d) Marketing plan

Q#6:

_____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.

a) Marketing mix
b) Product mix
c) Product differentiation
d) Product positioning

Q# 7:

Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?

a) Sales promotion
b) Public relations
c) Personal selling
d) Advertising

Q# 8:

The specific method a company uses to sell and deliver its products to customers is known as its _____.

a) Retail intermediaries
b) Direct distribution
c) Distribution mix
d) Distribution channel

Q# 9:

Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?

a) Independent wholesalers
b) Direct distribution
c) Company-owned distributors
d) Retail distributors

Q# 10:

The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?

a) Missionary selling
b) Licensed distribution
c) Distribution mix
d) Distribution channel

Q# 11:

All of the following choices represent one of the four types of utility except:

a) Time
b) Form
c) Loyalty
d) Ownership

Q# 12:

The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

a) Production

b) Sales
c) Marketing
d) Relationship

Q# 13:

The marketing concept is:

a) Companywide consumer orientation with the objective of achieving the maximum amount of profits.
b) Long-run success page.
c) Largest market share.
d) Highest paid staff.

Q# 14:

_____ involves long-term, value-added relationships developed over time with customers and suppliers:

a) Relationship Marketing
b) Marketing Era Marketing
c) Consumer Marketing
d) Exchange Marketing

Q# 15:

An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

a) Sales process
b) Exchange process
c) Relationship process
d) Production process

1. An enterprise that provides products or services that customers desire is a / an:
   a. institution
   b. market
   c. agency

d. business

2. The different types of stakeholders involved in a business include all of the following except:
   a. owners
   b. creditors
   c. couriers
   d. employees

3. A certificate of ownership of a business is a:
   a. bond
   b. stock
   c. mutual fund
   d. contract

4. The following are possible forms of business ownership except:
   a. proprietorship
   b. partnership
   c. bureaucracy
   d. corporation

5. Partners have unlimited liability in a:
   a. general partnership
   b. corporation
   c. limited partnership
   d. cooperative

1) An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is a :
   a. franchise
   b. joint venture
   c. distribution
   d. cartel

6. A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:
   a. bond rating

b. risk
c. value
d. return on investment

7. _____ conditions reflect the overall performance of the nation's economy.
a. microeconomic
b. multieconomic
c. macroeconomic
d. all of the given options

8. The primary purpose of an industry business environmental assessment is to determine the:
a. economic growth
b. degree of competition
c. inflation rate
d. population growth

9. The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
a. finance
b. marketing
c. production
d. management

1. If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
a. overtime
b. training
c. affirmative action
d. orientation program

2. _____ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.
a. Contingent Workers
b. Knowledge workers
c. Diverse workforce
d. None of the given options

3. Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
    a. Labor Union
    b. Informal organization
    c. Team
    d. Trade union

4. Since they are closer to the production process, first line managers use their _____ skills more frequently.
    a. conceptual
    b. interpersonal
    c. managerial
    d. technical

5. Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
    a. equity theory
    b. management by objectives
    c. theory X
    d. theory Y

Q 1. All of the following are key factors that influence consumer preferences and the size of target market except:
    a. social values
    b. anthropology
    c. geography
    d. demographics

Q 2. Cameras, clothes, and household items are examples of products that exist in:
    a. industrial markets
    b. business markets
    c. consumer markets
    d. government markets

Q 3. To develop new ideas for expanding their product lines, many firms have recently increased their investment in:

a. research and development
b. production facilities
c. distribution facilities
d. inventory control

Q 4. Products that are not branded by the producer or retailer are called:
a. national brands
b. store brands
c. obsolete brands
d. generic brands

Q 5. Managers typically attempt to set a price that will maximize a firm's:
a. value
b. production
c. advertising
d. promotion

Q 6. The manner by which a firm's products are made accessible to its customers is determined by its:
a. advertising strategies
b. product decisions
c. pricing strategies
d. distribution decisions

Q 7. Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:

a. single-service marketers
b. agents
c. stockers
d. mediators

Q 8. All of the following are methods of promotion except:
a. target marketing
b. personal selling
c. sales promotion
d. public relations

Q 9. The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:
a. institutional advertising
b. the push strategy
c. reminder advertising
d. public relations advertising

Q 10. Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?
a. pull
b. push
c. sampling
d. premiums

Q1. A _____ represents a series of tasks in which resources are used to produce a product or service.
a. Production process
b. Layout chart
c. Venn diagram
d. Organizational chart

Q2. The act of setting time periods for each task in the process is called:
a. Routing
b. Scheduling

c. Dispatching
d. None of the given options

Q3. A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.
a. Gate-keeping
b. Broadband
c. Inter-organizational
d. Internal information

Q4. Through _____, firms achieve a lower average cost by producing large volume.
a. Inventory management
b. Economies of scale
c. De-integration
d. Effective marketing

Q5. _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.
a. Systems theory
b. Entropy
c. Synergy
d. Transformation process

Q6. Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:
a. Benchmarking
b. Quality assurance
c. Continuous improvement process
d. Total quality management

Q7. The heart of a computer is its:
a. Power unit
b. Central processing unit
c. Random access memory
d. Hard drive

Q8. In typical network architecture, workstations are connected to a _____, which is a machine that stores and provides access to centralized data.
a. Main-frame
b. Stand-alone computer
c. File server
d. Main-board

Q9. The exchange and comprehension of information is:
a. Communication
b. Promotion
c. Posture
d. Facial expression

Q10. Modems, printers, keyboards, monitors, and scanners are examples of computer _____.
a. Core components
b. Externalities
c. Peripherals
d. Serial interfaces

1) Which of the following is excluded from factors that can affect the business?

Demographic Factors
Economic factors
Act of God
None of the above

2) The function of business in which business man tries to find new techniques of production is

Accounting
Management Function
Innovation
Quality improvement

3) If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable
Unfavorable
Deficit
None of the above

4) Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers
Unlimited Liability
Easy transfer of Ownership
Entire Profit

5) Which of the following is an advantage of sole proprietorship?

Longest life
Availability of sufficient Capital
Direct contact with customer and workers
Separate Legal Entity

6) Which of the following is not among the benefits of Partnership Firm?

Satisfaction of Partners
Lack of Secrecy
Moral Promotion
Minority Protection

7) In partnership deed the profit & loss is distributed among the partners by the following ratio.

50:50
As per percentage of Capital invested
As per agreed ratio in Partnership deed
25:75

8) The company may raise its capital through which of the following sources:

By Issuing Shares
By Issuing Debentures
By Savings
All of the given options

9) Advantages of cooperative societies does not include

Equal distribution of wealth
Interference of Government
No Monopoly
Open Membership

10) WTO was organized on _____

July 15, 1998
January 01, 1990
August 25, 1995
January 01, 1995

1. A major disadvantage of corporate organization is

- Double Taxation of dividend
- **Inability of the firm to large sum of additional capital**
- Limited liability of share holders
- Limited life of Cooperate firm

2. It is difficult to transfer to right of ownership is

- Sole proprietor ship
- **Partner ship**
- All of given options
- None of given options

3. Wages are paid for

- Long term
- **Short term**
- All of given options
- None of given options

4. Pakistan is exporting

- Sports Item
- Agriculture Product
- Textile Product
- **All of given options**

5. Managers have _____ type of skills

- 2
- **3**
- 4
- 5

6. The process of attracting the people for job

- **Recruitment**
- Special skills
- Supervision
- Job Specification

7. What is the method of on job training?

- Lectures
- Vestibule
- Videos
- **None of given options**

8. The liability of a sole trader is _____

- limited Only to his investment in the business
- Limited to the total resources of the business
- **Unlimited**
- Not defined

9. Genetic industry means

- Canal
- Sugar mill
- **Poultry**
- Agriculture

10. The first stage Evolution business is?

- **Industry revolution**
- Globalization
- Entrepreneurship
- Marketing era

Question No: 1 (Marks: 1) - Please choose one

When entrepreneurs establish a business, they must first decide on the form of:

? Partnership

? Ownership

? Expansion

? Organization

Question No: 2 (Marks: 1) - Please choose one

Generally, in a limited partnership:

? All partners have limited liability.

? The partners exist for a limited time period.

? The limited partners do not participate in management of the company.

? Not more than 75 partners may invest in the company at one time.

Question No: 3 (Marks: 1) - Please choose one

The “leading” function of management should be conducted in a manner that is consistent with firm’s:

? Competition

? Strategic plan

? Industry demand

? Labor union

Question No: 4 (Marks: 1) - Please choose one

The skills managers use to understand the relationships among the various tasks of the firm are:

? Interpersonal skills

? Technical skills

? Decision making skills

? Conceptual skills

Question No: 5 (Marks: 1) - Please choose one

The four functions of management:

? Must be enacted in the proper sequence

? Must be integrated

? Are stand alone, independent functions

? Can not be performed by one individual

Question No: 6 (Marks: 1) - Please choose one

Social interaction and acceptance by others are examples of:

? Physiological needs

? Safety needs

? Affiliation needs

? Esteem needs

Question No: 7 (Marks: 1) - Please choose one

When firms delegate more authority to their employees, this strategy is referred to as:

? Empowerment

? Merit system

? Hygiene theory

? Equity system

Question No: 8 (Marks: 1) - Please choose one

The process used to determine the tasks and the necessary credentials for a particular position is referred to as:

? Job analysis

? Job screening

? Job evaluation

? Human resource planning

Question No: 9 (Marks: 1) - Please choose one

A _____ is an assignment to a higher level job with more responsibility and greater pay.

? Transfer

? Lateral assignment

? Appraisal

? Promotion

Question No: 10 (Marks: 1) - Please choose one

Products purchased by companies to produce other products are:

? Consumer Goods

? Industrial Goods

? Services

? Inventory

1. People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

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2. Following are the advantages of cooperative society except:

- Increase in employment
- Lack of profit incentive
- Friendly relation
- Easy formation

3. _____ refers to the standards of moral behavior.

- Legality
- Loyalty
- Integrity
- Ethics

4. Which of the following is included in job specification?

- Working environment
- Experience
- Job title
- Job location

5. Which of the following is included in economic factors?

- Religion
- Value system
- Norms
- Exchange rate

6. Wages are paid for :

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Short term period

Long term period

All of the given options

None of the given options

7. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

8. Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

9. The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

10. Which of the following is not an example of non-profit making organization?

NGO´s

Trusts

Cooperative societies

Partnership

11. First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

12. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

13. The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

14. Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

15. Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

16. A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

17. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

18. A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

19. Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

20. Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

21. In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

22. A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

23. The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

24. Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

25. population size is included in

Economic factors

Demographic factors

Legal factors

Technological

26. Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

27. Components of Business Plan include all of the following except:
e) Marketing Component
f) Administrative Component
g) External Component
d)Financial Component

28. An agreement between two parties in which one party possess the rights to the other party is:
e) Partnership
f) Strategic Alliance
g) Joint venture
d] Franchising

29. Many organizations provide guidelines of behavior to employees through a code of:

a) Cartel arrangements
b) Kickback agreements
c) Production manuals
d) Responsibility and ethics

30. A firm can charge a higher price without loosing its customers if it does not have much:

a) Production
b) Competition
c) Advertising
d) Industry demand

31. A distribution channel represents the path of a product from a producer to:

a) Retailer
b) Wholesaler
c) Consumer
d) Manufacturer

32. Process by which a company analyzes a competitor's products to identify desirable improvements is:

a) Competitive product analysis
b) Value-Added Analysis
c) Statistical Process Control
d) Quality/Cost Studies

33. Spreadsheets, database and word processing software are all types of:
a) Operating systems
b) Utility programs
c) Application software
d) Firmware

34. Which of the following is the most important determinant of a firm's value?

a) Earnings
b) Debt
c) Liabilities
d) Liquidity

35. How funds are obtained and invested by the firm is determined by the:

a) Finance function
b) Marketing function
c) Organizing function
d) Accounting function

36. _____ is used to cover long-term expenses such as assets.

a) Line of Credit
b) Debt Financing
c) Preferred Stock
d) Financial Management

37. _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.

a) Knowledge Worker
b) Labor Markets
c) Contingent Worker
d) Workforce Diversity

38. An increase in the general level of prices of products over a specified period of time is called:

a) Inflation
b) Gross domestic product
c) Disinflation
d) Equilibrium

a. Which of the following business type has longest life time?

Sole proprietorship

Partnership

Joint stock company

All of the given options

b. Election of the Board of Directors is done by Shareholders.

Through special resolution

In annual general meeting

In Special meeting

In statuary meeting

c. Which of the following business type, has to pay double taxes to the government?

Sole proprietorship

Partnership

Joint stock company

Cooperative Societies

d. _____ includes the rules and regulations, necessary to manage the internal affairs of the company.

Memorandum of Association

Article of Association

Prospectus

All of the given option

e. General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.

Charter of Company

Article of Association

Prospectus

None of the given option

f. To call the extraordinary meeting, how many days' notice is required?

21 days

15 days

07 days

30 days

g. According to Section 305 of Companies Ordinance, a company may wound up by court under which of the following circumstances:

Statutory Declaration

Fails to submit statutory report

Expiry of Period

Appointment of Liquidators

h. Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate

Debentures

Participation Term Certificates

All of the given option

i. Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital

Un-Issued Capital

Un-Called up Capital

All of the given option

j. The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor

Petition by creditor

Petition by contributory

All of the above

MGT211 Introduction To Business More than 200 MCQs For Preparation of Midterm Exam

Question No: 1 Which of the following business type has longest life time?
Sole proprietorship Partnership
Joint stock company All of the given options
Question No: 2 Election of the Board of Directors is done by Shareholders.
Through special resolution **In annual general meeting**
In Special meeting In statuary meeting
Question No: 3 Which of the following business type, has to pay double taxes to the government?
Sole proprietorship Partnership
Joint stock company Cooperative Societies
Question No: 4 _____ includes the rules and regulations, necessary to manage the internal affairs of the company.
Memorandum of Association **Article of Association**
Prospectus All of the given option
Question No: 5 General information like Appointment, election and powers of directors, voting rights and transfer of shares mention in _____.
Charter of Company Article of Association
Prospectus None of the given option
Question No: 6 To call the extraordinary meeting, how many days' notice is required?
21 days 15 days 07 days 30 days
Question No: 7 According to Section 305 of Companies Ordinance, a company may wound up **by court** under which of the following circumstances:
Statutory Declaration **Fails to submit statutory report**
Expiry of Period Appointment of Liquidators
Question No: 8 Which of the following is the source of acquiring of redeemable capital?
Modarba Certificate Debentures
Participation Term Certificates All of the given option
Question No: 9 Normally some part of Capital is kept for the payment of debts at the time of winding up, is called as:
Reserve capital Un-Issued Capital
Un-Called up Capital All of the given option
Question No: 10 The following person cannot make a petition to the court to get an order for winding up of a company.
Petition by debtor Petition by creditor
Petition by contributory All of the above
Question No: 11 Which of the following is the disadvantage of modified schedules and alternative workplace?
Freedom in professional and personal life More Job satisfaction

Complicated coordination
Suitable for self starter who require little direct supervision

Question No: 12 Among different managerial styles, which of the following allows most rapid decision making?

Autocratic styles Democratic styles
Free rein style None of the given option

Question No: 13 _____ is the process of motivating others to work to meet specific objectives.

Leadership Motivation Free rein style Democratic style

Question No: 14 Which of the following represents the set of procedures involving both managers and subordinates in setting goals and evaluating progress?
Participative Management and Empowerment
Management by Objectives (MBO)
Reinforcement/Behavior Modification Theory None of the given option

Question No: 15 The internal environment consists of the insides forces that influence marketing strategy and decision making is/are as follows:
Organization Policies Product Policies
Management Structure **All of the given option**

Question No: 16 A specific communication task to be accomplished with a specific target audience during a specific period of time is called as:
Marketing Mix **Advertising objective**
Market segmentation Marketing process

Question No: 17 Dividing a market into distance groups of buyers who have distinct needs, characteristics, or behavior and who might require separate products or marketing mixes.
Market segmentation Marketing Mix
Marketing Penetration Marketing control

Question No: 18 The actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationship with target customers are called as:
Marketing Environment Market segmentation
Marketing Mix Marketing Penetration

Question No: 19 The set of controllable tactical marketing tools-product, price, place and promotion that the firm blends to produce the response it wants in the target market.
Market segmentation **Marketing Mix**
Marketing Penetration Marketing Environment

Question No: 20 Motor cycle and car are very different from one another, but both fulfill the need for transport is an example of:
Substitute product competition Brand competition
International competition: Market competition

Question No: 21 Physical distribution is a channel to make availability of _____ from producer to consumer.

Finished goods Work in process
Raw material All of the given option

Question No: 22 Advertising strategies often depend on the product life cycle stage. Example in case of introductory stage, which of the following advertising strategy is used:

Persuasive advertising Comparative advertising
Informative advertising Reminder advertising
None of the given options

Question No: 23 _____ is a promotional approach that encourages consumer demand, which then exerts pressure on wholesalers and retailers to carry a product.

Pull strategy Push strategy Persuasive advertising Sales Promotion

Question No: 24 _____ includes rental or mortgage payments, insurance, and wages. Other cost includes material handling and inventory control.

Warehousing cost Transportation cost
Distribution cost Manufacturing cost

Question No: 25 Personal selling task in which salespeople try to persuade buyers to purchase products by providing information about their benefits is:

Order Processing **Creative Selling**
Missionary Selling None of the given option

Question No: 26 Consumer promotion aimed at the _____ and Trade promotion aimed at wholesalers and retailers.

Final consumer Retailer Wholesalers All of the given options

Question No: 27 In which of the following, Companies rent booths to display and demonstrate products to customers who have a special interest or are ready to buy.

Trade Shows Contests Cross-promotion Special-event sponsorship

Question No: 28 _____ is the planning, organizing, directing, and controlling of all the activities needed to get high-quality goods and services into the marketplace.

Total quality management (TQM) Promotion strategy
Sales promotion Management by objective (MBO)

Question No: 29 A promotional tool in which information about a company or product is transmitted by general mass media, which is free, but you have little or no control of the content and delivery.

Public relation Trade Promotion **Publicity** Consumer Promotion

Question No: 30 Advertising strategy that tries to keep a product's name in the consumer's mind.

Persuasive advertising Comparative advertising
Informative advertising **Reminder advertising**

Question No: 31 Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

10% 15% 40% 80%

Question No: 32 Components of Business Plan include all of the following except:

Marketing Component Administrative Component
External Component Financial Component

Question No: 33 An agreement between two parties in which one party possess the rights to the other party is:

Partnership Strategic Alliance Joint venture Franchising

Question No: 34 The shareholders elect the Board of Directors in the

Through special resolution In annual general meeting
In Special meeting In statuary meeting

Question No: 35 Portion of the undistributed profit transferred to which of the following?

General Reserve Retained Earning
Appropriation account All of the given options

Question No: 36 Brief history, Auditor's report, shareholders' equity and liabilities, share capital, etc are mention in which of the document?

Charter of Company Article of Association
Prospectus None of the given option

Question No: 37 A joint stock company may be wound up voluntarily in which of the following way:

Expiry of Period Fails to submit statutory report
Fails to start its business within one year from the date of incorporation
All of the following

Question No: 38 Capital is required for the purchase of land, machines, wages and raw materials. A businessman can generate its capital from:

Debt Equity None of the above All of the given option

Question No: 39 Cooperative Societies are not formed for:

The serving of the orphans and widows The help of poor people
For the earning of profit Social welfare

Question No: 40 Which one of the following statements about marketing is inaccurate?

(The growing number of products in all categories has made it easier for marketers to capture the attention of customers.)

(Marketing has to do with persuading customers a product meets their needs.)

(The mass market has fragmented into many different groups of customers.)

(Marketing is an organizational function and a set of processes for creating, communicating, and delivering value to customers.)

Question No: 41 The process of tracking the demand and satisfaction of customers in an effort to develop products they will want to buy on an ongoing basis is called _____.

Marketing Business vision Product development
Customer relationship management

Question No: 42 _____ is the typical sequence of changes in demand for a product that occurs over time.

The business vision statement The product life cycle
Marketing research A customer-oriented approach

Question No: 43 All of the following except _____ are considered to be correct statements about marketing research.
(It is a systematic search for information about customers' needs and how those needs differ)
(Marketing research is geared to uncover unmet consumer needs)
(With market research, the chance product development will be able to create a product consumers want to buy increases)
(Marketing research provides an inexpensive method for tracking consumer behavior)

Question No:44 When a company targets a particular group of customers because of their need for its product, it can be stated the company has identified its _____.
Market differentiation Market mission
Market segment Marketing plan

Question No: 45 _____ is the combination of a product's qualities and features, its price, the way it is promoted and sold, and the places at which it is sold.
Marketing mix Product mix
Product differentiation Product positioning

Question No: 46 Which type of product promotion is identified as being direct, face-to-face communication by salespeople with existing and potential customers to promote a company's products?
Sales promotion Public relations
Personal selling Advertising

Question No: 47 The specific method a company uses to sell and deliver its products to customers is known as its _____.
Retail intermediaries Direct distribution
Distribution mix Distribution channel

Question No: 48 Of the following distribution methods, which one is best identified as being that which occurs when a company delivers and sells products straight to the final customer?
Independent wholesalers Direct distribution
Company-owned distributors Retail distributors

Question No: 49 The combination of channels a company selects to place, promote, sell, and deliver its products to customers is best identified by which one of the following?
Missionary selling Licensed distribution
Distribution mix Distribution channel

Question No: 50 All of the following choices represent one of the four types of utility except:

Time Form Loyalty Ownership

Question No: 51 The consumer rules! Find a need and fill it was the prevailing attitude during what historical era of marketing?

Production Sales Marketing Relationship

Question No: 52 The marketing concept is:

Companywide consumer orientation with the objective of achieving the maximum amount of profits.

Long-run success page. Largest market share. Highest paid staff.

Question No: 53 _____ involves long-term, value-added relationships developed over time with customers and suppliers:

Relationship Marketing Marketing Era Marketing

Consumer Marketing Exchange Marketing

Question No: 54 An activity in which two or more parties give something of value to each other to satisfy perceived needs is called:

Sales process Exchange process

Relationship process Production process

Question No: 55 An enterprise that provides products or services that customers desire is a / an:

Institution market agency business

Question No: 56 The different types of stakeholders involved in a business include all of the following except:

Owners creditors couriers employees

Question No: 57 A certificate of ownership of a business is a:

Bond stock mutual fund contract

Question No: 58 The following are possible forms of business ownership except:

Proprietorship partnership bureaucracy corporation

Question No: 59 Partners have unlimited liability in a:

general partnership corporation limited partnership cooperative

Question No: 60 An arrangement whereby business owners allow others to use their trademark, trade name, or copyright under specified conditions is

Franchise joint venture distribution cartel

Question No: 61 A firm's _____ is measured by its stock price, which can be negatively affected by unethical business practices:

bond rating risk value return on investment

Question No: 62 _____ conditions reflect the overall performance of the nation's economy.

Microeconomic multieconomic

macroeconomic all of the given options

Question No: 63 The primary purpose of an industry business environmental assessment is to determine the:
economic growth degree of competition
inflation rate population growth

Question No: 64 The function of business responsible for the efficient use of employees and other resources (such as machinery) is:
Finance marketing production management

Question No: 65 If firms wish to avoid hiring during a temporary increase in production, they can offer _____ to existing employees.
Overtime training affirmative action orientation program

Question No: 66 Group of individuals working together to achieve shared job-related goals, such as higher pay, shorter working hours, more job security, greater benefits, or better working conditions is a:
Labor Union Informal organization Team Trade union

Question No: 67 Since they are closer to the production process, first line managers use their _____ skills more frequently.
Conceptual interpersonal managerial technical

Question No: 68 Which of the following allows employees to set their own goals and determine the manner in which they accomplish their tasks?
equity theory management by objectives theory X theory Y

Question No: 69 All of the following are key factors that influence consumer preferences and the size of target market except:
social values anthropology geography demographics

Question No: 70 Cameras, clothes, and household items are examples of products that exist in:
industrial markets business markets
consumer markets government markets

Question No: 71 To develop new ideas for expanding their product lines, many firms have recently increased their investment in:
research and development production facilities
distribution facilities inventory control

Question No: 72 Products that are not branded by the producer or retailer are called:
national brands store brands obsolete brands generic brands

Question No: 73 Managers typically attempt to set a price that will maximize a firm's:
Value production advertising promotion

Question No: 74 The manner by which a firm's products are made accessible to its customers is determined by its:
advertising strategies product decisions
pricing strategies distribution decisions

Question No: 75 Marketing intermediaries that match buyers and sellers of products without becoming owners of the products themselves are known as:
single-service marketers agents stockers mediators

Question No: 76 All of the following are methods of promotion except:

target marketing personal selling sales promotion public relations

Question No: 77 The type of advertising that is used for grocery products such as cereals, peanuts, cooking oil, and tea is:

institutional advertising the push strategy
reminder advertising public relations advertising

Question No: 78 Which of the following sales promotion strategies provide a gift or prize to consumers who purchase a specific product?

Pull push sampling premiums

Question No: 79 ___ are employees hired on something other than a full-time basis to supplement an organization's permanent workforce.

Contingent Workers Knowledge workers
Diverse workforce None of the given options

Question No: 80 _____ represents a series of tasks in which resources are used to produce a product or service.

Production process Layout chart Venn diagram Organizational chart

Question No: 81 The act of setting time periods for each task in the process is called:

Routing Scheduling Dispatching None of the given options

Question No: 82 A system that uses computers and telecommunication technology to share information across the organizational boundaries is known as _____ system.

Gate-keeping Broadband Inter-organizational Internal information

Question No: 83 Through _____, firms achieve a lower average cost by producing large volume.

Inventory management Economies of scale
De-integration Effective marketing

Question No: 84 _____ is the management, technological, and production operations performed by the organization to convert inputs to outputs.

Systems theory Entropy Synergy Transformation process

Question No: 85 Comparing an organization's processes and products to the world's best and then matching or exceeding that quality is called:

Benchmarking Quality assurance
Continuous improvement process Total quality management

Question No: 86 The heart of a computer is its:

Power unit Central processing unit
Random access memory Hard drive

Question No: 87 In typical network architecture, workstations are connected to a ___, which is a machine that stores and provides access to centralized data.

Main-frame Stand-alone computer File server Main-board

Question No: 88 The exchange and comprehension of information is:

Communication Promotion Posture Facial expression

Question No: 89 Modems, printers, keyboards, monitors, and scanners are examples of computer _____.

Core components Externalities Peripherals Serial interfaces

Question No: 90 Which of the following is excluded from factors that can affect the business?

Demographic Factors Economic factors Act of God None of the above

Question No: 91 The function of business in which business man tries to find new techniques of production is

Accounting Management Function Innovation Quality improvement

Question No: 92 If Trade Receipts are grater then Trade Payments then Balance of Payments is _____

Favorable Unfavorable Deficit None of the above

Question No: 93 Which of the following is excluded from the advantages of Sole Proprietorship?

Direct relationship with customers Unlimited Liability

Easy transfer of Ownership Entire Profit

Question No: 94 Which of the following is an advantage of sole proprietorship?

Longest life Availability of sufficient Capital

Direct contact with customer and workers Separate Legal Entity

Question No: 95 Which of the following is not among the benefits of Partnership Firm?
Satisfaction of Partners Lack of Secrecy
Moral Promotion Minority Protection

Question No: 96 In partnership deed the profit & loss is distributed among the partners by the following ratio.
50:50 As per percentage of Capital invested
As per agreed ratio in Partnership deed 25:75

Question No: 97 The company may raise its capital through which of the following sources:
By Issuing Shares By Issuing Debentures
By Savings All of the given options

Question No: 98 Advantages of cooperative societies does not include
Equal distribution of wealth Interference of Government
No Monopoly Open Membership

Question No: 99 WTO was organized on _____
July 15, 1998 January 01, 1990 August 25, 1995 January 01, 1995

Question No: 100 A major disadvantage of corporate organization is
Double Taxation of dividend **Inability of the firm to large sum of additional capital**
Limited liability of share holders Limited life of Cooperate firm

Question No: 101 It is difficult to transfer to right of ownership is
Sole proprietor ship **Partner ship** All of given options None of given options

Question No: 102 Wages are paid for
Long term **Short term** All of given options None of given options

Question No: 103 Pakistan is exporting
Sports Item Agriculture Product Textile Product **All of given options**

Question No: 104 Managers have _____ type of skills
2 **3** 4 5

Question No: 105 The process of attracting the people for job
Recruitment pecial skills Supervision Job Specification

Question No: 106 What is the method of on job training?
Lectures Vestibule Videos **None of given options**

Question No: 107 The liability of a sole trader is _____
limited Only to his investment in the business
Limited to the total resources of the business **Unlimited** Not defined

Question No: 108 Genetic industry means
Canal Sugar mill **Poultry** Agriculture

Question No: 109 The first stage Evolution business is?
Industry revolution Globalization Entrepreneurship Marketing era

Question No: 110 When entrepreneurs establish a business, they must first decide on the form of:
Partnership Ownership Expansion Organization

Question No: 111 Generally, in a limited partnership:
All partners have limited liability. The partners exist for a limited time period.
The limited partners do not participate in management of the company.
Not more than 75 partners may invest in the company at one time.

Question No: 112 The "leading" function of management should be conducted in a manner that is consistent with
firm's:
Competition Strategic plan Industry demand Labor union

Question No: 113 The skills managers use to understand the relationships among the various tasks of the firm are:
Interpersonal skills Technical skills Decision making skills Conceptual skills

Question No: 114 The four functions of management:
Must be enacted in the proper sequence Must be integrated
Are stand alone, independent functions Can not be performed by one individual

Question No: 115 Social interaction and acceptance by others are examples of:
Physiological needs Safety needs Affiliation needs Esteem needs

Question No: 116 When firms delegate more authority to their employees, this strategy is referred to as:
Empowerment Merit system Hygiene theory Equity system

Question No: 117 The process used to determine the tasks and the necessary credentials for a particular position is
referred to as:
Job analysis Job screening Job evaluation Human resource planning

Question No: 118 A _____ is an assignment to a higher level job with more responsibility and greater pay.
Transfer Lateral assignment Appraisal Promotion

Question No: 119 Products purchased by companies to produce other products are:
Consumer Goods Industrial Goods Services Inventory

Question No: 120 Many organizations provide guidelines of behavior to employees through a code of:
Cartel arrangements Kickback agreements
Production manuals Responsibility and ethics

Question No: 121 A firm can charge a higher price without loosing its customers if it does not have much:
Production Competition Advertising Industry demand

Question No: 122 A distribution channel represents the path of a product from a producer to:
Retailer Wholesaler Consumer Manufacturer

Question No: 123 Process by which a company analyzes a competitor's products to identify desirable improvements is:
Competitive product analysis Value-Added Analysis
Statistical Process Control Quality/Cost Studies

Question No: 124 Spreadsheets, database and word processing software are all types of:
Operating systems Utility programs Application software Firmware

Question No: 125 Which of the following is the most important determinant of a firm's value?
Earnings Debt Liabilities Liquidity

Question No: 126 How funds are obtained and invested by the firm is determined by the:
Finance function Marketing function
Organizing function Accounting function

Question No: 127 _____ is used to cover long-term expenses such as assets.
Line of Credit Debt Financing Preferred Stock Financial Management

Question No: 128 _____ is the range of workers' attitudes, values, and behaviors that differ by gender, race, and ethnicity.
Knowledge Worker Labor Markets Contingent Worker Workforce Diversity

Question No: 129 An increase in the general level of prices of products over a specified period of time is called:
Inflation Gross domestic product
Disinflation Equilibrium

Question No: 130 The formation of _____does not require any legal formality like registration.
Company Cooperative society Partnership **Ans Sole proprietorship**

Question No: 131 Which of the following is a disadvantage of partnership?
Distribution of work Sufficient capital
Prime credit standing **Ans Profit sharing**

Question No: 132 In partnership deed, profit and loss is distributed among the partners:
In equal percentage As per percentage of capital invested
Ans As per agreed ratio in partnership deed None of the given options

Question No: 133 The powers of the Board of Directors to borrow from the bank are mentioned in:
Ans Article of Association Memorandum of Association
Special Resolution None of the given options

Question No: 134 Which of the following should be considered when designing a business plan?
Objectives of the business Marketing components of the business
Financial components of the business **Ans All of the given options**

Question No: 135 A firm that acquires another firm as part of its overall business strategy is engaging in _____.
Ans A strategic acquisition A financial acquisition
A two-tier tender offer A shark repellent

Question No: 136 The record of a country's imports and exports of goods and services is called its:
Visible trade balance. **Ans Balance of payments**
Balance of payments on current account. Balance of trade.

Question No: 137 which of the following is the treaty designed to remove barriers to the free flow of goods, services, and capital between nations?
GATT EU **Ans WTO** NAFTA

Question No: 138 Export subsidies are:
Maximum limits on the quantity of specific products imported to a nation.
Taxes placed on imported products.
Licensing requirements or unreasonable quality standards designed to reduce imports.

Ans Government payments to domestic producers to reduce the price on exported goods .

Question No: 139 If a very successful fast food restaurant has been ignoring customers' concerns about the small war toys and toy guns included in their Kids Meals, then managers should begin focusing on improving the firm's:

Ans Ethics Profitability. Productivity. Game plan

Question No: 140 _____ is a dimension of social responsibility that includes hiring minority workers, making safe products, minimizing pollution, using energy wisely, and providing a safe work environment

Corporate philanthropy Corporate policy Corporate governance

Ans Corporate responsibility

Question No: 141 Human resource planning is a dynamic planning process which involves ongoing environmental scanning and an analysis of organizational objectives, strategies, and policies aimed at deciding:

What business the organization should be in

Ans The right quantity and quality of employees needed when and where

What physical resources the organization needs

Who the organization's main competitors are

Question No: 142 The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critic of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid **Ans Valid but not reliable**

Reliable but not valid Reliable but not legal

Question No: 143 Selection devices that are based upon physical condition of the candidates are known as:

Ans Medical tests Background investigations.

Aptitude tests Application forms.

Question No: 144 Which of the following chart shows turnover in an organization? GANNT chart **Ans Replacement chart** PERT chart Bar chart

Question No: 145 The Hawthorne Studies found:

Ans That social and psychological factors could significantly affect productivity

That economic factors affect productivity

Money to be the primary motivator of female employees.

That workers were motivated to produce more when managers left them alone.

Question No: 146 According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem. Ans Security Social Self-actualization.

Question No: 147 Company policy, administration, supervision, interpersonal relations, working conditions, and salary are characterized as:

Growth factors **Ans Hygiene factors** Esteem factors Motivating factors

Question No: 148 Which of the following step is important to improve expectancy?

Ans Deliver rewards as promised. Observe and recognize performance.

Create the belief that effort is related to performance Make the rewards meaningful.

Question No: 149 The term "Job Rotation":

Is another term for employee empowerment Involves allocating a wider range of similar tasks to individuals
Involves giving employees work with a greater degree of responsibility and autonomy Ans
Means that staff is moved periodically from task to task in order to increase variety and interest
Question No: 150 Which of the following is NOT included as a basic idea in the definition of marketing concepts?
Ans Total company effort Profit Productivity Customer satisfaction
Question No: 151 In _____ of marketing, unsatisfied need of the customers are satisfied.
Social oriented stage Product oriented stage
Ans Marketing oriented stage None of the given options
Question No: 152 Which of the following statements is NOT true about services?
They are experienced, used or consumed. They are often sold first, then consumed.
They are perishable. **Ans They are tangible.**
Question No: 153 The degree to which a tool or test measures what it is supposed to measure is known as:
Ans Validity Reliability Dependability Goodness of fit.
Question No: 154 Which of the following would generally have *unlimited* liability?
A limited partner in a partnership A shareholder in a corporation
Ans The owner of a sole proprietorship
A member in a limited liability company (LLC)
Question No: 155 What is potentially the biggest advent age of a small partnership over a sole proprietorship?
Unlimited liability Single tax filing
Difficult ownership resale **Ans Raising capital**
Question No: 156 Which of the following enjoys limited liability?
A general partnership **Ans A Corporation**
A sole proprietorship None of the given options
Question No: 157 In which type of business entity the entire ownership interest is transferable most freely ?
General partnership Limited partnership
Corporation **Ans Limited liability company**
Question No: 158 Which of the following is false? I don't know the answer
One reason for failure of businesses is lack of managerial experience
One reason for failure of businesses is that most entrepreneurs are younger than 25 years old
One reason for failure of businesses is to neglect
One reason for failure of businesses is weak control systems
Question No: 159 What is a business plan? Discuss the purpose and significance of a business plan.
Question No: 160 What is Maslow's hierarchy of needs model? What are management implications of Maslow's Hierarchy need theory?

QuestionNo:161

People in business and government face important ethical issues and decisions.

Only in the United States

Primarily in capitalist countries

Primarily in communist countries

In many different countries around the world

QuestionNo:162 Following are the advantages of cooperative society except:

Increase in employment

Lack of profit incentive

Friendly relation

Easy formation

QuestionNo:163 _____ refers to the standards of moral behavior.

Legality

Loyalty

Integrity

Ethics

QuestionNo:164 Which of the following is included in job specification?

Working environment

Experience

Job title

Job location

QuestionNo:165 Which of the following is included in economic factors?

Religion

Value system

Norms

Exchange rate

QuestionNo:166 Wages are paid for :

Short term period

Long term period

All of the given options

None of the given options

QuestionNo:167

The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:168

Which of the following statements about franchising is true?

Franchising is a type of corporate system.

Franchising is used to achieve coordination at successive stages of production

Franchising is a type of administered vertical marketing system.

Franchising is the most visible variation of contractual systems

QuestionNo:169

The liabilty of a sole trader is:

Limited only to his investment in the business

Limited to the total resources of the business

Unlimited

Not defined

QuestionNo:170

Which of the following is not an example of non-profit making organization?

NGO's

Trusts

Cooperative societies

Partnership

QuestionNo:171

First directors are usually named in the _____

Memorandum of Association

Articles of Association

Prospectus

None of the above

QuestionNo:172 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:173 The first stage in Evolution of business is:

Industrial revolution

Marketing Era

Entrepreneurship

Globalization

QuestionNo:174 Political and legal barriers to trade include:

Tarrifs

Quotas

All of the given options

None of the given options

QuestionNo:175 Which of the following is not the disadvantage of cooperative society?

Lack of secrecy

No profit incentive

Untrained supervision

Protection of mutual interest

QuestionNo:176

A statutory report must be sent to every member of the company at least _____days before the meeting is to be held.

21 days

30 days

45 days

51 days

QuestionNo:177 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:178 A market survey is important because it tells you:

How many & what types of people are shopping at a store.

Tells you what the customer will buy.

Tells you how much the customer will pay for the product.

All of the above.

QuestionNo:179 Barriers to international trade include:

Social and cultural differences

Political and legal differences

Economic differences

All of the given options

QuestionNo:180 Which of the following is NOT a core function of management?

Planning

Organizing

Motivating

Leading

QuestionNo:181 In----------industry,raw material is converted into some goods finished or semi finished:

Manufacturing

Constructive

Genetic

Extractive

QuestionNo:182 A major advantage of the corporate form of organization is:

Reduction of double taxation.

Limited owner liability.

Legal restrictions.

Ease of organization

QuestionNo:183 The formation of ____ does not require any legal formality like registration.

Sole proprietorship

Company

Cooperative society

Partnership

QuestionNo:184 Compared to licensing, franchising is a more advantageous entry mode because:

It generates economies of scale in marketing to international customers.

It offers greater control.

It is low-risk and low-cost.

Of all the above

QuestionNo:185 population size is included in

Economic factors

Demographic factors

Legal factors

Technological

QuestionNo:186 Which of the following is excluded from factors that can affect the business?

Demographic Factors

Economic and social factors

Natural factors

None of the above

QuestionNo:187 A Pizza delivery service company generated after tax earnings of Rs. 800,000. With total stockholder investments equaling Rs. 20,00,000. What was the company's return on equity?

a) 10% b) 15% **c) 40%** d) 80%

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QuestionNo:188 the return on investment in a firm is derived from the firm's ability to earn _____.

Question No: 12 the total market value of all final goods and services produced in a country is known as_____.

QuestionNo:189 _____ theory of motivation holds that people evaluate their treatment by employers relative to the treatment of others.

QuestionNo:190 if a manager is having difficulties in managing his or her subordinates, _____ would be recommended to cope with the situation.

QuestionNo:191 Redesigned conventional office space to accommodate jobs and schedules that are far less dependent on assigned spaces and personal apparatus is called _____.

QuestionNo:192 Discuss some of the concerns an entrepreneur may have when starting a new business.

QuestionNo:193 Discuss and give examples of what you believe is the most common form of business ownership in your hometown.

QuestionNo:194 Distinguish between management and leadership. Do you think a person could be an effective manager but an ineffective leader?

QuestionNo:195 Describe the tasks involved in developing a human resource plan.

Spring 2007

QuestionNo:196 All of the following are considered crucial ingredients that are needed in order for a business to be able to make a profit except ----------.

Land Capital Labor FinancialCounselors

QuestionNo:197 Jahanzaib's restaurant was sued when a customer suffered a severe allergic reaction. As sole proprietor of the establishment, Jahanzaib's will be personally liable for any judgment against the restaurant due to ----------.

Charter Laws Unlimited Liability

erms of his property insurance Limited Liability

QuestionNo:198 ---------- comprise partners whose liability is limited to the cash or property they contributed to the partnership.

Limited partnerships Limited Liability Companies

Sole Corporations General Partnership

QuestionNo:199------- is considered a primary advantage to forming a business partnership.

Shared Profit Increase Specialization Shared Control UnlimitedLiability

QuestionNo:200 Disadvantages associated with being an entrepreneur include all of the following except ----------.

Ensuring the business functions properly Possibly incurring large losses

Possibly losing source of income Having an increased amount of control

QuestionNo:201 All of the following except ---------- are considered to be barriers to free trade

Tariffs Quotas Subsidies Taxes

QuestionNo:202 A ---------- is an economic system in which the production of goods and services is left in the hands of private enterprise.

Totalitarian government Representative democracy

Mixed Economy Free Market Economy

QuestionNo:203 ---------- are those persons who guarantee the company, to buy the remaining shares if minimum requirement is not met.

Promoters Brokers Underwriters Directors

MC100403657

MGT211- INTRODUCTION TO BUSINESS-OPKST MIDTERM PAPER FALL2010-

1. Which of the following must hold a statutory meeting?

Statutory companies

Private limited companies

Public limited companies

Chartered companies

2. Which of the following is NOT included in aids to trade?

Insurance

Warehousing

Transportation

Foreign trade

3. The portion of capital kept at the winding up of a company for the payment of debts is known as:

Reserve capital

Issued capital

Subscribed capital

Authorized capital

4. Which of the following business type can avail some concessions from the government?

Sole proprietorship

Partnership

Joint Stock company

Cooperative society

5. While making financial projections in a business plan, which of these would NOT form part of the plan?

Source of loan

Audit

Net income or profit

Expected revenues

6. Which of the following are included in a business plan?

Financial information, production plans, personal policies.

Goals of the business and how they will be achieved.

Market analysis

All of the given options.

7. Which of the following is not a reason for a business failure?

Managerial experience or inexperience

Effective control systems

Insufficient control system

None of the given options

8. In which of the following two or more organizations collaborate on a project for mutual gain?

Limited partnership

Public corporation

Strategic alliance

None of the given options

9. The difference between a country's merchandise exports and its merchandise imports is the:

Current account

Capital account

Balance of trade

Balance of payments

10. One of the best solutions to get rid of non-biodegradable wastes is:

Dumping

Recycling

11. The MBTI is a personality test that has been used to select candidates who will more likely engage in organizational citizenship behaviors at work. However, critics of this test suggest that the results can change over time as a person's personality develops. Therefore the MBTI personality test may be:

Legal but not valid

Valid but not reliable

Reliable but not valid

Reliable but not legal

12._____ is a written statement which contains the duties and responsibilities of a job.

Job analysis

Job specification

Job description

Job inventory chart

13. According to Maslow's hierarchy of needs, a person who buys a motion detector/burglar alarm for her house is motivated to do so in an attempt to fulfill the following need:

Esteem

Security

Social

Self-actualization

14. Douglas McGregor is associated with which of the following?

Scientific management

Motivational factors

Theory X and theory Y

The Hawthorne studies

15. Which step in Maslow's Hierarchy of Needs Theory deals with achieving one's potential?

Safety

Self actualization

Physiological

Social

16. The term "Job Rotation":

Is another term for employee empowerment?

Involves allocating a wider range of similar tasks to individuals

Involves giving employees work with a greater degree of responsibility and autonomy

Means that staff is moved periodically from task to task in order to increase variety and interest.

17. Which of the following statements is NOT true about services?

They are experienced, used or consumed

They are often sold first, and then consumed

They are perishable

They are tangible

18. Which of the following generic terms is not a management function?

Leading

Systemizing

Planning

Organizing

19. Increases in the degree of responsibility a worker has over his or her job is referred to as job:

Empowerment

Enlargement

Enrichment

Entitlement

20. ABC Company is currently hiring employees from different countries. ABC Company is said to be implementing _____ strategy.

Decentralization

Downsizing

Workforce diversity

Retrenchment

21. What is potentially the biggest advantage of a small partnership over a sole proprietorship?

Unlimited liability

Single tax filing

Difficult ownership resale

Raising capital

22. Which of the following is the oldest form of business organization?

Sole proprietorship

Partnership

Company

Cooperative society

23. Which of the following is an advantage of a corporation that is *not* an advantage as a limited partner in a partnership?

Limited liability

Easy transfer of ownership position

Double taxation

All of the given options are advantages that the corporation has over limited partner

24. Examples of constructive industries include:

Canals

Fishery

Sugar mills

Plant nurseries

25. Which of the following statement shows the Trade Deficit process?

A process in which country imports are higher than the exports

A process in which country exports are equal to the exports

A process in which country imports are less than the country exports

All of the given options

26. Mr. Saleem has invested 20,000 Rs in a business but did not take part in the management of the business. In which category of partner he falls?

Secret partner

Silent partner

Sleeping partner

All of the given options

27. Name of the business should:

Be simple

Indicates the type of business

Be familiar

All of the given options

28. Hormel Foods Corporation in the USA allows the Danish company Tulip International to produce and market SPAM for the UK market under its own name. What kind of market entry strategy is Hormel using?

Licensing

Joint venturing

Contracting

Franchising

29. What are some of the non financial ways of compensation for employees? (3 marks)

30. How does the term Merger differs from the term Acquisition. (3 marks)

31. What do you mean by recruitment? What are the different ways of recruitment? (5 marks)

32. Describe Expectancy theory. (5 marks)

MGT 211 Short notes

Lecture 1 to 22

Lecture 01

Business:

Definition:

- Any activity to earn profit.
- The word "business" is derived from the term "busyness."

Entrepreneurship

A phenomenon in which a person searches for an opportunity and try to avail it.

Components of business

- Industry
- Commerce

Industry

- Conversion of raw material into finished goods.
- This is a form utility.

Types of Industry

Primary Industry

- Extractive Industry _ Extraction of underground resources.
- Genetics _ People doing business by changing genes.

Types of industries

Secondary Industry

- Construction _ Construction of buildings, roads, bridges etc.
- Manufacturing _ Conversion of raw material into final goods.
- Services _ Banking, consultancy, accountant, Lawyer, Interior decorator, designer, music composer etc.

Commerce

All those activities which start from the warehouse of the manufacturer to the buyer.

Types of commerce

Trade

- Trade means buying and selling

- Aid to trade
- Institutions that are meant and build to assist and support the trading process.

Factors of production

- Labor _ People working in an organization.
- Capital _ Amount invested by investor in the business.
- Entrepreneurship _ Management ability of the people who are running the business.
- Physical Resources _ Land, labor, building, vehicles, machinery etc.

Economic System

- A system for allocation of resources.

Types of Economic Systems

- Planned Economy
- Free market Economy

Types of environmental forces

External Forces

- Factors found outside an organization.
- These factors are not controllable by the organization.
- **Types of environmental forces**

Internal Forces

- Factors within the organization.
- These are controllable by the organization.

SWOT Analysis

- Strengths
- Weaknesses
- Opportunities
- Threats

Lecture 02

External Factors

- Economy of the country
- Per capita income of the country
- General employment or unemployment
- Economic Growth
- Exchange rate
- Inflation rate

Demographic factors

- Demographic factor is a study of population

- Population brings customers.
- Population tells the size of market and nature of customers.

Total Population

Population Distribution

- Distribution on the basis of gender
- In Pakistan female population is further divided into two categories:
- Household Women
- Working Women

Population growth rate

- The rate at which population of an area increases/decreases.

Political and Legal factors

Political Factors

- Preference and priorities of the Government
- Attitude of the Government towards Exports
- Government taxation policy

Legal factors

- Laws related to Health
- Laws related to Imports and Exports
- Laws related to Taxation
- Laws related to Packing
- Laws related to Child Labor
- Laws related to Labor Union

Technological Factors

- Business people have to pace with the technological advancements.

Socio cultural Factors

Religion

- Followers of one religion have influence over the buying behavior of the society.

Natural Factors

- Act of God
- Natural factors are out of our control
- Business people will develop product considering natural resources

Lecture 03

Sole Proprietorship:

Definition

Sole Proprietorship is that type of business which is owned by one person.

Advantages of Sole Proprietorship

- Freedom in formation
- The easiest to establish
- Individuals are allowed to decide without interference of any other person.
- Easier to transfer the ownership of the business
- People wholly solely enjoy the ownership of the business and profits

- Individual has unlimited opportunity to expand the size of the business
- Individual can keep the secrets of the business intact
- Individual has personal interest in the business
- Owners can make speedy decisions
- Easy to dissolve

Disadvantages of Sole Proprietorship

- Limited amount of capital
- Continuity problem
- Sole Proprietorship has limited life and is dependent on the owner
- Owner of the business has unlimited liability towards people whom he has to pay

Partnership

- A relationship of the people to share investments and profits
- Partnership act 1932 governs all affairs of the partnership

Advantages of Partnership

- More capital
- Relatively easier to form
- Sharing of responsibility
- Light credit standing
- Business can have more loan from various sources
- Secrecy
- Public Confidence
- Better Decision
- Easy to dissolve

Lecture 04

Disadvantages of Partnership

Unlimited Liability

Partners will have to pay all the debts of the business even from their personal property.

Shorter Life

Partnership ends when one of the partners dies or becomes insane

Limited Capital

Partners run the business from their own capital. Sometimes, that capital becomes limited to meet the requirements of the business.

Lack of interest

Profit is divided among the partners. So, partners do not take keen interest in the business.

Slow Decision Making

Partners might have different point of view regarding a particular matter. So, decision making is relatively slow.

- It is difficult to transfer the rights of partnership.
- There is always a chance of conflict.

Types of Partners

- **Active Partner** is one who participates in all the affairs of the business.
- **Secret Partner** is one who has invested in the business but he/she is not known to general public.
- **Sleeping Partner** is one who is not very active in the affairs of the business.
- **Senior Partner** is one who has invested the maximum amount in the business.
- **Junior Partner** is one who has invested the minimum amount in the business.

Types of Partnership

- **Partnership at will**

Life of the partnership depends upon the will of the partners.

- **Limited Partnership**
  - That business in which at least one partner has the limited liability.
  - Investor is liable to the amount; he/she has invested in the business only. This is called **Limited Liability**
- There will be at least one partner who has the unlimited liability.
- **Particular Partnership**
  - Partnership formed for a particular purpose.
  - It is dissolved automatically at the achievement of the purpose.
- **Termination of Partnership**
- **By Notice**

A partner can terminate partnership by giving notice to other partners due to any reason.

- **Upon Death**

Partnership will automatically be terminated at the death of any partner.

- **Partnership Deed**

A document that contains the terms and conditions of the business.

Contents of Partnership Deed

- Date on which the agreement was made.
- Name of the business.
- Nature of the business.
- This clause will cover the scope of the business.
- Names, addresses, telephone Numbers and emails of the partners.
- Capital of the business.
- If duration is attached with any business that should clearly be mentioned in the partnership deed**.**
- Duties of the partners.
- Whether any partner is entitled to salary. If yes, how much amount should be given to him as salary.
- Profit distribution ratio.
- Whether partners are entitled to withdraw money from the business. If yes, procedure of withdrawals should also be written in the partnership deed.
- Arbitration
- In case of a conflict, how that conflict would be resolved before going to the court.
- The partner should read the partnership deed carefully, add as much clauses as possible and never take anything for granted.

Rights of the partners

Every partner has the right to:

- Participate in all the affairs of the business.
- Get his/her share of profit from the business.
- Leave the partnership according to the terms and conditions of the partnership deed.
- Claim the salary against his/her services.
- Participate in the management of the business.

Lecture 05

Duties of Partners

- Partners have to maintain accounts which describe the true picture of the business.
- Partners should use their powers within limits specified in the partnership deed.
- Partners are responsible to provide accurate information to Government bodies.
- Partners are responsible to pay their share in case of loss to the business.
- It is duty of every partner to obey the decision that has been made in the partnership.
- Partners should not disclose any secret information about the business to any other person.
- It is a moral obligation and legal responsibility of the partners not to use firm's forum to take any advantage without intimating to other partners.

Joint Stock Companies

- Joint Stock Companies are formed under the Companies Ordinance 1984.
- Joint Stock Company is an association of persons for making profit.

Advantages of Joint Stock Companies

- We can expand the business
- Credit facility
- More capital
- With more capital and more expertise, companies have more chances to earn more profit.
- Expansion in the scale of business
- Responsibility of investor is limited to the face value of shares. This is called **Limited Liability.**
- If one person dies or leaves the country, it does not have any impact on the business.

- Life of the joint stock company is longer than sole proprietorship and partnership.
- It is easy to transfer rights.
- Company can hire better experts which results in better management.
- Public place more confidence in companies rather than in any other form of business.
- Anyone can exit from joint stock company by selling his/her shares.

Disadvantages of Joint Stock Companies

- Formation of Joint Stock Company is very lengthy, very complicated and very technical job.
- Lack of interest.
- There is not much secrecy found in companies.
- Companies pay double taxation to the Government.
- Delayed decision making
- Power is centralized because there are few people who hold major portion of company's shares.

Public Limited Company Vs Private Limited Company

Number of members

- For a public limited company, minimum numbers of members are seven.
- For a private limited company, minimum numbers of members are two.

Issue of shares

- Public limited company is bound to promote issue of shares to general public through media.
- There is no such provision for private limited company.

Name of the company

- Public limited companies add the word "Ltd." with their name.
- Private limited companies add the word "(Pvt) Ltd." with their name.

Annual report

- Public limited companies have to present their data to general public.
- There is no such provision for private limited company.

Transfer of shares

- It is easy to transfer shares in public limited companies.
- In private limited company, shareholder cannot transfer the shares without the consent of other members.

Statutory meeting

- It is obligatory for the public limited company to hold statutory meeting.
- There is no such obligation for privet limited company

Submission of annual report

- It is obligatory for the public limited companies to submit their annual report to registrar Corporate Law Authority.
- It is not necessary for private limited company.

Taxation

- Public limited company pays double taxation at different income tax rates.
- Private limited company pays tax only once at different income tax rates.

Lecture 06

✵ Promotion Stage

- ✵ Initiation of idea
- ✵ Further discussion with other people
- ✵ Collection of further information regarding sales, profitability, availability of machinery, restrictions of the Government etc.
- ✵ **Some other factors**

✵ Is there a need for a license for this business?

✵ Is N.O.C required from the Government?

- ✵ Promoters have applied for license and permission.
- ✵ If copyrights are involved, permission of the principal company is also required.
- ✵ People started work for getting their own name and business registered.
- ✵ Requirement of funds.

✵ Preparation of Documents

✵ **Memorandum of the company**

A document that contains Name, address, objective and capital of the company.

✵ **Articles of association**

A document that contains rules and regulations of the company.

✵ **Prospectus**

Prospectus is an initiation for offer.

✵ Incorporation Stage

- ✵ All the documents will be filed to the registrar joint stock companies to seek permission for the business along with the registration fee.
- ✵ Experts will examine these documents and make sure that all claims are justified or not.
- ✵ If they are satisfied, a certificate of incorporation will be issued to the company.

✵ Collection of Capital

- ✵ Promoters will inform the general public that business is going to be started.
- ✵ They will ask the people to invest in the business.
- ✵ This is capital subscription stage.
- ✵ Share or stock is the smallest unit of investment.
- ✵ Stock exchange is a market where people exchange their shares.
- ✵ Debenture is a kind of loan which is acquired from the market.
- ✵ Certificate of commencement is issued by the Government when commencement of business is allowed.

Clauses of Memorandum of Association

- ✵ **Name of the business**

✵ We cannot suggest a name that has already been registered.

✵ We cannot suggest a name after our National Heroes.

- ✵ Registered office of the company.
- ✵ Objective clause of the business.
- ✵ Authorized capital of the company.
- ✵ **Liability clause**

Liability of the investor is limited to the extent of investment in the business.

- ✵ Association clause.

✵ Articles of Association

- ✵ Share capital of the company.
- ✵ Procedure to change the capital.
- ✵ Procedure for meetings.
- ✵ Procedure for voting.
- ✵ **Appointment of directors.**

Directors are the officials of the company who are appointed to run the affairs of the business.

- ✵ Duties and authorities of directors.
- ✵ Rights of shareholders.
- ✵ **Meetings.**
- ✷ Meeting of shareholders.
- ✷ Meeting of directors.
- ✵ Disqualifications.
- ✵ Seal of the company.
- ✵ **Distribution of dividend.**

Profit distributed among shareholders is called dividend.

- ✵ **Decision for retained earnings**.
- ✷ Retained earning is a part of the profit retained by the company for future operations.
- ✵ Appointment of auditors.
- ✵ Winding up of companies.

Lecture 07

✵ Shareholders' meetings

- ✵ Statutory Meeting is the first meeting after commencement of business.
- ✵ Annual General Meeting is the meeting of the company once in a year.
- ✵ Extra Ordinary General Meeting.

✵ Statutory Meeting

- ✵ Section 77 of The Companies Ordinance 1984 deals with such type of meeting.
- ✵ The company must give 21 days notice to shareholders prior to the meeting.
- ✵ **Matters to be Discussed:**
- ✷ Amount of capital acquired.
- ✷ Details of machinery purchased.
- ✷ Details of development in all areas of the business.
- ✵ Sometimes, issue of share capital does not give minimum amount set by the company.
- ✵ Underwriters are those organizations which guarantee the company to buy the remaining shares, if minimum requirement is not met.
- ✵ Statutory report will also tell about the underwriters and commission paid to them.
- ✵ Information about arrears to be received by the company.

✵ Annual General Meeting

- All shareholders will participate in this meeting which is held once in a year.
- The company must give 21 days notice to shareholders prior to the meeting.
- **Objectives of Annual General Meeting**
- Election of directors for the next year.
- Appointment of auditors.
- Auditors will review the annual accounts of the company and report on the accuracy of these accounts.
- Shareholders will elect and approve the appointment of auditors.
- If auditors are already hired, the shareholders will review their performance and decide whether to continue with current auditors or to change them.
- Auditors will also be asked whether they are willing to work with the company or not.
- Declaration of dividend.
- Decision for directors' remuneration.
- Auditors will report on the companies accounts in terms of:
- Accuracy
- No fraud found
- Conformity with the Companies Ordinance 1984.

Extra Ordinary General Meeting

- **This meeting will be called when there are:**
- Some extra ordinary circumstances.
- Some special type of business.
- Decision for debentures.
- The company can change its memorandum and articles of association in extra ordinary general meeting.

Share Capital

- The capital with which the company gets registration is called Authorized Capital of the company.
- The part of capital that has been offered to general public is called paid up or issued capital.
- The part which has not yet been issued to general public is called un issued capital.
- If people have applied for more capital than required, the company will issue the shares by balloting and return the excess money to the general public.
- If people have applied for less capital than required, whatever amount has been received will be the paid up capital of the company.

Winding up of the company

- **Voluntary winding up**
- The members of the company decide about winding up of the company.
- **Special Resolution**
- Members will present special resolution in the extra ordinary general meeting regarding winding up of the company. If approved by the members, the company will be dissolved.

- **Winding up by court**

- Members have applied to the court for winding up of business.
- **If court feels that:**
- Business is not in the benefit of the society.
- Objective of the business is not in line with the culture of the country.
- Business is deceiving the general public.
- The court will order that business should be closed immediately.

Lecture 08

Co-operative Societies

- Co-operative societies are group of people who form the business to co-operate with each other.
- The main purpose of co-operative societies is to co-operate with each other through self help.
- People join these organizations as volunteers.

Advantages of Co-operative Societies

- This system provides high standard of life due to sharing of resources.
- Formation is easy because Government support these kind of organizations.
- People running the business have equal rights in decision making regardless of number of shares or amount invested in the business.
- **Economic Democracy**
- People sit together and decide about the business of the society.
- Elimination of middle man results in cheaper products.
- Government gives financial assistance to these type of businesses.
- Friendly atmosphere is developed in the society due to close relationship in the people running the business.
- Employment opportunities are created by such businesses.
- A sense of mutual co-operation is developed in the society.
- An opportunity to keep demand and supply in balance.
- This kind of business requires less expenditure.

Disadvantages of Co-operative Societies

- People do not have sufficient capital to start such business.
- **Unavailability to hire professional manager because:**
- People do not have money in remote areas.

- There are no such people in those areas.
- People do not have experience of such business.
- Lack of secrecy.
- Unavailability of new technology.
- These are not businesses in true sense. People might not have confidence in these businesses.
- Banks might not provide loans to these businesses.
- Interference of the Government.

Entrepreneurship

Entrepreneurship is that ability in which an individual tries to find the opportunity, take risk and avail these opportunities.

Who are Entrepreneurs?

- **People have more entrepreneurial abilities who:**
- Have aspiration.
- Are more strategic.
- Have the vision.

Characteristics of Entrepreneurs

- Resourcefulness
- Abilities
- Concern of being good.

Lecture 09

Entrepreneurial Characteristics

- **Personal Interest**
  - Interest for their own development.
- **Customer Relationship**
- Long term relations with the customers.
  - Desire to establish own business.
  - Need of control.
  - Ability to deal with uncertainties.

Business Plan

A document which contains the objectives of the business and the ways to achieve these objectives.

Components of Business Plan

There are two situations:

- **Buying a business.**
- **Starting from the scratch**.
  - Objectives of the business.
  - Marketing Components.
  - Financial Components.

Components of Business Plan started from scratch

- **Objectives of the business:**
  - Name of the business.
  - Name should indicate the type of business.
  - Name should be simple.
  - Uniqueness of name.
  - **Legal considerations:**
- Avoid the names not encouraged by the law. e.g. National Heroes, religious personalities etc.
  - Location of the business.
- **Marketing Part:**
  - Who will be the customers of the business?
  - Where are they located?
  - What would customers like to pay for the product or service?
  - What are the benefits, the customers are expecting from the product or service?
- **Analysis of competitors:**
  - What is the nature of competition in the market?
  - Who are the competitors of the business?
  - How product of the business is different from product of the competitors?
- **Promotional Part**
  - How will the message of the business be promoted in the general public?
  - How will the business be launched?
- **Financial Part**
  - What will be the investment of the business and how much should be borrowed?
  - What are going to be expected revenues in a given period of time?
  - What would be the expected expenses of the business in a given period of time?
  - What would be net income or net profit in a given period of time?
  - Is the business feasible or not?
- **Administrative Part**
  - What would be the structure to handle the business?

Lecture 10

Franchising

- An agreement between two parties in which one party passes on the rights to the other party.
- **Rights include:**
  - Right to use the trade mark.
  - Right to use the name.
  - Right to use systems, methods and researches.
  - Right to use packing material.

Parties to Franchise agreement

There are two parties:

- Franchiser
- Franchisee
  - Franchiser is one who sells the rights to franchisee.

Advantages of Franchising

- Franchiser gets a huge amount of money from franchisee without doing anything.
- Franchisee gets access to big business.
- Failure rate of franchise business is lower than any other business.
- Franchisee uses world wide tested brand and tested procedures that is why failure rate is lower in this type of business.
- Franchiser provides guidance to franchisee in all affairs of the business.
- Choice of location
- Franchiser is always there to support the franchisee in all kinds of matters.

Disadvantages of Franchising

- High cost.
- Proportionate profit is given to franchiser by franchisee every year.
- There are too many restrictions from franchiser on the franchisee.

New Trends in the Business

E-Commerce or E-Business

- Using internet for marketing products.

Women in business

- So many women have come in so many areas of business.
- Business will be better displayed, well mannered staff, more knowledge of the needs of customers and more market oriented.

Global opportunities

- People have the awareness of global market.
- Internet has played major role in accessing global markets.
- In Pakistan, people got huge success globally but could not make a brand name in global market.

Factors for lower failure rate

- Government's preferences and priorities.
- Government is convinced to support corporate sector.
- Businesses are now being set up on more professional grounds.
- Support from financial institutions.
- General economy of the country.
- People are acquiring professional knowledge about business.
- Government has developed many training centre to train people related to business.
- Skills development.
- Institutions to develop man power.

Lecture 11

Causes of Failure in Business

- Causes of Failure in People are not capable of handling business.
- Some people are not capable enough to know markets.
- People should try to learn the abilities to run the business.
- People do not have experience required for a business.

We need to have control over:

- Production Process

- Cost
- Wastage
- Complaint handling
- Quality

- Insufficient capital
- Bad Luck
- National Disaster

- **Reasons for Success in Business**
  - Hard work
  - Dedication and Commitment
  - Response of Market
- Competence – The ability to work
  - Knowledge of Market
  - Knowledge of Product
  - Knowledge of Systems
- Luck and Act of God
  - Law of Government
  - Law related to health
  - Climate change
  - Disaster
- **Joint Venture**
  - Two or more people or organizations join hands and decide to do a business.
- **Advantage of Joint Venture**
  - Combination of skills and abilities.
- **Strategic Alliance**
  - Two or more than two organizations collaborate for mutual profit.
- **Decision involved in Strategic Alliance**
  - Profit Sharing
  - Client Handling
- **Merger**
  - Two or more organizations combine together and form a new organization.
- **Acquisition**
  - One business acquires the other business.
- **Advantages of Acquisition**
  - Expansion of size
  - To reduce competition

Lecture 12

- **Imports**
  - Goods produced somewhere else and sold domestically.
  - Chemicals
  - Technology (Machinery, Software & Hardware, Expertise)
- **Factors to be considered while importing**
  - Identification of products to be imported.
  - Procedures, methodologies, technical processes and documents for imports.

- **Exports**
  - Goods produced domestically and sold in some other country.
- **Advantages of Exports**
  - Support of Government.
  - High Profits.
  - Pride for the country.
  - Utilization of production capacity.
- GATT – General Agreement on Tariff & Trade.
  - An agreement between the countries that encourages international trade.
- WTO – World Trade Organization
  - Scope of WTO
  - WTO insists on removing the artificial barriers to encourage international trade.
  - WTO was organized on January 01, 1995.
- **Per Capita Income**

Per Capita = Total income of the country/
Total population

- Tools for measuring economies of the world
  - World can be divided in to three major categories on the basis of per capita income.
- **High income countries**
  - Those countries where people are earning US $9000 or more.
- **Middle income countries**
  - Those countries where people are earning between US $765 and $9000.
  - Tools for measuring economies of the world
- **Lower income countries**
  - Those countries where people are earning below US $765.
- Pakistan has a little below than US $765 income line and is moving towards middle income class countries.
- **Pakistan is exporting**
  - Sports items
  - Agricultural products (rice)
  - Textile products (Bed Sheets, T-Shirts, Towels etc.)
- **Import and Export Balance**
  - Gap between imports and exports is called surplus and deficit.
  - It varies from country to country.
- **Balance of Payment**
  - Balance of payment = Total receipts - Total payments
  - If receipts are greater, balance of payment is favorable.
  - If payments are greater, balance of payment is unfavorable.

- **Level of involvement in international business**
- **Imports or Exports**
  - We can be importer and exporter.
  - We try to see opportunity in international market to consume surplus products.
  - This is called exports.
- **International Firms**
  - International firms have operations world wide.
  - These firms are also called multinationals.

- Multinationals design products separately for each country.

- **Global Organizations**
  - Those organizations which consider the whole country as single market are called global organizations.
  - These organizations have standardized products all over the world.

International Organizational Structure

- Independent Agent
- A person or an organization that works for an exporter or importer.
  - Appointment of representative abroad.
  - Licensing agreement,
  - Independent Branch Office.
  - Strategic Alliance.
  - Direct Foreign Investment.

Lecture 13

Barriers to International Trade

- Social and Cultural Changes.
- Different countries have different life styles.
- Religion.
- Every religion has its own set of rules for its followers.
- Religion asks for spending on certain things and stops from spending on certain things.
- Climate
- Laws
- There are different laws in different parts of the world.
- These include laws related to:
- Health
- Safety
- Customer Relationship
- Pricing
- Packing
- Environment
- Economic Differences
- Per Capita Income is different in different countries.
- Different people have different economic systems.
- People preference for a particular product
- Political System
- **Tariff**
- Tax levied on goods entering into a country.
- It is also used as a measure to reduce imports in a country.
- **Quota**
- Limit imposed by one country on importing commodities from another country.

✶ **Subsidies**
- ✳ Concessions provided by a country to its producers in order to protect economy.

✶ **Business Ethics**
- ✳ Ethics are basic beliefs, a company decides to pursue and implement during a course of action.

✶ **Ethical Behavior**
- ✳ A system that confirms the beliefs of the society.
- ✳ Business is being run within that system.
- ✳ Corporate Citizenship is a practice of the company confirmed by the society.

✶ Ethical Behavior in Managerial Practices include:
- ✳ Responsibility towards employees.
- ✳ Relationship with other organizations.
- ✳ Interaction with Government.
- ✳ Plans to initiate ethical behavior towards people.
- ✳ To initiate ethical programs.

✶ **Corporate Social Responsibilities**
- ✳ To think about benefiting the society and avoid harmful activities for the society is called Corporate Social Responsibilities.

✶ These include:
- ✳ Ethical attitude towards customers.
- ✳ Dealing with employees.
- ✳ Ethical communication with Government and local bodies.
- ✳ Ethical behavior towards stake holders.

Lecture 14

✶ **Stake Holders**
- ✳ People who are interested in the affairs of the business in one way or the other.

✶ Stake holders include:
- ✳ Customers
- ✳ Employees
- ✳ Suppliers
- ✳ Bankers
- ✳ Government
- ✳ Society at large

✶ **Rights of Customers**

✶ Consumerism

✶ Protecting the rights of customers.
- ✳ To get a product which is up to the expectations of the customers.
- ✳ Customer Safety.

✶ Right to get information about:
- ✳ Product
- ✳ Supplier
- ✳ System
- ✳ Procedures
- ✳ Standards

- Ingredients of the product
- Origin of the company
- Right to get information about:
- Method of manufacturing
- Quality standards
- Right to be heard
- Right to choose
- Quality Service

- **Responsibilities of the Organization towards Environment**
- Reprocessing of waste water.
- Recycling of waste material.
- Processing of smoke.
- Reprocessing of heat.

- **Ethics for Advertising**
- Truthful or Truth less Communication
- Objectionable Products
- Objectionable Appeals
- Fear Factor
- Sexual Connotations
- Objectionable Timings
- Smoking
- Selling product to underage customers
- Legal Commitments
- Discriminations
- Health and Safety of Employees

- **Whistle Blowers**
- People who see irregularities and bring them in the knowledge of the management.

- **Management**
- Getting things done through others.

- Manager
- A person who practices the functions to achieve management's objectives.

- **Functions of Managers**

- **Planning**
- Thinking for the future.

- **Organizing**
- Decision about activities performed by the workers.
- Grouping the activities
- Delegation of authorities

- **Staffing**
- Filling out the vacant positions.

- **Coordination**

- **Communication**
- Receiving information from various sources.
- Processing of information.
- Dissemination of information.
- Distribution of information.

- **Conflict handling**
- **Negotiation**
- **Resource Allocation**
- **Controlling**
- To make sure that organization is moving towards the right direction.

Lecture 15

- **Managerial Skills**
  - **Conceptual Skills**
    - Abilities to think at planning and organizing stage.
  - **Interpersonal Skills**
    - Abilities to deal with others.
  - **Technical Skills**
    - Knowledge of processes and operations.
  - **Goals**
    - Destination where a company wants to reach.
  - **Strategy**
    - Set of plans for long term orientations.
- **Levels of Strategies**
  - **Corporate Level Strategies**
    - The strategies that cover all the operations, processes and units of organizations.
  - **Strategic Business Unit (SBU)**
    - A part of organization that requires separate planning.
  - **Functional/Operational Level Strategies**
    - The level at which all functions or operations are performed.
- **Objectives of Goal Setting**
  - Goals give us directions.
  - Resource Allocation.
  - Setting culture of the organization.
  - Assessment of performance.
- **Mission Statement**
  - The purpose for survival of an organization.
  - Mission Statement describes life time objectives of the organization.
  - Mission statement is a general statement.
  - It is written in terms of:
  - Customer satisfaction
  - Quality of life
  - Service of humanity
  - Mission statement is a long term plan.
- **Types of Goals**
  - Long Term Goals
  - Medium Term Goals
  - Short Term Goals
  - **Short Term Goals**

- A plan for less than one year.
- **Medium Term Goals**
- A plan for one year to three years time.
- **Long Term Goals**
- A plan for more than three years.
- Length of plan depends upon type of activities.
- Research shows that people, who plan, have higher rate of success in life.
- **Human Resource Management (HRM)**
- Human Resource Management is an area that deals with people who work in organizations.
- HRM deals with the activities of people.
- These Include:
- Attracting people in the organization
- Maintaining them
- Recruitment
- Selection
- HRM deals with the activities of people.
- These Include:
- Training
- Performance appraisals
- Compensation
- Health and Safety

Scope of HRM

- Human Resource Panning
- Type of people required
- When required
- How many people required
- Job Analysis
- Recruitment
- Training
- Compensation
- Health and Safety
- Labor Union

Job Analysis

- Collecting all the information related to a job.
- It is divided into two parts:
- **Job Description**
- **Job Specification**
- Job description describes the activities of a particular job.
- It includes:
- Job Title
- Job Location
- Working Environment
- Supervision
- **Job Specification**

- Job Specification describes human skills required to perform a job.
- It includes:
- Qualification
- Gender
- Age
- Experience
- Special Skills
- attitude

Lecture 16

- **Human Resource Planning**
  - **HR Planning Includes:**
  - What is the gap between human Resource demand and supply in the market.
  - What is the condition of human resource supply in the market.
  - **Sources to find people**
  - Internal Sources
  - External Sources
  - **Skills Inventory**
  - A chart that shows skills of workers in the organization.
  - **Replacement Chart**
  - A chart that shows turnover in an organization.
- **Turnover Rate**
  - Tendency to leave jobs in an organization.
  - Retention.
  - To retain the people in the organization.
  - Expansion Plans..
  - Replacement on the basis of performance.
- **Recruitment**
  - The process of attracting the people for the job.
  - **Advantage of recruitment within the organization**
  - People are already trained.
  - **Advantages of recruitment outside the organization**
  - Variety of Talent
  - Variety of Abilities
  - Variety of Qualifications
  - **Equal Employment Opportunity**
  - No discrimination on any grounds for hiring people.

Sources to find People

- **Informal Search**
  - This method is used when reference is also required.
- **Job Posting**
  - Putting notices for job on various places in the organization
  - Places can be:
  - Cafeteria
  - Fair Price Shop
  - Sports Field
  - Putting notices for job on various places in the organization
  - Places can be:
  - Reception Desk
  - Notice Board
  - Union Office
- **Educational Institutions**
  - Consulting educational institutions for suitable candidates for the job.
  - Educational Institutes are consulted when:
  - Fresh Graduates are required.
  - There are not many institutions for a particular job.
  - Short Listing of institutions.
  - Organizations involve teachers in the selection process.
- **Professional Associations**
  - This method is used when people for senior posts are required.
- **Recruitment Agencies**
  - These are the organizations which have expertise in selecting people.
  - These agencies are used when:
  - Time span for selection is short.
  - Jobs are highly technical in nature.
  - Employer and employee are at a distant place.
- **Advertisement**
  - Giving advertisement in media.
  - Media is used when:
  - Large numbers of jobs are available.
- **Disadvantages of using media**
  - Large numbers of applications are received.
  - It is difficult to handle large number of applications.
  - Costly

Selection

- The most important stage in HRM process.
- It includes:
- Filling up forms
- Interviewing people
- Developing tests
- **Application Blank**
  - A form designed by the employer for the prospective employee to fill it out.
  - It records data according to the requirement of the organization.

Test and Interview

- Use of test and interview depends upon the nature and level of the job.

Types of Tests

Achievement Test

- Test of knowledge acquired by the candidates in educational institutions.

Psychological Test

- To determine the attitude and traits of the candidates.

Skills Test

- Aptitude test
- Test of prior learning
- Skills test

Medical Test

- To keep in record the physical condition of the candidate before joining the organization.
- To make sure **t**hat candidate does not have any transferable disease.

Considerations for Test Development

Validity

Reliability

Validity

Content Validity

- Contents of the test should be relevant to the requirement.

Construct Validity

- Sequence of the questions.

Face Validity

- Appearance of the test.

Lecture 17

Infrastructure for Test

- Space
- Proper Temperature
- Enough Quantity of Stationary
- Evaluation of Test

Interview

- Any verbal interaction is called interview.

Job Interview

- A method of selection in which we interact with the candidate verbally.

Types of Job Interview

- Telephonic Interviews
- Preliminary Interviews
- Selection Interviews

Techniques for Final Interviews

Pattern Interview

- Pre-decided questions are asked in a pre-defined sequence.

✱**Non Pattern Interview**
✳Questions are asked according to the situation

✱ **Shortcoming of Pattern Interview**
✳Interviewer can not ask any question other than pre-defined questions.
✱ **Shortcoming of Non Pattern Interview**
✳Possibility of non-professional and irrelevant questions.
✱ **Mix Interview**
✳An interview in which some questions are pre-defined and some are situational.
✱ **Ways to conduct Interview**
✳One person interview
✳Panel Interview
✳A group of people related to the job conduct interview.
✱ **Arrangements for conducting Interview**
✳Proper place
✳Preparation for questions
✳Read out the resumes of candidates.
✳Human Resource Development
✳Human Resource Development is done through training.
✱ **Methods for Training**
✱On job Training
✱Learning while working
✳Off job Training
✱ **Difficulties in On Job Training**
✳In certain jobs, on job training is not possible.
✱**Methods for Off Job Training**
✱**Lectures**
✱Cheaper method of training.
✱For some jobs, it is the most appropriate method.
✱**Vestibule training**
✱Artificial situation created for training people.
✳Role Play
✳Business Games
✳Case Studies
✱ **Performance Appraisals**
✳Evaluation of performance
✱ **Reasons for performance appraisals**
✳Validation of Human Resource Program
✳Pay for performance
✱ **Compensation**
✳Compensation can be:
✳Monetary reward
✳Non Monetary reward
✱ **Incentives**
✳Plans for encouragement of employees in the organization.
✱ **Types of Incentives**

- **Organizational Level Incentives**
- Paid to everyone in the organization.
- **Individual Incentives**
- Paid to individual employees who have done good job.

Lecture 18

- **Individual Incentives**
- Employees are paid for:
- Good performance on job.
- Good performance during training.
- **Collective Incentives**
- Incentives are paid to whole department.
- Incentives for the whole organization can be:
- Profit Sharing.
- Benefits other than salaries and wages.
- **Compensation**
- Salary is paid for longer period. e.g. for a week, for a fortnight, for a month or for a year.
- Wages are paid for short term period. e.g. for a day or for an hour or on the basis of units completed.
- Other ways for compensation can be:
- Free or cheaper food.
- Retirement Plans.
- Pensions.
- Medical Facilities.
- Transportation Facilities.
- Assistance for children education.

- **Equal Employment Opportunity (E.E.O)**
- No employee on any base will be discriminated for offering job opportunities.
- Base can be:
- Gender
- Nationality
- Religion
- Area
- Life Style
- Race
- In many countries, it is against the law and ethics.
- Some people are perceived fit for a particular job. This concept is known as Stereotyping.
- Managers should not evaluate performance on the basis of:
- Gender
- Nationality
- Race
- Religion
- **Why do we need Equal Employment Opportunity (E.E.O)?**

- Job description does not provide any base for discrimination.
- If law requires, we have to obey the law.
- Ethics.
- Research has shown, variety of people can perform better in an organization. This phenomenon is called Work Force Diversity.
- Managers should encourage different types of people to join organization in order to enhance productivity.

✱ Collective Affairs of Employees

- Employees form labor unions in the organization.
- There could be more than one labor organizations in the company.
- Collective Bargaining agent (CBA) is a person who has been elected by all the workers in the organization through legal procedures.
- **Negotiations can be on:**
- Salary
- Working Conditions
- Timings
- Facilities
- Benefits
- Attitudes

✱ Motivation

- Motivation is a force that forces people towards a task.

✱ Classical Theory of Motivation

- People are motivated because of money or material objects.

✱ Fredrick Taylor's Theory of Scientific Management

- Every job should be studied scientifically.
- Jobs should be divided on the basis of tasks and skills of labor.
- Pay should be attached with productivity.

✱ Time & Motion Studies

- Time spent on jobs should be studied using scientific devices and motions of machines or human motions.

✱ Objection on Fredrick Taylor's Theory of Scientific Management

- This theory considers human beings as machines.

✱ Hawthorn Studies

- Basic purpose of these studies was "Effect of light on productivity".
- Productivity depends upon human relations.
- Shortcoming of this theory was that human moods, human behavior, human liking and disliking and human interest were ignored.
- Hawthorn Studies became a base for behavioral studies in organizations.

Lecture 19

✱ McGregor Theory - X

- Every normal human being dislikes work by nature.
- People work because of some pressure.
- Pressure can be:
- Salary
- Advancement

- Respect
- Some other force

✱ McGregor Theory - Y

- People inherently like to work.

✱ McGregor Theory – X & Y

- X-Type managers might:
- Use punishment and threat to make people work.
- Control activities of the work very closely.
- Y-Type managers will identify the barriers which are causing problems for workers and try to eliminate those barriers.
- In some situations, managers have to adopt X-type behavior and in some situations, they have to adopt Y-type behavior.
- Culturally, in societies, managers are moving towards Y-type behavior from X-type behavior.

✱ Why do People work?

- Need
- A state of felt deprivation.

✱Maslow's Hierarchy Of Needs

✱ Biological Needs

- Biological needs are related to human body's survival. e.g. food, drink, air, sleep etc.

✱Safety Needs

- Safety from:
- Cold
- Heat
- Sand
- Storm
- Earthquake
- Animals

- Enemies
- **Social Needs**
- **Self Esteem**
- Worth attached by human beings to themselves.
- People who have high self esteem are more productive.
- **Self Actualization**
- Fullest utilization of one's potential.
- **Use of Hierarchy in Motivation**
- Biological needs can be fulfilled by:
- Giving salaries.
- Providing free or cheaper food to employees.
- Providing routine items at concessional prices.
- **Safety Needs**
- Organization can provide safety devices to employees. For instance:
- Helmet
- Glasses
- Gloves
- **Safety Needs**
- Organization can provide safety devices to employees. For instance:
- Special purpose shoes
- Medical Facilities
- Houses
- House rent
- Pick & drop service
- Insurance
- Pension plans
- Preventing people from accidents
- **Social Needs**
- Organizations encourage informal organizational activities.
- These include:
- Combined lunch or dinner
- Sports
- Fun fair
- Musical Programs

Lecture 20

- **Use of Hierarchy in Motivation**
- **Self Esteem**
- Worth of human beings.
- These include:
- Designation of Individuals.
- Status in the organization.
- Recognition of employees in the organization.
- Self esteem has direct relationship with productivity.
- Various techniques can be used to make self esteem of employees high. These can be:

- Finding titles for employees
- Recognition
- Awards
- Cash rewards
- Increment in the salary
- Promotion
- Raising status of employees

Self Actualization

- Fullest utilization of one's potential.
- These include:
- High Challenges
- High position in the organization

Criticism on Maslow's hierarchy theory

- It is possible that human needs may deviate from the order given by Maslow.
- There is a question mark whether needs finish after self actualization or not.

Two Factor Theory or Hygiene theory

- Hertzberg presented this theory by taking the phenomenon of human hygiene.
- Two factors work in the organization:
- Hygiene factors
- Motivators
- Factors required to keep employees in the organization are called hygiene factors.
- Factors used to get high productivity from workers are called motivators.
- Hygiene factors fall with the biological needs, safety needs and partially with social needs of Maslow's hierarchy theory.
- Motivators are almost similar to social needs, Self esteem needs and self actualization needs of Maslow's hierarchy theory.
- Both factors should be present in the organization at the same time to get productivity from workers.

Expectancy Theory

- People in the organization are motivated with:
- Expectations about reward.
- Assurance of getting reward by doing a particular task.

Equity Theory

- Equivalence in inputs and outcomes.
- Inputs of employees in an organization are:
- Level of education
- Skills
- Experience
- Reputation
- Hard work
- Connections
- Outcomes of employees in an organization are:
- Salaries
- Designations
- Promotions
- Benefits

- Social Status
- Respect in the organization
- Opportunities
- **Equity Theory**
- Individual will also compare his input/outcome with other individual's input/outcome.

How can Equity Theory be implemented?

- Managers have to explain reasons for the difference of outcomes of employees in order to keep them motivated.
- People compare their rewards with the market as well.

Lecture 21

Reinforcement Theory

- To strengthen desired behavior at work place.
- To force the workers to adopt that behavior.
- There are two ways for reinforcement:
- Positive reinforcement
- Negative reinforcement
- Positive reinforcement means to encourage a particular behavior.
- Negative reinforcement means to discourage a particular behavior.

Human Relations

- Human Relations can be:
- Employee to employee
- Employee to employer
- Purpose of human relations is to give a feeling of a family.

Job Enrichment

- This is needed when people are under performing.
- Job enrichment means adding something into the job.
- To provide opportunities to employees to apply their talent, knowledge and creativity for performing more in the organization.

Job Re-designing

- To re-design a task.

Job Sharing

- People share the work.

Management by Objective (MBO)

- Idea of MBO is opposite to the traditional management.
- Decision and planning is made in collaboration with the subordinates.

✵ **Difficulties with MBO**

- People do not understand the philosophy of MBO.

✵ **Application of MBO**

- Subordinates set their goals by themselves with the consultancy of top management.

✵ **Psychological Contract**

- A contract between employee and the organization.
- With the achievement of psychological contract, workers will have high level of morale and satisfaction.

✵ **Leader**

- A person who influences people for the achievement of pre-defined goals.

✵ **Leadership**

- Ability of an individual to influence others.

✵ **Difference between a leader and a manager**

Leader	Manager
Leader is a change agent.	**Manager is more concerned with the status co.**

✵ **Leadership**

- Powers of leaders
- Position powers
- Personal powers
- All those powers/authorities which are attached to a position are called position powers.
- Position powers are transferable.
- Powers attached with some person are called personal powers.
- These are non transferable.

✵ **Types of leaders**

✵ **Autocratic leaders**

- Leaders who take decisions by themselves.
- This type of leadership is used in those circumstances when there is not much time for decision making.
- These types of leaders have more centralized powers.
- Managers take more powers when:
- Managers do not trust their subordinates.
- Subordinates might not have enough training.

✵ **Democratic Leaders**

- Democratic leaders share the ideas.
- In this style, leaders will encourage more communication.

✵ **Free-Rein leaders**

- Managers depend more upon subordinates.

- Encourage the subordinates to make decisions by themselves.
- This approach is practiced when:
- Staff is highly motivated.
- People are working in synergistic environment.
- Fully trained people.

✶ Difference of communication in leadership styles

- In autocracy, there will be downward communication but no upward communication. i.e. one way communication.
- In democracy, there is both way communications. I.e. upward and downward communication.
- In free rein, there will be more communication among subordinates and occasional communication among subordinates and managers.
- Method of decision making depends upon the situation.

✶ Contingency approach of Leadership

- Every job has its own uniqueness.
- With the change in task, different type of leaders and different leadership style is required.

Lecture 22

Marketing

- All those activities which make the exchange possible.
- Exchange includes:
- Exchange of goods, services and ideas from one person, organization and place to another person, organization and place.
- A system of business activities designed to plan, price, place and promote goods, services and ideas to potential customers.

✶ Potential Customers

- A person, a body, an institution or a firm who has:
- Need
- Money
- Willingness to spend money.

✶ System

- A set of interrelated and interdependent activities.

✶ Planning for marketing

- What should be marketed?
- When should be marketed?
- Where should be marketed?
- Distribution
- Pricing
- What is going to be the price of the product?
- Promotion
- Should the product be promoted or not?

✶ Marketing

- Product is:
- Anything that is offered for sale in the market.
- All those things which are tangible.

- Services are intangible. i.e. which are not touchable.
- Marketing of ideas.

Marketing

- Marketing ideas can be applied on non business activities. This is called social/societal marketing.
- This includes:
- Asking for donations.
- Drive slow.
- Say your prayers.
- Need is a state of felt deprivation.
- Marketers satisfy the needs through products, services, objects and ideas.
- Market is a place where people exchange goods, services and ideas.

Stages in Marketing

Production oriented stage

- All the efforts are made to produce more and more.

Product oriented stage

- Management focuses on quality of product rather than quantity of product.

Sales oriented stage

- Sellers feel the need of an organized institution that coordinates all activities related to sales.

Marketing oriented stage

- Unsatisfied needs of the customers are satisfied.

Societal Marketing stage

- Benefits of society are considered by the organizations.

Value

- Difference between cost and benefits of the product.

Utility

- Ability of any commodity to satisfy the needs.

Forms of Utility

Time Utility

- Customers get the commodity when they want.

Form Utility

- Converting the shape of the product from one form to another.

Place Utility

- Transportation of product from one place to another.

Ownership Utility

- Product owned by the manufacturer is distributed to the end buyers through different steps.